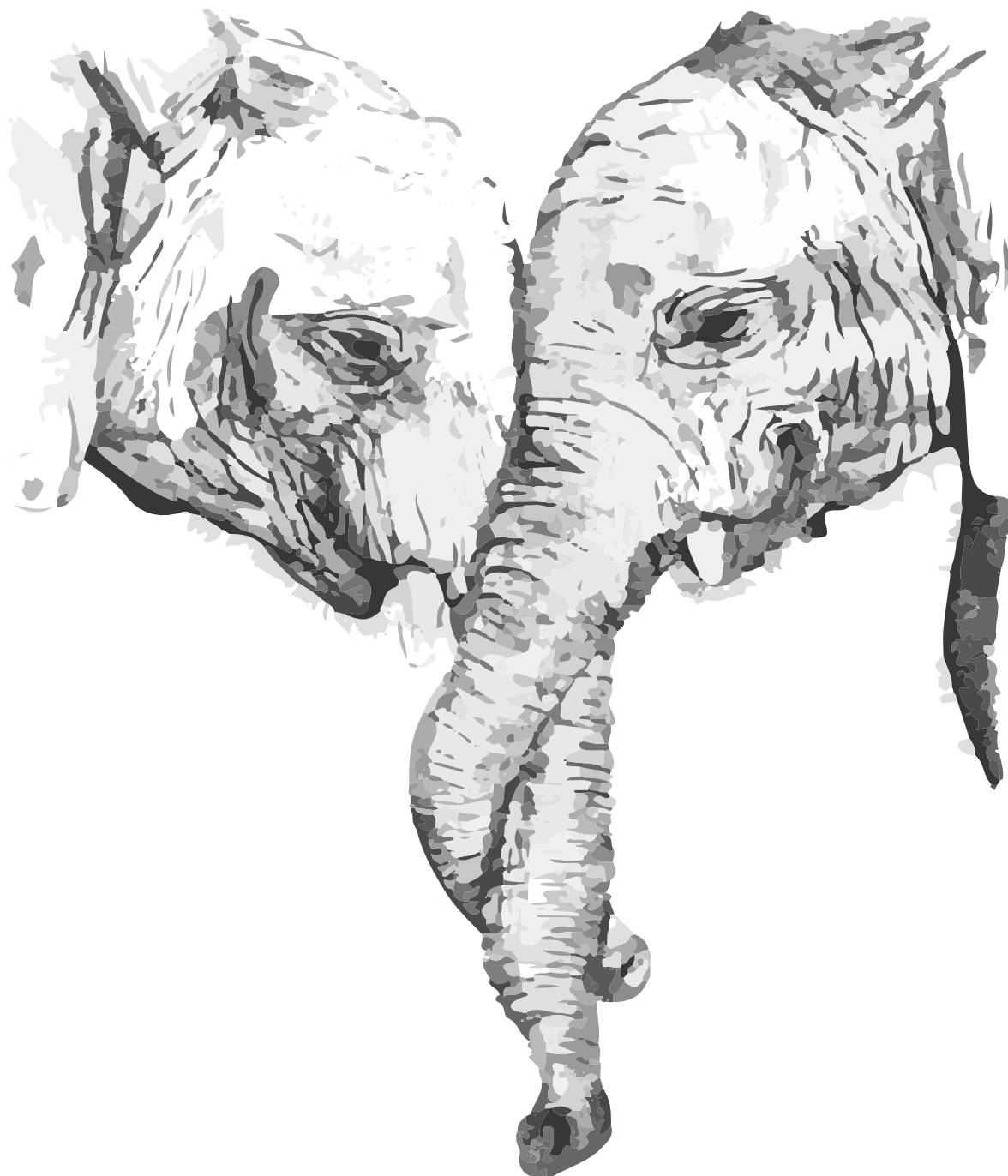




STRENGTHENING BONDS

CENTRAL FINANCE COMPANY PLC

INTEGRATED ANNUAL REPORT 2024/25



STRENGTHENING BONDS

CENTRAL FINANCE COMPANY PLC

Trust is the cornerstone of every enduring relationship, and for over 67 years, Central Finance has been a pillar of reliability, holding true to these principles with steadfast loyalty and wisdom. Guided by ethical governance and a legacy of financial stability, the Company fosters deep connections with customers, employees, and stakeholders, ensuring mutual growth and progress.

Much like the nurturing and collective instincts of an elephant within its herd, Central Finance thrives on teamwork and collaboration. Its employees embody a shared purpose, working cohesively to prioritize customer needs, build enduring partnerships, and champion a people-centric culture. This collective strength reinforces an ecosystem of reliability and support, creating lasting bonds of trust.

As elephants never forget, Central Finance too remains anchored in its rich heritage while embracing the future with cutting-edge digital solutions and ESG-focused initiatives. This harmony of tradition and innovation cements its role as a trusted partner in financial growth.

ABOUT THE COMPANY

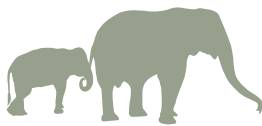
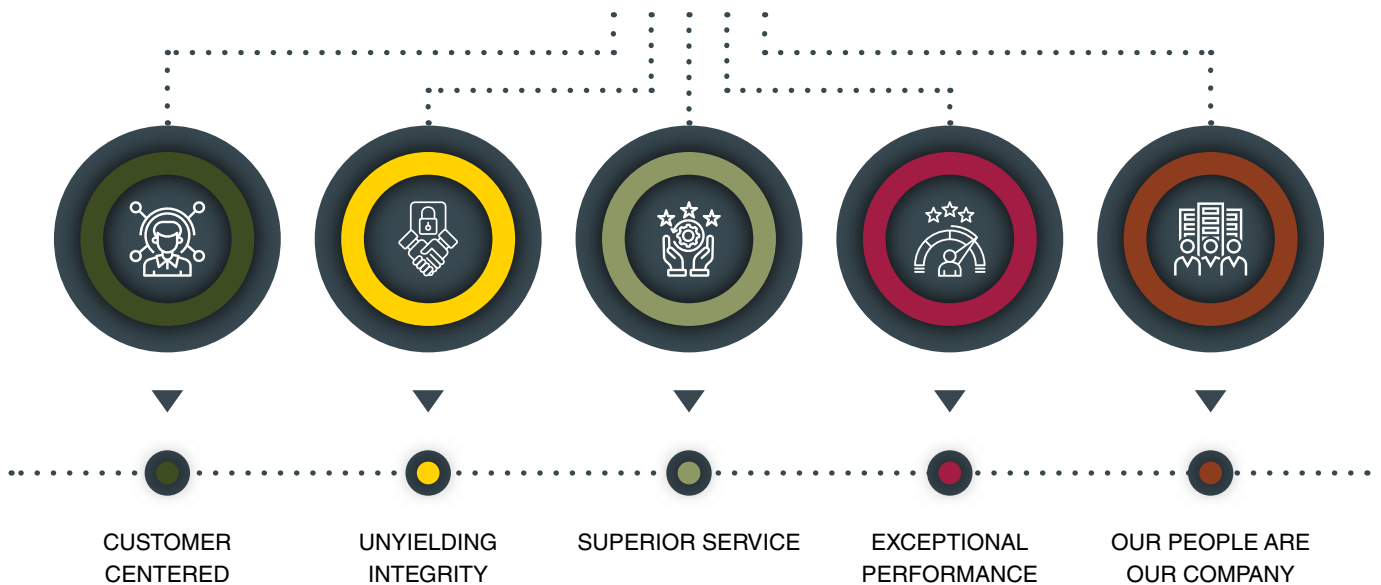
VISION

Central Finance shall be the first choice for progressive customers in delivering innovative financial solutions.

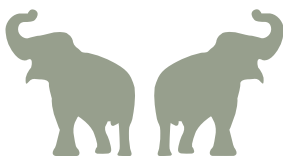
MISSION

To be the leader in our industry, conducting business with responsibility, using our expertise in helping customers grow and prosper whilst creating lasting value for our shareholders.

CORPORATE VALUES



CUSTOMER CENTERED - We aim to build long term relationships with our customers, We believe in providing consistently high standards of service and integrity



UNYIELDING INTEGRITY - We have a hard earned reputation of integrity and reliability which we shall safeguard at all times. Therefore trust, confidence, prudence and fairness in dealing with our customers, members of the public will be absolute and will form an integral part of our business philosophy



SUPERIOR SERVICE - We believe in providing fast, quality service that earn customer satisfaction which results in customer retention

EXCEPTIONAL PERFORMANCE - We set ambitious goals, yet we understand accountability to achieve these goals. We are committed to perform exceptionally well on behalf of our stakeholders

OUR PEOPLE ARE OUR COMPANY

- The ability and commitment of our people are central to the success of the Company. Therefore, we help them enhance their skills, recognise and reward accomplishment, treat them with fairness and consideration. In return we expect every individual to take responsibility for his/her actions



CONTENT

ABOUT THE REPORT	4
FINANCIAL HIGHLIGHTS	6
NON-FINANCIAL HIGHLIGHTS	7
SOCIO ECONOMIC IMPACT	8
HISTORICAL MILESTONES	12
CUSTOMER CENTRE NETWORK	14
CHAIRMAN'S STATEMENT	20
MANAGING DIRECTOR'S REVIEW	24
BOARD OF DIRECTORS	30
CORPORATE MANAGEMENT	35
OPERATING ENVIRONMENT	36
STAKEHOLDER ENGAGEMENT	39
MATERIAL TOPICS	45
BUSINESS MODEL	50
STRATEGY AND RESOURCE ALLOCATION	52
ESG FOCUS	56
REVIEW OF OPERATIONS	60
CREDIT & LENDING	60
RECOVERIES	63
DEPOSITS & SAVINGS	65
VEHICLE HIRE	68
CAPITAL MANAGEMENT REVIEW	70
FINANCIAL CAPITAL	70
MANUFACTURED CAPITAL	80
INTELLECTUAL CAPITAL	86
SOCIAL AND RELATIONSHIP CAPITAL	90
HUMAN CAPITAL	98
NATURAL CAPITAL	106
RISK MANAGEMENT REPORT	110
CORPORATE GOVERNANCE REPORT	122
NOMINATIONS AND GOVERNANCE COMMITTEE REPORT	197
RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT	199
HUMAN RESOURCES AND REMUNERATION COMMITTEE REPORT	201
BOARD INTEGRATED RISK MANAGEMENT COMMITTEE REPORT	203
BOARD AUDIT COMMITTEE REPORT	205
DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING	208
DIRECTORS' STATEMENT ON INTERNAL CONTROL	209
INDEPENDENT ASSURANCE REPORT	212

FINANCIAL INFORMATION

FINANCIAL CALENDAR 2024/25	214
ANNUAL REPORT OF THE BOARD OF DIRECTORS	215
INDEPENDENT AUDITORS' REPORT	224
INCOME STATEMENT	231
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME	232
STATEMENT OF FINANCIAL POSITION	233
STATEMENT OF CHANGES IN EQUITY	234
STATEMENT OF CASH FLOWS	236
NOTES TO THE FINANCIAL STATEMENTS	237

SUPPLEMENTARY INFORMATION

DIRECTORS' INTEREST IN CONTRACTS WITH THE COMPANY	368
GROUP COMPANIES	370
QUARTERLY STATISTICS - COMPANY INFORMATION ON SHARES AND DEBENTURES	373
DECADE AT A GLANCE	376
INCOME STATEMENT IN US DOLLARS	380
STATEMENT OF FINANCIAL POSITION IN US DOLLARS	381
GLOSSARY OF FINANCIAL TERMS	382
NOTICE OF MEETING	385
FORM OF PROXY	389
INVESTOR FEEDBACK FORM	391
CORPORATE INFORMATION	IBC

ABOUT THE REPORT

A MESSAGE TO OUR VALUED STAKEHOLDERS

We are excited to present to you our first-ever Integrated Annual Report. This report is more than a reflection of our performance. It is a celebration of our legacy of over 67 remarkable years and a tribute to the bonds we have forged over the past six decades with our customers, employees, shareholders and other stakeholders.

Thank you for being part of our story. We invite you to explore our first-ever Integrated Report to understand the values and vision that will continue to shape our path forward.

INTRODUCING OUR FIRST INTEGRATED ANNUAL REPORT

The report stands as a testament to our efforts to continuously improve the transparency of our disclosures to give our stakeholders a broader understanding of the Company's strategic initiatives to drive key financial and non-financial objectives amidst macro-economic challenges and how these initiatives contribute towards creating stakeholder value while ensuring our commitment to Governance.

Previous Annual Reports published by CF for the past several years, including the most recent past report for 2023/24, have been made available for viewing and download on the corporate website - <https://cf.lk/investor-information/>

SCOPE AND BOUNDARY

This Integrated Annual Report covers the period 1st April 2024 to 31st March 2025 and aims to inform shareholders and other stakeholders of the progress that has been made during this period in creating value for all. Therefore, in addition to the financial statements, the report contains detailed information on the Company's value creation process through our business model via the allocation of capital resources.

The report also examines the key risks and opportunities faced by the Company in the context of the current operating environment. The risk discussion is accompanied by a comprehensive report on the governance frameworks in place across the Company.



REPORTING FRAMEWORKS

Financial Reporting	Sri Lanka Accounting Standards issued by the CA Sri Lanka
	Companies Act No. 07 of 2007
	Finance Business Act. No. 42 of 2011
	Finance Leasing Act No. 56 of 2000
Governance, Compliance and Risk Reporting	The Code of Best Practice on Corporate Governance (2023), jointly issued by the SEC and CA Sri Lanka
	Finance Business Act Direction No. 05 of 2021 - Corporate Governance
	Listing rules of the Colombo Stock Exchange
Narrative Reporting	International Integrated Reporting Council's (IIRC) Integrated Reporting <IR> Framework six capitals model

ASSURANCE

We have adopted a combined assurance approach to ensure the integrity of the information presented in this Integrated Report. Internally, the report content has been reviewed by the Board Audit Committee before seeking final approval by the Board.

Our external auditors, KPMG Chartered Accountants, have provided an opinion on the Company's Financial statements and related notes and disclosures published in this Report. (Please refer to the Independent Audit Report on page 224).

associated with future events, outcomes, and external factors beyond the control of Central Finance Company PLC, which may cause the Company's actual results, performance, or achievements to differ materially from those expressed or implied. Given the above, all forward-looking statements are provided without recourse or any liability to the Board or other preparers of the Annual Report.

On this basis, CF declares that there are no restatements regarding information presented in previous annual reports published by the Company.

FEEDBACK

We welcome your suggestions and comments regarding this report and your inputs to help us improve the next edition, and request that you direct your feedback to the Company Secretary.

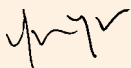
Central Finance Company PLC

270, Vauxhall Street, Colombo 02.
Tel: 0112 315 065

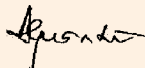
BOARD RESPONSIBILITY STATEMENT

The Central Finance Company PLC Board of Directors acknowledges its responsibility for ensuring the integrity of this integrated report. In the Board's opinion, this Report addresses all the issues that are material to the Company's ability to create value. The Board is satisfied that the report provides a fair and accurate representation of the Company's financial and non-financial performance for the year ended 31st March 2025.

The report is approved by the Board on 28th May 2025 and is signed on its behalf by:



A.R. Fernando
Chairman



A.K. Gunaratne
Managing Director

FORWARD-LOOKING STATEMENTS

This report contains certain forward-looking statements, which may include projections, expectations, or assumptions about future events. CF has made a significant effort to ensure the validity of such forward-looking statements at the time of publication. However, forward-looking statements are inherently subject to risks and uncertainties

FINANCIAL HIGHLIGHTS

	Group		Company	
	2025	2024	2025	2024
	Rs.Mn.	Rs.Mn.	Rs.Mn.	Rs.Mn.
Financial performance				
Income	26,695	26,869	20,703	21,796
Profit before income tax	13,872	11,426	9,164	7,556
Income tax	3,654	3,239	3,182	2,766
Profit after income tax	10,218	8,187	5,982	4,790
Net profit attributable to equity holders of the parent	9,924	7,842	5,982	4,790
Gross dividends	-	-	1,478	1,023
Financial position				
Total assets	130,153	121,534	105,011	100,747
Loans and lease receivables	66,131	50,161	66,124	50,148
Deposits	41,676	43,737	42,122	44,201
Funds attributable to equity holders of the parent	77,216	68,052	55,205	50,319
Non-controlling interest	2,509	2,293	-	-
Information per ordinary share				
Earnings Rs.	43.65	34.49	26.31	21.07
Dividends Rs.	-	-	6.50	4.50
Market value Rs.	194.25	106.75	194.25	106.75
Net assets value per share Rs.	339.63	299.32	242.82	221.32
Ratios				
Return on average assets (ROA) – After tax (%)			5.81	5.02
Return on average shareholders' funds (ROE) – After tax (%)			11.34	9.96
Gross non-performing loans ratio (%)			2.76	7.05
Dividend cover (times)			4.05	4.68
Dividend pay out (%)			24.70	21.36
Shareholders' funds to deposits			131.06	113.84
Core capital ratio % (Tier 1)			47.05	54.52
Total capital ratio % (Tier 2)			44.79	54.88

EPS Growth
26.55%

Dividend Payout
24.70%

DPS Growth
44.44%

Net Asset per share
339.63

Core capital ratio %
(Tier 1)
47.05%

Total capital ratio %
(Tier 2)
44.79%



NON-FINANCIAL HIGHLIGHTS

				Group		Company		
Macro dimension		Indicator	Measurement	2025	2024	2025	2024	Capital
Economic Well-being	Economic Value Creation	Economic value created	Rs. Mn	25,152	23,659	19,988	19,405	FC
		Economic value distributed to						
		Depositors	Rs. Mn	4,712	6,372	4,758	6,453	SC
		Employees	Rs. Mn	3,732	3,305	3,299	2,888	SC/HC
		Government	Rs. Mn	5,793	5,168	5,320	4,695	SC
		Shareholders and non controlling interest	Rs. Mn	1,772	1,368	1,478	1,023	SC
		Retained for expansion and growth	Rs. Mn	9,143	7,446	5,133	4,347	FC
		Market Capitalisation	Rs. Mn	44,164	24,270	44,164	24,270	FC
Social and Relationship Capital and Natural Capital	Social and Environmental Value Creation	Investment in community development programmes and environment related projects	Rs. Mn	17	10	15	9	NC/SC
		Paper recycled	Kg	12,299	14,646	12,299	14,646	NC
		Trees saved from paper recycling	Number	209	249	209	249	NC
		Investment in renewable energy	Rs. Mn	13	67	12	9	NC
		Contributions made to healthcare initiatives to improve community health	Rs. Mn	6	N/A	6	N/A	SC
		Number of children benefited from educational support programmes	Number	178	182	178	182	SC
Manufactured Capital	Infrastructure Development and Business Sophistication	Total branches/ total outlets	Number	103	103	103	103	MC
		Branches outside Western province	Number	70	70	70	70	MC
		Branches relocated	Number	6	7	6	7	MC
		Investment in software	Rs. Mn	52	39	51	35	MC
Human Capital	Employee Well-being	Total workforce	Number	2,314	2,112	1,792	1,600	HC
		Employees hired	Number	746	513	564	340	HC
		Training programs carried out	Number	130	135	77	86	HC
		Investment in training and development	Rs. Mn	33	20	31	18	HC
		Staff remuneration and benefit	Rs. Mn	3,732	3,305	3,299	2,888	HC
		Employees completed 10 years of service	Number	794	763	656	628	HC
		Females as a % of total employees	%	29%	31%	29%	31%	HC
Intellectual Capital	Market Recognition	Credit rating (Fitch Rating)	Rating			A (Ika) Outlook Stable	A-(Ika) Outlook Stable	IC
		Brand ranking (Business Today top 40)	Ranking			25 (2023/24)	24 (2022/23)	IC
		Brand ranking, LMD	Ranking			59 (2023/24)	61 (2022/23)	IC
		Total number of financial transactions initiated through digital channels during the year (CF Click and Centrix)	Number			529,147	443,943	IC
		Total customer base - Credit	Number			60,386	61,864	IC
		Total customer base - Deposits	Number			166,495	166,215	IC
		Marketing & promotion cost	Rs. Mn	132	78	74	70	IC

FC - Financial Capital, MC - Manufactured Capital, IC - Intellectual Capital, SC - Social and Relationship Capital, HC - Human Capital, NC - Natural Capital

SOCIO ECONOMIC IMPACT

ECONOMIC VALUE CREATION

As Sri Lanka's most stable non-banking financial institution, Central Finance Company PLC (CF) plays a pivotal role in driving economic value creation and enhancing financial inclusivity across the country. By leveraging strategic

planning, robust risk management, strong liquidity and capital buffers, digital transformation, and effective stakeholder engagement, CF continues to foster sustainable growth. In 2024/25, the Company's commitment to prudent financial management through revenue optimization, asset quality enhancement, cost efficiency, and strategic treasury

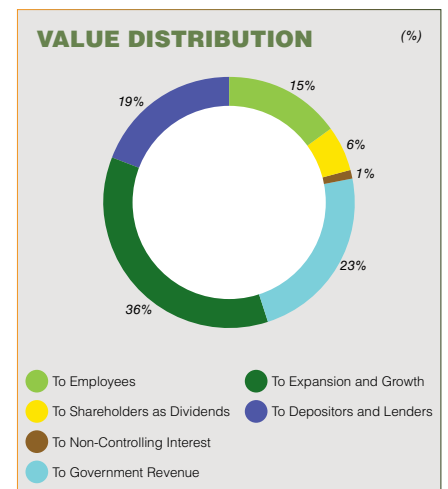
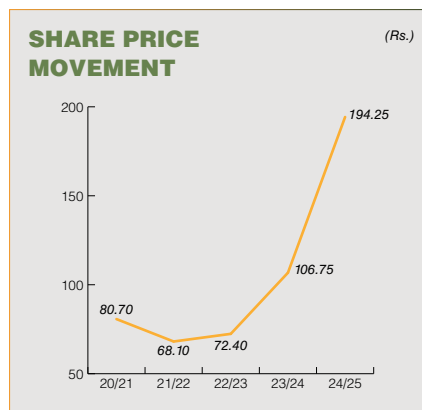
operations has reinforced its resilience and strengthened its contributions to economic development. Through enduring partnerships with customers and suppliers, CF remains dedicated to fostering financial stability and long-term value for all stakeholders.

For the year ended 31st March	Group				Company			
	2025		2024		2025		2024	
	Rs.'000	%	Rs.'000	%	Rs.'000	%	Rs.'000	%
Value Added								
Operating income	24,523,293		25,453,365		18,300,582		20,237,294	
Cost of material and services purchased	(7,109,316)		(5,821,484)		(2,618,163)		(2,228,814)	
Value added by operations	17,413,977		19,631,881		15,682,419		18,008,480	
Net income from financial instruments at FVTPL	609,367		350,244		520,228		242,783	
Other income	1,562,341		1,065,331		1,882,143		1,316,179	
Impairment (charge)/reversal and other credit losses	1,901,575		(53,041)		1,902,961		(162,647)	
Share of associate companies' profits net of tax	3,664,776		2,664,448		-		-	
	25,152,036		23,658,863		19,987,751		19,404,795	
Value Allocated								
To employees								
Remuneration and other benefits	3,731,556	14.84	3,305,050	13.97	3,298,815	16.50	2,887,703	14.88
To providers of capital								
Dividends to shareholders	1,477,804	5.88	1,023,095	4.32	1,477,804	7.39	1,023,095	5.27
Non-controlling interest	294,260	1.17	344,665	1.46	-	-	-	-
To government revenue								
Income tax	3,654,104	14.53	3,239,319	13.69	3,181,538	15.92	2,765,727	14.25
VAT on financial services and SSCL	2,138,531	8.50	1,928,778	8.15	2,138,531	10.70	1,928,778	9.94
To expansion and growth								
Retained income	8,446,171	33.58	6,819,180	28.82	4,504,367	22.54	3,767,338	19.41
Depreciation and amortisation	697,150	2.77	626,701	2.65	628,567	3.14	579,523	2.99
To depositors and banks as interest	4,712,460	18.74	6,372,075	26.93	4,758,129	23.81	6,452,630	33.25
	25,152,036	100.00	23,658,863	100.00	19,987,751	100.00	19,404,795	100.00



Consolidated sources and utilisation of income

For the year ended 31st March	Group				Company			
	2025		2024		2025		2024	
	Rs.'000	%	Rs.'000	%	Rs.'000	%	Rs.'000	%
Sources of income								
Interest and operating income	24,523,293	80.78	25,453,365	86.19	18,300,582	88.40	20,237,294	92.85
Net income from financial instruments at FVTPL	609,367	2.01	350,244	1.19	520,228	2.51	242,783	1.11
Other income	1,562,341	5.15	1,065,331	3.61	1,882,143	9.09	1,316,179	6.04
Share of associate companies' profits net of tax	3,664,776	12.07	2,664,448	9.02	-	-	-	-
	30,359,777	100.00	29,533,388	100.00	20,702,953	100.00	21,796,256	100.00
Utilisation of income								
Interest expenses	4,712,460	15.52	6,372,075	21.58	4,758,129	22.98	6,452,630	29.60
Remuneration and other benefits to employees	3,731,556	12.29	3,305,050	11.19	3,298,815	15.93	2,887,703	13.25
Other operating expenses including cost of sales, impairment charge/ (reversal) and other credit losses and depreciation & amortisation	5,904,891	19.45	6,501,226	22.01	1,343,769	6.49	2,970,985	13.63
Taxation	5,792,635	19.08	5,168,097	17.50	5,320,069	25.70	4,694,505	21.54
Dividends to shareholders	1,477,804	4.87	1,023,095	3.46	1,477,804	7.14	1,023,095	4.69
Retained income	8,446,171	27.82	6,819,180	23.09	4,504,367	21.76	3,767,338	17.28
Non-controlling interest	294,260	0.97	344,665	1.17	-	-	-	-
	30,359,777	100.00	29,533,388	100.00	20,702,953	100.00	21,796,256	100.00



FINANCIAL INCLUSIVITY

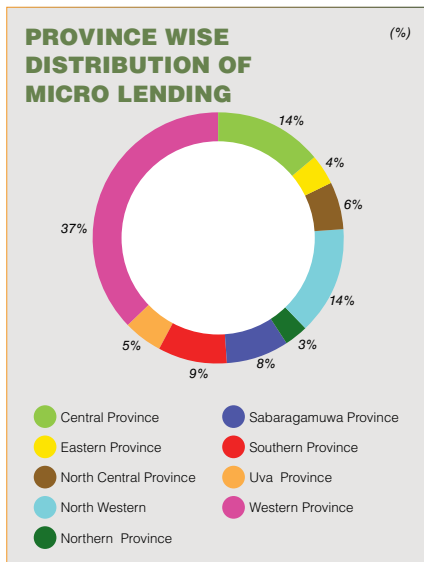
CF recognises financial inclusivity as a fundamental responsibility and remains committed to fostering economic empowerment by supporting corporations, individuals, and small and medium enterprises (SMEs) in building and strengthening their livelihoods. This dedication is reflected in CF's extensive branch network, a highly committed team, and advanced digital channels that ensure accessibility and convenience for a wider population. Demonstrating its strong commitment to financial inclusivity, CF has strategically expanded its reach beyond the Western Province, with 70 out of its 103 branches accounting for 68% of its total branch network located in other regions of the country.

Reinforcing its mission to promote inclusive financial growth, CF has entered into an agreement with the National Credit Guarantee Institution Limited (NCGIL) during the year. This collaboration aims to enhance access to financial resources, particularly for small businesses and entrepreneurs,

Socio Economic Impact

thereby fostering sustainable economic development.

80% of CF's current lending portfolio comprises loans extended to micro enterprises. This significant allocation underscores CF's commitment to fostering economic growth and supporting the financial needs of micro enterprises, which play a vital role in socio-economic development. Further, 20% of its micro lending have been granted to women.



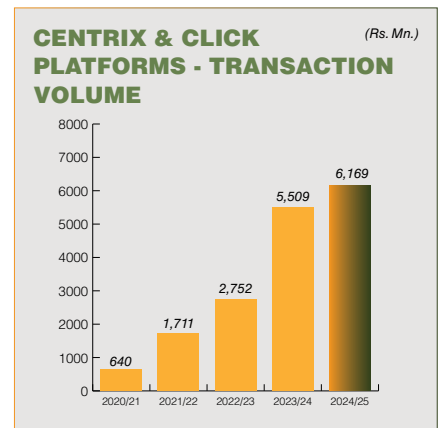
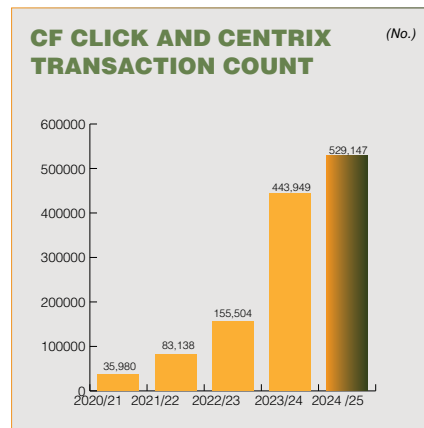
INFRASTRUCTURE DEVELOPMENT AND BUSINESS SOPHISTICATION

Although no new branches were added to the branch network in the current financial year, as part of our ongoing branch improvement programme, six branches were relocated to more accessible locations in keeping with our commitment to enhance customer convenience while prudently managing cost-to-serve through more cost-efficient lease renewal arrangements.

Furthermore, CF remains focused on enhancing digital channels to improve customer convenience. The Centrix App is a cutting-edge FinTech payment application designed to offer seamless, secure, and convenient financial

services. Whether transferring money, paying bills, or purchasing goods and services, Centrix serves as an all-in-one platform that brings financial freedom to users' fingertips. Since its launch in 2022, the transaction volume and value processed through the Centrix App have increased significantly, as illustrated in the graphs below.

The CF Click Mobile App is a Mobile Banking solution offered exclusively for CF customers. The App enables CF customers or account holders to perform fund transfers to any local bank from their CF Savings account, view their transaction history, view their Lease rental history and details, open a fixed deposit, pay utility bills and many other beneficial functions. Apart from the functions enabled for registered users, the app contains a pre-log-in section where potential customers can view current rates, available products, locations of CF branches or even contact the Customer Care team directly.

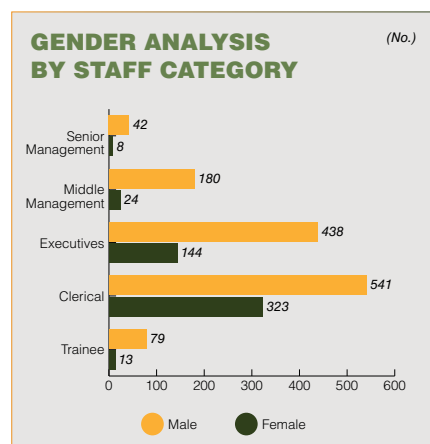


Furthermore, CF continuously enhances its systems and processes, leveraging digitalization to improve transaction speed and accuracy, optimize operational efficiency, ensure environmental sustainability, and enhance customer convenience. This commitment is reflected in our ongoing investments in IT-based infrastructure development.

EMPLOYEE WELLBEING



The Company has provided employment opportunities to 1,792 employees across its island-wide branch network. Female representation accounts for 29% of the total workforce, spanning all staff categories, as illustrated in the chart below.



Additionally, 10% of employees have completed 20 years of service, while 11% have served between 16 and 20 years, demonstrating the strong bond between CF and its employees. CF remains committed to enhancing the capabilities of its workforce by offering training and development opportunities. Furthermore, CF values the internal growth of its loyal employees while also acquiring essential competencies externally.

CF also organises and conducts various training programmes and events for its valued employees to enhance their skills, support their personal and professional development, and strengthen the bond between the organisation and its employees, as well as among the employees themselves.

ENVIRONMENTAL PROTECTION AND COMMUNITY DEVELOPMENT

At CF, we are deeply committed to environmental sustainability, implementing a range of initiatives that underscore our dedication to responsible environmental stewardship.

To reduce our carbon footprint and promote the use of renewable energy,

we have installed solar panels across multiple locations, including our Vauxhall Street office premises, Head Office in Kandy, Fleet Management Yard at Dematagoda, and in the financial year 2024/25, Nugegoda and Maradana branches decreasing our reliance on non-renewable energy sources. Further, we have adopted energy-efficient technologies throughout our facilities to optimize energy consumption and minimize waste.

At our Vauxhall Street office premises, we implemented a rainwater harvesting system that supports our drip irrigation system, conserving water and promoting sustainable landscaping practices.

Our comprehensive waste management strategy includes projects for paper and electronic waste disposal. We have initiated a plastic bottle recycling program at the Vauxhall Street office premises, Head Office in Kandy, and Fleet Management Yard at Dematagoda, in collaboration with Neptune Papers (Pvt) Ltd. This initiative aims to reduce plastic pollution and promote responsible waste disposal practices.

Demonstrating our commitment to environmental conservation, our team members have actively participated in beach cleaning activities, contributing to the preservation of marine ecosystems and raising awareness about the importance of maintaining clean coastal environments.

To further reduce resource utilisation and waste, we have embraced digitalisation and automation across our operations. By transitioning to digital platforms and automated processes, we have significantly decreased paper usage and improved operational efficiency, aligning with our sustainability objectives.

As part of our unwavering commitment to socio-economic development, we actively support initiatives that uplift communities and drive sustainable progress. Our community development projects focus on empowering individuals through education, healthcare, and economic resilience.

One of our key initiatives includes partnering with the International Finance Corporation (IFC) to provide specialised training programs for business owners. These sessions offer valuable insights on business recovery, branding, and financial management, equipping entrepreneurs with the knowledge needed to strengthen and grow their businesses.

Furthermore, during the year CF has invested in and signed a Participation Agreement with the National Credit Guarantee Institution Limited (NCGIL) to promote financial inclusion. Through this initiative, the Company aims to provide loans to micro, small, medium-sized enterprises (MSMEs), women-led small and medium enterprises (WSMEs), and individuals with strong business potential but insufficient collateral to access traditional loan schemes.

Recognizing the transformative power of education, the Sisu Athwela Educational Programme is dedicated to supporting students from rural communities by enhancing access to quality learning opportunities. In addition, we contribute to bridging the digital divide by donating IT equipment to rural schools, fostering digital literacy among children. Further, to support mobility and access to education, we have also donated bicycles to school children in the Jaffna area, ensuring they have reliable transportation for their daily commute.

Our commitment to public health is reflected in our collaboration with the Sri Lanka Cancer Society in the fight against cancer. Through health campaigns, we promote awareness of well-being and encourage proactive lifestyle choices for a healthier future. Furthermore, we provided computers and furniture to De Soysa Hospital for Women to improve their operational efficiency.

Through these initiatives, we reaffirm our dedication to creating a lasting positive impact on society while aligning with sustainable development goals. Our integrated approach ensures that we contribute not only to economic progress but also to environmental sustainability and social well-being.

HISTORICAL MILESTONES

1957

On December 5, 1957, our Founder, Mr. Chandra Wijenaik, laid the foundation for the first finance Company in Kandy, the heart of Sri Lanka's hill country, with just six employees.

1965

Central Finance was authorised to accept public deposits, marking a key milestone. The Company had already earned the trust of the public through outstanding service in vehicle hire purchases, leading to enthusiastic depositor support.

1969

CF made history by becoming the first non-bank financial institution outside Colombo to be listed on the Colombo Stock Exchange after World War II. The public issue of 27,000 shares at Rs. 10.00 each (plus a Rs. 2.50 premium) was fully subscribed.

- CF opened its first Colombo branch on an agency basis, operated by Forbes & Walker Ltd., to broaden its presence in the country's commercial hub.

1980

CF was financing nearly 30% of Sri Lanka's private transport fleet, demonstrating its leadership in the vehicle financing sector.

1981

The Colombo operations were relocated to Dharmapala Mawatha to better serve the growing clientele.

1982

Celebrating 25 Years of Progress

- As of March 31, CF's gross assets stood at Rs. 123.5 Mn, with public deposits exceeding Rs. 90 Mn by October.
- Shareholders' funds reached Rs. 22 Mn, affirming CF's position as a solid and reputable financial institution.
- A new corporate logo was introduced to mark this milestone.

- CF acquired a majority stake in Hotel Dehigama Ltd to relocate its head office to 84, Raja Veediya, Kandy.

- Entered the manufacturing sector by establishing Central Industries PLC to deliver a high-quality PVC pipe facility at Hendala, Wattala under the renowned 'National PVC' brand.

1993/94

Launched Fleet Management Services to complement its vehicle hire business.

1995/96

New Ventures & Recognition

- Formed CF Insurance Brokers Ltd, a fully owned subsidiary.
- Recognised in the BUSINESS TODAY TOP TEN awards for two consecutive years.

1999

Partnered with John Keells Holdings to acquire a 20% stake in Nations Trust Bank

1979

Regulatory Milestone & Colombo Presence

- The Control of Finance Companies Act No. 27 of 1979 was enacted, offering greater protection to depositors and placing non-bank financial institutions under formal regulation.

1983/84

Strategic Growth & Diversification

- Colombo operations moved to a more spacious City Office at 270, Vauxhall Street.

2002/03

- Introduced a self-drive budget vehicle hire scheme.
- Established a Board of Management to enhance operational oversight.



2005/06

- Launched the CENFIN brand, introducing imported and assembled two-wheel tractors and trailers.
- Introduced the customer savings accounts such as CF savings, CF Senior Citizen, CF Super Savings and CF Lama Savings
- Received 'A+(Ika)' rating from Fitch Ratings Lanka Ltd, highlighting its strong financial profile and stability.

2006/07

Vision for the Future - Adopted a formal Vision and Mission Statement to guide strategic direction.

2007/08

Celebrating 50 Years

- Reached the 50-year milestone on December 5.
- Ranked 17th in the LMD Top 50 Awards.

2012/13

Expanding Reach

The branch network grew to 75 locations, enhancing accessibility across the island.

2015/16

Commitment to Education

Launched the Sisu Athwela Programme, supporting the education of gifted children in rural areas.

2018/19

Digital & Financial Growth

- Total assets crossed Rs. 100 Bn.
- Introduced Careka.lk and Park & Go, enhancing digital vehicle-related services.

2019/20

- Branch network surpassed 100 branches, further solidifying CF's national presence.
- Developed and launched the CF Click App

2020/21

Implemented a cloud-based CRM system, offering a 360-degree customer view and improved interaction capabilities.

2021/22

- Achieved a Profit After Tax exceeding Rs. 5 Bn.
- Launched Tukeka.lk, an online marketplace for three-wheelers.
- Introduced the CF Digital Learning Hub and entered into a training partnership with the IFC to support SMEs.

2023/24

- Partnered with LankaPay to enable access to over 1,000 ATMs.
- Deployed real-time performance monitoring dashboards and enhanced data analytics.
- Began aligning with ISO 27001 standards to strengthen information security.

2024/25

- Leveraged data dashboards to identify areas for business expansion.
- Signed a Participation Agreement with the National Credit Guarantee Institution Limited (NCGIL) to support MSMEs and women-led enterprises (WSMEs).
- Partnered with the Sri Lanka Cancer Society to support cancer care initiatives.

2022/23

- Developed and soft-launched the Centrix App.
- Introduced new working capital loan products and special leasing solutions for families of overseas workers.

CUSTOMER CENTRE NETWORK



KANDY - Head Office	COLOMBO - City Office	KATUGASTOTA - Showroom
No. 84, Raja Veediya, Kandy, Sri Lanka. Tel : 94-81-2227000 Fax : 94-81-2232047	No. 270, Vauxhall Street, Colombo 02, Sri Lanka. Tel : 94-11-2300555 Fax : 94-11-2300441, 94-11-2541212	No. 254, Katugastota Road, Kandy. Tel: 94-81-2234309, 94-81-2234234-5 Fax: 94-81-2228468

WESTERN PROVINCE - 32		
Aluthgama No.140,Galle Road, Kaluwamodara, Aluthgama. Tel: 034-2018447	Kaduwela No. 180/12/G, Avissawella Road, Hewagama,Kaduwela. Tel: 011-2070530 , 011-2070531	Negombo No. 367, Main Street, Negombo. Tel: 031-2222579, 031-2233456,
Athurugiriya No. 308, Godagama Road, Athurugiriya. Tel: 011-2074040	Kalutara No. 409, Galle Road,Kalutara South. Tel: 034 2018448	Nittambuwa No. 43, Kandy Road, Nittambuwa. Tel: 033-2296615, 033-2296614
Avissawella No. 1/79, Ratnapura Road, Avissawella. Tel: 036-2232750, 036-2233650, 036-2232950	Kiribathgoda No. 541, New Hunupitiya Road, Dalugama, Kelaniya. Tel: 011-2070620, 011-2070621	Nugegoda No. 312, High Level Road, Colombo 06 Tel: 011-2815800, 011-2815801, 011-2815802,011-2815803, 011-2815804
Bandaragama No. 37/A/6, Horana Road, Bandaragama. Tel: 038-2018200	Kirindiwela No. 68, Veyangoda Road, Kirindiwela. Tel: 033-2018220	Panadura No.587 / 585, Galle Road, Panadura. Tel: 038-2241533, 038-2241270
Divulapitiya No. 96, Colombo Road, Divulapitiya. Tel: 031-2018205	Maharagama No. 132, High Level Road, Maharagama. Tel: 011-2845855	Piliyandala No. 329/4, Colombo Road, Piliyandala. Tel: 011-2609000
Gampaha No.259, Colombo Road, Gampaha. Tel: 033-2234132, 033-2227621	Malabe No. 418, Athurugiriya Road, Malabe. Tel :011-2760893	Rajagiriya No. 41, Rajagiriya Road, Rajagiriya. Tel : 011-2865161, 011- 2865162
Hanwella No.131/1/B, Pahala Hanwella, Hanwella. Tel: 036-2253960	Maradana No. 215, Maradana Road, Colombo 10. Tel: 011-2038000	Ragama No. 61/B, Kadawatha Road,Ragama. Tel: 011-2061120, 011-2061121.
Homagama No.138/1, High level Road, Homagama. Tel: 011-2892334	Matugama No.146, Agalawatta Road (South) Matugama. Tel: 034-2248790, 034 2248795	Ratmalana No. 259/1/1, Galle Road, Ratmalana. Tel: 011-2715617
Horana No.165, Ratnapura Road, Horana. Tel: 034-2265065, 034-2265066	Minuwangoda No.152 A, Colombo Road, Galloluwa Junction, Minuwangoda Tel: 011-2294525	Thalawatugoda No. 688/A, 688/A/1, Madiwela Road, Thalawatugoda. Tel: 011-2774916
Ja-Ela No.173, Negombo Road, Ja-Ela. Tel: 011-2229180, 011-2229181	Mirigama No 2/D,Danowita Road,Mirigama. Tel: 033-2018221	Wattala No. 628, Negombo Road, Mabola, Wattala. Tel: 011-2949890
Padukka 79/1, Horana Road, Padukka. Tel: 011-2830923	Kadawatha No. 579, Kandy Road, Eldeniya, Kadawatha. Tel: 011-2901677	

Customer Centre Network

EASTERN PROVINCE - 7

Ampara

No. 106, Regal Studio, Pandukabhaya Mawatha, Ampara.
Tel : 063-2222238

Dehiattakandiya

No. 18E, New Town Complex, Dehiattakandiya.
Tel : 027-2250189

Kantale

No. 57, Trincomalee Road, Kantale.
Tel: 026-2234447

Batticaloa

No. 570 H, 570 J, 570K, Trincomalee Road, Sinnaurani, Batticaloa.
Tel : 065-2227823, 065-2227824

Kalmunai

No. 263, Batticaloa Road, Kalmunai.
Tel: 067-2226132, 067-2226133

Trincomalee

No. 272, 4th Mile Post, Kandy Road, Trincomalee.
Tel: 026-2242422, 026-2242423

Pottuvil

Roundabout, Main Street, Pottuvil.
Tel : 063-2248080

NORTHERN PROVINCE - 4

Jaffna

No. 364, Main Street, Jaffna.
Tel: 021-2221608, 021-2221942

Killinochchi

No.426,A 9 Road, Killinochchi.
Tel: 021-2280133, 021-2280134

Mannar

No. 513, Pallimunai Road, Uppukulam, Mannar.
Tel: 024-2018200

Vavuniya

No. 166, Station Road, Vavuniya.
Tel: 024-2225814, 024-2227192

SOUTHERN PROVINCE - 8

Akuressa

No. 109 A, Deniyaya Road, Akuressa.
Tel: 041-2284154

Galle

No.16, Old Matara Road, Galle.
Tel: 091-2223315

Tissamaharama

No. 173, Hambantota Road, Kachcheriyagama, Tissamaharama.
Tel: 047-2239145, 047-2239593

Ambalangoda

No. 09, Kularathna Road, Ambalangoda.
Tel: 091-2255802

Hambantota

No. 58, Wilmot Street, Hambantota.
Tel: 047-2222651, 047-2222652

Walasmulla

No. 115A, Beliatta Road, Walasmulla.
Tel: 047-2245007

Elpitiya

No. 113, Ambalangoda Road, Igala, Elpitiya.
Tel: 091-2290570

Matara

No. 78, Kumaratunga Mawatha, Matara.
Tel: 041-2222914, 041-2227314

UVA PROVINCE - 6

Badulla

No. 04, Udayarajah Mawatha, Badulla.
Tel: 055-2230541, 055-2229701

Mahiyanganaya

No. 112, Girandurukotte Road, Mahiyanganaya.
Tel: 055-2258100, 055-2258335

Welimada

No. 8/1/A & 8/1/B, Wattegedara, Divithotawela, Welimada.
Tel: 057-2018201, 057-4926922

Bandarawela

No. 03, Thanthiriya, Badulla Road, Bandarawela.
Tel: 057-2233240, 057-2233241

Moneragala

No. 150 A, Wellawaya Road, Moneragala.
Tel: 055-2277346, 055-2277374

Wellawaya

No. 208, Monaragala Road, Wellawaya.
Tel: 055-2018211



NORTH WESTERN PROVINCE - 16

Alawwa No. 55A, Colombo Road, Alawwa. Tel: 037-2018220	Maho No. 163, Moonamalegama, Maho. Tel: 037-2018221	Puttalam No. 628, Colombo Road, Puttalam. Tel: 032-2269328
Chilaw No. 54, Kurunegala Road, Chilaw Tel: 032-2220636, 032-2221660	Mawatagama 7th Mile Post, Kandy Road, Mawatagama. Tel: 037-2018222	Wariyapola No. 200 "Awasa Watta", Horombuwa Wariyapola. Tel : 037-2018224
Giriulla No. 137/A, Negombo Road, Giriulla. Tel: 026-2018200	Melsiripura No. 227, Dambulla Road, Melsiripura. Tel: 037-2250014, 037-2250013	Wennappuwa No. 262/A, Chilaw Road, Dummaladeniya East, Wennappuwa. Tel: 031-2245260
Hiripitiya No. 51, Wariyapola Road, Hiripitiya, Nikadalupotha Tel: 037-2018225	Narammala No. 40, Kuliyaipitiya Road, Narammala. Tel: 037-2018223	Hettipola No. 242A, Kurunegala Road, Hettipola. Tel: 037-2291428
Kuliyaipitiya No. 107, Kurunegala Road, Kuliyaipitiya. Tel: 037-2283725, 037-2284553	Nikaweratiya No. 200, Puttalam Road, Nikaweratiya. Tel: 037-2260871, 037-2260872	Nattandiya No. 82C, Marawilla Road, Nattandiya. Tel: 032-2250042
Kurunegala No. 38, Mihindu Mawatha, Kurunegala. Tel: 037-2232313, 037-2222200, 037-2228020		

NORTH CENTRAL PROVINCE - 8

Anuradhapura No. 62, Maithreepala Senanayake Mawatha, Anuradhapura. Tel: 025-223560	Hingurakgoda No. 20, Airport Road, Hingurakgoda. Tel: 027-2247214	Polonnaruwa No. 13, Hospital Junction, Polonnaruwa. Tel: 027-2225176, 027-2223589
Aralaganwila No. 14/36, Kolongas Junction, Aralaganwila. Tel: 027-2018260	Kekirawa No. 33, Yakalla Road, Kekirawa Tel: 025-2018200	Thambuttegama No. 146B, Anuradhapura Road, Tambuttegama. Tel: 025-2275151, 025-2276978
Bakamuna No. 11, Elehera Road, Bakamuna. Tel: 066 2018245	Nochchiyagama No. 25C, Puttalam Road, Nochchiyagama. Tel: 025 2018201	

Customer Centre Network

CENTRAL PROVINCE - 10

Dambulla

No. 25E, Kurunegala Road, Dambulla.
Tel: 066-2283021

Hatton

No. 66, Dunbar Road, Hatton.
Tel: 051-2222760

Nuwara Eliya

No. 76, Kandy Road, Nuwara eliya.
Tel: 052-2235433

Digana

No 40, Palkelele Bazzar, Kengalla.
Tel: 081-2018235

Matale

No. 622, Trincomalee Street, Matale.
Tel: 066-2231225, 066-2223005

Pilimathalawa

No.148, Colombo Road, Embilimeegama
Pilimathalawa.
Tel: 081-2018237

Galewela

No. 334/B, Dambulla Road, Galewela.
Tel: 066-2018209

Nawalapitiya

No. 125, Ambagamuwa Road,
Nawalapitiya.
Tel: 054-2018200

Rikillagaskada

No. 21, Rathmetiya Road, Rikillagaskada.
Tel: 081-2018238

Gampola

No.11A, Nawalapitiya Road, Gampola.
Tel: 081-2018236

SABARAGAMUWA PROVINCE - 9

Balangoda

No. 149 E, Barnes Ratwatta Road,
Balangoda.
Tel: 045-2289232

Godakawela

No. 58/A, Rathnapura Road
(South),Godakawela.
Tel: 047-2261923

Rambukkana

No. 73, Kurunegala Road, Rambukkana
Tel: 035-2018201

Embilipitiya

No.200,Rasika Building, Pallegama,
Embilipitiya.
Tel: 047-2261923

Kegalle

No. 311G, Colombo Road, Ranwala,
Kegalle.
Tel: 035-2232956, 035-2221083

Ratnapura

No. 143, Colombo Road, Moragahayata,
Ratnapura
Tel: 045-2231409, 045-2222028

Eheliyagoda

No. 388, Main Street, Eheliyagoda.
Tel. 036-2256380

Mawanella

No. 187, Kandy Road, Mawanella.
Tel: 035-2018200

Warakapola

No. 211 E & 211 F, Colombo Road,
Warakapola.
Tel: 035-2267010, 035-2268941



LEADERSHIP REVIEWS



20

CHAIRMAN'S STATEMENT



It is with great pleasure that I present to you the first-ever Integrated Annual Report published by Central Finance Company PLC for the year ended 31st March 2025. Our chosen theme for this report - “Strengthening Bonds” embodies our steadfast commitment to deepening the relationships that are fundamental to our success.

For the past 67 years, our focus has remained on building trust, fostering innovation, and ensuring that every interaction reinforces the vital bonds that underpin our operations. This report is a testament to the strong connections we nurture with our customers, our employees, our investors, and all our stakeholders. As you explore this report, you will see how our strategic initiatives have translated into measurable progress, reflecting our core values and our commitment to excellence.

MACROECONOMIC OVERVIEW

Since the devastating Easter Sunday attacks in 2019, followed closely by the far-reaching impacts of the COVID-19 pandemic and the severe economic crisis of 2022, Sri Lanka has endured a prolonged period of social and economic upheaval. In contrast, 2024 can be regarded as the year of rejuvenation, as the Country showed clear signs of emerging from the crisis, supported by key structural reforms, improved macroeconomic indicators, and renewed confidence across sectors.

Gross Domestic Product (GDP) grew by 5% in 2024, reflecting a strong rebound from the contraction experienced in prior years, which helped to restore a sense of optimism and provided a firmer foundation for sustainable economic development.

Recovery was broad-based and all key sectors of the economy showed signs of growth. Agriculture grew moderately by 1.2 %, driven by favourable weather

conditions and targeted policy support for smallholder and export-focused farming. Industry posted an impressive 11% growth, the highest since 2017 and was led by strong performances in construction and manufacturing, particularly in textiles and rubber-based products. Meanwhile, the services sector expanded by 2.4%, fuelled by a sharp rebound in tourism-related services and robust growth in the financial and real estate sector, supported by improved business conditions, a low-interest rate environment and increased lending opportunities.

Inflation dynamics were equally encouraging. The Colombo Consumer Price Index recorded a year-on-year decline of 1.7% in December 2024, while the annual average inflation rate fell significantly to 1.2%, compared to 17.4% in 2023 and nearly 70% in 2022. The deceleration in inflation also allowed for greater monetary flexibility, with the Central Bank introducing a new single policy rate, the Overnight Policy Rate set at 8%, a move that was instrumental in streamlining monetary operations and reinforcing ongoing economic stabilisation efforts.

Sri Lanka’s external sector saw a significant recovery in 2024. Export earnings grew by 7%, with textiles and garments showing a notable increase after recording several consecutive years of decline. Imports rose by 12%, reflecting a rebound in domestic consumption and investment. Tourism experienced a strong resurgence, with tourist arrivals surpassing two million for the year, a 38% increase from 2023. Additionally, worker remittances grew by 10%, providing vital support to household incomes and bolstering the balance of payments.

These developments translated into improved foreign exchange reserves, which stood at USD 6.1 Bn by year-end, exceeding the targets set under Sri Lanka’s programme with the International

Monetary Fund. Furthermore, the Sri Lankan rupee appreciated by 9.7 % against the US dollar, driven by strong remittance inflows, rising tourism receipts, and growing confidence in the government’s reform agenda.

NBFI SECTOR PERFORMANCE

The Non-Bank Financial Institutions (NBFI) sector delivered a strong performance in 2024, buoyed by the resurgence in private sector credit appetite amid the country’s broader economic recovery. With institutions swiftly activating credit expansion strategies, the sector’s asset base expanded by 13.9%, reaching Rs. 1,930.7 Bn by end December 2024. Finance leases and vehicle loans continued to anchor the loan portfolio, accounting for 64% of total lending, underscoring the restoration of the sector’s core business model and its alignment with rising consumer demand.

The economic recovery also translated into an improvement in the sector’s asset quality. The Gross Non-Performing Loan (NPL) ratio fell sharply from 18% in 2023 to 11.3% in 2024, indicating a significant reduction in credit risk. A stronger impairment coverage ratio further reinforced the sector’s strengthened risk management practices, even amidst rapid credit growth. The net NPL ratio of 6.6% also showed marked improvement, reflecting both prudent lending and improved borrower resilience.

In yet another positive development, the removal of restrictions on vehicle imports in February 2025 paved the way for the full-scale revival of the sector’s core operating model - vehicle loans and leases, after nearly five years of disruption.

Chairman's Statement

CF DELIVERS STRONG ALL-ROUND PERFORMANCE

The year under review marked a period of exceptional progress for CF. Our loan book expanded by a remarkable 31.86% during the year, a near fourfold acceleration from the previous year's growth of 8.25%, which I believe serves to validate our disciplined and well-calibrated credit expansion strategy aimed at consolidating CF's leadership within the NBFi sector.

As we advanced our credit expansion agenda, we remained equally committed to safeguarding portfolio quality. By March 2025, our gross NPL ratio had reduced sharply to 2.76%, a substantial improvement from 7.05% a year earlier, proving the effectiveness of our proactive and data-led credit risk management. The Company also recorded an impairment allowance reversal of Rs. 1.9 Bn, in stark contrast to the charge of Rs. 162.6 Mn the year before, reflecting both internal rigour and an improved macroeconomic environment.

CF posted record profits for the current year, with profit before income tax and tax on financial services at Rs. 11.24 Bn, reflecting a 19.12 % increase from the previous year. Despite higher taxes, including Rs. 2.08 Bn in taxes on financial services and Rs. 3.18 Bn in income tax, CF recorded an after-tax profit of Rs. 5.98 Bn, up from Rs. 4.79 Bn.

Our funding mix remained stable and efficient, with customer deposits forming the core. Meanwhile, the deposit base declined to Rs. 42.12 Bn as of March 2025, down from Rs. 44.2 Bn, reflecting a strategic decision to optimise liquidity.

We maintained a strong liquidity buffer well above regulatory requirements by strategically reallocating excess funds from government securities to high-performing lending opportunities as credit demand grew. As at 31st March 2025, CF's liquid assets were

Rs. 11.13 Bn, comfortably surpassing the regulatory requirement of Rs. 4.27 Bn.

CF continued to prove its capital strength, backed by strong capital adequacy ratios significantly exceeding regulatory thresholds. Our Risk-Weighted Total Capital Ratio was 47.05%, and our Core Capital Ratio was 44.79% as at 31st March 2025, both well above regulatory requirements.

GOVERNANCE AND STEWARDSHIP

The Board of Directors of Central Finance Company PLC have continued to maintain the highest standards of Corporate Governance, in compliance with the Code of Best Practice on Corporate Governance jointly issued by The Institute of Chartered Accountants of Sri Lanka, the Securities and Exchange Commission of Sri Lanka, the listing rules issued by Colombo Stock Exchange and Directions issued by Central Bank of Sri Lanka.

Reflecting its commitment to adhere to governance best practices, the Board reviewed the new listing rules on Corporate Governance issued by the Colombo Stock Exchange in 2024, with appropriate steps taken to ensure compliance, with strong emphasis on early adoption ahead of the stipulated timelines.

Further, all existing Board Sub-Committees were reconstituted to reflect the revised CSE governance rules and provisions of the Finance Business Act Direction No. 5 of 2021 - Corporate Governance issued by the Central Bank of Sri Lanka, which came into effect fully from 1st July 2024.

BOARD CHANGES

A dynamic Board has always been one of CF's defining strengths. We have always seen each refresh as an opportunity to inject fresh thinking, deepen expertise, and elevate governance standards, ultimately driving long-term value creation for all stakeholders. Equally importantly,

compliance remains a fundamental principle that dictates our approach to Board refreshment efforts.

In line with these approaches, Mr. Eranjith Wijenaike retired as Managing Director/Chief Executive Officer effective 30th June 2024 and was re-appointed as a Non-Independent Non-Executive Director with effect from 1st July 2024, in accordance with Section 3.5(b) of the Finance Business Act Direction No. 5 of 2021 on Corporate Governance for Non-Bank Financial Institutions, issued by the Central Bank of Sri Lanka.

Mr. Arjuna Gunaratne assumed the role of Managing Director/Chief Executive Officer effective 1st July 2024, as part of the Company's structured succession plan, while Mr. Prasanna de Silva was appointed Deputy Managing Director on the same date.

Meanwhile to ensure full compliance with Section 3.5(a) of the Finance Business Act Direction No. 5 of 2021 on Corporate Governance for Non-Bank Financial Institutions, issued by the Central Bank of Sri Lanka, Mr. Chaminda Hettiarachchi stepped down from his position on the Board as of 30th June 2024 and was re-designated as Director Legal (Non-Board) from 1st July 2024.

Further strengthening the Board's independence and expertise, Mr. Mahen De Saram was appointed as an Independent Non-Executive Director with effect from 1st July 2024.

In accordance with Section 4.2 of the Finance Business Act Direction No. 5 of 2021 on Corporate Governance, Mr. A.D.B. Talwatte retired as Chairman of the Board effective 30th April 2025. Dr. (Mrs.) A.D.N. de Zoysa is scheduled to retire from the Board with effect from 30th May 2025 to ensure continued compliance with the same regulatory provision.

We welcome Ms. Subhashini Munasinghe and Dr. (Ms.) N.K. Arunatilake as



Independent Non-Executive Directors of the Board, effective 1st May 2025 and 1st June 2025 respectively, further strengthening our governance framework and Board diversity.

The Board extends its deepest gratitude to the outgoing directors for their invaluable service and commitment, and warmly welcomes the new appointees whose insights and experience will be vital as we chart CF's onward journey.

THE ROAD AHEAD

As Sri Lanka enters a phase of macroeconomic stabilisation and early recovery, the outlook for 2025 and beyond offers cautious optimism. Easing inflation, lower interest rates, and improving investor sentiment are expected to support consumption and business activity, translating into stronger demand for credit across the economy. These are all positive signals that bode well for the future of the entire NBFi sector.

Additionally, the recent relaxation of vehicle import restrictions will prove vital in reviving the sector's core lending operations in the coming months. However, full growth potential remains constrained by structural limitations, most notably the 50% loan-to-value (LTV) cap on new vehicle financing, which continues to remain in place. This regulation curtails the affordability of vehicle ownership for many consumers and could prompt a migration of business away from the NBFi sector to informal channels or other providers. That said, it is imperative that policymakers revisit the LTV framework, ensuring it reflects both current economic realities and the capacity of regulated finance companies to manage risk responsibly.

Equally concerning is the recent increase in stamp duty on leasing products, an imposition applied solely to the leasing sector, which has long been instrumental in extending credit to individuals and small enterprises excluded from the formal banking sector. The additional stamp duty not only undermines the

competitiveness of leasing products but disproportionately affects the affordability for lower-income groups and micro-enterprises, threatening the financial reach of the sector.

CF remains committed to engaging constructively with regulators and policymakers to address these barriers and advocate for reforms that will create a level playing field across financial products, which will be critical for sustaining sector-wide competitiveness, expanding financial inclusion, and supporting inclusive economic growth across all segments of society.

For our part, our capital strength, operational resilience, and a proven legacy of responsible lending provide the backbone to fuel the next phase of growth for our customers and our nation in the coming years.

ACKNOWLEDGEMENTS

In keeping with the spirit of this inaugural Integrated Annual Report and our theme, "Strengthening Bonds," I would like to express my heartfelt gratitude to all our stakeholders.

To our valued employees, your dedication, integrity, and tireless efforts have been nothing short of inspiring. You are the lifeblood of this organisation, and it is your commitment that drives our progress and helps us deliver on our promises, year after year.

Our customers remain our greatest source of inspiration. Your continued loyalty and trust, even during the most challenging times, speak volumes about the strength of our relationship. We are grateful for the opportunity to be your financial partner, offering stability, understanding, and support when it's needed most.

To our shareholders and depositors, thank you for the trust you have placed in us. Your confidence in our stewardship, particularly in navigating an increasingly complex operating environment, motivates us to uphold

the highest standards of transparency, risk management, and long-term value creation.

I would like to take this opportunity to extend my appreciation on behalf of the Board and Management to Mr. Asite Talwatte for his exemplary leadership, steadfast commitment, and invaluable contributions to the Company. Over a tenure spanning more than eight years including over four years as Chairman, Mr. Talwatte has been instrumental in shaping the Company's strategic direction and enhancing its governance framework. His leadership has significantly strengthened the Company's resilience and agility, positioning it well to meet future challenges and seize emerging opportunities.

I also wish to extend my sincere appreciation to my fellow members of the Board for their counsel, oversight, and shared commitment to excellence. My thanks also go to the management team for steering the Company forward in alignment with our strategic priorities, with the steadfast support of our talented workforce.

A special word of thanks to the Governor of the Central Bank of Sri Lanka and the officials of the Department of Supervision of Non-Bank Financial Institutions for their steady guidance and timely regulatory reforms.

For CF, the road ahead is full of promise and potential. As we embark on a new chapter, we do so with renewed energy and a clear sense of purpose to strengthen the bonds that have brought us this far and look forward to the journey ahead, with you by our side.



A.R. Fernando
Chairman

Colombo,
28th May 2025

24

MANAGING DIRECTOR'S REVIEW



The year under review was one of resilience and renewal for CF. It was a year that tested our discipline, while the ability to adapt swiftly and execute decisively fuelled strong progress across all core business verticals.

SRI LANKA'S ECONOMIC REBOUND

The past year marked a significant turning point for the Sri Lankan economy. The Country recorded robust GDP growth of 5%. Inflation, once a crippling burden, was effectively brought under control, while the Central Bank of Sri Lanka (CBSL) strategically lowered interest rates to stimulate credit flows and fuel broader economic expansion. Business confidence increased following the conclusion of two peaceful elections during the year, with the new government undertaking to continue with reform commitments culminating in the successful completion of the debt restructuring process in December 2024. This, along with clear communication from policymakers about the path forward, provided a much-needed boost that restored market and consumer confidence and provided businesses with greater clarity on how the Country would navigate upcoming challenges and seize emerging opportunities.

Well-managed inflation expectations, alongside the CBSL's accommodative monetary policy stance that saw interest rates declining to mid-single-digit levels, influenced both consumers and businesses to borrow, invest, and expand. Buoyed by these positive indicators, we witnessed a revival in credit demand, as businesses across all sectors regained momentum.

The broader performance of the Non-Bank Financial Institutions (NBFI) sector echoed this macro turnaround, as evidenced by improvements in industry-wide asset quality and strong asset growth. The asset base of the NBFI sector grew to Rs. 1,930.7 Bn in 2024, denoting a growth of 13.9%, a substantial

improvement from the 5.7% recorded at the end of 2023. Asset growth in 2024 was attributed mainly to the expansion in the loans and advances portfolio. The finance lease and vehicle loan portfolios made up 64% of the sector's credit portfolio and recorded a growth of 18.7%. Loans secured by gold comprised 19.8% of the credit portfolio and recorded a significant increase of 30.4%. Debt and other financial instruments measured at amortised cost contracted by 39.9% in 2024 due to the decrease in investments in government securities. Reflecting enhanced macroeconomic stability, the credit quality of the NBFI sector also improved notably, with the NPL ratio dropping to 11.3% in December 2024 from 18.0% in December 2023.

As of December 31, 2024, the sector's liquid assets amounted to Rs. 220.9 Bn, surpassing the stipulated minimum requirement of Rs. 115.8 Bn. Although the core capital and total capital ratios slightly declined to 20.4% and 21.2%, respectively, at the end of 2024, they remained well above the regulatory thresholds. Furthermore, the sector's profitability indicated a substantial increase of 20.9%, rising from Rs. 49.4 Bn in 2023 to Rs. 59.7 Bn in 2024, primarily driven by enhanced net interest income.

In yet another positive development for the NBFI sector, the restrictions on vehicle import that had been in place for the past five years since the onset of the COVID-19 pandemic in 2020 were lifted in February 2025. The resumption of vehicle imports will act as a powerful catalyst in reigniting the NBFI sector's core leasing business. Which had been weighed down by multiple challenges over the past several years.

CF'S STRATEGY AND FOCUS

For us at CF, these macroeconomic developments provided a valuable insight into how we should reorient our business strategy to leverage the growing credit

appetite and improvements in customer debt-servicing capacity. We observed these positive trends unfolding across all our key markets, giving us the clarity to plan our funding requirements effectively and sharpen our focus on our primary funding segments, while also identifying opportunities to diversify into broader areas where we could meaningfully scale up our presence. The backdrop of economic recovery thus provided not only the confidence but also the strategic direction needed to position CF for sustained growth and resilience, particularly given the evolving profile and strengthening fundamentals of our core customer markets.

PERFORMANCE OF CORE BUSINESS SEGMENTS

Credit and Lending

Keen to take advantage of the emerging credit appetite in the market, we initiated an aggressive credit expansion drive. However, mindful of minimising CF's exposure to volatile asset classes, we reassessed these categories with a forward view on future collection risks, and significantly tightened screening criteria where needed. Likewise, following the lifting of restrictions on vehicle imports, new asset quality parameters were introduced to prioritise risk-adjusted credit portfolio growth.

Our credit expansion efforts gained real momentum toward the end of the year, led by branch-driven initiatives designed to achieve our ambitious 26% portfolio expansion target. I am very pleased to report that CF surpassed its annual loan book expansion target for the year, with total annual granting volumes rising to Rs. 49.67 Bn by the year-end, marking a solid 35% increase. Driven by strong volume-led growth across both leasing and loan portfolios, CF's overall credit portfolio grew by Rs. 13.67 Bn during the year. As of 31st March 2025, the gross credit portfolio stood at Rs. 69.40 Bn, denoting a 24.5% increase compared to

the Rs. 55.73 Bn which was recorded at the close of the previous financial year.

Meanwhile, our strategy to focus on and nurture repeat business from existing customers with strong repayment track records also proved to be highly effective, as it allowed us to grow the portfolio while maintaining tighter control over credit risk.

We continued to utilise data analytics to identify areas of economic potential and streamline processes for more efficient credit decision-making. By employing data-driven credit risk profiling for customers and collaterals, along with maintaining conservative loan-to-value ratios, we further improved the overall credit quality of the portfolio.

Asset Quality

From an asset quality perspective, we took proactive steps to sharpen our recovery efforts and reinforce credit portfolio resilience. Recognising the pressures still facing several customer segments, we rolled out data-driven solutions to track overdue contracts in real time with special emphasis on the portfolio of more than 90 days past due (DPD) and to identify customers with early signs of financial stress.

These targeted approaches delivered clear results, driving our NPL ratio down to 2.76% by the end of March 2025, a significant improvement from 7.05% a year before, which I believe stands as a clear testament to the strength of our asset quality management programme.

Savings and Term Deposits

In response to successive CBSL policy rate cuts in 2024, we took a deliberate approach to deposit mobilisation, strictly aligning our activities with CF's treasury needs. Rather than pursuing aggressive growth, we opted instead to consolidate the existing deposit base by focusing on deepening customer relationships to reduce attrition, which I am convinced

was directly responsible for CF's strong term deposit renewal ratio of 85%, despite the lower appeal of deposits in a low-interest rate environment.

Meanwhile, consistent with the CF treasury funding strategy to optimise the excess liquidity, CF's total deposit portfolio reduced by 4.7% to Rs. 42.12 Bn by the end of March 2025 from Rs. 44.2 Bn at the end of the previous financial year.

At the same time, leveraging CF's reputation together with enhanced accessibility of our mobile platforms, CF Click and Centrix, we intensified efforts to grow our savings base, which translated into a 5.1% increase in the savings base to Rs. 1.26 Bn as at 31st March 2025.

Vehicle Hire

Despite continued challenges from import restrictions and market pressures, CF's Vehicle Hire business stayed resilient by sharpening its focus on priority customer segments, strengthening existing relationships, and pursuing strategic opportunities to diversify its offering. These efforts enabled the unit to sustain momentum and successfully achieve its revenue target for the year.

Financial Results

CF delivered a resilient performance in the FY 2024/25, achieving a total income of Rs. 20.70 Bn and core credit operations driving growth through strategic portfolio expansion. Net interest income remained stable at Rs. 12.06 Bn, reflecting a marginal decline of 4.19% owing to the declining interest rate environment, which impacted returns on treasury investments and new credit grants.

The Company reported Rs. 16.82 Bn in interest income, of which Rs. 13.79 Bn was on account of credit operations. Conversely, the return on treasury investments dropped significantly to Rs. 3.03 Bn, owing to the strategic shift

of funds towards credit expansion and downward repricing of investments. The effective strategies in managing funding costs and competitive repricing of customer deposits in line with market interest rates led to a 26.26% reduction in interest expenses.

Net income from financial instruments at FVTPL experienced substantial growth due to fair value gains on quoted equity shares and investments in equity unit trust funds, as the equity market showed remarkable resilience and growth in 2024. This performance was positively influenced by political stability following the elections, macroeconomic reforms under the IMF program, debt restructuring, the country's credit ratings upgrade, low interest rates, and exchange rate stability.

The most significant achievement in the year under review, by far, was the improvement in asset quality, as reflected by the decline in the gross NPL ratio from 7.05% in the previous year to 2.76% in the FY 2024/25, proving the effectiveness of our robust collection strategies and prudent credit risk management approach. The Company early adopted Section 4.3.1 (i) of Finance Business Act Direction No. 1 of 2020 - Classification & Measurement of Credit Facilities, on reclassification of non-performing loans to performing loans only if the principal and interest in arrears are fully paid. Despite the strict criteria in re-classification of NPLs to PLs, our data-driven credit management strategies saw CF's NPL ratio reducing to 2.76% compared to the industry average of 11.3% as of December 2024.

In view of the substantial decline in non-performing loans, an impairment reversal amounting to Rs. 1.9 Bn was recognised in the current year. This, I believe, stands as a testament to the prudent, provisioning approaches adopted by CF in response to weak macro-economic conditions experienced over the past few years.



Operating expenses rose, pushing the cost-to-income ratio up to 41.44% due to cadre expansion and cost escalation in general costs. However, the emphasis on efficiency and disciplined cost control helped to alleviate the pressure on the bottom line.

Profit before income tax and tax on financial services rose by 19.12% to Rs. 11.24 Bn, with profit after tax reaching Rs. 5.98 Bn.

Liquidity remained strong at Rs. 11.13 Bn, well above the minimum regulatory requirement, while strategic reallocation of funds supported lending growth. The Company's Capital Adequacy Ratio stood at 44.79%, well above the regulatory requirement of 14%, reinforcing the financial stability of the Company.

CREDIT RATINGS

Fitch Ratings upgraded CF's National Long-Term Rating to 'A(lka)' from 'A-(lka)'; Outlook Stable on 24th January 2025 pursuant to recalibration of Sri Lankan National Rating scale to reflect changes in relative creditworthiness among the country's issuers following the upgrade of Sri Lanka's Long-Term Local-Currency Issuer Default Rating (IDR) to 'CCC+' from 'CCC-'.

The latest rating upgrade places CF as the highest-rated standalone FLCs under Fitch's Sri Lankan coverage.

DIVIDENDS

The Board, in keeping with its commitment to enhance the share value, paid an interim cash dividend of Rs. 2.75 per share and has proposed a final cash dividend of Rs. 3.75 per share for approval by the shareholders at the Annual General Meeting (AGM) to be held on 30th June 2025.

CONSOLIDATED FINANCIAL RESULTS

Consolidated profits of the CF Group increased to Rs. 10.22 Bn compared to Rs. 8.19 Bn in the previous year due to strong performance by our associate company, Nations Trust Bank PLC, reporting a profit after tax of Rs. 16.8 Bn for the year ended 31st December 2024.

The salient features of the financial statements of Subsidiaries and Associates are summarised below,

NATIONS TRUST BANK PLC

NTB Group achieved a profit after tax of Rs. 16.8 Bn, marking a 46.5% increase compared to 2023 despite sluggish credit expansion and prolonged market uncertainty in 2024. This growth was primarily driven by effective cost management, strategic investments, and prudent lending practices.

The Bank effectively managed the asset quality, resulting in a Stage 3 Loan ratio of 1.60% as of 31st December 2024, down from 2.34% at the end of 2023, which is a testament to focused asset quality monitoring. NTB Group recorded an impairment reversal of Rs. 3.2 Bn in 2024, compared to an impairment charge of Rs. 7.5 Bn in 2023 while Stage 3 impairment cover ratio increased to 60.55% by year-end, from 55.30% in 2023.

The NTB Group's asset base increased by 6%, reaching Rs. 545.58 Bn by the end of 2024. This growth was primarily driven by loan expansion and increased investments in financial assets. Notably, the Group maintained strong capital and liquidity management practices, as reflected in an overall Capital Adequacy Ratio of 22.7% and the Group's consolidated Liquidity Coverage Ratio of 320.56% at the end of 2024, both significantly exceeding the statutory minimum requirements.

NTB Group's strong financial performance led to a 46.5% increase in Earnings Per Share, rising to Rs. 50.82 from Rs. 34.69 in 2023. Additionally, favourable market conditions and robust performance contributed to an increase in the share price from Rs. 107.50 to Rs. 186.50. The Net Asset Value per Share also grew by 27.4%, reaching Rs. 243.65.

CENTRAL INDUSTRIES PLC

Central Industries PLC (CIL) achieved significant revenue growth in the financial year 2024/25, recording Rs. 5.31 Bn, a 22.9% increase from the previous year's Rs. 4.32 Bn. This growth was driven by strategic initiatives in the retail and construction contractor segments.

To expand market share and to enhance brand visibility, CIL promotional campaigns carried out boosted the revenue but reduced the gross profit margin. The profit before tax for the year under review decreased to Rs. 770 Mn from Rs. 909 Mn, mainly due to a lower reversal of impairment, which was attributed to improved collections from long outstanding debtors in the previous year. The rising operational costs and wages also impacted profitability.

Despite controlling expenses effectively, finance costs rose by 87.3% due to short-term loans obtained to support operational expansion, and finance income declined by 32.4% due to lower market interest rates on debt instruments.

Consequently, profit after tax fell to Rs. 548 Mn from Rs. 650 Mn. However, the Company's total asset base grew by 7.87%, reaching Rs. 5,063 Mn as of 31 March 2025.

CF INSURANCE BROKERS (PVT) LIMITED (CFIB)

CF Insurance Brokers (CFIB) concluded the financial year with a profit after tax of Rs. 378.1 Mn, marking a 14.2% increase from Rs. 331.07 Mn in the previous year.

The growth in business volumes at Central Finance Company PLC, the primary revenue driver for CFIB, had a positive impact on CFIB's performance. CFIB's total commission revenue for the year amounted to Rs. 283.72 Mn, marking a notable growth of 16.63% compared to Rs. 243.27 Mn in the previous year.

Interest income from the debt securities investment portfolio was Rs. 233.02 Mn, slightly down from Rs. 263.77 Mn due to lower market interest rates. Gains from investments in unit trust rose by 15.63% to Rs. 45.19 Mn. CFIB also realised a gain of Rs. 15.29 Mn from the disposal of equity investments, up from Rs. 4.14 Mn. Dividend income from the equity portfolio increased by 24.76% to Rs. 80.08 Mn, compared to Rs. 64.18 Mn in the previous year.

ENHANCING DIGITAL ARCHITECTURE

The year marked a significant acceleration in CF's digital strategy, as we pushed ahead with aggressive digitalisation and automation-led process improvements aimed at productivity enhancement and cost optimisation.

Aware that an agile and high-functioning technology backbone is vital for a large financial institution such as CF, we made substantial investments in reengineering our IT infrastructure, with particular focus on strengthening the Company's Disaster Recovery capabilities to ensure business continuity and resilience.

Another key milestone was the adoption of the ITIL (Information Technology Infrastructure Library) framework, a globally recognised set of best practices

enabling us to operate with greater efficiency, optimise IT assets, and improve service delivery. This has directly translated into better system accessibility, higher responsiveness, and an enhanced customer experience.

Complementing these advancements, we made investments in IT security to fully comply with the Central Bank of Sri Lanka's (CBSL) IT security frameworks.

Similarly, we made excellent progress in our process automation programme, rolling out a suite of data-driven platforms and real-time dashboards that empowered our teams to proactively manage key accounts, strengthen collections, and deliver targeted customer support. I am pleased to note that these efforts played a key role in driving the dramatic reduction in our NPL ratio.

BUILDING A HIGH-PERFORMANCE TEAM

As a service organisation, CF fully recognises that its people are the engine driving the Company's success, and this year, we took some definite steps to boost our performance across every level.

We have strengthened our capabilities to support our ambitious credit expansion plans. Beyond formal rewards, we made it a point to celebrate the right values, recognising three standout employees each month for their exemplary commitment, ensuring our culture of excellence is visible and appreciated throughout the year.

Simultaneously, we continued leveraging the Development Centre model to systematically identify and groom mid-level leaders. Recognising that future leaders emerge at every level, we introduced a new entry-level leadership pipeline this year, where high-potential young employees, identified through department head recommendations,

were placed under the stewardship of experienced mentors to accelerate their development, ensuring a reliable and resilient leadership bench for CF's future requirements.

SUSTAINABILITY TRANSITION

The year under review marks a turning point in CF's sustainability transition, where environmental and social responsibility are no longer considered ad-hoc initiatives but are embedded into the heart of our business strategy.

This year, we commenced the installation of Rs. 18 Mn worth of rooftop solar systems across CF's branch network, with a total generation capacity of 80 kw. Between April 2024 and March 2025, these systems generated 260 MWh of clean electricity, reducing CO₂ emissions by 175 metric tons.

We also further deepened our commitment to the socioeconomic empowerment of communities. CF signed a Participation Agreement with the National Credit Guarantee Institution Limited (NCGIL), gaining access to a special credit line to promote financial inclusion among MSMEs and Women-led businesses (WSMEs). CF also partnered with the International Finance Corporation (IFC) to deliver financial literacy sessions to inculcate greater financial discipline for small and medium business owners, through which we successfully reached 284 participants, including 74 women entrepreneurs.

In parallel, we expanded our sustainability efforts on society, collaborating with the Sri Lanka Cancer Society (SLCS) and signed an MOU to support their commitment to fighting against cancer by donating Rs 500/- per credit contract inception since December 2024. Our broader social upliftment projects gathered momentum with Rs. 15 Mn channelled towards improving education, health, and community well-being.



SLFRS S1 & S2 IMPLEMENTATION

As part of our ongoing commitment to sustainability, CF is aligning itself with the requirements of SLFRS S1 and S2. Taking a structured approach to identify, assess, manage, and disclose climate-related risks and opportunities in order to embed sustainability considerations into our core decision-making and long-term strategic planning. In anticipation of full compliance with SLFRS S1 and S2 by the 2025/26 reporting cycle, we are enhancing our governance structures, improving the robustness of our data collection capabilities, and developing a climate-related risk assessment model. These efforts will support the delivery of transparent, reliable, and decision-useful climate-related financial disclosures to our stakeholders.

AWARDS AND ACCOLADES

Central Finance Company PLC was ranked 25th in the Business Today Top 40 - 2023-2024, which honours the incredible resilience, adaptability, and leadership in navigating the challenging economic landscape of 2023/24.

The Company was also ranked in 59th place by the leading business magazine LMD in their LMD 100 ranking.

FUTURE OUTLOOK

Looking ahead, it is obvious that global uncertainty will continue to shape Sri Lanka's economic landscape over the next 12 to 18 months, with geopolitical tensions and shifting global trade dynamics perceived to be credible risks.

However, for Sri Lanka, the formal signing of the Country's debt sustainability agreement, secured access to IMF-EFF facilities, and the sustained progress on critical macroeconomic reforms together provide a far stronger and more stable platform for the Country to pursue growth despite these global headwinds.

Against this backdrop, CF's strategic focus is clear: we will pursue controlled, quality-driven credit expansion. With key domestic sectors, including tourism, agriculture, and MSMEs expected to register strong recoveries, we are determined to strengthen our operational capacity and deepen our market reach to explore opportunities to grow captive market share in these sectors.

At the same time, we will remain vigilant about broader global developments and their influence on the Sri Lankan economy. Our intention is to monitor these dynamics, assess their potential impact, and swiftly recalibrate our strategies as needed to protect and sustain our growth trajectory.

APPRECIATIONS

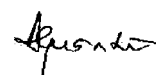
I take this opportunity to express my heartfelt gratitude to the Board of Directors for their guidance, strategic insight, and unwavering support, which have been instrumental in steering the Company's vision.

I would like to take this opportunity to acknowledge the invaluable and longstanding contributions made by Mr. Eranjith Wijenaik, Managing Director. His leadership, guidance, and dedication over the past 41 years, including 28 years as Managing Director, have been instrumental to our success.

On behalf of the Board, I wish to extend my deepest appreciation to the entire CF team, who continue to be the engine propelling the Company forward.

I would also like to acknowledge and thank the officials of the Central Bank of Sri Lanka and the Department of Supervision of Non-Bank Financial Institutions for their excellent support in helping the Company and the wider industry maintain stability. My appreciation further extends to our External Auditor, KPMG, for their valuable input and the timely, diligent completion of the audit process.

To our loyal customers, depositors, suppliers, partners, and shareholders, thank you for your continued confidence and trust in us. We remain deeply committed to delivering on your expectations, and together, we look forward to strengthening the bonds that drive our collective success.



A.K. Gunaratne
Managing Director/Chief Executive Officer

Colombo,
28th May 2025

BOARD OF DIRECTORS



Left to Right

**Mr. A.D.B. Talwatte, Mr. K. B. Herath, Mr. E. H. Wijenaike, Mr. M. H. de Silva,
Mr. A. K. Gunaratne - Chief Executive Officer / Managing Director**

Mr.A.D.B.Talwatte retired from the Board of Directors on 30th April 2025.





Left to Right

**Dr. (Mrs.) A.D.N. de Zoysa, Mr. C.K. Hettiarachchi, Mr. D. P. de Silva - Deputy Managing Director,
Ms. A.R.L Gurusinghe - Company Secretary, Mr. M. S. De Saram, Mr. A.R. Fernando - Chairman**

Ms. Subhashini Munasinghe and Dr. (Ms.) N.K. Arunatilake have been appointed as Independent Non-Executive Directors of the Board, effective 1st May 2025 and 1st June 2025 respectively.

Board of Directors

ARJUN RISHYA FERNANDO

Non-Independent Non-Executive Chairman

(With effect from 1st May 2025)

Arjun Rishya Fernando is appointed the Chairman of the Board of Directors of Central Finance Company PLC from 1st May 2025. He has been a member of the Board since 16th August 2017. Arjun Fernando possesses over 41 years of experience in banking and financial services, both locally and overseas, at senior positions, including directorships at large banking institutions.

He holds a B.Sc. in Engineering from Southern Illinois University, USA and an M.Sc. in Management from Clemson University, USA. He is also an Associate of the Institute of Financial Studies (Chartered Institute of Bankers), U.K.

He currently serves as a Director of Nations Trust Bank PLC, NDB Capital Holdings Limited, NDB Securities (Private) Limited, NDB Zephyr Partners Limited and Durdans Medical & Surgical Hospital (Private) Limited. He has served as the Chief Executive Officer of DFCC Bank PLC, Chairman of DFCC Consulting (Pvt) Limited, Lanka Industrial Estate Limited, Synapsys Limited, Acuity Partners (Pvt) Limited and a director of Acuity Stockbrokers (Pvt) Limited. He has also served as Chairman of the Association of Development Financing Institutions in Asia and the Pacific (ADFIAP) and the World Federation of Development Finance Institutions and as the DFCC Bank's Nominee Director on the Boards of Credit Information Bureau of Sri Lanka and the Sri Lanka Banks' Association.

ARJUNA KAPILA GUNARATNE

Executive Director - Managing Director/ CEO with effect from 1st July 2024/

Deputy Managing Director until 30th June 2024

Arjuna Gunaratne is appointed as the Managing Director / CEO of Central Finance Company PLC since 1st July 2024. He served as the Deputy Managing Director / Deputy CEO since 1st July 2020 and has been serving as Executive Director since 20th February 2002. He is a Fellow of the Institute of Chartered Accountants of Sri Lanka and

the Chartered Institute of Management Accountants of the UK. He is also a Chartered Global Management Accountant. He functioned as a Director of Nations Trust Bank PLC from May 2005 to October 2012, and as the Chairman of the Bank from November 2012 to April 2014 and serves as a Non-Executive Director of Tea Smallholder Factories PLC, Central Industries PLC and several other unquoted companies within the Group. He is a Council Member in the Finance Houses Association of Sri Lanka and presently serves as the Chairman.

DHAMMIKA PRASANNA DE SILVA

Executive Director - Deputy Managing Director/Deputy CEO with effect from 1st July 2024/ Chief Operating Officer until 30th June 2024

Prasanna de Silva is the Deputy Managing Director of Central Finance Company PLC since 1st July 2024. He served as Chief Operating Officer since 1st July 2020 and has been an Executive Director since 1st July 2011. He oversees the functions of credit, recoveries, branches, vehicle hire, vehicle sales and corporate social responsibility of the Company. He served as the chairman of the Leasing Association of Sri Lanka from 2007 – 2009 and a Director of Nations Trust Bank PLC. He is a Fellow of the Chartered Institute of Management Accountants -UK and has completed all examinations of the Chartered Financial Analyst (CFA) programme.

ASITE DRUPATH BANDARA TALWATTE

Independent Non-Executive Chairman (Retired with effect from 30th April 2025)

Asite Talwatte, an Independent Non-Executive Director of the Board of Central Finance Company PLC since 30th June 2016, served as the Chairman of the Company from 1st July 2020 to 30th April 2025. He is a fellow member of the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and the Chartered Institute of Management Accountants of the United Kingdom. He has a Postgraduate Diploma in Business and Financial Administration awarded by the CA Sri Lanka and the University of Wageningen, Holland and an MBA from the University of Sri Jayewardenapura, Sri Lanka. He has also participated in a Kellogg Executive

Programme at the Kellogg Graduate School of Management, Northwestern University in Evanston, Illinois. He has worked with Ernst & Young for over 37 years, during which period he functioned as the Country Managing Partner for over a decade. He has worked with Ernst & Young's Far East Area Executive Committee, the Area Advisory Council and served on the ASEAN Leadership Committee.

He has served as a former President of the Institute of Chartered Accountants of Sri Lanka (2002/2003) and the Chartered Institute of Management Accountants, Sri Lanka (1995/1996) and has also served as the Chairman of the Statutory Accounting Standards Committee, the Auditing Standards Committee, the Urgent Issues Task Force and the Examination Committee of the Institute of Chartered Accountants of Sri Lanka. Mr. Talwatte has been closely associated with the development of Corporate Governance in Sri Lanka. He was actively involved in the development of the Code of Best Practice on Corporate Governance of 2013 of CA Sri Lanka. In 2012, Mr. Talwatte co-chaired a Committee on Corporate Governance jointly set up by the CA Sri Lanka and the Securities and Exchange Commission of Sri Lanka to review and revise the Code of Best Practice on Corporate Governance 2013. He chaired the Committee set up by the Institute of Chartered Accountants of Sri Lanka to review and revise the Code of Corporate Governance issued in 2017. He also represented CA Sri Lanka and chaired the Integrated Reporting Council of Sri Lanka for several years. He served as the Chairman of the Corporate Governance Committee of CA Sri Lanka (2022/23), which published the revised Code of Best Practice 2023.

He is currently functioning as the Chairman of Management Systems (Pvt) Ltd and serves on the Board of several other companies, including Diesel and Motor Engineering PLC, Tokyo Cement Company Lanka PLC, CT Holdings PLC, Ceylon Hospitals PLC and Cargills (Ceylon) PLC.

He had previously served as a director of Sunshine Holdings PLC, Chevron Lubricants Lanka PLC, People's Bank and SME Bank.



ERANJITH HARINDRA WIJENAIKE

Non-Independent Non-Executive Director with effect from 1st July 2024/ Managing Director until 30th June 2024

Eranjith Wijenaike was appointed as a Non-Independent Non-Executive Director to the Board of Directors of Central Finance Company PLC from 1st July 2024. He also serves as a Non-Executive Director of Central Industries PLC and Non-Executive Chairman of Equity Two PLC and Equity One Ltd. He served as the Managing Director/CEO of the Company from 01st April 1996 to 30th June 2024. He served as a Non-Executive Director of Tea Smallholder Factories PLC. He served as a founder Director of Nations Trust Bank PLC from January 1999 to October 2008 and as the Deputy Chairman of the Bank from November 2008 to December 2011. He holds a Bachelor's Degree in Commerce and a Postgraduate Diploma in Banking and Financial Management.

DR. (MRS.) AGAMPUDI DAMITHA NANDANIE DE ZOYSA

Independent Non-Executive Director (Will retire with effect from 30th May 2025)

Dr. (Mrs.) de Zoysa has been a member of the Board of Central Finance Company PLC since 15th February 2017. She was the Secretary to the Ministry of Plantation Industries from 2014 to 2015, the Secretary to the Ministry of Productivity Promotion from 2013 to 2014, the Secretary to the Ministry of Fisheries and Aquatic Resources Development from 2010 to 2013, the Director General of the Department of Development Finance of the Ministry of Finance and Planning & the Treasury from 2006 to 2010 and the Director General of the Department of Fiscal Policy of the Ministry of Finance and Planning & the Treasury from 2005 to 2006. She joined the Ministry of Finance and Planning in 1979 as a Planning Officer with a career spanning over 31 years, reaching the Director General position. Dr. (Ms) de Zoysa is a Special Grade officer in the Sri Lanka Planning Service.

Dr. (Mrs.) de Zoysa holds a B.A (Hons.) Degree in Economics (Statistics) from the University of Peradeniya, M.Sc. Degree in Agricultural Development Economics

from the Australian National University, Canberra, Australia, M.A. Degree in Economics from the Ohio State University, Columbus, Ohio, USA and Ph.D. Degree in Agricultural Economics from the Ohio State University, Columbus, Ohio, USA.

Dr (Mrs.) de Zoysa currently serves as an Independent Non-Executive Director of AgStar PLC, a member on the Public Service Commission, a Member on the Board of Studies of the Post Graduate Institute of Management and has served as a Director of DFCC Bank PLC, Lankaputhra Development Bank and Sri Lanka Savings Bank. She also served as a consultant to the Port City Colombo (Pvt) Ltd, administered by the China Harbour Engineering Company (CHEC) from June 2015 to January 2020.

CHANDIKA KUSHAN HETTIARACHCHI
Executive Director

Chandika Kushan Hettiarachchi is the Director Marketing of Central Finance Company PLC and has been a member of the Board since 17th July 2018. Chandika joined Central Finance in November 2000 as Manager (Credit) and held several senior managerial positions prior to his appointment as an Executive Director.

He is an Associate Member of the Chartered Institute of Management Accountants of UK (ACMA), Chartered Global Management Accountant (CGMA) and holds a Master of Business Administration Degree from the University of Wales, UK.

Chandika Hettiarachchi counts over 24 years of experience in the Non-Banking Financial Services sector, which includes over 21 years at Central Finance Company PLC. He has carried out many assignments as a consultant to numerous International Development Agencies, including the International Finance Corporation (IFC). He serves as the Chairman of Allied Properties Ltd. and Waldock Mackenzie Ltd, a Non-Executive Director of Nations Trust Bank PLC, CF Insurance Brokers (Pvt), Ltd, CF Growth Fund Ltd, Central Transport & Travels Ltd. and served as a board member of Leasing Association of Sri Lanka from 2017 to 2019.

KUDA BANDA HERATH

Independent Non-Executive Director

Kuda Herath has been a member of the Board of Central Finance Company PLC since 16th February 2019. He holds a bachelor's degree in applied chemistry from the University of Kingston, London. He currently serves as an Independent Non-Executive Director of First Capital Holdings PLC. He served as an Executive Director of A. Baur & Co. (Pvt) Ltd for a period of 8 years, during which period he was instrumental in establishing a consumer vertical for the Company.

He joined Sunshine Holdings (Pvt) Ltd in April 2020 as the Chief Operating Officer of their Consumer business, primarily to expand their consumer footprint via mergers & acquisitions. After a successful acquisition and a post-merger integration initiative, he moved out of Sunshine Holdings in June 2022.

Kuda Herath possesses over 30 years of experience in the fast-moving consumer goods industry, having held middle management positions in the areas of sales and marketing at Nestle Lanka PLC previously.

As a member of the Environmental Cell of the Ceylon Chamber of Commerce from 1996 to 2001, he was part of both Governmental and Non-governmental initiatives in assessing and formalising plans to minimise adverse impacts to the environment from Industry.

MANJULA HIRANYA DE SILVA

Independent Non-Executive Director / Senior Director with effect from 1st May 2025

Manjula de Silva has been a member of the Board of Central Finance Company PLC since 01st July 2020. He was appointed as the Senior Director with effect from 01st May 2025.

He holds a BA Hons (First Class) degree in Economics from the University of Colombo and an MBA from London Business School, UK. He is also an FCMA (UK) and a CGMA. Further, he has pursued executive education at INSEAD Business School, France and Harvard Business School, USA.

Board of Directors

He currently serves as the Senior Independent Director and Chairman – Audit Committee of BPPL Holdings PLC, a Commission Member of the Tertiary and Vocational Education Commission (TVEC) and a Director of the Gamini Corea Foundation. He was the immediate past Secretary General and CEO of the Ceylon Chamber of Commerce. Prior to that, he served as Chairman of the state-owned National Insurance Trust Fund (NITF) from 2015 to 2019. He also served as a Commission Member of the Securities and Exchange Commission (SEC) of Sri Lanka during 2018 - 19 and as a Consultant to the Ministry of Public Enterprise Development during 2017 - 18. Prior to 2015, he served as the Managing Director of HNB Assurance PLC for 9 years and as its CEO for 2 more years. He has also held leadership positions as General Manager, Eagle NDB Fund Management Company Ltd (currently NDB Wealth Management), General Manager – Corporate Lines and Human Resources, Eagle Insurance Co. Ltd (currently AIA Insurance) and Director General, Public Enterprises Reform Commission (PERC).

In his capacity as Chairman – NITF, he served on the Governing Council of Asian Reinsurance Corporation based in Bangkok, representing the Government of Sri Lanka. He also served as the Chairman of CIMA (Chartered Institute of Management Accountants) Sri Lanka Board in 2016 and was subsequently appointed to its Regional Board for the MESANA (Middle East, South Asia and North Africa) Region. He was a Committee Member of the Ceylon Chamber of Commerce for a long period of time and has served as the Chairman of its Steering Committee on Insurance. He chairs the Public Sector Reform Committee of the Chamber at present. He is a Past President of both the Insurance Association of Sri Lanka (IASL) and the Unit Trust Association of Sri Lanka (UTASL).

MAHEN SENANI DE SARAM

Independent Non-Executive Director with effect from 1st July 2024

Mahen De Saram was appointed to the Board of Directors of Central Finance Company on 1st July 2024. He is currently the Group Finance Director of the CBL Group of Companies and he is a Director of CBL Investments Limited, which is the ultimate parent entity of the CBL Group of Companies.

Mahen De Saram has over 30 years of experience in the corporate sector. Over 15 years of his experience was gained internationally, with the majority being gained within the corporate environment of Australia. Commencing his career at Ernst & Young Chartered Accountants Sri Lanka, he later joined the multinational British American Tobacco Group where, over his 16 years of service, he held numerous Senior Finance positions in BAT's businesses in Sri Lanka, Vietnam, Papua New Guinea and Australia. Immediately prior to joining the CBL Group, he functioned as the Group Chief Financial Officer of an Australian group of companies engaged in construction, property development and property management based in Sydney, Australia. With a rich exposure to diverse business environments and practices, Mahen De Saram is an experienced corporate leader and possesses expertise in general business management, finance, corporate governance and digital transformation.

He is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka (ICASL), a member of the Chartered Institute of Management Accountants (CIMA) UK, a member of Certified Practising Accountants (CPA) Australia and holds a MBA from the Post Graduate Institute of Management (PIM) University of Sri Jayawardenepura.

SUBHASHINI HARSHI MUNASINGHE

Independent Non-Executive Director with effect from 1st May 2025

Ms. S.H. Munasinghe was appointed to the Board of Directors of Central Finance Company PLC on 01st May 2025. She is a finance professional with over 16 years of experience that includes more than 10 years within leadership roles setting strategic direction, monitoring risk, diving into financial reporting compliance and managing overall operations.

Ms. S.H. Munasinghe presently serves as an Independent Non-Executive Director on the board of directors of Bogawanthalawa Tea Estates PLC, where she functions as the Chairperson of the Board Audit Committee and the Related Party Transactions Review Committee. She was also a Council Member, advising on risk management and internal controls at the University of Kelaniya until February 2025. She had previously been the Chief Executive Officer of the Sri Lanka Institute of Directors and a Director within the Audit and Assurance practice at Pricewaterhouse Coopers, Sri Lanka. Her experience includes working at Deloitte's London Office in the UK for almost 5 years.

Ms. S.H. Munasinghe is an Associate Member of the Institute of Chartered Accountants of England and Wales (ICAEW) as well as the Institute of Chartered Accountants in Sri Lanka (ICASL) and she holds a BSc (Hons) in Economics and Accounting from the University of Bristol in the UK.



CORPORATE MANAGEMENT

C.S. HETTIARACHCHI

Attorney-at-Law, LLB (University of Colombo,)
MBA (PIM - University of Sri Jayewardenapura)
Director - Legal (Non Board)

K.O.V.S.M.S. WIJESINGHE

FCA (Sri Lanka), FCMA (UK)
Chief Strategy Officer

A.K. KALUHENDIWELA

MBA - (University of Wolverhampton - UK)
General Manager - Branches

R.E.S. GEORGE

Chartered MCIPM (CIPM), MBA (ICFAI University - Dehradun - India), Diploma in Banking and Finance (IBSL)
General Manager - Human Resources

MS. W.M.T.W. WEERASINGHE

ACA (Sri Lanka), BSc Accounting (University of Sri Jayewardenepura)
General Manager - Finance/Chief Financial Officer

L.L.D. PRASANGA

BSc Agricultural Technology & Management (University of Peradeniya), MBA (University of Wolverhampton - UK)
General Manager - Recoveries

M.S. HABARAKADA

BSc Physical Science (University of Peradeniya), PgD in IT (University of Moratuwa)
General Manager - Information Technology

G.A. BANDARANAYAKE

Deputy General Manager - Head Office

MS. P.M. LIYANAGE

ACA (Sri Lanka), BSc - Finance (University of Sri Jayewardenepura)
Deputy General Manager - Internal Audit

MS. A.R.L. GURUSINGHE

Attorney-at- Law, LLB- (University of Portsmouth-UK)
Company Secretary

T.R. TILLEKERATNE

MBA (Open University of Sri Lanka), Bachelor of Science - Corporate Finance (Northern Kentucky University, USA)
Head of Compliance

MS. S.L.P. FERNANDO

MBA (PIM - University of Sri Jayewardenepura), B.SC - Business Administration (University of Sri Jayewardenepura), FCA (Sri Lanka), ACMA & CGMA (UK)
Chief Risk Officer

R. JAYASINGHE

MSc. in Information Technology (Specialising in Cyber Security) – SLIIT, Postgraduate Diploma in Information Technology (Specialising in Cyber Security) - SLIIT, BSc. (Hons) in Management Information Systems - University College Dublin – Ireland
Chief Information Security Officer

OPERATING ENVIRONMENT

SRI LANKA'S ECONOMIC PERFORMANCE IN 2024

Sri Lanka witnessed a strong economic rebound in 2024, marking a notable shift from the prolonged contraction experienced in prior years. For the first nine months of the year, the economy expanded by 5.2%, significantly outpacing the Central Bank's initial forecast of 3%, while concluding the year with an annual real GDP growth rate of 5% the highest in seven years.

This revival was underpinned by robust performances across several key sectors. The industrial sector experienced a resurgence due to improved energy availability, renewed investor confidence, and a pick-up in domestic demand. Simultaneously, the tourism industry saw a resurgence, buoyed by enhanced political stability, improved infrastructure, and targeted global marketing campaigns that positioned Sri Lanka as a safe and desirable destination. The services sector, particularly information technology and business process outsourcing, also demonstrated strong growth, supported by favourable exchange rate movements and sustained global demand for digital and remote services.

The successful implementation of a USD 2.9 Bn Extended Fund Facility programme with the International Monetary Fund (IMF) since March 2023, played a crucial role in supporting the recovery. The programme included structural reforms to enhance fiscal discipline, strengthen public financial management, and stabilise the financial sector. In December 2024, Sri Lanka completed a historic external debt restructuring agreement with creditors, which also helped to restore market confidence.

INFLATION TRENDS

Inflationary pressures, which had severely impacted the economy in recent years, showed a drastic decline in 2024.

From a peak of 69.8% in 2022, inflation steadily decelerated throughout 2023 and reached a low of 0.5% by August 2024. By December, the economy experienced a mild deflation of -1.7%, indicating a notable easing in consumer price pressures.

This sharp reduction in inflation was driven by a combination of stable exchange rates, improved supply chains, monetary tightening by the Central Bank, and the softening of global commodity prices. The easing inflationary environment restored some level of purchasing power for consumers, reduced input costs for businesses, and provided a more conducive environment for investment and economic expansion.

INTEREST RATES

In 2024, the Central Bank of Sri Lanka (CBSL) undertook significant reforms to its monetary policy framework, transitioning from a dual policy rate system to a single policy interest rate mechanism. Effective 27 November 2024, the CBSL introduced the Overnight Policy Rate (OPR) set at 8.00%, replacing the previous Standing Deposit Facility Rate (SDFR) and Standing Lending Facility Rate (SLFR). This shift aimed to enhance the clarity and effectiveness of monetary policy communication and transmission under the Flexible Inflation Targeting (FIT) framework.

The adoption of the OPR facilitated a more streamlined approach to signalling the CBSL's monetary policy stance, contributing to improved market predictability and investor confidence.

EXCHANGE RATE DEVELOPMENTS

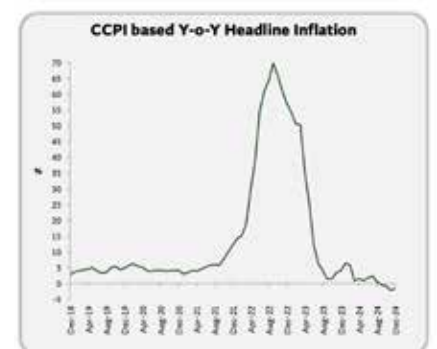
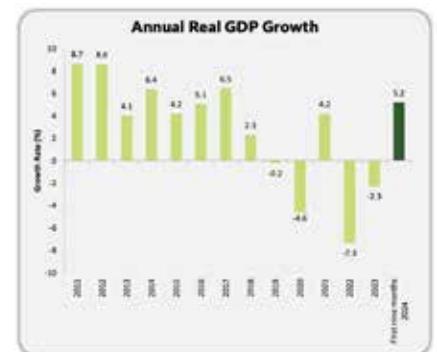
The Sri Lankan rupee recorded a steady appreciation in 2024, largely driven by improved macroeconomic fundamentals and stronger foreign currency inflows. Foreign exchange reserves rose to USD 6.5 Bn by March 2025, supported by enhanced earnings from tourism, robust

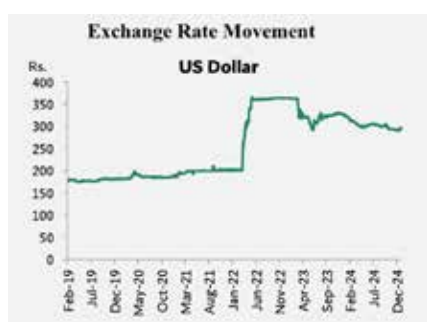
worker remittances, and renewed investor interest.

Additionally, the CBSL's decision to introduce the 8% OPR in November 2024 helped simplify monetary policy transmission and reinforced investor confidence, in turn contributing to greater exchange rate stability and improving rate predictability for trade and investment decisions.

BALANCE OF TRADE

Sri Lanka's trade deficit narrowed considerably in 2024 compared to the previous year, reflecting a favourable shift in external sector dynamics. Export earnings increased on the back of global economic recovery and the competitive boost from a more stable exchange rate. Key export categories, including tea, spices, and IT-enabled services, reported improved performance.





On the import side, expenditures remained moderate due to the continued enforcement of restrictions on vehicle imports and a drop in global prices of key commodities such as oil and food. Together, these factors contributed to an improved trade balance and reduced external vulnerabilities.

OUTLOOK FOR THE SRI LANKAN ECONOMY IN 2025

The outlook for Sri Lanka's economy in 2025 is one of cautious optimism, underpinned by a gradual return to macroeconomic stability, structural reforms, and improving investor sentiment. The CBSL's GDP growth projection is set at 3%+, a moderate but meaningful expansion that builds upon the robust recovery momentum observed in 2024. This trajectory is expected to be bolstered by disciplined fiscal consolidation, steady progress in public infrastructure development, and the ongoing implementation of policy reforms under the IMF programme.

The Government's renewed focus on improving the ease of doing business, coupled with targeted measures to attract foreign direct investment (FDI), particularly in priority sectors such as renewable energy, tourism, port and

logistics services, agri-business, and digital technologies, is likely to stimulate private sector participation and generate employment. In parallel, the banking and financial services sector is anticipated to benefit from a more stable interest rate environment and improved asset quality, enabling better credit flows to productive segments of the economy.

In addition, improving global travel trends and Sri Lanka's relatively stable political climate are expected to drive tourism earnings upward, while the continued implementation of digital governance and public sector reforms may improve overall economic efficiency and transparency.

However, the outlook is not without risks. Global interest rate volatility, potential spillovers from geopolitical conflicts, and volatility in commodity prices could dampen external demand and affect trade flows. Of particular concern is the rising wave of protectionist trade policies, including recent tariff impositions by the United States, which could undermine Sri Lanka's export competitiveness, especially in key sectors such as apparel and rubber-based products.

To mitigate these risks, the country will need to maintain reform momentum, diversify its export base, and strengthen bilateral and regional trade partnerships. Continued engagement with multilateral agencies, sound macroeconomic management, and prudent debt monitoring will be critical to building resilience and fostering inclusive, sustainable growth in the year ahead.

NBFI SECTOR PERFORMANCE

The performance of the NBFI sector in 2024 reflects greater stability, underpinned by improved credit quality and enhanced profitability, as well as strong liquidity and capital position amidst a recovering economic environment.

ASSET BASE

The asset base of the NBFI sector recorded strong growth in 2024, increasing by Rs. 235.2 Bn to reach Rs. 1,930.7 Bn, reflecting a growth of 13.9%, a notable improvement compared to the 5.7% growth seen in 2023. The expansion was primarily driven by a significant increase in the loans and advances portfolio, which rose by 22.8%, effectively reversing the 2.6% contraction recorded in the previous year. Net loans and advances represented 74.1% of total assets. The portfolio was predominantly made up of finance leases and vehicle loans, which accounted for 64.0% of the total and grew by 18.7%. Loans secured by gold formed 19.8% of the portfolio and recorded even stronger growth of 30.4%.

ASSET QUALITY / NON-PERFORMING LOANS (NPLS)

The sector's asset quality showed notable improvement in 2024. Gross NPL ratio declined sharply to 11.3% from 18.0% in 2023. Correspondingly, the Impairment Coverage Ratio improved to 41.9% from 32.6%, and the Net NPL ratio fell to 6.6% from 12.1%, indicating strengthened credit risk management and better loan performance.

PROFITABILITY

Profitability of the NBFI sector improved significantly, with Profit After Tax (PAT) increasing by 20.9% to Rs. 59.7 Bn in 2024, up from Rs. 49.4 Bn in 2023. This was primarily driven by a 24.3% increase in net interest income, which rose to Rs. 191.8 Bn. Non-interest income saw a marginal rise of 1.4%, totalling Rs. 33.8 Bn. Key profitability indicators improved, with Return on Assets (ROA) rising to 6.1% and Return on Equity (ROE) to 13.5%, compared to 5.2% and 12.7% respectively in the previous year. Operational efficiency also improved, reflected in a decline in the efficiency ratio from 52.8% to 50.8%.

Operating Environment

LIQUIDITY

The NBFI sector maintained a strong liquidity position throughout 2024. Total regulatory liquid assets reached Rs. 220.9 Bn, well above the minimum required level of Rs. 115.8 Bn. This resulted in a liquidity surplus of Rs. 105.1 Bn, though this was lower than the previous year's surplus of Rs. 151.5 Bn. Customer deposits continued to serve as the primary source of funding, making up 54.7% of total liabilities. Equity contributed 24.3%, while borrowings accounted for 15.8%. Deposits grew by Rs. 121.4 Bn during the year, marking a 13.0% increase and bringing the total to Rs. 1,056.4 Bn. Borrowings also rose significantly, increasing by Rs. 40.5 Bn or 15.3%, to reach Rs. 305.4 Bn.

CAPITAL ADEQUACY

The capital base strengthened in 2024, increasing by 8.6% to Rs. 357.4 Bn. Except for two Finance Companies, all entities met the minimum core capital and capital adequacy requirements. The Core Capital Ratio and Total Capital Ratio stood at 20.4% and 21.2%, respectively, slightly lower than 21.1% and 22.3% in 2023 but still well above the regulatory minimum, underscoring the sector's resilience and capital strength.

NBFI SECTOR OUTLOOK FOR 2025

The outlook for the NBFI sector remains positive. The asset base is expected to grow, driven by expanding credit demand, particularly in finance leases, vehicle loans, and secured lending such as gold-backed loans.

Sustained improvement in asset quality is also quite likely, supported by enhanced credit risk management practices and continued efforts to reduce non-performing loans. However, vigilance is required as potential external shocks and sector-specific challenges could impact loan performance.

NBFI sector Profitability is projected to strengthen, underpinned by rising interest income in a relatively stable interest rate environment, along with potential diversification of income sources, while operational efficiencies and cost management initiatives will play a key role in maintaining healthy profit margins.

Source: Annual Economic Review 2024 - CBSL

KPI	NBFI Sector	CF**
Asset Base (Rs.)	1,930.7 Bn	105 Bn
Gross NPL	11.3%	2.76%
PAT (Rs.)	59.7 Bn	5.98 Bn
ROE	13.5%	11.34%
ROA	6.1%	5.81%
CAR - Core Capital (Tier 1)	20.4%	47.05%
CAR - Total Capital (Tier 2)	21.2%	44.79%

**As at 31 March 2025.



STAKEHOLDER ENGAGEMENT

With 67 years of experience in the financial services industry, we at Central Finance understand that meaningful stakeholder engagement is vital to achieving our strategic aspirations. We view stakeholder engagement not only as a responsibility but also as a source of inspiration for innovation and strategic evolution. Through ongoing dialogue, we seek to gain a clear understanding of their needs, expectations, and concerns, insights that are instrumental in shaping our responses to material issues and aligning our actions with stakeholder priorities. By fostering open channels of communication, we aim to create long-term value.

STAKEHOLDER ENGAGEMENT APPROACH

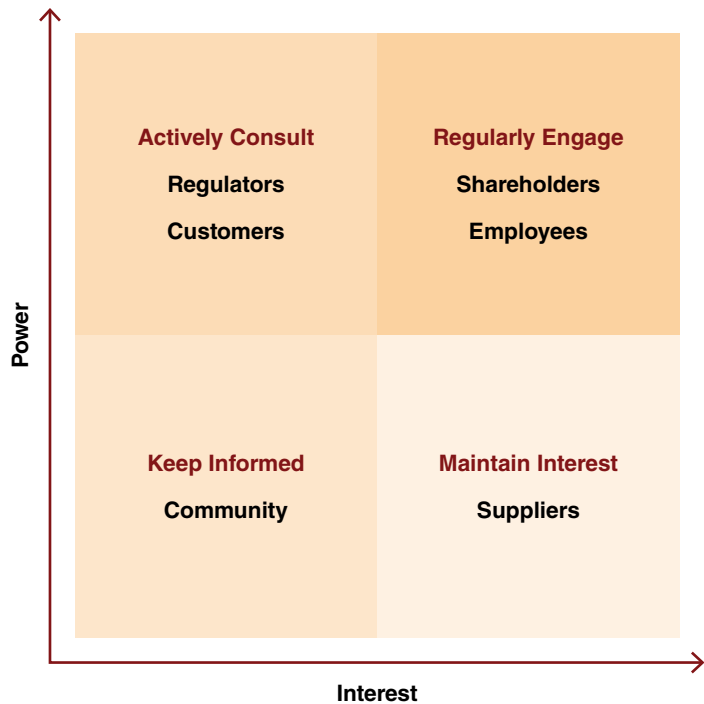
CF's commitment is based on open communication to maintain transparent, consistent, and respectful communication with all stakeholder groups in order to build trust and strengthen our social license to operate.

Our structured approach to managing stakeholder interactions begins with comprehensive stakeholder mapping to identify key stakeholders based on their

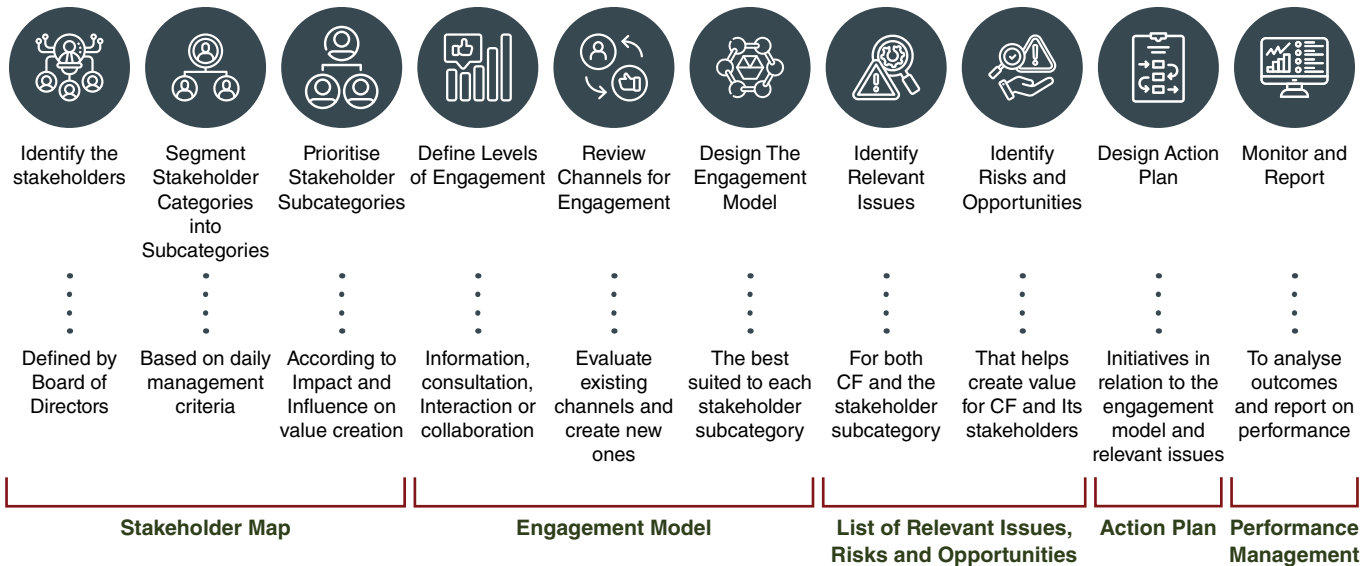
influence and interest in our operations across different business units. Once identified, stakeholders are further scrutinised via the power/ interest grid to tailor our engagement strategies accordingly.

CF's Board of Directors provides oversight for the stakeholder engagement process, while all employees are expected to participate in stakeholder engagement activities relevant to their day-to-day work.

THE POWER/INTEREST GRID



STAKEHOLDER ENGAGEMENT MODEL



Stakeholder Engagement

Shareholders		
Method and Frequency of Engagement	● Annual General Meeting ● Annual Report ● Extraordinary General Meetings (as needed) ● Interim Financial Statements (quarterly) ● CSE Announcements (as needed)	● Press Conferences / Press Releases (as needed) ● Corporate Website (continuous and ongoing) ● Social media platforms (continuous and ongoing)
Shareholder Concerns and Expectations	● Financial stability and Capital position ● Gearing exposure ● Risk management practices, corporate governance frameworks ● Stable returns and consistent dividend payout	● Share price ● Transparency and accountability ● Ethical business practices ● Disclosure and access to information
Identified Material Topics	● Financial Stability & Growth ● Brand Visibility and Market reach ● Trust & Transparency	● Business process transformation/data analytics / operational excellence ● Cybersecurity & Customer Data Protection ● Environmental Advocacy
CF's response	We strive to maintain strong financial performance, manage risk prudently, and operate with the highest standards of ethical governance. We believe in being transparent and accountable through timely, consistent communication.	
Value Created in 2024/25	● Dividend Payout Ratio - 24.70% (2023/24 - 21.36%) ● Company NAVPS - Rs. 242.82 (2023/24- Rs. 221.32) ● Earnings per Share (EPS) - Rs. 43.65 (2023/24- Rs. 34.49) ● Dividend per Share (DPS) - Rs. 6.50 (2023/24- Rs. 4.50)	
SDG's	  	
Further Information	● Financial Capital ● Intellectual Capital	

Customers		
Method and Frequency of Engagement	● Marketing Teams / Branch Managers / Relationship Managers/ Regional Managers (continuous and ongoing) ● Call Centre (continuous and ongoing) ● Promotional Activities (continuous and ongoing) ● Press Conferences / Press Releases (as needed) ● Corporate Website (continuous and ongoing)	● Social Media Platforms (continuous and ongoing) ● Customer Surveys (as needed) ● Complaint Handling Framework (as needed) ● Customer visits (continuous and ongoing)



Customers		
Customer Concerns and Expectations	● Access to flexible, affordable and customised financing solutions ● Island-wide reach ● Brand credibility ● Quick turnaround times	● Superior customer service ● Digital convenience and security ● Financial literacy ● Data privacy
Identified Material Topics	● Financial Stability & Growth ● Brand Visibility and Market reach ● Customer Experience ● Digital Transformation ● Trust & Transparency	● Business process transformation/data analytics / operational excellence ● Cybersecurity & Customer Data Protection ● Financial Inclusion ● Environmental Advocacy
CF's response	Providing financial solutions that are accessible, relevant, and tailored to their unique preferences. We continuously invest in technology and customer care training to ensure every interaction is efficient, respectful, and value-driven. Ultimately, we strive to deliver convenience, transparency, security and excellence in service.	
Value Created in 2024/25	● Rs. 6.2 Bn in Digital transaction volumes (Rs. 5.5 Bn - 2023/24) ● 85 % Deposit retention ratio (85 % - 2023/24) ● 57% Repeat Business ratio (Credit) ● ZERO incidents of data privacy breaches	
SDG's		
Further Information	● Social and Relationship Capital ● Manufactured Capital ● Intellectual Capital	
Employees		
Method and Frequency of Engagement	● Sales Briefings / Team Meetings (continuous and ongoing) ● Management Meetings (as scheduled) ● Performance Appraisals (bi-annual) ● Internal Communications (continuous and ongoing)	● Intranet (continuous and ongoing) ● Training Activities (continuous and ongoing) ● Awards Ceremonies (as scheduled) ● Other employee engagement events (as scheduled)
Employee Concerns and Expectations	● Equal opportunity and non-discriminatory employment ● Competitive remuneration and benefits ● Access to competency training and skill development	● Career development opportunities ● Rewards and recognition ● Safety and well-being

Stakeholder Engagement

Employees		
Identified Material Topics	● Financial Stability & Growth ● Brand Visibility and Market Reach ● Digital Transformation	● Business process transformation/data analytics / operational excellence ● Employee Engagement and Development ● Safety and Wellbeing
CF's response	Recognising that our employees are our greatest asset, we aim to create a supportive, inclusive, and empowering work environment where our people can thrive both personally and professionally. From fair and competitive remuneration to continuous learning and career development opportunities, we ensure that our team is equipped with the tools and encouragement they need to grow. We also prioritise their well-being through a strong focus on health, safety, and work-life balance. Moreover, by fostering a culture of respect, collaboration, and recognition, we want to build a motivated and high-performing workforce aligned with our long-term vision.	
Value Created in 2024/25	● Comprehensive compensation benefits - Rs.3.3 Bn (Rs. 2.9 Bn - 2023/24) ● 308 employees promoted (223 - 2023/24) ● 4,192 hours of training ● Retention of key talent	
SDG's	4 QUALITY EDUCATION 5 GENDER EQUALITY 8 DECENT WORK AND ECONOMIC GROWTH 10 REDUCED INEQUALITIES	
Further Information	● Human Capital	
Regulators		
Method and Frequency of Engagement	● Directives and circulars (continuous and ongoing) ● CBSL inspections (as mandated) ● Interim Financials (quarterly) ● Annual Report (annual)	● CSE / SEC filings (as mandated) ● Other regulatory submissions (as mandated) ● Other meetings (as mandated)
Regulator Concerns and Expectations	● Compliance with the Corporate Governance rules issued by the CSE and CBSL ● Regulatory compliance and mandatory return filings	● AML / CFT Compliance ● Ethical and Transparent business practices ● Timely payment of applicable taxes ● Customer Data Protection
Identified Material Topics	● Financial Stability & Growth ● Brand Visibility and Market reach ● Digital Transformation ● Trust & Transparency	● Cybersecurity & Customer Data Protection ● Financial inclusion ● Environmental Advocacy



Regulators	
CF's response	In line with the broader goal of contributing to a stable and well-functioning financial system, CF maintains a zero-tolerance approach to non-compliance with regulatory requirements. We prioritise transparent reporting and timely compliance with all mandatory requirements. Regular compliance audits are conducted to verify the efficacy of our internal control and reporting frameworks in achieving compliance objectives. We also engage proactively with all regulatory bodies to understand evolving regulations and achieve early adoption of new developments.
Value Created in 2024/25	- Rs. 5.3 Bn paid as taxes (Rs. 4.7 Bn - 2023/24) - Ensured regulatory compliance - Investment in IT for data protection
SDG's	     
Further Information	- Financial Capital - Intellectual Capital
Suppliers	
Method and Frequency of Engagement	- Supplier Selection process (as needed) - Meetings (as needed)
Supplier Concerns and Expectations	- Credit Terms - Timely Payments - Future growth opportunities
Identified Material Topics	- Financial Stability & Growth - Trust & Transparency - Business process transformation/data analytics / operational excellence
CF's response	CF adopts a purpose-driven approach to supplier management by aligning its procurement practices with the Company's strategic objectives. This involves identifying key supplier needs that support CF's operational goals, ensuring long-term sustainability, and fostering mutually beneficial partnerships.
Value Created in 2024/25	- Timely payment to suppliers - Foster healthy and trustworthy partnerships with suppliers - Continuous formation of new supplier relationships
SDG's	  
Further Information	- Financial Capital - Social and Relationship Capital

Stakeholder Engagement

Community		
Method and Frequency of Engagement	● Press Conferences / Press Releases ● Corporate Website ● Social Media Platforms ● Annual Report ● CSR initiatives	
Community Concerns and Expectations	● Opportunities to access financial assistance to minimise inequalities caused by the economic crisis ● Continued support for vulnerable communities ● Expectation of high standards of conduct and business ethics in all community activities	
Identified Material Topics	● Financial inclusion ● Environmental Advocacy	
CF's response	We believe that our success goes hand in hand with the well-being of the communities in which we operate. Accordingly, we aim to contribute to national development priorities. We contribute to inclusive socioeconomic development by promoting MSME sector growth through our core lending business. Additionally, our CSR projects in the areas of education, health, environmental conservation, and disaster relief aim to reduce social inequalities.	
Value Created in 2024/25	● Rs. 45 Bn new lending to the MSME sector (Rs. 32 Bn - 2023/24) ● Rs. 15 Mn Investment in CSR projects benefiting community members (Rs. 9 Mn - 2023/24)	
SDG's		
Further Information	● Social and Relationship Capital ● Natural Capital	



MATERIAL TOPICS

Material Topics are the issues that most significantly influence our ability to deliver long-term value. At CF, we take a holistic approach to identifying Material Topics by assessing risks and opportunities within our operating environment, reviewing industry-specific concerns, consulting with key stakeholders, and considering issues raised through our grievance mechanisms.

Each Material Topic is then evaluated using the materiality matrix to measure its significance to the Company as well as its relevance to stakeholders. Findings from this exercise go on to shape the Company's strategy and decision-making activities.

MATERIALITY DETERMINATION PROCESS



Identify



Prioritise

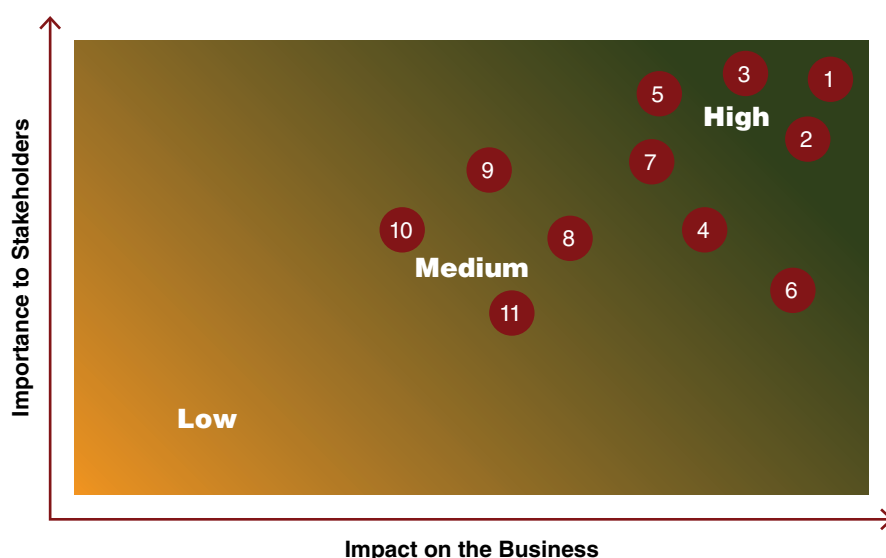


Validate



Integrate

MATERIALITY MATRIX



1. Financial Stability & Growth
2. Brand Visibility and Market Reach
3. Customer Experience
4. Digital Transformation
5. Trust & Transparency
6. Business process transformation/data analytics / operational excellence
7. Cybersecurity & Customer Data Protection
8. Employee Engagement and Development
9. Safety and Wellbeing
10. Financial inclusion
11. Environmental Advocacy

Material Topics

Material Topic	Topic Boundary	Management Approach	Strategy Integration					Resource Allocation through Capitals
			Business Growth	Digitalisation	Operational efficiency	Sustainability - Environmental, Social and Governance	People	
1 Financial Stability & Growth	Financial performance and investment strategy	Prudent financial management, strategic investments, and a strong capital base, coupled with the emphasis on safeguarding liquidity through ongoing cash flow monitoring and forecasting, enable the Company to meet its obligations and support operational and strategic priorities without disruption. Optimising resource allocation and streamlining internal processes to reduce costs and improve margins will also be key priorities.	✓		✓	✓	✓	FC MC HC S&RC
2 Brand Visibility and Market reach	External market presence, partnerships, and customer segments	Targeted marketing, sponsorships, and digital outreach to enhance CF's brand recognition and reinforce trust among customers and stakeholders, alongside ongoing investments to expand CF's presence across regions and customer segments through branch network growth, digital channels, product diversification, and partnerships to strengthen our market reach.	✓	✓	✓			FC MC IC S&RC
3 Customer Experience	External customers and service delivery touchpoints	Focus on delivering responsive, personalised, and reliable service through well-trained staff, customer feedback loops, and continuous improvement in our offerings.	✓	✓	✓			FC MC IC S&RC
4 Digital Transformation	Internal systems, technology partners, and service delivery	Ongoing digitisation agenda focused on automation, system upgrades, and customer-facing platforms to improve service delivery, data insights, and operational agility.	✓	✓	✓	✓	✓	FC MC IC HC S&RC



Material Topic	Topic Boundary	Management Approach	Strategy Integration					Resource Allocation through Capitals
			Business Growth	Digitalisation	Operational efficiency	Sustainability - Environmental, Social and Governance	People	
5 Trust & Transparency	All internal and external stakeholders across the value chain	Transparent communication with stakeholders, supported by robust corporate governance, ethical practices, and timely disclosures to build lasting trust.	✓	✓	✓	✓	✓	MC IC S&RC
6 Business process transformation/ data analytics / operational excellence	Organisation-wide internal systems and processes	Leveraging digital technologies, automation, and advanced analytics to streamline core processes, improve turnaround times, and drive continuous improvement of operational performance.	✓	✓	✓	✓	✓	MC IC HC S&RC NC
7 Cybersecurity & Customer Data Protection	Internal systems comprising all digital platforms, IT infrastructure, data storage systems, as well as external customer touchpoints	End-to-end cybersecurity and data protection through robust policies, advanced technologies, and continuous monitoring, strict oversight, and ongoing employee training reinforce data integrity, regulatory compliance, and customer trust.	✓	✓	✓	✓		MC
8 Employee Engagement and Development	Employees and talent development mechanisms	Promote strong employee-management relationships through transparent communication, fair treatment, accessible grievance mechanisms, and ongoing engagement initiatives, while supporting employee growth through structured career development, mentorship, and targeted training programs that build future leadership capacity.			✓		✓	HC

Material Topics

Material Topic	Topic Boundary	Management Approach	Strategy Integration					Resource Allocation through Capitals
			Business Growth	Digitalisation	Operational efficiency	Sustainability - Environmental, Social and Governance	People	
9 Safety and Wellbeing	Employees and the working environment	Ensure a safe and healthy work environment through comprehensive health and safety policies, employee assistance programs, and awareness initiatives.			✓		✓	HC
10 Financial inclusion	Customers and underserved market segments	Develop and implement accessible financial products and outreach programmes to serve underserved and rural communities, helping to bring more people into the formal financial system.	✓			✓		FC
								MC
								S&RC
11 Environmental Advocacy	Employees, Communities, and other external stakeholders	Integrate environmental considerations into our operations and community programs, supporting awareness, conservation efforts, and responsible business practices.			✓	✓		NC



STRATEGY REPORT

BUSINESS MODEL

INPUTS

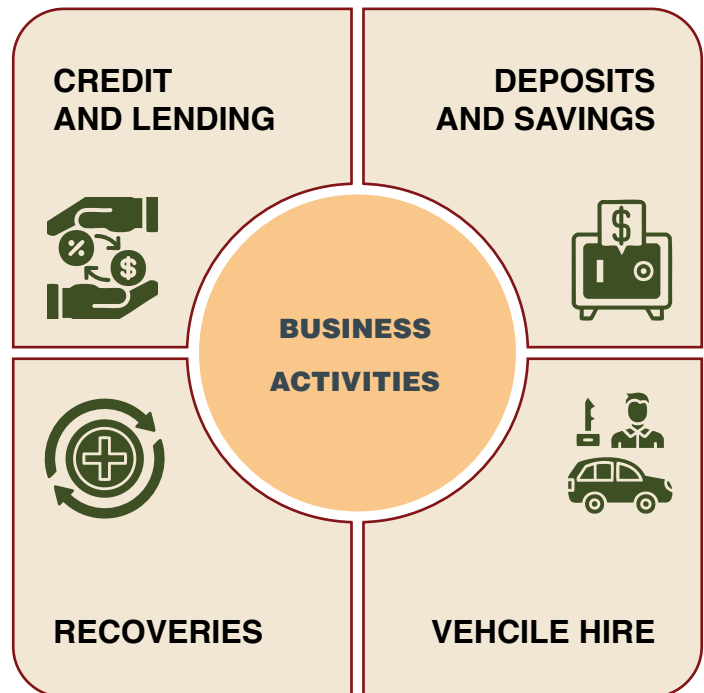
	FINANCIAL CAPITAL - Shareholder Funds - Rs.50 Bn - Deposits - Rs. 44 Bn
	MANUFACTURED CAPITAL 103 Branches - PPE - Rs. 10.5 Bn - Digital Channels (ATMs/ CDMs/ CF Click/ Centrix) - IT Infrastructure - Business Continuity Framework - Information Security Systems
	INTELLECTUAL CAPITAL - Brand Credentials - Ethics and Integrity - Knowledge Base
	SOCIAL AND RELATIONSHIP CAPITAL - Product Responsibility - Service Excellence - Marketing and Communications - Feedback and Complaints - Data Privacy - Supply Chain Management - Economic Empowerment of Communities - CSR Activities - Customer Engagement
	HUMAN CAPITAL 1,600 employees - Governance, Compliance and Best Practices - Planned Recruitment - Induction and Orientation - Industry Competitive Remuneration and Benefits - Performance Management - Training and Development - Leadership Development - Safety and Wellbeing - Communication and Engagement
	NATURAL CAPITAL - Energy Management - Waste Management - Emission Monitoring - Water Stewardship - Special Projects

VALUE TRANSFORMATION

Mission | Vision | Corporate Values

Strategy

Corporate Governance Framework



Risk Management Framework

ESG Focus

External Environment



OUTPUTS FOR CF

	RS. 5.98 BN PROFIT AFTER TAX
	24.5% YEAR-ON-YEAR CREDIT PORTFOLIO GROWTH
	85% TERM DEPOSIT TERM RENEWAL RATIO
	RS. 6 BN IN DIGITAL TRANSACTION VOLUMES
	UPGRADE OF CF'S NATIONAL LONG-TERM RATING TO 'A(LKA)' FROM 'A-(LKA)'; OUTLOOK STABLE BY FITCH RATINGS
	ZERO INCIDENTS OF BREACH OF CUSTOMER PRIVACY
	STRONG COMMUNITY TIES

STAKEHOLDER OUTCOMES

SHAREHOLDERS

- ROE - 11.34% (9.96% - 2023/24)
- Dividend Payout - 24.70% (21.36% - 2023/24)
- Consistent improvement in share price Rs. 194.25 (Rs. 106.75 - 31st March 2024)
- Dividend Per Share Rs. 6.50 (Rs. 4.50 - 2023/24)

CUSTOMERS

- Guarantee of best-in-class service for all customer segments
- Ethical and transparent dealings
- Island-wide reach
- 24x7x365 day access via digital platforms

EMPLOYEES

- Monetary Benefits Distributed - Rs.3.3 Bn (Rs. 2.9 Bn - 2023/24)
- 564 job opportunities created through recruitments
- 29% females as a % of total employees
- 4,192 skill training hours

SUPPLIERS

- Consistent growth prospects for suppliers

REGULATOR

- Transparent reporting and regulatory compliance

COMMUNITY AND ENVIRONMENT

- Amount spent on CSR Rs. 15 Mn (Rs. 9 Mn - 2023/24)
- Ongoing initiatives to minimise environment impact
- Use of renewable energy sources

STRATEGY AND RESOURCE ALLOCATION

CF's strategy development process is undertaken with the direct stewardship of the Board of Directors, ensuring alignment with the Company's long-term vision, stakeholder expectations, and evolving market dynamics. The annual strategic planning process is both comprehensive and forward-looking and takes into account a wide range of internal and external factors encompassing macroeconomic trends, regulatory developments,

competitive positioning, stakeholder interests, emerging technologies, risk assessments, customer needs, and ESG considerations. The process is further informed by ongoing reviews, environmental scans, and scenario analysis conducted as part of the routine performance review and risk management processes.

Stemming from this, five strategic pillars have been identified as the foundation for

CF's corporate strategy: Business growth, Digitalisation, Operational Efficiency, Sustainability – Environmental, Social and Governance (ESG) and People. These five strategic pillars guide all resource allocation decisions, ensuring the optimal deployment of both financial and non-financial resources to enhance CF's adaptability and agility within the highly competitive NBFi sector.

Pillar 1 – Business Growth	
Associated Risks	Credit Risk Market Risk
Key Priorities	Resources Allocated in 2024/25
Drive growth by identifying high-potential market segments	● Launch of new innovative products and services, coupled with attractive terms and enhanced convenience for customers in order to increase market penetration and improve new customer acquisition
Enhance customer retention through data-driven personalisation	● Customer profiling and segmentation to offer customised financial solutions to build stronger customer relationships
Expand into untapped markets and do targeted campaigns by analysing economic potential data	● Leverage market data to identify high-growth areas and execute customised campaigns for a broader market presence and increased inclusion
Outcomes for 2024/25	● 35% year-on-year increase in new credit-granting volumes ● 24.5% year-on-year growth in the loan book ● 85% average deposit renewal rate
FUTURE PLANS	
Short - Medium Term	Long Term
Expand digital product offerings to diversify into new customer segments	Leverage AI-driven analytics to enable precise product customisation in response to the customer's needs



Pillar 2 – Digitalisation	
Associated Risks	Operational Risk IT & Cybersecurity Risk
Key Priorities	Resources Allocated in 2024/25
Leverage data to make informed decisions and improve business outcomes	● Use of data-driven solutions to provide early warning signals for effective Risk Management
Build a data-driven culture within the organisation	● Invest in BI platforms to provide real-time insights to management, improving decision-making and strategic planning
Improve productivity and efficiency	● Develop AI-powered solutions that proactively deliver actionable insights across the organisation for better decision making
Use advanced analytics to enhance customer experience, risk management, and operational performance	● Use of data-driven solutions for recoveries and sales for enhanced operational performance ● Introduction of customised product offering using an internally developed credit scoring system
Outcomes for 2024/25	● The NPL ratio has been reduced to 2.76% under the entire arrears clearance criteria (7.05% - 2023/24) ● Improved productivity and efficiency among the Marketing and Recoveries teams ● Rs. 6 Bn value of digital transactions (Rs. 5.5 Bn - 2023/24)
FUTURE PLANS	
Short - Medium Term	Long Term
AI and Machine Learning for predictive Insights	Invest in Advanced Analytics Tools to support the continuous improvement of internal process architecture

Pillar 3 – Operational Efficiency	
Associated Risks	Operational Risk IT & Cybersecurity Risk
Key Priorities	Resources Allocated in 2024/25
Improve operational processes to reduce costs and increase productivity	● Utilise data-driven solutions to track timing on key processes, set benchmarks and optimise operations
Enhance operational scalability without sacrificing service quality	● Set up cross-functional teams to study company processes end-to-end and come up with suggestions/solutions
Achieve efficiency through process optimisation	● Invest in automation and digitisation to improve processing speed and eliminate inefficiencies associated with manual handling
Outcomes for 2024/25	● 41% Cost-to-income ratio despite the margin pressure (37% - 2023/24) ● Reduction in turnaround times from loan origination to disbursement with the introduction of a fast-track loan disbursement system
FUTURE PLANS	
Short - Medium Term	Long Term
Process standardization	Advanced Automation and AI

Strategy and Resource Allocation

Pillar 4 – Sustainability - Environmental, Social and Governance	
Associated Risks	Operational Risk ESG Risk
Key Priorities	Resources Allocated in 2024/25
Build internal capacity and awareness on sustainability standards	● Establish a cross-functional sustainability working group - CF Sustainability Business Strategy Team, CF Internal Sustainability Practices Team and CF Sustainability Projects Operations Team ● Conduct staff training sessions on sustainability to empower employees to align with the Company's sustainability goals
Explore and invest in effective sustainability projects	● Rs. 15 Mn invested in environmental and social sustainability initiatives. ● Conduct financial literacy sessions for small and medium sector entrepreneurs in partnership with the IFC
Improve resource efficiency	● Track and monitor energy and water consumption ● Prioritise waste recycling ● Adopt paperless strategies and improve digital documentation ● Investment in the installation of rooftop solar panels
Reinforce the organisation-wide culture of sustainability	● Launch of internal awareness campaigns
Outcomes for 2024/25	● 12,299 kg of paper waste recycled (14,646 kg - 2023/24) ● 260 Mwh electricity generation from rooftop solar panels (223 Mwh - 2023/24) ● 17 financial literacy programs for small and medium-sized sector entrepreneurs ● Collaboration with Sri Lanka Cancer Society ● 178 children benefited from educational support programmes (182 - 2023/24)
FUTURE PLANS	
Short - Medium Term	Long Term
Measure emissions and implement low-carbon and resource-efficient strategies and invest in sustainable initiatives	Integrate sustainability into the core business operations



Pillar 5 – People	
Associated Risks	Operational Risk ESG Risk
Key Priorities	Resources Allocated in 2024/25
Talent Sourcing	● Transparent & effective recruitment process to source high-potential talent ● CF Branding via digital platforms to reach potential candidates
Nurturing and enhancing the skills	● Rs. 31 Mn invested in training (Rs. 18 Mn - 2023/24) ● Formation of Cross-functional teams to handle special projects ● CF Skills Academy to develop competencies of employees
Talent Management	● Development Centre assessment to identify and develop potential leaders ● Creating career pathways through Individual Development Plans (IDPs)
Employee Engagement	● Team building activities ● Employee recognition & reward platforms ● Employee feedback
Outcomes for 2024/25	● 564 new recruits (340 recruits - 2023/24) ● 2.5 average training hours per employee ● 308 employees promoted (223 employees - 2023/24)
FUTURE PLANS	
Short - Medium Term	Long Term
Align recruitment and talent development efforts with expected business growth.	Talent Management & succession planning to strengthen the leadership pipeline at the corporate, regional and branch levels. Promote diversity and inclusion by increasing female participation in the workforce.

ESG FOCUS

We believe that sustainable value creation stems not only from financial performance but also from the positive impact CF creates for society and the environment. Hence, the commitment to Environmental, Social, and Governance (ESG) principles is deeply embedded into the very fabric of CF's business strategy via ESG Policy. This policy serves as a guide to navigating the evolving sustainability landscape by embedding ESG best practices across all levels of operation.

The Primary Objectives of CF's ESG Policy are to:

- Ensure transparency and accountability in all aspects of governance, upholding the highest standards of ethical conduct and corporate responsibility.
- Comply with applicable laws and regulations that govern our operations, reinforcing our commitment to integrity and compliance.
- Embed sustainability into the business strategy, driving long-term resilience through responsible and future-oriented practices.
- Promote financial inclusiveness, with a special focus on extending access to underserved and marginalised communities.
- Safeguard the environment, champion progressive employment practices, and contribute to the socio-economic upliftment of the communities in which we operate.

Policy objectives are translated into action via three core pillars:

1. ENVIRONMENTAL SUSTAINABILITY

We are committed to supporting the transition to a greener economy by investing in digital solutions that enhance operational efficiency while reducing our environmental footprint.

 Clean Water and Sanitation	● Rainwater harvesting system installed at Vauxhall Street office. Captured water is reused for gardening and landscaping, reducing reliance on municipal water. ● Employee engagement in beach cleaning activities.
 Affordable Clean Energy	● Investment of Rs. 25 Mn in rooftop solar across branches with current capacity of 243 kw. ● Promoting energy-efficient lighting and employee awareness.
 Responsible Consumption and Production	● Shift to paperless operations with digital documentation, e-statements, SMS receipts. ● E-waste responsibly recycled through certified vendors. ● Paper-waste responsibly recycled through certified vendors. ● Promotion of reuse and automation to cut down waste.
 Climate Action	● Focus on reducing Scope 2 emissions from grid electricity and diesel. ● Ongoing analysis of Scope 3 emissions. ● Analysis on energy efficiency measures aimed at lowering the carbon footprint.





Life Below
Water

- Responsibly discharged effluent water by following all environmental regulations

2. SOCIAL SUSTAINABILITY

Our social sustainability efforts prioritise inclusion and equity. We are dedicated to maintaining a workplace that is safe, healthy, diverse, and equitable. Beyond the workplace, we actively support initiatives that empower communities socially and economically, ensuring that our growth contributes meaningfully to societal advancement.



No Poverty

- Staff loans (distress, educational support).
- Capacity building and advisory services for small and medium business owners to access economic resources.
- Lending to MSME sector - 80% of the credit portfolio



Good Health
and Well-being

- Mandatory safety equipment and trained fire wardens.
- Periodic safety drills and training.
- Contributing toward uplifting community healthcare standards.
- Collaboration with the Sri Lanka Cancer Society to support the fight against cancer.
- Donate computers and furniture to hospitals to improve their operational efficiency.



Quality
education

- Blended learning.
- Comprehensive annual training plans.
- Leadership development, including coaching, IDPs, and mentorship.
- E-learning modules on compliance, ethics and professional conduct.
- IT equipment donation programme to rural schools, fostering digital literacy among children.
- Donate bicycles to school children in the Jaffna area to support mobility and access to education.



Gender
Equality

- Equal opportunity and non-discrimination in recruitment.
- Bias-free hiring and promotions based on merit.
- Grievance process to address harassment or discrimination.



Decent Work
& Economic
Growth

- Transparent performance management and merit-based rewards.
- Restructuring salaries to comply with wage regulations.
- Internal promotions and succession planning.
- Support for MSMEs.
- Training for SME owners (in partnership with IFC).
- Expansion of branch network and digital channels to promote financial inclusion and economic participation in underserved areas.

 Reduced Inequalities	● Inclusive hiring practices regardless of age, gender and religion ● Employee grievance redressal mechanisms. ● Internal promotions ensure upward mobility. ● Products accessible via branches and digital channels across Sri Lanka. ● Loans to underserved sectors lacking collateral. ● Targeted support for rural students through Sisu Athwela. ● Financial literacy sessions (with 26% women participants). ● Contribution towards disaster relief efforts of the country.
---	--

3. GOVERNANCE SUSTAINABILITY

Strong governance forms the foundation of our operations. We foster a culture of integrity and accountability by promoting ethical business practices and good governance frameworks. Our commitment to responsible value creation ensures the well-being of all stakeholders, while lean management and productivity measures drive continuous improvement and innovation.

 Industry, Innovation & Infrastructure	● Empowering users with access to digital financial tools; enhances digital literacy and inclusion. ● Secure, scalable digital systems that are foundational to trusted financial innovation. ● FinTech solution 'Centrix' with QR integration and bill payment features. ● Structured product development and review process. ● Continuous enhancement of digital infrastructure.
 Peace, Justice and Strong Institutions	● Board-led culture of ethics, transparency, and accountability. ● Comprehensive Code of Conduct (CoC) and onboarding ethics training. ● Whistleblower system with confidential reporting and prompt investigation. ● AML compliance, IT security, and customer protection frameworks integrated into training. ● Compliance with section 9 - CSE listing rules, direction issued by Central Bank of Sri Lanka and Code of Best practices on Corporate Governance
 Partnerships for the Goals	● Strategic Partnerships for paper, plastic and e-waste recycling projects. ● Partnership with the IFC to provide advisory services to SME's.



BUSINESS REPORT



REVIEW OF OPERATIONS



STRATEGY AND FOCUS

With the Sri Lankan economy showing clear signs of recovery in 2024, CF leveraged the declining interest rate environment to initiate a coordinated effort to grow its lending book.

While targeting an ambitious year-on-year Loan book expansion, the Company's lending approach for the year was shaped by a deliberate effort to minimise the exposure to volatile asset classes. In light of the high sensitivity of the particular asset class to economic shocks, screening criteria for three-wheeler financing was tightened based on a forward looking assessment of future risks.



KEY HIGHLIGHTS

PRODUCTS

Leasing, Term loans, Dealer loans, Auto loans, Sub loans, Working Capital loans, Loans against fixed deposits and Consumer loans.

OBJECTIVE

Ensure financial inclusivity while meeting diverse customer credit needs.



KEY STRATEGY

- Offering a wide range of products to address customers' credit requirements, supported by prudent credit risk management practices.



KEY STRENGTHS

- Conservative credit exposures
- Credit quality
- Strong customer engagement and repeat business
- Comprehensive credit evaluation and credit scoring models
- Data-driven credit decision-making
- Prudent lending practices and robust internal controls



IMPACT TO CF

- Core business activities serving as the main revenue streams



RISKS

- Credit Risk
- Credit Concentration Risk
- Market Risk (Interest Rate Risk)

SDG RELEVANCE



Similarly, considering the high market prices of high-end registered vehicles over the past few years, and the anticipated decline once restrictions were lifted, leveraging its strong underwriting standards, a more structured approach was adopted to target smaller ticket sizes, but high-quality clients with strong financial credentials and stable cash flows.

Several initiatives were taken to provide additional support to the Company's credit expansion plans. A combination of mass media promotional campaigns and localised branch-led engagement initiatives played a crucial role in deepening the penetration into the selected market segments. An aggressive recruitment drive was also initiated to grow the field staff cadre across the branch network, a strategy that led to a sizeable expansion in CF's frontline team in 2024/25.

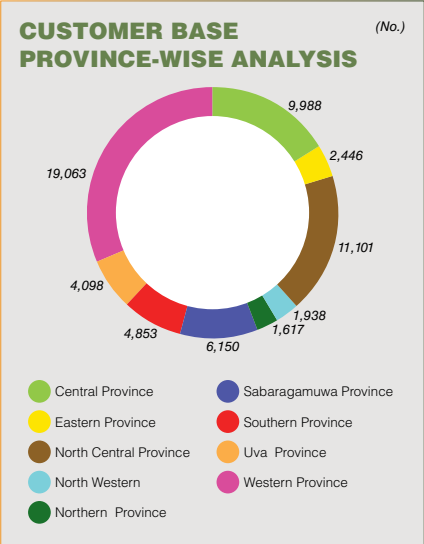
More emphasis was also given to improving operational efficiency through digital transformation. The in-house IT team has launched a new Customer Relationship Management system (CRM) and file processing system designed to streamline customer onboarding, boost conversion rates, and accelerate loan processing.

In parallel, training and development activities were intensified to strengthen the capacity of the Company's growing

Review of Operations - Credit & Lending

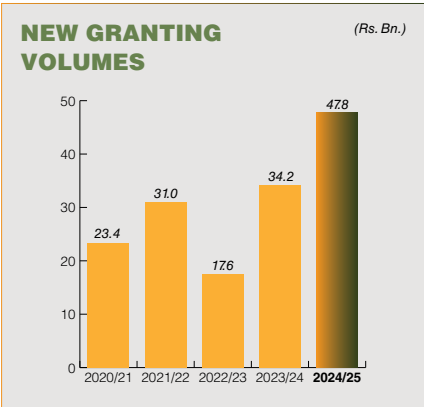
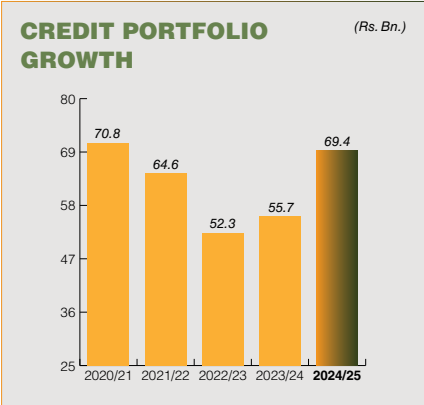
sales force by providing them with the necessary skills to drive credit expansion while maintaining underwriting discipline.

Additionally, the widespread use of analytics and business intelligence systems to monitor real-time data and information and facilitate data-driven decision-making, also proved to be a critical tool for driving efficiency improvements to keep pace with evolving customer needs.



PERFORMANCE SUMMARY

A culmination of these efforts saw CF surpass its annual loan book expansion target. Auto financing remained the primary driver of growth, alongside working capital products such as Express Cash and Express Overdraft, which catered to self-employed individuals and micro-entrepreneurs.



FUTURE OUTLOOK

Overall, the focus for CF's core credit and lending operations in the upcoming year will remain largely consistent with the current year. Continuing with collateral-based lending, the Company will aim to capitalise on potential opportunities for credit expansion.

Given that the relaxation of the vehicle import restrictions is likely to pave the way for much-needed market stabilisation as the correction in vehicle prices takes effect over the coming months, CF anticipates this environment to create robust opportunities for credit expansion. To that end, the Company will aim to strategically pursue opportunities in high-potential sectors underscored by strict underwriting principles to facilitate risk-adjusted returns while safeguarding asset quality.

Going forward, CF also anticipates actively exploring the Sustainable finance space through new products, with the National Credit Guarantee Scheme set to come into effect in 2025, likely to play an instrumental role in supporting the Company's initiatives over the long term.





RECOVERIES



STRATEGY AND FOCUS

CF's recovery strategy in the current year continued to evolve in tandem with the macroeconomic developments in 2024/25. Considering the economic conditions, recovery efforts were further strengthened with more emphasis on managing the 90 DPD portfolio.

A new system to track default contracts was implemented to enable branch teams to take immediate action on overdue accounts. This system allows branch teams to proactively follow up on receivables to prevent delinquencies. Additional recovery mechanisms were also introduced in line with the new non-performing loan (NPL) reclassification criteria issued by the Central Bank of Sri Lanka (CBSL).

Review of Operations - Recoveries

KEY HIGHLIGHTS

OBJECTIVE

Ensure the timely collection of overdue payments while maintaining strong customer relationships and adhering to ethical recovery practices.



KEY STRATEGY

- Data-driven and customer-centric recovery approach that balances risk management with proactive engagement



KEY STRENGTHS

- Skilled & Experienced Team
- Technology-Driven Operations
- Strong Legal & Regulatory Framework
- Diversified Collection Channels
- Customer Engagement & Support



IMPACT TO CF

- Cashflow management to support liquidity and profitability.



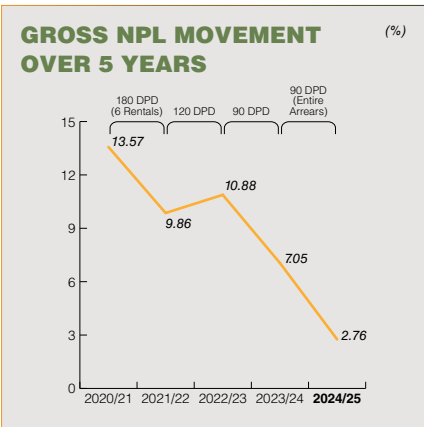
RISKS

- Credit Risk, Liquidity Risk

Meanwhile, given that a significant portion of individuals and businesses continued to exhibit weak financial resilience as a result of prolonged economic stress over the past few years, restructuring efforts to support customers experiencing severe financial hardship continued in the current year as well. In keeping with its balanced approach to restructuring, CF continued to prioritise both financial sustainability and customer support, with concessions on default penalties and waiver of future interest offered to customers on a case-by-case basis, following a detailed assessment of the customer's current and future repayment capacity.

PERFORMANCE SUMMARY

In a testament to the success of recovery strategies, CF's overall NPL ratio declined to 2.76% by the end of March 2025, from the 7.05% recorded at the end of the previous year.



FUTURE OUTLOOK

As the anticipated economic recovery gains momentum in the coming months, CF will take a proactive approach to further strengthen its recovery framework to improve collection efficiency. This shift is also expected to enable CF to engage with at-risk customers earlier in the process, offering tailored repayment solutions that prevent accounts from reaching critical delinquency stages.

Additionally, by integrating digital payment platforms into the recovery process, the Company aims to enhance accessibility and convenience for settlements as well as promote long-term financial discipline among its customers.



DEPOSITS & SAVINGS

Savings Products



Fixed Deposits Products



STRATEGY AND FOCUS

Central Finance Company PLC has long been synonymous with trust and reliability. CF's long-standing track record as one of the most stable financial institutions in Sri Lanka has positioned the Company as a trusted partner for depositors, even amidst the shifting economic landscape.

In light of market-driven interest rate reductions in 2024, CF's deposit mobilisation activities were strategically aligned with the Company's treasury requirements. The primary focus was on consolidating the existing deposit base at current levels. Hence, no major deposit-related promotional campaigns were launched during the year. However, a strong emphasis was placed on strengthening customer relationships to mitigate attrition.

Review of Operations - Deposits & Savings

KEY HIGHLIGHTS

PRODUCTS

CF Savings, CF Lama Saving Account, CF Excel Saving Account, CF Super Savings, CF Senior Citizens Account

CF Term, CF Ultra, CF Senior Citizen, CF Excel, CF Optima

OBJECTIVE

Enhance the deposit base to support the Company operation via customer trust & confidence.



KEY STRATEGY

- Being a trusted financial service provider by enhancing customer engagement, build customer loyalty and maintaining healthy relationships via easy and convenient access, digital platforms and competitive pricing.



KEY STRENGTHS

- Customer confidence
- Superior service
- Digital platforms
- Easy access to funds with more than 3,600 ATMs located island-wide partnering with Lanka Pay.



IMPACT TO CF

- Primary source of funding for business operations



RISKS

- Market Risk (Interest Rate Risk)
- Liquidity Risk

SDG RELEVANCE

8 DECENT WORK AND ECONOMIC GROWTH



9 INDUSTRY INNOVATION AND INFRASTRUCTURE



12 RESPONSIBLE CONSUMPTION AND PRODUCTION

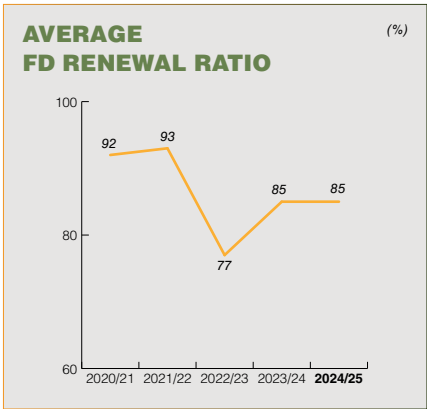


This strategic approach enabled the Company to maintain an average FD renewal ratio of 85% in 2024/25, an impressive achievement given the subdued appeal of deposits as an investment option in the prevailing low-interest-rate environment.

Simultaneously, efforts to grow savings were further intensified. Leveraging CF's longstanding reputation as a trusted and reliable financial services institution, together with ongoing communication and the commitment to data privacy and security, the Company focused

on strengthening relationships with existing savings customers. In parallel, customer access was further enhanced via the Company's mobile platforms: CF Click and Centrix, making it easier for customers to manage their funds anytime, anywhere.

The CF Debit Card was also promoted aggressively among the Company's savings customer base. To further enhance the functionality of the Debit Card, the Company partnered with Lanka Pay to enable users to access their funds via the LankaPay-enabled network of over 3,600 ATMs across the island.



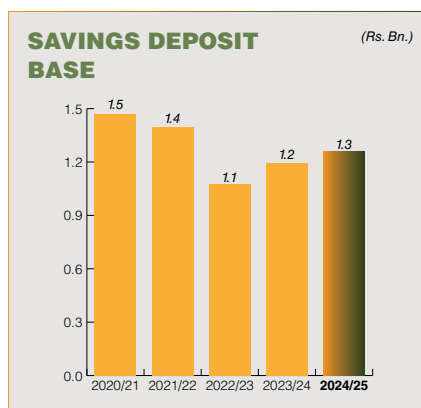
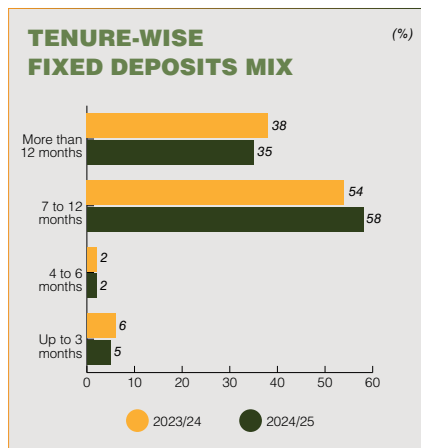
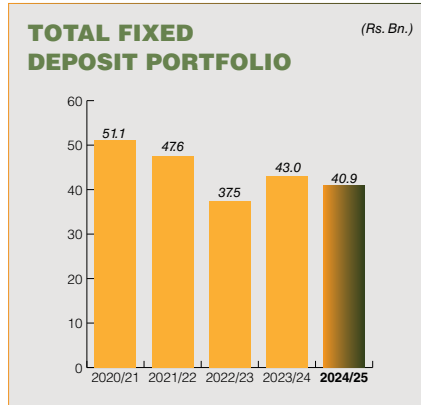
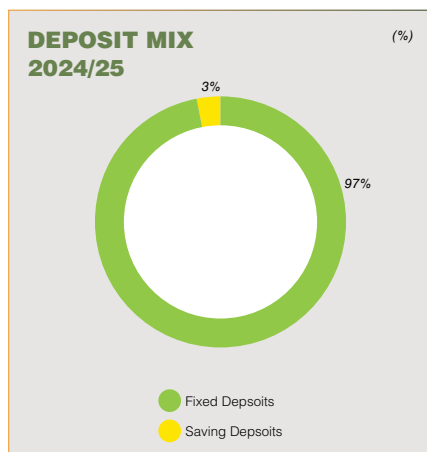
Work also commenced on developing an automated back-end system designed to streamline processes and enhance the customer experience for savings account holders. The system, which was under development at the close of the current year, is scheduled to be rolled out by mid-2025.

PERFORMANCE SUMMARY

Management took a cautious decision not to aggressively mobilise deposits with the aim of optimising the deployment of surplus liquidity. Consequently, deposit mobilization was strategically aligned with treasury funding requirements while efforts to strengthen customer engagement contributed to a robust fixed deposits renewal ratio of 85%.

Consequently, the total term deposit portfolio by the end of March 2025 stood at Rs. 41 Bn compared to Rs. 43 Bn reported at the end of the previous financial year.

The Company's savings base grew from Rs. 1,198 Mn at the end of the previous year to Rs. 1,259 Mn as at 31st March 2025, a testament to CF's successful efforts to promote savings. The shift towards more savings-oriented behaviour among CF's customers was also evident by the improvement in the Company's savings-to-deposit ratio, which increased to 2.99% in 2024/25 from 2.71% in the previous year.



FUTURE OUTLOOK

With the anticipated interest rate stabilisation over the coming months, CF expects to strengthen its deposit base by leveraging the customer trust and confidence built over 67 years of operations. Further, given the minimal rate gap between FDs and savings, the Company remains more optimistic that the upcoming year will present considerable opportunities for savings growth. Furthermore, to strengthen deposit retention and expand the customer base, the Company will identify and engage untapped customer segments. Cross-selling opportunities will be explored to provide customers with a more comprehensive range of financial solutions. Additionally, a targeted awareness campaign will be launched to ensure periodic engagement and foster long-term financial relationships. Through these collective efforts, CF will aim to consolidate the funding base and maintain healthy liquidity levels to facilitate sustained business growth in the years ahead.

VEHICLE HIRE



STRATEGY AND FOCUS

Prolonged import restrictions that have been in place since the onset of the COVID-19 pandemic in 2020 continued to pose significant challenges for CF's Vehicle Hire business in the year under review as well. The inability to procure new vehicles and spare parts over the years has limited the Company's capacity to meet current customer demand. Additionally, market dynamics continued to be influenced by high prices for registered used vehicles, driven by the import ban and high import duties on components of locally assembled motor vehicles.



KEY HIGHLIGHTS

OBJECTIVE

Provide customised, cost-effective transport solutions for top corporate clients through tailored vehicle hire services, including selecting the best vehicles, handling maintenance, and managing fleets to improve business mobility and efficiency.



KEY STRATEGY

- Customer-Focused Fleet Management and Market Expansion



KEY STRENGTHS

- Industry Expertise and Strong Reputation
- Market Leadership and Competitive Edge
- Wide Service Network
- Complete Fleet Management Solutions
- Strong Client Relationships and Retention
- Operational Efficiency and Cost Savings
- Nationwide Reach and Fast Response
- Technological Innovation and Advancements



IMPACT TO CF

- Supporting business activity that enhances the Company's performance and corporate interaction



RISKS

- Credit Risk, Liquidity Risk

Against this backdrop, CF focused on promoting small and mid-range vehicles to the corporate sector, targeting new, repeat and returning clients supported by extensive marketing and business development efforts. This was coupled with a special initiative to offer selected commercial vehicle fleets to both state and private sector institutions. Renewal of fleet contracts was also prioritised with more emphasis on securing long-term fleet extensions within the existing customer base.

Meanwhile, to better align with market needs, the Company actively pursued strategic partnerships to offer customers a more diverse selection of vehicles, particularly locally assembled models.

PERFORMANCE SUMMARY

As a culmination of proactive efforts to sustain market share, the vehicle hire unit succeeded in achieving its revenue target for the financial year. This, coupled with broad-based margin management strategies, including strict cost containment measures and streamlined procurement, enabled the unit to safeguard its bottom line for 2024/25.

FUTURE OUTLOOK

Looking ahead, the anticipated removal of import restrictions offers considerable opportunities for CF's vehicle hiring business. Leveraging these opportunities, the Company will aim to diversify its fleet through new and popular electric and hybrid vehicle models. Increasing the volume of long-term fleet contracts will be another key priority. At the same time, the Company will actively explore the possibility of making inroads into new markets further expanding its reach and presence in the coming years.

CAPITAL MANAGEMENT REVIEW



FINANCIAL CAPITAL

Through well-defined strategies, robust risk management, strong liquidity and capital buffers, and a committed, empowered team, Central Finance Company PLC Group has delivered a strong performance for the year 2024/25 and created value for all its stakeholders. These efforts have also positioned the CF Group well for sustained future growth and stability.

INPUTS

- Shareholders' funds
- Customer Deposits
- Borrowings



VALUE TRANSFORMATION

MATERIAL MATTERS

- Financial Stability and Growth
- Brand Visibility and Market Reach
- Digital Transformation
- Customer Experience
- Financial Inclusion

MANAGEMENT APPROACH

The CF's principal approach to managing financial capital is based on 4 key fundamentals - maintaining prudent capital adequacy, optimising the balance between risk and return, ensuring liquidity for operational needs, and adhering to strict compliance with regulatory and governance requirements.

Supported by these fundamentals, decisions regarding capital allocation are aligned to the Company's long-term strategic priorities with a view to maximising shareholder returns while ensuring sufficient buffers to absorb shocks. This is accompanied by regular stress testing and scenario analysis to assess the resilience of the balance sheet under varying market conditions, enabling proactive risk mitigation.

Moreover, the Company maintains a disciplined approach to managing its lending portfolios with strict emphasis on asset quality and credit risk mitigation, supported by strong internal controls and governance oversight. This is coupled with ongoing efforts to strengthen revenue streams through product innovation, market expansion, and digital transformation, alongside operational efficiencies to reduce cost-to-income ratios.

KEY ACTIONS

- 24.5% expansion in the loan book, fuelled by aggressive credit expansion strategies
- Decline in the gross non-performing loan (NPL) ratio to 2.76% supported by effective credit risk management practices, including disciplined lending alongside stringent monitoring and recovery action
- Maintaining strong liquidity reserves to ensure regulatory compliance and financial stability.
- Effective asset/liability repricing considering the low-interest rate environment

OUTPUTS FOR CF

IMPACT ON OTHER FORMS OF CAPITAL

Investments in infrastructure improve convenience for employees and customers, fostering operational efficiency and accessibility	MC
Value distribution strengthens social inclusiveness, promoting broader economic and community well-being	S&RC
Continuous investment in skills development, mentoring, coaching, learning and employee empowerment ensures a robust talent pipeline and strong knowledge base	HC/IC
Commitment to invest in environmental sustainability	NC

STAKEHOLDER OUTCOMES

- Rs. 6.50 - Dividend per share
- 24.7% - total dividend payout
- Rs. 43.65 - EPS
- Rs. 242.82 - NAVPS
- 9.71% - year-on-year increase in equity
- 11.34% - ROE

SDG'S



Capital Management Review - Financial Capital

	2025	2024		2025	2024
Earnings			Liquidity		
Profit Before Tax as % of total revenue	54.29%	43.29%	Liquid Assets as a % of Total Deposits	26.41%	61.90%
Return on Equity	11.34%	9.96%	Total Liquid Assets (Rs. Mn)	11,125	27,360
Return on Assets	5.81%	5.02%			
Efficiency			Assets quality		
			Gross Non Performing Loan Ratio	2.76%	7.05%
Profit Per Employee (Rs. Mn)	3.34	2.99	Stage 3 Impairment Cover Ratio	79.21%	65.70%
Cost to Income Ratio	41.44%	37.45%	Total Impairment Cover Ratio	4.72%	10.02%
Capital Adequacy					
Core capital ratio % (Tier 1)				47.05%	54.52%
Total capital ratio % (Tier 2)				44.79%	54.88%

FINANCIAL PERFORMANCE

Horizontal Analysis of the Income Statement

For the year ended 31 March	2025	%	2024	%	2023	%	2022	%	2021	%
	Rs.'000		Rs.'000		Rs.'000		Rs.'000		Rs.'000	
Income	20,702,953	(5)	21,796,256	11	19,571,547	12	17,500,569	(10)	19,406,200	(12)
Interest Income	16,817,482	(12)	19,039,764	9	17,511,736	24	14,163,102	(14)	16,546,553	(17)
Less: Interest Expenses	4,758,129	(26)	6,452,630	32	4,876,421	28	3,819,396	(38)	6,194,811	(9)
Net Interest Income	12,059,353	(4)	12,587,134	(0)	12,635,315	22	10,343,706	(0)	10,351,742	(22)
Other Operating Income	3,885,471	41	2,756,492	34	2,059,811	(38)	3,337,467	17	2,859,647	41
Total Operating Income	15,944,824	4	15,343,626	4	14,695,126	7	13,681,173	4	13,211,389	(13)
Less: Impairment Charge/ (Reversal)	(1,902,961)	(1,270)	162,647	(77)	696,644	155	273,087	(92)	3,256,083	(32)
Less: Total Operating Expenses	6,608,480	15	5,745,545	17	4,926,276	6	4,640,811	14	4,076,881	(15)
Less: Tax on Financial Services	2,075,596	10	1,879,274	12	1,679,690	29	1,298,900	50	863,462	32
Profit Before Tax	9,163,709	21	7,556,160	2	7,392,516	(1)	7,468,375	49	5,014,963	13
Less: Income Tax Expense	3,181,538	15	2,765,727	14	2,427,449	15	2,112,956	140	878,992	(42)
Profit for the Year	5,982,171	25	4,790,433	(4)	4,965,067	(7)	5,355,419	29	4,135,971	43

As illustrated in the horizontal analysis of the Company's income statement, despite the economic downturn and the lag effects of the COVID-19 pandemic, CF has succeeded in stabilising and enhancing its financial performance over the past five years by prioritising sustainable long-term growth over short-term profits, supported by prudent risk management. To that end, the Company continues to explore new business opportunities while implementing strategies that align with its core operations, placing greater emphasis on its primary business activities. This strategic approach is reflected in the CF's total operational income, which reached Rs. 16 Bn in 2024/25, denoting an

impressive 21% increase from 2020/21. Additionally, the impairment allowance, maintained to absorb any adverse movements in the credit portfolio due to macro-economic uncertainty, began to reverse in 2024/25 on the back of Sri Lanka's economic turnaround from early 2024 onwards. Meanwhile, operational expenses have risen over the five-year period, in line with the inflationary pressures witnessed in the recent past. Reflecting these developments, CF recorded profit after tax of Rs. 5.98 Bn for 2024/25, representing a growth of 25% year on year, in sharp contrast to the 4% contraction observed in the previous financial year.



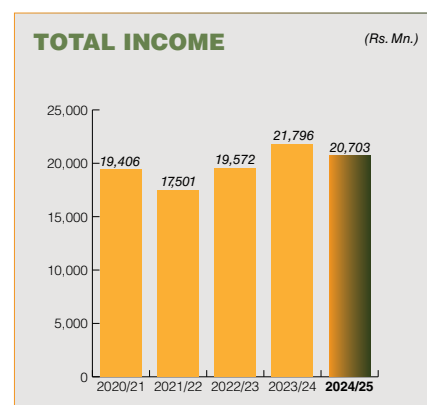
Vertical Analysis of the Income Statement

For the year ended 31 March	2025	%	2024	%	2023	%	2022	%	2021	%
	Rs.'000		Rs.'000		Rs.'000		Rs.'000		Rs.'000	
Income	20,702,953	100	21,796,256	100	19,571,547	100	17,500,569	100	19,406,200	100
Interest Income	16,817,482	81	19,039,764	87	17,511,736	89	14,163,102	81	16,546,553	85
Less: Interest Expenses	4,758,129	23	6,452,630	30	4,876,421	25	3,819,396	22	6,194,811	32
Net Interest Income	12,059,353	58	12,587,134	58	12,635,315	65	10,343,706	59	10,351,742	53
Other Operating Income	3,885,471	19	2,756,492	13	2,059,811	11	3,337,467	19	2,859,647	15
Total Operating Income	15,944,824	77	15,343,626	70	14,695,126	75	13,681,173	78	13,211,389	68
Less: Impairment Charge/ (Reversal)	(1,902,961)	(9)	162,647	1	696,644	4	273,087	2	3,256,083	17
Less: Total Operating Expenses	6,608,480	32	5,745,545	26	4,926,276	25	4,640,811	27	4,076,881	21
Less: Tax on Financial Services	2,075,596	10	1,879,274	9	1,679,690	9	1,298,900	7	863,462	4
Profit Before Tax	9,163,709	44	7,556,160	35	7,392,516	38	7,468,375	43	5,014,963	26
Less: Income Tax Expense	3,181,538	15	2,765,727	13	2,427,449	12	2,112,956	12	878,992	5
Profit for the Year	5,982,171	29	4,790,433	22	4,965,067	25	5,355,419	31	4,135,971	21

The vertical analysis of the income statement illustrates CF's revenue and expense structure. Interest income remains the primary component, ranging from 81% to 89% over the past five years, in line with the Company's core business operations. Additionally, other operating income has made a significant contribution to overall performance, generating income within a range of 11% to 19% during the same period. Interest expenses over the past five years have ranged from 22% to 32%, reflecting the cost of the Company's key funding sources. Notably, the impact of interest expenses on the income statement stood at 23% in 2024/25, a significant improvement from 32% in 2020/21, demonstrating the Company's effective strategies to manage the funding cost through timely re-pricing of the customer deposits. Taxes on financial services and income tax also constituted a significant portion of the Company's outflows, reflecting the increasing contribution to government revenue. Consistently demonstrating strong financial performance, the Company has maintained a high level of profitability, ranging from 21% to 31% over the past five years.

INCOME

CF recorded total income of Rs. 20.7 Bn in 2024/25, compared to Rs. 21.8 Bn in the previous year. Interest income remained the primary contributor to overall revenue. The interest income on the lending portfolio increased by 6.5% owing to the expansion of the credit portfolio and effective pricing of the lending base, against the backdrop of declining interest rates. Meanwhile, interest income attributed to the treasury portfolio recorded a significant decrease of 50% compared to the prior year, the result of downward pricing of the investment portfolio linked to the reduction of market interest rates. Moreover, excess funds reduced by 36% owing to the Company's decision to pursue broad-based lending on the back of the economic resurgence in the country. Proactive measures in managing funding costs and optimising excess liquidity saw interest expenses declining sharply from Rs. 6.5 Bn in 2023/24 to Rs. 4.8 Bn in the current year, reflecting a 26% reduction, year on year. The growth in lending activities and strategic funding cost management efforts helped to contain the decline in net interest income to 4%. The net interest income for the year was Rs. 12.06 Bn, compared to Rs. 12.59 Bn in the previous year.



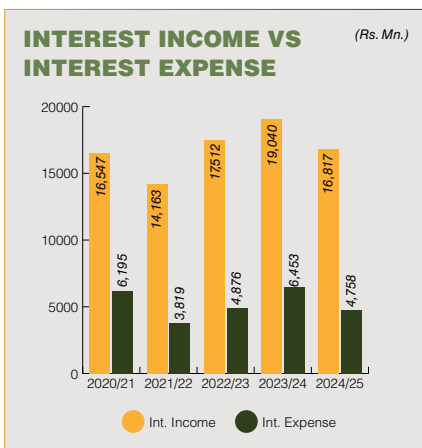
The Company's interest income for the period stood at Rs. 16.82 Bn, compared to Rs. 19.04 Bn in the previous year. Leasing remained the largest contributor to interest income. Amid a continuously declining interest rate environment and improved returns in the equity market, part of the excess liquidity initially allocated to government securities was redirected toward equity investments, such as equity unit trusts, at the beginning of the year, but was later channelled to support CF's credit expansion strategies. With the early signs of macroeconomic improvements and resultant increase in credit demand, the Company strategically increased the new credit business volumes by reallocating funds from its treasury portfolio to the core business operation, i.e leasing business and lending for working capital requirements. Consequently, driven by expansion in leasing and lending

Capital Management Review - Financial Capital

business volumes, interest income from core credit operations grew by Rs. 839 Mn, reflecting a 6% increase compared to the previous year, a commendable achievement given the significant reduction in interest rates.

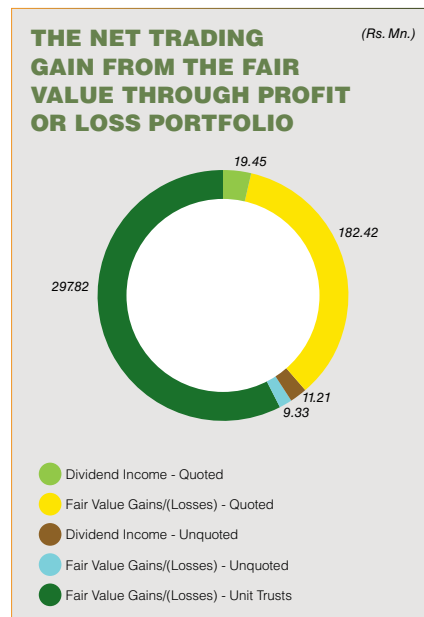
Return on investments from government securities, fixed deposits, and corporate debt instruments dropped to Rs. 3 Bn, down by 50%, from the Rs. 6 Bn reported in the previous year. This decline was due to the Company's strategic shift of excess investments towards credit expansion, leveraging reduced market interest rates and increased lending opportunities. Additionally, the Company invested Rs. 3 Bn in Debentures of Licensed Commercial Banks during 2024/25 to secure a pricing advantage for a longer tenure.

Despite a slight decline of 4% from Rs. 12.59 Bn to Rs. 12.06 Bn, the net interest income remained stable. The Company has implemented proactive strategies to manage funding costs effectively by competitively pricing deposit rates in line with market interest rates and reducing exposure to high-interest-bearing time deposits through the downward re-pricing of its deposit base as interest rates gradually declined during the financial year.



Backed by the strong performance in the local equities market, CF's net trading gain from the fair value through profit or loss portfolio increased by 114%, reaching Rs. 520 Mn, compared to Rs. 243 Mn in the previous year. This

growth was primarily driven by a Rs. 298 Mn fair value gain from investments in the unit trust portfolio, a significant increase from the Rs. 112 Mn recorded in 2023/24. Additionally, investments in quoted shares contributed to this improvement, generating a Rs. 182 Mn fair value gain and Rs. 19 Mn in dividend income.

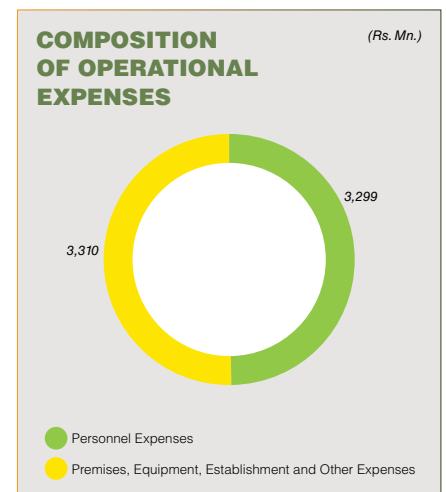
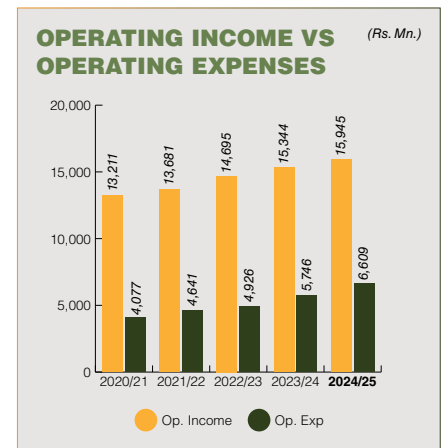
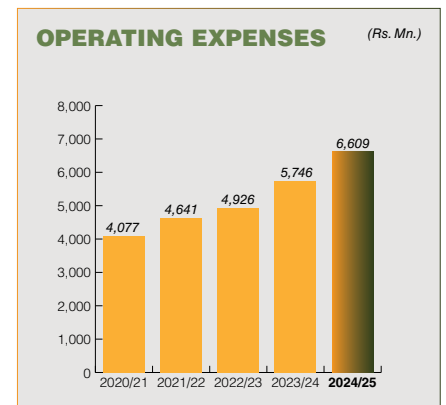


Other operating income from the vehicle hiring business also grew by 24%, reaching Rs. 1.5 Bn in 2024/25, reflecting the expansion of this business segment. Furthermore, other income increased by Rs. 566 Mn, marking a 43% growth compared to the previous year. This was primarily attributed to service charges earned through lending core business operations, as well as gains from the disposal of property, plant, and equipment, mainly on the sale of vehicles returned by vehicle hire customers.

OPERATING EXPENSES

The Company's total operating expenses for the year amounted to Rs. 6.6 Bn, up 15% from Rs. 5.7 Bn reported in 2023/24. This increase was primarily driven by a 14% increase in personnel expenses, which reached Rs. 3.3 Bn, due to salary increments and other staff-related costs, including performance-based incentives. Additionally, other expenses increased by 16%, contributing to the overall

cost escalation. Despite this increase, the Company remained committed to maintaining relatively lower operating expenses by implementing cost-efficiency measures by closely monitoring key cost drivers, streamlining business processes, and enhancing employee productivity to ensure sustainable financial performance.



COST TO INCOME

The Company's cost-to-income ratio increased to 41% during the year under review, compared to 37% in the previous year. This rise was primarily driven by the sizeable 15% increase in operating expenses alongside a modest 4% increase in operating income. The higher cost-to-income ratio can be attributed to inflationary pressures and the decline in net interest income.

IMPAIRMENT

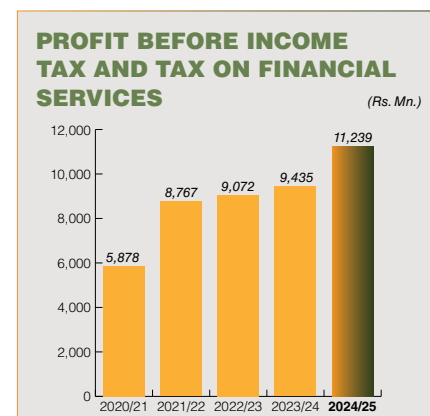
The improvement in asset quality, evidenced by the reduction in the gross NPL ratio from 7.05% to 2.76% compared to the previous financial year, is the culmination of proactive collection strategies and effective credit risk management practices, including asset-backed credit granting alongside prudent exposure limits and a data-driven credit monitoring mechanism. This resulted in a reversal of the impairment

allowance amounting to Rs. 1.9 Bn during the year under review. Additionally, gradual improvements in macroeconomic variables such as exchange rates, interest rates, inflation, and GDP growth, along with a reassessment of management overlay scenarios due to improved credit quality, contributed to this outcome. This was achieved despite strict criteria for reclassifying NPLs to PLs in accordance with Section 4.3.1 (i) of the Finance Business Act Direction No. 01 of 2020 - Classification & Measurement of Credit Facilities.

PROFIT BEFORE AND AFTER TAXES

Due to the strong operational performance, CF's profit before taxes (income tax and taxes on financial services) increased to Rs. 11.24 Bn, reflecting a commendable 19% growth from Rs. 9.4 Bn in the previous year. Consequently, the tax on financial

services rose by 10%, reaching Rs. 2.07 Bn, compared to Rs. 1.88 Bn in 2023/24. The income tax expense for the year stood at Rs. 3.18 Bn, up from Rs. 2.76 Bn in the previous year, due to increased profitability. The Company recorded a profit after tax of Rs. 5.98 Bn, marking an increase from Rs. 4.79 Bn in 2023/24.



Horizontal Analysis of the Statement of Financial Position

As at 31 March	2025	%	2024	%	2023	%	2022	%	2021	%
	Rs.'000		Rs.'000		Rs.'000		Rs.'000		Rs.'000	
Assets										
Cash and cash equivalents	874,621	16	755,076	43	528,494	(24)	697,234	(25)	930,383	39
Financial Assets measured at fair value	1,466,670	(52)	3,029,889	702	377,996	(61)	968,093	(93)	14,299,981	169
Net investment in leases, hire purchase and loans and advances	66,123,663	32	50,147,952	8	46,327,686	(21)	58,629,427	(9)	64,522,014	(18)
Other interest earning assets	20,999,120	(36)	32,690,206	10	29,742,452	14	26,135,162	204	8,605,370	(3)
Investment in subsidiaries	407,979	-	407,979	7	381,614	14	333,614	9	306,481	6
Investment in equity accounted investees	1,834,063	6	1,731,672	5	1,654,509	8	1,538,020	6	1,454,646	-
Property, Plant and Equipment, Investment Property, Right of Use Assets and Intangible Assets	12,739,871	12	11,405,815	6	10,730,959	(1)	10,806,083	(2)	11,035,782	(3)
Other assets	565,173	(2)	578,174	22	472,512	(49)	932,726	112	439,419	(34)
Total Assets	105,011,160	4	100,746,763	12	90,216,222	(10)	100,040,359	(2)	101,594,076	(5)
Liabilities										
Due to Banks	452,705	9	414,157	97	209,506	(31)	303,767	(88)	2,535,935	(72)
Due to Depositors	42,122,280	(5)	44,200,604	15	38,532,558	(21)	49,024,182	(7)	52,587,069	(2)
Other liabilities	7,230,733	24	5,813,390	5	5,551,478	(11)	6,246,229	(4)	6,520,416	(28)
Total liabilities	49,805,718	(1)	50,428,151	14	44,293,542	(20)	55,574,178	(10)	61,643,420	(14)
Equity										
Stated capital	2,230,286	-	2,230,286	-	2,230,286	-	2,230,286	14	1,961,597	16
Reserves	52,975,156	10	48,088,326	10	43,692,394	3	42,235,895	11	37,989,059	12
Total equity	55,205,442	10	50,318,612	10	45,922,680	3	44,466,181	11	39,950,656	12
Total liabilities and equity	105,011,160	4	100,746,763	12	90,216,222	(10)	100,040,359	(2)	101,594,076	(5)

Capital Management Review - Financial Capital

The horizontal analysis of the Company's Statement of Financial Position highlights its strong financial position and performance, characterised by steady growth in assets and equity over the past five years. While there were slight declines in asset and equity growth in certain years due to strategic management decisions aimed at ensuring long-term stability and sustainable growth

due to macro-economic uncertainty, the Company's equity base increased by 38% compared to its position as of 31 March 2021. The primary driver of this overall growth has been the increase in the credit portfolio & treasury portfolio, underscoring the Company's operational strength and success. Over the past five years, CF has reduced its external liabilities, including customer deposits and bank borrowings,

as external funding was primarily linked to treasury funding requirements. The Company's capital position has also strengthened in comparison to industry peers. As macroeconomic uncertainties subside and economic activities resume, CF will aim to further expand its operations and asset base, with a focus on mobilizing customer deposits in the future.

Vertical Analysis of the Statement of Financial Position

As of 31 March	2025	%	2024	%	2023	%	2022	%	2021	%
	Rs.'000		Rs.'000		Rs.'000		Rs.'000		Rs.'000	
Assets										
Cash and cash equivalents	874,621	1	755,076	1	528,494	1	697,234	1	930,383	1
Financial Assets measured at fair value	1,466,670	1	3,029,889	3	377,996	0	968,093	1	14,299,981	14
Net investment in leases, hire purchase and loans and advances	66,123,663	63	50,147,952	50	46,327,686	51	58,629,427	59	64,522,014	64
Other interest earning assets	20,999,120	20	32,690,206	32	29,742,452	33	26,135,162	26	8,605,370	8
Investment in subsidiaries	407,979	0	407,979	0	381,614	0	333,614	0	306,481	0
Investment in equity accounted investees	1,834,063	2	1,731,672	2	1,654,509	2	1,538,020	2	1,454,646	1
Property, Plant and Equipment, Investment Property, Right of Use Assets and Intangible Assets	12,739,871	12	11,405,815	11	10,730,959	12	10,806,083	11	11,035,782	11
Other assets	565,173	1	578,174	1	472,512	1	932,726	1	439,419	0
Total Assets	105,011,160	100	100,746,763	100	90,216,222	100	100,040,359	100	101,594,076	100
Liabilities										
Due to Banks	452,705	0	414,157	0	209,506	0	303,767	0	2,535,935	4
Due to Depositors	42,122,280	40	44,200,604	44	38,532,558	43	49,024,182	49	52,587,069	52
Other liabilities	7,230,733	7	5,813,390	6	5,551,478	6	6,246,229	6	6,520,416	6
Total liabilities	49,805,718	47	50,428,151	50	44,293,542	49	55,574,178	56	61,643,420	61
Equity										
Stated capital	2,230,286	2	2,230,286	2	2,230,286	2	2,230,286	2	1,961,597	2
Reserves	52,975,156	50	48,088,326	48	43,692,394	48	42,235,895	42	37,989,059	37
Total equity	55,205,442	53	50,318,612	50	45,922,680	51	44,466,181	44	39,950,656	39
Total liabilities and equity	105,011,160	100	100,746,763	100	90,216,222	100	100,040,359	100	101,594,076	100

The vertical analysis of the Company's Statement of Financial Position provides a comprehensive overview of its asset and liability structure over the past five years. The credit portfolio and other interest-earning assets constitute the majority of the Company's total asset base, ranging from 72% to 85%, reflecting

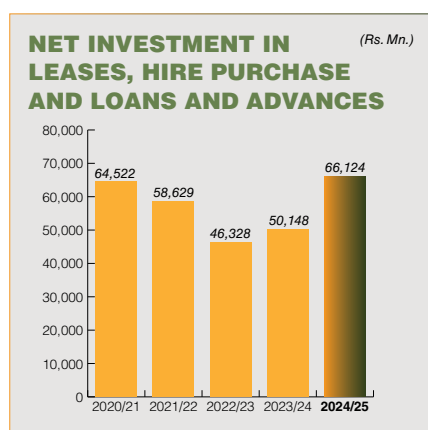
its core business focus. On the funding side, customer deposits have contributed an average of 45% to the asset base, while equity has accounted for an average of 47% over the past five years. The Company's total equity base has strengthened from Rs. 40 Bn in 2020/21 to Rs. 55 Bn in 2024/25, increasing its

contribution to the funding base from 39% in 2020/21 to 53% in 2024/25. With its strong financial performance, robust liquidity, and solid capital buffers, the Company is well-positioned for future growth and long-term value creation.



LOAN BOOK

CF's loan portfolio comprises leases, term loans, business loans, auto loans, sub-loans, and loans secured against fixed deposits. In the current financial year, the Company's loan book experienced a significant growth of 32%, a notable improvement from the 8% reported in the previous year, CF's loan book grew to Rs. 66 Bn as of 31 March 2025, up from Rs. 50 Bn at the end of the previous financial year. This expansion is largely attributed to ongoing efforts to grow the leasing business, which remains core focus, while maintaining a rigorous approach to credit risk management. The leasing portfolio alone grew by Rs. 12 Bn, reaching Rs. 57 Bn by the end of the year. Furthermore, strategic initiatives aimed at generating repeat leasing business from the existing customer base, together with new customer acquisition through targeted promotion campaigns and promoting working capital financing for corporate entities and SMEs, collectively contributed towards driving loan book growth.

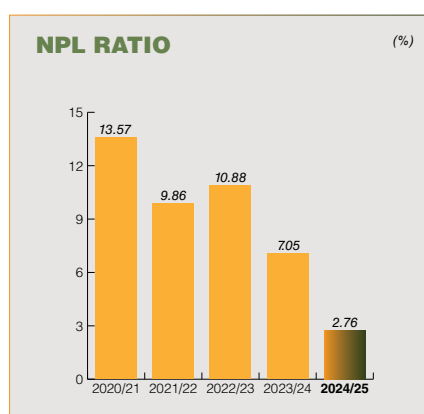


ASSET QUALITY AND IMPAIRMENT

As of March 2025, CF's gross non-performing loan (NPL) ratio declined to 2.76%, a notable improvement from 7.05% in March 2024. As of 31 March 2025, the Company recorded an impairment allowance reversal of Rs. 1.9 Bn, marking a significant

reduction from the impairment charge of Rs. 162.6 Mn recorded in the previous year. This decline can be attributed to robust credit risk management practices, strategic credit monitoring through data-driven solutions and improvements in macroeconomic conditions and resultant release of the management overlay based on reassessment of stress testing scenarios.

Furthermore, CF ensured early adoption of Section 4.3.1 (i) of Finance Business Act Direction No. 1 of 2020 - Classification & Measurement of Credit Facilities, on reclassification of non-performing loans to performing loans based on the principal and interest in arrears being fully paid or upon confirmation of the satisfactory performance of the credit facility under potential risk and ensuring compliance with the borrower's agreed repayment terms. This methodology has also been applied to the classification of Stage-3 loan facilities for Expected Credit Loss (ECL) impairment calculations as of 31 March 2025.

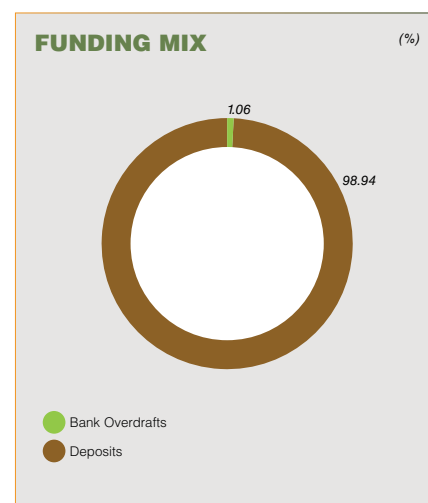


FUNDING MIX

The Company's funding mix consists of bank overdrafts and customer deposits, with deposits serving as the primary funding source, accounting for 99% of the total funding mix. As of 31 March 2025, CF's total deposit base stood at Rs. 42.1 Bn, compared to Rs. 44.2 Bn as of 31 March 2024. The reduction is the result of the strategic decision by the

management to optimise excess liquidity held within the Company. Consequently, deposit mobilisation was undertaken based on treasury funding requirements, ensuring efficient liquidity management. Meanwhile, capitalising on the prevailing low-cost funding environment, the utilisation of overdrafts increased to 1.06% of the total funding mix, up from 0.93% in the previous year,

Additionally, to support the strategic focus on credit expansion in the coming years, CF will aim to leverage the lower interest rate environment to mobilise customer deposits as the primary source of funding for business operations.

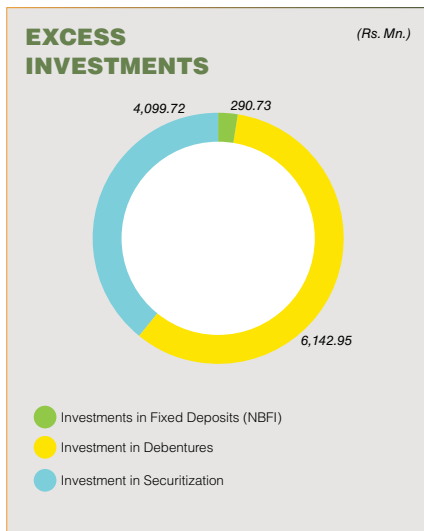
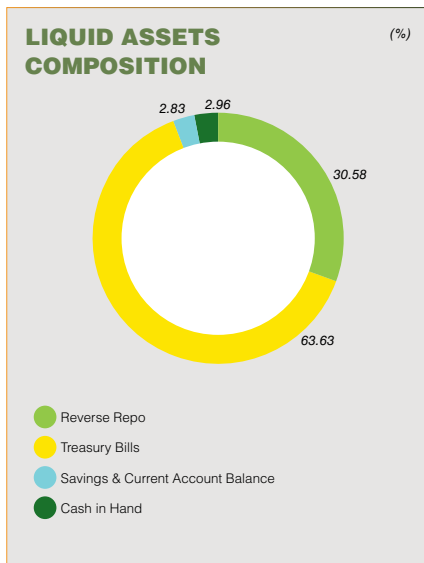


LIQUIDITY

CF maintained a strong liquidity position throughout the year, supported by a diversified portfolio of reverse repurchase agreements, treasury bills, fixed deposits, savings and current account balances, and cash in hand. As of 31 March 2025, total liquid assets stood at Rs. 11.1 Bn, significantly exceeding the regulatory requirement of Rs. 4.3 Bn. In addition to these regulatory liquid assets, another Rs. 10.5 Bn was held in short-term and long-term investments, including securitisation and fixed deposits held in NBFIs and corporate debentures, as part of its excess investment portfolio. The increase in credit demand during the year prompted the Company to reduce

Capital Management Review - Financial Capital

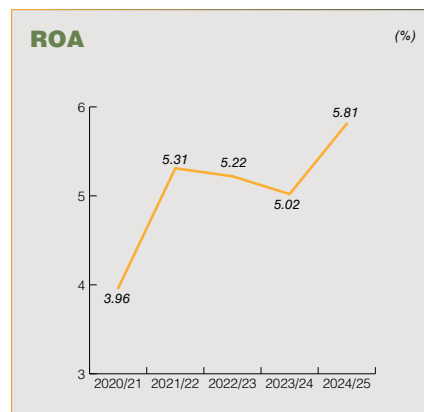
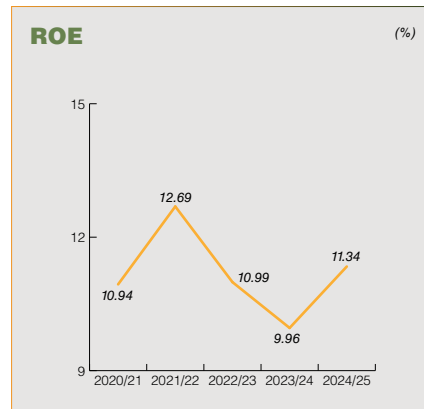
its excess liquidity levels and reallocate funds from government securities to its credit portfolio, in order to capitalise on business opportunities. Moving forward, CF remains committed to prudent liquidity management, ensuring a balance between financial stability and future growth.



RETURN ON EQUITY AND RETURN ON ASSETS

Driven by the consistent focus on enhancing shareholder value and its effective management of operations and risk, CF achieved a Return on Equity (ROE) of 11.34% and a Return on Assets

(ROA) of 5.81% as of 31 March 2025 compared to previous year reported ratios of 9.96% and 5.02% respectively.



SHAREHOLDERS FUNDS

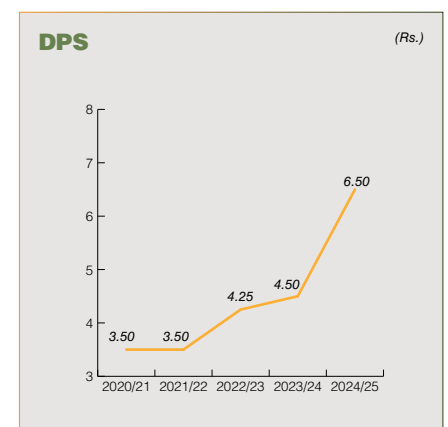
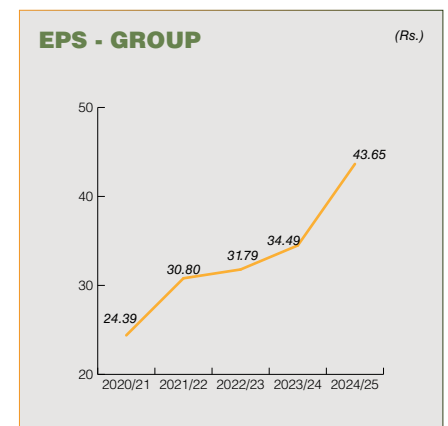
During the current fiscal year, both the Group's and the Company's Shareholders' funds recorded notable growth, increasing by 13% and 10%, respectively, driven by the profits generated by the Company, its subsidiaries and associates. Total equity value increased to Rs. 77.2 Bn for the Group and Rs. 55.2 Bn for the Company, compared to Rs. 68 Bn and Rs. 50.3 Bn in the previous year.

As of 31 March 2025, the Company had a total of 4,247 public shareholders. Throughout the financial year, CF's shares were actively traded on the Colombo Stock Exchange, with the highest and lowest market prices recorded at Rs. 226.00 and Rs. 100.25, respectively.

The Net Asset Value per Share (NAV) of the Company for the year under review increased to Rs. 242.82, up from Rs. 221.32 in the preceding year. Additionally, Earnings per Share (EPS) of the Company rose to Rs. 43.65 in the financial year 2024/25, compared to Rs. 34.49 in the previous year.

In terms of shareholder returns, the Company declared an interim cash dividend of Rs. 2.75 per share, while a final cash dividend of Rs. 3.75 per share has been proposed for approval at the upcoming Annual General Meeting.

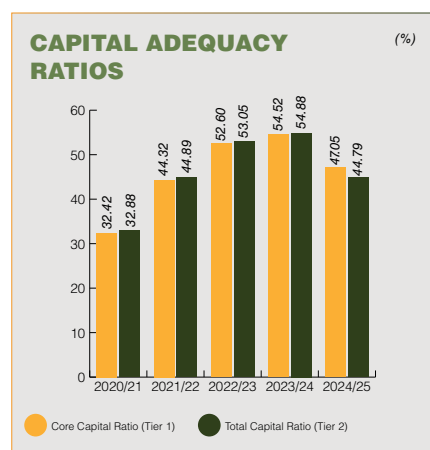
CF remains committed to prudent and board-approved policies, including a robust dividend policy, ensuring that capital levels remain aligned with both current performance and future business expansion objectives



CAPITAL ADEQUACY

CF maintained its strong capital position throughout the year, reaffirming its status as a well-capitalised financial institution. This financial stability enhances the Company's resilience while eliminating the need for aggressive customer deposit mobilisation or engagement in high-risk lending activities.

In terms of capital adequacy, CF consistently remained well above both the regulatory minimum requirements and the industry average. As of 31 March 2025, the Company's Core Capital Ratio stood at 47.05%, while the Risk-Weighted Total Capital Ratio was 44.79%, significantly exceeding the regulatory requirements of 10% and 14%, respectively.



Commitment Towards Sustainability

CF reinforced its commitment to sustainability by establishing the Sustainability Management Steering Committee during the year. This initiative aims to enhance sustainable business practices in line with Environmental, Social, and Governance (ESG) principles relevant to the financial sector. A key focus of the Committee is to position CF as a responsible and forward-thinking organisation, meeting both local and global sustainability expectations while fostering a strong sustainability culture within the Company. While developing

sustainability strategies, the Committee provides strategic direction for implementing SLFRS S1 and S2, ensuring compliance with evolving sustainability reporting standards. To facilitate this transition, CF has engaged external consultants.

Further, CF developed and published its Environmental, Social, and Governance (ESG) Sustainability Policy during the year.

To strengthen its sustainability framework, the Company is actively enhancing its systems and processes for identifying, measuring, monitoring, and managing sustainability-related risks and opportunities. Additionally, preparations are underway to align with the SLFRS Sustainability Disclosure Standards, ensuring compliance with prescribed reporting timelines.

ROADMAP FOR THE FUTURE

Category	Short Term (1 Year)	Medium Term (2-3 Years)	Long Term (3+ Years)
Capital Adequacy	40%	35%	30%
Credit Growth	30% portfolio growth	20% portfolio growth	20% portfolio growth
Income Growth	Maintain at the current level	20% increase	20% increase
Total Assets	Rs. 120 Bn	Rs. 150 Bn	Rs. 200 Bn



MANUFACTURED CAPITAL

CF's manufactured capital comprises physical and technological infrastructure that supports its business operations to enable the achievement of the Company's objectives and meet stakeholder deliverables. This includes an extensive branch network and cutting-edge digital channels, supported by state-of-the-art IT infrastructure and ecosystems, collectively ensuring seamless connectivity, operational efficiency, and enhanced customer experiences.

INPUTS

- Branch Network
- Digital Channels
- IT Infrastructure
- Business Continuity Framework
- Information Security Systems



VALUE TRANSFORMATION

MATERIAL MATTERS

- Financial Stability & Growth
- Trust & Transparency
- Brand Visibility and Market Reach
- Customer Experience
- Digital Transformation
- Business process transformation/data analytics / operational excellence
- Cybersecurity & Customer Data Protection
- Financial inclusion

MANAGEMENT APPROACH

CF adopts a disciplined and systematic approach to developing its Manufactured Capital, ensuring that investments in both physical and digital infrastructure resonate with the Company's long-term objectives. This approach prioritises operational resilience, technological innovation, and sustainability, enabling CF to maintain a competitive edge in the non-bank financial services sector.

KEY ACTIONS

- 6 branch relocations
- Invest in branch renovation and vehicle yards to enhance its facilities and acquisition of new equipment for fleet maintenance
- Strengthen disaster recovery and high-availability capabilities
- Enhance threat detection and proactive monitoring
- Expand digital services and platforms
- Integrate data analytics for informed decision-making
- Implement future-proof security architecture using AI

OUTPUTS FOR CF

IMPACT ON OTHER FORMS OF CAPITAL

Driving revenue growth and reducing cost-to-serve	FC
Better visibility enhances brand positioning	IC
Promoting greater financial inclusion helps to foster customer trust and loyalty	S&RC

STAKEHOLDER OUTCOMES

- Improved island-wide access to financial services for diverse customers across Sri Lanka, driving increased economic participation and leading to greater regional development
- Seamless 24x7x365-day access through digital channels to enable greater control over finances anytime, anywhere
- Reliable and efficient service delivery owing to digitised back-end operations, leading to faster processing times and higher customer satisfaction

SDG'S



Capital Management Review - Manufactured Capital

BRANCH NETWORK

CF's branch network, comprising 103 branches, is one of the largest branch networks within the local Non-Bank Financial Institution (NBFI) sector. It is also one of the most geographically diverse networks with strong provincial and district-level presence, underscoring our commitment to expanding market reach and promoting financial inclusion. Through a well-planned branch investment strategy, we have established a strong presence across urban, suburban, and rural areas, ensuring that individuals and businesses in these regions have access to essential financial services. Moreover, by strategically positioning our branches in underserved and high-potential regions, we strive to bridge financial gaps, empower communities, and drive greater economic participation across Sri Lanka.

CF'S STRATEGIC APPROACH TO INVESTING IN BRANCH NETWORK EXPANSION

The process of establishing new branches follows a rigorous and structured approach aimed at ensuring each new CF branch is strategically positioned for optimal market penetration and long-term sustainability.

Having made substantial investments over the years to establish a robust island-wide presence, no new branches were added to the network in the current financial year. However, as part of our ongoing branch improvement programme, the Branch Administration Department, in collaboration with Regional Managers, regularly reviews branch infrastructure development and relocation requirements. These evaluations consider the need for relocating branches based on the potential for business growth and opportunities to enhance customer

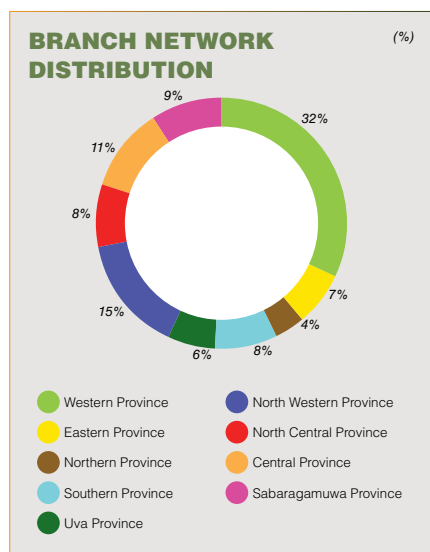
convenience and experience at branch premises, ultimately improving customer engagement and satisfaction. On this basis, six branches were relocated to more accessible locations in keeping with our commitment to enhance customer convenience while prudently managing cost-to-serve through more cost-efficient lease renewal arrangements.



To ensure the safety of customers, employees, and third parties visiting its branches, the Company has implemented a comprehensive security and monitoring system. This includes a centrally monitored 24-hour CCTV surveillance mechanism to oversee branch operations in real time. Additionally, on-site security personnel, sourced from outsourced security providers, are deployed to enhance protection for customers, employees, and infrastructure.

Each branch is also equipped with fire safety measures, including fire extinguishers, fire hydrant systems and smoke detectors. Furthermore, the Company conducts regular awareness programs to educate staff on evacuation procedures and basic fire fighting techniques, ensuring preparedness in case of emergencies.





As part of our overall approach to managing cost-to-serve, a strong emphasis continues to be placed on improving branch efficiency. These efforts gathered momentum in the year under review, supported by significant investment in technology to enhance both front-end and back-end system architecture with a view to enhancing service delivery and streamlining workflows, ultimately driving higher productivity and superior customer experiences.

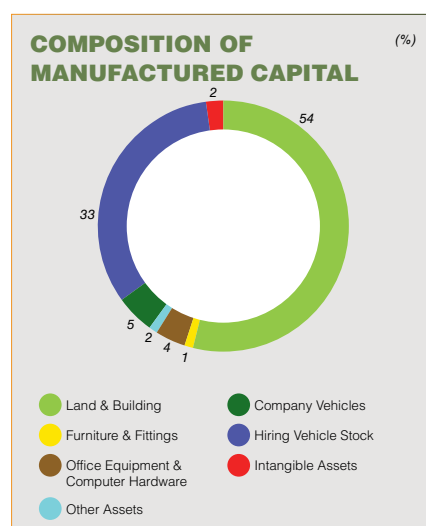
Key highlights included the new intercom system to enable employees to stay accessible even when away from the branch. As a result, customers are now able to reach staff more conveniently. The new system has also led to a notable reduction in telecommunication and maintenance costs, contributing to improved overall efficiency.

Meanwhile, recognising the importance of market-driven outreach, we established specialised marketing units within selected branches located in high-potential geographic areas. These units are designed to enhance customer convenience and support business growth by fostering deeper customer relationships and promoting our products and services more effectively.

In alignment with evolving customer expectations, we transitioned from the traditional suggestion box to digital platforms for collecting customer feedback. This shift has made it easier and more convenient for customers to share their experiences, while enabling us to evaluate and respond to feedback more efficiently. The digital system allows for the timely resolution of issues and reinforces our commitment to service excellence.

More recently, we have also commenced a project to embed Environmental, Social, and Governance (ESG) considerations across our branch network, led by dedicated Regional Work Teams to oversee initiatives to reduce paper usage and improve the overall efficiency of branch operations.

The below chart illustrates the Company's total property, plant, and equipment as of March 31, 2025. The total asset value stands at Rs. 11.9 Bn, with Freehold Land and Buildings comprising 54%.



DIGITAL CHANNELS

Our investment in digital channels is driven by the goal of meeting evolving customer expectations for convenience, speed, and accessibility. As more customers shift towards digital engagement, the Company aims to strengthen its presence across online

platforms to offer seamless, anytime-anywhere access to its products and services.

CF's digital channel suite, comprising Centrix and CF Click, both robust mobile app-based platforms, serves as a testament to the Company's legacy as a dynamic and innovative financial services provider committed to providing unparalleled convenience and accessibility to its valued customers. With Centrix and CF Click, Central Finance is leading the way in providing smarter, faster, and more accessible financial solutions for everyone, ensuring the highest levels of security in compliance with industry best practices and regulations.

In the year under review, we intensified efforts to encourage the use of the CF Click app among existing customers, facilitating Fixed Deposit (FD) and savings transactions online as well as rental payments. Centrix was aggressively promoted to streamline transactions and payments, significantly improving customer convenience. CF remains committed to continuous innovation and enhancements of its digital services to ensure our customers consistently receive the best technology and exceptional service standards.

CF CLICK

CF Click is an intuitive mobile app that offers Fixed Deposit, Savings, and Leasing account holders greater control over their finances. By integrating a comprehensive suite of features into a user-friendly platform, CF Click allows customers to view balances, transfer funds, open Fixed Deposits, and make payments for lease rentals and utility bills.

The app also allows users to request quick loans, access CRIB information, and book budget hire services. Additional tools like Digital Box communication, account statement requests, and loans against Fixed Deposits enhance functionality.

Capital Management Review - Manufactured Capital

With features such as Park & Go, branch locators, product rate views, and FAQs, CF Click delivers unmatched accessibility, empowering customers to manage finances with ease and efficiency.

CENTRIX

Centrix represents the future of financial integration. Enabled by the JustPay platform, it offers a fully integrated 360-degree fund transfer capability. This app is specifically designed with our leasing customers in mind, offering an intuitive registration process, instant access to lease account information, and the ability to make monthly lease payments using any bank account.

Leasing customers can effortlessly access account information, pay monthly rentals using any bank account, and manage finances on the go. With its intuitive design, secure transactions, and real-time updates, Centrix simplifies financial tasks, enhances convenience, and ensures a smooth, user-friendly journey for all Central Finance customers.

IT INFRASTRUCTURE

Operating in the highly competitive and fast-evolving non-bank financial institutions sector, CF appreciates the critical importance of robust, resilient and scalable IT infrastructure in supporting the Company's core business operations. On this basis, we have, over the years, invested in building our core IT infrastructure to provide the foundational support for operational continuity and business growth, while ensuring seamless service delivery and enhanced customer experiences.

CF's primary site serves as the backbone of the Company's daily operations. Consisting of high-performance servers, data storage systems, and network components, our primary site is equipped with cutting-edge technology designed to deliver optimal performance, high availability and quick access to critical applications and data.

Disaster Recovery (DR) infrastructure works seamlessly with our primary site, safeguarding data to ensuring business continuity by minimising the impact of disruptions on our operations. The DR setup integrates advanced technologies that support database replication, application server redundancy, and secure communication management. In the event of a failure at the primary site, our DR infrastructure ensures that operations can be swiftly redirected to the backup systems, minimising downtime and protecting business-critical functions.

In the year under review, CF made significant investments and advancements to strengthen its DR systems with a view to enhancing operational resilience, optimising performance, and protecting critical data and systems. Looking ahead, we are prioritising cloud adoption as part of our strategic roadmap, focusing on agility, efficiency, and cost control to build a reliable, customer-centric IT infrastructure that aligns with our long-term goals.

BUSINESS CONTINUITY FRAMEWORK

Our Business Continuity Framework is designed to ensure the ongoing resilience and operational stability of our organisation in the face of unexpected disruptions. It encompasses comprehensive strategies for disaster recovery, risk management, and crisis response, ensuring that critical business functions can continue with minimal downtime. The framework is built on industry best practices and conforms to regulatory guidelines of the Central Bank of Sri Lanka (CBSL). Regular testing and updates are conducted to assess sensitivity to evolving threats and challenges. By focusing on robust planning, proactive risk mitigation, and seamless communication, we ensure that our organisation remains agile and responsive, safeguarding both our operations and the interests of our

customers, stakeholders, and partners. This commitment to business continuity reflects our dedication to maintaining service excellence and operational integrity under all circumstances.

INFORMATION SECURITY SYSTEMS

CF's Information Security Framework is a robust and comprehensive system designed to protect the integrity, confidentiality, and availability of internal data and IT infrastructure. It is built on a combination of policies, controls, technologies, and practices aimed at identifying, managing, and mitigating risks associated with cyber threats and data breaches. These compliance requirements and best practices are encapsulated in a comprehensive IT and cybersecurity policy framework, operationalised through substantial investments in developing a well-structured information security architecture. Planned due diligence activities are regularly conducted to verify the effectiveness of the Company's information systems, including evaluating policy completeness, configurations, and access controls to ensure alignment with established policies and industry best practices. Additionally, regular compliance assessments are carried out to ensure that our internal security practices meet both regulatory requirements and Company security objectives. The entire security framework, including risk management processes, incident response protocols, and compliance with legal and regulatory requirements, is also reviewed as part of annual assessments, with immediate corrective actions taken to address any identified gaps.



ROADMAP FOR THE FUTURE

Category	Short Term (1 Year)	Medium Term (2-3 Years)	Long Term (3+ Years)
Branch Network	● Open 10 new branches. ● Promote sustainability in branches. ● Open new marketing units in potential markets to strengthen future growth.	● Strengthen cost-saving initiatives. ● Recruit new marketing staff for portfolio growth.	● Explore further market expansion. ● Continuously optimise branch operations for sustainability and efficiency.
Digital Channels	● Expand digital footprint for seamless customer service.	● Drive leasing segment innovation using technology. ● Integrate more self-service options, providing customers with seamless access to financial services anytime, anywhere.	● Establish leadership in Sri Lanka's digital financial services by investing in cutting-edge financial technologies. ● Leading digital transformation by enhancing customer engagement and streamlining operations to drive efficiency and value. Expand digital services, leverage emerging technologies, and form strategic partnerships to strengthen our presence and meet evolving customer needs.
IT Infrastructure	● Upgrade key systems and hardware to ensure stability and better performance, including strengthening network capabilities for improved service delivery.	● Transition more systems to the cloud to enhance scalability and flexibility while reducing on-premise hardware dependencies. Strengthen disaster recovery plans and improve high-availability solutions.	● Establish a fully integrated, resilient, and agile IT infrastructure, ensuring seamless performance and support for future business needs.
Information Security (IS)	● Strengthening security measures, improving threat detection, and enhancing proactive monitoring and incident response to address emerging risks	● Strengthen third-party risk management with rigorous assessments. ● Further strengthen security measures to enhance monitoring and control, ensuring robust oversight of critical systems.	● Adoption of innovative cybersecurity technologies to stay ahead of threats. ● Build a future-proof security architecture, incorporating emerging technologies and proactive threat intelligence to anticipate and mitigate evolving cybersecurity risks. Regularly review and update security policies to align with global standards and industry best practices.



INTELLECTUAL
CAPITAL

CF’s Intellectual Capital comprises the key attributes including the unique CF brand, organisational values, knowledge base and other systems that safeguard the Company’s market leadership in the local NBFi sector.

BRAND CREDENTIALS

Having earned the trust of Sri Lankans across the country for more than 6 decades, Central Finance Company PLC (CF) today stands as one of the most respected financial institutions in the local NBFi sector. Established in 1957, CF has continued to lead by example in raising the bar for the local NBFi sector through the provision of industry-leading financial solutions to enable people and businesses to achieve their financial goals.

At the heart of CF’s brand DNA lies a customer-centric approach, which has been instrumental in shaping the Company’s growth trajectory. Understanding the diverse needs of its customers, CF has continuously refined its service offerings to provide tailored financial solutions for Sri Lanka’s multi-generational population. In recent years, the focus on integrating digital advancements to enhance accessibility, has added a significant boost to the Company efforts to differentiate itself by personalising the services offered to various customer segments.

BRAND ACHIEVEMENTS FOR 2024

Fitch Upgraded Central Finance Company PLC (CF) rating to ‘A(lka)’ from ‘A-(lka)’; Outlook Stable. The rating underpins its position as the highest-rated standalone FLCs in Fitch’s Sri Lankan coverage.

Business Today Top 40 2023 - 2024 - Central Finance Company PLC - Ranked in 25th place

The LMD 100 - Central Finance Company PLC - Ranked in 59th place

INPUTS

- Brand Credentials
- Ethics & Integrity
- Knowledge Base
- Memberships and Affiliations



VALUE TRANSFORMATION

MATERIAL MATTERS

- Trust & Transparency
- Digital Transformation
- Customer Experience
- Business Process Transformation/ Data Analytics/ Operational Excellence

MANAGEMENT APPROACH

Continuously refine and strengthen CF's distinctive capabilities while fostering seamless synergy between all elements in line with the Company's strategic objectives. This strategic alignment aims to bolster CF's competitive edge and strengthen business resilience to create the foundation for long-term success in a rapidly evolving business landscape.

KEY ACTIONS

- Strengthening CF's brand architecture to reinforce its position as the trusted partner for financial services across all customer segments
- Digital marketing campaign with the extensive use of digital and social media platforms to drive brand visibility and engagement
- Special brand building and awareness and brand positioning campaign
- Knowledge base improvement

OUTPUTS FOR CF

IMPACT ON OTHER FORMS OF CAPITAL

Consistent all-round brand performance helps to bolster the financial stability	FC
Better visibility strengthens trust and enhances customer confidence	S&RC
A strong knowledge base paves the way for the development of a strong talent pipeline through mentoring, coaching and continuous learning	HC
Data-driven decision making enhances the efficiency of operational infrastructure and reduces waste generated	MC / NC

STAKEHOLDER OUTCOMES

- Strengthened competitive advantage to support long-term profitability, in turn leading to improved results for stakeholders
- Improved product and service quality, innovative financial solutions, and enhanced customer experiences
- Enhanced learning and development opportunities, career growth, and skill advancement for employees through continuous knowledge-sharing and innovation

SDG'S



Capital Management Review - Intellectual Capital

Financial stability has always been the hallmark of CF's reputation. Since its inception, the CF brand has been synonymous with financial excellence with a strong balance sheet supported by incremental asset growth alongside robust year-on-year profitability, effectively cementing the Company's status among the top-tier financial institutions in Sri Lanka.

LAUNCH OF CF'S DIGITAL MARKETING STRATEGY

The year 2024 marked the Company's entry into the digital space, laying the groundwork for future success by combining innovative strategies, engaging content, and a customer-focused approach. CF launched a diverse array of digital content to build brand awareness and foster meaningful customer engagement. These included creative social media flyers and video content that resonated with audiences, particularly younger demographics. In a bold move, CF also began incorporating its own employees into digital content in an attempt to foster stronger connections with audiences by showcasing the people behind the brand. This initiative not only personalised the brand but also highlighted the team's expertise and dedication. A standout achievement was CF's performance on TikTok, where the Company gained over 12,000 followers within a short time, a testament to the effectiveness of the Company's strategy in driving engagement and increasing brand visibility. Moreover, targeted campaigns further improved lead quality and conversion rates, delivering measurable results that supported business growth.

As part of this strategy, CF conducted a special brand building and awareness campaign and brand positioning campaign targeting the Jaffna peninsula.

to complete mandatory training on key conduct guidelines. These online training modules cover various topics, including customer protection frameworks, IT security protocols and anti-money laundering (AML) regulations. Employees are required to pass these assessments, with confirmation of completion needed for their continued employment.

CF also thrives on its 5 values. Across the company training is conducted on the values of CF and staff are appreciated and rewarded when they display the values in their day-to-day work. Employee of the Month is an award which is run across the Company and rewards staff who live the CF values.

Additionally, employees are encouraged to report unethical behaviour through a confidential whistleblower system. All whistleblower complaints are investigated thoroughly. The Company's commitment to fairness and transparency was maintained throughout the process, ensuring that any misconduct was addressed promptly and effectively.

ETHICS AND INTEGRITY

As a responsible financial services provider, CF's every action is anchored by a strong commitment to ethics and integrity, positioning the Company as a trusted and transparent financial institution that prioritises the best interests of its stakeholders while upholding the highest ethical standards.

Central to this commitment is the leadership provided by the Board of Directors. The Board sets the tone from the top and plays a critical role in fostering a culture of integrity, transparency, and accountability to ensure ethical behaviour permeates across all aspects of the organisation.

The culture of ethics and integrity at CF is institutionalised through a formal Board approved framework that is based on the Company Code of Conduct (COC) which defines the expectations and standards required from CF employees. The COC also serves as a reference guide for ethical decision-making and behaviour. The COC applies to all employees and directors without exception.

As part of CF's broader initiative to embed a strong culture of ethics right from the commencement of the employee's journey with the Company, ethics training workshops are conducted by the Head of Compliance during staff induction, to disseminate information on the Code of Conduct, Anti Money Laundering compliance standards etc. During their induction, all new recruits are also required to sign and accept the Code of Conduct, acknowledging their commitment to upholding these standards. This is reinforced by a comprehensive onboarding process, where employees are required

KNOWLEDGE BASE

The knowledge and expertise of CF's senior leadership team who contribute to the establishment of a robust institutional knowledge base, form the cornerstone of the Company's operational architecture and innovation strategy. The team comprises seasoned professionals, with many being well-regarded industry stalwarts who have been with the Company for close to a decade or more.

The diverse and multi-disciplinary leadership team brings together a wealth of experience in banking, finance, risk management, information technology, legal, customer service, data-analytics and corporate governance. Their collective knowledge allows CF to stay ahead of market trends, anticipate customer needs, and make informed decisions that enable CF to continuously evolve and adapt to an ever-changing market landscape.



Names of KRP's	Designation	No of years with CF
Mr. A K Gunaratne	Managing Director	23
Mr. D P De Silva	Deputy Managing Director	33
Mr. C K Hettiarachchi	Director - Marketing	24
Mr. C S Hettiarachchi	Director - Legal (Non-Board)	22
Mr. A K Kaluhendiwela	General Manager - Branches	23
Mr. M S Habarakadage	General Manager IT	22
Mr. L L D Prasanga	General Manager - Recoveries	15
Mr. K O V S M S Wijesinghe	Chief Strategy Officer	5
Ms. W M T W Weerasinghe	General Manager - Finance /CFO	5
Mr. R E S George	General Manager - Human Resources	3
Mr. T R Tillekeratne	Head of Compliance	5
Ms. P M Liyanage	Deputy General Manager - Audit	3
Ms. A R L Gurusinghe	Company Secretary	1
Ms. S L P Fernando	Chief Risk Officer	17
Mr. R Jayasinghe	Chief Information Security Officer	1

MEMBERSHIPS AND AFFILIATIONS

The Finance Houses Association of Sri Lanka

The Leasing Association of Sri Lanka

Fintech Forum (Guarantee) Ltd.

Financial Ombudsman Sri Lanka (Guarantee) Limited

The Employers Federation of Ceylon

The Ceylon Chamber of Commerce

MEMBERSHIPS AND AFFILIATIONS

As a financial services provider, memberships and affiliations enable CF to access critical knowledge, resources, and networking opportunities. Memberships with industry associations and regulatory bodies help the Company to stay informed of regulatory changes, emerging trends, and best practices, while affiliations strengthen CF's credibility and reputation within the industry.

ROADMAP FOR THE FUTURE

Category	Short Term (1 Year)	Medium Term (2-3 Years)	Long Term (3+ Years)
Brand Credentials	Refresh brand identity to align with modern consumer expectations. Introduce brand storytelling through digital platforms	Conduct a comprehensive brand assessment/brand perception survey to identify strengths and gaps	Aim for brand leadership in NBFI sector by creating emotional brand equity, sustainability integration, and community recognition
Ethics and Integrity	Mandate Code of Conduct certification before confirmation/promotion of employees	Create role models within the Company who live the values	Leadership in the market as a brand in ethics and integrity
Knowledge Base	Create a clear succession plan for each role	Identify critical areas of expertise and source from the market	Look at new areas of growth and get new talent and re-skill existing staff
Memberships and Affiliations	Actively participate in key associations to leverage networking and learning platforms	Deepen engagement for a strategic affiliation	Position the Company as a leader and long-term contributor



SOCIAL AND RELATIONSHIP CAPITAL

Social and Relationship Capital represents the vital connections with customers, suppliers and the community that together create an ecosystem to fuel CF's continued success, enabling us to create lasting value for all stakeholders.

INPUTS

- Product Responsibility
- Marketing and communications
- Customer evaluations and engagement
- Feedback and Complaints
- Data Privacy
- Supply Chain Management
- Economic Empowerment of Communities



VALUE TRANSFORMATION

MATERIAL MATTERS

- Financial Stability and Growth
- Brand Visibility and Market Reach
- Customer Experience
- Digital Transformation
- Trust and Transparency
- Business Process Transformation/ Data Analytics/ Operational Excellence
- Financial Inclusion

MANAGEMENT APPROACH

CF focuses on strengthening relationships with customers, suppliers and the community not only for the purpose of business success but also to reinforce its role as a responsible corporate entity committed to the growth and prosperity of all stakeholders.

KEY ACTIONS

- Implemented a fast-track credit process to expedite payments to suppliers for small ticket-size
- Launch of CF's digital marketing strategy to strengthen customer engagement
- Digitising the complaint handling process
- Signed a Participation Agreement with the National Credit Guarantee Institution Limited (NCGIL) to provide loans to MSME sector entities and WSMEs.
- Conducted 17 financial literacy sessions under the IFC partnership
- Community uplifting programs
- Customer surveys

OUTPUTS FOR CF

IMPACT ON OTHER FORMS OF CAPITAL

Strong relationships with customers help to drive business expansion and market share growth	FC
The goodwill of customers, suppliers and the community strengthens CFs reputation and industry standing	IC
Feedback and suggestions from customers enable innovation and continuous improvement	MC

STAKEHOLDER OUTCOMES

- Growth in the customer base enhances profitability, in turn leading to improved results for stakeholders
- Improved product and service quality, innovative solutions, and enhanced customer experiences
- Focus on financial inclusion enables marginalised communities to access formal financial services
- Increase in digital transaction leading to a reduction in paper waste

SDG'S



Capital Management Review - Social and Relationship Capital

CUSTOMERS

At CF, we believe that understanding and meeting customer needs is fundamental to our success and acknowledge that our business thrives on building long-term relationships based on trust, service excellence, and continuous engagement.

PRODUCT RESPONSIBILITY

As an entity licensed by the Monetary Board of the Central Bank of Sri Lanka under the Finance Business Act No. 42 of 2011 and the Finance Leasing Act No. 56 of 2000, CF strives to earn customer trust anchored by a strong commitment to product responsibility. This commitment is underpinned by a focus on offering ethical and transparent financial products that comply with regulatory standards and uphold fair business practices.

CF's principle approach to product responsibility is based on product diversity to meet the needs of various customer segments, from individuals to businesses alongside the firm conviction to ensure all products and services are accessible across both conventional channels as well as through digital platforms. Our commitment also extends to responsible lending practices where we place significant emphasis on credit assessments and initiatives designed to promote financial literacy, all aimed at protecting the customer's financial well-being.

PRODUCT RESPONSIBILITY COMMITMENTS

Product Diversity

- Leasing
- Business Loans
- Auto Loans
- Working Capital Financing Products
- Fixed Deposits & Savings Accounts
- Vehicle Hire Solutions

Responsible Lending

- Competitive rate structures in compliance with CBSL guidelines
- Transparent disclosure of fees and charges
- Flexible repayment terms
- Financial advisory service to prevent over-indebtedness of customers

Accessibility and Reach

- 103 island-wide branch network
- 451-strong branch sales force
- Digital channels
- Dedicated marketing teams at selected branches within identified key geographical markets to strengthen customer outreach, foster deeper connections, and promote the Company's products and services effectively.

As part of the overall approach to product responsibility, CF aims to stay relevant in the competitive financial services sector through continuous improvement of its products, channels, and services. By actively identifying new market opportunities and leveraging customer feedback, we focus on diversifying product offerings and enhancing our channel architecture to meet the evolving needs of different customer segments.

The product development process at CF begins with the Product Approval Document (PAD), which involves a risk assessment followed by a comprehensive quality assurance process by various internal stakeholders, including department heads, the compliance officer, and the Managing Director.

Post-launch, quarterly product reviews are conducted by relevant internal authorities to assess the product performance, enabling informed decisions to be made regarding continuity of the product or the need for further modifications, with findings

presented to the Company's leadership for advice and guidance.

LAUNCH OF TAILOR-MADE PRODUCTS FOR SPECIFIC CUSTOMER SEGMENTS 2024/25

As part of the ongoing efforts to deliver tailored products to meet diverse customer needs, CF launched several new products

Product Awareness Initiatives

- Digital marketing campaigns targeting potential customer segments
- Branch-level campaigns
- Regional-level campaigns
- Product branding through branch hoardings
- Distribution of leaflets, X pennants, and other point-of-sale materials (POSMS)
- SMS campaigns to existing customers
- Call-in campaigns to existing customers

A special leasing product specifically for professionals, offering an attractive interest rate.



SERVICE EXCELLENCE

At CF we take great pride in declaring service excellence to be the hallmark of our value proposition. Our focus on service excellence is fuelled by continuous efforts to improve operational efficiency, ensuring that every customer interaction is seamless, personalised, and responsive.

1. Implemented a fast-track process to expedite payments to suppliers for small vehicles.
2. Time taken for evaluating credit proposals was monitored from receipt to completion, with urgent evaluations being flagged and processed promptly.
3. Ongoing improvements to the Centrix app to enhance visibility and the ability for customers to make payments.
4. A new intercom system was implemented to enhance customer engagement, allowing employees to access the system via mobile phones and laptops, reducing telecommunication costs and improving efficiency.

MEASURING CUSTOMER SATISFACTION

We engage repeat customers via SMS to help us understand their motivation for returning to CF. Through this process, we've discovered that many customers choose to return due to the high level of service and the convenience of CF's accessibility across the country.

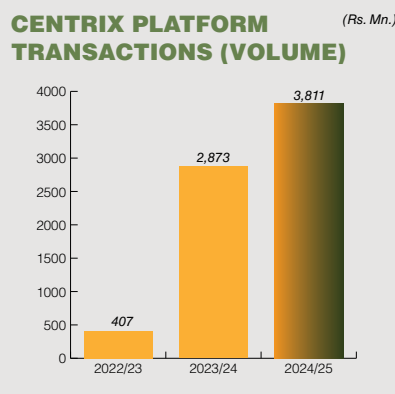
CENTRIX: THE ULTIMATE DIGITAL PAYMENT SOLUTION

Centrix is a cutting-edge FinTech payment app designed to provide seamless, secure, and convenient financial services. By combining security, convenience, and advanced financial tools, Centrix ensures that every transaction is smooth, efficient, and hassle-free.

One of the core functionalities of Centrix is its bank-to-bank fund transfer feature. With support for JustPay and CEFT-certified bank accounts, users can send and receive money instantly, no matter where they are. This allows individuals to manage their financial transactions in a single platform while maintaining full control over their account movements. The ability to track and customize transactions adds another layer of financial flexibility, empowering users to monitor their spending effectively.

Another key feature of Centrix is its LankaQR payment integration, enabling users to make purchases with a simple scan at any LankaQR-enabled merchant, both over the counter and online. This innovation ensures a quick and contactless payment experience, enhancing convenience and security in daily transactions.

Beyond transfers and purchases, Centrix simplifies bill payments by providing access to over 90+ billers. Users can pay for essential services, including electricity, water, landline, broadband, postpaid mobile, and insurance, all in one go.



Capital Management Review - Social and Relationship Capital

MARKETING AND COMMUNICATIONS

We believe it is our duty to provide our customers with timely, accurate, and clear information about our products, services, and channels, helping them make well-informed decisions about our value proposition. We use a mix of both traditional and non-traditional mediums, including ATL and BTL channels, social media, digital platforms, and our corporate website.

The development of marketing and promotional material follows the same principal approach as new product development. While tailored to effectively reach the intended target market, strict verification protocols ensure compliance with the necessary CBSL mandated disclosures including details on product information, interest rates, fees, and commissions.

Additionally, our sales teams are well-trained to assist customers in selecting the most suitable products for their financial needs. They are tasked with ensuring that customers are fully aware of any potential risks associated with their choices, reinforcing our dedication to responsible and customer-centric service.

ADVANCING CF'S DIGITAL MARKETING STRATEGY IN 2024/25

In the year under review, CF embarked on a transformative journey to establish a strong foundation for digital marketing growth. These efforts were aimed at expanding brand presence, enhancing customer engagement, and appealing to younger, digitally-savvy audiences while reinforcing the Company's reputation as an innovative leader in the financial services sector.

FEEDBACK AND COMPLAINTS

We view feedback and complaints as valuable opportunities to identify areas for improvement and enhance the overall customer experience. For that reason, CF has provided a dedicated complaint hotline along with several channels for customers to provide feedback or lodge complaints. Contact details for submitting complaints are clearly published on our website and displayed at all customer touchpoints.

DATA PRIVACY

We are deeply committed to safeguarding the privacy and security of our customers' data and adhere to stringent data protection regulations and industry best practices to ensure that all personal and financial information is handled with the highest level of confidentiality. We continuously monitor and improve our data protection practices to maintain trust and uphold the privacy rights of our clients.

SUPPLIER CAPITAL

Suppliers are a key component of CF's value chain. They make a valuable contribution towards the continuity of our business through the supply of goods and services for our day-to-day operations.

SUPPLY CHAIN MANAGEMENT

To ensure effective management of the CFs supply chain, the Company's suppliers are typically categorised as: vehicle suppliers, spare part suppliers, IT equipment suppliers, utility providers, and others with each category handled by a designated department guided by a purpose-driven process, which includes detailed guidelines regarding identifying purchasing requirement, calling for quotations as well as the selection and approval of suppliers. For procurement of FMS, IT and other administrative requirements, the Company's Purchasing Committee oversees the negotiation of credit terms with the selected suppliers.

Department	Responsibility
Vehicle Hire	Procurement of vehicles for the purpose of granting operating leases
Motor and Fleet Management Services (FMS).	Oversees relationships with suppliers involved in vehicle repairs, maintenance, and related services.
IT Department:	Procurement of hardware and software to support business operations, ensuring that technology needs are met
Administration/HR	Engages with utility providers and manages building maintenance services, ensuring that office infrastructure and facilities are properly maintained



COMMUNITY

As a financial institution, CF exemplifies its role as a trusted community steward by focusing on both economic empowerment and social upliftment.

ECONOMIC EMPOWERMENT OF COMMUNITIES

CF plays a crucial role in supporting individuals, micro-entrepreneurs, and small and medium-sized enterprises by providing the necessary funding to enhance their livelihoods. These efforts are generally coupled with financial literacy programmes to inculcate greater financial discipline among these segments.

COMMUNITY EMPOWERMENT INITIATIVES IN 2024/25

Ceylon Chamber of Commerce – Disaster Relief Fund – Contribution to disaster relief efforts

Severe flood conditions affecting Sri Lanka, which have left many families displaced. In response to this situation, National Platform of the Asia Pacific Alliance for Disaster Management (A-PAD) has requested the Chamber's support to assist these affected families. A-PAD has compiled a list of essential food and non-food kits, authorized and approved by the National Disaster Relief Services Center (NDSRC) and the Ministry of Disaster Management. CF has made a Rs. 1.5 Mn contribution to Disaster Relief Fund.

Participation Agreement with the National Credit Guarantee Institution Limited (NCGIL)

CF signed a Participation Agreement with the National Credit Guarantee Institution Limited (NCGIL) which led to the investment of Rs. 37.78 Mn for the

purpose of promoting financial inclusion. Through this initiative, the Company will provide loans to MSME sector entities, WSMEs and individuals with strong business potential for future growth, but lack adequate collateral to qualify for traditional loan schemes.



Training and development for small and medium business owners

CF continued its training in partnership with the International Finance Corporation (IFC) to provide knowledge and advice to customers engaged in various businesses in order to enhance the customer knowledge on topics such as business recovery and development, effective branding and financial management.



A total of 17 financial literacy sessions were conducted during the year, reaching 284 participants engaged in small and medium-sized businesses out of which 74 participants were women.



All training sessions were conducted by CF employees who were trained and developed by IFC to ensure long-term continuity and effectiveness of the project, which was started in 2023.

Sisu Athwela Educational Programme

CF continued its commitment to support the educational needs of students hailing from rural communities through the "Sisu Athwela" educational support programme.



Capital Management Review - Social and Relationship Capital

The initiative which commenced in 2016 to empower students from grade 8 to advanced level, provides comprehensive assistance throughout their academic journey. Selected participants benefit from an annual provision of essential supplies including stationery, books, uniforms, and footwear, accompanied by a monthly financial stipend for the duration of their schooling.

As of 31 March 2025, 178 students from around 160 schools across the island receive support under the Sisu Athwela programme.

Supporting the Fight Against Cancer: A Collaboration with the Sri Lanka Cancer Society

The initiative launched on 1st November 2024 entails CF pledging to donate Rupees 500/- from each new credit facility granted to its customers in Sri Lanka to the Sri Lanka Cancer Society (SLCS). This initiative aims to support the Society's mission, which encompasses the welfare of cancer patients and the procurement of essential drugs and equipment. This partnership between CF and the SLCS ensures sustained support for patient care and public awareness initiatives through CF's monthly contributions.



World Heart Day Bikeathon: Promoting Health and Wellness in the Community

In celebration of World Heart Day, CF's IT Department hosted a vibrant and impactful Bikeathon aimed at raising awareness about heart health and promoting the benefits of an active lifestyle. This initiative was designed to educate participants on the importance of cardiovascular well-being and inspire them to adopt proactive habits for a healthier future.



Beyond the physical activity, the Bikeathon served as both an enjoyable and educational experience, encouraging positive lifestyle changes while fostering a strong sense of community. By promoting physical activity and providing valuable health insights, the event reinforced CF's ongoing commitment to supporting the well-being of our employees and the wider community.



Technological Support for School Children

CF donated usable computers to rural schools identified by our branches. These computers proved to be invaluable tools for enhancing digital literacy among children, equipping them with the necessary skills to thrive in the digital world.



Bicycles Donation for School Children

CF donated bicycles to school children in the Jaffna area to assist with their transportation needs. These bicycles were stationed at various branches and allocated based on specific criteria to benefit children from low-income families, particularly those who faced long commutes to school. The goal was to alleviate transportation challenges and encourage consistent school attendance.



Donation to Hospitals

As part of its commitment to community wellbeing, CF donated computers and furniture to De Soysa Hospital. This contribution aims to enhance the hospital's operational efficiency, support healthcare delivery, and create a more comfortable environment for both staff and patients, reinforcing CF's dedication to social responsibility.



ROADMAP FOR THE FUTURE			
Category	Short Term (1 Year)	Medium Term (2-3 Years)	Long Term (3+ Years)
Product Responsibility	Design financial products for underserved markets/customer segments (e.g. small business, youth, female entrepreneurs)	Introduce environment-friendly and sustainability-aligned financial products (e.g., green leasing, EV financing, solar loans)	Integrate ESG principles into product development
Service Excellence	Implement service quality standards across all customer touchpoints. Launch service excellence training programs for frontline staff	Introduce customer feedback mechanisms (e.g. post-service surveys, complaint resolution KPIs).	Target industry-leading customer satisfaction index through omnichannel service consistency



HUMAN CAPITAL

As a service organisation, CF recognises that human capital is the backbone of its operational continuity and long-term success. The expertise and commitment, of our 1,792 employees across Sri Lanka, serves to provide a strong foundation for the Company to stay competitive in Sri Lanka's fast evolving financial landscape.

INPUTS

- Governance, Compliance and Best Practices
- Diversity, Equality and Inclusion
- Recruitment and Selection
- Induction and Orientation
- Remuneration and Benefits
- Performance Management
- Training and Development
- Leadership Development
- Communication and Engagement
- Workplace Safety
- Work-Life Balance



VALUE TRANSFORMATION

MATERIAL MATTERS

- Financial Stability and Growth
- Digital Transformation
- Business Process Transformation/Data Analytics/Operational Excellence
- Employee Engagement and Development
- Safety and Wellbeing

MANAGEMENT APPROACH

CF's human capital management approach is centred around five key pillars that work cohesively to support the overall success and growth of CF by building a high-performing and engaged workforce.

Pillar 1 - Talent sourcing, focuses on attracting diverse talent that aligns with the Company's values and goals, while Pillar 2 - Talent management aims to strategically align employee skills with business needs, supporting career development, and ensuring a strong succession plan, supported by Pillar 3 - Training and development which plays a crucial role by offering continuous learning opportunities, fostering both technical and soft skills growth. Pillar 4 - Employee engagement strives to create a positive work environment, promoting work-life balance, and encouraging active employee participation to drive motivation and retention while, Pillar 5 - Operations focuses on the effective management of human resources, optimising workforce planning, and ensuring compliance with relevant policies and regulations.

KEY ACTIONS

- Rs. 3.3 Bn distributed as remuneration and other benefits to employees
- 564 new recruits
- 308 employees promoted
- 77 training programmes conducted

OUTPUTS FOR CF

IMPACT ON OTHER FORMS OF CAPITAL

Improved employee productivity resulting in revenue growth and cost efficiencies	FC
Investing in building the knowledge of teams strengthens the CF brand and standing in the industry.	IC
Competent employees help build trust among customers and business partners	S&RC

STAKEHOLDER OUTCOMES

- Enhanced career growth, job satisfaction, skill development, and leadership opportunities, leading to higher employee satisfaction and retention.
- Improved service quality and customer experience due to a highly skilled and motivated workforce.
- Creation of employment opportunities across the Country, leading to better overall social well-being

SDG'S



Capital Management Review - Human Capital

TEAM PROFILE - 2024/25

Employees by Type

STATUS	MALE	FEMALE	TOTAL
Permanent	1150	471	1621
Contract	51	28	79
Trainees	79	13	92

Employees by Age and Gender

AGE GROUP	MALE	FEMALE	TOTAL
18 - 30 Years	387	256	643
31 - 55 years	825	238	1063
56 and above	68	18	86

Employees by Region and Gender

REGION	MALE	FEMALE	TOTAL
Western Province	461	236	697
Central Province	264	92	356
North Western Province	123	52	175
Sabaragamuwa Province	107	35	142
Southern Province	111	29	140
North Central Province	65	22	87
Uva Province	73	17	90
Eastern Province	49	19	68
Nothorn Province	27	10	37

Employees by Category and Gender

CATEGORY	MALE	FEMALE	TOTAL
Senior Management	42	8	50
Middle Management	180	24	204
Executives	438	144	582
Clerical / Minor	541	323	864
Trainee	79	13	92

GOVERNANCE, COMPLIANCE, AND BEST PRACTICES

Governance, compliance, and best practices form the cornerstone of our approach to human capital management. As the highest governing body, the CF Board works in close collaboration with the Company's Human Resources and Remuneration Committee to ensure that all HR-related matters are aligned with strategic business objectives and regulatory requirements and reflect global best practices.

The HR Head has been delegated the responsibility of implementing Board directives and ensuring that the Company operates in full compliance with all applicable labour laws in Sri Lanka, including the mandates set by the International Labour Organisation (ILO) and the United Nations Global Compact (UNGC) principles on labour rights.

A comprehensive set of policies encapsulating all compliance requirements and best practices provides the foundation for ensuring all human resources activities are conducted ethically and in accordance with established norms. All policies are reviewed annually by the HR head, taking cognisance of regulatory developments and evolving best practices, with appropriate changes presented to the Human Resources and Remuneration Committee for approval.

COMMITMENT TO DIVERSITY, EQUALITY AND INCLUSION (DEI)

CF prides itself in being an equal opportunity, non-discriminatory employer and strives to create an environment where all employees, regardless of gender, race and age, feel they belong and can thrive. Diversity and inclusion are part of CF's core values and our dedication to build a diverse, inclusive, and equitable workplace is reflected across all HR practices, from recruitment to remuneration, performance management, training and development and career growth.

In recent years we have further amplified our commitment to encourage greater female participation in the workforce and in leadership roles.



CF'S TRACK RECORD

VOLUNTARY BEST PRACTICES

UNGC Principle 4: elimination of all forms of forced and compulsory labour;

UNGC Principle 5: effective abolition of child labour; and

UNGC Principle 6: elimination of discrimination in respect of employment and occupation.

ZERO - incidents reported in regard of violation of the right to freedom of association

ZERO - incidents reported of child labour / forced compulsory labour

ZERO - incidents reported in discrimination or harassment in the workplace

REGULATORY COMPLIANCE

Shop and Office Employees Act of 1954

EPF Act

ETF Act

Payment of Gratuity Act of Sri Lanka

ZERO - incidents of non-compliance with labour regulations

HR POLICIES AND PROCEDURES

Recruitment and Selection	● Recruitment and Selection Procedure ● Internal Job Posting
Remuneration and Benefits	● Remuneration and Benefits Policy ● Leave Procedure for Employees ● Maternity Leave Procedure
Culture and Conduct	● Code of Conduct
Performance Management	● Performance Appraisal Procedure
Training and Development	● Annual Training Plan
Leadership Development	● Succession Planning Process
Safety and Wellbeing	● Health and Safety Policy
Communication and Engagement	● Team Briefings ● Monthly Branch Meetings ● Grievance Handling Procedure ● Whistleblowing Policy
Rewards and Recognition	● Recognition of Academic / Professional / Social Achievements ● Service Awards

RECRUITMENT AND SELECTION

Recruitment at CF is a well-structured, transparent, and fair process. Recruitment is undertaken in line with the annual Manpower Plan, which defines the staffing needs of each department based on strategic goals.

At CF, our policy is to promote from within as much as possible. Our goal in doing so is not merely to fulfil recruitment needs, but rather to provide opportunities for employees to build their careers by growing with the Company. Accordingly, all vacancies are first notified internally and then published externally. Shortlisted candidates undergo a rigorous selection process that includes multiple rounds of assessments, including interviews and skill evaluations before a final selection is made. Our selection process ensures that all hiring decisions are made based on merit, in line with principles of equal opportunity, non-discrimination, and diversity. We are committed to eliminating biases from the hiring process, ensuring that every candidate, regardless of age, gender, marital status, or religious beliefs, is assessed purely on their qualifications and alignment with our corporate culture. As part of the selection process, comprehensive background checks are conducted to verify the candidates' behavior, conduct and employment history, etc.

All new hires (internal and external) are placed on six to nine months probation. Thereafter, a performance evaluation determines their eligibility for confirmation.

Capital Management Review - Human Capital

MANPOWER PLANNING

Manpower planning is a strategic process that ensures we have the right people in the right roles at the right time. It is an integral part of our annual business planning cycle, where each business unit and department evaluate its workforce requirements for the upcoming year. This process ensures that our staffing levels are aligned with the Company's growth objectives and that each department has the resources it needs to achieve its goals. The Manpower Plan not only considers departmental hiring needs but also long-term workforce development, ensuring that the Company has a sustainable and agile workforce capable of adapting to evolving business requirements.

The results are consolidated into the Manpower Plan, which is then reviewed and approved by the Board.

EMPLOYEE MOVEMENT IN 2024/25

New Hires by Gender

Male	Female	Total
409	155	564

New Hires by Age and Gender

Age Group	Employees	
	Male	Female
18 - 30 Years	270	144
31 - 55 years	136	10
56 and above	3	1

New Hires by Region and Gender

Region	Employees	
	Male	Female
Western Province	151	82
Central Province	53	6
North Western Province	45	15
Sabaragamuwa Province	32	14
Southern Province	41	9
North Central Province	27	9
Uva Province	16	6
Eastern Province	32	5
Nothern Province	12	9

Employee Resignation by Gender

Male	Female	Total
247	96	343

Employee Resignation by Age and Gender

Age Group	Employees	
	Male	Female
18 - 30 Years	135	76
31 - 55 years	109	20
56 and above	3	0

Employee Resignation by Region and Gender

Region	Employees	
	Male	Female
Western Province	93	55
Central Province	39	8
North Western Province	29	8
Sabaragamuwa Province	18	4
Southern Province	18	5
North Central Province	17	5
Uva Province	12	1
Eastern Province	13	4
Nothern Province	8	6

INDUCTION AND ORIENTATION

CF's induction and orientation programme is designed to ensure that new employees are seamlessly integrated into the Company and aligned with its values from day one. Every batch of new recruits is required to participate in the two-day induction program, with Day 1 focusing on corporate values and the Company's mission, Day 2 covering products and services, and a wrap-up session. Following the induction, employees are granted access to CF's e-learning portal and mandated to complete several modules covering essential topics such as the Code of Conduct, Customer Protection Framework, Personal data protection Act and Anti-Money Laundering (AML) regulations. The aim of this exercise is to ensure that all employees have a clear understanding of ethical and compliance expectations.

REMUNERATION AND BENEFITS

Our Remuneration and Benefits Policy is designed to attract, motivate, and retain high-calibre talent. We ensure that our salary structures are competitive and aligned with industry standards, while also promoting pay equity across all roles. To address any existing gender, pay gaps, we continuously assess and adjust our compensation structures in line with regulatory changes and industry best practices.



Maternity Leave	2024/25	2023/24
In compliance with the Shop and Office Employees Act of 1954 and the Wages Board Ordinance Amendment Act, female employees are entitled to 84 days paid maternity leave, as well as two hours nursing time until child completed one year of age.		
Total number of employees who took Maternity leave	11	19
Total number of employees who returned to work in the reporting period after Maternity leave ended	11	19

PERFORMANCE MANAGEMENT

Our performance management system is designed to correlate individual goals with the Company's strategic objectives. At the beginning of each year, Key Performance Indicators (KPIs) are established for all employees, providing measurable targets that link personal contributions to overall business success. Performance evaluations are conducted annually, which takes the form of a self-appraisal, where employees assess their performance against set targets, followed by feedback from their respective superiors in an open discussion. Compensation adjustments and promotions, are directly tied to performance ratings, reinforcing a culture of meritocracy.

In preparation for the migration to the new HRIS in the next financial year, we transitioned to a hybrid performance management model in the current financial year. In 2024/25, Rs. 380 Mn was distributed in performance bonuses, underscoring the prominence given to performance-based rewards. Beyond this, employees who consistently demonstrate a strong commitment to CF's values are recognised throughout the year, with three employees selected and rewarded every month for their exemplary dedication.



Employees subjected to performance evaluation (as % of total employees in the category)

Category	2024/25	
	Male	Female
Executives	84%	93%
Non Executives	82%	97%

Trainees and staff members who are not confirmed in their position are not eligible for performance evaluations.

BENEFITS OFFERED TO PERMANENT EMPLOYEES OF CF

Annual increments

Annual bonus

Insurance

Staff loan schemes

Educational loan schemes

Benefits under the CF Employee Benefit Foundation

Funeral Relief Scheme

The Chairman's Relief Fund

Award of scholarships to children of staff



TRAINING AND DEVELOPMENT

Training and development plays a vital role in building a skilled and adaptable workforce, ensuring that CF remains competitive as a financial services provider. Our training initiatives are strategically designed to address both immediate operational needs and long-term business objectives. Each year, we develop a comprehensive training plan based on insights from performance appraisals and employee feedback.

Capital Management Review - Human Capital

We adopt a blended learning approach, based on organization requirement which help employees excel in their roles, we also focus on enhancing soft skills to foster well-rounded professionals equipped to navigate an evolving business landscape.



Training Mix

Training programs category	Number of programs conducted	Number of participants	Number of training hours
	2024/25	2024/25	2024/25
Marketing	11	99	720
Credit & Recovery	5	28	224
Legal & Regulatory	3	2	16
Finance & Audit	5	3	12
Information Technology	25	301	2,408
HR & Admin	6	18	123
General	19	91	652
Deposits	3	7	37
Total	77	549	4,192

LEADERSHIP DEVELOPMENT

CF's approach to leadership development is structured across three key tiers that aim to develop a strong pipeline of future leaders for all key positions at every level of the organisation. Our structured approach to leadership development involves a specialised coaching programme for senior staff to refine their leadership skills and strategic decision-making abilities in readiness to move into top positions in the future. A Development Centre model is applied to identify and groom future leaders and support mid-management to level up. This process includes a comprehensive assessment matrix, supervisor feedback, and a 360-degree review, culminating in Individual Development Plans (IDPs) tailored to address competency gaps. Similarly, aspiring leaders - potential branch managers and executives, are selected based on performance appraisals and supervisor recommendations, with a strong focus on developing critical soft skills.

In the current year, an additional tier was introduced to create a pathway for entry level employees to accelerate their career journeys. The initiative focuses on identifying potential young leaders based on department head recommendations and placing them under a designated mentor to help them develop the essential competencies required for leadership roles. This structured mentorship provides hands-on exposure,

strategic insights, and personalised guidance to fast-track their growth within the organisation.

SAFETY AND WELL-BEING

CF places a strong emphasis on workplace safety, ensuring that all necessary precautions are in place to create a secure working environment. While the nature of the Company's operations does not expose employees to occupational health risks, compliance with national safety regulations remains a key priority. To this end, mandatory safety equipment has been installed across all CF premises with regular maintenance undertaken to ensure the operational efficacy of equipment. Trained fire wardens assigned to each floor at the Head Office, city office, and branches, ensure swift response capabilities in case of emergencies.

Security measures also extend to vehicle yards, which are categorised as high-risk areas, with reinforced protocols in place to safeguard employees and assets. This is supported by a comprehensive Business Continuity Planning (BCP) committee in place in every unit, complemented by dedicated security officers and structured staff training programmes. The commitment to safety is further reinforced through periodic training and safety drills, designed to reinforce best practices and cultivate a proactive safety mindset among employees.

COMMUNICATION AND ENGAGEMENT

We believe effective communication is vital to fostering a positive organisational culture. Regular operational meetings and briefings provide an excellent opportunity for managers to communicate with their teams, while our open-door policy encourages employees to share their feedback, concerns, and suggestions directly with senior management. We also utilise email and other communication channels to keep employees informed about key updates and organisational changes.



To address grievances, a formal grievance-handling procedure is in place and is maintained under the custody of the HR head. Employees can report concerns through various channels, and we ensure that all complaints are addressed promptly and fairly. The respective authorities are bound to preserve confidentiality without disrespecting the complainant or the accused. Meanwhile, exit interviews with departing employees serve as a valuable source for gathering feedback to improve our internal processes.



CF's robust annual activity calendar creates ample opportunities for employee engagement, with a mix of professional and social initiatives ranging from team-building activities and recognition programmes to cultural celebrations. Our engagement activities are designed to ensure employees remain motivated and connected. CF's social responsibility (CSR) initiatives further strengthen engagement by encouraging employees to contribute meaningfully beyond their daily roles.



ROADMAP FOR THE FUTURE

Category	Short Term (1 Year)	Medium Term (2-3 Years)	Long Term (3+ Years)
Diversity, Equality and Inclusion	Ensure we create opportunities for talented women in Branch Manager roles.	Ensure a fair representation of female staff in the Senior Management of the Company	Foster an inclusive and equitable workplace by embedding diversity into our corporate culture.
Recruitment and Selection	Enhance recruitment via digital channels with a strong emphasis on attracting candidates who uphold CF's core values	Ensure a seamless recruitment process via AI in sorting talented CVs and potential employees.	Implement the migration of the HR function through change management
Employee Engagement	Plan an engagement calendar for the year across the Company, promoting leadership and employee engagement.	Create engagement surveys to understand employee engagement across the Company.	Understand areas of disengagement in real time and rectify them immediately
Training and Development	Ensure self-learning through effective e-learning for all mandatory training.	Implement soft skills into an e-learning platform for effective self-development.	Certification courses on e-learning leading to a qualification.
Leadership Development	Relook at competency framework for Leadership development	Identify core competencies and development	Create a pipeline of leadership potential for each role
Safety and Well-being	Create a concept for Employee Well-being in the organisation	Focus well-being in areas of Diet, Exercise and Stress	Create a holistic well-being plan for the Company



NATURAL CAPITAL

As a service organisation, CF's interactions with the environment are limited as the Company does not largely depend on natural resources for its day-to-day operations. Nevertheless, as a responsible corporate entity, the Company makes a conscious effort to contribute positively towards preserving the environment. Our commitment to sustainability drives our dedication to environmental stewardship and responsible resource management.

INPUTS

- Energy Management
- Emission Monitoring
- Waste Management
- Water Stewardship
- Special Projects



VALUE TRANSFORMATION

MATERIAL MATTERS

- Digital Transformation
- Environmental Advocacy

MANAGEMENT APPROACH

CF demonstrates its commitment to minimising its environmental impact through a systematic approach based on a clear understanding of key impacts to guide actionable initiatives to reduce energy consumption, manage waste, and conserve water, all with a view to mitigating the Company's carbon footprint. By engaging cross-functional teams, CF focuses on targeted strategies that improve efficiency and effective resource utilisation throughout the company.

KEY ACTIONS

- Invested in developing renewable energy generation capacity
- Paper, plastic and E-waste recycling
- Initiate emission monitoring
- 12,299 Kg of paper waste recycled

OUTPUTS FOR CF

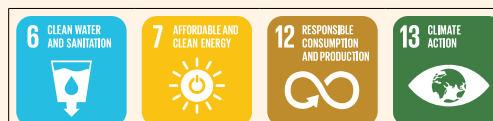
IMPACT ON OTHER FORMS OF CAPITAL

Cost savings through sustainable resource management	FC
Recognition as a responsible environmental steward.	IC
Build trust among the wider community	S&RC
Foster an environmentally responsible workforce	HC

STAKEHOLDER OUTCOMES

- Preservation of forest cover and natural ecosystems.
- Reduced environmental pollution due less waste being sent to landfills
- Reduce energy consumption due to use of renewable energy sources and energy efficient technologies.

SDG'S



Capital Management Review - Natural Capital



ENERGY MANAGEMENT

Given that electricity is the main source of power for CF's branch network, we acknowledge the adverse environmental impact resulting from increasing energy demand in tandem with business growth. Hence, CF continues to undertake various energy-saving initiatives, including energy-efficient lighting along with awareness to promote energy conservation among employees.

More recently, we have further deepened our commitment towards reducing energy consumption by investing in renewable energy. In the year under review, CF has commenced installation of Rs. 18 Mn worth of rooftop solar systems. These installations have a collective generation capacity of 80 kW of solar energy.

SOLAR PANEL INSTALLATION LOCATIONS

1. Vauxhall Street office premises,
2. Head office in Kandy,
3. Fleet Management yard, Dematagoda
4. Nugegoda and
5. Maradana Branches

These solar projects have collectively yielded the generation of 260 MWh of electricity during the period 01 April 2024 to 31 March 2025. Through the utilisation of solar energy, CF has successfully mitigated CO₂ emissions by 175



metric tons, significantly advancing the Company's environmental responsibility objectives.

Furthermore, we would like to highlight the environmental benefits of our organization's adoption of energy-efficient technologies. Through careful analysis, we've identified new technologies that significantly reduce electricity consumption. For every 1000 kWh saved, approximately 18.46 trees are preserved. By embracing these technologies we anticipate monthly savings of 28,000 kWh, equivalent to saving approximately 516 trees monthly and 6,000 trees annually. Our commitment to sustainability drives our dedication to environmental stewardship and responsible resource management.

EMISSION MONITORING

In order, to reduce Scope 1 and Scope 2 (grid electricity and diesel for generators) emissions, CF is implementing energy efficiency measures and exploring

renewable energy options to decrease our reliance on grid electricity.

We are also currently in the process of analysing Scope 3 emissions associated with our operations.

WASTE MANAGEMENT

As a financial institution, paper waste and e-waste are the main sources of waste generated by CF.



In line with our commitment to sustainability, we have implemented a comprehensive waste management approach to minimise waste generation, promote recycling, and ensure proper disposal.

To address paper waste, CF has adopted a paperless strategy by encouraging digital documentation and communication wherever possible. We are also automating internal workflows to reduce the need for physical paperwork. Transitioning to digital alternatives such as e-statements, SMS-based receipts, and electronic communications with our stakeholders has yielded tangible results, evidenced by a reduction in the quantity of paper recycled from 14,646 Kg's in the previous year to 12,299 Kg in the year under review. Additionally, we encourage our teams to reuse paper whenever possible and practical.

In 2024/25 we initiated a project to donate computer equipment, still in good and usable condition to schools in need, with the aim of enhancing IT literacy among schoolchildren. At the conclusion of the project, any remaining e-waste will be responsibly recycled in accordance with established protocols.

Demonstrating our commitment to environmental sustainability, we also launched a plastic bottle recycling program at our Vauxhall Street office, Head Office in Kandy, and the Fleet Management Yard at Dematagoda. This initiative, carried out in collaboration with Neptune Papers (Pvt) Ltd., is aimed at reducing plastic pollution and encouraging responsible waste disposal practices among employees and stakeholders. By promoting environmentally conscious behaviour within our operations, we seek to contribute to broader efforts in minimising environmental impact while fostering a culture of sustainability.

Waste Stream	Waste Recycled			
	2024/25	2023/24	2022/23	2021/22
Paper Waste	12,299 Kg	14,646 Kg	16,324 Kg	15,400 Kg
e-Waste	-	141,800 Kg	-	-

Recycle of 12,299 Kgs of paper waste generate the following savings;

- 209 fully grown Trees
- 21,585 liters of Oil
- 49,196 kwh of Electricity
- 390,862 liters of Water

- 37 cubic meter of Land fill
- Reduce Green House Gas Emission by 12,299 Kg of Carbon Equivalent

WATER STEWARDSHIP

As a service organisation, CF's water usage is primarily for the utility and sanitation needs of our employees. Outlining our commitment to responsible water stewardship we have invested in rainwater harvesting systems at our Vauxhall Street office. Water captured by this system in the current year, was used for gardening and landscaping within the premises.

CF BEACH CLEANING ACTIVITY

CF team worked diligently to remove waste, plastic, and other pollutants from the beach, helping to preserve the natural beauty of the coastline while supporting marine life and reducing our ecological footprint.



ROADMAP FOR THE FUTURE

Category	Short Term (1 Year)	Medium Term (2-3 Years)	Long Term (3+ Years)
Diversity into Environmentally Friendly Products	Measure and manage energy, water, and waste footprints, and develop initiatives to reduce them.	Upgrade the vehicle hire fleet with more emphasis on hybrid and electric vehicles	Integrate ESG principles across all Company operations.
	Engage in more sustainability initiatives	Improve CF compliance with UN SDGs	
	Implement SLFRS S1 and S2		

RISK MANAGEMENT REPORT

Strong risk management fundamentals have been the cornerstone of CF’s financial resilience and stability, enabling the Company to deliver consistent value to stakeholders across varying economic cycles to reaffirm its reputation as a reliable and trusted financial institution for the past 67 years.

INTEGRATED RISK MANAGEMENT FRAMEWORK

As a licensed financial institution governed by the Central Bank of Sri Lanka (CBSL), CF follows the Integrated Risk Management (IRM) Framework as the basis for managing organisation-wide risks.

The IRM Framework is anchored to four key pillars - the Risk Management Process, Risk Governance and Oversight, Risk Control Architecture, and Risk Awareness Culture, collectively a fully fledged ecosystem to support the management of key risks within the Company’s risk universe.

RISK MANAGEMENT PROCESS

A robust Risk Management Process forms the foundation of CF’s IRM Framework. Guided by a structured four-step approach, the process enables the proactive identification, assessment, control, monitoring and reporting of key risks across all levels of the business. This disciplined methodology helps CF safeguard its financial stability, protect its competitive advantage, create consistent stakeholder value and strengthen long-term resilience.

Risk Identification

- Conduct regular environmental scans to detect potential internal and external risks.
- Evaluate the possible risk sources.
- Use both top down and bottom up approaches to ensure risk identification is undertaken by employees at all levels.

Risk Measurement

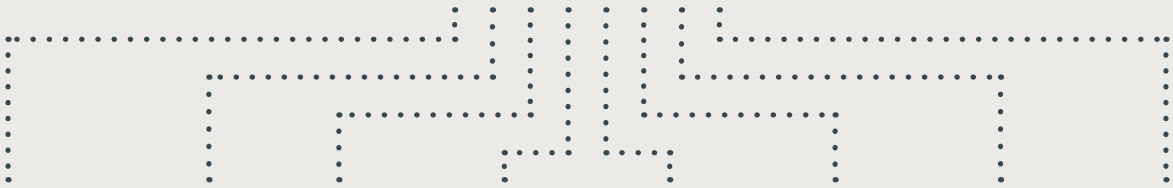
- Use qualitative and quantitative methods to assess the impact and likelihood of identified risks.
- Maintain a risk register to document and track risks.
- Perform stress tests to evaluate the impact of remote but plausible adverse events.

Risk Control

- Establish a strong control environment with a commitment to integrity and ethical values.
- Promote a culture of accountability and transparency.
- Implement policies and procedures to ensure effective internal controls.

INTEGRATED RISK MANAGEMENT FRAMEWORK

CF’s risk universe encompasses the key risks inherent to the core business operations, each with the potential to significantly influence strategic direction. Regular environmental scans are conducted to proactively identify and respond to shifts within this risk landscape.



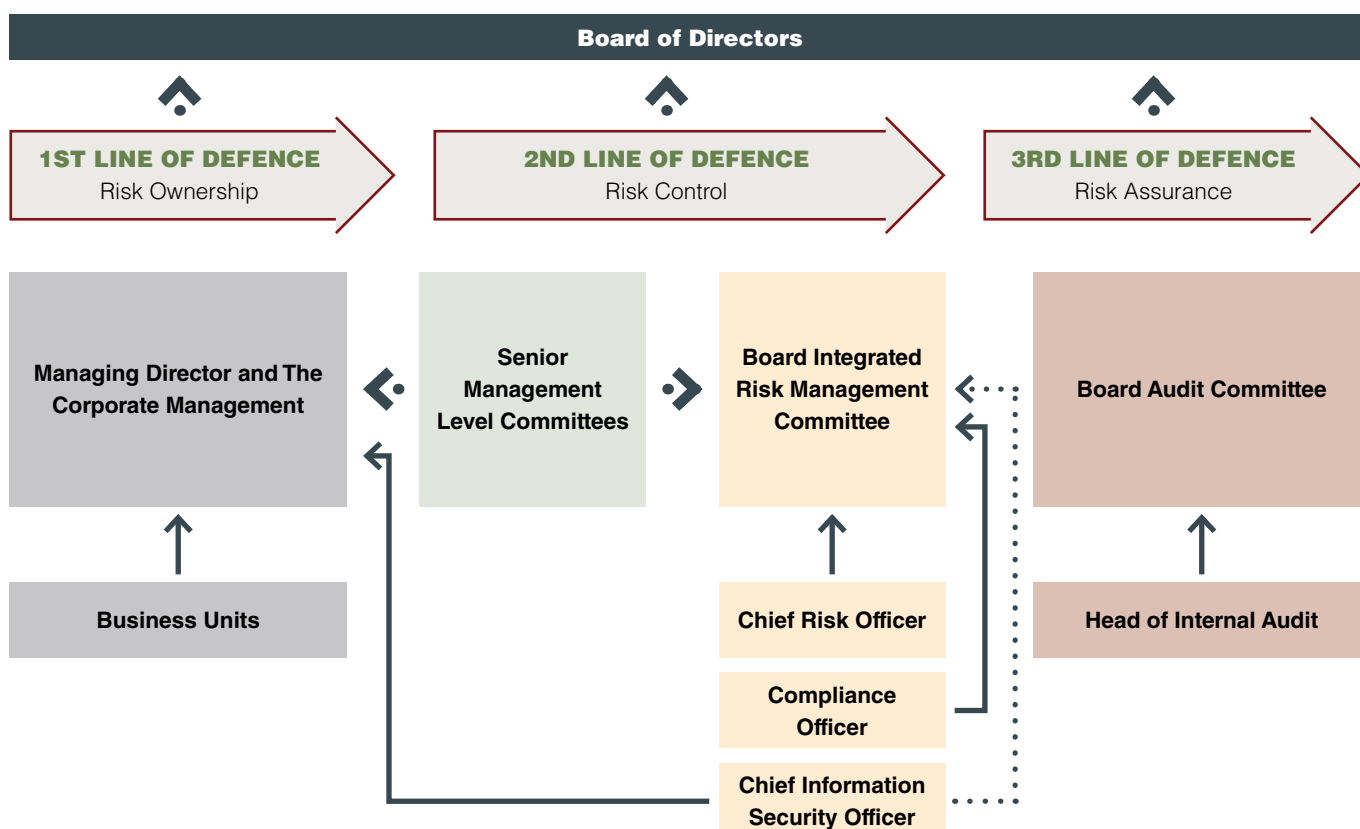
Credit Risk	Market Risk	Liquidity Risk	Operational Risk	IT & Cyber Security Risk	Strategic Risk	Compliance Risk	ESG Risk
-------------	-------------	----------------	------------------	--------------------------	----------------	-----------------	----------



- Segregate duties to prevent conflicts of interest and reduce the risk of errors or fraud.
 - Develop and implement risk mitigation strategies and action plans.
 - Use insurance, hedging and other risk transfer mechanisms where appropriate.
 - Communicate internal control policies and procedures to all employees.
 - Ensure the competency of employees and provide them with appropriate training.
 - Conduct regular reconciliations, verifications and reviews of transactions and processes.
 - Continuously monitor the effectiveness of risk mitigation measures.
- Risk Monitoring and Reporting**
- Implement risk goals/key risk indicators and thresholds to monitor risk exposures.
 - Ensure timely and accurate flow of information across the organisation.
 - Maintain comprehensive and reliable information systems.
 - Regularly review risk reports at the management, BIRMC and Board levels.
 - Ensure timely and accurate reporting of risk information to the regulator and other stakeholders.

RISK GOVERNANCE AND OVERSIGHT

The success of the IRM Framework is supported by a top-down approach to Risk Governance and Oversight.



Risk Management Report

The Board

The Board, as the highest governance body of the organisation, is in charge of providing oversight for proper risk management and control. The Board is responsible for developing the Risk Strategy and the general principles governing CF's risk appetite and risk profile. The Board is further responsible for establishing appropriate risk policies and tolerance limits for each risk category to ensure operations are consistent with the Company's short, medium and long-term strategic objectives.

Three-Lines-of-Defence

The Three lines of defence mechanism serves as the basis of enterprise-wide risk governance and oversight, supported by a clear division of responsibilities.

The first line of defence, which consists of the Managing Director and Corporate Management, the Heads of departments/ business units, are responsible for implementing Board approved risk and control procedures on a day-to-day basis as well as for identifying and reporting on potential risk within their immediate operating environment.

The Board Integrated Risk Management Committee (BIRMC), Senior Management Level Committees, as well as the Risk and Compliance divisions form the second line of defence. Together, they provide oversight to ensure the effective implementation of the Board approved risk and control procedures by the first line of defence.

Senior Management Level Committees - the Credit Committee (CC), the Assets and Liabilities Management Committee (ALCO), the Investment Committee (IC) and the Information Security Committee (ISC), each composed of the Executive Directors and senior level staff members, are in charge of providing more focused risk oversight on key business functions.

Acting under the authority delegated by the Board, these committees review specific risk areas and receive regular reports on internal controls, risk management, portfolio trends, policies, limits and standards.

The Risk Management Division is tasked with monitoring existing risks and working with risk owners to measure risk exposures and identify emerging risks. Based on these findings, the Risk Division is required to recommend to the BIRMC suitable actions to avoid, mitigate, transfer or accept risk. It also monitors the evolving threat landscape and develop proactive controls in collaboration with first line of defence. The Compliance Division, through its routine compliance programme, further validates the risk management actions of the first line of defence. In the year under review, the Company appointed a Chief Risk Officer and a Chief Information Security Officer, further strengthening the second line of defence.

The Board Audit Committee, Internal Audit function and External Auditors serve as the third line of defence to provide independent assurance to the Board that both the first and second lines of defence are operating in line with the Board approved risk management policies and internal controls and that such controls are executed as intended. Based on the audit findings, the Internal Audit function is tasked with recommending to the Board Audit Committee any process improvements. On occasion, the Board also seeks additional assurances and opinions from the Company's External Auditors regarding specific risk matters.

RISK CONTROL ARCHITECTURE

Risk Control Architecture operates in tandem with the Risk Management Process. Consisting of the Board-approved institutional framework, including clearly defined risk appetite

parameters, tolerance limits, and supporting policies, the control architecture is further complemented by a suite of assessment tools aligned with international best practices, such as stress testing.

Risk Appetite

The risk appetite defines the level and type of risk the Company is willing to accept in pursuit of its strategic and financial objectives. The main aim of the risk appetite is to ensure risks are prudently managed within defined parameters in order to balance CF's growth ambitions while maintaining financial stability. The Board of Directors reviews and approves the risk appetite annually, setting clear tolerance limits across key risk areas such as credit, market, liquidity and operational risks, considering the need to safeguard CF's reputation, protect stakeholder interests, and maintain resilience across varying economic conditions.

Stress Testing

Stress Testing is a crucial element of the Company's Risk Control Architecture. It promotes risk identification and control, provides a complementary risk perspective to other risk management tools, improves capital and liquidity management and enhances internal and external communication. The Risk Division uses statistical models to conduct stress testing at regular intervals, and the results are submitted to BIRMC for review.

Capital Planning

Aiming to formalise its capital planning methodology, the Internal Capital Adequacy Assessment Process (ICAAP) was initiated in the current financial year. The ICAAP formally documents the process of assessing the Company's capital adequacy in relation to both Pillar I risks and significant Pillar II risks as outlined in the Basel Capital Accord. Through this process, the Company



seeks to systematically identify and evaluate the full spectrum of risks it faces in the course of its operations, and to take proactive measures to mitigate these risks. The ICAAP also enables the Company to determine its current and future capital requirements, ensuring that sufficient levels of capital are maintained to absorb potential losses, safeguard financial resilience and support the long-term sustainability and growth of the business.

Risk Register

The Risk Register serves as an important tool for documenting and tracking all significant risks that may impact CF's ability to achieve its strategic and operational objectives. It captures key information such as risk descriptions, risk owners, potential impacts, likelihood of occurrence and mitigation measures. The purpose of the Risk Register is to provide a structured and transparent overview of the Company's risk landscape, facilitate informed decision-making and ensure that appropriate controls and responses are in place to manage risks effectively across all levels of the business.

RISK AWARENESS CULTURE

The effectiveness of the IRM Framework is fundamentally anchored in a strong culture of risk awareness. The Board sets the tone at the top, actively promoting and reinforcing the importance of risk consciousness across the organisation. In line with this mandate, the Risk Management Division is tasked with conducting training and capacity-building initiatives to ensure that employees at all levels understand their role in managing risk and cultivate the right behaviours and mindsets for effective risk management.

MANAGING CF'S KEY RISKS

	Key Factors for 2024/25	Risk Impacts to CF
Political	Political stability resulting in the conclusion of the external debt restructuring programme	Market Risk
Economic	Economic resurgence supported by the IMF programme	Market Risk, Credit Risk
Social	Increase in unemployment rate owing to the spillover effects of the 2022 economic crisis	Operational Risk including Fraud Risk
Technology	Rapid expansion in digital financial services	IT and Cyber Security Risk
Legal	CBSL is further strengthening the regulatory framework	Compliance Risk
Environment	Climate change implications and the growing focus on climate finance	ESG Risk

CREDIT RISK

Credit risk is the risk of financial loss arising from the inability or failure of a borrower or counterparty to meet its obligations. As a financial institution engaged in lending, credit risk remains the material risk for CF. The Company's credit risk arises from Default Risk and Credit Concentration Risk.

CREDIT RISK MANAGEMENT FRAMEWORK

Policies and Procedures

The Board-approved Credit Risk Management Policy provides a comprehensive framework guiding the execution of the Company's credit strategy within its defined risk appetite and the prevailing regulatory and legal framework. The stated objective of the policy is to facilitate the systematic identification, assessment and management of credit risk at levels aligned with CF's growth and return objectives.

Likewise, the Board-approved Credit Policy outlines the strategic direction for lending activities, supported by detailed operational manuals covering such areas as credit operations, business loans, pricing, recoveries and impairment. Additionally, delegated authority levels defined by the Board for credit approvals provide the governance structure to promote accountability.

Monitoring and Reporting Responsibilities

Board of Directors

- Holds ultimate responsibility for credit risk management.
- Sets parameters for credit risk appetite and tolerance.
- Provides oversight through:
 - Board Integrated Risk Management Committee (BIRMC)
 - Board Audit Committee (BAC)

Risk Management Report

Executive Management Committees (Credit Committee, Board of Management and ALCO)

- Operate under delegated authority from the Board.
- Regularly review business unit activities related to credit risk.
- Report findings and recommendations to the Board via BIRMC and BAC.

First Line of Defence – Business Units

- Manage credit risk at the point of origination.
- Ensure alignment with risk-return trade-offs.
- Adhere to the Board-approved Credit Policy and delegated authority limits.

Second Line of Defence – Risk Management and Finance Functions

- Provide independent oversight and controls for credit risk.
- Monitor adherence to credit risk policies and limits.
- Support business units with tools, analysis and reporting to manage risk effectively.

Third Line of Defence – Internal Audit

- Conducts independent evaluations of credit risk management practices.
- Verifies that policies and internal controls are effectively implemented.
- Reports findings directly to the BAC and BIRMC for corrective action and governance assurance.

CREDIT RISK CONTEXT AND STRATEGY FOR FY 2024/25

During FY 2024/25, the credit risk environment improved moderately, supported by increased economic and political stability and the successful conclusion of the sovereign debt restructuring process. These developments bolstered business confidence, creating opportunities for CF to expand its credit portfolio. However, borrowers' repayment capacity continued to be hampered by the slow pace of economic recovery, reduced disposable incomes due to higher income taxes, and weather-related disruptions. Furthermore, regulatory restrictions on asset repossessions and other compliance requirements placed additional pressure on the Company's recovery efforts.

In response, CF leveraged its disciplined underwriting standards and enhanced its credit evaluation processes to expand the lending portfolio while maintaining a focus on achieving risk-adjusted returns. Portfolio monitoring and early warning mechanisms were further strengthened, and recovery efforts intensified to ensure that the Non-Performing Loan (NPL) ratio remained within targeted credit quality benchmarks.

As part of the overall monitoring framework, credit risk stress testing was conducted to assess the impact on the Capital Adequacy Ratio (CAR) under four defined stress scenarios, each evaluated across three severity levels: minor, moderate and major. The stress scenarios included:

- Increase in loss ratios of the current credit portfolio.
- Potential age downgrade in the credit portfolio across risk buckets.
- Increase in non-performing loans within the credit portfolio.
- Heightened geographic, sector, and product concentration risks.

Quantitative assessment of the credit portfolio's risk profile was carried out in accordance with SLFRS 9 and the requirements of the FBA Direction No. 01 of 2020 Classification and Measurement of Credit Facilities, with regular monitoring and reporting to the Board of Management (BoM) and the Board. In addition, the Risk Division continued to monitor credit risk under the following parameters:

- **Default Risk:** Goals are set in terms of the NPL ratio (90+ days past due) and leasing NPL stock. Performance against these goals are reported regularly to ALCO and BIRMC.
- **Concentration Risk:** Exposure levels across products, sectors, geographic regions and types of acceptable collateral are monitored and reported to BIRMC, with oversight against Board-approved limits.

CREDIT RISK OUTLOOK AND FOCUS FOR 2025/26

The environment in FY 2025/26 is expected to be more conducive to lending, influenced by greater economic stability, lower inflation and improving consumer and business confidence in Sri Lanka. These positive macroeconomic conditions create a favourable backdrop for expanding credit activities, providing opportunities for CF to selectively grow its lending portfolio.

Consequently, CF will focus on expanding its loan book while maintaining a reasonable Non-Performing Loan (NPL) ratio aligned with internal risk appetite thresholds. Growth initiatives will be underpinned by strong credit evaluation standards, continuous portfolio monitoring, and proactive recovery strategies. At the same time, the Company will ensure the weighted average lending rate remains within acceptable levels to balance profitability and competitiveness. Strengthened risk oversight, including enhanced stress testing and concentration management, will continue to support



sustainable, risk-adjusted portfolio growth in the year ahead.

MARKET RISK

Market Risk is the likelihood of incurring losses as a result of changes in the value of CF's assets and liabilities owing to movements in interest rates, fluctuations in the exchange rate and shifts in global commodity prices.

Material Market Risks for the Company include; Interest Rate Risk, Equity Risk and Liquidity Risk

MARKET RISK MANAGEMENT FRAMEWORK

Policies and Procedures

The Board approved Market Risk management policy serves as the overarching mandate to identify, measure, evaluate, monitor, report and control or mitigate market risks on a timely basis.

The Investment Policy provides the framework by which CF manages its investment portfolio by actively pursuing investment opportunities that will provide the optimal returns at acceptable levels of risk, whilst complying with all statutory and regulatory requirements that govern the Company's investment portfolios.

Monitoring and Reporting Responsibilities

Board of Directors

- Holds ultimate responsibility for market risk management.
- Provides oversight through:
 - Board Integrated Risk Management Committee (BIRMC)
 - Board Audit Committee (BAC)

First Line of Defence - Treasury Division, under the guidance of the Finance Department / Assets and Liabilities Management Committee (ALCO) / Investment Committee

- Identify, assess and manage market risk at the point of origination of market-related transactions.
- Ensure all decisions align with the Company's risk-return tradeoff and investment strategy.

Second Line of Defence - Risk Management Division

- Implement and monitor broader controls for market risk.
- Ensure market risk exposures remain within the approved risk appetite and regulatory parameters.
- Provide independent oversight and validation of risk assessments and reporting.

Third Line of Defence - Internal Audit Division

- Evaluate the effectiveness of the market risk management framework and internal controls.
- Ensure that market risk policies and procedures are implemented and adhered to as intended.
- Report findings and provide recommendations to management and the BAC.

INTEREST RATE RISK CONTEXT AND STRATEGY FOR FY 2024/25

The Central Bank of Sri Lanka (CBSL) implemented a series of policy interest rate cuts during the FY 2024/25 with the objective of stimulating economic recovery and easing financial conditions amidst declining inflation and improving macroeconomic stability. These actions were part of a broader monetary policy strategy aimed at revitalising private sector credit and supporting domestic demand.

For CF, the easing of interest rates presented both opportunities and challenges. While lower rates supported demand for credit, managing interest rate margins became increasingly difficult. Consequently, the Company focused on the timely repricing of assets and liabilities, as well as identifying secure and profitable reinvestment options as investment avenues for excess liquidity.

To evaluate the potential impact of interest rate fluctuations, CF employed the Modified Duration Gap approach to assess the effect on the economic value of equity under varying stress levels: minor, moderate and major.

Market interest rate movements were also closely monitored and remained a key part of discussions at monthly Asset and Liability Management Committee (ALCO) meetings. Based on these discussions, strategic repricing decisions were undertaken to manage exposure. Regular updates on interest rate margins, investment exposures, interest rate sensitivity analysis and stress testing results were provided to the Board Integrated Risk Management Committee (BIRMC) and the Board.

INTEREST RATE RISK OUTLOOK AND FOCUS FOR 2025/26

The market interest rate is likely to remain relatively stable in FY 2025/26 with the CBSL expected to maintain a cautiously accommodative stance, balancing the need to support growth while safeguarding financial sector stability.

Against this backdrop, CF will focus on the appropriate repricing of assets and liabilities. Strategic pricing of new lending products will be critical to ensure competitiveness while maintaining acceptable returns. Managing funding costs will also be critical, with efforts directed towards optimising the funding mix and minimising interest expenses.

Risk Management Report

EQUITY RISK

CF is exposed to equity risk as a result of market movements in equity price fluctuations that impact the Company's equity investment portfolio in quoted securities and equity unit trusts.

EQUITY RISK MANAGEMENT FRAMEWORK

Policies and Procedures

Market risk management policy, investment policy and treasury operational manual facilitate the identification, assessment and management of equity risk and align with the Company's risk-return trade-off and investment strategy.

Monitoring and Reporting Responsibilities

Board of Directors

- Holds ultimate responsibility for equity risk management.
- Provides oversight through Board Integrated Risk Management Committee (BIRMC).

First Line of Defence - The Treasury Division, under the direction of the Assets and Liabilities Management Committee (ALCO) and the Investment Committee

- Regularly monitors stock price levels to identify and manage potential mark-to-market losses arising from stock market volatility.

Second Line of Defence - Risk Management Division

- Regularly monitors exposure limits related to equity investments and marked-to-market losses against the stop loss limits defined.

Third Line of Defence – Internal Audit Division

- Evaluate the effectiveness of the equity risk management framework and internal controls.

EQUITY RISK CONTEXT AND STRATEGY FOR FY 2024/25

Sri Lanka's equity market demonstrated significant volatility throughout FY 2024/25, with the first half marked by subdued performance due to macroeconomic challenges, political uncertainty and market sentiment concerns. However, in the second half, the market showed a marked improvement, supported by greater economic stability and investor confidence, leading to a rebound in stock prices and a reduction in equity price risk. In line with the overall improvement in the equity market, CF continued with efforts to monitor and manage market risks. Internal stress testing was conducted to assess the potential impact of equity price fluctuations on the Company's financial stability. Total exposure to equity price risk was stressed under three severity levels: minor, moderate and major. The stress testing results indicated that the impact on CF's financial position was deemed insignificant, confirming that the Company's exposure to equity price risk remained within acceptable levels despite market fluctuations.

EQUITY RISK OUTLOOK AND FOCUS FOR 2025/26

A stable and positive outlook in the equity market, with improved investor confidence and market activity is expected in 2025/26. The Company aims to maximise the return while managing the risks within set parameters.

LIQUIDITY RISK

Liquidity Risk arises when a Company cannot efficiently convert its assets into cash or access sufficient funding to cover its liabilities as they come due without incurring significant losses.

LIQUIDITY RISK MANAGEMENT FRAMEWORK

Policies and Procedures

The Board approved Liquidity Management Policy sets out guidelines to ensure CF maintains an adequate liquidity profile at all times to meet its contractual financial obligations and regulatory requirements, regardless of market conditions.

Monitoring and Reporting Responsibilities

Board of Directors

- Holds ultimate responsibility for liquidity risk management.
- Ensures the overall adequacy and effectiveness of liquidity risk management through oversight and monitoring.
- Assesses the effectiveness of liquidity risk management, ensuring compliance with policies, procedures and regulatory requirements.
- Provides oversight through:
 - Board Integrated Risk Management Committee (BIRMC);
 - Board Audit Committee (BAC).

First Line of Defence: Treasury Division under the guidance of the Finance Department, ALCO and the Investment Committee

- Actively manage liquidity risks while considering the risk-return trade-off.
- Regularly monitor liquidity levels to ensure the Company can meet its financial obligations.
- Optimise funding costs, manage the investment portfolio and develop contingency liquidity plans.



Second Line of Defence: Risk Management Division

- Provides broader controls to manage liquidity risk effectively.
- Ensures proper risk monitoring, reporting and control measures are in place to maintain a sound liquidity position.
- Provides oversight of liquidity risks to ensure alignment with company strategies and risk appetite.

Third Line of Defence: Internal Audit Division

- Ensures that liquidity risk management policies and internal controls are executed as intended.
- Conducts independent audits and reviews to confirm adherence to liquidity risk management policies and practices.

LIQUIDITY RISK CONTEXT AND STRATEGY FOR FY 2024/25

The Company maintained a strong liquidity position during FY 2024/25, supported by a surplus in the investment portfolio. However, in tandem with the growth in the lending portfolio during the year, close monitoring of maturity gaps became essential to ensure sustained liquidity levels.

Liquidity stress testing was carried out regularly under three severity scenarios: minor, moderate and major, to assess the potential impact of reduced operating cash flows.

Maturity gap analysis was also conducted using both contractual and behavioural maturity profiles to identify potential funding mismatches and liquidity needs. Key liquidity ratios were measured under both stock and flow approaches, with performance closely monitored at ALCO and BIRMC meetings.

Additionally, regular reviews were performed to assess the adequacy of approved undrawn contingency funding lines and the status of the excess investment portfolio.

LIQUIDITY RISK OUTLOOK AND FOCUS FOR 2025/26

With the expectation of improving economic conditions and greater credit demand, effective liquidity management will be critical to sustain operational stability and enable business expansion. The focus for 2025/26 will therefore be centered on maintaining a sound liquidity position while supporting the continued growth of the credit portfolio.

Efforts will be directed toward mobilising low-cost deposits. Equally importantly maturity profiles will be closely monitored to ensure sufficient liquidity buffers are maintained to meet all contractual and unexpected obligations under varying market conditions.

Liquidity management strategies will also include strengthening contingency funding plans, optimising the investment portfolio for returns and liquidity, and enhancing stress testing frameworks to proactively manage emerging risks.

OPERATIONAL RISK

Operational risk is the possibility of incurring losses as a result of inadequate or failed internal processes, people, systems or from external events.

OPERATIONAL RISK MANAGEMENT FRAMEWORK

Policies and Procedures

CF's Operational Risk Management Framework is built around a comprehensive range of policies and procedures designed to identify, assess, mitigate, monitor and report operational risks across the Company. These policies serve as the foundation for strengthening internal controls, ensuring business

continuity, safeguarding information assets and maintaining regulatory compliance.

At the core of this framework, the Operational Loss Events Policy, which outlines clear procedures for recognising and addressing transactions or incidents that may lead to operational losses, thus enabling timely intervention and remediation to minimise potential financial and reputational damage.

The Business Continuity Policy and Disaster Recovery Plan are vital components of CF's Operational Risk Management framework. Collectively, they ensure the Company's ability to sustain operations and protect key assets during unexpected disruptions.

Likewise, the IT Security Policy is designed to protect the Company's information assets from unauthorised access, disclosure, modification or destruction. The policy clearly defines roles, responsibilities and security expectations for employees, contractors and third-party service providers while ensuring adherence to legal and regulatory standards.

The Outsourcing Policy governs the management of risks associated with engaging external service providers by setting out detailed controls to ensure that outsourcing arrangements are secure, efficient and compliant with regulatory expectations, covering aspects such as due diligence, performance monitoring and accountability.

Moreover, various Manuals of Procedures set out the internal control mechanisms necessary for the effective functioning of business processes. These manuals help standardise operations, clarify responsibilities and enhance the reliability and efficiency of day-to-day activities across all business units.

Risk Management Report

Monitoring and Reporting Responsibilities

Board of Directors

- Holds ultimate responsibility for operational risk management.
- Ensures the overall adequacy and effectiveness of the operational risk management framework.
- Provides oversight through
 - Board Integrated Risk Management Committee (BIRMC)
 - Board Audit Committee (BAC)

First Line of Defence – Business Unit Heads, Branch Managers, Regional Managers

- Responsible for identifying, assessing and mitigating operational risks within their respective areas.
- Ensure the proactive implementation of internal controls.
- Share responsibility for adhering to operational risk controls and reporting potential risks or breaches to the Board of Management.

Second Line of Defence – Risk Management Division and Compliance Division

- Designs and implements the operational risk management framework.
- Monitors emerging risks and reports significant risk events to senior management and oversight committees.
- Ensures that operational processes comply with regulatory and internal requirements.
- Advises business units on control improvements and risk mitigation strategies.

Third Line of Defence – Internal Audit Division

- Conducts independent reviews and audits to verify that operational risk management policies and procedures are being followed.
- Evaluates the effectiveness of controls and reports findings to the Board and relevant committees.

OPERATIONAL RISK CONTEXT AND STRATEGY FOR FY 2024/25

External factors such as lower disposable incomes owing to increased taxation, rising cost of living and growing unemployment, as well as the rapid acceleration in digital financial transactions, have heightened the operational risk landscape.

The potential impact of operating losses not covered by insurance is assessed using internal stress testing across three severity levels: minor, moderate and major. Operational loss events and information security incidents are continuously monitored and are regularly reported to the BIRMC.

In addition to these reports, the BIRMC and the Board Audit Committee (BAC) also review updates on potential fraud risks and mitigation measures, near-miss events, departmental risk assessments, business continuity plan (BCP) updates, disaster recovery plan (DRP) drill results and branch risk grading reports. This comprehensive monitoring ensures effective oversight and timely response to emerging operational risks.

OPERATIONAL RISK OUTLOOK AND FOCUS FOR 2025/26

In 2025/26, the focus will be on further strengthening the operational risk management framework to enhance CF's resilience in a dynamic risk environment. This includes aligning practices with the

FBA Direction No. 04 of 2024, which sets out enhanced regulatory expectations for operational risk governance, internal controls and risk mitigation. In parallel, the Company will continue to build internal processes, improve incident reporting mechanisms and enhance staff awareness to proactively address emerging risks such as fraud, cybersecurity threats and system disruptions.

IT & CYBERSECURITY RISK

As a financial institution, CF is inherently exposed to evolving IT and cybersecurity risks due to rapid digitalisation of financial services and increased reliance on third-party service providers. These developments heighten the risk of data breaches, service disruptions and regulatory non-compliance, reinforcing the need for robust controls to protect critical information assets.

IT & CYBERSECURITY RISK MANAGEMENT FRAMEWORK

Policies and Procedures

Given the financial sector's critical role in the economy, CF recognizes the heightened risk of cyber threats and the potential financial and reputational impacts of cybersecurity incidents. In response, the Company has implemented a robust, end-to-end IT and cybersecurity governance framework designed to mitigate technology-related risks, ensure regulatory compliance and safeguard the integrity of its information infrastructure.

Aligned with global best practices and regulatory expectations, this framework encompasses comprehensive policies and procedures covering information security, data protection, access control, incident response, business continuity, disaster recovery, third-party risk, change and asset management, vulnerability management, cloud security and employee awareness.



These controls are regularly reviewed and updated to remain effective and relevant amid evolving cyber threats and changing operational demands.

Monitoring and Reporting Responsibilities

Board of Directors

- Formulates and approves IT and cybersecurity strategy.
- Ensures alignment with business goals and regulatory requirements.
- Allocates resources and monitors high-level cybersecurity risks.
- Provides oversight through
 - Board Integrated Risk Management Committee (BIRMC)
 - Board Audit Committee (BAC)

First Line of Defence - IT Department

- IT Department led by the GM-IT, oversees cybersecurity strategy and operations.
- The IT team and the Security and Network Operations Centre (SNOC) teams are responsible for day-to-day management of cybersecurity risks, including implementing controls, monitoring systems and responding to incidents 24/7.
- Regularly reports to the Information Security Committee (ISC), Board of Management and BIRMC on cybersecurity policies, risks and incidents.

Second Line of Defence – IT and Cybersecurity Risk Management and Compliance led by CISO

- Provide independent oversight, develop a risk management framework and assess the effectiveness of controls.
- Monitors compliance with regulations.
- Reports on ISC deliberations, cybersecurity risks and incidents to BIRMC and the Board.

Third Line of Defence - Internal Audit

- Provides independent assurance on the effectiveness of cybersecurity governance, risk management framework and internal controls.
- Conducts audits and ensures compliance with policies.
- Reports findings to the Board, BAC and BIRMC.

IT & CYBERSECURITY RISK CONTEXT AND STRATEGY FOR FY 2024/25

In 2024/25, CF faced an evolving cybersecurity landscape driven by rapid digital transformation, increased cloud adoption and reliance on third-party service providers, which introduced new risks such as data breaches, ransomware and supply chain vulnerabilities. Stricter CBSL regulations on data protection, incident response and vulnerability management also required urgent compliance.

To address these challenges, CF enhanced its cybersecurity framework by deploying advanced tools for real-time threat monitoring, access control and insider threat detection. Incident Response, Business Continuity and Disaster Recovery plans were regularly tested and improved to ensure resilience. Cloud security policies and compliance monitoring were aligned with international standards and CBSL directives.

Vendor risk management protocols were strengthened, while employee awareness was boosted through targeted training and phishing simulations. Independent audits validated the effectiveness of controls, supporting CF's proactive approach to managing emerging cyber risks and maintaining robust protection of critical information assets.

IT & CYBERSECURITY RISK OUTLOOK AND FOCUS FOR 2025/26

In 2025/26, CF anticipates an increase in both the frequency and complexity of cyber threats, including ransomware, advanced persistent threats (APTs) and supply chain attacks. In response, the Company will enhance its threat detection capabilities, machine learning analytics and real-time threat intelligence.

As cloud adoption and remote work persist, CF will focus on strengthening cloud and endpoint security, improving access controls, data loss prevention and applying zero trust principles across systems and devices.

The compliance framework will be further developed to align with evolving regulations, such as the Personal Data Protection Act (PDPA), with emphasis on auditability, access management and data governance. Third-party cybersecurity oversight will be tightened through enhanced vendor assessments and more stringent contractual controls.

Cybersecurity awareness will remain a key priority, with continued employee training and simulated phishing exercises aimed at reducing human-related risks.

STRATEGIC RISK

Strategic risk arises as a consequence of factors such as regulatory changes, economic shifts, disruptive technologies, competitive dynamics or poor strategic choices that could adversely impact the Company's long-term objectives.

Strategic risk at CF is effectively managed under the stewardship of the Board of Directors. The Board provides overall strategic direction and oversees the strategic planning process. Each planning cycle begins with a comprehensive assessment of the internal and external environment, enabling the Board and senior leadership

Risk Management Report

to identify key risks and opportunities. Based on this analysis, strategic priorities are defined and translated into clear corporate goals. These are then cascaded down to business units through detailed business plans, and further into departmental targets and KPIs, thereby ensuring every level of the organisation is working towards a shared set of objectives.

Performance against these strategic goals is continuously monitored by the Board and its committees, in particular the Board Integrated Risk Management Committee (BIRMC) and the Board Audit Committee (BAC) review progress at regular intervals. They assess performance metrics, risk dashboards, and operational updates to ensure that implementation is on track and that emerging risks are being addressed. Any deviations or issues are escalated for corrective action.

Looking ahead to 2025/26, CF will further reinforce its strategic planning and risk oversight processes to ensure that strategic decisions remain agile and well-aligned in responding to an increasingly complex and dynamic risk environment.

COMPLIANCE RISK

Compliance risk for CF refers to the potential for regulatory breaches, legal penalties, financial losses or reputational damage arising from failure to adhere to applicable laws, regulations, internal policies and ethical standards. This includes risks associated with anti-money laundering (AML), Countering of the Financing of Terrorism (CFT), data privacy, consumer protection and broader regulatory compliance requirements applicable to the financial services industry.

To manage this risk effectively, CF has put in place a dedicated and independent Compliance Function that operates autonomously. The Compliance Function reports functionally and directly

to the Board Integrated Risk Management Committee (BIRMC), thereby ensuring that compliance oversight is embedded at the highest level of governance. Administratively, the Head of Compliance (HOC) reports to the Managing Director, facilitating operational alignment without compromising independence.

In 2024/25, CF's compliance risk profile remained low, in line with the company's conservative risk appetite. The risk of money laundering and terrorist financing, while historically low, showed a marginal increase towards a medium-level classification. This change mirrored the broader assessment made by the regulator for the non-bank financial institution (NBFI) sector, but did not reflect any material shift in CF's internal risk posture.

CF's Compliance Function actively observed the evolving external regulatory landscape to identify emerging risks early, while internal compliance was assessed through systematic sample testing of business processes and practices. Any non-conformities identified were promptly escalated, addressed in consultation with relevant business units and corrective actions initiated. The Board was regularly updated on key developments through the BIRMC, ensuring continuous oversight and accountability.

Looking ahead, CF expects the compliance risk profile for 2025/26 to remain consistent with the previous year, within the low to low-medium range. The company will continue to invest in compliance systems and processes, stay attuned to regulatory changes and maintain its commitment to upholding a strong compliance culture across all levels of the organisation.

ENVIRONMENTAL, SOCIAL, AND GOVERNANCE (ESG) RISK

ESG risk has emerged as a material area of focus for CF, amidst the growing recognition that long-term business sustainability is closely tied to an organisation's ability to manage its environmental impact, social responsibilities, and governance practices. As regulatory expectations and stakeholder demands around sustainability continue to evolve, CF acknowledges that inadequate management of ESG risks can result in reputational harm, financial penalties, operational disruptions and diminished stakeholder trust. Conversely, proactive ESG risk management presents significant opportunities to create long-term value, improve resilience and strengthen stakeholder relationships.

Accordingly, CF has adopted a structured approach to ESG risk and opportunity management through the implementation of a formal ESG Policy to guide the integration of ESG principles into the Company's strategic and operational decision-making processes. The Policy, which represents CF's commitment to uphold transparency and accountability, ensures adherence to ethical business conduct and good governance principles.

The ESG Policy outlines three key pillars of sustainability

- **Environmental Sustainability** - Promotes green financing products and services, leverages digital solutions to reduce paper use and travel, prioritises energy efficiency and engages in environmental advocacy initiatives.
- **Social Sustainability** - responsible lending practices, initiatives to enhance financial inclusion, a commitment to providing a safe, equitable workplace and programmes aimed at social empowerment.



- **Governance Sustainability -**
Reinforces the principles of good governance and ethical business conduct, with a focus on responsible value creation, stakeholder engagement and productivity improvements through lean management.

While CF's ESG risk management journey is still in its early stages, the Company is committed to strengthening its approach. In 2025/26, CF plans to identify Company-specific ESG risks and opportunities, develop appropriate risk monitoring tools and establish mitigation strategies in line with the requirements of SLFRS S1 and S2. In parallel, steps will be taken to build internal capacity by upskilling employees, providing targeted ESG training and engaging external expertise where needed to accelerate efforts to drive ESG integration.

Monitoring and Reporting Responsibilities

Board of Directors

- Ultimate oversight of the Company's ESG priorities.
- Ensures accountability and effective implementation of the ESG Framework.
- Oversees ESG risks and integrates them into the Company's broader risk management framework.
- Executes ESG strategy and serves as a bridge between the Board, BIRMC, and operational teams.
- Provide oversight through:
 - Board Integrated Risk Management Committee (BIRMC).
 - Board Audit Committee (BAC).

First Line of Defence: Business and Operations

- **Sustainability Project Operations Team** - Implements on-ground ESG initiatives and ensures integration of sustainability into day-to-day operations.
- **Sustainability Business Strategy Team** - Develops sustainability strategies, product innovations and action plans aligned with ESG objectives.
- **Sustainability Internal Practices Team** - Drives enhancements in internal processes and practices for ESG alignment.

Second Line of Defence: Sustainability Management Steering Committee (SMSC)

- Coordinates ESG efforts across the Company and monitors progress using metrics and roadmaps, and reports regularly to the BIRMC.
- Ensures regulatory compliance and effective risk evaluation.
- Oversees the three sustainability sub-committees (Strategy, Operations, and Internal Practices).

Third Line of Defence: Internal Audit Function

- Conduct independent reviews of ESG controls, compliance and reporting processes.
- Ensures the accuracy, integrity and transparency of ESG disclosures.

CORPORATE GOVERNANCE REPORT

INTRODUCTION TO CORPORATE GOVERNANCE BY THE CHAIRMAN

As a licensed financial institution operating in a dynamic business environment, our commitment to good governance is anchored to the principles of integrity, transparency, accountability, and performance excellence. The Board remains dedicated to upholding these values through a robust governance framework that evolves in line with regulatory expectations and best practices on governance.

BOARD FOCUS FOR FY 2024/25

Amidst the backdrop of increasingly complex and evolving regulatory demands, the Board devoted significant time during the year reviewing and internalising new governance requirements, with an emphasis on early adoption where possible.

In response to the new Corporate Governance Rules introduced by the Colombo Stock Exchange in 2024, the Board took decisive steps to enhance the Company's governance framework, reviewing and approving a comprehensive set of mandatory policies covering;

- Matters relating to the Board of Directors
- Board Committees
- Corporate Governance, Nominations and Re-election
- Remuneration
- Internal Code of Business Conduct and Ethics for all Directors and employees, including policies on trading in the Entity's listed securities
- Risk management and Internal controls
- Relations with Shareholders and Investors
- Environmental, Social and Governance Sustainability

- Control and Management of Company Assets and Shareholder Investments
- Corporate Disclosures
- Whistleblowing
- Anti-Bribery and Corruption

Further, all existing Board Sub-Committees were re-constituted to reflect the revised CSE governance rules and provisions of Finance Business Act Direction No 05 of 2021 - Corporate Governance issued by Central Bank of Sri Lanka which came in to effect fully from 1st July 2024, while a new Sustainability Management Steering Committee (SMSC), a management-level committee, was also formed to provide more focused oversight on ESG integration into the business processes.

BOARD SUCCESSION PLANNING

Another key highlight this year was the seamless leadership transition at the Executive Director level. In testament to the effectiveness of CF's Board succession planning process, Mr. Arjuna Gunaratne (former Deputy Managing Director) transitioned to the role of CF's Managing Director/CEO, following the retirement of Mr. Eranjith Wijenaike. Simultaneously, Mr. Prasanna de Silva, former Chief Operating Officer, was appointed as Deputy Managing Director to ensure continuity, stability, and readiness within our leadership team.

The Board joins me in welcoming Ms. S.H. Munasinghe, who has been appointed to the CF Board as an Independent Non-Executive Director with effect from 1 May 2025. We are confident that the Company will greatly benefit from her expertise and insights.

At the same time, the Board and Management extend their heartfelt gratitude to Mr. A.D.B. Talwatte, who retired on 30th April 2025, in compliance with the Corporate Governance Direction of the CBSL. The Board joins me in formally acknowledging and appreciating his invaluable service during his tenure.

ANNUAL GENERAL MEETING

I am pleased to report that the 66th Annual General Meeting, held on 28 June 2024, concluded successfully with the active participation of shareholders.

On that note, I extend a warm welcome to all shareholders to attend the upcoming 67th AGM of Central Finance Company PLC, scheduled to be held on 30 June 2025 at The Grand Kandyana Hotel, Kandy.

DECLARATION

On behalf of the Board, I confirm that Central Finance Company PLC continues to operate in full compliance with all applicable regulatory frameworks governing licensed financial institutions. This includes adherence to the Finance Business Act Direction No. 05 of 2021 on Corporate Governance, the Code of Best Practice on Corporate Governance 2023 issued by CA Sri Lanka, and the Listing Rules of the Colombo Stock Exchange, including the newly introduced Corporate Governance Rules. In addition to external requirements, the Company has also upheld its own internal institutional frameworks, ensuring that the Board of Directors, Corporate Management, and employees collectively embody the principles of sound governance, accountability, and transparency at all times.

The Chairman and the Board affirm that all Directors and Key Responsible Persons have declared their compliance with this Code. During the year under review, this Code has been strictly followed and all incidents within its scope have been addressed as per Company's Disciplinary Procedure.



A.R. Fernando
Chairman

Colombo,
28th May 2025



CF'S APPROACH TO CORPORATE GOVERNANCE

As a leading financial institution in Sri Lanka, CF's approach to corporate governance stems from the belief that strong governance is fundamental to protecting stakeholder interests while also serving as a key enabler in achieving corporate growth ambitions.

Our governance practices are built on the foundation of compliance with all regulatory requirements and good governance practices. As a responsible corporate citizen, we have embedded good governance principles into our policies, procedures, and culture to ensure effective decision-making and prudent risk management across all levels of the organisation.

As part of our overall approach to good governance, we continuously review and update our policies and procedures to capture evolving regulatory standards and global best practices to ensure our governance framework remains dynamic, future-ready, and capable of supporting CF's long-term vision and purpose.

Governance Structure



Corporate Governance Report

Corporate Governance Structure and Framework

Regulatory Requirements	Internal Frameworks	Voluntary Codes and Best Practices
The Companies Act No. 7 of 2007	Articles of Association	Integrated Reporting Framework issued by the International Integrated Reporting Council (IIRC)
Finance Business Act Direction No 5 of 2021 on Corporate Governance and during the transitional period Corporate Governance Direction No. 3 of 2008	Board-approved Terms of Reference (TOR) of Board Sub Committees	The Code of Best Practice on Corporate Governance 2023 issued by CA Sri Lanka
Listing Rules of the Colombo Stock Exchange	Board-approved policy frameworks for governance, risk, compliance and operational areas	
Directives/Regulations of the Securities and Exchange Commission of Sri Lanka	Codes of Conduct for Employees, Key Management Personnel and Directors	
The Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995		

As in the past, this year too, we report our governance practices and initiatives in three sections

Section One	Covers the level of compliance with the Finance Business Act Direction No. 05 of 2021 on Corporate Governance for Licensed Finance Companies issued by the Central Bank of Sri Lanka.
Section Two	Covers the level of adoption of the Code of Best Practice on Corporate Governance 2023, issued by CA Sri Lanka
Section Three	Covers compliance under Section 9 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance

THE BOARD

The Board of Directors of Central Finance Company PLC functions as the apex governing body, providing strategic oversight and leadership to the organisation. Guided by a comprehensive Board Charter that sets out its Terms of Reference (TOR), the Board is responsible for defining the Company's vision, mission and long-term strategic direction.

The Board also sets the Company's strategy and plays a critical role in ensuring its effective implementation by offering entrepreneurial leadership and guidance to the corporate management. As the primary custodian of corporate governance, the Board is also responsible for establishing robust governance policies and frameworks and ensuring full compliance with all legal, regulatory, and ethical obligations and oversight of the management of the Company.

KEY BOARD RESPONSIBILITIES

Regulatory Compliance

The Board of Directors assumes ultimate responsibility for ensuring full compliance with all applicable regulatory requirements. The Board maintains comprehensive oversight over compliance matters and works closely with the Board Committees and the executive leadership to monitor and enforce compliance across all levels of the organisation.

To effectively manage compliance risks, amidst the increasingly dynamic regulatory environment, the Board engages with regulatory authorities and consults with subject matter experts to understand evolving standards and regulatory requirements and ensure early adoption of regulatory developments.

To further strengthen accountability, the Board has implemented secure and confidential communication channels that empower employees to report any compliance concerns or violations without fear of retaliation.

In FY 2024/25, the Board worked to ensure full compliance with the updated Section 9 of the CSE Listing Rules on Corporate Governance, meeting all mandated timelines.



Financial Control and Reporting

The Board, as the sole authority responsible for financial stewardship of the Company, has established a robust system of controls to safeguard the Company's assets, prevent fraud and financial misstatements, and ensure compliance with applicable accounting standards, regulatory requirements, and internal policies.

Further, as part of its fiduciary duty, the CF Board takes responsibility for the integrity, accuracy, and timeliness of the Company's financial reporting. The Board ensures that financial statements are prepared in accordance with the applicable Sri Lanka Accounting Standards (SLFRS/LKAS), regulatory requirements, and international best practices, thereby providing a true and fair view of the Company's financial position, performance, and cash flows.

The Board, with the support of the Board Audit Committee, examines quarterly and annual financial statements prior to publication. The Board Audit Committee further engages with internal and external auditors to ensure any material issues are addressed promptly and appropriately.

Risk Management and Internal Control

The Board holds ultimate responsibility for the Company's risk management and internal control frameworks, ensuring they are robust, effective, and aligned with the strategic objectives of the organisation. In fulfilling these responsibilities, the Board sets the Company's overall risk appetite and works closely with the Board Integrated Risk Management Committee (BIRMC) to oversee the development and implementation of comprehensive policies and procedures aimed at identifying, assessing, and mitigating risks that could impact operations, reputation, or financial performance.

Acting under the delegated authority of the Board, the BIRMC regularly reviews the risk register, monitors key risk indicators, and ensures that appropriate mitigation measures are implemented to manage both emerging and existing risks.

The BIRMC also seeks independent assurance from internal and external auditors on the integrity of the Company's risk and control frameworks and advice on improvements.

Conduct policies in compliance with the provisions of section 9 of the CSE's listing rules on Corporate Governance

POLICY ON INTERNAL CODE OF BUSINESS CONDUCT AND ETHICS



To promote ethical behavior for directors and employees, including policies on trading in the Entity's listed securities

POLICY ON WHISTLE BLOWING



To encourage reporting of misconduct and protect those who raise concerns

POLICY ON ANTI-BRIBERY AND CORRUPTION



To prevent bribery and corruption in all forms, whether direct or indirect

Conduct and Ethics

The Board sets the tone from the top to promote a culture of ethics, integrity, and accountability across all levels of the organisation. This commitment is

reflected through the Board approved conduct framework, with the introduction of the Internal Code of Business Conduct, the Anti-Bribery and Corruption Policy, and the Whistleblowing Policy, all in line with the new Corporate Governance requirements under the Colombo Stock Exchange's revised Listing Rules. All policies are applicable to employees and Directors of CF, without exception.

The Company upholds a Code of Business Conduct and Ethics which outlines the principles that govern the behavior of directors and employees. The Code of Business Conduct and Ethics reflects the Company's expectation of the highest standard of personal conduct and ethical business practices in alignment with Company's values, applicable laws, regulations and ethical standards.

Information Technology (IT) and Cybersecurity Governance

The Board holds ultimate responsibility for formulating and approving IT and cybersecurity strategies in line with CF's objectives and to comply with regulatory standards and global best practices.

To strengthen governance, CF has established the Information Security Committee (ISC). Chaired by the CEO and comprising the CIO, CISO and other departmental heads, the ISC facilitates a collaborative, cross functional approach to managing technology risks. The Committee provides regular updates to the Board, addresses critical risks, evaluates security controls, and ensures compliance with regulatory mandates. Additionally, the Board Integrated Risk Management Committee (BIRMC) acts as a vital link between the ISC and the Board, enabling the Board to be informed of emerging threats and evolving risk landscapes.

Meanwhile, the Chief Information Security Officer (CISO) is responsible for

Corporate Governance Report

developing and executing the information security framework, ensuring compliance, and embedding a culture of security throughout the organisation. The CISO works closely with IT and risk teams to align security initiatives across business units. Under the CISO's leadership, the Security Operations Centre (SOC) reinforces CF's defence posture through 24/7 monitoring, threat detection, and incident response, representing a coordinated approach to managing cyber threats.

CF demonstrates its commitment to cybersecurity and risk resilience by adhering to internationally recognised standards and local regulations

ISO 27001:2022	Information Security Management Standard to enable systematic risk identification, mitigation, and continuous improvement through regular audits
NIST Cybersecurity Framework	Integrating core principles (Identify, Protect, Detect, Respond, Recover) into business operations to enhance threat response capabilities
CBSL Technology Risk Resilience Framework	Aligning with regulatory requirements specific to the financial sector in Sri Lanka, focused on fraud prevention, cyber governance, and operational continuity

Human Capital Governance

The Board plays a crucial role in human capital governance by ensuring that people strategies are aligned with the organisation's long-term goals. To that end, the Board, in collaboration with the Human Resources and Remuneration Committee (HRRC), provides strategic direction on workforce-related matters, including reviewing talent pipelines, monitoring leadership development, and overseeing succession plans for key leadership roles to ensure business continuity and resilience.

As part of its oversight role, the Board also works closely with the HRRC to develop and implement a suitable remuneration structure that is competitive, equitable, and complies with regulatory standards, while keeping in line with industry standards.

Moreover, through regular dialogue with corporate management, the Board ensures that human capital is governed effectively, ensuring CF has the capacity to attract, retain, and nurture the talent needed to achieve corporate objectives.

Stakeholder Engagement

The CF Board recognises that transparent communication and responsiveness are essential to earning and maintaining stakeholder trust. To foster strong, long-term relationships, the Board has delegated oversight of specific stakeholder matters to Board Committees while corporate management is responsible for managing day-to-day stakeholder interactions in line with established mandates for ensuring accountability in all engagements.

Further details on CF's stakeholder engagement approach are available in the Stakeholder Engagement section on page 39 of this report.

Sustainability Governance

The Board acknowledges the growing importance of sustainability governance in driving long-term value and responsible business practices.

In compliance with the Colombo Stock Exchange's revised Listing Rules on Corporate Governance introduced in 2024, the Board formally established a Policy on Environmental, Social and Governance Sustainability in the current year, setting out the Company's commitment to integrate ESG considerations into its business strategy. Following the rollout of the policy, the Board mandated the formation of a dedicated Sustainability Management Steering Committee (SMSC) to formulate the structural framework to embed environmental, social, and governance (ESG) matters into the Company's strategic planning and risk management processes in the years ahead.

Shareholder Relations and Communication

As a financial institution, CF's Board acknowledges the importance of providing shareholders with information in a transparent manner, while ensuring that all disclosures are made in accordance with applicable regulatory requirements. Accordingly, the Board prioritises timely and accurate communication through Colombo Stock Exchange (CSE) disclosures, press releases, and other formal channels, covering financial performance, strategic initiatives, and other material developments.

The policy on Relations with Shareholders and Investors sets out clear guidelines to ensure that shareholders are consistently informed about the Company's financial performance, strategic direction, and material developments, with a focus on encouraging constructive dialogue and engagement.



The policy on Corporate Disclosures outlines the Company's commitment to providing accurate, timely, and transparent disclosures in accordance with regulatory requirements and best practices in corporate governance. This policy specifies the procedures for ensuring that all material information, including financial results, strategic decisions, risks, and governance matters, is disclosed to shareholders, investors, and the public in a clear and accessible manner.

Additionally, the Board is committed to addressing shareholder inquiries in a timely manner and encourages shareholders to voice their concerns or seek clarification either at the Annual General Meeting or in writing to the Company Secretary.

Annual General Meeting (AGM)

The Board is responsible for arranging the AGM in compliance with legal and regulatory requirements, for such matters as the notice period, quorum, and agenda. The Board oversees the preparation of necessary documents, including the financial statements, the annual report on the Company's performance, and any proposals to be voted on by shareholders.

To facilitate meaningful participation, the Annual Report, notice of AGM, resolutions requiring shareholder approval, and voting instructions are distributed to shareholders at least 15 working days in advance to provide sufficient time for preparation prior to the AGM.

The Board is also responsible for facilitating the smooth running of the meeting, ensuring that shareholder questions are addressed and that the voting process is conducted transparently and fairly.

Central Finance Company PLC's next AGM is scheduled to be held on 30 June 2025.

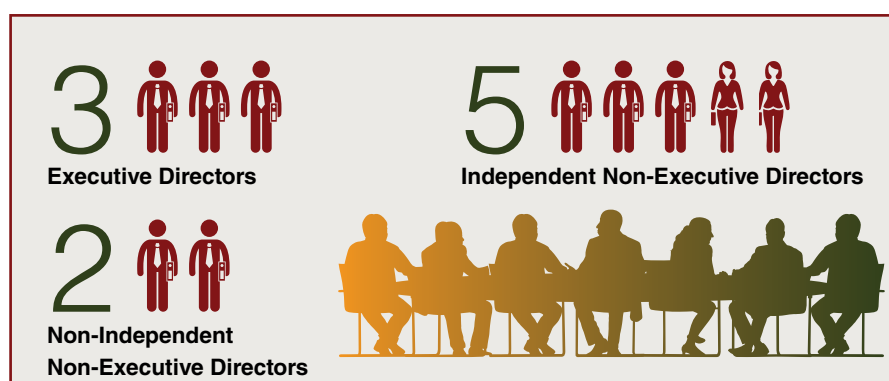
BOARD COMPOSITION

CF is governed by a competent and well-balanced Board of Directors. The composition of the Board is determined by the Company's Articles of Association and aligned with the latest regulatory frameworks.

CF's 10-member Board comprises 3 Executive and 7 Non-Executive Directors, of which 5 are Independent Non-Executive Directors. The presence of Non-Executive Directors significantly enhances the quality and integrity of the Board. Non-Executive Directors provide impartial oversight to strengthen governance practices, drive accountability, and facilitate informed decision-making at the Board level.

Moreover, with all Directors possessing diverse professional expertise and extensive industry experience in various disciplines from finance, operations, risk management, legal, sustainability, and corporate strategy, the collective knowledge of the CF Board sets a strong foundation for effective leadership and prudent decision-making to enable the Company manage emerging risks, and seize growth opportunities in a dynamic business environment.

Board Composition



APPOINTMENT / RE-ELECTION / RESIGNATION / RETIREMENT OF DIRECTORS

Board members are appointed through a formal, transparent, and merit based process overseen by the Nominations and Governance Committee (NAGC). The NAGC evaluates the suitability of prospective candidates based on their skills, expertise, and the value they bring in enhancing the overall effectiveness of the Board. This includes an assessment of any external directorships held, to ensure such commitments do not impede the candidate's ability to exercise due care, skill, and diligence in fulfilling their responsibilities to CF.

Further, in line with the Company's Articles of Association, one-third of the Non-Executive Directors are required to retire by rotation at each Annual General Meeting (AGM). Additionally, any Director appointed to fill a casual vacancy during the year is required to stand for re-election at the subsequent AGM for shareholder approval.

However, Directors' eligibility to offer themselves for re-election is subject to review conducted by the NAGC to assess the relevant Director's attendance history, engagement, and overall contribution to Board discussions and decisions.

Corporate Governance Report

The Board ensures that all changes pertaining to the appointment, re-election, resignation, or retirement of Directors are communicated to the Colombo Stock Exchange (CSE) and shareholders in a timely and transparent manner.

Process for Appointing New Directors to the CF Board

1. Identification of Need

The Board, in consultation with the Nominations and Governance Committee (NAGC), identifies the need to appoint a new Director based on skill gaps, succession planning, or business strategy requirements.

2. Candidate Sourcing

Potential candidates are sourced through internal recommendations, professional networks, or external advisory firms, ensuring a diverse and qualified pool.

3. Evaluation and Shortlisting

The NAGC evaluates candidates against a set of criteria, including relevant experience, professional expertise, industry knowledge, and alignment with CF's values and strategic direction. External directorships held by candidates are also reviewed to ensure they can commit adequate time and attention to CF.

4. Due Diligence and Background Checks

Comprehensive due diligence is conducted, including background checks, verification of qualifications, and assessment of any conflicts of interest.

5. Recommendation to the Board

The NAGC presents shortlisted candidates to the Board with its recommendation, outlining how each candidate strengthens the Board's

overall composition.

6. Board Approval

The Board deliberates and formally approves the appointment of the selected candidate to fill a casual vacancy or serve as an additional member.

7. CBSL Approval

The approval of the Director, Department of Supervision of Non-Bank Financial Institutions of the Central Bank of Sri Lanka is obtained in compliance with the Finance Business Act Direction No. 05 of 2021 on Corporate Governance.

8. Regulatory Disclosure and Shareholder Notification

The appointment is promptly disclosed to the Colombo Stock Exchange (CSE) and shareholders, in compliance with regulatory requirements.

9. Shareholder Approval at the AGM

If the Director is appointed to fill a casual vacancy during the year, they must stand for re-election at the next Annual General Meeting for shareholder approval.

In accordance with provisions of the Finance Business Act Direction No. 05 of 2021 on Corporate Governance for Non-Bank Financial Institutions issued by the Central Bank of Sri Lanka, the following changes have been made to the composition of the Board:

Mr. Eranjith Harindra Wijenaik	Retired from the position of Managing Director/Chief Executive Officer of the Company with effect from 30th June 2024 and was re-appointed as a Non-Independent Non-Executive Director with effect from 1st July 2024, in terms of the provision under section 3.5(b) of the Finance Business Act Direction No. 05 of 2021 on Corporate Governance for Non-Bank Financial Institutions issued by the Central Bank of Sri Lanka
Mr. Arjuna Kapila Gunaratne	The Deputy Managing Director was appointed as the Managing Director/Chief Executive Officer of the Company with effect from 1st July 2024, in accordance with the Company's succession plan
Mr. Dhammika Prasanna de Silva	The Chief Operating Officer was appointed as the Deputy Managing Director of the Company with effect from 1st July 2024, in accordance with the Company's succession plan
Mr. Chaminda Sampath Hettiarachchi	In order to comply with the requirements under section 3.5(a) of Finance Business Act Direction No. 05 of 2021 on Corporate Governance for Non-Bank Financial Institutions issued by the Central Bank of Sri Lanka, Mr. Chaminda Sampath Hettiarachchi (Executive Director / Director Corporate Affairs) stepped down from the Board of the Company with effect from 30th June 2024 and was re-designated as Director Legal (Non-Board) with effect from 1st July 2024
Mr. Mahen Senani De Saram	Appointed as an Independent Non-Executive Director of the Company with effect from 1st July 2024



Mr. A.D.B. Talwatte retired from his position as Chairman of the Board with effect from 30 April 2025. Subsequently, Mr. A.R. Fernando was appointed as the Chairman of the Board with effect from 1 May 2025.

Mr. M. H. de Silva, Independent Non-Executive Director was appointed as the Senior Director of the Board with effect from 1st May 2025.

Ms. S.H. Munasinghe has been appointed as an Independent Non-Executive Director of the Board with effect from 1st May 2025

Dr. (Mrs.) A.D.N. de Zoysa will retire as a Director from the Board with effect from 30th May 2025, in compliance with the aforementioned regulatory requirements of Finance Business Act Direction No. 05 of 2021 on Corporate Governance for Non-Bank Financial Institutions issued by the Central Bank of Sri Lanka.

Furthermore, Dr. (Ms.) N.K. Arunatilake has been appointed as and Independent

Non-Executive Director of the Board with effect from 1st June 2025 respectively.

In compliance with the Colombo Stock Exchange's revised Listing Rules on Corporate Governance introduced in 2024, the Board formally established a Policy on Corporate Governance, Nominations and Re-election in the current year formalising the procedures for identifying, evaluating, and nominating Directors, with a focus on ensuring that the Board remains diverse, competent, and aligned with the Company's strategic direction.

RESPONSIBILITIES OF INDIVIDUAL DIRECTORS

As a member of the CF Board, each Director is expected to understand the importance of dedicating ample time to the Company's affairs. This includes actively engaging in Board meetings and utilising their expertise, insights, and independent judgement in informed decision-making. Board members are also required to participate in the

annual self-assessment to evaluate their contributions.

CONFLICTS OF INTEREST

All Board members are required to act in good faith in executing their fiduciary duties towards shareholders and other stakeholders, by actively avoiding subjecting themselves to situations that can be construed as a conflict of interest.

Directors are expected to exercise due diligence and transparency in identifying and promptly disclosing potential conflicts to the Board. Directors must submit a formal annual declaration to the Related Party Transactions Review Committee (RPTRC), disclosing their interests in other entities including any external Directorships. The RPTRC is tasked with the responsibility of assessing all conflict of interest disclosures made by Directors, and recommending to the Board appropriate action to mitigate such conflicts.

Details of other directorships held by directors of the Company

Name	Designation	No. of other directorships	Other directorships	Status of the Company	Status of directorship
A.R. Fernando	Non Independent Non-executive Director (Non-Independent Non Executive Chairman with effect from 01.05.2025)	5	Nations Trust Bank PLC	Listed	Non-executive Director
			NDB Capital Holdings Ltd	Unlisted	Non-executive Director
			NDB Securities (Pvt) Ltd	Unlisted	Non-executive Director
			NDB Zephyr Partners Lanka (Pvt) Limited	Unlisted	Non-executive Director
			Durdans Medical & Surgical Hospital (Pvt) Ltd	Unlisted	Non-executive Director
A.K. Gunaratne	Managing Director (Executive Director)	7	Central Industries PLC	Listed	Non-executive Director
			Tea Smallholder Factories PLC	Listed	Non-executive Director
			CF Insurance Brokers(Private) Limited	Unlisted	Non-executive Director
			Central Developments Limited	Unlisted	Non-executive Director
			CF Growth Fund Limited	Unlisted	Non-executive Director
			The Kandy Private Hospitals Limited.	Unlisted	Non-executive Director
			Polymer Technologies (Pvt) Ltd.	Unlisted	Non-executive Director
D.P. de Silva	Deputy Managing Director (Executive Director)	4	CF Insurance Brokers(Private) Limited	Unlisted	Non-executive Director
			Hedges Court Residencies (Private) Limited	Unlisted	Non-executive Director
			Central Developments Limited	Unlisted	Non-executive Director
			CF Growth Fund Limited	Unlisted	Non-executive Director

Corporate Governance Report

Name	Designation	No.of other directorships	Other directorships	Status of the Company	Status of directorship
C.K. Hettiarachchi	Director (Marketing) (Executive Director)	10	Nations Trust Bank PLC	Listed	Non-executive Director
			Hettiarachchi Property Holdings (Pvt) Ltd.	Unlisted	Non-executive Director
			Central Developments Limited	Unlisted	Non-executive Director
			CF Growth Fund Limited	Unlisted	Non-executive Director
			Central Transport and Travels Limited	Unlisted	Non-executive Director
			Allied Properties Ltd.	Unlisted	Non-executive Chairman
			The Urban Gardens(Pvt) Ltd.	Unlisted	Non-executive Director
			Waldock Mackenzie Ltd.	Unlisted	Non-executive Chairman
			Willuwa Wilpattu (Pvt) Ltd.	Unlisted	Non-executive Director
E.H. Wijenaike	Non Independent Non executive Director	4	CF Insurance Brokers(Private) Limited	Unlisted	Non-executive Director
			Central Industries PLC	Listed	Non-executive Director
			Dehigama Hotels Company Limited	Unlisted	Non-executive Director
			Equity One Limited	Unlisted	Non-executive Chairman
K.B. Herath	Independent Non- executive Director	4	Equity Two PLC	Unlisted	Non-executive Chairman
			First Capital Holdings PLC	Listed	Non-executive director
			Bavarian Barn Restaurant (Pvt.) Limited.	Unlisted	Non-executive Director
			Energy Management Systems (Pvt.) Ltd	Unlisted	Non-executive Director
M.H. de Silva	Independent Non-executive Director (Senior Independent Director from 01.05.2025)	2	Photocinex (Pvt.) Ltd.	Unlisted	Non-executive Director
			BPPL Holdings PLC	Listed	Senior Independent Director
			Gamani Corea Foundation	Unlisted	Non-executive Director
M.S. De Saram	Independent Non-executive Director	1	CBL Investments Ltd	Unlisted	Executive Director
A.D.B. Talwatte	Independent Non-Executive Chairman (Retired on 30.04.2025)	16	Cirute Plantations (Pvt)Ltd.	Unlisted	Non-executive Director
			Colombo City Apartments (Pvt) Limited	Unlisted	Non-executive Director
			Ceylon Hospitals PLC	Listed	Independent Non-executive Director
			DIMO PLC	Listed	Independent Non-executive Director
			Sunshine Holdings PLC	Listed	Independent Non-executive Director
			Sunshine Healthcare Lanka Limited	Unlisted	Independent Non-executive Director
			CT Holdings PLC	Listed	Independent Non-executive Director
			Tokyo Cement Company (Lanka) PLC	Listed	Independent Non-executive Director
			Silvermill Investment Holdings (Pvt) Limited	Unlisted	Independent Non-executive Director
			Braybrooke Residential Towers (Pvt) Ltd.	Unlisted	Independent Non-executive Director
			Cheveron Lubricants Lanka PLC	Listed	Independent Non-executive Director
			Kotmale Holdings PLC	Listed	Independent Non-executive Director



Name	Designation	No.of other directorships	Other directorships	Status of the Company	Status of directorship
			Gilkrist Leisure (Pvt) Limited	Unlisted	Non-executive Director
			Management Systems (Pvt) Limited	Unlisted	Non-executive Chairman
			Myanthiho Investment & Trading (Pvt) Ltd.	Unlisted	Non-executive Director
			Cargills (Ceylon) PLC	Listed	Independent Non-executive Director
Dr. (Mrs). A.D.N. de Zoysa	Independent Non-Executive Director	1	Agstar PLC	Listed	Independent Non-executive Director
Ms. S.H. Munasinghe	Independent Non-executive Director (Appointed with effect from 01.05.2025)	1	Bogawanthalawa Tea Estates PLC	Listed	Independent Non-executive Director

DIRECTORS REMUNERATION

CF's Remuneration Policy outlines the process for determining remuneration for Directors, Executives, and Employees.

Accordingly, Non-Executive Independent Directors are paid a fixed fee for their services on the CF Board and its Sub-Committees. This fee is benchmarked against industry standards and reviewed annually by the Board to ensure continued alignment with market practices.

Executive Directors' remuneration is performance-driven and combines both fixed and variable components, establishing a strong link between rewards and the Company's overall performance objectives and long-term sustainability.

This same approach extends to Key Responsible Persons (KRPs), ensuring consistency and alignment across leadership levels.

DIVISION OF RESPONSIBILITIES

In line with global best practices, CF has established a clear division of responsibilities at the leadership level to promote accountability, prevent conflicts of interest, and ensure that both governance and management functions

are conducted with the highest levels of professionalism and integrity

Accordingly, there exists a clear separation of roles between the Chairman and the Managing Director (MD)/CEO, ensuring no one individual has unfettered powers of decision-making authority

Duties & Responsibilities of the Board Chairman

1. Leading the Board

- Provide leadership to the Board and ensure its effective functioning.
- Set the agenda and preside over Board meetings.
- Ensure timely dissemination of information to all Board members.
- Facilitate active and constructive participation by all Directors.

2. Performance Evaluation

- Oversee the performance evaluation of the Board, its Committees, and individual Directors.
- Ensure regular assessment of the CEO's performance against agreed KPIs.

3. Stakeholder Engagement

- Represent the Board in discussions with shareholders and other key stakeholders.
- Uphold the reputation of the Company in external forums.

Duties & Responsibilities of Managing Director (MD) / Chief Executive Officer (CEO)

1. Strategic Implementation

- Develop and execute the Company's strategic objectives and operational plans.

2. Business Management

- Oversee day-to-day operations and ensure the achievement of short- and long-term business goals.
- Ensure operational efficiency, regulatory compliance, and risk management.

3. Leadership & Culture

- Foster a strong performance-driven and ethical culture.
- Lead, motivate, and develop the senior management team and employees.

Corporate Governance Report

4. Financial Stewardship

- Ensure financial discipline, resource optimisation, and delivery of value to stakeholders.
- Present accurate and timely financial and operational reports to the Board.

5. Communication & Stakeholder Relations

- Act as the public face of the Company in dealings with regulators, investors, media, and other stakeholders.
- Ensure that stakeholder communication is consistent with the Company's values and objectives.

BOARD SUCCESSION PLANNING

CF has in place a documented Succession Plan to enable Key Management Personnel (KMP's) to transition to Executive membership on the Board. This plan is supported by ongoing training and development programmes to enhance the skills and leadership readiness of potential candidates.

As part of a proactive approach to preserving governance continuity and strategic direction, the Board succession plan is subject to review by the Nomination & Governance Committee, considering upcoming retirements.

In line with the Board Succession Planning process, Mr. Arjuna Kapila Gunaratne (Former Deputy Managing Director) was appointed as Managing Director / CEO following the retirement of Mr. Eranjith Harindra Wijenaik from the post. Likewise, Mr. Dhammika Prasanna de Silva (Former Chief Operating Officer) transitioned into the position of Deputy Managing Director.

BOARD COMMITTEES

To assist in performing its oversight role, the Board has appointed several Sub Committees to provide oversight in specific key areas.

Board Integrated Risk Management Committee (BIRMC) - Assist the Board on risk management and help cultivate a culture that highlights the advantages of a risk-based approach to internal control and management across the Company and its subsidiaries. The BIRMC's responsibilities include overseeing risk management and regularly monitoring risk mitigation practices of subsidiary companies that could significantly impact CF. Refer Committee Report on page 203.

Board Audit Committee (BAC) - Assist the Board in overseeing the Company's external financial reporting obligations, ensuring compliance with relevant laws and regulations, upholding values and ethics, maintaining a robust governance structure, and evaluating the independence and performance of external auditors. Additionally, the BAC assesses the effectiveness of the internal audit function, evaluate the Company's ability to continue as a going concern, maintain an effective internal control system, and ensure adherence to legal and regulatory requirements impacting the financial statements. Refer Committee Report on page 205

Related Party Transactions Review Committee (RPTRC) - Reviews proposed related party transactions in compliance with Related Party Transaction Policy & Procedure and ensuring that those are being carried out on terms "not more favourable" to the related party than other similar constituents & avoid any conflict in any related party transactions. Refer Committee Report on page 199

Nomination & Governance Committee (NGC)- The NGC is responsible for setting out the policies related to corporate governance, nominations and

re-election of Key Responsible Persons as required under the Listing Rules of the Colombo Stock Exchange. Refer Committee Report on page 197

Human Resource and Remuneration Committee (HRRC) – The HRRC is responsible for formulating and reviewing the HR and compensation policies, evaluate performance and recommend remuneration for Executive Directors, Non-Executive Directors and Senior Management. Refer Committee Report on page 201

COMPANY SECRETARY

The Company Secretary of CF plays a vital role in supporting the effectiveness of the Board and upholding the governance framework. The Company Secretary provides guidance on corporate governance, regulatory compliance, and Board procedures, with unrestricted access granted to all Directors.

Key responsibilities of the Company Secretary include;

- Coordinating Board meetings
- Managing Board documentation
- Facilitating communication of Board decisions
- Serving as a liaison between the Board, management, and shareholders.
- Overseeing Director induction and ongoing training to ensure Board members remain informed and effective in their roles.

The appointment of the Company Secretary is subject to Board approval following a rigorous screening process, including fit and proper clearance, with continuity of employment supported by an annual performance review by the Board.



DIRECTORS TRAINING

Continuous training is seen as vital for ensuring Board members are fully equipped to carry out their fiduciary duties and make sound, well informed decisions in line with the highest standards of corporate governance expected in the financial services sector.

Director training is typically focussed on key areas such as emerging industry trends, risk management, regulatory compliance, corporate governance best practices, and evolving legal and prudential requirements relevant to non-bank financial institutions. Ongoing knowledge development opportunities are also provided to keep Directors abreast of changes in applicable laws, Central Bank directives, and market dynamics.

Meanwhile, all newly appointed Directors are provided with a comprehensive orientation covering key internal and external aspects affecting business including governance charters, regulatory documents, and strategic plans, to ensure they gain a strong understanding of the Company's operations and operating environment. New Directors are also encouraged to engage with the Board and Key Responsible Persons (KRPs).

During the year, the Board of Directors actively participated in a range of training and capacity building sessions aimed at enhancing their understanding of critical areas impacting the organisation. These sessions covered the government's economic strategy, future economic forecasts, the potential business impact of socio economic vulnerabilities, and the implications of current economic challenges and policy deviations. Directors also received updates on regulatory and governance developments, particularly in relation to Anti-Money Laundering (AML) and Counter Terrorist Financing (CTF), including preparation for the upcoming country-level assessment.

Additionally, directors were briefed on day to day AML alert monitoring processes. Further, a comprehensive training on cyber security governance and risk management was also included focusing on the evolving threat landscape, regulatory compliance requirements, the Board's role in oversight and incident response, alignment of cyber-security strategy with business objectives, and the importance of fostering a security-conscious culture across the organisation. These initiatives reflect the Board's commitment to continuous learning and proactive governance in a dynamic risk environment.

BOARD MEETINGS

Board meetings are held every month or more often when needed. Board meetings are planned ahead by the Chairman in collaboration with the Company Secretary who draws up the annual meeting calendar.

Planning of Board Meetings

Meeting calendar is prepared annually in advance by the Company Secretary and communicated to all Board members	The Chairman assisted by the Company Secretary, sets the Board agenda establishing the meeting time to ensure all agenda items receive adequate time for discussion. Directors are allowed to make a written request to the Chairman detailing any additional matters to be included in the agenda	The finalised agenda along with a comprehensive Board pack containing relevant Board Papers are pre-circulated among all Directors prior to the meeting date, allowing Board members sufficient time to review the same.
---	--	--

The Chairperson of each Board committee is allowed to provide an update on significant matters discussed at their respective Board sub-committee meetings held since the previous Board meeting.

It is the Chairman's role to ensure the effectiveness of Board meetings by encouraging active participation from all Directors and welcoming diverse viewpoints. At the same time, strict attention is paid to efficiently addressing all agenda items, including the thorough deliberation of Board resolutions.

Members of the Corporate Management team also often attend Board meetings on invitation

The Company Secretary is responsible for maintaining the minutes of each Board meeting. These minutes are initially presented to the Chairman for approval before being shared with the Directors and related extracts of minutes with other members of Corporate Management who attended the Board meeting.

A total of 13 Board meetings were held in FY 2024/25.

BOARD AND BOARD SUB COMMITTEE EVALUATION

Evaluating the performance of the Board and its Sub-Committees is structured as an annual process, facilitated by the self-assessment furnished by each Board member to reflect on their individual contributions to the Board/ Sub-Committee and the Board/ Sub-Committee's effectiveness.

The most recent evaluation confirmed that both the Board and its Sub-Committees are functioning effectively, demonstrating the necessary competencies, balance, and governance discipline to fulfil their roles in

accordance with applicable regulatory directives and best practices.

EVALUATING THE PERFORMANCE OF THE CEO

At the end of each financial year, the Board of Directors conducts a formal evaluation of the Company's Managing Director/Chief Executive Officer (MD/ CEO). The purpose of this review is to assess the MD/CEO's performance against the strategic targets, goals, and operational objectives set at the beginning of the year.

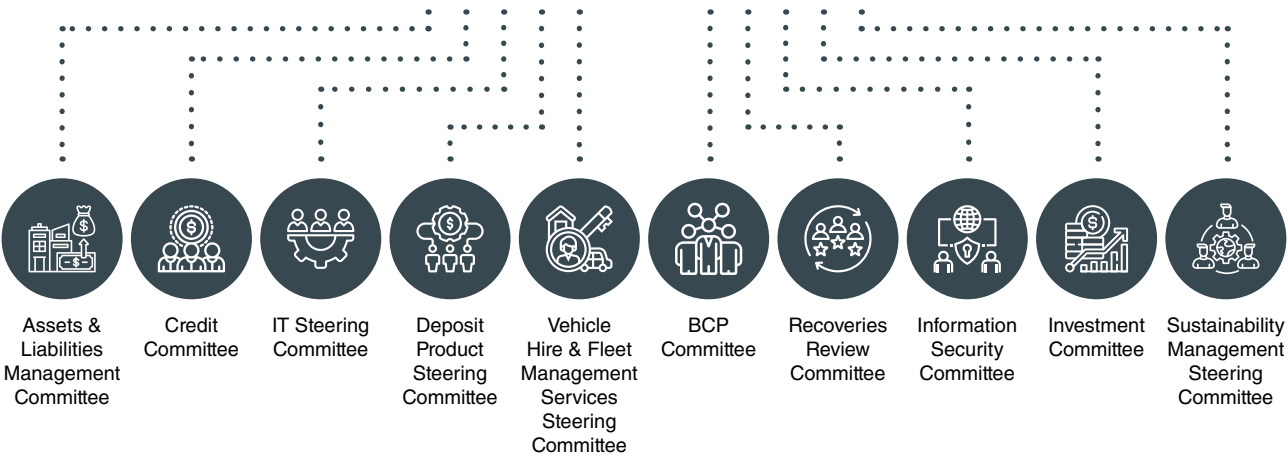
Based on the findings of this evaluation, the Board provides its recommendations to the Human Resources and Remuneration Committee ensuring that remuneration remains aligned with performance outcomes and the long-term interests of the Company.

Management Committees

Management Committees are established to support effective decision-making and ensure the implementation of the Company's strategic objectives, operational plans, and risk management frameworks. They facilitate cross-functional collaboration and accountability across key business areas.

CENTRAL FINANCE COMPANY PLC

MANAGEMENT COMMITTEES



Our governance practices and initiatives are reported in three sections.

Section One	Covers the level of compliance with Finance Business Act Direction No. 05 of 2021 on Corporate Governance for Licensed Finance Companies issued by the Central Bank of Sri Lanka.
Section Two	Covers the level of adoption of the Code of Best Practice on Corporate Governance 2023, issued by CA Sri Lanka.
Section Three	Covers compliance under Section 9 of the Rules of the Colombo Stock Exchange on Corporate Governance.

SECTION ONE

FINANCE BUSINESS ACT DIRECTION NO. 05 OF 2021 ON CORPORATE GOVERNANCE FOR LICENSED FINANCE COMPANIES IN SRI LANKA

The Central Bank of Sri Lanka has issued Corporate Governance – Finance Business Act Direction No. 05 of 2021 which came into effect from 01.07.2022 (replacing Finance Companies Direction No. 03 of 2008 and subsequent amendments thereto), in order to improve and sustain the Corporate Governance processes and practices of the Licensed Finance Companies in Sri Lanka. The transitional provisions stated in the Direction came into effect from 01 July 2024

The above Direction comprises of sixteen (16) fundamental principles, namely:

1. Board's Overall Responsibilities
2. Governance Framework
3. Composition of the Board
4. Assessment of Fitness and Propriety Criteria
5. Appointment and Resignation of Directors and Senior Management
6. The Chairperson and the CEO
7. Meetings of the Board
8. Company Secretary
9. Delegation of Functions by the Board
10. Board Sub-committees
11. Internal Controls
12. Related Party Transactions
13. Group Governance
14. Corporate Culture
15. Conflicts of Interest
16. Disclosures

Corporate Governance Report

The structures in place and the conformity with the requirements are tabulated below under the said sixteen fundamental principles.

Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
1. Board's Overall responsibilities		
1.1		
Approving and overseeing the Business Strategy and Governance Framework	1.1 1.2 a) - d)	Complied with Strategic objectives, governance framework, corporate values, overall business strategy and policies of the Company set by the Board are reviewed by the Board and are communicated to all levels of staff through Company meetings on need basis. The Board reviewed and approved the 3 Year Strategic Plan for the period 2025/26 - 2027/28 at the meeting held on 26th March 2025. The measurable financial objectives for the next three years have been set and will be reported to the Board on a monthly or quarterly basis as relevant. The Board has provided direction in the development of short, medium and long term strategy of the Company with the objective of promoting sustainable and profitable growth of the Company. The Strategy is reviewed and approved annually taking into consideration the changes in the macro- economic overview and potential for business growth. The Board ensures the effectiveness of the Governance Framework and practices of the Company are periodically assessed. A transparent process is followed for the selection, nomination and election/appointment of Directors and Key Responsible Persons of the Company. Additionally, the Company has adopted a Group Governance Framework covering aspects specified under Section 13.1 of the Finance Business Act Direction No. 05 of 2021. A formal and transparent procedure is in place for the appointment of Directors, Chairperson and Chief Executive Officer (CEO). All new Director appointments are recommended by the Nominations and Governance Committee and approved by the Board subject to prior approval of the Central Bank of Sri Lanka and the approval of the shareholders of the Company at the Annual General Meeting. The Board appoints the Chairman and Managing Director/CEO. The roles and responsibilities of the CEO and Chairman are separated and defined in the Company Board Charter.
Corporate Culture and Values	1.3 a to 1.3 c	Complied with The Company has developed the Code of Conduct and Ethics for all employees, in line with corporate culture and values of the Company. The corporate values are posted on the intranet and all employees are guided by these values. The Board is mindful of its obligation to ensure that Directors avoid conflict of interests. The Directors make declarations on areas of interest at the time of appointment to the Board and subsequently as and when changes occur. Appropriate procedure is in place to ensure that conflict and potential conflict of interests are properly disclosed to the Board. Board of Directors periodically monitors the process adopted by the Company in relation to creating awareness on the code of conduct and managing conflict of Interest.



Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
		The strategic plan of the Company contains initiatives to promote sustainable finance whilst taking into account appropriate environmental, social and governance considerations.
Communication with Stakeholders	1.3 d	Complied with The Board is responsible for ensuring effective communication with all stakeholders including depositors, creditors, shareholders and borrowers. A Board approved Communication Policy, Policy on relations with shareholders and investors is in place and reviewed, as and when required. The Annual General Meeting is used to have an effective dialogue with the shareholders on matters which are relevant and of concern to the general membership.
1.4 Risk, Appetite, Risk Management and Internal Controls		
Risk Management	1.4 (a) 1.4 (b)	Complied with The Risk Appetite Statement (RAS) and Risk Goals are established in line with the Company's business strategy and governance framework. The set parameters and underlying drivers are reviewed by the management on a monthly basis and reported to the Board Integrated Risk Management Committee at quarterly (once in two months w.e.f. 1st July 2024) meetings held during the year. The latest updates to the Risk Appetite Statement (RAS) and Risk Goals for 2024-25 were approved by the Board on 26th June 2024. The overall risk framework and risk management procedures and mechanism is aligned to the overall business strategy and governance framework of the Company and are regularly monitored by the Board Integrated Risk Management Committee which is under the purview of the main board. Overall risk parameters have been set and appropriate internal controls are implemented through the Board of Management (BoM), Assets and Liabilities Management Committee (ALCO) and Information Security Committee (ISC) together with the Board Integrated Risk Management Committee (BIRMC). ALCO and BOM meet on a monthly basis, ISC and BIRMC meets once in two months since July 2024 as required by the Direction. Minutes of all BIRMC meetings are tabled at next month's Board Meeting for review by the members of the Board and for any further actions to be taken, if required. Board Integrated Risk Management Committee Report on pages 203 to 204 provides further insights in this regard.
Internal Control System and Management Information System	1.4 (c)	Complied with Continuous reviews are in place ensuring the adequacy and effectiveness of the Company's internal control systems and Management Information Systems by the Board Sub-committees/ Senior Management Executive Committees and recommendations are discussed and agreed at meetings for implementation.

Corporate Governance Report

Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
		Company's internal control systems over financial reporting and management information systems are reviewed periodically by the Audit Committee. The Audit Committee minutes are submitted to the Board for further actions where necessary. Periodic external reviews are also commissioned, as and when necessary, on specific areas by specialists.
Business Continuity and Disaster Recovery Plan	1.4 (d)	Complied with The Board reviewed Company's Business Continuity Policy and Disaster Recovery Plan on 26th June 2024 and received the latest update on the Disaster Recovery Drill conducted on 6th December 2024 and 15th February 2025. . This was done to ensure continuous stability, financial strength, and to preserve critical operations and services under unforeseen circumstances. Additionally, continuity of the business is evaluated on a continuous basis by the management along with the BIRMC and Board Audit Committee and reported to the Board.
1.5 Board Commitment and Competency		
Board Commitment and Competency	1.5 (a) 1.5 (b)	Complied with The Board possesses necessary qualifications, skills, knowledge, and experience bringing with it a range of expertise in multiple sectors, perspectives and knowledge that reflect the broader requirements of various stakeholders. Profiles of the Directors are given in Pages 32 to 34 to the Annual report. The Board has defined the areas of authority and key responsibilities of the Board Members. In addition, Non-executive Directors have specific areas of responsibility through the various Sub Committees of the Board. All members of the Board actively participate in discussions at the Board and devote sufficient time in dealing with the matters relating to affairs of the Company as evidenced through the minutes of the meetings. The attendance at Board Meetings is given on page 196.
Training and Development Needs	1.5 (c)	Complied with The Board regularly reviews and agrees the training and development needs of its members, along with the annual self-evaluation of Directors that is carried out. Training and development needs of the members are reviewed and regular updates pertinent to the regulatory and business environment are provided in a timely manner.
Self-assessment of Directors	1.5 (d)	Complied with Each Director performs an annual self-assessment of his own effectiveness as well as the performance of the Board as a whole based on the criteria set by the Board and records are maintained of such assessments. The latest self-assessment of the Board was carried out in March 2025 and the results of the evaluation were discussed by the Chairman with the members of the Board at the Board Meeting held on 26th March 2025.



Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
		All Board Sub-Committees (Board Integrated Risk Management Committee, Board Audit Committee, Related Party Transactions Review Committee, Nominations & Governance Committee and Human Resource & Remuneration Committee), evaluations were conducted for 2024-25 and tabled at the Board meeting held on 26th March 2025.
Seeking Independent Advice	1.5 (e)	Complied with The Board Charter empowers a Director seeking professional advice at the Company's expense, in order to discharge the duties and responsibilities effectively. This procedure is coordinated through the Company Secretary, as and when it is requested.
1.6 Oversight of Senior Management		
Identifying and Designating Senior Management	1.6 (a)	Complied with Identification and designation of Senior Management - Key Responsible Persons (KRP), who are in a position to significantly influence policy and other attributes are identified through an evaluation process. All Executive Directors and General Managers have been identified as KRPs. Company's Compliance Officer, Head of Internal Audit, Chief Risk Officer, Chief Information Security Officer and the Company Secretary have also been designated as KRPs. All appointments of designated KRPs are recommended by the Nominations and Governance Committee and approved by the Board with the prior approval from CBSL. KRP / KMP (Key Management Personnel) are also defined in the Sri Lanka Accounting Standard – LKAS 24 on “Related Party Disclosures”, as the persons who significantly influence policy, direct activities and exercise control over business activities, operations, and risk management. For financial reporting purposes, the Company defines KRP as the Board of Directors.
Defining the Areas of Authority and Key Responsibilities	1.6 (b)	Complied with Areas of authority and key responsibilities have been defined for Senior Management through their employment contracts and exigencies of evolving business needs. The delegated authority for KRPs have been reviewed and approved by the Board. Senior Management has delivered the entrusted responsibilities at expected levels within their respective areas of authority during the year.
Qualifications, Skills, Experience and Knowledge	1.6 (c)	Complied with Necessary qualifications, skills, experience and knowledge of the Senior Management is assessed upon recruitment and during periodical performance assessment of the Senior Management to ensure they fit the position to achieve the Company's Strategic Objectives.
Oversight of Affairs of the Company by the Senior Management	1.6 (d)	Complied with The Board at its monthly meetings and Board of Management (BoM) at its detailed monthly reviews ensures that there is appropriate oversight of the Company's affairs by Senior Management and consistent with its Strategic Objectives and corporate values of the Company.

Corporate Governance Report

Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
Succession Plan for Senior Management	1.6 (e)	Complied with A documented Succession Plan is in place for all Senior Management positions and training programs are being continuously reviewed and formulated to ensure that there is adequate succession capacity at all levels of the Senior Management.
Regular Meetings with the Senior Management	1.6 (f)	Complied with The Board meets with Senior Management on a monthly basis in reviewing policies, monitoring progress towards Corporate Strategic Objectives and ensuring lines of communication. In addition, presentations are made to the Board as a whole or to individual Directors on matters of interest. The Board of Management (BOM), a committee comprising Executive Directors and Senior Management meets on a monthly basis to review policies, procedures and to monitor the strategic initiatives and Company performance. Further, Senior Management members attend Board sub-committee meetings on invitation to facilitate effective review, monitoring and decision making.
1.7 Adherence to the Existing Legal Framework		
Adherence to the Regulatory Environment	1.7 (a)	Complied with The Company acts responsibly giving due consideration to the interests of and obligations to, depositors, shareholders and other stakeholders. Compliance with related regulatory requirements is monitored by the Compliance Function on a continuous basis and the same is audited periodically. Any deviations noted on compliance with the Legal Framework are brought to the attention of the Board Sub-committees and subsequently to the Board.
	1.7 (b)	Complied with Director Legal – (Non-Board), Head of Compliance and Company Secretary updates the Board Members on changes to the regulatory environment. Regular discussions, training and seminars are arranged for Directors and Senior Management to facilitate understanding the regulatory environment and to ensure compliance with relevant laws, regulations, directions and ethical standards. Compliance with related regulatory requirements is monitored by the Compliance Function on a continuous basis and the same is audited periodically. Any deviations noted on compliance with the Legal Framework are brought to the attention of the Board Sub-committees and subsequently to the Board.
	1.7 (c)	Complied with The management of the Company acts with due care and prudence, and with integrity. The Board and the Senior Management are always on alert and aware of potential civil and criminal liabilities that may arise from their failure to discharge the duties diligently.



Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
2. Governance Framework		
	2.1	Complied with Board has developed and implemented a Board Charter as part of the governance framework in line with the directions.
3. Composition of the board		
Board Composition and Number of Directors	3.1 3.2	Complied with The Board comprises of Ten (10) Directors. The composition of the board has changed during the period as follows, ● Mr. E. H. Wijenaike retired from the position of Managing Director/Chief Executive Officer/Executive Director of the Company with effect from 30th June 2024 and was re-appointed as a Non-independent Non-executive Director with effect from 1st July 2024, in terms of the provision under section 3.5(b) of the Finance Business Act Direction No. 5 of 2021 on Corporate Governance. Mr. A. K. Gunaratne who was the Deputy Managing Director was appointed as the Managing Director/Chief Executive Officer and Mr. D.P. de Silva, who was the Chief Operating Officer, was appointed as the Deputy Managing Director of the Company with effect from 1st July 2024, in accordance with the Company's succession plan. ● Mr. C. S. Hettiarachchi (Executive Director / Director Corporate Affairs) stepped down from the Board of the Company with effect from 30th June 2024 in order to comply with the requirements under section 3.5(a) of Finance Business Act Direction No. 5 of 2021 on Corporate Governance, and was re-designated as Director Legal (Non-Board) with effect from 1st July 2024. ● Mr. M. S. De Saram was appointed as an Independent Non-Executive Director on the Board with effect from 1st July 2024. Subsequent to the year end, Mr. A.D.B. Talwatte retired as the Chairman of the Board with effect from 30 April 2025 on reaching age of 70 years in compliance with section 4.2 of the Finance Business Act Direction No. 5 of 2021 on Corporate Governance and Mr. A.R. Fernando, Non Independent Non-Executive Director of the Board was appointed as the Chairman with effect from 1st May 2025. Mr. M. H. de Silva, Independent Non-Executive Director was appointed as the Senior Director of the Board with effect from 1st May 2025. In order to fill the casual vacancy arising from the retirement of Mr. A.D.B. Talwatte, Ms. S.H Munasinghe was appointed to the Board of Directors as an Independent Non-Executive Director with effect from 01st May 2025. The board comprises a diverse mix of skills and expertise for effective oversight of the management of the Company. This combination was adequate to meet the requirements of the Company taking into consideration its size, complexity and risk profile.
Period of Service of Non-executive Directors	3.3 and 3.4	Complied with Six (6) Non-executive Directors out of Seven (7) serving on the Board have not served on the Board for more than nine years.

Corporate Governance Report

Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
		Mr. E. H. Wijenaiké was appointed as Non-Executive Non-Independent Director on retirement w.e.f. 1st July 2024 as he is eligible to hold office exceeding 9 years in compliance with section 3.4 and 3.5 (b) of the Direction.
Executive Directors	3.5 (a)	Complied with There have been no new appointments of Executive Directors during the year. Mr. E. H. Wijenaiké retired from the position of Managing Director/Chief Executive Officer/ Executive Director of the Company with effect from 30th June 2024. Mr. A. K. Gunaratne who was the Deputy Managing Director was appointed as the Managing Director/Chief Executive Officer and Mr. D.P. de Silva, who was the Chief Operating Officer, was appointed as the Deputy Managing Director of the Company with effect from 1st July 2024, in accordance with the Company's succession plan. Mr. C. S. Hettiarachchi (Executive Director / Director Corporate Affairs) stepped down from the Board of the Company with effect from 30th June 2024 in order to comply with the requirements under section 3.5(a) of Finance Business Act Direction No. 5 of 2021 on Corporate Governance, and was re-designated as Director Legal (Non-Board) with effect from 1st July 2024. The total number of Executive Directors of the Company does not exceed one third of the number of Directors of the Board as per the requirements of the Direction.
Shareholding of Executive Directors	3.5 (b)	Complied with During the year there were no new appointments of Executive Directors or Senior Management Personnel holding more than 10% of voting shares of the Company. Mr. E. H. Wijenaiké, Chief Executive Officer, who holds more than 10% voting shares of the Company, was re-appointed as a Non-Independent Non-Executive Director w.e.f from 1 July 2024 on retirement in compliance with section 3.5 (b) of the Direction and subject to provisions in section 4.2 and 4.3.
CEO	3.5 (c)	Complied with CEO is designated as Managing Director, and is one of the Executive Directors of the Company.
Reporting Lines	3.5 (d)	Complied with All Executive Directors have a functional reporting line in the organization structure of the Company.
	3.5 (e)	Complied with All Executive Directors are reporting to the Board through the CEO.
Common Directorships	3.5 (f)	Complied with Executive Directors of the Company do not hold Executive Directorships or Senior Management Positions in any other entity. However, appointments in a Non-executive capacity to the boards of Group companies exist to safeguard the interests of parent.



Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
Credibility, Skills and Experience of Non-executive Directors	3.6 (a) 3.6 (b)	Complied with The Non-executive Directors possess skills and experience from a number of industries and business sectors, including the leadership of large multinational and local enterprises which helps to bring independent judgment on the issues of strategy, performance, resources and standards of business conduct. Biographic details of the Directors are given on pages 32 to 34 Non-executive Directors do not get involved in day to day business operations of the Company and are not appointed or required to function as an Executive Director of the Company.
Independent Directors	3.7	Complied with The Company has satisfied the requirement for Independent Directors, as out of 10 Directors, 5 Directors are independent and that is more than one-third of the total number of Directors. The Board reviews the independence of Non-executive Directors on an annual basis and as and when circumstances change, based on the self-declaration made by each Non-Executive Director. During the year there were no changes to the independence status of Directors except for the below new appointment of NEDs Mr. E. H. Wijenaike was appointed as Non-Executive Non-Independent Director w.e.f. 1st July 2024. Mr. M. S. De Saram was appointed as an Independent Non-Executive Director on the Board with effect from 1st July 2024
Alternative Director	3.8	Complied with There were no instances of appointing Alternate Directors for any of the members of the Board of Directors during the year.
Cooling off Period	3.9	Complied with There was no new appointment of Directors and CEO, who was previously employed as a CEO or director, of another Finance Company to comply with the cooling off periods stipulated in the Direction. There were no changes to the independence status of any existing Director who has been previously considered as non-independent during the year to comply with the cooling off periods stipulated in the Direction.
Common Directorships	3.10 3.11	Complied with As at 31 March 2025, none of the Directors on the Board or Senior Management of the Company were nominated, elected or appointed as a Director of another Finance Company. Further, none of the Directors hold Directorships in more than 20 Companies including the subsidiaries and associates companies of Central Finance Company PLC as at 31 March 2025.

Corporate Governance Report

Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
4. Assessment of Fitness and Propriety Criteria		
Assessment of Fitness and Propriety Criteria	4.1	Complied with
	4.2	
	4.3	All the Directors are qualifying as fit and proper persons to hold office as Directors of the Company in accordance with the Finance Business Act. CBSL by a letter dated 28.06.2024 granted approval for the continuation of Key Responsible Persons (KRP) in terms of Section 3.2 of the Finance Business Act No. 06 of 2021 on Assessment of Fitness and Propriety of KRP. The Monetary Board and the Director/Department of Supervision of Non-Bank Financial Institutions of CBSL granted approval to extend the service of Mr. E.H Wijenaïke as a Non-Independent Non-Executive Director for a period of one year after attaining the age of 70 years on 15th August 2024. Mr. E.H Wijenaïke is the only Director above the age of 70 years on the Board.
5. Appointment and resignation of Directors and Senior Management		
Appointment and resignation of Directors and Senior Management	5.1	Complied with The Board has a transparent process in place for appointments, resignations or removals of Senior Management and Directors. This is in accordance with the provisions of the Direction No. 6 of 2021 on Assessment of Fitness and Propriety of KRP.
6. The Chairperson and the CEO		
The Chairperson and the CEO	6.1	Complied with
	6.2	
	6.3	The Board has appointed the Chairman and Chief Executive Officer (CEO/MD). The roles of Chairman and CEO/MD are separate and the Board has defined and approved the functions and responsibilities of the Chairman and the CEO/MD in order to maintain a balance between the two roles. This is specifically set-out in writing in the Board Charter. Chairman of the Board was an Independent Non-executive Director as of 31st March 2025. Subsequent to the year end, Mr. A.D.B. Talwatte retired as the Chairman of the Board with effect from 30 April 2025 on reaching the age of 70 years in compliance with section 4.2 of the Finance Business Act Direction No. 5 of 2021 on Corporate Governance and Mr. A.R. Fernando, Non Independent Non-Executive Director of the Board was appointed as the Chairman with effect from 1st May 2025. Mr. M. H. de Silva, Independent Non-Executive Director, was appointed as the Senior Director of the Board with effect from 1st May 2025 in compliance with section 6.3.
Responsibilities of the Chairperson	6.4	Complied with The Chairman is responsible to lead, direct and manage the Board to ensure that it operates effectively and fully discharges its legal and regulatory requirements. Responsibilities of the Chairman are set out in the Board Charter, which is reviewed from time to time as required.



Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
Responsibilities of the CEO	6.5	Complied with The Chief Executive Officer CEO/MD functions as the apex executive in charge of the day-to-day management of the Company's operations and business. The responsibilities of the CEO are defined in the Board Charter.
7. Meetings of the Board		
Meetings of the Board	7.1	Complied with The Board meets at monthly intervals but meets more frequently whenever it is necessary. Circulation of written or electronic resolutions / Board papers to obtain Board's consent was minimized and approvals obtained through the circulation of resolutions / Board papers are subsequently ratified at the next Board Meeting. The Company has held 13 Board meetings during the year. Details of the meetings and individual attendance during the year 2024/25 are given on page 196
Inclusion of Proposals by all Directors in the Agenda	7.2	Complied with Procedures are in place to enable matters and proposals from all Directors to be included in the agenda for regular meetings as and when they arise.
Adequate Notice of Board Meetings and Contribution at Meetings	7.3 7.4	Complied with Directors are given adequate time and at least 3 days of notice for scheduled Board Meetings and a reasonable time period for other meetings to study the relevant papers and proposals for meaningful discussions. Directors have access to Key Responsible Persons to clarify matters and to external specialists for independent advice, when required. All Directors who attended Board meetings have actively contributed by providing views and suggestions.
Quorum at Board Meetings	7.5	Complied with The meetings of the Board have always been constituted by fulfilling the quorum requirement, where at least one fourth (1/4) of the number of Directors constituting the quorum are Independent Directors. As per the attendance of the Board Meetings during the year 2024/25, the required quorum has been maintained at all Board Meetings. Details of the meetings and individual attendance during the year 2024/25 are given on page 196
Meetings of Chairperson with the Non-executive Directors	7.6	Complied with The Chairman of the Board has met the Non-executive Directors without the presence of the Executive Management twice during the year 2024/25.

Corporate Governance Report

Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
Director Voting on Matters with Substantial Interest	7.7	Complied with Procedure is in place for Directors to abstain from voting on any Board Resolution, when the Director or any of his/her relatives or a concern, in which he/she has substantial interest, is interested and the Director is not counted for the quorum for the relevant agenda item. Further a Director does not participate in any discussion on a related party transaction for which he/she or any of his/her immediate family members are associated with and is required to provide all material information concerning the related party transactions to the Board.
Attendance of Directors at Board Meetings	7.8	Complied with All Directors have attended more than two-thirds of the meetings held during the year. No Director has been absent from attending three consecutive meetings held in 2024/25. Attendance at Board Meetings is given on page 196.
Scheduled Board Meetings and Ad Hoc Board Meetings	7.9	Complied with For the scheduled meetings the members are always encouraged to participate in person. Ad-hoc meetings are conducted physically or through virtual platforms as and when required. During the year all meetings were held as physical meetings and participation in person or through electronic media is recorded in the minutes.
8. Company Secretary		
Company Secretary	8.1 a 8.1 b	Complied with The Board has appointed a qualified corporate secretary considered as a KRP of the Company, whose primary responsibility is to handle the secretarial services to the Board and shareholder meetings, and to carry out other functions specified in the statutes and other regulations.
Access to the Services of the Company Secretary	8.2	Complied with Service of the Company Secretary is available for all Directors in discharging their duties to the Company. The Company Secretary has provided the Board with support and advice relating to corporate governance matters, Board procedures and applicable laws, rules and regulations during the year.
Agenda for Board Meetings	8.3	Complied with The Company Secretary prepares the agenda, in consultation with the Chairman.
Maintenance of Minutes of the Board Meetings and Access to Directors	8.4 8.5 8.7	Complied with The Company Secretary maintains the minutes of the Board Meetings in an orderly manner and Directors have full access to inspect the Minutes of the Board Meetings at any reasonable time, at short notice. The Board Minutes are being maintained for a minimum period of 6 years by the Company Secretary.



Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
Details of Minutes	8.6	Complied with Minutes of the Board Meetings are maintained in sufficient detail by the Company Secretary as defined in the direction.
9. Delegation of Functions by the Board		
Delegation of Functions by the Board	9.1	Complied with Article 127 of the Articles of Association of the Company empowers the Board to delegate its powers and the Board has established a formal procedure for delegation of powers, retaining the ability to discharge its functions as required. The Board periodically evaluates the delegated authority process to ensure that delegation of work does not materially affect the Board as a whole in discharging its functions. The Board periodically approved the delegated authority limits and keeps Senior Management informed of the matters that should be approved solely by the Board.
Board Sub-committees	9.2	Complied with There are five Board appointed Sub-committees, namely Board Audit Committee, Human Resources and Remuneration Committee, Nominations and Governance Committee, Board Integrated Risk Management Committee and Related Party Transactions Review Committee. Minutes of the meetings of these Committees are circulated to the main board to ensure the functions stipulated under such committees based on the charter/terms of reference are conducted effectively.
Senior Management Level Sub-committees	9.3	Complied with The following Senior Management level Sub-Committees to assist the Board in its decisions with appropriate Delegated Authority: ● Board of Management (BOM) ● Assets and Liability Management Committee (ALCO) ● Credit Committee ● IT Steering Committee ● Information Security Committee (ISC) ● Deposit Product Steering Committee ● Vehicle Hire and Fleet Management Services Steering Committee ● BCP Committee ● Recoveries Review Committee ● Investment Committee ● Sustainability Management Steering Committee (SMSC)

Corporate Governance Report

Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
Delegating of Matters to Sub-committees	9.4	Complied with The Board has not delegated any matters to a Board Sub-committee, Executive Directors or Senior Management, to an extent that such delegation would significantly hinder or reduce the ability of the Board as a whole to discharge its functions.
Evaluation of Delegated Functions	9.5	Complied with The Board periodically evaluates the delegated authority process to ensure that the delegation of work does not materially affect the ability of the Board as a whole in discharging its functions.
10. Board Sub-committees		
Board Appointed Sub-committees	10.1	Complied with There are five Board appointed Sub-committees namely, Board Audit Committee (BAC), Human Resources and Remuneration Committee (HRRC), Nominations and Governance Committee (NGC), Board Integrated Risk Management Committee (BIRMC) and Related Party Transactions Review Committee (RPTRC). These committees meet on the required intervals as required by Finance Business Act Direction No 5 of 2021 w.e.f. 1st July 2024. Until 30th June 2024, meetings were held at required intervals as per the Finance Companies Direction No. 03 of 2008 and subsequent amendments thereto. Please refer pages 197 to 207 for reports included in the Annual Report explaining composition, duties and functions of each Sub-committee. Each Board Sub-committee is having a Board approved written terms of reference specifying clearly its authority and duties. The Board presents a committee report in the Annual Report on the performance of duties and functions of each Board Sub-committee at the Annual General Meeting. Minutes of the Sub-committee Meetings and matters arising from the minutes as well as reports that require Board's attention and/ or decisions are circulated to the Board by respective Secretaries of the Sub-Committees who also maintain minutes, maintain records and carry out such other secretarial functions under the supervision of the Chairperson of the Committee. Each Sub-committee consists of a minimum of three Board members who have skills, knowledge and experience relevant to the responsibilities of the committee. The board also considers occasional rotation of members and of the chairperson of Board Sub-committees, to avoid undue concentration of power and promote new perspectives.



Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
		During the year, Board Sub-committees were re-constituted, ● With effect from 1st July 2024 to ensure compliance with Corporate Governance Direction No 5 of 2021 and Section 9 of the CSE Listing Rules on Corporate Governance ● With effect from 1st August 2024 as Mr. M.S. De Saram (Independent Non-Executive Director) was appointed to the Board Audit committee, Board Integrated Risk Management Committee (BIRMC) and Related Party Transactions Review Committee (RPTRC)
Board Audit Committee	10.2	Complied with (a) The Chairman of the Committee The Committee is chaired by Mr. M. H. de Silva (independent Non-Executive Director) who was appointed on 1st July 2020, a Fellow Member of the Chartered Institute of Management Accountants, United Kingdom with considerable experience in the field of accountancy, auditing and finance. (b) Composition of the Audit Committee As at the year end, the Board appointed Audit Committee comprised three Independent Non-executive Directors including the Chairman and one Non-executive Director. (c) Secretary to the BAC The secretary to the BAC is the Head of Internal Audit. (d) External Audit Function - Recommendation to the Board on appointment, re-appointment and removal of External Auditor, related service period, fees, implementation of the CBSL guidelines issued to external auditors, application of accounting standards The Audit Committee is empowered by the Board to recommend the appointment, re-appointment or removal of the External Auditor in compliance with the relevant statutes issued by the CSE and CBSL, and the best practice on Corporate Governance, the service period, audit fee and any resignation or dismissal of the auditor. The Committee reviewed the effectiveness of the audit process in accordance with applicable standards and best practices. The Audit Committee ensured that the engagement of an audit partner did not exceed five years and that the audit partner was not re-engaged for the audit before the expiry of three years from the date of the completion of the previous term. Further, the committee ensures that the service of the same external audit firm is not obtained for more than ten years consecutively. The Committee periodically reviews the external auditor independence, objectivity and effectiveness of the audit process in conformity with applicable standards and best practices.

Corporate Governance Report

Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
		Appointment of External Auditor for non-audit services is in compliance with the statutes and ensured that engagement in non-audit services does not impair the external auditors' independence and objectivity. Policy on engagement of the external auditor to provide non-audit services had been reviewed and approved by the Board Audit Committee on 10th March 2025. The Committee approved the terms of engagement and the scope of the audit and reviewed and approved the annual audit plan of the external auditors to ensure its consistency with the audit engagement. Prior to the commencement of the audit, the Committee also discussed and finalized with the external auditors the nature and scope of the audit, including: (i) the Finance Company's compliance with Directions issued under the Act and management's internal controls over financial reporting; (ii) the preparation of financial statements in accordance with relevant accounting principles and reporting obligations; and (iii) coordination between auditors of the subsidiary companies. The Committee reviewed the Company's interim and annual financial statements prior to submission to the Board and recommended their issue to shareholders. The Committee reviewed the internal controls on financial reporting systems to ensure the reliability and integrity of information provided. The review included the extent of compliance with LKAS/SLFRS and applicable laws and regulations, review of critical accounting policies and practices and any changes thereto, going concern assumptions, major judgmental areas and material audit judgments. The Committee met with the External Auditor at two meetings without the presence of management to discuss whether there have been any irregularities, constraints, reservations or any other unsatisfactory matters arising from the audit which the auditor wished to discuss with the Board Audit Committee. The Committee reviewed the External Auditors' Management Letter and Management's responses thereto. (e) Review of effectiveness of the system of internal controls The BAC shall at least annually conduct a review of the effectiveness of the system of internal controls. (f) Review major findings of Internal Audit and management responses thereto The BAC ensures that the senior management is taking necessary corrective actions in a timely manner to address internal control weaknesses, non-compliance with policies, laws and regulations, and other problems identified by auditors and supervisory bodies with respect to internal audit function of the Company.



Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
		(g) Steps taken to review the Internal Audit functions. The Audit Committee reviewed and approved the Annual Audit Plan submitted by the Internal Audit Department, including the adequacy of its scope, functions, and resource requirements. It also assessed the results of internal audit activities, the department's authority to carry out its work, and the effectiveness of the Company's internal control system, ensuring comprehensive coverage through the annual audit programme. The Committee annually reviewed the performance appraisal of Head of Internal Audit and Senior Staff Members of the Internal Audit Department. The Committee's approval is required for the appointment, termination or transfer of Head of Internal Audit, senior internal audit staff and outsourced service providers of the internal audit function. The service of an external audit firm has been obtained to assist the Internal Audit Department to carry out the audit function. Prior approval of the BAC has been obtained in this regard. The Committee ensured that the internal audit function is independent of the activities it audits and that it is performed with impartiality, proficiency and due professional care. The Committee also ensures that the internal audit function carry out periodic review of the compliance function and regulatory reporting to regulatory bodies. The Committee reviewed major findings of internal investigations with recommendations of the management. (h) The BAC reviews the statutory examination reports of the Central Bank of Sri Lanka (CBSL) and ensure necessary corrective actions are taken in a timely manner and monitor the progress of implementing the time bound action plan quarterly. (i) Meetings of the Committee The Audit Committee met 08 times during the year 2024/25 in compliance with the Direction. Notice of the meeting with the agenda items to be discussed were circulated prior to each meeting. The meeting minutes are approved by the Chairman Audit Committee. The Chairman, Managing Director, GM (Finance), Chief Strategy Officer and other Senior Management team members also attended Committee meetings by invitation as and when required. On the invitation of the Audit Committee, Company's External Auditors attended three Committee meetings during the year. On two occasions, the Committee met with them in the absence of the Executive Directors, senior management and employees. The Head of Internal Audit functions as Secretary to the Board Audit Committee and keeps record of detailed minutes of the Board Audit Committee meetings. Please refer the Board Audit Committee Report given in pages 205 to 207 for details of activities, number of Board Audit Committee meetings and details of attendance of each member.

Corporate Governance Report

Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
Board Integrated Risk Management Committee	10.3	Complied with The Board Integrated Risk Management Committee (BIRMC) comprises five Non-executive Directors with knowledge and experience in banking, finance, risk management issues and practices, and is chaired by an Independent Non-executive Director w.e.f. 1st July 2024 in compliance with the Direction. At the beginning of the year, BIRMC included management representatives such as the CEO/MD, Executive Directors, and other senior staff members. Effective 01.07.2024, its composition changed to comprise four Non-Executive Directors, with a fifth appointed on 01 August 2024. As a consequence of ensuring adherence to Finance Business Act Directions No. 5 of 2021 on Corporate Governance, Mr. M.H. de Silva, an Independent Non-executive Director was appointed to chair the Committee with effect from 01 July 2024. The Managing Director, Chief Risk Officer (CRO), and other senior management representatives attend meetings as invitees. The BIRMC makes decisions on behalf of the Board within its delegated authority, and the CRO serves as the Committee Secretary. The BIRMC has established quantitative and qualitative risk indicators to monitor key risk exposures, including credit, market, liquidity, operational, strategic, compliance, and technology risks. These indicators are reviewed at least once every two months, and if such limit is exceeded prompt corrective action is taken. BIRMC also periodically reviews the risk grids of the Company and its significant subsidiaries, ensuring appropriate mitigation measures are discussed and implemented. Additionally, the Committee is responsible for developing and reviewing the Company's Risk Appetite Statement (RAS), which outlines the acceptable levels and types of risk in relation to earnings, capital, and liquidity, as well as qualitative aspects such as reputation, compliance, money laundering, and ethical conduct. The RAS serves as a key framework guiding strategic and operational decisions and making appropriate recommendations to the Board. The latest review of RAS was done in June 2024. In addition, BIRMC also reviews other risk policies at least on an annual basis. The committee also has a process of reviewing the effectiveness of the BIRMC related management level committees to address specific risks and to manage those risks within quantitative and qualitative risk limits as specified by the committee periodically. In addition, the Committee assesses all aspects of risk management, including the adequacy and currency of business continuity and disaster recovery plans. The BIRMC met quarterly till 30th June 2024 and met once in two months since 01 July 2024. Minutes of BIRMC meetings including discussions and conclusions reached at such meetings and risk assessment reports were circulated electronically to the upcoming meeting of the Board of Directors seeking their views, concurrence and specific directions.



Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
		Risk Management Function An independent risk management function is in place and responsible for managing risk-taking activities across CF. A dedicated Chief Risk Officer (CRO) was appointed w.e.f. 1st June 2024, considered to be senior management, to carry out the risk management function and report to the BIRMC periodically. CRO participates in key decision making processes such as capital and liquidity planning, new product or service development and makes recommendations on risk management to BIRMC and to the Board. CRO maintains an updated risk register, and this is submitted to the BIRMC at each meeting. BIRMC also submits a risk assessment report for the upcoming Board meeting seeking the Board's views, concurrence and/or specific directions. Compliance Function An independent Compliance function is in place to assess the CF's adherence to applicable laws, regulations, directions, rules, regulatory guidelines, and approved internal policies. The Head of Compliance, designated as part of senior management, reports directly to the BIRMC. The Compliance Officer does not hold management or financial responsibility for operational business lines or income generating functions, ensuring objectivity and independence. The Compliance Officer submits a Compliance Statement covering Directions, Rules and Regulations issued under the Finance Business Act No. 42 of 2011, Rules and Regulations of the Securities and Exchange Commission of Sri Lanka, Listing Rules of the Colombo Stock Exchange, Provisions contained in the Companies Act No. 07 of 2007, Inland Revenue Act No. 24 of 2017 and other various statutory requirements to the Board monthly. The BIRMC conducts annual performance assessments of the Compliance Officer and the Chief Risk Officer (CRO), with the most recent assessment completed in April 2025. Please refer the Board Integrated Risk Management Committee Report given on pages 203 to 204 for more details.
Nominations and Governance Committee	10.4	Complied with The Board appointed Nominations and Governance Committee comprises of 05 members of which 3 are independent, which recommends new appointments to the Board. During the year the scope and the composition of the committee were extended to cover all the requirements as described by the Finance Business Act Directions No. 5 of 2021 and Section 9 of the CSE Listing Rules. Details of the committee members are given in the Nominations and Governance Committee Report on page 197. The Chairman of the committee is an Independent Non-Executive Director. The Company Secretary serves as the Secretary to the Nominations and Governance Committee. The Committee has implemented a formal and transparent procedure for the selection and appointment of new directors and senior management. Appointments for senior management are made on the recommendation of the CEO, except for the Head of Internal Audit, Chief Risk Officer (CRO), and Compliance Officer.

Corporate Governance Report

Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
		The Committee ensures that all proposed directors and senior management are fit and proper to perform their functions, in compliance with the Finance Business Act and the Direction on the Assessment of Fitness and Propriety of Key Responsible Persons. The selection process includes assessing whether proposed directors: ● Possess the necessary knowledge, skills, experience, independence, and objectivity. ● Have a record of integrity and good reputation; and ● Can dedicate sufficient time to discharge their responsibilities effectively. The Committee ensures that the Board's composition is not dominated by any individual or small group of individuals in a manner that may adversely impact the interests of stakeholders or the Company as a whole. Upon appointment of a new director, Committee has assigned the responsibility to the Company Secretary to make the required corporate disclosures in CSE including brief resume, expertise, other directorships, membership in Sub-Committees and status of independence. The Committee set the criteria such as qualifications, experience, and key attributes required for eligibility to be considered for appointment to the positions of CEO and senior management. The Committee considered and recommended the re-election of existing directors, taking into account their combined knowledge, performance in addressing the strategic demands faced by the Company, and their individual contributions toward the effective discharge of the Board's overall responsibilities. The Committee, from time to time, considered and recommended the need for additional or new expertise and addressed succession arrangements for retiring directors and senior management. Members of the Committee did not participate in decision making relating to their own appointments or reappointments, Details of the Committee are given in the Nominations and Governance Committee report on pages 197 to 198.
Human Resources and Remuneration Committee	10.5	Complied with The Human Resources and Remuneration Committee appointed by the Board of Directors is responsible for establishing a formal and transparent procedure for developing a policy on executive remuneration, overseeing its implementation and for fixing remuneration packages. Effective from 1 July 2024, the Committee was restructured to ensure full compliance with the requirements of the Finance Business Act Direction No. 5 of 2021. Following the restructuring, the Committee comprises solely of Non-Executive Directors, with a majority (3 out of 5) being Independent Directors. The Chairman of the Committee is also an Independent Non-Executive Director.



Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
		The secretary to the Committee is also an Independent Non-Executive Director. The Committee is responsible for determining the remuneration policy relating to Executive Directors, the CEO, and KRPs, including setting goals and targets for them. The Committee evaluated the performance of the CEO and KRPs against agreed goals and determined the basis for revising remuneration, benefits, and performance based incentives. The Committee also determined the remuneration structure for Non-Executive Directors and senior management. A formal and transparent procedure was followed in developing the policy. The remuneration policy for all employees was recommended for Board approval and was subject to periodic review. The structure aligned with Company's strategy, values, and cost structure, and discouraged excessive risk-taking. The Committee reviewed the performance of senior management (excluding Head of Internal Audit, Chief Risk Officer, and Compliance Officer) annually and ensured they abstained from meetings when their own matters were discussed. The CEO attended all Committee meetings by invitation, except when matters relating to the CEO were under discussion. Details of the Committee are given in the Human Resources and Remuneration Committee report on pages 201 to 202.
11. Internal Controls		
Internal Controls	11	Complied with Well-established internal control systems are in place which include the organizational structure, segregation of duties, clear management reporting lines and adequate operating procedures in order to mitigate operational risks. The existing controls are designed to, ● promote effective and efficient operations ● provide reliable financial information ● safeguard assets ● minimize the operating risk of losses from irregularities, fraud and errors ● ensure effective risk management systems ● ensure compliance with relevant laws, regulations, directions and internal policies. All employees of the Company are given the responsibility for internal controls as part of their accountability for achieving objectives.

Corporate Governance Report

Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
12. Related Party Transactions		
Related Party Transactions	12	Complied with The Board has established formal policies and procedures for managing related party transactions in line with Corporate Governance requirements. To strengthen the process further, the Company has established a Related Party Transactions Review Committee (RPTRC) with the following being the as Key objectives. 1. encourage transparency with a view to facilitating informed decisions 2. conform to disclosure requirements and exercise good governance on related party transactions, and 3. ensure that any financial transaction / benefit is on terms that are reasonable in the circumstances if the entity and the related party were dealing at arm's length. With effect from 1st July 2024, the composition of the Committee was revised to be fully compliant with the Corporate Governance requirements. The Committee now comprises five Non-Executive Directors, the majority of whom are Independent Directors. The Chairperson is an Independent Non-Executive Director, and the Chief Financial Officer serves as the Secretary and its report is presented on pages 199 to 200. Board members are required to make declarations in respect of Related Parties at the time of appointment and subsequently on a quarterly basis. Each Director and KRP will notify the Board of Directors and the Company Secretary of any interests that such person or an immediate family member of such person has or may have in a related party transaction and shall include a description of the transaction and the amount. The RPTRC review in advance and recommend related party transactions as per the Company's Related Party Transaction Policy & Procedure for the approval of the Board of Directors. The RPTRC has issued guidelines for the senior management to follow in transacting and reporting of recurrent related party transactions of revenue nature, and which is necessary for day-to-day operations of the Company and, in the opinion of the Committee, terms are not more favorable to the Related Party than those generally available to the public. Board approved Related Party Transactions Policy & Procedure details the formal process to be followed on "dealing with conflict of interest" to avoid any conflicts of interest that may rise from any transaction of the Company with a related party as defined in Section 12.2 a) – f). The Committee reviews in advance the related party transactions benchmarking against the terms and conditions offered to comparable non-related party transactions. Further, all related party transactions are getting reported and reviewed on a quarterly basis by the RPTRC. The Company's Related Party Transactions Policy & Procedure prohibits transactions, which would grant related parties more favorable treatment than that accorded to other unrelated third parties .



Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
13. Group Governance		
Group Governance	13	Complied with The Company has a Group Governance Framework covering aspects specified under section 13.1 of the Finance Business Act Direction No 05 of 2021. The Policy was reviewed and approved by the Board. Central Finance Company PLC is the Parent of the Group and the Group Governance Framework addresses the corporate governance practices throughout CF Subsidiary Companies. The Framework ensures that the businesses have appropriate decision making processes and controls in place so that the interests of all stakeholders (shareholders, employees, suppliers, customers and community) are balanced. The framework addresses customer relationship buildup through quality of services/ products and compliance, safeguarding of Company assets, employee development and safe work environment, avoidance of conflict of interest in terms of related party transactions and timely reporting of those transactions to the Parent Company, accurate and reliable financial reporting, fair and timely disclosure of transactions, prior approval of the Parent Company for structural changes, information security and confidentiality. The Board reviews the group compliance with laws and regulations through review of quarterly compliance statements and risk control matrices from key subsidiary companies being tabled and discussed for risk mitigation at the Board Integrated Risk Management Committee meetings.
14. Corporate Culture		
Code of Conduct	14.1	Complied with Company has developed a Code of Business Conduct for all employees including KRPs, which addresses confidentiality, conflict of interest, integrity of reporting, corporate opportunities, fair dealing with customers, protection and proper use of the Company's assets including information assets and compliance with applicable laws and regulations including insider trading laws and encouraging the reporting of any illegal or unethical behavior.
Records of Breaches of Code of Conduct	14.2	Complied with Breaches of Code of Conduct are recorded and such breaches are addressed by the Human Resource Department, in a manner that upholds high standards of integrity.
Whistleblowing Policy	14.3	Complied with The Company has a Whistleblowing Policy in place which sets out avenues for legitimate concerns to be objectively investigated and addressed. Employees can raise concerns about illegal, unethical or questionable practices in a confidential manner and without the risk of reprisal. The Whistleblowing Policy is made available via the Company Website.

Corporate Governance Report

Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
15. Conflicts of Interest		
Conflicts of Interest	15.1 15.2	Complied with The existing Policy on Related Party transactions stipulates that there are no relationships between the Directors to exercise undue influence or coercion. Adequate procedures are in place to ensure that conflict and potential conflict of interests are properly disclosed to the Board. Procedure is in place for Directors to abstain from voting on any Board Resolution when the Director or any of his/her relatives or a concern, in which he/she has substantial interest, is interested and such Director is not counted in the quorum for the relevant agenda item in the Board meeting. The policy covering requirements of the direction in managing conflicts of interest was reviewed and approved by the Board.
16. Disclosures		
Disclosures in the Annual Report	16.1	Complied with The Board reviews the annual and periodical financial statements to ensure that those are in conformance with all rules and regulatory requirements of regulatory authorities and applicable Accounting Standards and have been published in all three languages in the newspapers. (i) Financial Statements ● A statement to the effect that the 2024/25 annual audited financial statements have been prepared in line with applicable Accounting Standards and regulatory requirements has been given in the Statement on Directors' Responsibility for Financial Reporting on page 208. ● A statement of responsibility of the Board in preparation and presentation of financial statements is given under the Statement of Financial position of the financial statement on page 233. (ii) Chairperson, CEO and Board related disclosures ● Directors profiles are given on the pages 32 to 34 detailing the name, qualifications, brief profile, Directorship status (Executive, Non-executive and/or Independent Director.), nature of expertise in relevant functional areas and names of Board Committees in which the Director serves as the Chairperson or a member. Names of other Companies in which the Director/CEO concerned serves as a Director and whether in an executive or non-executive capacity is disclosed on pages 129 to 131 ● Board and Board Sub-committee Meeting attendance details are disclosed on page 196. ● There is no relationship between the Chairperson and the CEO and among the members of the Board.



Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation																								
		(iii) Appraisal of Board performance ● An overview of how the performance evaluations of the Board and its committees have been conducted is disclosed on page 222 under Annual report of the Board of Directors. (iv) Remuneration ● A statement on remuneration policy, which includes Board fee structure and breakdown of remuneration of Senior Management, level and mix of remuneration (financial and non- financial, the procedure for setting remuneration, and the relationships between remuneration, performance and value creation) are disclosed under the Human Resources and Remuneration Committee Report on page 201 of the Annual Report. ● The aggregate values of remuneration paid by the Company to KRPs are as follows <table><tr><td></td><td>Rs.'000</td></tr><tr><td>Short term employee benefits</td><td>469,690</td></tr><tr><td>Contributions to employee trust/provident fund</td><td>42,045</td></tr><tr><td>Contributions to gratuity fund</td><td>17,464</td></tr></table> (The remuneration paid to Directors as disclosed in note 59.2.1 to the Financial Statements is included above.) (v) Related Party Transactions ● There is no relationship between the Chairperson and the CEO and among the members of the Board. ● The net accommodation granted and outstanding from the related parties as a percentage of capital funds is given below. <table><tr><th>Related Party Category</th><th>Net Accommodation Granted During the Year (Rs.'000)</th><th>Net Accommodation Outstanding as of 31 March 2025 (Rs.'000)</th><th>Net Accommodation Outstanding as a % of Capital Funds</th></tr><tr><td>1. Subsidiaries</td><td>Nil</td><td>Nil</td><td>Nil</td></tr><tr><td>2. Associates</td><td>47,843,320</td><td>486,801</td><td>0.95%</td></tr><tr><td>3. Key Management Personnel</td><td>2,000</td><td>1,681</td><td>0.00%</td></tr></table>		Rs.'000	Short term employee benefits	469,690	Contributions to employee trust/provident fund	42,045	Contributions to gratuity fund	17,464	Related Party Category	Net Accommodation Granted During the Year (Rs.'000)	Net Accommodation Outstanding as of 31 March 2025 (Rs.'000)	Net Accommodation Outstanding as a % of Capital Funds	1. Subsidiaries	Nil	Nil	Nil	2. Associates	47,843,320	486,801	0.95%	3. Key Management Personnel	2,000	1,681	0.00%
	Rs.'000																									
Short term employee benefits	469,690																									
Contributions to employee trust/provident fund	42,045																									
Contributions to gratuity fund	17,464																									
Related Party Category	Net Accommodation Granted During the Year (Rs.'000)	Net Accommodation Outstanding as of 31 March 2025 (Rs.'000)	Net Accommodation Outstanding as a % of Capital Funds																							
1. Subsidiaries	Nil	Nil	Nil																							
2. Associates	47,843,320	486,801	0.95%																							
3. Key Management Personnel	2,000	1,681	0.00%																							

Corporate Governance Report

Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation																
		- The aggregate value of transactions of the Company with its Senior Management during the financial year are as follows. <table><tr><th>Transaction</th><th>31.03.2025</th></tr><tr><td></td><td>Rs.'000</td></tr><tr><td>Financial liabilities at amortised cost - Deposits</td><td>227,390</td></tr><tr><td>Placement of deposits (Cash Flow)</td><td>27,950</td></tr><tr><td>Interest Expense</td><td>22,505</td></tr><tr><td>Accommodation Granted</td><td>2,000</td></tr><tr><td>Capital paid during the year</td><td>2,000</td></tr><tr><td>Interest Income</td><td>207</td></tr></table> - Number of shares held by Senior Management as at 31 March 2025 –2,189,139 Shares (vi) Board appointed committees - Board Subcommittee details are disclosed under each subcommittee reports from pages 197 to 207. - Attendance details are available on page 196. (vii)Group Structure - The Group structure is disclosed on page 237. The Company is having a Group Governance Framework which was reviewed and approved by the Board is detailed on page 157. (viii)Directors' report - The Annual Report of the Board of Directors on pages 215 to 223 of the Annual Report covers the following aspects: - The Company has not engaged in any activity, which contravenes laws and regulations. - The Directors have declared all Related Party Transactions with the Company and abstained from voting on matters in which they were materially interested. - The Company has made all endeavors to ensure the fair treatment for all stakeholders, in particular the depositors. - The business is a going concern with supporting assumptions; and - The Board has conducted a review of internal controls covering material risks to the Company and have obtained reasonable assurance of their effectiveness. (ix) Statement on Internal Control - Directors Report on effectiveness of the internal control system over financial reporting is given under the “Directors' Statement of Internal Control” on page 209.	Transaction	31.03.2025		Rs.'000	Financial liabilities at amortised cost - Deposits	227,390	Placement of deposits (Cash Flow)	27,950	Interest Expense	22,505	Accommodation Granted	2,000	Capital paid during the year	2,000	Interest Income	207
Transaction	31.03.2025																	
	Rs.'000																	
Financial liabilities at amortised cost - Deposits	227,390																	
Placement of deposits (Cash Flow)	27,950																	
Interest Expense	22,505																	
Accommodation Granted	2,000																	
Capital paid during the year	2,000																	
Interest Income	207																	



Corporate Governance Principles	Section Ref.	Principle, Compliance and Implementation
		- Independent Assurance Report is issued by the External Auditor on effectiveness of Internal Controls over Financial Reporting based on "SLSAE 3050 – Assurance Report for Banks on Directors' Statement on Internal Controls" issued by CA Sri Lanka. Please refer External Auditor's Independent Assurance Report on the Directors' Statement on Internal Control on page 212. - A statement on prudential requirements, regulations, laws and internal controls is given under the "Directors' Statement of Internal Control" on page 209. (x) Corporate Governance Report - The External Auditor has performed procedures set out in "Sri Lanka Related Services Practice statement 4752" issued by CA Sri Lanka to meet the compliance requirement of the Corporate Governance directive. External Auditors' findings presented in their report are consistent with the matters disclosed above and did not identify inconsistencies to those reported. (xi) Code of Conduct - Company has developed a Code of Business Conduct that applies to all Directors, Key Management Personnel and employees. - A certification by the Chairman that the Company has no violations of any provisions of this code is given under the Chairman's statement on page 122. (xii) Management report - Review of Operations on pages 60 to 69, Chairman's Statement on pages 20 to 23, Managing Director's Statement on pages 24 to 29, Strategy and Resource Allocation Report on pages 52 to 55, ESG Focus from pages 56 to 58 and Risk Management Report on pages 110 to 121 of the Annual Report covers the following: - Industry structure and developments - Opportunities and threats - Risks and concerns - Sustainable finance activities carried out by the Company - Prospects for the future (xiii) Communication with shareholders - Board approved communication policy is in place, which details the policy and methodology for communication with the shareholders. - The Company Secretary will engage with the shareholders by means of the Annual Report, Quarterly Reports, and by sending notifications to the shareholders.

Corporate Governance Report

SECTION TWO

CODE OF BEST PRACTICE ON CORPORATE GOVERNANCE 2023 (THE CODE) ISSUED BY CA SRI LANKA

STATEMENT OF COMPLIANCE

The level of adoption of the above voluntary code which comprises nine fundamental principles and conformance of the said principles by CF in summary form is disclosed below.

The Company	
Directors	The Company is led, directed and controlled by a Board of Directors with the skills, experience and knowledge complemented with the highest level of integrity and independent judgment. The Board is equipped with members having sufficient financial acumen and knowledge. CF has established a clear division of responsibilities between the Chairman and CEO/MD to ensure balance of power and authority, in such a way that no individual has unfettered powers of decision.
Directors' Remuneration	CF has a well-established, formal and transparent procedure for executive remuneration and fixing the remuneration packages of individual Directors. The level of remuneration of both Executive and Non-executive Directors is sufficient to attract and retain the Directors needed to manage the Company successfully.
Relations with Shareholders	Central Finance uses the Annual General Meeting to communicate with its shareholders and the Company focuses on open communication and fair disclosure, with emphasis on the integrity, timeliness and relevance of the information provided. Further during 2024/25, the Company had not engaged in or committed to any major and material transactions where they materially affected CF's net asset base.
Accountability and Audit	The CF Board has presented a balanced and understandable assessment of the Company's financial position and performance during 2024/25. The Board has established a sound framework of risk management and internal controls. The Company has developed a Policy on Code of Conduct and Ethics applicable to all employees, and has also addressed conflict of interest, financial irregularities, IT system controls, receiving entertainment and gifts and confidentiality of information.
Shareholders	
Institutional Investors	The Board has encouraged the institutional shareholders to make considered use of their votes, ensure that their voting intentions are translated into practice and to give due weightage to all relevant factors drawn to their attention when evaluating the Governance arrangements of the Company.
Other Investors	The Company has encouraged individual shareholders to carry out adequate analysis or obtain independent advice in investing and divesting decisions and to participate and exercise their voting rights at the General Meeting.
Internet of Things and Cyber security	Prevailing risks related to information security has been taken in to consideration by the Board in formulating the IT risk management policy.
Sustainability Environment, Society and Governance (ESG) Risks & Opportunities	The Company has created long-term stakeholder value by embracing opportunities, managing risks and impact on business activities from economic, environmental and social developments through ESG reporting.
Special Considerations for Listed Entities	The Company has complied with the requirements given under special considerations for Listed Entities.



Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
THE COMPANY		
A. DIRECTORS		
A.1 The Board		
Central Finance is headed by a well-balanced Board of Directors with local and multinational experience drawn from different backgrounds inter alia banking, insurance, accounting, management, marketing and economics. All Directors possess the skills, experience and knowledge complemented with a high degree of integrity and independent judgment. The Board provides leadership in setting strategic direction and a sound control framework to successfully achieve the objectives of CF set out in the strategic plan and the annual budget to satisfy the expectations of stakeholders. The Board has also appointed Board Sub Committees to assist in performing its collective responsibilities.		
Board Meetings	A 1.1 Adopted	The regularity of the Board meetings and the structure and process of submitting information have been pre- agreed by the Board. The Board meets at monthly intervals, but meets more frequently whenever it is necessary. During the year, the Board met 13 times, at approximately monthly intervals. A monthly Board pack is presented to the Board members comprising financial and operational decisions and performance compared to previous periods and budgets, prevailing risks and mitigation factors, financial forecasts, regulatory compliances, and any other matters that the Board should be aware of. The periodic related party transactions , internal control breaches or frauds if any, environmental, social, and governance (ESG) related risks and opportunities and cyber security related risks, mitigative measures during the year, are reported to the Board on a regular basis through the respective sub-committee meeting minutes. Circulation of Board papers to obtain Board's consent was minimised and confirmations ratified at the subsequent Board meeting. Details of the Board meetings and individual attendance are given on page 196
Board Responsibilities	A 1.2 Adopted	The Board of Directors is responsible for setting sound business strategy, ensuring the execution of strategies, monitoring performance and oversight of the Company's affairs. The Board was chaired by an Independent Non-executive Director as of 31st March 2025 and the Board has put in place a Corporate Management team led by the MD/ CEO equipped with the required skills, experience and knowledge to implement the business strategy of the Company. Subsequent to the year end, Mr. A.D.B. Talwate retired as the Chairman of the Board with effect from 30 April 2025 on reaching age of 70 years in compliance with section 4.2 of the Finance Business Act Direction No. 5 of 2021 on Corporate Governance and Mr. A.R. Fernando, Non Independent Non-Executive Director of the Board was appointed as the Chairman w.e.f. 1st May 2025. Mr. M. H. de Silva, Independent Non-Executive Director, was appointed as the Senior Director of the Board w.e.f. 1st May 2025

Corporate Governance Report

Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
		A comprehensive succession planning for the MD/CEO, Executive Directors and key management personnel has been documented for a seamless continuity. The non-executive Directors possess experience from a number of industries and business sectors, including the leadership of large multinational enterprises. The Board determined the matters expressly reserved to the Board and the aspects delegated to the management including limits of authority and financial delegations. The Board takes necessary steps towards safeguarding the depositors, securing integrity of information, prudent management of risks, implementing an effective internal control system, ensuring good governance and compliance with rules and regulations. The Board also ensures the availability of Information Communication Technology (ICT) roadmap in line with business strategy of the Company, and monitor the progress of implementation through the ICT dashboard, Processes have been established to monitor the progress on strategy implementation, budgets, plans and related risks and to ensure the corporate reporting, on a quarterly basis, through the Board appointed sub-committees. The Board is responsible to ensure that the interest of all stakeholders is taken into consideration in the corporate decision making process and that the Company's values and standards are set with emphasis on adopting appropriate accounting policies and complying with laws, regulations and ethical standards.
Compliance with laws of the country and access to independent professional advice	A 1.3 Adopted	Procedures and processes are in place to ensure compliance with all applicable laws and regulations of the country. A procedure is in place for Directors to seek independent and collective professional advice, in furtherance of their duties, at the Company's expense, as and when it is necessary.
Access to the Services of the Company Secretary	A 1.4 Adopted	Access to the services of the Company Secretary, is available for all Board Members, including Non-executive Directors, as and when required. The appointment and removal of the Company Secretary is a matter involving the whole Board.
Insurance cover for the Board/KMPs		The Company Secretary provides support and advise to the Chairman and the Board on all Corporate Governance matters, duties and responsibilities, Board procedures and in particular, compliance with Company Law and other applicable laws and regulations including but not limited to CBSL, CSE and SEC regulations. The Company has obtained a comprehensive insurance cover for CF Board members and it's KRPs/KMPs for 2024/25.
Independent judgment of Directors	A 1.5 Adopted	All Directors including Non-executive Directors, in discharging their responsibilities and duties, bring to bear independent judgment and scrutiny on decisions taken by the Board on matters relating to strategy, performance, resources, risk management, internal controls and standards of business conduct.



Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
Dedication of adequate time and effort by Directors	A 1.6 Adopted	All Directors dedicate adequate time for the fulfillment of their duties as Directors of the Company, to execute and discharge their duties and responsibilities satisfactorily. In addition to attending Board Meetings, they attend Sub-committee Meetings and contribute effectively to decisions made. Adequate time has been allocated by Directors for familiarization with business operations, risks and controls to effectively discharge their duties. Board papers are made available to the Directors providing sufficient time for review and to request additional information and clarification for effective participation. Any issue arising consequent to a meeting are also followed up. Approvals obtained through circulation of resolutions are ratified at the subsequent Board Meeting.
Calling for resolution by one third of Directors	A 1.7 Not applicable	No such incidents had arisen during the year.
Training for Directors	A 1.8 Adopted	Directors have recognised the need for continuous training and expansion of knowledge for professional development which would assist them in the discharge of their duties. Training and development needs for Directors are regularly reviewed and agreed on by the Board. All Directors have undergone necessary training both in the general aspects of Directorship and matters specific to the financial services industry. When accepting an appointment as a Director, due consideration is given to required competencies and responsibilities of the role, ability to commit time and any existing or potential conflicts of interest. .
A.2 Chairman and Chief Executive Officer (CEO/MD)		
Clear division of responsibilities between the Chairman and CEO/MD has been established to ensure the balance of power and authority, in such a way that no individual has unfettered powers of decision. The Chairman is responsible for leading the Board effectively to discharge all responsibilities and CEO/MD is responsible for management of the Company's business operation with the assistance of the Corporate Management Team.		
Division of responsibilities of Chairman and CEO/ MD	A 2.1 Adopted	The roles of the Chairman and CEO/MD are separated in line with best practices to ensure that no individual is vested with unfettered powers of decision making. The Chairman leads and guides the Board to effectively discharge Board's responsibilities and CEO/MD leads the Company's business operation effectively with the assistance of the Board of Management.
A.3 Chairman's Role		
The Chairman is responsible for providing effective leadership to the Board in preserving sound Corporate Governance and orders, and facilitating effective discharge of Board functions.		
Role of the Chairman	A 3.1 Adopted	The Chairman is responsible for leading the Board and creating conditions for the effectiveness of the overall Board and the individual Directors. The Chairman is not responsible for the executive matters of the Company and the direct supervision of the management.

Corporate Governance Report

Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
A.4 Financial Acumen		
Board should ensure the availability of members with sufficient financial acumen and knowledge to offer guidance on matters of finance. CF's Board is equipped with members having sufficient financial acumen and knowledge.		
Availability of sufficient financial acumen and knowledge	A 4 Adopted	The Board comprises of members with academic and professional qualifications in Accounting, Business Finance and Management with experience gained in different enterprises. The Board includes three Fellow Members of CA Sri Lanka who are also Fellow Members of the Chartered Institute of Management Accountants of UK. In addition, the Board also includes three other members who are Members of the Chartered Institute of Management Accountants of UK. These Members of the Board have the ability to offer guidance on matters of finance to the Board. The details of their qualifications and experience have been set out on pages 32 to 34
A.5 Board Balance		
Maintaining Board balance between Executive Directors and Non-executive Directors is required as per the Code to ensure that no individual or small group of individuals can dominate the Board's decision making. With effect from 1st July 2024, 2/3rd of CF Board members are Non-executive Directors and each of them bring wide experience to the Board and ability to exercise independent judgment when taking informed decisions.		
Presence of a strong team of Non-executive Directors on the Board	A 5.1 Adopted	The Board includes a strong presence of Non-executive Directors and no individual or small group of individuals can dominate its decision making. The roles of the Chairman and CEO/MD are not vested in one person. As per the criteria defined to determine an independent Director in A.5.5 of CA Sri Lanka code, Chairman is determined as independent non-executive Director as of 31st March 2025. Subsequent to the year end, Mr. A.R. Fernando, Non Independent Non-Executive Director of the Board was appointed as the Chairman with effect from 1st May 2025. Mr. M H de Silva, Independent Non-Executive Director, was appointed as the Senior Director of the Board with effect from 1st May 2025. 2/3rd of the Board Members are Non-executive Directors which is more than the requirement of the code and majority of them are independent.
Independent Directors	A 5.2 Adopted	More than two third of the Non-executive Directors are Independent which is above the minimum requirement prescribed by this Code.
Evaluation of independence of Non-executive Directors	A 5.3 Adopted	The Board considers Non-executive Directors' independence on the basis that an independent Director is independent of management and hence free of any business or other relationship that could materially interfere with the exercise of unfettered and independent judgment which could impair their independence. Using the annual declaration, the Board reviews the independence of each Non-executive Director.



Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
Annual declaration of the Non-executive Directors	A 5.4 Adopted	Non-executive Directors have made written submissions annually as to their Independence or non-independence against the specified criteria in CSE listing rules and Central Bank Direction on Corporate Governance Circumstances did not arise for the Board to decide a Director as Independent beyond the criteria set by this Code.
Determination of Independence of the Directors by the Board	A 5.5 Adopted	The Board has reviewed the independence of each Non-executive Director during the year 2024/25 and has determined that the submission of the declaration by the Non-executive Directors, as to their independence is a fair representation and will continue to evaluate this annually. All criteria set out in the code in determining independence, were met. The names of the Independent Non-executive Directors are given on pages 32 to 34.
Alternate Director	A 5.6 Adopted	The alternate Director appointment has not taken place during 2024/25.
Requirement of Senior Independent Director and availability for confidential discussions	A 5.7 and A 5.8 Not Applicable	The requirement to appoint a Senior Independent Director did not arise under this code during the year 2024/25 as the roles of Chairman and CEO/MD were separated and the Chairman was determined as an independent Non-executive Director as per this Code. Subsequent to the year end, Mr. A.R. Fernando, Non Independent Non-Executive Director of the Board was appointed as the Chairman with effect from 1st May 2025. Mr. M. H. de Silva, Independent Non-Executive Director, was appointed as the Senior Director of the Board with effect from 1st May 2025.
Meetings with Non-executive Directors	A 5.9 Adopted	The Chairman met with the Non-executive Directors without the presence of the Executive Directors twice during the year.
Recording of concerns in Board minutes	A 5.10 Not Applicable	Circumstances have not arisen where Directors have had concerns on matters that were not unanimously resolved for such instances to be recorded in the minutes. All matters taken up for discussion were resolved through consensus at Board Meetings.
A.6 Supply of Information		
The Board should be provided appropriate and timely information in a form and of a quality appropriate to enable them to discharge their duties effectively. Financial and non-financial information are analysed and presented to the Board for accurate and effective decision making.		
Appropriate and timely information to the Board by the Management	A 6.1 Adopted	The Management provides timely and appropriate information to the Board by way of Board Papers and Proposals. The Directors are free to raise queries for additional information as and when necessary. Presentations have been made to the Directors on important matters relating to strategy, risk management, recoveries, IT infrastructure developments, key updates in financial reporting and new legal developments. The Chairman ensures that all Directors are briefed on issues arising at Board Meetings.
Adequate time for Board Meetings	A 6.2 Adopted	The Board Papers are sent to the Directors before the respective Board Meetings, giving adequate time for Directors to study the related papers and prepare for a meaningful discussion at Board Meetings.

Corporate Governance Report

Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
A.7 Appointment to the Board		
A Formal and transparent procedure is in place for the appointment of new Directors to the Board as required by this code.		
Nominations and Governance Committee	A 7.1 Adopted	The Board appointed Nominations and Governance Committee comprises of 05 members of which 03 are independent with effect from 1st July 2024 and recommends selection of new Directors and KRPs for the approval of the Board. Details of the committee members are given in the Nominations and Governance Committee Report on page 197. The Chairperson of the Committee is an Independent Non-executive director. Meetings of Committee were held on 27th January 2025 and 24th March 2025. The composition of the Committee has changed on 01 July 2024 in order to comply with the regulatory requirements under the Finance Business Act Direction No 5 of 2021 and Listing Rules of the Colombo Stock Exchange. Committee member attendance of the Nominations and Governance Committee is given on page 196. Profiles of the Directors are given on pages 32 to 34.
Assessment of Board composition	A 7.2 Adopted	The Board carries out continuous reviews of the structure, size, composition, skills and knowledge of the Board, to ascertain whether the combined knowledge and experience of the Board matches the strategic demands and key risks faced by the Company. Findings of the assessment of the Board are considered for new appointments and re-election of Directors. Also, a process has been established to determine that the proposed Board appointees are fit and proper for the requirement. The composition of the board has changed during the period as follows. ● Mr. E. H. Wijenaike retired from the position of Managing Director/Chief Executive Officer/Executive Director of the Company with effect from 30th June 2024 and was re-appointed as a Non-independent Non-executive Director with effect from 01st July 2024, in terms of the provision under section 3.5(b) of the Finance Business Act Direction No. 05 of 2021 on Corporate Governance ● Mr. A. K. Gunaratne who was the Deputy Managing Director was appointed as the Managing Director/Chief Executive Officer and Mr. D.P. de Silva, who was the Chief Operating Officer, was appointed as the Deputy Managing Director of the Company with effect from 01st July 2024, in accordance with the Company's succession plan. ● Mr. C. S. Hettiarachchi (Executive Director / Director Corporate Affairs) stepped down from the Board of the Company with effect from 30th June 2024 in order to comply with the requirements under section 3.5(a) of Finance Business Act Direction No. 05 of 2021 on Corporate Governance ● Mr. M. S. De Saram has been appointed as an Independent Non-Executive Director on the Board with effect from 01st July 2024. The changes to the Board of Directors subsequent to the year end is detailed in Annual Report of Board of Directors on page 215 to 223



Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
Succession plan	A 7.3 Adopted	The Committee ensures a succession plan is in place for the Chief Executive Officer and all key responsible persons, and identifies their training and development needs to support effective succession.
Disclosure of details of new Directors to shareholders	A 7.4 Adopted	Appointment of new Directors are disclosed to the shareholders, with a brief resume of each such Director including their expertise in relevant functional areas and names of companies in which the Director holds Directorships, by way of CSE corporate disclosure, public announcements as well as in the Annual Report. Approval for appointment of new Directors is obtained from the CBSL and notice on new appointments is given to CSE for public information. All new appointments and continuing Directorships are reviewed by the Board as a whole.
Disclosure of details of the Annual Report	A 7.5 Adopted	Details of the members of the Nominations and Governance Committee and the process they use in relation to board appointments is described in the Nominations and Governance Committee report on page 197.
TOR of Nominations and Governance Committee	A 7.6 Adopted	Terms of reference for Nomination & Governance Committee is in place in compliance with Corporate Governance rules and regulations.
A.8 Re-election		
Code requires all Directors to submit themselves for re-election at regular intervals of at least once in three years.		
Appointment of Non-executive Directors	A 8.1 Adopted	The Company's Articles of Association provides that at every Annual General Meeting of the Company, one-third of the Non-executive Directors shall retire from office. These Directors are eligible to stand for re-election by the shareholders at the annual general meeting. Period of service of Non-executive Directors shall not exceed nine years. Approval of the Director/Department of Supervision of Non-Bank Financial Institutions of CBSL was obtained under section 4.3 of the Finance Business Act Direction no 5 of 2021 for Mr. E.H Wijenaike to continue in office as a Non-Independent Non-Executive Director for a period of one year after attaining the age of 70 years on 15th August 2024. Mr. E.H Wijenaike is the only Director above the age of 70 years on the board.
Election of Directors by the shareholders	A 8.2 Adopted	Re-appointment of all Non-executive Directors including the Chairman of the Board is subject to election by shareholders at the Annual General Meeting. Re-election of Directors is at three year intervals and details are submitted for shareholders to make informed decisions on their election. Proposed re-election is subject to prior review by the Board.
Resignation of Directors	A 8.3 Adopted	Mr. C. S. Hettiarachchi (Executive Director / Director Corporate Affairs) stepped down from the Board of the Company with effect from 30th June 2024 in order to comply with the requirements under section 3.5(a) of Finance Business Act Direction No. 5 of 2021 on Corporate Governance.
A.9 Appraisal of Board Performance		
Board should appraise its own performance periodically to ensure that its responsibilities are satisfactorily discharged. The Board has periodically reviewed its performance against the pre-set criteria ensuring adherence to the code.		

Corporate Governance Report

Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
Appraisal of Board performance and annual self-evaluation of the Board and its Committees	A 9.1 and A 9.2 Adopted	The Self Evaluation of the Board has been concluded for the year 2024/25. The outcome of such assessments was discussed at the Board level, and action taken as required. The Chairman carries out evaluations of all directors and evaluation of the Chairman is conducted by the Non-Executive Directors. The Board also conducts appraisals of other key management personnel. The summary of evaluation is tabled at the board meeting. The Board reviewed recommendations on initiatives and actions required to improve the balance of skills, experience, independence, training requirements, governance, process, strategy review and other factors related to its effectiveness. All Board sub-committees carry out a self-assessment process annually, in accordance with the pre-set criteria, to ensure that the committee functions effectively and efficiently. Summaries of all Board Sub-Committee evaluations were also tabled at the Board meeting on 26th March 2025.
Process of reviewing the Directors at the re-election	A 9.3 Adopted	Participation, contribution and engagement of each Director is taken into consideration when each Director is recommended for re-election by the Board.
Method of Board and Sub-committee Performance appraisal	A 9.4 Adopted	Method of evaluating the Board and its Sub-committee performance are stated in Section A 9.1 and A 9.2 above and in the Annual report of the Board of Directors on pages 215 to 223.
A.10 Disclosure of Information in respect of Directors		
Details in respect of Directors	A 10.1 Adopted	The details pertaining to each Director is disclosed as follows. a) Brief profile with expertise and experience – pages 32 to 34. b) Status of independence – pages 32 to 34. c) Other business interests – pages 368 to 369. d) Attendance at Board Meetings and Sub-committee Meetings - page 196.
A.11 Appraisal of the Chief Executive Officer (CEO /MD)		
The Code requires the Board to assess the performance of MD /CEO at least annually to ascertain the achievement of pre-set Financial and Non-financial targets.		
Financial and Non-financial targets for MD /CEO	A 11.1 Adopted	At the commencement of the financial year, reasonable financial and non-financial targets for MD /CEO are set by the Board in consultation with MD/ CEO in line with the short, medium and long term objectives of the Company.
Evaluation of the Performance of the MD/CEO	A 11.2 Adopted	There is an ongoing process to evaluate the performance of MD/CEO to assess whether the financial and non-financial targets set by the Board have been achieved during the financial year.
B. DIRECTORS' REMUNERATION		



Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
---------------------------------	--------------------------------------	--------------------------

B.1 Remuneration Procedure

The Code requires that the Company should establish a formal and transparent procedure for developing an effective policy on executive remuneration and remuneration packages for individual Directors where no Director is involved in deciding his/her own remuneration.

Human Resources and Remuneration Committee	B 1 Adopted	The Human Resources and Remuneration Committee is responsible for establishing the Company's compensation policy for the senior management. The Human Resources and Remuneration Committee appointed by the Board of Directors is responsible for; Establishing a formal and transparent procedure for developing a policy on executive remuneration, overseeing its implementation and fixing remuneration packages for the Executive Directors and other senior level staff members. Determining and agreeing with the Board, the broad policy framework for the remuneration of the Executive Directors. Deciding remuneration of the senior level staff members in order to recruit, retain and motivate them. Reviewing/monitoring evaluation of performance of KMPs and their management development and succession planning. Communicating with shareholders on the remuneration policy and the committee's work on behalf of the Board through the Human Resources and Remuneration Committee report.
--	----------------	--

B.2 Composition, Level and make-up of the Remuneration

The Code requires the Board to establish the levels of remunerations for both Executive and Non-executive Directors which should be sufficient to attract and retain the Directors needed to manage the Company successfully. A proportion of the Executive Directors remuneration should be structured to link rewards to corporate and individual performance.

Composition, Level and make-up of the remuneration of Executive Directors for long-term success of the Company	B 2.1 to B 2.5 Adopted	The Board is mindful of the fact that remuneration of Executive Directors should reflect the market expectations and is sufficient to attract and retain the eminence of Directors needed to achieve the Company's objectives. The remuneration framework of Executive Directors is designed by Human Resource & Remuneration Committee to create and enhance value for all stakeholders and to ensure that there is strong alignment between them for the long-term success of the Company. The Board as a whole decides on the remuneration of the Non-executive Directors. The Non-executive Directors receive a fee for serving on the Board and its Sub-Committees. The Non-executive Directors fee structure is reviewed and revised by the Board as a whole, as and when necessary. The Committee reviews performance and makes recommendations to the Board in respect of the remuneration of the Chief Executive Officer/Managing Director, Executive and Non-executive Directors and Senior Members of the management.
--	---------------------------	--

Corporate Governance Report

Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
		Subsequent to the re-constitution of the board sub-committees with effect from 1st July 2024, all five members of the committee are Non-executive directors and a majority of the directors are Independent (3 out of 5) including the Chairman of the Committee. The Chairman of the Committee is appointed by the Board. Committee meetings, composition, scope, policy and other details are given in the Human Resources and Remuneration Committee report on pages 201 to 202. External professional advice is obtained where necessary in determining the remuneration of the Executive Directors and senior level staff members. MD's (CEO) input is obtained in determining the remuneration of other Executive Directors and senior level staff members.
Comparison of remuneration with other companies	B 2.6 Adopted	The Human Resources and Remunerations Committee in deciding the remuneration of the Directors and senior level staff takes into consideration the level of remuneration paid by other comparable companies and is also mindful of the performance and risk factors entailed.
Comparison of Remuneration with other companies in the Group	B 2.7 Not Adopted	The size and scale of Central Finance is not comparable with other Companies in the Group.
Performance related elements of remuneration to Executive Directors	B 2.8 Adopted	Please refer code B 2.1 and B 2.5 above.
Executive share options	B 2.9 Not Applicable	There are no share option plans available for executives.
Designing the Executive Directors remuneration	B 2.10 Adopted	The Human Resources and Remuneration Committee considered Schedule E to this code in deciding performance-related remuneration schemes of the Executive Directors.
Early termination of Directors	B 2.11 Adopted	Executive Directors are employees of the Company and their terms of reference are governed by the contract of employment. The Human Resources and Remuneration Committee has considered the compensation commitments given in the contracts of employment of Executive Directors, if any.
Early termination not included in the initial contract	B 2.11 Adopted	Refer the code B 2.11 above.
Remuneration of the Non-executive Directors	B 2.14 Adopted	Non-executive Directors receive fees in line with market practices taking into consideration the time commitment and responsibilities of their roles. No share option plans were offered as remuneration of Non-executive Directors for their service to the Company.



Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
Remuneration Committee & the Terms of Reference	B 2.15 – B 2.16	The details of the members of the Human Resources and Remuneration committee are given on pages 201 to 202 Terms of reference for Human Resource & Remuneration Committees is in place in compliance with Corporate Governance rules and regulations .
B.3 Disclosure of Remuneration		
The Company should disclose the remuneration policy and the details of remuneration of the Board as a whole in the Annual Report.		
Disclosure of remuneration	B 3.1 – B 3.2 Adopted	The Human resources and Remuneration Committee's Report setting out the policy and composition of the Committee is given on pages 201 to 202. The remuneration paid to the Board of Directors is disclosed in aggregate in Note no 59.2.1 to the financial statements on page 359. Aggregate remuneration paid to senior management personnel is disclosed on page 159 of this report.
C. RELATIONS WITH SHAREHOLDERS		
C.1 Constructive use of the Annual General Meeting (AGM) and Conduct of General Meetings.		
The Code requires the Board to use the Annual General Meeting to communicate with Shareholders and encourage their active participation.		
Notice of the AGM	C 1.1 Adopted	Notice of the meeting and related papers are sent to the shareholders as determined by the Companies Act No. 7 of 2007 and other statutes.
Separate resolution for all substantially separate issues	C 1.2 Adopted	The Company proposes a separate resolution for all substantially separate issues to provide shareholders with the opportunity to vote on each issue separately. This mechanism assures transparency in all activities of the Company. Adoption of annual report and financial statements is considered as a separate resolution. Proxy appointment forms are provided to shareholders for each resolution with the option to direct their proxy accordingly. The Company is mindful to disregard the votes withheld at the calculation of the proportion of the votes for and against the resolution.
Use of proxy votes	C 1.3 Adopted	The Company has in place an effective mechanism to record all proxy votes and proxy votes lodged on each resolution.

Corporate Governance Report

Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
Availability of all Board Sub Committee Chairmen at the AGM	C 1.4 Adopted	The Chairman of the Board ensures that Chairmen of all Sub Committees namely, Board Audit Committee, Human Resources and Remuneration Committee, Nominations and Governance Committee, Board Integrated Risk Management Committee and Related Party Transactions Review Committee are present at the Annual General Meeting (AGM) to respond to any questions of shareholders. Requirement of Senior Independent Director has not arisen during the year as Chairman of the Board was independent according to the code. However, subsequent to the financial year, there was a change to the composition of the Board and a Senior Independent Director was appointed to the Board with effect from 1st May 2025.
Adequate notice of the AGM and procedures of voting at General Meeting	C 1.5 Adopted	All shareholders irrespective of their voting status are encouraged to attend the AGM. Notice of the meeting is given as per the requirements of the Companies Act No. 7 of 2007. The Annual Report including financial statements and the Notice of the Meeting detailing the summary of procedures governing the voting at the AGM and business to be transacted at General Meetings are sent to shareholders at least 15 working days prior to the date of the AGM for effective participation.
C.2 Communication with Shareholders		
The Code requires the Board to establish effective communication with shareholders.		
Channel to reach all shareholders of the Company	C 2.1 Adopted	The primary modes of communication are the Annual Report and AGM. Information is provided to the shareholders well in advance of the AGM to give them an opportunity to raise any issues relating to the business of the Company. CF also publishes Annual Reports, interim reports, stock exchange announcements, general meetings and other notices to the holders of its securities in the CF website to enable effective communication with the stakeholders.
Policy and Methodology for communication with Shareholders	C 2.2 Adopted	The Company focuses on open communication and fair disclosure, with emphasis on the integrity, timeliness and relevance of information provided. A Board approved Communication Policy is in place to communicate with all stakeholders including shareholders, borrowers, depositors and creditors.
Implementation of the Policy and Methodology	C 2.3 Adopted	As defined by the Board approved Communication Plan, the Company adopts open communication with shareholders. Chairman, MD/CEO and the Company Secretary are contactable with short notice.
Contact person in relation to Shareholders matters	C 2.4 and C 2.6 Adopted	Shareholders may, at any time, direct questions, request for publicly available information and provide comments and suggestions to Directors or Senior Management of the Company. Such questions, requests and comments shall be addressed to the Company Secretary. Authorised spokespersons of CF are identified in the Company communication policy.



Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
Process to make all Directors aware of major issues and concerns of shareholders	C 2.5 Adopted	The Company Secretary maintains all correspondence received and will deliver as soon as practicable, such correspondence to the Board or individual Director/s as applicable.
The process for responding to shareholder matters	C 2.7 Adopted	Appropriate response will be provided to all validly received shareholder correspondence by the Board or individual Directors, as applicable, and Company Secretary will be directed to send immediate responses to the particular shareholder. Disclosure process of responding to shareholders is specified in the Company communication policy.
C.3 Major and Material Transactions		
Further to complying with the requirements under statutes and regulators, Directors should disclose to shareholders all proposed material transactions which would materially alter/ vary the net assets position of the Company/Group, if entered into		
Major transactions	C 3.1 Adopted	There were no major transactions during 2024/25.
Disclosure requirements and shareholder approvals for special resolutions in PLCs	C 3.2 Adopted	CF has complied with all required disclosures and shareholder approvals has also been obtained for special resolutions as required by the rules and regulations which have been established for public listed companies by the SEC / CSE. No non-recurrent related party transactions or specified transactions requiring shareholder approval through a special resolution were observed during the year.
D. ACCOUNTABILITY AND AUDIT		
D.1 Financial and Business Reporting (The Annual Report)		
The Code requires the Board to present a balanced and understandable assessment of the Company's financial position, performance, business model, governance structure, risk management, internal controls and challenges, opportunities and prospects.		
Statutory and Regulatory Reporting	D 1.1 and D 1.2 Adopted	The Board is aware of its responsibility to present balanced and understandable financial statements in compliance with statutory and regulatory requirements. In the preparation of quarterly and annual financial statements for the year ended 31st March 2025, Central Finance has complied with the requirements of the Companies Act No. 07 of 2007, the Finance Business Act No. 42 of 2011, and presented in conformity with Sri Lanka Accounting Standards and complied with the reporting requirements prescribed by the Regulatory Authorities such as the Central Bank of Sri Lanka and Colombo Stock Exchange.
Declaration on financial Statements	D 1.3 Adopted	Prior to obtaining the Board approval for financial statements, Chief Financial Officer submits a declaration for quarterly and annual financial statements confirming that financial records of the Company have been properly maintained and financial statements/ disclosures comply with appropriate and required Sri Lanka Accounting Standards and give a true and fair view of the financial position and performance of the Company and effectiveness of the internal controls established by the management.

Corporate Governance Report

Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
Directors' report in the Annual Report	D 1.4 Adopted	The Directors have made all declarations in the "Annual Report of the Board of Directors" as given on pages 215 to 223 which includes the following; - the Company has not been involved in any activity which contravenes the laws and regulations. - the Directors have declared all material interests in contracts involving the Company and refrained from voting on matters in which they were materially interested - the Company has made all endeavors to ensure the equitable treatment of shareholders and the Directors have placed great emphasis on instituting and maintaining effective corporate governance practices - the property, plant and equipment of the Company are reflected at fair value and deviations have been properly disclosed. - the Board is satisfied that the Company has adequate resources to continue its operations in the foreseeable future. - instituting of effective and comprehensive internal controls covering financial operations, compliances and risk management - The directors responsibility for preparing the annual report and financial statements, and that they consider the annual report and financial statements, taken as a whole, are fair, balanced, and understandable, and provides the information necessary for shareholders to assess the Company's financial position, performance, ESG/ sustainability risk and opportunities, business model, and outlook.
Statement of Directors', and Auditor's responsibility for financial statements and Report on risk management and Internal Controls	D 1.5 Adopted	The Statement setting out the responsibilities of the Board for preparation and presentation of financial statements is included in "Directors' Responsibility for Financial Reporting" and given on page 208 of the Annual Report. Auditor's reporting responsibility is given in their report on the financial statements on pages 224 to 230. The Directors' Statement on Internal Controls is given on page 209 and Auditor's report on "The Directors' Statement on Internal Controls" is given on page 212. Risk Management Report is given on pages 110 to 121.
Management Discussion and Analysis	D 1.6 Adopted	The "Review of Operations" report discussing the key aspects identified in this code is given on pages 60 to 69.
Summoning an EGM to notify serious loss of capital	D 1.7 Not Applicable	Likelihood of such occurrence is remote. However, should the situation arise, an EGM will be called for and shareholders will be notified.



Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
Disclosure of related party transactions	D 1.8 Adopted	The Board has established an effective and comprehensive process for identifying, recording and disclosure of related party transactions. Steps have been taken by the Board to avoid any conflict of interest that may arise, in transacting with related parties. The Board ensures that any financial transaction is on terms that are reasonable if the Company and the related party were dealing at arm's length in the ordinary course of business. As an effort to strengthen the monitoring mechanism of related party transactions, Board has established a Related Party Transactions Review Committee (RPTRC). All related party transactions as defined in Sri Lanka Accounting Standard of the Listing Rules Colombo Stock Exchange and similar regulations on "Related Party Transactions" are disclosed in note 59 to the Financial Statements on pages 358 to 363.
D.2 Risk Management and Internal Control		
The Board is responsible for determining the nature and extent of the principal risks that will be taken in achieving the strategic objectives. The Board should have a process of risk management and a sound system of internal controls to safeguard shareholders' investments and Company's assets.		
Annual evaluation of risk management systems	D 2.1 Adopted	The Board is responsible for establishing a sound framework of risk management, related process and internal controls and monitoring its' effectiveness on a continuous basis. Through such an effective framework, CF manages business risks and ensures that the Company's assets are safeguarded. The Board has adopted this framework for risk management and processes to identify, assess, monitor, and manage risks with clear delegation of responsibilities, supporting the achievement of the Company's strategic, operational, and financial objectives. Robust assessment of the principal risks faced by the Company include the factors that would threaten the business model, future performance, solvency or liquidity. The Company is having a separate Board Integrated Risk Management Committee consisting of five Non-executive directors, out of which four Directors are independent to oversee risk management activities of the Company. The Chairman of the Committee is also an Independent Non-Executive Director with effect from 1st July 2024. A separate Terms of reference is in place with its authority and duties. Board Integrated Risk Management Committee report is provided on page 203 covering its role, the risk management framework, processes, responsibilities and how they are being managed or mitigated. Risk Management Report as given in pages 110 to 121.

Corporate Governance Report

Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
Effectiveness of the internal control system	D 2.2 Adopted	The Board is responsible for determining the risk appetite for achieving the strategic objectives and formulates and implements appropriate processes for risk management and internal control systems to safeguard shareholder investments and assets of the Company. The BIRMC assists the Board in discharge of its duties with regard to risk management and the BAC assists the Board in the discharge of its duties in relation to internal control, which in turn is supported by the Internal Audit Department. Their responsibilities are summarised in the respective Committee Reports provided on pages 203 to 207 and have been formulated with reference to the requirements of the Code and the CBSL Direction on Corporate Governance. The Board ensures that an effective system of internal controls covering financial, operational, and compliance systems, processes, and practices is established and regularly monitored. Additionally, the Board annually obtains a review of the effectiveness of these internal controls, including all material aspects, and reports the outcome in the Annual Report on pages 209 to 210 as The Directors' Statement on internal control. The Auditor's report on same is given on page 212.
D.3 Audit Committee The Code requires the Board to have a formal and transparent arrangement in selecting and applying Accounting policies for financial reporting, determining the structure and content of the corporate reporting, implementing internal control and risk management principles and maintaining an appropriate relationship with the Company's Auditor		
Composition of the Audit Committee	D 3.1 Adopted	The Audit Committee comprised three Independent Non-executive Directors and one Non-independent Non-executive Director as of 31st March 2025. The Chairman of the Audit Committee is an Independent Non-executive Director. The said Committee met 08 times during the year 2024/25. The Head of Internal Audit functions as the Secretary to the Audit Committee. Chairman, Managing Director, Chief Strategy Officer, GM-Finance/CFO, Senior Management team representatives, Manager – IT Audit, External Auditor and other outsourced professional service providers appointed by the Board Audit Committee attend meetings by invitation.



Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
Terms of reference of the Audit Committee	D 3.2 Adopted	The Audit Committee is guided by the Committee Charter which sets out authority and responsibility of the Audit Committee. The Charter was reviewed for 2024/25 in line with the Code of Best Practices on Audit Committees of CA Sri Lanka. The Duties and Responsibilities of the Committee include, ● Assisting the Board to ensure preparation and presentation of Financial Statements in conformity with Sri Lanka Accounting Standards and other laws and regulations. The Committee reviews the annual and quarterly financial statements with management and the External Auditor. ● Ensure that the Company adopts accounting policies and practices that are in compliance with Sri Lanka Accounting Standards and that any changes are reviewed. ● Assessing the compliance of regulatory requirements and Company's ability to continue as a going concern in the foreseeable future. ● Ensuring that regulatory compliance reports are obtained from management and reviewed. ● Monitoring and reviewing the effectiveness of the Internal Audit function. ● Reviewing the internal control system. ● Making recommendations to the Board on the appointment, reappointment or removal of the External Auditor and to approve the remuneration and terms of engagement of the external auditor. ● Discussion of external audit plan, key audit issues and management responses with management and the Auditor. ● Assisting the Board in assessing the independence and objectivity and effectiveness of the audit process. The Committee has set out the policy for the engagement of the External Auditor for non-audit services taking into account, relevant ethical and regulatory guidance regarding the provision of non-audit services by the external audit firm. The Audit Committee reviewed and approved the policy for engagement of the External Auditor to provide non-audit services during 2024/2025. Separate periodic meetings are held with management, external auditor and the internal auditors, reporting regularly to the Board of Directors
Disclosures of the Audit Committee	D 3.3 Adopted	A review of the scope of the Board Audit Committee, results of the Audit and the effectiveness in discharging its duties during 2024/25 are described in the Board Audit Committee report on pages 205 to 207.

Corporate Governance Report

Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
D.4 Board Integrated Risk Management Committee Procedures are in place for risk management including how they determine risk culture, risk appetite, risk identification and classification, rating and management of risk.		
Board Integrated Risk Management Committee	D 4.1 Adopted	Board Integrated Risk Management Committee consists of five Non-Executive Directors, out of which four Directors are independent and oversee the risk management activities of the Company as of 31st March 2025. The Chairman of the Committee is also an Independent Director since 1st July 2024. The Committee was previously chaired by Mr. A.R. Fernando who is a Non-Independent Non-Executive Director and in compliance with Corporate Governance directions, M.H. de Silva Independent - NED was appointed as Chairman . The Managing Director, Deputy Managing Director, Chief Risk Officer (CRO), CISO, Chief Financial Officer, GM-Information Technology and other senior management representatives attend the meetings as invitees.
Terms of reference of the BIRMC	D 4.2 Adopted	A separate written terms of reference is in place with its authority and duties. The TOR was last reviewed in 2024/25 in line with the Code of Best Practices on Corporate Governance of CA Sri Lanka.
BIRMC Meetings	D 4.3 Adopted	The Committee met five times during the year. The CRO serves as the Secretary to BIRMC.
External Professional Advices	D 4.4 Adopted	The Committee has the authority to seek external professional advice if required in connection with the performance of its duties.
Disclosures of BIRMC	D 4.5 Adopted	Board Integrated Risk Management Committee report is provided on pages 203 to 204.
D.5 Related Party Transactions Review Committee The Code requires the Board to ensure that a procedure has been established to avoid any conflict of interest that may arise, in transacting with related parties.		
Related parties and related party transactions	D 5.1 Adopted	All related parties and related party transactions are identified in conformity with LKAS 24 and disclosures are made in compliance with regulatory requirements.
Related Party Transactions Review committee	D 5.2 Adopted	The Board has established a Related Party Transactions Review Committee which comprises Non-executive Directors with the majority being Independent Directors and chaired by an independent Non-executive Director. In compliance with CBSL Corporate Governance Direction and Section 9 – Corporate Governance of CSE Listing Rules, the composition of the committee as well as the chairperson of the committee was changed with effect from 1st July 2024.



Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
Related Party Transactions (RPT) Review Committee terms of reference	D 5.3 Adopted	The RPT Review Committee is directed by the Board approved terms of reference which sets out authority and responsibility of the Committee. It has addressed: 1. Ensuring that policies and procedures are in place to review the related parties and related party transactions of the Company in line with LKAS 24, CSE listing rules, Corporate Governance Direction No 5 of 2021 and periodic review of the same. 2. Procedure to identify and report recurrent and non-recurrent related party transactions as defined in the CSE listing rules. 3. A procedure to obtain quarterly statements from each related party including details of their close family members and entities in which the aforementioned parties have control, joint control, significant influence or serve as a KMP. 4. A procedure in place to identify, report, and obtain recommendation of RPTRC and approval of the Board or shareholder where required for recurrent and non-recurrent related party transactions 5. Guidelines are issued for the senior management to follow in transacting and reporting of recurrent related party transactions of revenue nature, and which is necessary for day-to-day operations of the Company and, in the opinion of the Committee, terms are not more favorable to the related party than those generally available to the public. 6. Ensuring that the interested Director or KRP shall not participate in any discussion of proposed related party transactions unless such person is requested to do so by the Committee for the purpose of providing information concerning the related party transaction. 7. Procedures to be followed in a situation where conflicts arise. 8. Reviewing the availability of procedures in making disclosures related to financial reporting and ensuring that it is in accordance with the Code and Sri Lanka Accounting standards. 9. Reviewing and recommending to the Board the related party disclosures to be made in the Annual Report.
D.6 Code of business conduct and ethics		
The Company should develop a Code of Business Conduct and Ethics to be adhered to by all Directors, Key Management Personnel and all other employees including but not limited to: dealing with shares of the Company; compliance with listing rules; bribery and corruption; confidentiality; encouraging that any illegal, fraudulent and unethical behavior be promptly reported to those charged with governance.		
Code of business conduct and ethics	D 6.1 Adopted	Central Finance has developed a Code of Business Conduct for all staff members, which addresses conflict of interest, receiving gifts or any other benefit, accurate accounting and record keeping, corporate opportunities, confidentiality of information, fair dealing, protection and proper use of Company assets including information assets and compliance with applicable laws and regulations including insider trading laws and encouraging the reporting of any illegal or ethical behaviour.

Corporate Governance Report

Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
		The Company also has a Board approved policy applicable to dealing in shares of the Company which is fully compliant with the Listing Rules of the CSE. The Code of Business Conduct and Ethics has been adhered to in all respects by the Directors and Key Management Personnel.
Price sensitive information	D 6.2 Adopted	Communication Policy is in place defining the procedure to identify and report material and price sensitive information in accordance with the relevant regulations.
A process of monitoring and disclosing of share purchases	D 6.3 Adopted	A process is in place to monitor and disclose the purchasing and selling of shares by Directors and Key Management Personnel.
Whistle Blower process	D 6.4 Adopted	The Company has a whistle-blower process in order to deal with complaints received from various stakeholders in relation to non-compliance with the Company's code of business conduct and ethics.
Training on Code of Conduct	D 6.5 and 6.7 Adopted	The process for company wide dissemination of the policy, training arrangements, violations/non compliances (if any) with actions taken are reported to the board on a regular basis through Board Audit Committee. Any exemptions/ waivers from compliance with the code of business conduct and ethics with reasons and timelines should be approved by the Board and were not provided during the year.
Affirmation of the code of conduct and ethics	D 6.7 Adopted	The Communication Policy which includes Code of Conduct and ethics and the procedure for disseminating, monitoring and compliance with the code have been introduced Company wide and the Chairman confirms that he is not aware of any material violations of the Code of Conduct. Disclosures related to this are made on page 122 of the annual report.
D.7 Corporate Governance Disclosures		
The Company should disclose the extent of adoption of best practices in Corporate Governance		
Corporate Governance Report	D 7.1 Adopted	This report satisfies the requirement of the code.
SHAREHOLDERS		
E. INSTITUTIONAL INVESTORS		
E.1 Shareholder voting		
The Code requires the institutional shareholders to make considered use of their votes and encouraged to ensure that their voting intentions are translated into practice.		
Communication with Institutional shareholders	E 1.1 Adopted	The Annual General Meeting is used for effective dialogue with the shareholders on matters which are relevant and of concern to the general membership. The Chairman communicates the views and queries of the shareholders to the Board and Senior Management, in order to ensure that the views are properly communicated and acted upon.



Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
---------------------------------	--------------------------------------	--------------------------

E.2 Evaluation of Governance Disclosures

The Company should encourage institutional investors to give due weightage to all relevant factors drawn to their attention when evaluating the Governance arrangements of the Company.

Evaluation of the Corporate Governance initiatives	E 2 Adopted	When evaluating the Company's Corporate Governance arrangements, institutional investors are encouraged to give due weightage to all relevant factors particularly in the Board structure and composition.
--	----------------	--

F. OTHER INVESTORS

F.1 Investing/Divesting Decisions

The Code requires individual shareholders to carry out adequate analysis or obtain independent advice in investing and divesting decisions.

Other Investors	F 1 Adopted	Individual shareholders are encouraged to carry out adequate analysis or seek independent advice on investing or divesting decisions.
-----------------	----------------	---

F.2 Shareholder Voting

Individual shareholders should be encouraged to participate and exercise their voting rights in General Meetings

Individual shareholders voting	F 2 Adopted	Individual shareholders are encouraged to participate at General Meetings and exercise their voting rights. The Company communicates with all shareholders by ensuring that they are duly informed by dispatching necessary Notices.
--------------------------------	----------------	--

G. INTERNET OF THINGS AND CYBERSECURITY

Prevailing risks related to information security has been taken in to consideration by the Board in formulating a cyber-security risk management policy.

Effective cyber-security risk management process	Principle G.1 - Principle G.5	Prevailing risks related to information security have been taken in to consideration in developing the Information Security Management System Policy which includes a robust cyber-security risk management process, incident response system, disaster recovery plan and governance structure to monitor effective implementation and reporting.
--	----------------------------------	---

H. ENVIRONMENT, SOCIETY AND GOVERNANCE (ESG)

H.1 ESG Reporting

ESG factors create long-term stakeholder value by embracing opportunities, managing risks derived from economic, environmental and social developments and their potential implications and impacts on the business activities of the entity.

ESG reporting is the practice of recognizing, measuring, disclosing and being accountable to all stakeholders for organizational performance towards the goals of sustainable development in the context of the overall business activities and strategy of the entity. Hence, the Code requires to maintain Policies and Procedures to develop a sustainable business environment and make adequate disclosures in this regard in the Annual Report.

Corporate Governance Report

Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
Information on ESG reporting & Recognize, prioritize, and effectively engaging key stakeholders	H 1.1 – H 2.1 Adopted	The Board considers Sustainability/ESG-related risks and opportunities in the Company's business model, short and medium term planning and in its long-term strategy that could reasonably be expected to affect the Company's prospects. The Board and the KMPs engage with and consider the views of its stakeholders to better understand and manage the Company's Sustainability/ESG-related risks and opportunities and have adopted Environment, Social and Governance Policy in the year 2024/25. To support the implementation of ESG policy and framework , Sustainability Management Steering Committee (SMSC) was established as a management level Committee. Please refer the "ESG focus Report" on pages 56 to 58, "Social and Relationship Capital" on pages 90 to 97 and "Natural Capital Report" on pages 106 to 108 for more details.
Governance Framework	H 3 Adopted	CF adopted Environment, Social and Governance Policy and formed the management level Committee, Sustainability Management Steering Committee (SMSC) chaired by Chief Executive Officer for the purpose of monitoring ESG risks and opportunities and implementation of ESG strategy. The Committee reports to the Board of Directors through the Board of Management. Environmental Governance The Company actively promotes energy conservation, invests in renewable energy through rooftop solar systems, and encourages employee awareness on responsible resource use. Guided by cross-functional collaboration, CF's environmental efforts support climate action, pollution prevention, and the efficient use of resources in line with responsible corporate citizenship. Please refer the "Natural Capital Report" on pages 106 to 108 for more details on the management approach for value transformation. Social Governance CF adopts a holistic approach to social governance, fostering meaningful engagement with customers, employees, suppliers, and the wider community. The Company has implemented structured mechanisms such as customer feedback systems, complaint handling process, and financial literacy initiatives to enhance service quality, inclusivity, and customer experience. Partnerships like the one with National Credit Guarantee Institution Limited underscore CF's commitment to supporting underserved segments, including SME sector. CF had progressed into social initiatives by collaborating with the Sri Lanka Cancer Society (SLCS) and Sisu Athwela Programme. Supplier relationships are strengthened through practices such as expedited payments, while employee-focused policies ensure fairness, equal opportunity, and continuous development.



Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
		CF also prioritizes community upliftment through education and outreach, reinforcing its role as a responsible corporate citizen aligned with sustainable development goals. Please refer the "Social and Relationship Capital" on pages 90 to 97 for more details.
Value Creation	H 4 Adopted	The governance framework of the Company was extended to include the Sustainability Management Steering Committee (SMSC) which was established as a management level Committee and this committee is supporting the Company to assess the impact of sustainability/ESG risks and opportunities in its business plans, strategic plans and information.
Annual Report Disclosures and Board's role on ESG	H 5 Adopted	The Annual Report contains information which enables investors and other stakeholders to assess how ESG risks and opportunities are recognised, managed, measured and reported as described under following sections of the Annual Report. ● ESG focus Report" on pages 56 to 58 ● Natural Capital" on pages 106 to 108 ● Social and Relationship Capital on Pages 90 to 97 This Annual Report has been prepared in accordance with an International Framework. Sustainability/ESG reporting is the Board's responsibility, and it is designed to add value by providing a credible account of the Company's economic, social and environmental impacts.
I . Special Considerations for Listed Entities		
Establishment and Maintenance of Policies		
The Company has established and maintains governance related policies and discloses their existence, along with details of their implementation, on its website.		
Published Policies	I 1.1 to I 1.1.4	Policies relating to governance are maintained by the Company and details of such policies are hosted in the Company website. A list of such policies and the web reference is given below; ● Board Charter ● Policy on Board Sub-Committees ● Policy on Corporate Governance, Nominations and Re-Election of Key Responsible Persons ● Remuneration Policy ● Policy on Internal Code of Business Conduct and Ethics for all Directors and Employees and Policy on Trading in the Company's Listed Securities ● Risk Management and Internal Control Policy ● Policy on Relations with Shareholders and Investors ● Environmental, Social and Governance Sustainability Policy

Corporate Governance Report

Corporate Governance Principles	CASL Code Reference/ Adoption Status	Extent of Adoption by CF
		● Policy on Control and Management of Company Assets and Shareholder Investments ● Policy on Corporate Disclosures ● Whistle Blowing Policy ● Anti-Bribery and Anti-Corruption Policy There has not been any waivers/exemptions provided for compliance with the internal code of business conduct and ethics during the financial year.
Policy on Matters relating to the Board of Directors	I 1.2	The Company has established and maintains a Board Charter governing matters relating to the board of directors which comply with the regulatory requirements.

SECTION THREE

COMPLIANCE UNDER SECTION 9 OF THE RULES OF THE COLOMBO STOCK EXCHANGE ON CORPORATE GOVERNANCE

CSE issued Section 9 of the listing rules of the Colombo Stock exchange on 11th September 2023 and the revised Corporate Governance requirements including the related party transactions have been consolidated and incorporated as Section 9.

The rules came in to effect from 01 October 2023.

CSE Rule Reference	Applicable Requirement	Level of Compliance
9.1	Corporate Governance Rules	
	Statement confirming the extent of compliance with the corporate governance rules	Complied with Section 3 of the Corporate Governance report provides the extent of compliance with CSE Listing rules.
9.2	Policies	
9.2.1 9.2.3 9.2.4	Establish, maintain and disclose of Company policies	The following policies and procedures are currently in place at the Company. ● Board Charter ● Policy on Board Sub-Committees ● Policy on Corporate Governance, Nominations and Re-Election of Key Responsible Persons ● Remuneration Policy ● Policy on Internal Code of Business Conduct and Ethics for all Directors and Employees and Policy on Trading in the Company's Listed Securities ● Risk Management and Internal Control Policy ● Policy on Relations with Shareholders and Investors



CSE Rule Reference	Applicable Requirement	Level of Compliance
		● Environmental, Social and Governance Sustainability Policy ● Policy on Control and Management of Company Sssets and Shareholder Investments ● Policy on Corporate Disclosures ● Whistle Blowing Policy ● Anti-Bribery and Anti-Corruption Policy The Company policies are fully aligned with the requirements of section 9.2.1 and disclosures have been made on such policies on the Central Finance Company PLC official website.
9.2.2	Waivers and exemptions	Complied with There were no such waivers or exemptions granted during the year under review.
9.3	Board Committees	
9.3.1	Establishing and maintaining Board Committees	Complied with Following Board Sub-committees are established and functioning effectively as of the year end. a. Nominations and Governance Committee b. Human Resources and Remuneration Committee c. Board Audit Committee d. Related Party Transactions Review Committee. e. Board Integrated Risk Management Committee
9.3.2	Board Composition, responsibilities and disclosures	Complied with The Company complies with the composition and responsibilities of Board Sub Committees with effect from 1st October 2024. Please refer the Board Sub Committee reports from page 197 to 207.
9.3.3	Chairperson of Board Committees	The Chairperson of the Board of Directors of the Company is not the Chairperson of the Board Sub Committees referred to in Section 9.3.1 above with the re-constitution of the board sub-committees with effect from 1st July 2024.
9.4	Adherence to principles of democracy in the adoption of meeting procedures and the conduct of all General Meetings with shareholders	
9.4.1	Records of General meetings	Complied with The Company maintains records of all resolutions which are being considered at the Annual General Meeting with information specified in 9.4.1 of listing rules. These records are maintained with the Company Secretary and copies can be provided upon request by the Exchange and/or the SEC.

Corporate Governance Report

CSE Rule Reference	Applicable Requirement	Level of Compliance
9.4.2	Communication and relations with shareholders and investors	Complied with Board approved Communication Policy is in place (Policy on Relations with Shareholders and Investors) for maintaining an effective communication and relations with shareholders and investors and existence of the same is disclosed in the Annual Report and the website of the Company. The Company Secretary is identified as the contact person for such communication and contact details are disclosed in the Annual report and Company Website. Major issues or concerns of shareholders/investors which require the attention of Directors are brought to the attention of the Board by the CEO or Company Secretary and the Policy on Relations with Shareholders and Investors covers this aspect. The shareholder meetings were conducted physically during the year under review.
9.5	Policy on matters relating to the Board of Directors	
9.5.1 9.5.2	Compliance with matters related to Board of Directors	Complied with The Company Board Charter which is in place governs matters relating to the Board of Directors. The provisions referred in (a), (c) to (j) of this rule are incorporated to the Board Charter and complied with.
9.6	Chairperson and CEO	
9.6.1 9.6.3	Roles of Chairperson and CEO	Complied with The roles of the Chairperson and CEO are distinct, and they are defined in the Board charter. The Chairman of the Board is an Independent Non-executive Director as of 31st March 2025 There was no requirement for the appointment of a Senior Independent Director during the financial year. Subsequent to the year end, Mr. A.D.B. Talwatte retired as the Chairman of the Board with effect from 30 April 2025 on reaching age of 70 years in compliance with section 4.2 of the Finance Business Act Direction No. 5 of 2021 on Corporate Governance and Mr. A.R. Fernando, Non Independent Non-Executive Director of the Board was appointed as the Chairman with effect from 1st May 2025. Mr. M. H. de Silva, Independent Non-Executive Director was appointed as the Senior Director of the Board with effect from 1st May 2025 in compliance with Central Bank Corporate Governance Direction and a market announcement was made on 28th April 2025.



CSE Rule Reference	Applicable Requirement	Level of Compliance
9.7	Fitness of Directors and CEOs	
9.7.1 To 9.7.5	Fit and proper assessment	Complied with All Director appointments are based on recommendations of the Nominations and Governance Committee on the fitness and propriety of each of the Directors. The Company has obtained Annual declarations from Directors as per the criteria detailed in rule No.9.7.3 confirming that they have satisfied these criteria during the year under review.
9.8	Board Composition	
9.8.1 to 9.8.5	Composition requirements	Complied with The Board consists of 10 Directors which include 5 Independent Directors satisfying the criteria set out under listing rules 9.8.3. The composition of the Board has changed during the year as follows. ● Mr. E. H. Wijenaike retired from the position of Managing Director/Chief Executive Officer/Executive Director of the Company with effect from 30th June 2024 and was re-appointed as a Non-independent Non-executive Director with effect from 1st July 2024, in terms of the provision under section 3.5(b) of the Finance Business Act Direction No. 05 of 2021 on Corporate Governance ● Mr. A. K. Gunaratne who was the Deputy Managing Director was appointed as the Managing Director/Chief Executive Officer and Mr. D.P. de Silva, who was the Chief Operations Officer, was appointed as the Deputy Managing Director of the Company with effect from 1st July 2024, in accordance with the Company's succession plan. ● Mr. C. S. Hettiarachchi (Executive Director / Director Corporate Affairs) stepped down from the Board of the Company with effect from 30th June 2024 and was re-designated as Director Legal (Non-Board) with effect from 1st July 2024 in order to comply with the requirements under section 3.5(a) of Finance Business Act Direction No. 05 of 2021 on Corporate Governance ● Mr. M. S. De Saram was appointed as an Independent Non-Executive Director on the Board of Directors of Central Finance Company PLC with effect from 1st July 2024. Subsequent to the year end, Mr. A.D.B. Talwatte retired as the Chairman of the Board with effect from 30 April 2025 on reaching age of 70 years and Mr. A.R. Fernando, Non Independent Non-Executive Director of the Board was appointed as the Chairman with effect from 1st May 2025. Mr. M. H. de Silva, Independent Non-Executive Director was appointed as the Senior Director of the Board with effect from 1st May 2025. In order to fill the casual vacancy arising from the retirement of Mr. A.D.B. Talwatte, Ms. S.H Munasinghe was appointed to the Board of Directors as an Independent Non-Executive Director with effect from 01st May 2025.

Corporate Governance Report

CSE Rule Reference	Applicable Requirement	Level of Compliance
		The Board reviews the independence of Non-executive Directors on an annual basis and as and when circumstances change, based on the self-declaration. The Company has revised the criteria for determining independence of a Director taking into account the section 9.8.3 of the listing rules. Signed independence declarations were submitted by all five Independent Directors. There were no changes to the independence status of individual Directors during the financial year. Profiles of the Board of Directors are given on pages 32 to 34.
9.9	Alternative Director	
9.9.1	Appointment of Alternate Directors	There were no Alternative Directors appointed during the year.
9.10	Disclosures relating to Directors	
9.10.1	Maximum number of Directorships a Board member is permitted to hold	Complied with The Company has stipulated the maximum number of Directorships a Board member is permitted to hold in its Board Charter and all the Directors have complied with that requirement during the year. Names of other Companies in which the Director/CEO concerned serves as a Director and whether in an executive or non-executive capacity is disclosed on pages 129 to 131
9.10.2	Appointment of a new Director	Complied with During the year Mr. M. S. De Saram was appointed as an Independent Non-Executive Director on the Board of Directors of Central Finance Company PLC with effect from 1st July 2024. Market Announcement was made on 1 July 2024. This announcement included the brief resume of the Director, his capacity of directorship and statement by the Company indicating that this appointment has been reviewed by the Nominations and Governance Committee of the Company.
9.10.3	Changes to the composition of the Board Committees	Complied with As recommended by the Nominations and Governance Committee at their meeting held on 25th March 2024, changes to the composition of the board sub-committees were proposed, to comply with the regulatory requirements under the Finance Business Act Direction No 5 of 2021 and Listing Rules of the Colombo Stock Exchange Section 9 – Corporate Governance, with effect from 01 July 2024. The market announcement regarding this change was made on 13th June 2024 containing the details of changes including the capacity of directorship with the effective date thereof. Additionally, Mr. M.S. De Saram was appointed to the Board Audit committee, Board Integrated Risk Management Committee (BIRMC) and Related Party Transactions Review Committee (RPTRC) effective from 1st August 2024. The market announcement was made on 25th July 2024 regarding this change.



CSE Rule Reference	Applicable Requirement	Level of Compliance
9.10.4	Details relating to Directors disclosed in the Annual Report	Complied with Profiles of the Directors are disclosed from pages 32 to 34 of this report. There is no material business relationships by either the Director or close family member with other Directors of the Listed Entity; Total number and names of companies in Sri Lanka in which the Director concerned serves as a Director and/or Key Management Personnel indicating whether such companies are listed or unlisted Companies and whether such Director functions in an executive or non-executive capacity is disclosed on pages 129 to 131 of the Annual Report. Attendance details of the Directors for the Board and Board Sub Committees are disclosed on page 196 of this report. The Board has appointed Mr. M.H de Silva as the Senior Independent Director (SID) of the Board with effect from 01 May 2025 considering the fact that the Chairman is a Non-independent Director. The position of SID is governed under a TOR which is in place with the intention of ensuring a greater independent element. The profile of the SID is given on pages 33 to 34 of the Annual Report.
9.11	NOMINATIONS AND GOVERNANCE COMMITTEE	
9.11.1 to 9.11.6	Nominations and Governance Committee	Complied with. Nominations and Governance Committee is in place. During the year the composition and the scope of the Committee was improved to be fully compliant with section 9 of Listing Rules of the Colombo Stock Exchange – Corporate Governance. Functions of the Committee are described in the Board approved TOR which is in line with applicable governance requirements. Initially, the Committee comprised four Non-Executive Directors of which three Directors were independent. After re-constitution of the Nominations and Governance Committee with effect from 1st July 2024, the Committee comprises five Non-executive Directors out of which three are Independent. The Chairperson of the Committee is an Independent Non-Executive Director. Pursuant to the retirement of Mr. A.D.B. Talwatte, Mr. A.R. Fernando has been appointed as the Chairman of the Board with effect from 1st May 2025 and both Mr. A.D.B. Talwatte and Mr. A.R. Fernando ceased to be members of the Nominations & Governance Committee. Mr. K.B. Herath (Independent Non-Executive Director) and Mr. M.S. De Saram (Independent Non-Executive Director) have been appointed to the Nomination & Governance Committee with effect from 1st May 2025 & complied with the composition requirements in 9.11.4 Nominations and Governance Committee Report is published on pages 197 to 198 of this Annual Report covering disclosure requirements.

Corporate Governance Report

CSE Rule Reference	Applicable Requirement	Level of Compliance
9.12	HUMAN RESOURCES AND REMUNERATION COMMITTEE	
9.12.1 to 9.12.7	Requirements for the Human Resources and Remuneration Committee	Complied with The Board appointed Human Resources and Remuneration Committee is in place with written terms of reference defining its scope, authority, duties and matters pertaining to the quorum of meetings. The Committee makes recommendations to the Board regarding the remuneration packages for the CEO, Executive Directors, and senior members of the management team. External professional advice is obtained where necessary. This Committee is responsible for formulating a compensation Policy for senior management. Their role encompasses ensuring the efficient execution of this Policy and providing recommendations to the Board regarding the remuneration packages for the CEO, Executive Directors, and senior members of the management team. The Human Resources and Remuneration Committee has established and maintains a formal and transparent procedure for developing a policy on Executive Directors' remuneration and for fixing the remuneration. A separate policy is in place for Remuneration of Non-Executive Directors complying with the direction requirements. Non-executive Directors receive fees for their service on the Board and its Sub-Committees. The fee structure is periodically reviewed and updated by the entire Board. No Director gets involved in fixing his/her own remuneration. Initially, the Committee comprised three Non-Executive Directors of which two Directors were independent. After re-constitution of the Committee with effect from 1st July 2024, the Committee comprises solely Non-Executive Directors, with a majority (3 out of 5) being Independent Directors. The Chairman of the Committee is also an Independent Non-Executive Director. Pursuant to the retirement of Mr. A.D.B. Talwatte, Mr. A.R. Fernando has been appointed as the Chairman of the Board w.e.f. 1st May 2025 and both Mr. A.D.B. Talwatte and Mr. A.R. Fernando ceased to be members of the Human Resource & Remuneration Committee. Mr. M.S. De Saram (Independent Non-Executive Director) has been appointed to the Human Resource & Remuneration Committee w.e.f. 1st May 2025 Human Resources and Remuneration Committee Report is published on page 201 of this Annual Report.
9.12.8	Other Disclosure requirements	Complied with
	The aggregate remuneration of the Executive and Non-Executive Directors.	The aggregate remuneration of the Executive and Non-Executive Directors are disclosed in note 18 on page 291 of this report.



CSE Rule Reference	Applicable Requirement	Level of Compliance
9.13	BOARD AUDIT COMMITTEE	
9.13.1 to 9.13.5	Requirements for the Audit Committee	Complied with The Company currently has two separate committees in operation as Board Audit Committee and Board Integrated Risk Management Committee. Functions performed by the Board Integrated Risk Management Committee are described on pages 203 to 204. Initially, the Board Audit Committee comprised three Non-Executive Directors out of which two were Independent. With the appointment of Mr. M.S. De Saram (Independent Non-Executive Director) from 1 August 2024 the composition of the Board Committee has changed to four Non-Executive Directors, out of which three are independent. Chairman of the committee is an Independent Non-Executive Director. Profiles of the Directors are given on pages 32 to 34 and attendance details are available on page 196. Pursuant to the retirement of Mr. A.D.B. Talwatte, Mr. A.R. Fernando was appointed as the Chairman of the Board with effect from 1st May 2025 and ceased to be a member of the Board Audit Committee. Ms. S.H. Munasinghe (Independent Non-Executive Director) has been appointed to the Board Audit Committee with effect from 1st May 2025. MD/CEO has attended all Board Audit Committee meetings as an invitee with effect from 1st July 2024. Prior to that MD/CEO was present at Board Integrated Risk Management Committee meetings while DMD attended all Board Audit Committee meetings. GM-Finance was also invited for all Board Audit committee meetings. In addition, other Senior Members of the Management team were also invited time to time for the meeting as required. An Audit Committee Charter is in place covering the scope, authority and duties of the committee. During the year there were 8 committee meetings satisfying the meeting frequency requirements under Central Bank Directions. The quorum of the meeting was satisfied at each meeting. Functions of the Committee are described under the Audit Committee Charter in compliance with section 9.13.4 (1) and the charter was last updated in March 2025. Functions handled by BIRMC are covered under the TOR of that committee as described. Board Audit Committee report included on pages 205 to 207 complies with disclosure requirements under section 9.13 relating to functions and disclosures in the annual report relating to the Board Audit Committee.

Corporate Governance Report

CSE Rule Reference	Applicable Requirement	Level of Compliance
9.14	RELATED PARTY TRANSACTIONS REVIEW COMMITTEE	
9.14.1 to 9.14.10	Requirements of Related Party Transactions Review Committee.	Complied with. Related Party Transactions Review Committee (RPTRC) is in place to oversee matters relating to related party transactions. The Committee has established and maintains a clear policy, procedure, and process for identifying, clarifying, and reporting related party transactions across the entity's operations. The RPTRC is directed by the Board approved terms of reference which sets out authority and responsibility of the Committee. RPTRC meetings are held on a quarterly basis and minutes are forwarded to the Board. Initially, RPTRC Committee comprised three Independent Non-Executive Directors and two Executive Directors, and majority were Independent. After re-constitution of the Committee with effect from 1st July 2024, the Committee comprised four Non-executive Directors out of which three are independent. Chairperson of the Committee is an independent Director. Pursuant to the retirement of Mr. A.D.B. Talwatte, Ms. S.H. Munasinghe (Independent Non-Executive Director) has been appointed to the Related Party Transactions Review Committee with effect from 1st May 2025. The related party transactions are being currently reviewed and recommended by RPTRC in compliance with Company related party transactions policy and procedure subject to exemptions stated in 9.14.10. The RPTRC has issued guidelines for the senior management to follow in transacting and reporting of recurrent related party transactions of revenue nature, and which is necessary for day-to-day operations of the Company and, in the opinion of the Committee, terms are not more favorable to the related party than those generally available to the public. No non-recurrent related party transactions or specified transactions requiring shareholder approval through a special resolution were observed during the year. However, the Company will ensure compliance with the requirements. The Related Party Transactions Review Committee obtains competent independent professional and experts advice, to assess related party transactions, if necessary. Please refer page numbers 199 to 200 of the annual report for Related Party Transactions Review Committee report



CSE Rule Reference	Applicable Requirement	Level of Compliance
9.16	Disclosures	
	Declarations by the Board of Directors to be included in the Annual Report	Complied with The additional Disclosures required by Rule No. 9.16 (i) and (iii) have been made in the Annual Report of Board of Directors on page 215 to 223. Directors' Statement on Internal Control over Financial Reporting given on 209 to 211 provides disclosures relating to 9.16 (ii) and 9.16 (iv).
9.17	Enforcement procedure for non-compliance with corporate governance requirements	Not applicable

Corporate Governance Report

MEETINGS

In 2024/25, Thirteen (13) Board Meetings were scheduled and individual attendance by Directors at these meetings and at Sub-Committee meetings is shown in the following table. Attendance for Board Sub-Committees is recorded based on membership.

Names	Directorship Status	Board	Chairman's meeting with Non-executive Directors	Board Audit Committee	Board Integrated Risk Management Committee	Human Resources and Remuneration Committee	Nominations and Governance Committee	Related Party Transactions Review Committee
Number of meetings held		13	2	08	05	1	2	4
Mr. A.D.B. Talwatte ⁷	Chairman/ Independent Non-executive Director	13/13	2/2	-	-	1/1	2/2	4/4
Mr. A.K. Gunaratne	Managing Director/ Chief Executive Officer	13/13	-	-	1/1 ⁶	-	-	1/1 ⁴
Mr. D.P. de Silva	Deputy Managing Director	13/13	-	-	1/1 ⁶	-	-	-
Mr. E.H. Wijenaike ¹	Non-executive Director	13/13	2/2	-	1/1 ⁶	1/1	2/2	3/4
Dr. (Mrs.) A.D.N. de Zoysa	Independent Non-executive Director	13/13	2/2	8/8	5/5	1/1	2/2	3/3 ⁵
Mr. A.R. Fernando ⁷	Non-executive Director	13/13	2/2	8/8	5/5	1/1	2/2	-
Mr. C.K. Hettiarachchi	Executive Director (Director Marketing)	13/13	-	-	1/1 ⁶	-	-	-
Mr. K.B. Herath	Independent Non-executive Director	13/13	2/2	-	5/5	1/1	-	4/4
Mr. M.H. de Silva	Independent Non-executive Director	13/13	2/2	8/8	5/5	-	2/2	1/1 ⁴
Mr. M.S. De Saram ²	Independent Non-executive Director	8/10	1/2	6/6	4/4	-	-	3/3
Mr. C.S. Hettiarachchi ³	Executive Director (Director Corporate Affairs)	3/3	-	-	1/1 ⁶	-	-	-

1. Mr. E.H. Wijenaike retired from the position of Managing Director/Chief Executive Officer/Executive Director of the Company with effect from 30th June 2024 and re-appointed as a Non-independent Non-executive Director with effect from 1st July 2024,
2. Mr. M.S. De Saram was appointed to the BAC, BIRMC and RPTRC w.e.f. 1 August 2024
3. Mr. C. S. Hettiarachchi (Executive Director / Director Corporate Affairs) stepped down from the Board of the Company with effect from 30th June 2024 and was re-designated as Director Legal (Non-Board) with effect from 1st July 2024 in order to comply with the requirements under section 3.5(a) of Finance Business Act Direction No. 05 of 2021 on Corporate Governance.
4. Mr. A.K. Gunaratne and Mr. M.H. de Silva were members of the Related Party Transactions Review Committee until 30th June 2024.
5. Dr. (Mrs.) A.D.N. de Zoysa appointed as a member and Chairperson of Related Party Transactions Review Committee with effect from 1st July 2024
6. Executive Directors were members of the Board Integrated Risk Management Committee until 30th June 2024.
7. Mr. A.D.B. Talwatte retired as the Chairman of the Board with effect from 30 April 2025 and Mr. A.R. Fernando, Non Independent Non-Executive Director of the Board was appointed as the Chairman of the Company w.e.f. 1 May 2025.



NOMINATIONS AND GOVERNANCE COMMITTEE REPORT

The Nominations and Governance Committee (the “Committee”) appointed by the Board of Directors is responsible for making recommendations to the Board on all new appointments to the Board, Board sub-committees and Key Responsible Personnel (KRPs). The Committee also reviews the succession plan of the Board and KRPs to ensure its adequacy to meet the Company's requirements.

The composition and scope, as given below, is in line with the Committee's Policy and Terms of Reference.

COMPOSITION

The Committee comprises Non-Executive Directors the majority of whom are independent.

Mr. A. D. B. Talwatte
(Independent Non-Executive Director, appointed on 1st July 2020, functioned as the Chairman of the Committee til 30th June 2024 and retired on 30th April 2025)

Dr. (Mrs.) A. D. N. de Zoysa
(Independent Non-Executive Director, appointed on 1st July 2020 and Chairperson from 1st July 2024)

Mr. A. R. Fernando
(Non-Executive Director, appointed on 1st July 2020 till 30th April 2025)

Mr. M. H. de Silva
(Independent Non-Executive Director, appointed on 1st July 2020)

Mr. E.H. Wijenaike
(Non-Executive Director, appointed on 1st July 2024)

Pursuant to the retirement of Mr. A.D.B. Talwatte, Mr. A.R. Fernando has been appointed as the Chairman of the Board with effect from 1st May 2025 and both Mr. A.D.B. Talwatte and Mr. A.R. Fernando ceased to be members of the Committee. Mr. K.B. Herath (Independent Non-Executive Director) and Mr. M.S. De Saram (Independent Non-Executive Director) have been appointed to the Committee with effect from 1st May 2025.

The Company Secretary functions as the Secretary to the Committee.

SCOPE

The Committee ensures that:

- Board approved processes are followed for the nomination, appointment and re-election of Directors.
- Regular review of the skills, competency, diversity, age and experience of the Board and Key Management positions are conducted, in order to ensure that adequate expertise is available at the corporate management level.
- Board and Key Management are fit and proper persons to hold office as required by the Central Bank of Sri Lanka and the Colombo Stock Exchange.
- Regular review of the succession plan for the Board and KRPs is conducted with a view of providing recommendations and advice to the Board regarding such appointments.
- Periodic evaluations are conducted on the performance of the Board, CEO and Senior Management.

No member of the Committee participates in deliberations relating to his or her own appointment.

COMMITTEE MEETINGS

The Committee met twice during the year ended 31st March 2025, on 17th January 2025 and 25th March 2025. Details of attendance are given on page 196.

ACTIVITIES IN 2024/25

In discharging the duties and responsibilities vested in the Committee, the following activities were completed:

1. All Non-Executive Directors completed a declaration regarding their independence or non-independence, as prescribed in the Listing Rules of the Colombo Stock Exchange (CSE) and the Committee made a determination as to their independence.
2. All Directors completed affidavits, as prescribed in the Directions issued by the Central Bank of Sri Lanka, for the annual assessment of their fitness and propriety to continue on the Board.

3. All Directors completed a declaration of fitness and propriety, as required by the Listing Rules of the CSE and the Committee made a determination as to their fitness and propriety.
4. Reviewed and recommended the policies required under the Listing Rules of the CSE, which have also been published on the Company's website since 1st October 2024.
5. Reviewed and recommended the succession plan for the Board and KRPs.
6. Reviewed and recommended the following changes to the Board –
 - (i) The retirement of Mr. E.H. Wijenaike as the Managing Director, the appointment of Mr. A.K. Gunaratne as the Managing Director and the appointment of Mr. D.P. de Silva as the Deputy Managing Director, in terms of the Company's succession plan.
 - (ii) The appointment of Mr. E.H. Wijenaike as a Non-Independent Non-Executive Director and the extension of his services upon reaching the age of 70 years.
 - (iii) The cessation of Mr. C.S. Hettiarachchi as an Executive Director, in order to comply with the Directions issued by the CBSL and re-designation as Director – Legal (Non-Board).
 - (iv) The appointment of Mr. M.S. De Saram as an Independent Non-Executive Director.
 - (v) The retirement of Mr. A.D.B. Talwatte, the appointment of Mr. A.R. Fernando as the Chairman and the appointment of Mr. M.H. de Silva as the Senior Director.
 - (vi) The appointment of Ms. S.H. Munasinghe as an Independent Non-Executive Director.
 - (vii) The retirement of Dr. (Mrs.) A.D.N. de Zoysa with effect from 30th May 2025; and
 - (viii) The appointment of Dr. (Ms.) N.K. Arunatilake as an Independent Non-Executive Director, with effect from 01st June 2025.

Nominations and Governance Committee Report

The committee recommended the re-election of Mr. E.H. Wijenaike, who retires by rotation in terms of the provisions in the Company's Articles of Association; and his reappointment as a director upon reaching the age of 70 years, in terms of section 210 of the Company's Act No 07 of 2007. The committee also recommended the re-election of Mr. M.S. De Saram, who was appointed to fill a casual vacancy on the Board during the financial year 2024/25, and the re-election of Ms. S.H. Munasinghe and Dr. (Ms.) N.K. Arunatilaka, who have been appointed on 1 May 2025 and 1 June 2025 respectively, to fill casual vacancies on the Board subsequent to the financial year end but prior to the Annual General Meeting. The Committee ensures that all directors submit themselves for re-election at regular intervals and at least once in every 3 years in accordance with the provisions of the Company's Articles of Association.

The information regarding directors who being proposed for re-election during the year is tabulated below.

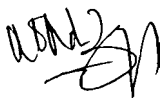
Name of Directors proposed to be re-elected during the year	Board Committees served on:	Date of first appointment as a Director:	Directorships and other principal commitments	
Mr. E.H. Wijenaike	Related Party Transactions Review Committee Nominations and Governance Committee Human Resources and Remuneration Committee	1st July 2024 (as a Non-Executive Director). (Managing Director from 1st April 1996 – 30th June 2024).	Refer Director's profile on page 32	None of the directors have any relationships including close family relationships with the directors, the Company or its shareholders holding more than 10% of the shares of the Company.
Mr. M.S. De Saram	Board Audit Committee Board Integrated Risk Management Committee Related Party Transactions Review Committee Nominations and Governance Committee (with effect from 01st May 2025).	1st July 2024	Refer Director's profile on page 34	
Ms. S.H. Munasinghe	Board Audit Committee Board Integrated Risk Management Committee Related Party Transactions Review Committee	1st May 2025	Refer Director's profile on page 34	
Dr. (Ms.) N.K. Arunatilake	To be appointed with effect from 1st June 2025.		Director of Research at the Institute of Policy Studies of Sri Lanka. Board of Trustees of the Dialog Foundation. Research Fellow at the Partnership for Economic Policy. Research Associate at CEQ Institute, Tulane University, New Orleans, USA.	

Meetings on the Non-executive Directors are held at least bi-annually and all directors are kept informed of any major issues relating to the Company.

Induction programmes have been conducted for newly appointed directors where they are updated on the requirements relating to Corporate Governance, the Listing Rules, Securities Market Regulation and other applicable laws and regulations

COMMITTEE EVALUATION

An annual evaluation of the Committee was carried out with contributions from individual members. A summary of the evaluation of the Committee was forwarded to the Board.



Dr. (Mrs.) A.D.N. De Zoysa

Chairperson

Nominations and Governance Committee

Colombo
28th May 2025



RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

Related Party Transactions Review Committee (RPTRC) is a board appointed Sub-Committee. The Committee has been established in compliance with the Section 9.14 of the Listing Rules of the Colombo Stock Exchange and Section 10.1 and 12 of the Finance Business Act Direction No 05 of 2021 - Corporate Governance.

The objective of the Committee is to review related party transactions either prior to the transaction being entered into or if the transaction is expressed to be conditional on such review, prior to the completion of the transaction in compliance with the aforesaid regulations.

COMPOSITION OF THE COMMITTEE

The Committee comprised solely Non-Executive Directors of the Company of which a majority were Independent Directors of the Company w.e.f. 1st July 2024 in compliance with the Finance Business Act Direction No 05 of 2021 - Corporate Governance. Prior to that the Committee comprised a combination of Non-Executive and Executive Directors.

The members of the RPTRC are as follows:

Dr. (Mrs.) A.D.N. de Zoysa
(Independent Non- Executive Director/
appointed as a member and Chairperson
of the Committee w.e.f. 1st July 2024)

Mr. A.D.B. Talwatte
(Independent Non-executive Director/
functioned as Chairman of the Committee
until 30th June 2024 & continued as
member of the Committee w.e.f. 1st July
2024)

Mr. K.B. Herath
(Independent Non-executive Director)

Mr. E.H. Wijenaike
(Non-Independent Non-Executive
Director w.e.f. 1st July 2024/ Managing
Director up to 30th June 2024)

Mr. M.S. De Saram
(Independent Non- Executive Director/
appointed as a member of the Committee
w.e.f. 1st August 2024)

Mr. M.H. De. Silva
(Independent Non-executive Director,
functioned as a member until 30th June
2024)

Mr. A.K. Gunaratne
(Deputy Managing Director, functioned as
a member up until 30th June 2024)

Pursuant to the retirement of Mr. A.D.B. Talwatte, Ms. S.H. Munasinghe (Independent Non-Executive Director) has been appointed to the Related Party Transactions Review Committee with effect from 1st May 2025.

The Chief Financial Officer functions as the Secretary to the Committee.

COMMITTEE MEETINGS

Committee meetings were held on a quarterly basis. The RPTRC met four times during the current financial year to review related party transactions and communicated their comments, observations and recommendations to the Board of Directors through the minutes of the committee meetings and discussions at Board meetings.

Details of individual member attendance at the meetings are given on page 196.

Policies and Procedures adopted by the Committee.

- The Committee identifies Key Responsible Personnel (KRPs) and entities that are related to the reporting entity in compliance with LKAS 24 - Related Party Disclosure, CSE Listing Rules - Section 9.14 and Section 12.2 of the Finance Business Act Direction No 05 of 2021 - Corporate Governance

- The Committee reviews the list of related parties identified through quarterly declaration statements obtained from Directors and Key Responsible Personnel (KRPs) to ensure that information pertaining to all related parties are captured and reviewed in accordance with the applicable rules.
- The Committee formulates written policies, procedures and guidelines in accordance with rules and regulations governing related party transactions. The Committee reviewed the "Terms of Reference" and "Related Party Transaction Policy & Procedure" taking in to consideration the provisions of the CSE Listing Rules - Section 9, Corporate Governance Direction No. 05 of 2021 issued by Central Bank of Sri Lanka, Code of Best Practices on Corporate Governance 2023 issued by CA Sri Lanka and adopted by the Board.
- The Committee establishes guidelines for the senior management to follow in their dealings with related parties in respect of transacting & reporting of recurrent related party transactions.
- The Committee reviews and recommends related party transactions as per the Company's Related Party Transaction Policy & Procedure for the approval of the Board of Directors.
- The Committee reviews inter-company transactions with related entities and transactions with related individuals for compliance with the rules and Committee's guidelines through management quarterly reporting of related party transactions. The review is conducted through benchmarking against the terms & conditions offered to comparable non-related party transactions.

Related Party Transactions Review Committee Report

- The Committee ensures that no director or key responsible personnel participates in the discussion of any proposed related party transactions unless such person is requested to do so by the Committee for the purpose of obtaining information concerning the related party transaction.
- The Committee also ensures that immediate market disclosure, shareholder approval and annual report disclosure of any related party transactions are made in accordance with the applicable rules of the Colombo Stock Exchange.
- The Committee conducted a self-evaluation of its performance for the year 2024/25 and concluded that it has effectively fulfilled its responsibilities in accordance with its Terms of Reference.

DECLARATION BY THE BOARD OF DIRECTORS

During the year, the Company did not have any related party transactions which required the approval of the shareholders or immediate market disclosure under the CSE Listing Rules.

The related party transactions and details are disclosed in note 59 on pages 358 to 363 of the financial statements.



Dr. (Mrs.) A.D.N. De Zoysa

Chairperson

*Related Party Transactions Review
Committee*

Colombo
28th May 2025



HUMAN RESOURCES AND REMUNERATION COMMITTEE REPORT

The Human Resources and Remuneration Committee appointed by the Board of Directors is responsible for establishing the Company's compensation policy for the senior management and overseeing its implementation. The Committee reviews performance and makes recommendations to the Board in respect of the remuneration of the Chief Executive Officer/Managing Director, Executive Directors and Senior Members of the management.

No Director is involved in deciding his/her own remuneration.

The Committee also reviews significant human resources policies that could influence the Company's performance.

COMPOSITION

The Human Resources and Remuneration Committee, appointed by the Board of Directors, comprises of solely Non-Executive Directors of the Company of which a majority were Independent Directors of the Company w.e.f. 1st July 2024 in compliance with the Finance Business Act Direction No 05 of 2021 - Corporate Governance.

The members of the Human Resources and Remuneration Committee are as follows:

Mr K.B. Herath
(Chairman/ Independent Non-Executive Director/ appointed as a member and Chairman of the Committee w.e.f. 1st July 2024)

Dr. (Mrs.) A.D.N. De. Zoysa
(Independent Non-Executive Director/ functions as the Secretary to the Committee)

Mr. A.D.B. Talwatte
(Independent Non-Executive Director / functioned as Chairman of the Committee until 30th June 2024 & continued as member of the Committee w.e.f. 1st July 2024)

Mr. A. R Fernando
(Non-Independent Non-Executive Director)

Mr. E.H Wijenaike
(Non-Independent Non-Executive Director/ appointed as a member w.e.f. 1st July 2024/ Managing Director up to 30th June 2024)

Pursuant to the retirement of Mr. A.D.B. Talwatte, Mr. A.R. Fernando has been appointed as the Chairman of the Board with effect from 1st May 2025 and both Mr. A.D.B. Talwatte and Mr. A.R. Fernando ceased to be members of the Human Resource & Remuneration Committee. Mr. M.S. De Saram (Independent Non-Executive Director) has been appointed to the Human Resource & Remuneration Committee with effect from 1st May 2025.

Individual committee member attendance at the meeting is given on page 196.

SCOPE

The Committee reviews all significant strategic policies and initiatives relating to human resources. The Committee deliberates and recommends to the Board of Directors, annual increments, bonuses and incentives of Executive Directors and the senior management team based on individual and corporate performance. The Committee also reviews salary structures and terms and conditions of service to ensure compatibility with the market. The Managing Director/Chief Executive Officer who is responsible for the overall management of the Company attends meetings by invitation and participates in the deliberations except when his own performance and compensation are discussed. An annual market survey is commissioned through Ernst and Young, in order to obtain information on compensation and benefits in comparable companies, to aid in determining remuneration of Directors and other senior management.

POLICY

The policies on compensation and benefits are formulated to ensure that members of the Executive Management of the Company are provided with appropriate compensation to encourage superior performance. The policy is designed to recognize and reward individual contributions based on its impact on the performance of the Company and to ensure that the whole basis of rewards is fair and equitable. The policy aims to attract, motivate and retain talent with the appropriate professional managerial and operational expertise necessary to achieve the objectives of the Company over the foreseeable future. The Company's remuneration framework for the Executive Directors and the senior management team is aligned with the long term interests of the Company and thereby create and enhance value for all stakeholders of the Company.

FEES AND REMUNERATION

All Non-Executive Directors receive a fee for attending meetings and serving on sub-committees. The Non-Executive Director fee structure is reviewed periodically and revised as necessary.

Aggregate remuneration paid to Non-Executive Directors and Executive Directors is disclosed in note 18 to the financial statements on page 291 as per the requirements of section 16.1 (iv) of the Corporate Governance Direction No. 5 of 2021 issued under the Finance Business Act No. 42 of 2011 and Section 9.12.8 (c) of CSE Listing Rules.

COMMITTEE MEETINGS

The Committee met once during the year under review on 24th March 2025.

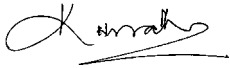
The committee reviewed the annual market remuneration survey conducted for the year 2024 and made recommendations to the board on the increments and salary structures applicable to the executive directors and the senior management.

Human Resources and Remuneration Committee Report

The committee also evaluated the performance of the executive directors and key senior management of the Company against their objectives and targets.

The Committee conducted a self-evaluation of its performance for the year 2024/25 and concluded that it has effectively fulfilled its responsibilities in accordance with its Terms of Reference.

The proposals of the committee were ratified by the Board of Directors.



K. B Herath

Chairman

*Human Resources and Remuneration
Committee*

Colombo
28th May 2025



BOARD INTEGRATED RISK MANAGEMENT COMMITTEE REPORT

The Board Integrated Risk Management Committee is a Sub-Committee of the Board of Directors established to oversee the risk management aspects of the Company. The Committee composition during the financial year was as follows;

Mr. M.H. De. Silva
Chairman w.e.f. 01.07.2024 - (Independent Non-executive Director)

Mr. A.R. Fernando
Chairman up to 30.06.2024 (Non-executive Director)

Dr. (Mrs.) A.D.N. De Zoysa
(Independent Non-executive Director)

Mr. K.B. Herath
(Independent Non-executive Director)

Mr. M.S. De Saram
Appointed w.e.f. 01.08.2024 (Independent Non-executive Director)

Pursuant to the retirement of Mr. A.D.B. Talwatte, Mr. A.R. Fernando was appointed as the Chairman of the Board with effect from 1st May 2025 and ceased to be a member of the Board Integrated Risk Management Committee. Ms. S.H. Munasinghe (Independent Non-Executive Director) has been appointed to the Board Integrated Risk Management Committee with effect from 1st May 2025.

Brief profiles of the Non-executive Directors representing the committee are given on pages 32 to 34 of the Annual Report.

The Executive Directors were members of the Integrated Risk Management Committee until 30 June 2024. From 01 July 2024 the Managing Director, Deputy Managing Director, Executive Directors and other Management representatives including, Chief Risk Officer, Compliance Officer, Chief Information Security Officer, Head of Internal Audit and Chief Financial Officer attended the meetings by invitation. Chief Risk Officer functioned as the Secretary to the Committee.

TERMS OF REFERENCE

The Terms of Reference set out by the Board of Directors, include the following;

- Establish an independent risk management function with a dedicated CRO who is responsible for managing risk-taking activities across the Company.
- Establish an independent compliance function with a dedicated Compliance Officer to assess the Company's compliance with laws, regulations, rules, regulatory guidelines and approved policies on the business operations.
- Ensuring that the Company has a Board approved integrated risk management framework including risk guidelines and risk management policies and procedures in place relative to the Company's activities and risk profile and review them annually.
- To review the effectiveness of the Company's risk management systems and monitor the management's assessment of all risk types, including but not limited to credit, market, liquidity, operational, information and communication technology related risk, digital risk, human resource risk, fraud risk, money laundering and terrorism financing risk, strategic risk, compliance and corporate reputation risk of the Company through appropriate risk indicators and management information and make recommendations on the risk strategies.
- Develop Company's risk appetite through Risk Appetite Statement which articulate the individual and aggregate level and types of risk the Company will accept or avoid in order to achieve the strategic business objectives.

- To review risks under stress scenarios and monitor the capacity of the Company's capital and liquidity to withstand such risks.
- To ensure that the Board of Directors is continuously informed of the Company's risk exposures and risk indicators.
- Review the adequacy and effectiveness of senior management level committees to address specific risks.
- Assess all aspects of risk management including updated business continuity and disaster recovery plans.

During the year under review, the activities of the Committee included the following;

- Reviewing the Company and Divisional risk registers along with risk registers of, key subsidiaries namely CF Insurance Brokers (Pvt) Limited and Central Industries PLC taking into consideration material changes in the external environment and the Company's risk profile and providing necessary guidance and recommendations to further strengthen the risk management function.
- Reviewing and monitoring the Company's risk appetite, risk goals, risk management strategies and related risk reports including stress testing results on a regular basis.
- Continuously assessing the impact of macroeconomic conditions in the Country on the Company's operations and the risk management framework in the areas of credit, liquidity, market, operational, fraud, human resources, investment, digital, strategic and information technology and providing guidance and recommendations to mitigate the impact to the Company.
- Reviewing and monitoring reports in relation to the compliance function inclusive of AML/CFT regulatory

Board Integrated Risk Management Committee Report

compliance.

- Reviewing, strengthening and recommending for Board approval the risk management policies and procedures including the integrated risk management framework and credit risk management policy.
- Reviewing the Internal Capital Adequacy Assessment Process (ICAAP) report and recommending the report for Board approval.
- Monitoring the adequacy and effectiveness of senior management level committees overseeing risk management including the deliberations of the Information Security Committee.

MEETINGS

The Committee met five times during the year and the attendance of the Directors at the meetings is given on page 196 of the Annual Report.

The discussions and conclusions reached at the meetings are recorded in minutes and submitted to the Board of Directors for views, concurrence and/or specific directions.

The effectiveness of the Committee was evaluated by the Board members and the feedback received is being used to further strengthen the risk framework of the Company.



M.H. de Silva

Chairman

Board Integrated Risk Management Committee

Colombo
28th May 2025



BOARD AUDIT COMMITTEE REPORT

The Board Audit Committee is delegated with the authority from the Board to provide oversight of the Company's financial reporting, internal control systems, and independence and performance of the external auditors and the internal audit function.

COMMITTEE COMPOSITION

The Board Audit Committee comprises three Independent Non-executive Directors and one Non-independent Non-executive Director. The Committee is chaired by Mr. M. H. de Silva, a Fellow Member of the Chartered Institute of Management Accountants, United Kingdom with considerable experience in the field of finance.

The following members served in the Board Audit Committee during the twelve months period ended 31st March 2025.

Mr. M.H. De Silva
(Independent Non-executive Director) -
Chairman

Dr.(Mrs). A.D.N. De Zoysa
(Independent Non-executive Director)

Mr. A.R. Fernando
(Non-executive Director)

Mr. M.S. De Saram
(Independent Non-executive Director)
(Appointed as a member of the Audit Committee with effect from 01 August 2024)

Pursuant to the retirement of Mr. A.D.B. Talwatte, Mr. A.R. Fernando was appointed as the Chairman of the Board with effect from 1st May 2025 and ceased to be a member of the Board Audit Committee. Ms. S.H. Munasinghe (Independent Non-Executive Director) has been appointed to the Board Audit Committee with effect from 1st May 2025.

Brief Profiles of the members are given on pages 32 to 34 of the Annual Report. The Head of Internal Audit functions as Secretary to the Audit Committee.

MEETINGS

The Audit Committee held 8 meetings during the financial year ended 31st March 2025.

Details of individual member attendance at the meetings are given on page 196.

The Chairman, Managing Director, GM (Finance), Chief Strategy Officer and other senior management team members also attended these meetings by invitation as and when required. On the invitation of the Board Audit Committee, the Company's External Auditors attended three Committee meetings during the year. The minutes of the Committee meetings were tabled at Board meetings.

AUDIT COMMITTEE CHARTER

The terms of reference of the Audit Committee are clearly defined in the Audit Committee Charter which is reviewed and revised annually and approved by the Board of Directors. The Charter was last reviewed in March 2025. This process ensures that new developments and concerns are adequately addressed.

ROLE OF THE AUDIT COMMITTEE

The functions of the Committee are geared to assist the Board of Directors in fulfilling effectively its oversight responsibility on financial reporting, values and ethics, organisational governance, internal controls, internal audit and external audit related affairs of the Company. The Committee has been empowered to:

- Examine internally any matter within the scope of the charter relating to the financial and other related affairs of the Company.
- Make recommendations on matters connected with engagement, re-engagement, removal of external auditors, service period and audit fees. The Committee periodically reviews the independence, objectivity and effectiveness of the audit process in conformity with applicable standards and best practices. The Committee also evaluates the performance of External Auditors periodically.
- Monitor and follow-up the Internal Audit programme and External audit plan, review the External Auditors management letter and Internal Audit reports, and follow up on findings and recommendations.
- Review risk management measures and examine the adequacy, efficiency and effectiveness of the Internal Control System over financial reporting.
- Ensure that efficient and sound financial reporting system is in place to provide accurate, appropriate and timely information to the Board and other stakeholders.
- Assess the quality and appropriateness of Accounting Policies, emerging accounting issues and disclosures according to Sri Lanka Accounting Standards.
- Review the compliance of financial reporting obligations under Finance Business Act No. 42 of 2011, Rules and Directions issued by the Central Bank of Sri Lanka, Companies Act No. 7 of 2007, Sri Lanka Accounting & Auditing Standards Monitoring Board Act No. 15 of 1995, Listing Rules of the Colombo Stock Exchange and Rules/ Regulations of the Securities and Exchange Commission of Sri Lanka.

Board Audit Committee Report

- Review and recommend Interim and Annual Financial Statements prepared for approval of the Board and submission to shareholders.
- Review the policy on the engagement of an external auditor to provide non-audit services that are permitted under the relevant statutes, regulations, requirements and guidelines.

Audit committee has discharged its duties during 2024/25 within the scope of the charter as stated below.

FINANCIAL REPORTING

The Audit Committee assisted the Board of Directors to discharge its responsibility for the preparation of the quarterly and annual Financial Statements to reflect true and fair view of the affairs of the Company in accordance with the Company's accounting records and in conformity with the Sri Lanka Accounting Standards, the Sri Lanka Financial Reporting Standards, Finance Business Act no 42 of 2011, the Companies Act No.7 of 2007, Sri Lanka Accounting & Auditing Standards Monitoring Board Act No.15 of 1995, rules and regulations of CSE and SEC and CBSL Directions. The Committee obtained assurance from the Managing Director/CEO and CFO on the integrity of financial records and the fair presentation of the Company and Group's financial position and performance.

The Committee reviewed the Company's interim and annual financial statements prior to submission to the Board and recommended issuance to shareholders.

The Committee reviewed the internal controls on financial reporting system to ensure the reliability and integrity of information provided. The review included the extent of compliance with LKAS/SLFRS and applicable laws and regulations, review of critical accounting policies and practices and any changes thereto, going concern assumptions, major judgemental areas and material audit judgments.

The Audit Committee has continuously reviewed the assessments carried out by the management in terms of the adequacy and appropriateness of Expected Credit Loss (ECL) provisions and related post-model adjustments made as management overlay in financial statements. The Committee placed particular focus on the appropriateness of the judgements made in stressed scenarios used under the management overlay process. Additionally, the Committee appraised the input data for the model to reflect changes in market conditions, ensuring that the Company's ECL provisions accurately reflect its specific circumstances and risks.

EXTERNAL AUDIT

The Audit Committee is empowered by the Board to recommend the appointment of the External Auditors in compliance with the relevant statutes issued by the CSE and CBSL, and the best practice of Corporate Governance. The committee also notes and recommends the service period, audit fee and any resignation or dismissal of the External Auditor. The committee was satisfied that there was no conflict of interests between the Company and the Auditor and that there was no cause to compromise the independence and objectivity of the Auditor. The Committee reviewed the effectiveness of the audit process in accordance with applicable standards and best practices. The Audit Committee ensured that the engagement of an audit partner did not exceed five years and that the audit partner was not re-engaged for the audit before the expiry of three years from the date of the completion of the previous term as per section 10.2 (d) (ii) of the Finance Business Act Direction No. 05 of 2021 on Corporate Governance. KPMG, Chartered Accountants has been appointed as the External Auditor of the Company since year 2021/22 and the present Engagement Partner is serving in that role since the beginning of the appointment.

The annual financial statements 2024/25 was reviewed by the external auditor and recommended for the approval of the Board.

The External Auditors' Engagement and Management Letters and Management's responses thereto were also reviewed. The Committee also met with the External Auditor at two meetings without the presence of management to discuss whether there have been any irregularities, constraints, reservations or any other unsatisfactory matters arising from the audit which the auditor wished to discuss with the Board Audit Committee.

The letter of representation issued by the Board to the External Auditor and the letter of confirmation of Independence issued by the External Auditor have been reviewed by the Board Audit Committee.

The Committee assisted the Board of Directors in engaging the External Auditor for non-audit services in compliance with the statutes and ensured that engagement in non-audit services does not impair the external auditors' independence and objectivity. Policy on engagement of the external auditor to provide non-audit services has been reviewed and approved by the Committee.

INTERNAL CONTROL

The Board Audit Committee, through the internal audit process and its oversight of credit risk, liquidity risk, and operational risk along with related systems, controls, and processes, has reviewed the effectiveness of internal controls and procedures and is of the view that adequate controls and procedures are in place to provide reasonable assurance to the Board that the assets of the Company are safeguarded and the financial statements present a true and fair view.

Additionally, the Committee reviewed the effectiveness of the Company's internal controls over financial reporting as at 31st March 2025 which was validated



by internal audit, as required by Finance Business Act Direction No. 05 of 2021 – Corporate Governance, based on the “Guidance for Directors of Banks on the Directors’ Statement on Internal Controls” issued by the Institute of Chartered Accountants of Sri Lanka. The result of the assessment is given on pages 209 to 211 “Directors’ Statement on Internal Controls” in the Annual Report. The Company’s whistleblowing Policy which is in place fostering a safe speak up culture and serves as a mechanism to manage risks pertaining to misconduct was reviewed during the year.

Throughout the year, the Committee engaged various professionals for consultations on issues falling under the committee’s purview.

The External Auditor has issued an Independent Assurance Report on the Directors’ Statement on Internal Controls on page 212.

INTERNAL AUDIT

The committee ensured that the internal audit function is independent of the activities it audits and that it is performed with impartiality, proficiency and due professional care. During the year, the Audit Committee reviewed the adequacy of the scope, functions, the results of the internal audit process and their evaluation of the Company’s internal control system. The Audit Committee reviewed and approved the adequacy of coverage of the internal audit programme, commented on the audit findings and recommended appropriate action. It also ensured coordination between the internal and External Auditors and ensured that the internal audit function is adequately resourced and has appropriate standing within the Company. The committee also reviewed the resource requirements of the Internal Audit Department and evaluated the performance of the senior members of the Internal Audit team.

REGULATORY COMPLIANCE

The Board Audit Committee closely scrutinizes the compliance of mandatory statutory requirements and systems and procedures in place to ensure the compliance of such requirements. The Committee conducts regular assessments, reviewing policies and procedures, and monitoring the implementation of necessary changes through the Internal Audit Department in ensuring compliance with the new requirements under the CBSL direction on Corporate Governance.

Board Audit Committee reviewed the information requirement of Companies Act No 07 of 2007, Finance Business Act No.42 of 2011 and other reporting requirements under SEC, CSE and CBSL regulations.

COMMITTEE EVALUATION

An annual evaluation of the Committee was carried out with contributions from individual Committee Members. Summary of such evaluation was forwarded to the Board.



M.H. de Silva
Chairman
Board Audit Committee

Colombo.
28th May 2025

DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

The Board of Directors of Central Finance Company PLC (the "Company") are responsible for the preparation and presentation of the financial statements to the shareholders in accordance with the relevant provisions of the Companies Act No.07 of 2007 (the "Companies Act"), Finance Business Act No.42 of 2011 (the "Finance Business Act") and other statutes, which are applicable in the preparation and presentation of financial statements. The financial statements comprise of the Statement of Financial Position as at 31st March 2025, Income Statement, Statement of Profit or Loss and Other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year then ended together with notes thereto.

Accordingly, the Board of Directors confirms that the financial statements of the Group and the Company for the year ended 31st March 2025, incorporated in this report have been prepared in accordance with the Companies Act, Finance Business Act, Sri Lanka Accounting Standards (SLFRS/LKAS) and the Listing Rules of the Colombo Stock Exchange. Furthermore, the Board of Directors confirms that the financial statements of the Group and the Company present a true and fair view of the financial position of Group and the Company as at 31 March 2025 and financial performance of the Group and the Company for the year then ended. These Financial statements have been duly certified by the Chief Financial Officer of the Company and signed by two (02) Directors as required by the Companies Act. The Directors consider that, in preparing the financial statements exhibited on pages 231 to 365 they have adopted appropriate accounting policies on a consistent basis, supported by reasonable and prudent judgments and estimates.

The Directors confirm that the Group and the Company keeps proper accounting records of all transactions, which disclose the financial position of the Company with

reasonable accuracy and enable them to ensure that the financial statements have been prepared and presented as aforesaid. They are also responsible for taking measures to safeguard the assets of the Company and to prevent and detect frauds and other irregularities. In this regard, the Directors have instituted an effective and comprehensive system of internal controls comprising of internal checks, internal audit and financial and other controls required to carry on the Company's business in an orderly manner and to safeguard its assets and ensure as far as practicable the accuracy and reliability of the records.

The Directors are of the view that the Company and its subsidiaries have adequate resources to continue operations in the foreseeable future and have applied the going concern basis in the preparation of these financial statements.

To the best of the knowledge and belief of the Directors, the Company's auditors M/s KPMG, Chartered Accountants have carried out reviews and sample checks on the effectiveness of the system of internal controls, as they consider appropriate and necessary in providing their opinion on the financial statements. M/s KPMG has examined the financial statements made available together with all other financial records, minutes of shareholders' and Directors' meetings and related information, and have expressed their opinion which appears on pages 224 to 230 of the Annual Report.

The Directors have provided the auditors with every opportunity to carry out any reviews and tests that they consider appropriate and necessary for the discharge of their responsibilities.

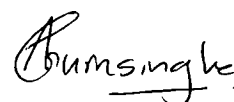
Further, as per the provisions of the Guideline No. 01 of 2013 and Subsequent Guideline on Declaration of Dividends and Repatriation of Profits dated 31st January 2023 issued by the

Central Bank of Sri Lanka, the Company has obtained the approval of the Director, Department of Supervision of Non-Bank Financial Institutions prior to distribution of dividends to the shareholders during the year. The board of Directors confirms that they have authorised distribution of dividends upon being satisfied that the Company satisfies the solvency test immediately after such distributions are made in accordance with Section 57 of the Companies Act, and, as required by Section 56(2) of the Companies Act, have obtained solvency certificates from the auditor, prior to recommending a final dividend of Rs.3.75 per share by way of a cash dividend for this year which is to be approved by the shareholders at the Annual General Meeting to be held on 30th June 2025.

The Directors confirm that, to the best of their knowledge, all taxes, levies and financial obligations of the group have been either paid or adequately provided for in the financial statements.

The Directors are of the view that they have discharged their responsibilities as set out in this statement.

By Order of the Board



A.R.L. Gurusinghe
Company Secretary

Colombo
28th May 2025



DIRECTORS' STATEMENT ON INTERNAL CONTROL

RESPONSIBILITY

The Board of Directors ("Board") of Central Finance Company PLC ("the Company") wishes to present this Statement of Internal Control in compliance with the requirements of paragraph 16.1 (ix). of the Finance Business Act Direction No. 05 of 2021 - Corporate Governance issued by the Central Bank of Sri Lanka and principle D.1.5. of the Code of Best Practice on Corporate Governance issued by the CA Sri Lanka and Rule 9.16 (ii) of the Corporate Governance Rules of the Colombo Stock Exchange.

The Board is overall responsible for ensuring the adequacy and effectiveness of the Company system of Internal Controls over financial reporting in place at the Company. Such a system of internal control is designed to manage the Company's key areas of risk within an acceptable risk profile in complying with the policies and achieving business objectives of the Company, rather than eliminating the risk of failure to comply with the policies and achieving business objectives. Accordingly, the System of Internal Controls can only provide reasonable, but not absolute, assurance against material misstatement of management and financial information and records or against financial losses or fraud.

The Board has established an ongoing process for identifying, evaluating and managing the significant risks faced by the Company and this process includes enhancing the System of Internal Controls as and when there are changes to the business environment or regulatory guidelines. The process is regularly reviewed by the Board.

The Management assists the Board in the implementation of the Board's policies and procedures on risk management and internal controls by identifying and assessing the risks faced by the Company and in the designing, implementing, operating and monitoring

of suitable Internal Controls to mitigate and control these risks.

Based on this process, the Board is of the view that the System of Internal Controls in place is sound and adequate to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of financial statements for external purposes is in accordance with relevant accounting principles and regulatory requirements.

KEY FEATURES OF THE PROCESS ADOPTED IN REVIEWING THE DESIGN AND EFFECTIVENESS OF THE INTERNAL CONTROL SYSTEM OVER FINANCIAL REPORTING

The key processes that have been established in reviewing the adequacy and integrity of the System of Internal Controls in regard to financial reporting include the following:

- Policies, charters, procedures have been developed covering all functional areas of the Company, recommended by the Board appointed Committees, and are approved by the Board. All policies, charters and procedures are regularly reviewed and approved by the Board on regular basis. The Board Integrated Risk Management Committee follows up on the regular reviews of policies, charters, and procedures to ensure timely updates.
- Sub-committees are established to assist the Board in ensuring the effectiveness of the Company's daily operations in accordance with the corporate objectives, strategies, annual budget, policies and procedures and the business directions that have been approved by the Board.

- Internal Audit Division of the Company checks for compliance with policies and procedures and the effectiveness of the Internal Control System on an ongoing basis using samples and rotational procedures and highlight significant findings in respect of any non-compliance. Further, Audits are carried out on all units and branches, in accordance with the annual audit plan reviewed and approved by the Board Audit Committee ("the BAC"). The type and frequency of audits of these Business units are dynamically determined based on the assessed level of risk and changes in the control environment, ensuring the delivery of an independent and objective reports. The annual audit plan is reviewed and approved by the BAC. Findings of the Internal Audit Division are submitted to the BAC for review at their periodic meetings & the status of the opened items are followed-up with the management and reported to Audit Committee on a quarterly basis.

Board Audit Committee of the Company approves the annual Internal Audit plan, reviews Internal Control issues identified by the Internal Audit Division, External Auditors, Regulatory Authorities and Management, and evaluates the adequacy and effectiveness of the Internal Control System. They also review the effectiveness of the Internal Audit function with particular emphasis on scope of the audits, quality of audits performed, independence of the internal audit, resources and findings. The minutes of the Audit Committee Meetings are tabled for the information of the Board at the subsequent Board Meeting.

- In assessing the Internal Control System, identified officers of the Company continued to review and update all procedures and controls that are connected with significant accounts and disclosures in the financial statements of the Company/ Group. The Internal Audit Division

Directors' Statement on Internal Control

continues to monitor the suitability of design and effectiveness of these procedures and controls on an ongoing basis during their audit process.

- The Board Integrated Risk Management Committee (BIRMC) is established to assist the Board to oversee the overall management of principal areas of risks of the Company
- Operational committees have also been established with appropriate empowerment to ensure effective management and supervision of the Company's core areas of business operations.
- The Company continued to refine the statistical models used in the computations and the data extraction procedures pertaining to the calculations performed in respect of the requirements of SLFRS 9. Since the adoption of this standard, progressive improvements on processes to comply with the requirements of classification, estimation of Expected Credit Losses (ECL) and disclosure were made whilst, further strengthening of processes continue to support estimation of expected credit losses and financial statement disclosures.
- The existing models were further refined during the year to validate the appropriateness of the underlying assumptions, incorporate the potential implications of the macroeconomic conditions prevailing in the country through post model adjustments based on stress testing the loans and leases which are not individually significant. The Company carried out a comprehensive reassessment in light of the favourable macroeconomic outlook and reversed part of the management overlays that had been built in the past years as post model adjustments to address the unprecedented economic uncertainty

prevailed at that time. Furthermore, this approach will be re-evaluated at each reporting period to reflect the subsequent changes to the economic environment. Considering the complexity involved in the computation of ECL from loans and leases, the Company will continue to strengthen the process with system - supported procedures in order to minimize the manual intervention.

- The Board ensures that processes and controls are put in place for use of management information systems and validation of information extracted to comply with SLFRS 9.
- The Company continues to focus on strengthening the review and testing process of the said model and the Internal Audit Department reviews these refinements made to the model and the management overlay incorporated in the computation of Expected Credit Loss based on the estimates and judgement.
- The Company has documented procedures relating to these requirements and updated the expected credit loss impairment policy and impairment computation procedure as and when necessary, with the approval of the Board with recommendation of the Board Audit Committee for the changes made to the documented policy and procedure.

The Company took initiative to comply with the Finance Business Act Direction No. 1 of 2020, Classification & Measurement of Credit Facilities which sets out the minimum requirements for classification and measurement of credit facilities granted by LFCs with the adoption of SLFRS-9. Accordingly, from 01 April 2023, the Company adopted significant increase in credit risk (SICR) when contractual payments are more than 30 days past due and contract default presumed at more than 90 days past due. Furthermore, as per Section 4.3.1. (i) of the Finance Business Act

Direction No. 1 of 2020, effective from 1 April 2025, any credit facility classified as a Non-Performing Loan (NPL) either by exceeding 90 days past due or based on potential credit risk cannot be reclassified as performing until the principal and interest in arrears are fully paid or upon confirmation of the satisfactory performance of the credit facility under potential risk and after ensuring that the repayment of the remaining principal and interest comply with the terms and conditions of the borrower. Although a deferment for the Section 4.3.1 (i) was provided until 1 April 2025 by Director-SNBFI by a letter dated 31st May 2024 on "Deferment of Section 4.3.1.(i) of the Finance Business Act Direction No 01 of 2020 - Classification & Measurement of Credit Facilities, the Company has early adopted Section 4.3.1. (i) for reclassification of non-performing loans (NPLs) to performing loans (PLs) and applied for Stage-3 loans and for the purpose of computation of Expected Credit Loss (ECL).

The Company has taken initiatives to realign its business model, internal risk management practices, and recovery monitoring and follow-up procedures to adhere to the significant increase in credit risk (SICR) and default definition.

The recommendations made by the external auditor in connection with the internal control system in previous years were reviewed during the year and appropriate steps have been taken to implement those.

During the year, the Internal Audit division, tested the essential internal controls and confirmed the adequacy of the internal controls framework to the Board of Directors.

CONFIRMATION

Based on the above, the Board of Directors believes that the system of internal controls over financial reporting system of the Company has been sound



and adequately designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for the external purposes has been done in accordance with Sri Lanka Accounting Standards and regulatory requirements of the Central Bank of Sri Lanka and Colombo Stock Exchange.

REVIEW OF THE STATEMENT BY EXTERNAL AUDITOR

The External Auditor has reviewed the above Directors' Statement on Internal Control included in the Annual Report of the Company for the year ended 31st March 2025 and reported to the Board that nothing has come to their attention that causes them to believe that the Statement is inconsistent with their understanding of the process adopted by the Board in the review of the design and effectiveness of the Internal Control System over Financial Reporting of the Company.

External Auditor's report on the statement of Internal Control over Financial Reporting is given on page 212 of this Annual Report.

STATEMENT ON PRUDENTIAL REQUIREMENTS, REGULATIONS & LAWS

There are no material non-compliances with prudential requirements, regulations, laws and internal controls in compliance with Section 16 (1) (ix) of the Finance Business Act Direction No. 05 of 2021-Corporate Governance during the year.

The Board has implemented sufficient internal controls to ensure adherence to statutory and regulatory obligations. The Board affirms that the Company complies with all relevant prudential requirements, regulations, and legislation laws.

There are no supervisory concerns

reported by the Director Supervision of Non Bank Financial Institutions (DSNBFI) of a significant nature required by the Monetary Board to be disclosed to the Public on the Company's risk management, compliance with the Finance Business Act and rules and directions issued by the Central Bank of Sri Lanka

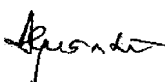
For and on behalf of the Board



A.R. Fernando
Chairman



M.H. de. Silva
Chairman - Board Audit Committee



A. K. Gunaratne
Managing Director / Chief Executive Officer

Colombo
28th May 2025

INDEPENDENT ASSURANCE REPORT



KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
P. O. Box 186,
Colombo 00300, Sri Lanka.

Tel +94 - 11 542 6426
Fax +94 - 11 244 5872
+94 - 11 244 6058
Internet www.kpmg.com/lk

TO THE BOARD OF DIRECTORS OF CENTRAL FINANCE COMPANY PLC

We were engaged by the Board of Directors of Central Finance Company PLC ("the Company") to provide assurance on the Directors' Statement on Internal Control Over Financial Reporting ("the Statement") included in the Annual Report for the year ended 31 March 2025.

Management's responsibility for the Statement on Internal Control

Management is responsible for the preparation and presentation of the Statement in accordance with the paragraph 16.1 (ix) of Finance Business Act Directions No. 05 of 2021 - Corporate Governance issued by the Central Bank of Sri Lanka under the Finance Business Act No. 42 of 2011.

Scope of the engagement in compliance with SLSAE 3051

Our responsibility is to issue a report to the Board on the statement based on the work performed. We conducted our engagement in accordance with Sri Lanka Standard on Assurance Engagements SLSAE 3051 – Assurance Report for Licensed Finance Companies and Finance Leasing Companies on Directors' Statement on Internal Control issued by The Institute of Chartered Accountants of Sri Lanka.

Summary of work performed

Our engagement has been conducted to assess whether the Statement is both supported by the documentation prepared by or for Directors and appropriately reflects the process the Directors have adopted in reviewing the system of internal control for the Company.

To achieve this objective, appropriate evidence has been obtained by performing the following procedures:

- Inquired the Directors to obtain an understanding of the process defined by the Board of Directors for their review of the design and effectiveness of internal control and compared their understanding to the Statement made by the Directors in the Annual Report.
- Reviewed the documentation prepared by the Directors to support their statement made.
- Related the statement made by the Directors to our knowledge of the Company obtained during the audit of the Financial Statements.
- Reviewed the minutes of the meetings of the Board of Directors and of relevant Board Committees.
- Attended meetings of the Audit Committee at which the Annual Report, including the Statement on Internal Control is considered and approved for submission to the Board of Directors.
- Considered whether the Directors' Statement on Internal Control covers the year under review and that

adequate processes are in place to identify any significant matters arising.

- Obtained written representations from Directors on matters material to the Statement on Internal Control where other sufficient appropriate audit evidence cannot reasonably be expected to exist.

SLSAE 3051 does not require us to consider whether the Statement covers all risks and controls, or to form an opinion on the effectiveness of the Company's risk and control procedures. SLSAE 3051 also does not require us to consider whether the processes described to deal with material internal control aspects of any significant problems disclosed in the Annual Report will, in fact, remedy the problems.

Our conclusion

Based on the procedures performed, (which did not cover the "Statement on Prudential Requirements, Regulations and Law") nothing has come to our attention that causes us to believe that the Statement included on pages 209 to 211 of this annual report is inconsistent with our understanding of the process the Board of Directors have adopted in the review of the design and effectiveness of internal control system over the financial reporting of the Company.

Chartered Accountants
Colombo
28th May 2025

KPMG, a Sri Lankan partnership and a member firm of the KPMG global organization of independent member firms affiliated with KPMG International Limited, a private English company limited by guarantee. All rights reserved.

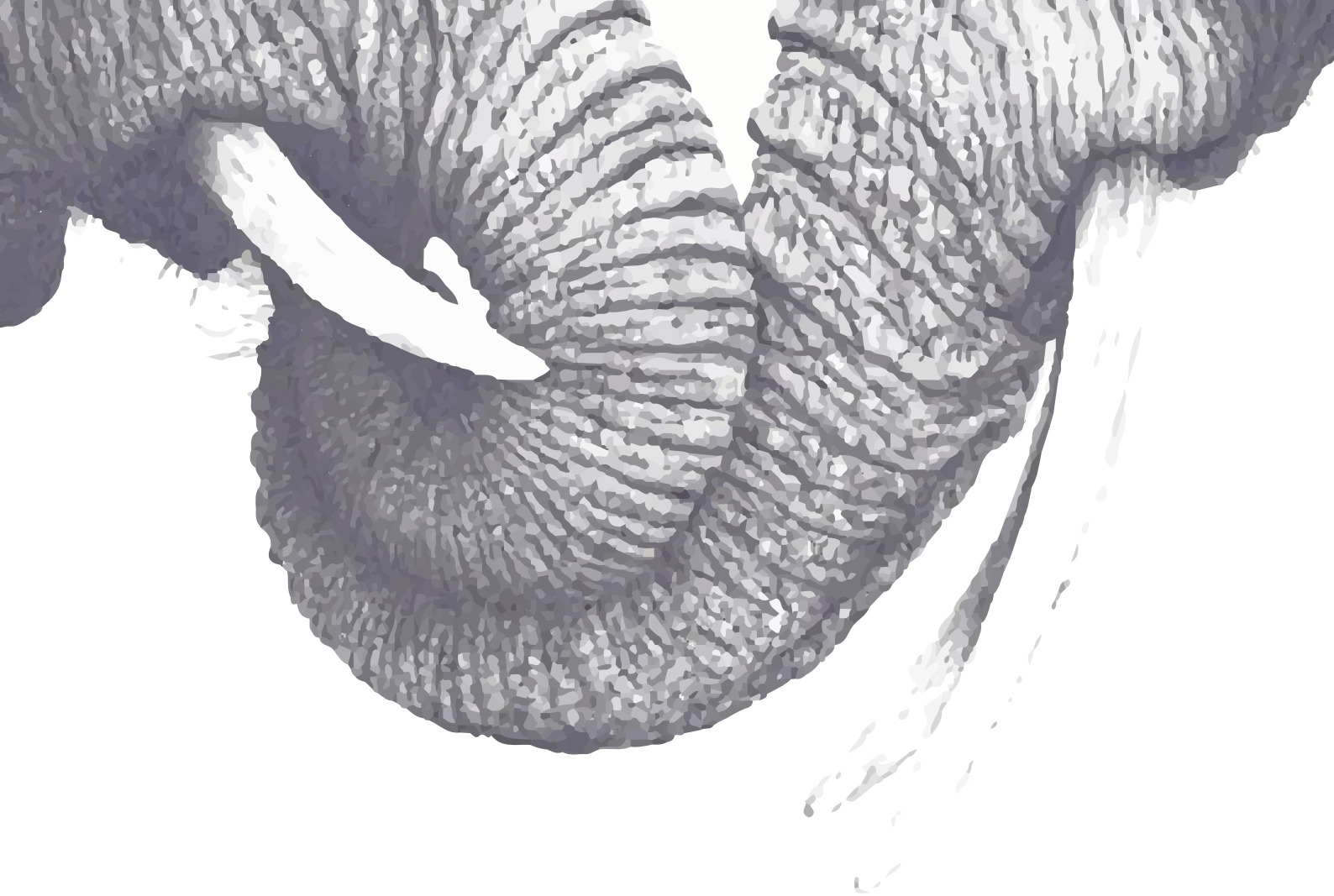
C.P. Jayatilake FCA
Ms. S. Joseph FCA
R.M.D.B. Rajapakse FCA
M.N.M. Shameel FCA
Ms. P.M.K. Sumanasekara FCA

T.J.S. Rajakarier FCA
W.K.D.C. Abeyrathne FCA
Ms. B.K.D.T.N. Rodrigo FCA
Ms. C.T.K.N. Perera ACA
R.W.M.O.W.D.B. Rathnadiwakara FCA

W.W.J.C. Perera FCA
G.A.U. Karunaratne FCA
R.H. Rajan FCA
A.M.R.P. Alahakoon ACA

Principals: S.R.I. Perera FCMA (UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA, Ms. F.R. Ziyad FCMA (UK), FCIT, K. Somasundaram ACMA (UK), R. G. H. Raddella ACA, Ms. D Corea Dharmaratne





FINANCIAL INFORMATION

FINANCIAL CALENDAR 2024/25

First Quarter Results 2024/25	12th August 2024
Final Dividend 2023/24 - Cash Dividend Paid	05th July 2024
Second Quarter Results 2024/25	11th November 2024
Interim Dividend 2024/25 - Cash Dividend Paid	20th December 2024
Third Quarter Results 2024/25	11th February 2025
Fourth Quarter Results 2024/25	29th May 2025
Annual Report 2024/25	05th June 2025
67th Annual General Meeting	30th June 2025
Final Dividend 2024/25 - Proposed and to be Paid	07th July 2025



ANNUAL REPORT OF THE BOARD OF DIRECTORS

The Directors have pleasure in presenting to the shareholders their report together with the audited financial statements of Central Finance Company PLC, and the audited financial statements of the Group for the year ended 31st March 2025.

Central Finance Company PLC (the “Company”) is a public limited liability company, incorporated in Sri Lanka on 05th December 1957, quoted on the Colombo Stock Exchange in 1969, registered as a finance company under the Finance Business Act No. 42 of 2011, registered under the Finance Leasing Act No. 56 of 2000, and the Companies Act No. 07 of 2007.

The ordinary shares of the Company are listed on the Colombo Stock Exchange.

The Board of Directors approved these financial statements on 28th May 2025.

PRINCIPAL BUSINESS ACTIVITIES AND REVIEW OF OPERATIONS - COMPANY

The principal business activities of the Company are leasing, loans, operating leases, deposit mobilisation, and provision of other financial services.

SUBSIDIARIES

Name of the Company	Principal business activities
Central Industries PLC	Manufacture and distribution of PVC pipes and fittings
CF Insurance Brokers (Private) Limited	Insurance broking
Kandy Private Hospitals Limited	Provision of healthcare services
Dehigama Hotels Company Limited	Renting of commercial property
CF Growth Fund Limited	Investment Company
Central Mineral Industries (Private) Limited	Manufacture of mineral products
Central Transport and Travels Limited	Hiring of vehicles
Central Developments Limited	Investment Company
Central Homes (Private) Limited	Property development and sale of real estate
Expanded Plastic Products (Private) Limited	Investment Company
Hedges Court Residencies (Private) Limited	Construction and sale of apartments

ASSOCIATES

Name of Company	Principal business activities
Nations Trust Bank PLC	Licensed commercial bank
Tea Smallholder Factories PLC	Processing Green leaves purchased from tea small holders and the sale of processed black tea

Pursuant to the Udapussellawa Plantations PLC's acquisition of 37.59% stake in Tea Smallholder Factories PLC at a price of Rs. 35/- per share on 3rd April 2025 and announcement of a mandatory offer to purchase the remaining 62.41% of voting

shares as required by the Takeovers and Mergers Code of 1995, Board of Directors of Central Finance Company PLC and its subsidiary company CF Growth Fund Ltd resolved to divest the 29.29% stake in Tea Smallholder Factories PLC and intend to accept the aforesaid mandatory offer.

There were no significant changes in the nature of the principal business activities of the Company and the Group during the financial year under review other than the above.

REVIEW OF BUSINESS

A review of the Company and Group operations during the year, with comments on the financial results and future developments is contained in the Managing Director's report on pages 24 to 29 and the Review of Operations on pages 60 to 69 and Capital Management Review and pages 70 to 109 of the Annual Report, which form an integral part of the Directors' Report.

FINANCIAL STATEMENTS

The financial statements of the Group and the Company are given on pages 231 to 365 of the Annual Report.

DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

The Directors are responsible for the preparation of financial statements of the Company to reflect a true and fair view of the state of its affairs. The Directors are of the view that these financial statements have been prepared in conformity with the requirements of the Sri Lanka Accounting Standards, Companies Act No. 07 of 2007, Finance Business Act No. 42 of 2011, Inland Revenue Act No.24 of 2017 and amendments thereto and the Listing Rules of the Colombo Stock Exchange.

Further, the Board of Directors consider the annual report and financial

Annual Report of the Board Of Directors

statements, taken as a whole, fair, balanced, understandable, and provides the information necessary for shareholders to assess the Company's financial position, performance, ESG/ sustainability risk and opportunities, business model, and outlook.

The detailed report is given on page 208 of the Annual Report.

AUDITOR'S REPORT

The auditor's report on the financial statements is given on pages 224 to 230 of the Annual Report.

MATERIAL ACCOUNTING POLICIES

The Group and the Company prepare the financial statements in accordance with Sri Lanka Accounting Standards (LKASs/SLFRSs). Material accounting policies adopted in the preparation of the financial statements are given on pages 237 to 365 of the Annual Report.

GOING CONCERN

The Board of Directors is satisfied that the Company and Group has adequate resources to continue its operations in the foreseeable future. Accordingly, the financial statements are prepared based on the going concern concept details of which are given in Note 2.7 to the financial statements.

INCOME

Income of the Group excluding associates during the year was Rs. 26,695 Mn (2023/24 - Rs. 26,868.94 Mn), an analysis of which is given in Note 10 to the financial statements.

RESULTS AND APPROPRIATIONS

Total comprehensive income of the Company was Rs.5,962.31 Mn (2023/24 - Rs. 5,354.94 Mn) whilst the Group comprehensive income attributable to equity holders of the parent was Rs. 10,239.01 Mn (2023/24 - Rs. 9,466.18 Mn).

A detailed description of the results and appropriations are given below:

	2025	2024
	Rs.'000	Rs.'000
Group profit for the year before income tax after payment of all expenses, provision for depreciation, taxes on financial services and impairment on loans and other credit losses	13,872,339	11,426,259
Provision for taxation	(3,654,104)	(3,239,319)
Group profit after taxation	10,218,235	8,186,940
Other comprehensive income net of income tax		
Actuarial losses on defined benefit plans	(46,162)	(102,000)
Gain on revaluation of land and buildings	-	878,314
Share of other comprehensive income of associates	362,274	942,921
Total comprehensive income for the year	10,534,347	9,906,175
Non-controlling interest	(295,337)	(439,998)
Attributable to equity holders of the Company	10,239,010	9,466,177
Other comprehensive income net of tax relating to :		
Revaluation reserve	(61,225)	(794,535)
Fair value reserve	(317,874)	(952,982)
	9,859,911	7,718,660
Un-appropriated profit brought forward at the beginning of the year	31,857,928	25,330,663
Unclaimed dividends written back	4,880	7,276
Payment of forfeited dividends	(425)	(26)
Transfer from revaluation reserve	11,341	7,611
Balance available for appropriation	41,733,635	33,064,184
Appropriations		
Transfer to reserve fund	(300,000)	(240,000)
Dividends distributed during the year	(1,079,934)	(966,256)
Un-appropriated profit to be carried forward	40,353,701	31,857,928

RESERVES

The total Group reserves as at 31st March 2025 amounted to Rs. 74,985.66 Mn (31st March 2024 - Rs. 65,822.13 Mn) details of which are given in Notes 49 to 54 to the financial statements.

CORPORATE DONATIONS

During the year, the Company made donations amounting to Rs. 8.69 Mn (2023/24 Rs. 0.15 Mn) in terms of the resolution passed at the last annual general meeting ("AGM"). Donations made to Government approved charities were Rs. 6.07 Mn during 2024/25 (2023/24 Nil). Total donations of the Group during the year amounted to Rs. 8.73 Mn (2023/24 - Rs. 0.58 Mn) and the donations made by the Group to Government approved charities were Rs. 6.07 Mn. (2023/24 Nil)



STATUTORY PAYMENTS

The Directors are satisfied that statutory payments due to the Government and in relation to the employees have been made in full and on time to the best of their knowledge and belief.

DIVIDENDS

The Directors recommend the payment of a final dividend of Rs. 3.75 per share payable by cash for the year ended 31st March 2025 (2023/24 - Rs.2.00 per share payable by cash) subject to obtaining the approval of the shareholders at the forthcoming Annual General Meeting. This dividend, together with an interim cash dividend of Rs. 2.75 per share (2023/24 - Rs.2.50 per share) paid on 20th December 2024 amount to a total dividend pay-out of Rs. 1,477.80 Mn for the year (2023/24- Rs. 1,023.09 Mn).

The Directors have confirmed that the Company satisfies the solvency test requirement under Section 56 of the Companies Act No.07 of 2007 for the final dividend proposed.

Finance Companies are required to obtain prior approval of the Central Bank of Sri Lanka for the payment of dividends. The directors confirm that they have obtained the approval of the Central Bank of Sri Lanka prior to recommending the final dividend of Rs. 3.75 per share for the year ended 31st March 2025.

PROPERTY, PLANT AND EQUIPMENT

The total capital expenditure in regard to property, plant and equipment, intangible assets and capital work-in progress of the Company and the Group amounted to Rs. 1,880.98 Mn and Rs. 1,957.36 Mn respectively. (2023/24 - Company Rs. 480.88 Mn and Group Rs. 579.35 Mn) details of which are given in Notes 37 and 39 to the financial statements. The value of capital commitments as at year end is disclosed in Note 56 to the financial statements.

MARKET VALUE OF FREEHOLD PROPERTIES

The value of freehold properties owned by the Group as at 31st March 2025 is included in the accounts at Rs. 8,754.20 Mn (31st March 2024 - Rs. 8,781.48 Mn). The freehold properties of the Group were revalued in March 2024 by an independent Chartered valuer / Chartered valuation surveyor details of which are given in Notes 37 to the financial statements.

The value of investment property owned by the Group as at 31 March 2025 is included in the accounts at Rs. 66.61 Mn (31st March 2024 - Rs. 66.61 Mn) based on valuations carried out by an independent Chartered valuer / Chartered valuation surveyor in March 2025.

Details of the location, extent, valuations and number of buildings are provided in Note 37 and 36 to the financial statements.

The Directors are of the opinion that this value is not in excess of the current market value.

EVENTS AFTER THE REPORTING DATE

No events of a material nature have occurred subsequent to the date of the statement of financial position requiring adjustments to the financial statements, other than those disclosed in Note 58 to the financial statements.

STATED CAPITAL AND DEBENTURES

The Company did not raise funds through a public issue, rights issue or a public placement during the year ended 31st March 2025. The stated capital of the Company as at 31st March 2025 was Rs. 2,230.28 Mn (Rs. 2,230.28 Mn as at 31st March 2024) consisting of 227,354,462 ordinary voting shares (227,354,462 ordinary voting shares as at 31st March 2024).

The Company did not make any debenture issues during the year ended 31st March 2025.

SHAREHOLDINGS

As at 31st March 2025, there were 4,262 registered shareholders and the distribution of shareholding is indicated on page 373.

INFORMATION ON SHARES

Information relating to earnings, dividends, net assets and market value per share is given under financial highlights on page 6.

Information pertaining to trading in the Company's shares is given in page 373 to 375 of the annual report.

MAJOR SHAREHOLDERS

The twenty largest shareholders of the Company as at 31st March 2025 together with an analysis of the shareholdings are given on page 374.

EQUITABLE TREATMENT TO SHAREHOLDERS

The Company has at all times made all endeavours to ensure that all stakeholders in particular depositors and shareholders are treated in a fair and equitable manner.

THE BOARD OF DIRECTORS

The Board of Directors of the Company consists of ten directors with wide financial and commercial knowledge and experience. The qualifications and experience of the Directors are given on pages 32 and 34 of the Annual Report.

The following were the Directors of the Company as at 31st March 2025:

Mr. A.R. Fernando
(Non-Independent Non-Executive Director/Chairman with effect from 1st May 2025)

Annual Report of the Board Of Directors

Mr. A.D.B. Talwatte
*(Independent Non-Executive Chairman/
retired with effect from 30th April 2025)*

Mr. A.K. Gunaratne
*(Managing Director/CEO with effect from
1st July 2024/ Deputy Managing Director
until 30th June 2024)*

Mr. D.P. de Silva
*(Deputy Managing Director/Deputy
CEO with effect from 1st July 2024/Chief
Operating Officer until 30th June 2024)*

Mr. E.H. Wijenaike
*(Non-Independent Non-Executive
Director with effect from 1st July 2024/
Managing Director/ CEO until 30th June
2024)*

Dr. (Mrs) A.D.N. De Zoysa
(Independent Non-Executive Director))

Mr. C.K. Hettiarachchi
(Executive Director)

Mr. K.B. Herath
(Independent Non-Executive Director)

Mr. M.H. de Silva
(Independent Non-Executive Director)

Mr. M.S. De Saram
*(Independent Non-Executive Director/
appointed with effect from 1st July 2024)*

RETIREMENTS / NEW APPOINTMENTS DURING THE FINANCIAL YEAR

Mr. E.H. Wijenaike retired from the position of Managing Director/Chief Executive Officer of the Company with effect from 30th June 2024 and was re-appointed as a Non-Independent Non-Executive Director with effect from 1st July 2024, in terms of the provision under section 3.5 (b) of the Finance Business Act Direction No. 05 of 2021 on Corporate Governance.

Mr. A.K. Gunaratne was appointed as the Managing Director/Chief Executive

Officer of the Company with effect from 1st July 2024, in accordance with the Company's succession plan.

Mr. D.P. de Silva was appointed as the Deputy Managing Director of the Company with effect from 1st July 2024, in accordance with the Company's succession plan.

In order to comply with the requirements under section 3.5(a) of Finance Business Act Direction No. 05 of 2021 on Corporate Governance, Mr. C.S. Hettiarachchi (Executive Director / Director Corporate Affairs) stepped down from the Board of the Company with effect from 30th June 2024 and was re-designated as Director Legal (Non-Board) with effect from 1st July 2024.

To fill the casual vacancy, arising due to stepping down of Mr. C.S. Hettiarachchi from the Board, Mr. M.S. De Saram was appointed as an Independent Non-Executive Director of the Company with effect from 1st July 2024.

The Company has obtained the approval of the Central Bank of Sri Lanka for the abovementioned retirement/appointments in terms of section 3.2 of Finance Business Act Direction No.06 of 2021.

RETIREMENTS/NEW APPOINTMENTS SUBSEQUENT TO THE FINANCIAL YEAR END

Mr. A.D.B. Talwatte retired as the Chairman of the Board with effect from 30 April 2025 on reaching the age of 70 years in compliance with section 4.2 of the Finance Business Act Direction No. 05 of 2021 on Corporate Governance.

Pursuant to the retirement of Mr. A.D.B. Talwatte, Mr. A.R. Fernando an existing Non Independent Non-Executive Director of the Board since 16th August 2017 was appointed as the Chairman with effect from 1st May 2025.

Mr. M.H. de Silva - Independent Non-Executive Director was appointed as the Senior Director of the Board with effect from 1st May 2025.

In order to fill the casual vacancy arising from the retirement of Mr. A.D.B. Talwatte, Ms. S.H. Munasinghe was appointed to the Board of Directors as an Independent Non-Executive Directors with effect from 1st May 2025.

Dr. (Mrs.) A.D.N. de Zoysa will retire as a Director of the Board with effective from 30th May 2025 on reaching age of 70 years in compliance with section 4.2 of the Finance Business Act Direction No. 05 of 2021 on Corporate Governance.

In order to fill the casual vacancy arising from the retirement of Dr. (Mrs.) A.D.N. de Zoysa, Dr. (Ms.) N.K. Arunatilake will be appointed as an Independent Non-Executive director of the Board with effect from 1st June 2025.

The Company has obtained the approval of the Central Bank of Sri Lanka for the abovementioned retirements/ appointments in terms of section 3.2 of Finance Business Act Direction No.06 of 2021.

RECOMMENDATIONS FOR RE-ELECTION OF DIRECTORS AT THE ANNUAL GENERAL MEETING

Mr. E.H. Wijenaike retires by rotation in terms of Article 105 of the Articles of Association of the Company and being eligible has offered himself for re-election at the forthcoming Annual General Meeting.

An ordinary resolution will also be recommended to the shareholders that the age limit in section 210 of the Company's Act no 07 of 2007 shall not apply to Mr. E.H. Wijenaike who has reached the age of 70 years and that he be reappointed as a director of the Company.



Mr. M.S. De Saram, Ms. S.H Munasinghe and Dr. (Ms.) N.K. Arunatilake who were appointed to the Board to fill casual vacancies during the financial year 2024/25 and subsequent to the financial year end but prior to the Annual General Meeting, are eligible for re-election in terms of Article 111 of the Articles of Association of the Company.

The Board with the participation of members of the Nominations and Governance Committee, having considered the performance and contribution made by each of the Directors seeking election as described herein towards the overall discharge of the responsibilities of the Board, unanimously resolved that Mr. E.H. Wijenaik, Mr. M.S. De Saram, Ms. S.H Munasinghe and Dr. (Ms.) N.K. Arunatilake be recommended for re-election at the next Annual General Meeting of the Company with the approval of the Central Bank of Sri Lanka.

Accordingly, the Company has submitted requisite documents under Direction No.06 of 2021 to the Central Bank of Sri Lanka (CBSL) twenty working days prior to the date of the Annual General Meeting seeking the approval for above elections and re-elections.

APPOINTMENT OF DIRECTORS TO THE BOARD IN ACCORDANCE WITH THE FINANCE BUSINESS ACT DIRECTION NO. 06 OF 2021 - ASSESSMENT OF FITNESS & PROPRIETY OF KEY RESPONSIBLE PERSONS

Determination whether all Directors are fit and proper persons to hold office, as specified in the Finance Business Act Direction No.6 of 2021, and the appointment of Directors to the Board in accordance with the Finance Business Act Direction No. 06 of 2021.

The Board noted that the Nomination and Governance Committee having assessed

the fitness and propriety of each of the existing Directors as required by the Finance Business Act Direction No.6 of 2021, and taking into consideration the knowledge, work specialization and experience of each Director has recommended that they are fit and proper persons to hold office as Directors of the Company.

Accordingly, the Company has submitted requisite documents under the above direction to the Central Bank of Sri Lanka (CBSL) twenty working days prior to the date of the Annual General Meeting seeking the approval for appointment of Directors to the Board in accordance with the Finance Business Act Direction No. 06 of 2021.

LIST OF DIRECTORATES OF SUBSIDIARIES AND ASSOCIATES

Details of the Directors of the subsidiaries and associates of the Company are given on the pages 370 to 371 of the Annual Report.

BOARD SUB-COMMITTEES

The Board of Directors of the Company has formed the following sub committees;

BOARD AUDIT COMMITTEE

Mr. M.H. de Silva
(Chairman) - Independent Non-Executive Director

Dr. (Mrs) A.D.N. De Zoysa
Independent Non-Executive Director

Mr. A.R. Fernando
Non-Independent Non-Executive Director

Mr. M.S. De Saram
Independent Non-Executive Director (Appointed w.e.f.1st August 2024)

Pursuant to the retirement of Mr. A.D.B. Talwatte, Mr. A.R. Fernando was appointed as the Chairman of the Board with effect from 1st May 2025 and

ceased to be a member of the Board Audit Committee. Ms. S.H. Munasinghe (Independent Non-Executive Director) has been appointed to the Board Audit Committee with effect from 1st May 2025.

The report of the Audit Committee is given on pages 205 to 207 of the Annual Report.

HUMAN RESOURCE AND REMUNERATION COMMITTEE

Mr. K.B. Herath
(Chairman) - Independent Non-Executive Director (Appointed as Chairman and member w.e.f. 1st July 2024)

Mr. A.D.B. Talwatte
Independent Non-executive Director (Chairman until 30th June 2024)

Dr. (Mrs) A.D.N. de Zoysa
Independent Non-executive Director

Mr. A.R. Fernando
Non-Independent Non-Executive Director

Mr. E.H Wijenaik
(Non-Independent Non-Executive Director/ appointed as a member w.e.f. 1st July 2024)

Pursuant to the retirement of Mr. A.D.B. Talwatte, Mr. A.R. Fernando has been appointed as the Chairman of the Board with effect from 1st May 2025 and both Mr. A.D.B. Talwatte and Mr. A.R. Fernando ceased to be members of the Human Resource & Remuneration Committee. Mr. M.S. De Saram (Independent Non-Executive Director) has been appointed to the Human Resource & Remuneration Committee with effect from 1st May 2025.

The report of the Human Resources and Remuneration Committee is given on pages 201 to 202 of the Annual Report.

Annual Report of the Board Of Directors

BOARD INTEGRATED RISK MANAGEMENT COMMITTEE

Mr. M.H. de Silva
(Chairman) - Independent Non-executive Director (Chairman w.e.f. 1st July 2024)

Mr. A.R. Fernando
Non-Independent Non-executive Director (Chairman until 30th June 2024)

Dr. (Mrs) A.D. N. de Zoysa
Independent Non-executive Director

Mr. K.B. Herath
Independent Non-executive Director

Mr. M.S. De Saram
Independent Non-executive Director (Appointed w.e.f. 1st August 2024)

Pursuant to the retirement of Mr. A.D.B. Talwatte, Mr. A.R. Fernando was appointed as the Chairman of the Board with effect from 1st May 2025 and ceased to be a member of the Board Integrated Risk Management Committee. Ms. S.H. Munasinghe (Independent Non-Executive Director) has been appointed to the Board Integrated Risk Management Committee with effect from 1st May 2025.

The report of the Integrated Risk Management Committee is given on pages 203 to 204 of the Annual Report.

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Dr. (Mrs.) A.D.N. de Zoysa
(Chairperson) - Independent Non-executive Director (Appointed as Chairperson and member w.e.f. 1st July 2024)

Mr. A.D.B. Talwatte
Independent Non-executive Director (Chairman until 30th June 2024)

Mr. K.B. Herath
Independent Non-executive Director

Mr. E. H. Wijeanike
Non-Independent Non-executive Director w.e.f. 1st July 2024/ Managing Director until 30th June 2024

Mr. M.S. De Saram
Independent Non-executive Director (Appointed w.e.f. 1st August 2024)

Pursuant to the retirement of Mr. A.D.B. Talwatte, Ms. S.H. Munasinghe (Independent Non-Executive Director) has been appointed to the Related Party Transactions Review Committee with effect from 1st May 2025.

The report of the Related Party Transactions Review Committee is given on pages 199 to 200 of the Annual Report.

NOMINATIONS & GOVERNANCE COMMITTEE

Dr. (Mrs) A.D.N. de Zoysa
(Chairperson) - Independent Non-executive Director (Chairperson w.e.f. 1st July 2024)

Mr. A.D.B. Talwatte
Independent Non-executive Director (Chairman until 30th June 2024)

Mr. M.H. de Silva
Independent Non-executive Director

Mr. A.R. Fernando
Non-Independent Non-executive Director

Mr. E. H. Wijeanike
Non-Independent Non-executive Director (Appointed w.e.f. 1st July 2024)

Pursuant to the retirement of Mr. A.D.B. Talwatte, Mr. A.R. Fernando has been appointed as the Chairman of the Board with effect from 1st May 2025 and both Mr. A.D.B. Talwatte and Mr. A.R. Fernando ceased to be members of the Nominations & Governance Committee. Mr. K.B. Herath (Independent Non-Executive Director) and Mr. M.S. De Saram (Independent Non-Executive

Director) have been appointed to the Nominations & Governance Committee with effect from 1st May 2025.

The report of the Nominations and Governance Committee is given on pages 197 to 198 of the Annual Report.

INTERESTS REGISTER

The interests register is maintained by the Company, as required under the Companies Act No. 07 of 2007. All directors have made declarations as provided for in Section 192 (1) and (2) of the Companies Act No. 07 of 2007. The related entries were made in the interests register during the year under review.

DIRECTORS' INTERESTS IN SHARES

The Directors of the Company and its subsidiaries who have relevant interest in the shares of the respective companies have disclosed their shareholdings and any acquisitions/disposals to their respective Boards in compliance with Section 200 of the Companies Act No. 7 of 2007. The shareholdings of the Directors and their spouses who own shares of the Company at the beginning and at the end of the year were as follows:



	31st March 2025	31st March 2024
Mr. E.H. Wijenaïke	35,039,742	35,039,742
Mr. A.K. Gunaratne	1,810,661	1,810,661
Mr. D.P. de Silva	225,117	225,117
Mr. C.K. Hettiarachchi	134,399	134,399
Mr. C.S.Hettiarachchi	N/A *	27,093
Spouses		
Ms. A.J. Wijenaïke	7,091,476	7,091,476
Ms. W.W.P.N.Wegiriya	N/A*	215

* Mr. C.S Hettiarachchi (Executive Director/Director Corporate Affairs) stepped down from the Board of the Company with effect from 30th June 2024

Given below are the Directors' shareholdings in Group companies;

	31st March 2025	31st March 2024
Central Industries PLC		
Mr. E.H. Wijenaïke	44,081	44,081
Nations Trust Bank PLC		
Voting shares		
Mr. E.H. Wijenaïke	12,958	12,775
Mr. A.K. Gunaratne	47,098	46,433
Convertible non-voting shares		
Mr. E.H. Wijenaïke	2,228	2,209
Mr. A.K. Gunaratne	4,089	4,053
Tea Smallholder Factories PLC		
Mr. E.H. Wijenaïke	10,000	10,000
Kandy Private Hospitals Ltd.		
Mr. E.H. Wijenaïke	7,000	7,000

RELATED PARTY TRANSACTIONS

The Directors have disclosed such transactions in terms of Sri Lanka Accounting Standard 24, Related Party Disclosures, and details of the transactions are given in Note 59 to the financial statements forming part of the Annual Report of the Board of Directors.

The Directors confirm that the transactions carried out with the related parties during the year ended 31.03.2025 are in compliance with the provision contained in Section 9.14 of the Listing Rules of the Colombo Stock Exchange and such transactions have been reviewed by the Related Party Transactions Review Committee of the Company and observations of the Committee have been communicated to the Board. The Directors further confirm that there were no non-current related party transactions exceeding 10% of the equity or 5% of the total assets of the Company, whichever is lower, as per

the latest audited financial statements of the Company, which need to be disclosed in the Annual Report. Details of the recurrent related party transactions which exceed 10% of the consolidated gross revenue/income of the Group as per the latest audited financial statements of the Company are given in Note 59 of the financial statements. The Directors further confirm that they have declared all material interests in contracts involving with the Company and abstained from voting on matters in which they were materially interested in.

The Board of Directors confirms that neither the Directors nor their Close Family Members had any material business relationships with other Directors of the Company during the financial year ended 31st March 2025.

TRANSFER PRICING REGULATIONS

It is certified that the Company has complied with the Transfer Pricing Regulations issued under Section 104 of the Inland Revenue Act No. 10 of 2006. The information pursuant to these regulations is given under certificate produced under Section 107 (2) (a) of the said Act. The Directors believe that the transactions entered into with related parties during the period 01.04.2024 to 31.03.2025 are at arm's length and not prejudicial to the interests of the Company and the related party. The transactions are entered into on the basis of a transfer pricing policy adopted by the Company.

DIRECTORS' REMUNERATION

Directors' remuneration in respect of the Group and the Company for the financial year ended 31st March 2025 is given in Note 18 to the financial statements.

Annual Report of the Board Of Directors

APPRAISAL OF BOARD & SUB COMMITTEE PERFORMANCE

The Company has established an annual self-assessment scheme for the appraisal of the Board of Directors. Responses to the self-assessment questionnaire are evaluated by the Chairman and recommendations or concerns are discussed with the Board of Directors and actions taken accordingly where deemed appropriate.

The Company's Board Sub-Committees annual self-assessment is being carried out by the members of the Committees and evaluated by the Board.

DIRECTORS' INTERESTS IN TRANSACTIONS

The Directors of the Company have made the general disclosures provided for in Section 192 (1) and (2) of the Companies Act No. 07 of 2007. Particulars of those transactions are set out on pages 368 to 369 of the Annual Report.

INSURANCE AND INDEMNITY

The Company has a Directors' and Officers' Liability insurance policy from Fairfirst Insurance Limited up to a limit of Rs. 350 Mn.

CORPORATE GOVERNANCE

The Directors place great emphasis on instituting and maintaining effective corporate governance practices and principles in respect of the management and operations of the Company. Accordingly, systems and structures have been introduced and improved from time to time to enhance risk management measures and to improve accountability and transparency. The corporate governance report is given on pages 122 to 196 of the annual report.

INTERNAL CONTROLS

The Directors have instituted an effective and comprehensive system of internal controls covering financial operations, compliance, control and risk management required to carry on the business of the Company in an orderly manner, safeguard its assets and secure as far as possible the accuracy and reliability of the records.

DIRECTORS STATEMENT OF INTERNAL CONTROL

The Directors have issued a report on the internal control mechanism of the Company as per paragraph 16.1 (ix) of the Finance Business Act Direction No. 05 of 2021 - Corporate Governance issued by Central Bank of Sri Lanka and Colombo Stock Exchange Listing Rule 9.16 (ii) on Corporate Governance.

The Directors have conducted a review of the internal controls covering financial, operational and compliance controls and risk management and have obtained reasonable assurance of their effectiveness and successful adherence therewith.

The Directors have confirmed that the financial reporting system has been designed to provide a reasonable assurance regarding the reliability of financial reporting, and that the preparation of financial statements has been done in accordance with relevant accounting principles and regulatory requirements.

The above report is given on pages 209 to 211 of the Annual Report. The Directors have also obtained an assurance report from the external auditor on directors' statement of internal control which is given on page 212 of the Annual Report.

ENVIRONMENT

The Company has not engaged in any activities detrimental to the environment.

The Company has used its best efforts to comply with the environmental laws and regulations.

HUMAN RESOURCES

Employment policies of the Company are based on recruiting the best available people, training them to enhance their skills and offering equal career opportunities regardless of gender, race or religion. There were no material issues pertaining to employees and industrial relations pertaining to the Company that occurred during the year under review which needs to be disclosed.

COMPLIANCE WITH LAWS AND REGULATIONS

The arrangements are in place to make the Directors aware of the applicable laws, rules and regulations and they are aware of changes to the regulatory framework, particularly to Listing Rules and applicable capital market provisions.

The Company has not engaged in any activities contravening laws and regulations. All officers responsible for ensuring compliance with the provisions of various laws and regulations confirm their compliance to the Board of Directors on a monthly basis.

There are no material non-compliances with laws, rules and regulations and any fines, which are material, imposed by the government or any regulatory authority.

AUDITOR

The Audit Committee reviews the appointment of the auditor, its effectiveness, independence and relationship with the Group.

The auditor, KPMG was paid Rs. 5.77 Mn as audit fees and related expenses (2023/24 - Rs. 5.18 Mn). In addition, they were paid Rs. 1.16 Mn (2023/24 -Rs. 0.77 Mn) for permitted non-audit related services.



Audits of the Group companies are handled by KPMG, Ernst & Young and Deloitte Associates. Total fees paid to them during the year for audit and permitted non-audit related services amounted to Rs. 2.67 Mn and Rs. 0.40 Mn respectively (2023/24 - Rs. 2.45 Mn and Rs. 0.22 Mn)

The auditors have confirmed that they do not have any relationships with or interests in the Company or subsidiaries other than with regard to audit and permitted non-audit services.

ANNUAL GENERAL MEETING

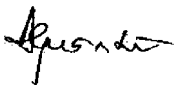
The sixty seventh Annual General Meeting of the Company will be held at The Grand Kandyan Hotel, No:89/10, Lady Gordon's Drive, Kandy on 30th June 2025 at 11.00 a.m

The relevant notice of meeting is given on page 385.

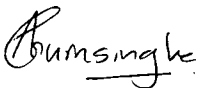
For and on behalf of the Board



A.R. Fernando
Chairman



A.K. Gunaratne
Managing Director



A.R.L. Gurusinghe
Company Secretary

28th May 2025

INDEPENDENT AUDITORS' REPORT



KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
P. O. Box 186,
Colombo 00300, Sri Lanka.

Tel +94 - 11 542 6426
Fax +94 - 11 244 5872
+94 - 11 244 6058
Internet www.kpmg.com/lk

TO THE SHAREHOLDERS OF CENTRAL FINANCE COMPANY PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Central Finance Company PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31st March 2025, and the income statement, statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting

policies as set out on pages 231 to 365 of this Annual Report.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31st March 2025, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics for

Professional Accountants issued by CA Sri Lanka ("Code of Ethics") and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Company's financial statements and the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the Company's financial statements and the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Allowance for impairment of loans and receivables from customers and net investment in leases and hire purchases

Refer to Note 3 (Accounting judgment, Estimates and Assumptions), Note 17 (Impairments and other credit losses), Note 30 (Financial assets at amortized cost- Loans and receivables from customers) and Note 31 (Financial assets at amortized cost- Net investment in leases and hire purchase) to these financial statements.

Risk Description	Our Responses
As disclosed in Note 30 & 31 to these financial statements, the Company has recorded financial assets measured at amortized cost against loans and receivables from customers and net investment in leases and hire purchase of Rs. 10,474.1 Mn and Rs. 58,922.3 Mn respectively as at 31st March 2025.	Our audit procedures to assess the allowances for ECL included the following: Testing key controls of the Company in relation to: The ECL model governance and validation processes which involved assessment of model performance;

KPMG, a Sri Lankan partnership and a member firm of the KPMG global organization of independent member firms affiliated with KPMG International Limited, a private English company limited by guarantee. All rights reserved.

C.P. Jayatilake FCA
Ms. S. Joseph FCA
R.M.D.B. Rajapakse FCA
M.N.M. Shameel FCA
Ms. P.M.K. Sumanasekara FCA

T.J.S. Rajakarier FCA
W.K.D.C. Abeyrathne FCA
Ms. B.K.D.T.N. Rodrigo FCA
Ms. C.T.K.N. Perera ACA
R.W.M.O.W.D.B. Rathnadiwakara FCA

W.W.J.C. Perera FCA
G.A.U. Karunaratne FCA
R.H. Rajan FCA
A.M.R.P. Alahakoon ACA

Principals: S.R.I. Perera FCMA (UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA, Ms. F.R. Ziyad FCMA (UK), FCIT, K. Somasundaram ACMA (UK), R. G. H. Raddella ACA, Ms. D Corea Dharmaratne





Allowance for impairment of loans and receivables from customers and net investment in leases and hire purchases	
Risk Description	Our Responses
High degree of complexity and judgment are involved in estimating Expected Credit Loss (ECL) of Rs. 907.1 Mn and Rs. 2,365.6 Mn against loans and receivables from customers and net investment in leases and hire purchase respectively as at the reporting date. Allowance for expected credit losses (ECL) is a key audit matter due to the significance of the loans and receivables and net investment in leases and hire purchase balances to these financial statements and the inherent complexity of the Company's ECL models used to measure ECL allowances. These models are reliant on data and estimates including multiple economic scenarios and key assumptions such as defining a significant increase in credit risk (SICR). SICR identification is a key judgement within the ECL methodology, as this criterion determines if a forward-looking 12 month or lifetime allowance is recorded. SLFRS 9 - Financial Instruments requires the Group to measure ECLs on a forward-looking basis reflecting a range of economic conditions. Post-model adjustments are considered to address known ECL model limitations or emerging trends in the loan portfolios. Additional subjectivity and judgement are required due to the heightened uncertainty associated with the impact of the economic outlook and its impact on customers, increasing our audit effort thereon. Additionally, allowances for individually assessed loans and leases exceeding specific thresholds are assessed. Challenging the assessment of specific allowances based on the expected future cash repayments and estimated proceeds from the value of the collateral held in respect of the loans/leases by the Company. The disclosures regarding the Company/ Group's application of SLFRS 9 are key to explaining the key judgements and material inputs to the SLFRS 9 ECL results.	● The assessment and approval of the forward-looking macroeconomic assumptions and scenario weightings through challenge applied by internal governance processes; ● Reconciliation of the data used in the ECL calculation process to gross balances recorded within the general ledger as well as source systems; and ● IT system controls which record loans days past due, and non-performing loan and lease classification. Assessing the adequacy of collectively assessed impairment Testing key controls of the Company in relation to: ● Obtaining an understanding of the processes to determine ECL allowances of the Company, evaluating the ECL model methodologies of the Company's against established market practices and criteria in the accounting standards; ● The assessment and approval of the forward-looking macroeconomic assumptions and scenario weightings, trends in the credit risk concentration of specific portfolios and our understanding of economic conditions. As part of this work, we assessed the reasonableness of the considerations of the uncertainty relating to key economic indicators used by the Company. ● By working with our Financial Risk Management (FRM) specialist we carried out the following procedures; ● Challenging the Company's forward-looking macro-economic assumptions and scenarios incorporated in the ECL models by comparing the economic factors used to relevant publicly available macro-economic information, to identify contradictory indicators; ● Evaluating and challenging the key assumptions in the components of the Company's post-model adjustments to the ECL allowance balance. This included assessing the requirement for additional allowances considering the Company's ECL model and data limitations identified by the Company's ECL model validation processes, particularly in light of the volatility in economic scenarios associated with the prevailing economic conditions;

Independent Auditors' Report



Allowance for impairment of loans and receivables from customers and net investment in leases and hire purchases

Risk Description	Our Responses
	Assessing the adequacy of post model adjustments We challenged key assumptions in the components of the Company's post-model adjustments to the ECL allowance balance. This included: ● Assessing changes made to the post-model against the ECL model of the Company and data deficiencies identified in the ECL model validation processes, particularly in light of the improvements in the economic scenarios; ● Assessing certain post-model adjustments identified by the Company against internal and external information; ● Assessing the completeness of post-model adjustments by checking the consistency of risks we identified in the lease/loan portfolios against the Company's assessment. Assessing adequacy of impairment for individually significant customers (ISL) Selecting a sample of larger customers (based on quantitative threshold set by the Company for ISL customers) where impairment indicators have been identified by management and assessed as higher risk or impaired, and a sample of other loans and leases, focusing on larger exposures assessed by the Company as showing signs of deterioration, or in areas of emerging risk (assessed against external market conditions and in particular considering the potential implications of prevailing economic conditions). Obtaining management's assessment of the recoverability of these exposures (including individual impairment calculations) and assessed whether individual impairment provisions, or lack of, were appropriate. This included the following procedures; ● Evaluating management's assessment of recoverability of the forecasted cash flows by comparing them to the historical performance of the customers, their financial position and the expected future performance where applicable; ● Assessing external collateral valuer's credentials and comparing external valuations to values used in management's impairment assessments, forecasted timing of future cash flows in the context of underlying valuations and approved recovery plans and challenging key assumptions in the valuations;





Allowance for impairment of loans and receivables from customers and net investment in leases and hire purchases	
Risk Description	Our Responses
	● Exercising our judgment, our procedures included using our understanding of the macroeconomic environment and comparing with the data and assumptions used by the Company in recoverability assessment. Where relevant we assessed the forecast timing of future cash flows in the context of underlying valuations, and recovery plans and evaluating the key assumptions in the valuations; ● For a sample of customer loans and leases which were not identified as displaying indicators of impairment by management, we reassessed the conclusions made by the management by reviewing the historical performance of the customers and form our own view whether any impairment indicators were present. ● Assessing the ongoing effectiveness of the SICR criteria and independently calculating the loans' stage to determine whether a SICR event had occurred; and ● Reviewing the deliverables submitted by the component auditors (other KPMG audit teams) as per the Group Audit Instructions to assess the reasonableness of the considerations of the prevailing economic conditions to assess any implications that could arise at the Group level stemming from issues at subsidiary/associate level including adequacy of allowances for ECL as at reporting date. We also assessed the adequacy and appropriateness of the related disclosures in the financial statements using our understanding obtained from our testing and against the requirements of Sri Lanka Accounting Standards.

It systems and controls over financial reporting	
Risk Description	Our Responses
The Company's businesses utilize many complex, interdependent Information Technology (IT) systems to process and record a high volume of transactions. The controls over access, changes to and operations, integrations of IT systems are key to the recording of financial transactions/ information and the preparation of financial statements which provide a true and fair view of the Company's financial position and performance.	We worked with our internal IT specialists to perform audit procedures to test the technology control environment for key IT applications (systems) used in processing significant transactions and recording balances in the general ledger. We also tested automated controls embedded within these systems which link the technology-enabled business processes. Our further audit procedures included: Obtaining an understanding of the internal control environment of the critical operations and business processes tested relevant controls relating to financial reporting and related disclosures.

Independent Auditors' Report



It systems and controls over financial reporting	
Risk Description	Our Responses
The IT systems and controls, as they impact the recording and reporting of financial transactions, is a key audit matter as our audit approach could significantly differ depending on the effective operation of the Company's IT controls. Further, key financial disclosures are prepared using data and reports generated by IT systems, that are compiled and formulated with the use of spreadsheets.	General IT controls design, observation and operation - Assessing the governance and higher-level controls in place across the IT Environment, including those regarding policy design, policy review and awareness, and IT Risk Management practices; - Obtaining an understanding and testing operating effectiveness of the sample of key controls operating over the information technology in relation to financial accounting and reporting systems, including system access and system change management, monitor system integrity, program development and computer operations; - Data integrity of critical system reporting used by us in our audit to select samples and analyze data used by management to generate financial statements. - Obtained a higher-level understanding of the cyber-security risks affecting the Company and the actions taken to address these risks primarily through inquiry. - Tested source data of the reports used to generate disclosures for accuracy and completeness including the review of general ledger reconciliations and integrations. Application controls Design and operating effectiveness testing of key automated business process controls including those relating to enforcing segregation of duties to avoid conflicts from inappropriate role combinations within IT applications. - On sample basis, re-performed selected automated computations and compared our results with those from the system and the general Ledger. User access controls operation Design and operating effectiveness testing of key controls across the user access management - Assessing the management's evaluation of access rights granted to applications relevant to financial accounting and reporting systems and; - Evaluate the design and operating effectiveness of IT controls, including those related to user access and change management. - Assessing the operating effectiveness of controls over granting, removal and appropriateness of access rights. Where our testing identified design and operating effectiveness matters relating to IT systems or application controls relevant to our audit, we performed alternative audit procedures, including consideration of mitigating controls.





Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either

intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion.

Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SLAuSS will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSS, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

Independent Auditors' Report



We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is FCA 2294.

A handwritten signature in black ink, appearing to be 'K. M. M.', written over a horizontal line.

Chartered Accountants
Colombo, Sri Lanka
28th May 2025



INCOME STATEMENT

		Group		Company	
For the year ended 31st March		2025	2024	2025	2024
	Notes	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Income	10	26,695,001	26,868,940	20,702,953	21,796,256
Interest income	11	17,232,398	19,500,264	16,817,482	19,039,764
Interest expenses	12	(4,712,460)	(6,372,075)	(4,758,129)	(6,452,630)
Net interest income		12,519,938	13,128,189	12,059,353	12,587,134
Net income from financial instruments at FVTPL	13	609,367	350,244	520,228	242,783
Net other revenue	14	1,454,955	1,377,648	-	-
Operating lease income	15	1,469,016	1,186,002	1,483,100	1,197,530
Other income	16	1,562,341	1,065,331	1,882,143	1,316,179
Total operating income		17,615,617	17,107,414	15,944,824	15,343,626
Impairment (charge)/ reversal and other credit losses	17	1,901,575	(53,041)	1,902,961	(162,647)
Net Operating Income		19,517,192	17,054,373	17,847,785	15,180,979
Operating expenses	18				
Personnel expenses	19	(3,731,556)	(3,305,050)	(3,298,815)	(2,887,703)
Premises, equipment, establishment and other expenses		(3,502,477)	(3,108,238)	(3,309,665)	(2,857,842)
		(7,234,033)	(6,413,288)	(6,608,480)	(5,745,545)
Operating profit before share of profit of equity accounted investees		12,283,159	10,641,085	11,239,305	9,435,434
Share of profit of equity accounted investees, net of tax	20	3,664,776	2,664,448	-	-
Operating profit before taxes on financial services		15,947,935	13,305,533	11,239,305	9,435,434
Taxes on financial services	21	(2,075,596)	(1,879,274)	(2,075,596)	(1,879,274)
Profit before tax		13,872,339	11,426,259	9,163,709	7,556,160
Income tax expense	22	(3,654,104)	(3,239,319)	(3,181,538)	(2,765,727)
Profit for the year		10,218,235	8,186,940	5,982,171	4,790,433
Profit attributable to :					
Equity holders of the parent		9,923,975	7,842,275	5,982,171	4,790,433
Non-controlling interest		294,260	344,665	-	-
Profit for the year		10,218,235	8,186,940	5,982,171	4,790,433
Basic and diluted earnings per share - Rs.	23	43.65	34.49		
Dividend per share - Rs.	24	6.50	4.50		

Notes to the financial statements from pages 237 to 365 form part of these financial statements.

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the year ended 31st March	Notes	Group		Company	
		2025	2024	2025	2024
		Rs.'000	Rs.'000	Rs.'000	Rs.'000
Profit for the year		10,218,235	8,186,940	5,982,171	4,790,433
Other comprehensive income/(expense) to be reclassified to income statement					
Fair value gain on debt securities at fair value through other comprehensive income					
Share of equity accounted investee, net of tax	51	317,874	952,982	-	-
Total other comprehensive income/(expense) to be reclassified to income statement		317,874	952,982	-	-
Other comprehensive income/(expense) not to be reclassified to income statement					
Actuarial losses on defined benefit plans	19.2	(65,946)	(145,752)	(28,375)	(135,342)
Deferred tax impact on actuarial losses	22.2	19,784	43,752	8,513	40,603
		(46,162)	(102,000)	(19,862)	(94,739)
Share of equity accounted investee, net of tax		(16,825)	(24,722)	-	-
Revaluation of land and buildings					
Gain on revaluation of land and buildings	37	-	1,184,820	-	941,777
Deferred tax impact on revaluation reserve	22.2	-	(306,506)	-	(282,533)
		-	878,314	-	659,244
Share of equity accounted investee, net of tax	50	61,225	14,661	-	-
Total other comprehensive income/(expense) not to be reclassified to income statement		(1,762)	766,253	(19,862)	564,505
Other comprehensive income/(expense) for the year (net of tax)		316,112	1,719,235	(19,862)	564,505
Total comprehensive income for the year		10,534,347	9,906,175	5,962,309	5,354,938
Total comprehensive income Attributable to:					
Equity holders of the parent		10,239,010	9,466,177	5,962,309	5,354,938
Non-controlling interest		295,337	439,998	-	-
Total comprehensive income for the year		10,534,347	9,906,175	5,962,309	5,354,938

Notes to the financial statements from pages 237 to 365 form part of these financial statements.



STATEMENT OF FINANCIAL POSITION

As at 31st March	Notes	Group		Company	
		2025	2024	2025	2024
		Rs.'000	Rs.'000	Rs.'000	Rs.'000
ASSETS					
Cash and cash equivalents	26	1,011,416	905,389	874,621	755,076
Fair value through profit or loss financial assets	27	1,807,449	3,908,515	1,466,670	3,029,889
Securities bought under repurchase agreements	28	3,401,767	6,200,535	3,401,767	6,090,306
Financial assets at amortised cost - Debt and other financial instruments	29	21,070,588	28,971,594	17,597,353	26,599,900
Financial assets at amortised cost - Loans and receivables from customers	30	9,574,069	5,958,437	9,566,996	5,944,936
Financial assets at amortised cost - Net investment in leases and hire purchase	31	56,556,667	44,203,016	56,556,667	44,203,016
Trade receivables	32	1,419,590	1,000,140	-	-
Investments in subsidiaries	33	-	-	407,979	407,979
Investments in equity accounted investees	34	18,297,316	14,532,496	1,834,063	1,731,672
Inventories and other stocks	35	1,054,483	1,064,686	72,132	89,814
Investment properties	36	66,611	66,611	66,611	66,611
Property, plant and equipment	37	14,230,125	13,228,686	11,593,908	10,566,848
Right of use assets	38	596,481	468,191	836,396	502,090
Intangible assets	39	246,745	274,693	242,956	270,266
Current tax assets	40	43	43	-	-
Deferred tax assets	41	35,313	24,072	-	-
Other assets	42	780,056	722,641	488,673	483,992
Real estates held for sale	43	4,368	4,368	4,368	4,368
Total assets		130,153,087	121,534,113	105,011,160	100,746,763
LIABILITIES					
Bank overdrafts	26	464,813	464,254	452,705	414,157
Financial liabilities at amortised cost - Deposits	44	41,675,987	43,737,485	42,122,280	44,200,604
Financial liabilities at amortised cost - Interest bearing borrowings	45	4,444	18,024	-	-
Lease liabilities	38	601,993	472,351	841,908	517,267
Employee benefit obligations	46	2,089,165	2,533,524	1,866,402	2,365,673
Current tax liabilities	40	794,032	776,389	605,096	567,804
Deferred tax liabilities	41	2,303,249	1,626,370	1,791,483	1,125,451
Other liabilities	47	2,494,335	1,559,915	2,125,844	1,237,195
Total liabilities		50,428,018	51,188,312	49,805,718	50,428,151
EQUITY					
Stated capital	48	2,230,286	2,230,286	2,230,286	2,230,286
Statutory reserve fund	49	3,504,000	3,204,000	3,504,000	3,204,000
Revaluation reserve	50	5,434,116	5,384,232	3,943,952	3,953,451
Fair value reserve	51	1,370,884	1,053,010	-	-
Loan loss reserve	52	920,000	920,000	920,000	920,000
General reserve	53	23,402,957	23,402,957	23,391,776	23,391,776
Retained earnings	54	40,353,701	31,857,928	21,215,428	16,619,099
Total equity, excluding non-controlling interest		77,215,944	68,052,413	55,205,442	50,318,612
Non-controlling interest	33.2	2,509,125	2,293,388	-	-
Total equity		79,725,069	70,345,801	55,205,442	50,318,612
Total liabilities and equity		130,153,087	121,534,113	105,011,160	100,746,763
Net asset value per share - Rs.		339.63	299.32	242.82	221.32

Notes to the financial statements from pages 237 to 365 form part of these financial statements.

These financial statements have been prepared in compliance with the requirements of the Companies Act No.07 of 2007.

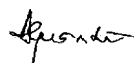


W.M.T.W. Weerasinghe

Chief Financial Officer

The Board of directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the board.



A.K. Gunaratne

Managing Director

28th May 2025

Colombo



M.H. de Silva

Director

STATEMENT OF CHANGES IN EQUITY

GROUP

	Attributable to equity holders of the Company							Non-controlling interest	Total
	Stated capital	Statutory reserve fund	Revaluation reserve	Fair value reserve	Loan loss reserve	General reserves	Retained earnings		
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Notes									
Balance as at 01st April 2023	2,230,286	2,964,000	4,597,308	100,028	920,000	23,402,957	25,330,663	1,900,478	61,445,720
Total comprehensive income									
Profit for the year	-	-	-	-	-	-	7,842,275	344,665	8,186,940
Other comprehensive income	-	-	794,535	952,982	-	-	(123,615)	95,333	1,719,235
Total comprehensive income	-	-	794,535	952,982	-	-	7,718,660	439,998	9,906,175
33.2/ 50/ 51/ 54									
Transactions with equity holders of the Company and other transfers , recognised directly in equity									
Depreciation on revaluation surplus	50	-	-	(7,611)	-	-	7,611	-	-
Unclaimed dividends written back		-	-	-	-	-	7,276	-	7,276
Payment of forfeited dividends		-	-	-	-	-	(26)	-	(26)
Transfers during the year	49	-	240,000	-	-	-	(240,000)	-	-
Dividends - Scrip/ Cash	24/ 33.2	-	-	-	-	-	(966,256)	(47,088)	(1,013,344)
Total contributions from and distribution to equity holders and other transfers		-	240,000	(7,611)	-	-	(1,191,395)	(47,088)	(1,006,094)
Balance as at 31st March 2024	2,230,286	3,204,000	5,384,232	1,053,010	920,000	23,402,957	31,857,928	2,293,388	70,345,801
Balance as at 01st April 2024	2,230,286	3,204,000	5,384,232	1,053,010	920,000	23,402,957	31,857,928	2,293,388	70,345,801
Total comprehensive income									
Profit for the year	-	-	-	-	-	-	9,923,975	294,260	10,218,235
Other comprehensive income	-	-	61,225	317,874	-	-	(64,064)	1,077	316,112
Total comprehensive income	-	-	61,225	317,874	-	-	9,859,911	295,337	10,534,347
33.2/ 50/ 51/ 54									
Transactions with equity holders of the Company and other transfers , recognised directly in equity									
Depreciation on revaluation surplus	50	-	-	(11,341)	-	-	11,341	-	-
Unclaimed dividends written back		-	-	-	-	-	4,880	-	4,880
Payment of forfeited dividends		-	-	-	-	-	(425)	-	(425)
Transfers during the year	49	-	300,000	-	-	-	(300,000)	-	-
Dividends - Cash	24/ 33.2	-	-	-	-	-	(1,079,934)	(79,600)	(1,159,534)
Total contributions from and distribution to equity holders and other transfers		-	300,000	(11,341)	-	-	(1,364,138)	(79,600)	(1,155,079)
Balance as at 31st March 2025	2,230,286	3,504,000	5,434,116	1,370,884	920,000	23,402,957	40,353,701	2,509,125	79,725,069

Notes to the financial statements from pages 237 to 365 form part of these financial statements.

COMPANY

	Notes	Stated capital Rs.'000	Statutory reserve fund Rs.'000	Revaluation reserve Rs.'000	Loan loss reserve Rs.'000	General reserves Rs.'000	Retained earnings Rs.'000	Total Rs.'000
Balance as at 01st April 2023		2,230,286	2,964,000	3,299,945	920,000	23,391,776	13,116,673	45,922,680
Total comprehensive income								
Profit for the year		-	-	-	-	-	4,790,433	4,790,433
Other comprehensive income		-	-	659,244	-	-	(94,739)	564,505
Total comprehensive income	50/54	-	-	659,244	-	-	4,695,694	5,354,938
Transactions with equity holders of the Company and other transfers , recognised directly in equity								
Depreciation on revaluation surplus	50	-	-	(5,738)	-	-	5,738	-
Unclaimed dividends written back		-	-	-	-	-	7,276	7,276
Payment of forfeited dividends		-	-	-	-	-	(26)	(26)
Transfers during the year	49	-	240,000	-	-	-	(240,000)	-
Dividends - Cash	24	-	-	-	-	-	(966,256)	(966,256)
Total contributions from and distribution to equity holders and other transfers		-	240,000	(5,738)	-	-	(1,193,268)	(959,006)
Balance as at 31st March 2024		2,230,286	3,204,000	3,953,451	920,000	23,391,776	16,619,099	50,318,612
Balance as at 01st April 2024		2,230,286	3,204,000	3,953,451	920,000	23,391,776	16,619,099	50,318,612
Total comprehensive income								
Profit for the year		-	-	-	-	-	5,982,171	5,982,171
Other comprehensive income		-	-	-	-	-	(19,862)	(19,862)
Total comprehensive income	54	-	-	-	-	-	5,962,309	5,962,309
Transactions with equity holders of the Company and other transfers , recognised directly in equity								
Depreciation on revaluation surplus	50	-	-	(9,499)	-	-	9,499	-
Unclaimed dividends written back		-	-	-	-	-	4,880	4,880
Payment of forfeited dividends		-	-	-	-	-	(425)	(425)
Transfers during the year	49	-	300,000	-	-	-	(300,000)	-
Dividends - Cash	24	-	-	-	-	-	(1,079,934)	(1,079,934)
Total contributions from and distribution to equity holders and other transfers		-	300,000	(9,499)	-	-	(1,365,980)	(1,075,479)
Balance as at 31st March 2025		2,230,286	3,504,000	3,943,952	920,000	23,391,776	21,215,428	55,205,442

Notes to the financial statements from pages 237 to 365 form part of these financial statements.

STATEMENT OF CASH FLOWS

For the year ended 31st March	Notes	Group		Company	
		2025	2024	2025	2024
		Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cash flows from operating activities					
Interest receipts		15,782,273	17,930,755	15,460,400	17,735,403
Interest payments		(1,952,543)	(2,583,958)	(1,961,865)	(2,598,149)
Recoveries on bad debts previously written off		453,796	334,971	453,796	334,971
Receipts from other operating activities		8,291,051	6,927,489	1,666,820	1,330,830
Cash payments to employees and suppliers		(12,429,571)	(9,105,110)	(6,060,011)	(4,752,490)
Operating profit before changes in operating assets		10,145,006	13,504,147	9,559,140	12,050,565
(Increase) / decrease in operating assets:					
Debt and other financial instruments		13,969,424	(5,047,576)	13,969,424	(5,047,576)
Loans to customers		(45,245,408)	(32,071,006)	(45,231,172)	(32,403,992)
Customer repayments		35,012,154	29,357,409	34,996,031	29,696,873
Others		(2,231,552)	(863,347)	(2,178,502)	(813,772)
Increase / (decrease) in operating liabilities:					
Net cash effect on deposits		(3,995,185)	2,736,778	(4,045,895)	2,839,964
Net cash from operating activities before taxes on financial services		7,654,439	7,616,405	7,069,026	6,322,062
Taxes on financial services		(1,996,796)	(1,819,677)	(1,996,796)	(1,819,677)
Net cash on operating activities before income tax		5,657,643	5,796,728	5,072,230	4,502,385
Income tax paid	40	(2,655,779)	(3,715,715)	(2,265,263)	(3,307,729)
Net cash generated from operating activities		3,001,864	2,081,013	2,806,967	1,194,656
Cash flows from investing activities					
Dividends received from subsidiaries		-	-	88,663	47,832
Dividends received from equity accounted investees		228,507	122,063	103,617	77,164
Dividends received from other companies		31,974	18,973	27,879	12,852
Acquisition of financial investments		(8,439,732)	(6,565,690)	-	-
Proceeds from sale of financial investments		8,352,216	5,529,813	-	51,721
Proceeds from disposal of investment property	36	-	23,971	-	23,971
Investment in unquoted shares	27.2	(37,786)	-	(37,786)	-
Investment in quoted shares		(29,464)	-	(29,464)	-
Purchase of property, plant and equipment/ intangible assets		(1,876,119)	(608,770)	(1,799,771)	(510,338)
Disposal of property, plant and equipment		56,402	152,005	56,165	151,983
Net cash used in investing activities		(1,714,002)	(1,327,635)	(1,590,697)	(144,815)
Cash flows from financing activities					
Proceeds from borrowings	45	5,984,000	1,250,000	5,255,000	1,250,000
Repayment of borrowings	45	(5,997,580)	(1,304,780)	(5,255,000)	(1,287,500)
Lease installment settlement	38.4	(132,637)	(118,972)	(177,553)	(159,439)
Dividends paid to equity holders of the parent		(957,940)	(869,876)	(957,940)	(869,876)
Dividends paid to non-controlling interest		(78,458)	(35,483)	-	-
Net cash used in financing activities		(1,182,615)	(1,079,111)	(1,135,493)	(1,066,815)
Net increase/(decrease) in cash and cash equivalents		105,247	(325,733)	80,777	(16,974)
Cash and cash equivalents at the beginning of the year		441,369	767,102	341,147	358,121
Cash and cash equivalents at the end of the year		546,616	441,369	421,924	341,147
Cash and cash equivalents	26	1,011,416	905,389	874,621	755,076
Bank overdrafts		(464,813)	(464,254)	(452,705)	(414,157)
Impairment provision for cash equivalents		13	234	8	228
Cash and cash equivalents at the end of the year	26	546,616	441,369	421,924	341,147

Notes to the financial statements from pages 237 to 365 form part of these financial statements.



NOTES TO THE FINANCIAL STATEMENTS

1. REPORTING ENTITY

1.1. Corporate information

Central Finance Company PLC is a public limited liability company incorporated on 5th December 1957 and domiciled in Sri Lanka. Its registered office and principal place of business is at No. 84, Raja Veediya, Kandy.

The ordinary shares of the Company are listed on the Colombo Stock Exchange.

The financial information of the Company and its subsidiaries are together referred to as “the Group”.

Total staff strength of the Company and the Group on 31 March 2025 were as follow:

Group

2,314 (31 March 2024 - 2,112)

Company

1,792 (31 March 2024 - 1,600)

1.2. Consolidated financial statements

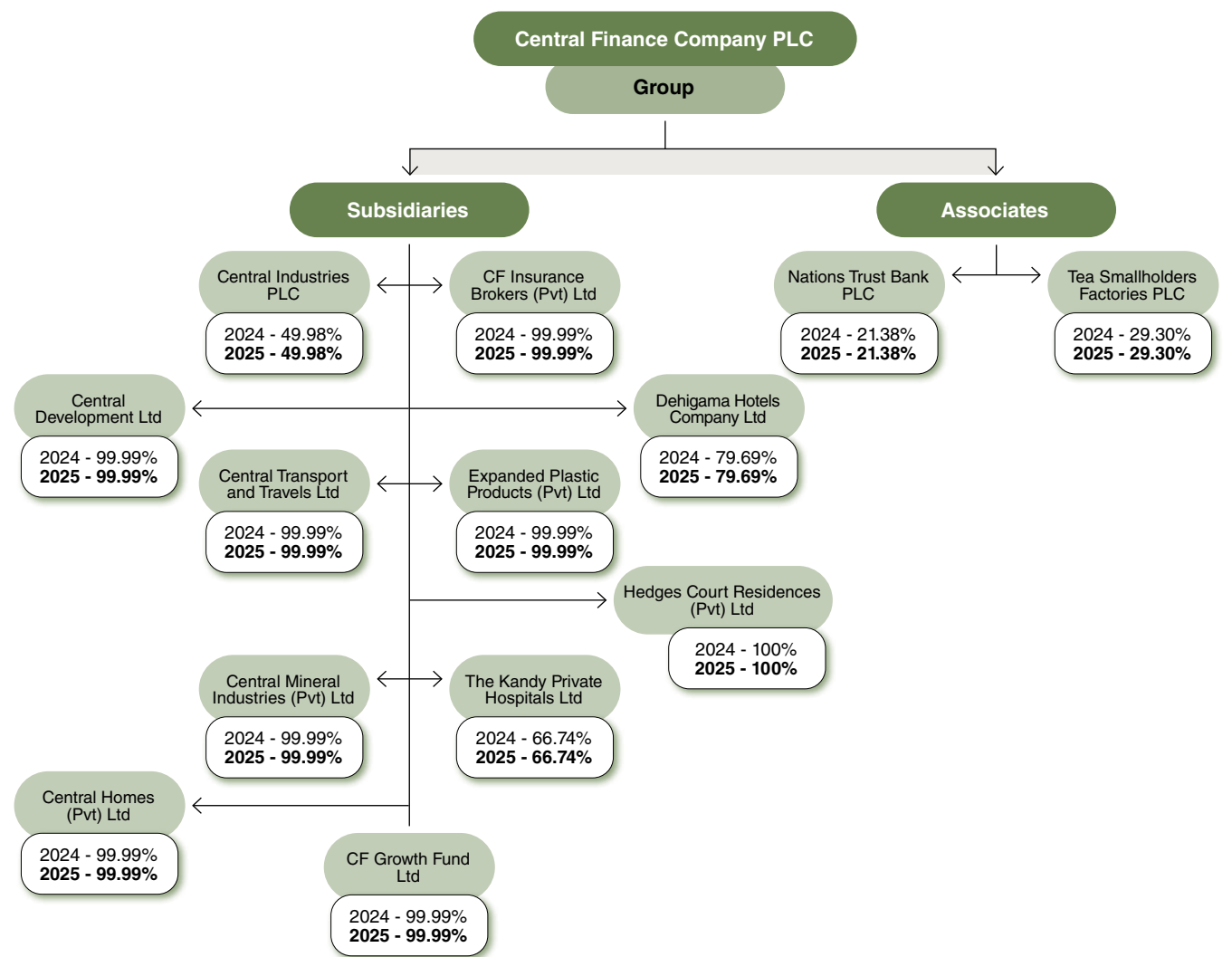
Central Finance Company PLC as the parent of subsidiaries under its control is required to present only the consolidated financial statements as per Sri Lanka Accounting Standard – SLFRS 10 on “Consolidated Financial Statements” and the proportionate share of the profit or loss and net assets of its Associates in terms of the Sri Lanka Accounting

Standard – LKAS 28 on “Investments in Associates and Joint Ventures” . In addition to the consolidated financial statements, separate financial statements of Central Finance Company PLC are also presented as per the requirements of Companies Act, No. 07 of 2007 and amendments thereto.

1.3. Parent Entity and Ultimate Parent Entity

The Company does not have an identifiable parent of its own. The Company is the ultimate parent of the Group companies.

1.4. Principal business activities, nature of operations and ownership of the Group in its subsidiaries and associates



Notes to the Financial Statements

A summary of principal activities of the Company, its subsidiary companies and associate companies are as follows:

Entity	Principal Business Activity
Central Finance Company PLC	Leasing, loans, operating leases, deposit mobilization, and provision of other financial services
Subsidiaries	
Central Industries PLC	Manufacture and distribution of PVC pipes and fittings
Central Mineral Industries (Private) Limited	Manufacture of mineral products
Expanded Plastic Products (Private) Limited	Investment company
Central Homes (Private) Limited	Property development and sale of real estate
Central Developments Limited	Investment company
CF Insurance Brokers (Private) Limited	Insurance broking
Central Transport and Travels Limited	Hiring of vehicles
Hedges Court Residencies (Private) Limited	Construction and sale of apartments
Dehigama Hotels Company Limited	Renting of commercial property
CF Growth Fund Limited	Investment company
The Kandy Private Hospitals Limited	Provision of healthcare services
Associates	
Nations Trust Bank PLC	Licensed commercial bank
Tea Smallholder Factories PLC	Processing green leaves purchased from tea smallholders and the sale of processed black tea

There were no significant changes in the nature of the principal activities of the Group during the financial year under review.

1.5. Responsibility for Financial Statements

The responsibility of the Board of Directors in relation to the financial statements is set out in the Statement of Directors' Responsibility report in the annual report.

2. BASIS OF ACCOUNTING

2.1. Statement of compliance

The consolidated financial statements of the Group and the separate financial statements of the Company, which comprise the statement of financial position, income statement, statement of profit or loss and other comprehensive income, statement of changes in equity, statement of cash flows and notes thereto, have been prepared in accordance with Sri Lanka Accounting Standards (SLFRSs/LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka).

The Group/Company did not adopt any inappropriate accounting treatments, which are not in compliance with the requirement of the SLFRSs and LKASs, regulations governing the preparation and presentation of financial statements.

Details of the Group's/Company's material accounting policies followed during the year are given on Note 4 to 60 on pages 241 to 365.

2.2. Presentation of Financial Statements

These Financial Statements have been presented in compliance with the requirements of the Companies Act No. 07 of 2007 and amendments thereto and the Finance Business Act No. 42 of 2011 and amendments thereto, and provide appropriate disclosures as required by the Listing Rules of the Colombo Stock Exchange (CSE).



These financial statements include the following components:

- an Income Statement and Statement of Profit or Loss and Other Comprehensive Income providing information on the financial performance of the Group and the Company for the year under review; (Refer pages 231 and 232).
- a Statement of Financial Position providing information on the financial position of the Group and Company as at the year end; (Refer page 233).
- a Statement of Changes in Equity depicting all changes in shareholders' funds during the year under review of the Group and Company; (Refer pages 234 and 235).
- a Statement of Cash Flows providing information to the users, on the ability of the Group and Company to generate cash and cash equivalents and the needs of the entity to utilize those cash flows; (Refer page 236).
- Notes to the financial statements comprising material accounting policies and other explanatory information. (Refer pages 237 to 365)

2.3. Approval of the financial statements by the board of directors

The financial statements as at and for the year ended 31st March 2025 were authorized for issue by the board of directors on 28th May 2025.

2.4. Basis of measurement

These financial statements have been prepared on the historical cost basis and applied consistently except for the following material items in the statement of financial position, which are measured on an alternative basis as at each reporting date:

Item	Basis of measurement	Note	Page
Financial assets measured at fair value through profit or loss	Fair value	27	302
Defined benefit obligations	Liability for defined benefit obligations is recognised at present value of the defined benefit obligation less fair value of the plan assets.	46	346
Freehold Land and buildings	Measured at cost at the time of acquisition and subsequently measured at revalued amounts which are the fair values at the date of revaluation.	37	323
Investment properties	Measured at cost at the time of acquisition and subsequently measured at fair value.	36	321

2.5. Comparative information

Comparative information including quantitative, narrative and descriptive information is disclosed in respect of the previous period in the Financial Statements in order to enhance the understanding of the current period's Financial Statements and to enhance the inter period comparability.

As per LKAS 1 Presentation of Financial Statements, if the presentation or classification of items in the financial statements is changed, then the comparative amounts should be reclassified unless reclassification is impracticable.

There were no reclassification made in these financial statements.

2.6. Materiality and Aggregation

Each item which is similar in nature is presented separately if material. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard LKAS 1 on "Presentation of financial statements".

2.7. Going concern

The Group's financial statements have been prepared under the assumption of a going concern, as the Board of Directors is confident that the Group possesses sufficient resources to continue its operations into the foreseeable future. This confidence is based on directors' comprehensive assessment, which includes adherence to regulatory capital requirements, and anticipated funding requirements. This assessment also considered the macro-economic growth prospects and geopolitical uncertainties that will have an impact on Sri Lankan economy, and their possible effects on the Group's profitability, capital, and liquidity. Refer Note 7 to these financial statements.

Notes to the Financial Statements

Accordingly, the financial statements continue to be prepared on the going concern basis

2.8. Rounding

The amounts in the financial statements have been rounded-off to the nearest rupees thousands except where otherwise indicated, as permitted by the Sri Lanka Accounting Standard - LKAS 1 on "Presentation of Financial Statements".

2.9. Functional and presentation currency

These financial statements are presented in Sri Lankan Rupees, which is the currency of the primary economic environment in which Group operates (group's functional currency). All financial information presented in Sri Lankan Rupees has been given to the nearest thousand, unless otherwise stated, as permitted by LKAS 01 - Presentation of Financial Statements.

There was no change in the Group's presentation and functional currency during the year under review.

The information presented in US Dollars on pages 380 to 381 does not form part of the financial statements and is solely for the information of stakeholders.

2.10. Offsetting

Financial assets and financial liabilities are offset and the net amount is reported in the statement of financial position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously. Income and expenses are not offset in the income statement unless required or permitted by an accounting standard or interpretation, and as specifically disclosed in the accounting policies of the Group/ Company.

3. ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of these financial statements in conformity with Sri Lanka Accounting Standards (SLFRSs/ LKASs) requires management to make judgments, estimates, and assumptions that influence the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

The preparation of the financial statements requires management to make judgements, estimates and assumptions that affect the reported amount of revenues, expenses, assets, liabilities, and the accompanying disclosures, as well as the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods. In the process of applying the Group's/Company's accounting policies, management has made the following judgements and assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. Existing circumstances and assumptions about future developments may change due to circumstances beyond the Group's/ Company's control and are reflected in the assumptions if and when they occur. Estimates and underlining assumptions are reviewed on an ongoing basis.

Revisions to accounting estimates are recognised prospectively. Items with the most significant effect on the amounts recognised in the consolidated/separate financial statements with substantial management judgement and/or estimates are collated below with respect to judgement/estimates involved.

3.1. Economic Environment

Despite the considerable improvements in the macro-economic indicators and growth prospects, Sri Lankan economy remains vulnerable to external shocks, particularly from escalating geopolitical tensions leading to contraction in global trade and disruption in supply chains. The uncertainty remains in the local economic environment impacting the credit worthiness of the corporate and the individuals resulting in non performing leases and loans and recognition of impairment losses by the Company.

The significant accounting estimates impacted by these forecasts and associated uncertainties predominantly related to expected credit losses, fair value measurement, and the assessment of the recoverable amount of financial assets. The impact of the economic conditions on each of these estimates is discussed further in the relevant notes of these financial statements. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

Information about significant areas of estimates and uncertainty that have the most significant effect on the amounts recognised in the consolidated/separate financial statements are as follows.

3.2. Judgments

Information about judgements made in applying accounting policies that have the most significant effects on the amounts recognised in the consolidated/separate financial statements is included in the following notes.



Significant Judgements	Note Reference
Establishing the criteria for determination of whether credit risk on a financial asset has increased significantly since initial recognition, determining the methodology for incorporating forward-looking information into the measurement of Expected credit losses(ECL) and the selection and approval of models used to measure Expected credit loss.	Note 17, page 283
Determination of control over investees	Note 4.1.2, page 243
Classification of financial assets and assessment of the business model within which the assets are held	Note 4.3.3, page 244

3.3. Assumptions and estimation uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ended 31 March 2024 and 2025 is included in the following notes.

Significant assumption and estimations uncertainties	Note Reference
Impairment of financial instruments : determination of inputs into the Expected Credit Loss (ECL) measurement model including key assumptions used in estimating expected cash flows and incorporation of forward-looking information	Note 17, page 283
Measurement of the fair value of financial instruments with significant unobservable inputs	Note 8.3, page 269
Measurement of defined benefit obligations: key actuarial assumptions	Note 46, page 346
Recognition of deferred tax assets - availability of future taxable profit against which carry-forward tax losses can be used	Note 41, page 341
Determining the fair value of investment property and freehold land and buildings on the basis of significant unobservable inputs	Note 36,37, page 321, 323
Impairment losses on non-financial assets	Note 4.4, page 248
Recognition and measurement of contingencies: key assumptions about the likelihood and magnitude of an outflow of resources	Note 57, page 354
Determining the useful life time of property, plant and equipment, investment properties and intangible assets	Note 36,37,39, page 321, 323, 338
Recognition and measurement of right-of-use assets and operating lease liability	Note 38, page 335

4. MATERIAL ACCOUNTING POLICIES

Application of Accounting Policies

The Group/Company has consistently applied the accounting policies for all periods presented in the financial statements. The Group/Company has not early adopted any other standard, interpretation or amendment that has been issued but not yet effective as given in Note 5.

Apart from the material accounting policies set out below, the specific accounting policies pertaining to each item in the financial statements have been presented within the respective notes to the financial statements. These material accounting policies have been applied consistently to all periods presented in the financial statements of the Group/Company, unless otherwise indicated.

The accounting policies have been consistently applied by the Group entities where applicable and deviations if any have been disclosed accordingly.

Notes to the Financial Statements

Accounting policy	Note No	Page Number
Basis of Consolidation	4.1	242
Foreign currency	4.2	244
Financial instruments - Initial recognition, classification and subsequent measurement	4.3	244
Impairment of non-financial assets	4.4	248
Provisions	4.5	248
Gross Income	10	276
Interest Income	11	278
Interest Expense	12	279
Net income from financial instruments at FVTPL	13	280
Other Revenue	14	280
Operating Lease Income	15	282
Other Income	16	282
Impairments and other credit losses	17	283
Operating expense	18	290
Personnel expense	19	291
Taxes on financial services	21	293
Income tax expense	22	294
Cash and cash equivalents	26	301
Financial assets measured at fair value through profit or loss	27	302
Securities bought under repurchase agreements	28	306
Financial assets at amortised cost - Debt and other financial instruments	29	306
Financial assets at amortised cost- Loans and receivables from customers	30	307
Financial assets at amortised cost - Net investment in leases and hire purchase	31	309
Investments in subsidiaries	33	311
Investments in equity accounted investees	34	316
Investment properties	36	321
Property, plant and equipment	37	323
Right of use assets	38	335
Intangible assets	39	338
Current tax assets /liabilities	40	340
Deferred tax assets and liabilities	41	341
Real estates held for sale	43	345
Financial liabilities at amortised cost - Deposits	44	345
Financial liabilities at amortised cost - Interest bearing borrowings	45	346
Employee benefit obligations	46	346
Contingent liabilities	57	354
Events after the reporting period	58	357
Related party disclosures	59	358

4.1. Basis of consolidation

The Group's financial statements comprise the consolidation of the financial statements of the Company, its subsidiaries in terms of the Sri Lanka Accounting Standard - SLFRS 10 on "Consolidated Financial Statements" and the proportionate share of the profit or loss and net assets of its Associates in terms of the Sri Lanka Accounting Standard – LKAS 28 on "Investments in Associates and Joint Ventures.

4.1.1. Business combinations

The Group accounts for business combinations using the acquisition method when control is transferred to the Group.

In determining whether a particular set of activities and assets is a business, the Group assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce outputs. The Group has an option to apply a 'concentration test' that permits a simplified assessment of whether an acquired set of activities and assets is not a business. The optional concentration test is met if substantially all of the fair value of the gross assets acquired is concentrated in a single identifiable asset or group of similar identifiable assets.

The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognised in income statement immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in income statement.



Any contingent consideration is measured at fair value at the date of acquisition. If an obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, other contingent consideration is remeasured at fair value at each reporting date and subsequent changes in the fair value of the contingent consideration are recognised in income statement.

4.1.2. Subsidiaries

Subsidiaries included in the consolidated financial statements are those companies controlled by the Group. Control is achieved when the group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee
- Exposure or rights to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control indicated above. Generally, there is a presumption that a majority of voting rights results in control. When the Group has less than a majority of the voting rights of an investee, it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. When the Group has less than a majority of the voting rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including the contractual arrangements with the other shareholders

of the investee and the rights arising from other contractual arrangements.

4.1.3. Non - controlling interest

The profit or loss and net assets of a subsidiary attributable to equity interest that are not owned by the parent, directly or indirectly, are disclosed separately as "Non- controlling Interest". Profit or loss and each component of other comprehensive income of subsidiaries are attributed to the owners of the parent and to the non-controlling interests. Total comprehensive income is attributed to the owners of the parent and to the non-controlling interests even if this results in the non-controlling interests having a deficit. The accounting policies of the subsidiaries are changed when necessary to align them with the policies adopted by the Company.

Changes in the Group's ownership interests in subsidiaries that do not result in the Group losing control over the subsidiaries are accounted for as equity transactions. The carrying amounts of the Group's interests and the non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiaries. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognized directly in equity and attributed to owners of the Company.

4.1.4. Loss of control

Financial statements of subsidiaries are included in the consolidated financial statements from the date on which the control commences until the control ceases. When the Group loses control of a subsidiary, a gain or loss is recognised in the income statement and is calculated as the difference between (i) the aggregate of the fair value of the consideration received and the fair value of any retained interest and (ii) the previous carrying amount of the assets (including goodwill), and liabilities of the subsidiary and any non-controlling

interests. All amounts previously recognised in other comprehensive income in relation to that subsidiary are accounted for as if the Group had directly disposed of the related assets or liabilities of the subsidiary (i.e. reclassified to income statement or transferred to another category of equity as specified/permitted by applicable SLFRSs). The fair value of any investment retained in the former subsidiary at the date when control is lost is regarded as the fair value on initial recognition for subsequent accounting under Group's accounting policy for financial instruments or when appropriate, the cost on initial recognition of an investment in an associate or jointly controlled entity.

4.1.5. Interests in equity-accounted investees

The Group's interests in equity-accounted investees comprise interests in associates. Associates are those enterprises in which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but without control or joint control over those policies. Investments in associates are accounted for using the equity method and are initially recognised at cost. The consolidated financial statements include the Group's share of gains and losses accounted under the equity method from the date significant influence commences until the date significant influence ceases. When the group's share of losses exceeds its investment in an equity accounted investee, the carrying amount of that interest is derecognized and the recognition of further losses is discontinued except to the extent that the Group has an obligation or has made payments on behalf of the investee.

4.1.6. Transactions eliminated on consolidation

Intra-group transactions and balances, income, expenses and any

Notes to the Financial Statements

unrealized gains arising from intra-group transactions are eliminated in preparing the consolidated financial statements. Unrealized gains arising from transactions with associates are eliminated to the extent of the Group's interest in the associates against the investment in the associate. Unrealized losses are eliminated in the same way as unrealized gains except that they are eliminated only to the extent that there is no evidence of impairment.

4.1.7. Material gains or losses, provisional values or error corrections

There were no material gains or losses, provisional values or error corrections recognised during the year in respect of business combinations that took place in previous periods.

4.1.8. Accounting period

Consolidated financial statements are prepared to a common financial year ending 31st March. All subsidiaries in the Group other than CF Insurance Brokers (Pvt) Ltd., have a common financial year ending 31st March. The financial year end for CF Insurance Brokers (Pvt) Ltd., is 31st December; and hence, adjustments are made based on financial statements drawn up to 31st March. The audited consolidated financial statements of Nations Trust Bank PLC an associate of the Company is drawn up to 31st December; and hence, adjustments are made based on financial statements drawn up to 31st March.

4.2. Foreign currency

4.2.1. Foreign currency transactions and balances

Transactions in foreign currencies are translated into the functional currency, which is Sri Lankan Rupees (LKR), using the middle rates of exchange prevailing at the dates on which the transactions were affected.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to Sri Lankan Rupees using the middle rates of exchange prevailing at that date. All differences arising on foreign currency transactions are taken to "other operating income" or "finance cost" in the income statement as foreign exchange gain/ (loss).

The foreign currency gains or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the period, adjusted for effective interest and payments during the period and the amortised cost in foreign currency translated at the middle rates of exchange prevailing at the end of the reporting period. Foreign currency differences arising on translation are recognised in the income statement.

Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to Sri Lankan Rupees at the exchange rates on the date that the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the date of the transaction.

4.3. Financial instruments - Initial recognition, classification and subsequent measurement

4.3.1. Date of Recognition

All financial assets and liabilities are initially recognised on the trade date, the date that the Company/Group becomes a party to the contractual provisions of the instrument.

4.3.2. Recognition and Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their

contractual terms and the business model for managing instruments as described in Note 4.3.3 to the financial statements.

All financial instruments are measured initially at their fair value plus or minus the transaction costs that are directly attributable to the acquisition or issue of the financial asset or financial liability, except in the case of financial assets and financial liabilities measured at fair value through profit or loss.

When the fair value of financial instruments at initial recognition differs from the transaction price, the Group/ Company accounts for the 'Day 1' profit or loss.

Trade receivables are measured at transaction price.

4.3.3. Classification and Subsequent Measurement of Financial Assets

The Group/Company classifies all of its financial assets based on the business model for managing the assets and the asset's contractual terms.

These assets are measured at either:

- Amortised cost
- Fair Value through Other Comprehensive Income (FVOCI)
- Fair Value through Profit or Loss (FVTPL)

Financial liabilities, other than loan commitments and financial guarantees, are measured at amortised cost.

The subsequent measurement of financial assets depend on their classification.

4.3.3.a. Business Model Assessment

The Group determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective.



The Group's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed
- How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected)
- The expected frequency, value and timing of sales are also important aspects of the Group's assessment

The business model assessment is based on reasonably expected scenarios without taking into account "worse case" or "stress case" scenarios. If cash flows after initial recognition are realised in a way that is different from the Group's original expectations, the Group does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

4.3.3.b. Assessment of whether contractual cash flows are Solely Payments of Principal and Interest (SPPI test)

As a second step of its classification process the Group assesses the contractual terms of the financial assets to identify whether they meet the SPPI test.

For the purpose of this assessment, "principal" is defined as the fair value of the financial asset at initial recognition and may change over the life of the

financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

"Interest" is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during the particular period of time and for other basic lending risks and costs, as well as profit margin.

When carrying out the SPPI assessment, the Group applies judgement and considers relevant factors such as the currency in which the financial asset is denominated and the period for which the interest rate is set.

In contrast, contractual terms that introduce a more than "de minimis" exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVTPL.

4.3.3.c. Classification of Financial Assets

Financial asset classification	Criteria	Type of assets measured as per the specified asset classification	Note Reference
Financial assets measured at amortised cost	A financial asset is measured at amortised cost if both of the following conditions are met and is not designated as FVTPL: ● The asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and ● The contractual terms of the financial asset give rise on specified dates to cash flows that are Solely Payments of Principal and Interest (SPPI) on the Principal amount outstanding.	Cash and cash equivalents, Securities bought under repurchase agreements, Financial assets at amortised cost- Debt and other financial instruments, Financial assets at amortised cost- Loans and receivables from customers, Financial assets at amortised cost- Net investment in leases and hire purchase, Other financial assets	26, 28, 29, 30, 31, 32, 42
Financial assets measured at fair value through profit or loss	Financial assets at fair value through profit or loss include financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis as they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets and financial assets designated upon initial recognition at fair value through profit or loss.	Quoted and Unquoted securities	27

Notes to the Financial Statements

Financial asset classification	Criteria	Type of assets measured as per the specified asset classification	Note Reference
Financial assets measured at fair value through other comprehensive income	A debt instrument is measured at Fair Value through Other Comprehensive Income (FVOCI) when both of the following conditions are met: - The instrument is held within a business model, the objective of which is achieved by both collecting contractual cash flows and selling financial assets - Upon initial recognition, the Group may elect to classify irrecoverably some of its equity investments held for strategic and statutory purposes as equity instruments measured at fair value through other comprehensive income.	Fair value through other comprehensive income financial assets - relating to the associate company	51
Financial liabilities measured at amortised cost	Financial liabilities issued by the Group that are not designated at FVTPL are classified as financial liabilities at amortised cost	Bank overdrafts, Financial liabilities at amortised cost -Deposits, Financial liabilities at amortised cost -Interest bearing borrowings, Lease liabilities, Other financial liabilities	26, 44, 45, 38, 47

4.3.3.d. Amortised cost

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as FVTPL:

- The asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

After initial measurement, these are subsequently measured at amortised cost (gross carrying amount using the EIR, less provision for impairment). Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in interest income while the losses arising from impairment are recognised in impairment charges for loans and other losses in the income statement.

The amortised cost of a financial asset or a financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the effective interest rate (EIR) method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any expected credit loss allowance (ECL).

4.3.3.e. Fair value through profit or loss (FVTPL)

Financial assets measured at FVTPL are measured initially at fair value and transaction costs that are directly attributable to its acquisition or issue is charged to income statement. Financial assets measured at FVTPL are subsequently recorded in the statement of financial position at fair value. Changes in fair value, gains/(losses) from trading and dividend income are recognised in the income statement under net income from financial instruments at FVTPL.

No impairment loss is recognised on equity instruments and investments in

unit trusts classified as financial assets measured at FVTPL.

4.3.3.f. Day 1' Profit or Loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the Group/ Company recognises the difference between the transaction price and fair value ('Day 1' profit or loss) in the income statement over the tenor of the financial instrument using the effective interest rate method. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognised in the Income Statement when the inputs become observable, or when the instrument is derecognised.

4.3.4. Financial liabilities

The Group/Company classifies its financial liabilities as measured at amortised cost. The Group's/ Company's financial liabilities comprise of bank overdrafts, deposits



from customers, interest bearing borrowings, other liabilities and lease liabilities.

4.3.5. Reclassification of financial assets and liabilities

As per the requirement of SLFRS 9, the Group/Company reclassifies its financial assets subsequent to the initial recognition when and only when the business model for managing such financial assets is changed. Such reclassifications are applied prospectively from the reclassification date. Financial liabilities are not reclassified as such reclassifications are not permitted by SLFRS 9.

When the Group/Company reclassifies the financial assets, it applies the reclassification prospectively from the reclassification date without restating any previously recognised gains or losses (including impairment losses) or interest. Financial liabilities are never reclassified.

When a financial asset is reclassified out of the amortised cost measurement category and into the fair value through profit or loss measurement category, its fair value is measured at the reclassification date. Any gain or loss arising from a difference between the previous amortised cost of the financial asset and fair value is recognised in income statement.

When a financial asset is reclassified out of the fair value through profit or loss measurement category and into amortised cost measurement category, its fair value at the reclassification date becomes its new gross carrying amount.

When a financial asset is reclassified out of the amortised cost measurement category and into the fair value through other comprehensive income measurement category, fair value is measured at the reclassification date. Any gain or loss arising from a difference between the previous amortised cost of the financial

asset and fair value is recognised in other comprehensive income. The effective interest rate and the measurement of expected credit losses are not adjusted as a result of the reclassification.

The Group/Company did not reclassify any of its financial assets or liabilities during the year ended 31.03.2025.

4.3.6. Derecognition of financial assets and liabilities

4.3.6.a. Financial assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- The right to receive cash flows from the asset has expired.
- The group has transferred its right to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either:
- The Group has transferred substantially all the risks and rewards of the asset or
- The Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On de-recognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred) and consideration received (including any new asset obtained less any new liability assumed) is recognised in the income statement.

When the Group has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Group's continuing involvement in the asset. In

that case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

4.3.6.b. Modification of financial assets

If the terms of the financial assets are modified, the Company evaluate whether the cash flows of the modified asset are substantially different. If cash flows are substantially different, then the contractual rights to original cash flows deemed to expired. In this case, the original financial asset is derecognised and a new financial asset is recognised at fair value.

If the cash flows modified asset carried at amortised cost are not substantially different, then the modification does not result in derecognition of the financial asset. In this case the Company recalculates the gross carrying value of the financial asset and recognise the amount arising from adjusting the gross carrying value as a modification gain or loss in income statement. If such a modification is carried out because of financial difficulty of the borrower, the gain or loss is presented together with impairment loss measured using original effective interest rate. In other cases it is presented as interest income.

4.3.6.c. Financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expired.

Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a de-recognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in the income statement.

Notes to the Financial Statements

4.3.7. Offsetting financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously. Income and expenses are presented on a net basis only when permitted under LKASs/SLFRSs or for gains and losses arising from a group of similar transactions.

4.4. Impairment of non-financial assets

The Group assesses at each reporting date whether there is an indication of objective evidence of impairment of assets. If any such indication exists, the Group makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash generating unit's fair value less costs to sell and its value in use and is determined for an individual asset unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the recoverable amount of an asset is below its carrying amount the asset is considered impaired, and is reduced to its recoverable amount. Impairment losses are recognised in the income statement in those expense categories consistent with the function of the impaired asset except for property previously revalued and the revaluation surplus was credited to equity. In such case, the impairment is recognised against the revaluation reserve to the extent that it reverses a previous revaluation surplus.

An assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased.

Previously recognised impairment losses other than in respect of goodwill are reversed only if there has been an increase in the recoverable amount of such asset. Such increased carrying amount of an asset attributable to reversal of an impairment loss is recognised only up to the carrying amount that would have been determined had no impairment loss been recognised for the asset in prior years.

4.5. Provisions

In accordance with Sri Lanka Accounting Standard 37 - Provisions, Contingent Liabilities and Contingent Assets, recognition of a provision in the statement of financial position is made when the Group has a present legal or constructive obligation as a result of past events and it is probable that an outflow of economic benefits will be required to settle the obligation.

5. NEW OR AMENDED ACCOUNTING STANDARDS ISSUED BUT NOT YET EFFECTIVE AS AT THE REPORTING DATE

The following new or amended standards and interpretations have been issued, but not yet effective, as at the reporting date of the Consolidated Financial Statements. These are not expected to result in material impact to the Group on adoption.

5.1. Sri Lanka Accounting Standard - SLFRS 17 Insurance Contracts

SLFRS 17 Liability Recognition: Presents future cash flows as present value with risk adjustment and Contractual Service Margin (CSM), groups contracts by risk and profitability, and recognises losses directly in the income statement.

New Insurance Revenue Measure: Shifts revenue measurement to service delivery, excluding investment-related premiums, and necessitates calculating deferred profit (CSM) at transition. The Standard

will become effective for the Group from 1st April 2026. This Standard is not applicable to the Group.

The Standard will become effective for the Group from 1st April 2026. This Standard is not applicable to the Group.

5.2. SLFRS S1 General requirements for disclosure of sustainability related financial information and SLFRS S2 Climate-related disclosures

SLFRS S1 General Requirements for Disclosure of Sustainability related Financial Information requires an entity to disclose information about its sustainability-related risks and opportunities that is useful to primary users of general-purpose financial reports in making decisions relating to providing resources to the entity. SLFRS S2 Climate-related Disclosures is to requires an entity to disclose information about its climate-related risks and opportunities that is useful to primary users of general-purpose financial reports in making decisions relating to providing resources to the entity. These standards will become effective for the Group from 1 April 2025 . No financial impact is expected on the Group except for additional disclosures.

The Company has initiated the process of collating required data and assessing the existing framework to perform a gap analysis

6. DIRECTORS' RESPONSIBILITY STATEMENT

The Board of Directors of the Company is responsible for the preparation and presentation of these financial statements.

Please refer to page 208 for the statement of the Directors' Responsibility for Financial Reporting.



7. FINANCIAL RISK REVIEW AND CAPITAL MANAGEMENT

This note presents information about the Group's/Company's exposure to financial risks and the Group's/Company's management of capital.

7.1. Introduction and Overview

The Group/Company has exposure to the following key risks from financial instruments:

- credit risk;
- liquidity risk;
- market risk; and
- capital management

This note presents information about the Group/Company's exposure to each of the above risks, the objectives, policies and processes for measuring and managing such risks.

7.2. Risk Management Framework

The Board of directors has the overall responsibility for the establishment and oversight of the Company's risk management framework. The Board of Directors has established the Asset and Liability Management Committee (ALCO), which is responsible for identifying, managing and controlling risks in executing the business strategy.

The Board Integrated Risk Management Committee (BIRMC) provides the Board, the assurance that risk management strategies, policies and processes are in place to manage events / outcomes that have the potential to impact significantly on earnings performance, reputation and capital.

The risk management policies are established to identify and analyse the risks faced by the Group/Company, to set appropriate risk limits and controls, and to monitor risk and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions. The Group/Company through its training and management standards and procedures, aims to develop a disciplined and constructive control environment in which all employees understand their roles and obligations.

The Board Audit Committee oversees how management monitors compliance with the Group/Company's risk management policies and procedures, and reviews the adequacy of the risk management framework in relation to the risks faced by the Group/Company. The Board Audit Committee is assisted in its oversight role by Internal Audit. Internal Audit undertakes both regular and ad hoc reviews of risk management controls and procedures, the results of which are reported to the Board Audit Committee.

	Page
A. Credit risk	
i. Credit quality analysis and maximum exposure to credit risk	251
ii. Concentrations of credit risk	254
iii. Collateral held and other credit enhancements	253
iv. Amounts arising from ECL	256
B. Liquidity risk	
i. Management of liquidity risk	262
ii. Maturity analysis of financial liabilities	263
iii. Liquidity reserves	264
C. Market risk	
i. Management of market risk	264
ii. Interest rate sensitivity	265
D. Capital Management	265

Notes to the Financial Statements

7.3. Credit Risk

Credit risk is the risk of financial loss to the Group/Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from Company's loans, lease and hire purchase receivables to customers and other investment in debt securities.

7.3.1. Management of Credit Risk

Credit risk is managed through a framework that sets out policies and procedures covering the measurement and management of credit risk. A well-defined hierarchy of delegated approval supported by high ethical standards and well established policies and procedures provide a robust framework for the management of credit risk. There is a clear segregation of duties between transaction originators in the business units and approvers in the credit function. All credit exposure limits are approved within a delegated credit approval authority framework. Risk indicators are also set by the Group/Company and monitored through the ALCO, Board of Management (BoM) and BIRMC on a monthly and quarterly basis.

7.3.2. Consideration of current economic conditions on credit risk

Company continued to conduct in-depth analysis of the credit products and customer segments which have been affected and the scale of impact on Company's lending portfolio, through various stress testing techniques including stage shift assessment of portfolios. Though Sri Lanka's economy indicated signs of recovery and growth prospects remain positive, the domestic macro-economic uncertainty arising from geopolitical risks stresses the importance of scenario assessments and resultant post model adjustments which in turn would ensure the resilience of the Company. The Company is comfortable with the existing composition of its loan book, continuous monitoring and proactive measure taken to engage with the customers, cautious risk management strategies adopted and post model adjustments which have been incorporated when assessing expected credit loss as of 31st March 2025.

Credit policies

Company-wide credit policies and procedures are considered and approved by the Board with inputs from Credit and Recoveries Departments. The Board of Management (BoM) and Credit Committee also oversees the delegation of credit approvals and the loan impairment assessment processes through regular reviews. These policies are adequate to reflect the different risk environments and portfolio characteristics of the Group/Company. The Board approves changes to the delegated authority levels pertaining to credit as considered necessary.

Credit approvals

Major credit exposures to individual counterparties, groups of counterparties and product categories are reviewed and approved by the designated officers under the delegated approving limits set by the Board, with the input from the Board of Management and Credit Committee. The credit approving limits in place are structured based on the need of delegation required to manage the network of branches, without compromising the risk appetite of the Group/Company.



7.3.3. Credit quality analysis

The table below sets out an analysis of the loan and receivables from customers and net investment in leases and hire purchase portfolio between those that are neither past due nor impaired, those that are past due but not individually impaired and those that are individually impaired.

As at 31st March	Group		Company	
	2025	2024	2025	2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Neither past due nor individually impaired loans and leases	39,265,632	27,740,103	39,258,559	27,740,223
Past due but not individually impaired loans				
- Up to 30 days past due	17,685,582	12,506,480	17,685,582	12,492,859
- 31-60 days past due	9,849,304	8,870,770	9,849,304	8,870,770
- 61-90 days past due	913,203	3,046,313	913,203	3,046,313
- Over 90 days	879,778	2,301,553	879,778	2,301,553
Individually impaired loans	809,950	1,279,318	809,950	1,279,318
Individually significant impairment	(764,176)	(899,088)	(764,176)	(899,088)
Individually not significant impairment	(2,508,538)	(4,683,996)	(2,508,538)	(4,683,996)
Total loans and advances and leases	66,130,736	50,161,453	66,123,663	50,147,952
Portfolio held at fair value through profit or loss amounts to;	None	None	None	None

Debt and other financial instruments

As at 31st March	Group		Company	
	2025	2024	2025	2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Neither past due nor individually impaired				
Government Securities (Treasury Bills & Bonds)	7,985,888	20,825,693	7,079,311	19,612,806
Total	7,985,888	20,825,693	7,079,311	19,612,806
Neither past due nor individually impaired				
Coporate Debt - Entity External Rating				
AA-(Ika)	2,955,789	-	2,738,580	-
A+(Ika)	1,894,324	429,500	1,186,891	429,500
A (Ika)	3,183,114	1,217,589	2,415,096	1,012,559
A-(Ika)	107,400	2,236,746	104,182	1,655,044
BBB+(Ika)	418,637	620,714	418,637	485,324
BB(Ika)	1,048,978	-	614,369	-
B+(Ika)	-	31,840	-	31,840
A (LRA)	2,050,550	2,726,035	1,611,250	2,489,001
BBB(LRA)	1,203,840	-	1,203,840	-
BBB-(LRA)	236,806	686,420	236,807	686,420
Unrated	-	201,885	-	201,885
Total	13,099,438	8,150,729	10,529,653	6,991,574
Individually impaired				
Coporate Debt - Entity External Rating				
CCC(Ika) (2024 B+(Ika))	3,750	8,750	3,750	8,750
Total	3,750	8,750	3,750	8,750
Financial assets at amortised cost - Debt and other financial instruments	21,089,076	28,985,172	17,612,714	26,613,129

Notes to the Financial Statements

Debt and other financial instruments

The Debt and other financial instruments of the Company amounting to Rs. 17,597,353 (000's) and Group amounting to Rs. 21,070,588 (000's) are classified as neither past due nor individually impaired and reported as under Stage - 1 as of 31st March 2025. (The Debt and other financial instruments of the Company amounting to Rs. 26,599,900 (000's) and Group amounting to Rs. 28,971,594 (000's) were classified as neither past due nor individually impaired and reported as under Stage - 1 as of 31st March 2024.)

7.3.4. Maximum exposure to credit risk

The table below represents the Group/Company's maximum exposure to credit risk for its recognised and contingent financial instruments as at 31st March 2025. For recognised instruments (On Balance Sheet), the maximum exposure to credit risk is the carrying amount reported in the Statement of Financial Position. For contingent instruments (Off Balance sheet), the maximum exposure to credit risk generally represents the contractual notional amounts.

Maximum exposure to credit risk - Group

On Balance sheet exposure - Collateral Type wise

	Amortised cost	Net Exposure	Amortised cost	Net Exposure
As at 31st March	2025	2025	2024	2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cash at banks (Clean)	672,053	672,053	437,030	437,030
Securities bought under repurchase agreements	3,401,767	-	6,200,535	-
Financial assets at amortised cost - Debt and other financial instruments	21,070,588	16,980,609	28,971,594	26,036,256
Loans and receivables - Cash Backed	500,046	-	852,781	-
Loans and lease receivables - Equipment	156,776	-	102,211	-
Loans and receivables - Others	127,017	127,017	121,068	121,068
Loans and receivables - Properties	361,771	-	714,447	-
Loans and lease receivables - Vehicles	64,577,560	-	47,577,164	-
Loans and receivables - Personal & Corporate Guarantees	401,598	263,170	580,997	443,579
Loans and receivables - Unsecured	5,969	5,969	212,784	212,784
Trade & Other receivable (Clean)	1,531,247	1,531,247	1,088,216	1,088,216
	92,806,392	19,580,065	86,858,828	28,338,933

Maximum exposure to credit risk - Company

On Balance sheet exposure - Collateral Type wise

	Amortised cost	Net Exposure	Amortised cost	Net Exposure
As at 31st March	2025	2025	2024	2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cash at banks (Clean)	537,806	537,806	288,639	288,639
Securities bought under repurchase agreements	3,401,767	-	6,090,306	-
Financial assets at amortised cost - Debt and other financial instruments	17,597,353	13,507,374	26,599,900	23,664,562
Loans and receivables - Cash Backed	500,046	-	852,901	-
Loans and lease receivables - Equipment	156,776	-	102,211	-
Loans and receivables - Others	127,017	127,017	121,068	121,068
Loans and receivables - Properties	361,771	-	714,447	-
Loans and lease receivables - Vehicles	64,577,560	-	47,577,164	-
Loans and receivables - Personal & Corporate Guarantees	394,524	263,170	567,377	429,959
Loans and receivables - Unsecured	5,969	5,969	212,784	212,784
Trade & Other receivable (Clean)	77,825	77,825	58,464	58,464
	87,738,413	14,519,161	83,185,261	24,775,476

* Net exposure is presented after considering the collateral and related impairment.



Contingencies and Commitment related exposures - Collateral type wise

As at 31st March		Group		Company	
		2025	2024	2025	2024
		Rs.'000	Rs.'000	Rs.'000	Rs.'000
Instrument	Collateral types				
Guarantees	Cash backed	17,050	18,050	17,050	18,050
Undrawn Commitments - Credit	Vehicles	204,411	119,598	204,411	119,598
Undrawn Commitments - Credit	Trade receivables	75,000	-	75,000	-

7.3.5. Collateral held and other credit enhancements

Most of our lending activities are secured by tangible assets with the majority being motor vehicles and equipment. Hence, the Company has a fall back in the event of default. Collaterals obtained are supported by enforceable documentation. The main types of collaterals obtained are Vehicles, Equipment, Properties, Machinery, Deposits, Trade receivable and, Corporate and Personal Guarantees. The Company does not hold any collateral where it is permitted to sell or re-pledge the collateral in the absence of default by the owner of the collateral. There have not been any change to the quality of collaterals obtained due to change in the policy of collaterals. The Company has not assessed impairment on Securities bought under repurchase agreements due to the fact these are secured by sovereign bills and bonds. Loans which are collateralised by deposits with set off agreements are given under maximum exposure to credit risk as Loans and Receivables - Cash Backed. The total amount of cash backed collateral was Rs.1,083 Million. (2024- Rs. 1,733 Million)

The collaterals held as security for Stage-3 credit facilities & average Loan to Value (LTV) ratio for each collateral type are as follows,

Collateral Type	2025		2024	
	Amortised Cost	Average LTV Ratio	Amortised Cost	Average LTV Ratio
	Rs.'000		Rs.'000	
Immovable Properties	348,017	76%	768,625	44%
Vehicles and Machinery	1,157,326	64%	2,520,662	64%
Other Securities	1,655	41%	7,804	96%
Personal and Corporate Guarantees	134,640	0%	237,944	0%
Unsecured Loans	50,148	0%	62,798	0%
	1,691,786		3,597,833	

LTV - Facility Amount/ Collateral Value

Collateral value of individually significant credit impaired contracts amounted to Rs.114 Million (2024- Rs 925 Million).

The Company's policy is to pursue timely realisation of the collateral in an orderly manner. The Company does not use the non- cash collateral for its own operations. The total repossessed vehicles held by the Company by taking possession of collateral held as security against leases and held as at 31 March 2025 amounted to Rs. 212.44 Million (2024- Rs.433.75 Million).

Notes to the Financial Statements

7.3.6. Concentration of Credit Risk

Credit concentration

The risk of loss due to the concentration of credit risk to a specific product, asset class, sector or counterparty. Credit concentration risk is managed within limits set for counterparty or groups of connected counterparties, asset type, industry sectors, etc. Credit concentrations are monitored by BIRMC and Credit Committee in each of the product type categories and such limits as material to the Group/ Company are reviewed accordingly.

The Company/Group monitors concentration of credit risk by top 20 customer exposure/ geographic locations and by sector.

Top 20 Customer Concentration of the lending portfolio

As at 31st March	Group				Company			
	2025		2024		2025		2024	
	Rs.'000	%	Rs.'000	%	Rs.'000	%	Rs.'000	%
Top 20 Customer exposure	2,183,571	3.15%	2,391,393	4.29%	2,183,571	3.15%	2,391,393	4.29%
Balance Portfolio	67,219,879	96.85%	53,353,144	95.71%	67,212,805	96.85%	53,339,643	95.71%
Total Portfolio (Gross Carrying Amount)	69,403,450	100.00%	55,744,537	100.00%	69,396,376	100.00%	55,731,036	100.00%

Geographical Analysis of the Lending Portfolio

As at 31st March	Group				Company			
	2025		2024		2025		2024	
	Rs.'000	%	Rs.'000	%	Rs.'000	%	Rs.'000	%
Province								
Western	27,244,103	41.20%	20,747,711	41.35%	27,237,030	41.20%	20,734,211	41.35%
Central	9,055,128	13.69%	6,849,819	13.66%	9,055,128	13.69%	6,849,819	13.66%
North Western	8,709,981	13.17%	6,408,458	12.78%	8,709,981	13.17%	6,408,458	12.78%
Sabaragamuwa	5,055,380	7.65%	4,178,754	8.33%	5,055,380	7.65%	4,178,754	8.33%
Southern	5,211,585	7.88%	3,857,217	7.69%	5,211,585	7.88%	3,857,217	7.69%
North Central	3,807,998	5.76%	2,904,873	5.79%	3,807,998	5.76%	2,904,873	5.79%
Uva	3,076,079	4.65%	2,359,785	4.70%	3,076,079	4.65%	2,359,785	4.70%
Eastern	2,309,336	3.49%	1,703,126	3.40%	2,309,336	3.49%	1,703,126	3.40%
Northern	1,661,146	2.51%	1,151,710	2.30%	1,661,146	2.51%	1,151,710	2.30%
Total (Net Carrying Amount)	66,130,736	100.00%	50,161,453	100.00%	66,123,663	100.00%	50,147,953	100.00%



Sector-wise Concentration of the Lending Portfolio

Group

As at 31st March	2025		2024	
	Rs.'000	%	Rs.'000	%
Agriculture, Forestry & Fishing	3,731,235	5.64%	2,273,290	4.53%
Arts, Entertainment & Recreation	219,361	0.33%	75,723	0.15%
Construction & Infrastructure Development	1,247,072	1.89%	1,015,076	2.02%
Consumption Loans	19,413,521	29.35%	12,884,054	25.69%
Education	271,566	0.41%	186,771	0.37%
Financial Services	131,592	0.20%	148,161	0.30%
Health Care, Social Services & Support Services	514,020	0.78%	577,381	1.15%
Information Technology and Communication	277,019	0.42%	194,675	0.39%
Manufacturing	1,870,444	2.83%	1,300,221	2.59%
Professional, Scientific & Technical Activities	1,246,450	1.88%	671,123	1.34%
Tourism	538,992	0.82%	316,889	0.63%
Transportation & Storage	34,693,226	52.46%	29,124,141	58.06%
Wholesale & Retail Trade	1,976,239	2.99%	1,393,948	2.78%
Total (Net Carrying Amount)	66,130,736	100.00%	50,161,453	100.00%

Company

As at 31st March	2025		2024	
	Rs.'000	%	Rs.'000	%
Agriculture, Forestry & Fishing	3,731,235	5.64%	2,273,290	4.53%
Arts, Entertainment & Recreation	219,361	0.33%	75,723	0.15%
Construction & Infrastructure Development	1,247,072	1.88%	1,015,196	2.02%
Consumption Loans	19,406,448	29.35%	12,884,054	25.69%
Education	271,566	0.41%	186,771	0.37%
Financial Services	131,592	0.20%	135,211	0.27%
Health Care, Social Services & Support Services	514,020	0.78%	576,740	1.15%
Information Technology and Communication	277,019	0.42%	194,675	0.39%
Manufacturing	1,870,444	2.83%	1,300,192	2.59%
Professional, Scientific & Technical Activities	1,246,450	1.89%	671,123	1.34%
Tourism	538,992	0.82%	316,889	0.63%
Transportation & Storage	34,693,226	52.46%	29,124,141	58.08%
Wholesale & Retail Trade	1,976,239	2.99%	1,393,948	2.78%
Total (Net Carrying Amount)	66,123,663	100.00%	50,147,953	100.00%

Notes to the Financial Statements

7.3.7. Amount Arising from ECL

Credit Monitoring and Measurement

We regularly monitor credit exposures, portfolio performance and external trends which may impact risk management outcomes. Internal management reports are presented to various committees, containing information on key industry and economic trends. Portfolio delinquency and loan impairments as well as portfolio quality are constantly monitored by the management. The principal objective of credit risk measurement is to produce the most accurate possible quantitative assessment of credit risk to which Company is exposed, from the level of individual facilities up to the total portfolio. Integral to this is the use of a model. The model we use comprises of three core elements;

- Probability of default (PD) – the likelihood of a borrower not being able to honour the obligations.
- Exposure at default (EAD) – the exposure to a borrower who is unable to honour the obligations, at the point of default.
- Loss given default (LGD) – the historical loss associated with a delinquent loan or defaulted borrower.

In addition to the above three elements, the Company also uses forward looking information including macro-economic information to arrive at the expected credit losses.

Prior to 1 April 2023 for leases and other loans the Company had rebutted the presumption of 30 days for significant increase in credit risk and defined it to be 60 days (facilities more than 60 days past due classified as Stage 2) and presumption of 90 days for default defined it to be 120 days (facilities more than 120 days past due classified as Stage 3) to align with the Company's business model, internal risk management practices, the recovery monitoring and follow-up procedure adopted by the Company.

Commencing from 1st April 2023, the Company considers that significant increase in credit risk occurs when contractual payments are more than 30 days past due (facilities more than 30 days past due classify as Stage 2) and default is presumed to occur when contractual payments are more than 90 days past due (facilities more than 90 days past due classify as Stage 3) in line with the Finance Business Act Direction No. 1 of 2020 and SLFRS 09. The Company has aligned its business model, internal risk management practices, and recovery monitoring and follow-up procedures with the new definition outlined in Finance Business Act Direction No. 1 of 2020 w.e.f. 1st April 2023.

Furthermore, as per Section 4.3.1. (i) of the Finance Business Act Direction No. 1 of 2020, effective from 1 April 2025, any credit facility classified as a Non-Performing Loan (NPL) either by exceeding 90 days past due or based on potential credit risk cannot be reclassified as performing until the principal and interest in arrears are fully paid or upon confirmation of the satisfactory performance of the credit facility under potential risk. Although a deferment for the Section 4.3.1 (i) was provided until 1 April 2025, the Company has early adopted Section 4.3.1. (i) for reclassification of non-performing loans (NPLs) to performing loans (PLs) and applied for Stage-3 loans classification and for the purpose of computation of Expected Credit Loss (ECL) as of 31st March 2025.

The methodology adopted was used consistently at each reporting date except for the change in the definition of significant increase in credit risk to be more than 30 days past due and default definition to be more than 90 days past due as described above and adoption of section 4.3.1.(i) of the direction as of 31st March 2025. The impairment based on the expected credit loss model computed for individually significant loans and individually not significant loans for identified risk categories is given in Note 17 to the financial statements on pages 283 to 290. The total interest income on impaired financial assets accrued for the year 2024/25 amounted to Rs. 229 Million. (2023/24 - Rs. 230 Million).

Modified Financial Assets

When a loan/ lease has been renegotiated and modified but not derecognised, a re-assessment is performed to see whether there's a significant increase in credit risk based on the qualitative risk factors for individual significant customers and cumulative days past due of the renegotiated credit contract. All the re-scheduled contracts days past due represent in aggregate, the period of time the credit facility was in arrears before re-scheduling and after re-scheduling unless upgraded based on servicing of the loan/ lease satisfactorily for the specific watchout curing periods specified in Finance Business Act Direction No 01 of 2020 and as per Company's internal policies for upgrading. The gross carrying amount of loans/ leases that would otherwise be past due or impaired, whose terms have been modified and reverts being measured at an amounts equal to 12 months expected credit loss amounted to Rs. 675 Million as of 31st March 2025 (2024 - Rs.826 Million). The modified loans/ leases assessed with significant increase in credit



risk amounted to Rs. 698 Million (2024 - Rs. 964 Million) and life time impairment of such modified loans/ leases amounted to Rs. 423 Million (2024 - Rs. 512 Million). On such loan/lease, life time impairment is computed considering them as having significant increase in credit risk and at subsequent reporting periods if those loans/leases are no longer considered to have experienced a significant increase in credit risk, impairment on such loans is assessed for 12 months. There were no gains or losses recognized during the year in modifying these contracts.

The Company/Group's individually significant loans are categorised into two broad categories and the following factors were considered in determining the impairment of those assets;

- Loan servicing history of the borrower
- Borrower's with legal and regulatory compliance
- Financial standing of the borrower
- Other general economic conditions affecting the borrower's repayment ability

In assessing the Expected Credit Loss (ECL) for the year ended 31 March 2025, Company has taken into consideration the potential losses in loans and lease portfolios due to macro-economic uncertainty despite the growth prospects in Sri Lankan economy. The impairment recognized in the financial statements includes management overlays for the potential impairment that could arise from the loans and lease portfolios, as post model adjustments by using various scenario based stress testing technique by stage shifting portfolios from existing stages to worse stages to ensure adequate provision for impairment is recognized in the financial statements as of 31 March 2025. The Company re-assessed the management overlay taking in to consideration the positive signs of macro-economic conditions as of 31st March 2025.

For impairment assessment of individually significant customers, Company has identified the customers showing distress signs in identifying SICR. As part of management overlay, the projected recovery cash flows were extended to reflect the current market conditions. Collective impairment assessment has been carried out by using ECL model which has been refined with assumptions to reflect the current economic conditions. The Company has also used various scenario based macro economic factor assessment including the qualitative indicators relating to forward looking macro economic environment with the objective of capturing the growth prospects in the macro-economic conditions.

Credit Risk Exposure Impairment Stage Wise (Leases, Loans and Debt & Other Financial Assets)

Group				
As at 31st March	2025		2024	
	Amortized Cost	Impairment	Amortized Cost	Impairment
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Stage 1	81,940,692	1,070,000	74,759,290	1,822,338
Stage 2	10,847,933	887,921	11,201,808	1,414,328
Stage 3	363,996	1,390,625	1,366,089	2,421,245
	93,152,621	3,348,546	87,327,187	5,657,911

Company				
As at 31st March	2025		2024	
	Amortized Cost	Impairment	Amortized Cost	Impairment
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Stage 1	77,337,533	1,065,024	71,683,600	1,817,728
Stage 2	10,386,041	879,178	10,733,988	1,406,340
Stage 3	351,655	1,354,166	1,234,110	2,383,346
	88,075,228	3,298,368	83,651,698	5,607,414

Notes to the Financial Statements

The following tables show reconciliations from the opening to the closing balance of the amortised cost and loss allowance by class of financial instruments. The basis for determining transfers due to changes in credit risk is given in the accounting policy on note 17.

Group Credit Exposure Movement - ECL stage-wise lending portfolios - loans/leases

As at 31st March	Group			
	2025			
	Stage 01	Stage 02	Stage 03	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Amortised cost as at the Beginning of the Year	40,006,377	12,140,328	3,597,832	55,744,537
Transfer to Stage 01	1,986,740	(1,925,374)	(61,366)	-
Transfer to Stage 02	(3,688,687)	3,743,188	(54,501)	-
Transfer to Stage 03	(145,887)	(246,229)	392,116	-
New Assets Originated or Purchased	43,024,769	4,725,407	82,130	47,832,306
Financial Assets Derecognised or Repaid	(24,736,417)	(7,168,349)	(1,841,316)	(33,746,082)
Write-offs	(449)	(3,753)	(423,109)	(427,311)
As at the End of the Year	56,446,446	11,265,218	1,691,786	69,403,450

As at 31st March	Group			
	2024			
	Stage 01	Stage 02	Stage 03	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Amortised cost as at the Beginning of the Year	39,425,646	7,549,813	5,339,456	52,314,915
Transfer to Stage 01	1,125,192	(832,332)	(292,860)	-
Transfer to Stage 02	(6,008,412)	6,206,126	(197,714)	-
Transfer to Stage 03	(797,831)	(678,729)	1,476,560	-
New Assets Originated or Purchased	30,283,890	3,846,109	121,851	34,251,850
Financial Assets Derecognized or Repaid	(24,022,108)	(3,950,659)	(2,389,030)	(30,361,797)
Write-offs	-	-	(460,431)	(460,431)
As at the End of the Year	40,006,377	12,140,328	3,597,832	55,744,537

Company Credit Exposure Movement - ECL stage-wise lending portfolios - loans/leases

As at 31st March	Company			
	2025			
	Stage 01	Stage 02	Stage 03	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Amortised cost as at the Beginning of the Year	39,992,876	12,140,328	3,597,832	55,731,036
Transfer to Stage 01	1,986,740	(1,925,374)	(61,366)	-
Transfer to Stage 02	(3,688,687)	3,743,188	(54,501)	-
Transfer to Stage 03	(145,887)	(246,229)	392,116	-
New Assets Originated or Purchased	43,017,384	4,725,407	82,130	47,824,921
Financial Assets Derecognized or Repaid	(24,722,605)	(7,168,349)	(1,841,316)	(33,732,270)
Write-offs	(449)	(3,753)	(423,109)	(427,311)
As at the End of the Year	56,439,372	11,265,218	1,691,786	69,396,376



As at 31st March	Company			
	2024			
	Stage 01	Stage 02	Stage 03	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Amortised cost as at the Beginning of the Year	39,425,746	7,549,813	5,339,456	52,315,015
Transfer to Stage 01	1,125,192	(832,332)	(292,860)	-
Transfer to Stage 02	(6,008,412)	6,206,126	(197,714)	-
Transfer to Stage 03	(797,831)	(678,729)	1,476,560	-
New Assets Originated or Purchased	30,272,703	3,846,109	121,851	34,240,663
Financial Assets Derecognised or Repaid	(24,024,522)	(3,950,659)	(2,389,030)	(30,364,211)
Write-offs	-	-	(460,431)	(460,431)
As at the End of the Year	39,992,876	12,140,328	3,597,832	55,731,036

Impairment charge/(reversal) on the lending portfolios - loans/leases

As at 31st March	Group	
	2025	2024
	Rs.'000	Rs.'000
Stage 01	(759,168)	(324,392)
Stage 02	(523,409)	170,865
Stage 03	(600,411)	209,751
Impairment charge/(reversal) on the lending portfolios	(1,882,988)	56,224

Impairment charges recognised against loans and advances include the overlay adjustments made in Stage 1,2 and 3 using various stress testing techniques in order to address the potential implications associated with uncertain macroeconomic conditions.

Stage Movement in Allowance for impairment losses on lending portfolios - loans/leases

As at 31st March	Company/Group			
	2025			
	Stage 01	Stage 02	Stage 03	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Amortised cost as at the Beginning of the Year	1,813,022	1,406,339	2,363,723	5,583,084
Transfer to Stage 01	57,947	(56,395)	(1,552)	-
Transfer to Stage 02	(282,215)	287,221	(5,006)	-
Transfer to Stage 03	(57,588)	(114,944)	172,532	-
New Assets Originated or Purchased	676,850	384,515	79,168	1,140,533
New measurement of impairment	(628,019)	(215,494)	(101,694)	(945,207)
Financial Assets Derecognized or Repaid	(526,143)	(808,311)	(743,931)	(2,078,385)
Write-offs	(449)	(3,753)	(423,109)	(427,311)
As at the End of the Year	1,053,405	879,178	1,340,131	3,272,714

Notes to the Financial Statements

As at 31st March	Company/Group			
	2024			
	Stage 01	Stage 02	Stage 03	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Amortised cost as at the Beginning of the Year	2,137,414	1,235,475	2,614,440	5,987,329
Transfer to Stage 01	65,119	(49,817)	(15,302)	-
Transfer to Stage 02	(687,658)	711,031	(23,373)	-
Transfer to Stage 03	(313,931)	(356,172)	670,103	-
New Assets Originated or Purchased	1,135,752	466,749	41,494	1,643,995
New measurement of impairment	(367,473)	(207,193)	315,985	(258,681)
Financial Assets Derecognised or Repaid	(156,200)	(393,734)	(779,193)	(1,329,127)
Write-offs	-	-	(460,431)	(460,431)
As at the End of the Year	1,813,022	1,406,339	2,363,723	5,583,084

Impairment Provision by Class of Financial Instruments of the Group

	Impairment as at 01.04.2024	12 months ECL for the year Stage 01	lifetime ECL not credit- impaired Stage 02	lifetime ECL credit-impaired Stage 03	Impairment as at 31.03.2025
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cash and cash equivalents	234	(221)	-	-	13
Financial assets at amortised cost - Debt and other financial instruments	13,578	9,910	-	(5,000)	18,488
Loan and receivables from customers	1,103,202	23,728	22,655	(242,489)	907,096
Net investment in lease and hire purchase	4,479,882	(783,345)	(549,817)	(781,103)	2,365,618
Trade and other receivables	61,015	(2,410)	755	(2,029)	57,331
Total	5,657,911	(752,338)	(526,407)	(1,030,620)	3,348,546

	Impairment as at 01.04.2023	12 months ECL for the year Stage 01	lifetime ECL not credit- impaired Stage 02	lifetime ECL credit-impaired Stage 03	Impairment as at 31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cash and cash equivalents	214	20	-	-	234
Financial assets at amortised cost - Debt and other financial instruments	52,128	(33,550)	-	(5,000)	13,578
Loan and receivables from customers	961,282	(2,064)	(3,007)	146,991	1,103,202
Net investment in lease and hire purchase	5,026,047	(322,328)	173,872	(397,708)	4,479,882
Trade and other receivables	198,566	4,255	7,988	(149,794)	61,015
Total	6,238,237	(353,667)	178,853	(405,511)	5,657,911



Impairment Provision by Class of Financial Instruments of the Company

	Impairment as at 01.04.2024	12 months ECL for the year Stage 01	lifetime ECL not credit- impaired Stage 02	lifetime ECL credit-impaired Stage 03	Impairment as at 31.03.2025
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cash and cash equivalents	228	(220)	-	-	8
Financial assets at amortised cost - Debt and other financial instruments	13,229	7,132	-	(5,000)	15,361
Loan and receivables from customers	1,103,202	23,728	22,655	(242,489)	907,096
Net investment in lease and hire purchase	4,479,882	(783,345)	(549,817)	(781,102)	2,365,618
Trade and other receivables	10,873	-	-	(588)	10,285
Total	5,607,414	(752,705)	(527,162)	(1,029,179)	3,298,368

	Impairment as at 01.04.2023	12 months ECL for the year Stage 01	lifetime ECL not credit- impaired Stage 02	lifetime ECL credit-impaired Stage 03	Impairment as at 31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cash and cash equivalents	211	17	-	-	228
Loan and receivables from banks	47,999	(29,770)	-	(5,000)	13,229
Loan and receivables from customers	961,282	(2,064)	(3,007)	146,990	1,103,202
Net investment in lease and hire purchase	5,026,046	(322,327)	173,872	(397,708)	4,479,882
Trade and other receivables	10,762	-	-	111	10,873
Total	6,046,300	(354,144)	170,865	(255,607)	5,607,414

Cash at Bank are held in Licensed Commercial Banks with AA-(lka) to A-(lka) rating by the external rating agencies.

Sensitivity of ECL to Future Economic Conditions

The uncertainty and volatility associated with the prevailing economic conditions and geopolitical conditions despite macro economic growth prospects, has introduced significant estimation uncertainty in relation to the measurement of allowance for expected credit losses. The uncertainty of the macro-economic environment and business and consumer responses in relation to the same could result in significant adjustments to the allowance for expected credit losses in future financial years.

Given current economic uncertainties and the judgment applied to factors used in determining the expected default of borrowers in future periods, expected credit losses reported by the Company should be considered as a best estimate within a range of possible estimates.

Notes to the Financial Statements

Sensitivity effect on statement of financial position Rs. 000's					
(Closing Impairment)					
	Stage 01	Stage 02	Stage 03	Total	Sensitivity effect on Income Statement (Impairment Charge)
10% increase of PD	19,990	10,806	-	30,796	30,796
10% decrease of PD	(19,990)	(10,806)	-	(30,796)	(30,796)
5% increase of LGD	105,558	67,635	29,407	202,600	202,600
5% decrease of LGD	(105,558)	(67,635)	(29,407)	(202,600)	(202,600)
Change in scenario weightages					
Worse case 5% increase and base case 5% decrease, best case constant	1,544	697	-	2,241	2,241
Worse case 5% decrease and base case 5% increase, best case constant	(1,544)	(697)	-	(2,241)	(2,241)

7.4. Liquidity Risk

Liquidity risk is the risk that the Group/Company could encounter difficulty in meeting obligations associated with its financial liabilities that are to be settled by delivering cash or another financial asset. Liquidity risk arises from mismatches in the timing and amounts of cash flows, which are inherent to the Group/Company's operations.

7.4.1. Management of liquidity risk

Policy, framework and governance

The Company has in place a robust and comprehensive set of policies and procedures for assessing, measuring and controlling the liquidity risk. This ensures that the Company always maintains sufficient, eligible and appropriate financial resources to meet its future financial commitments as they fall due. The Statement of Financial Position and the liquidity position have remained strong and surpass the regulatory liquidity thresholds comfortably. It is the Company's policy to maintain adequate liquidity at all times and be in a position to meet all obligations as they fall due. Customer deposits provide stable funding to support the majority of our lending. The Company also has a contingency funding plan by way of undrawn approved bank lines. The analysis of maturing contractual financial liabilities is given below.

Liquidity measurement and monitoring

The Company uses a set of internal and regulatory metrics and analysis to assess liquidity risk. ALCO is the monitoring body responsible for overseeing the liquidity management policies. The Treasury Department receives direction from ALCO and is responsible for managing liquidity limits. Liquidity risk is a standing agenda item at our monthly ALCO meetings. The pricing of deposit maturities are done in a way to curb the maturity mismatches between our lending and borrowing portfolios.

Management is closely monitoring the developments related to significant volatility in market interest rates and has continued to keep its risk management measures under review to readily respond to changing circumstances. The Company is satisfied with its existing buffer of liquid assets and other short term financial instruments.



7.4.2. Maturity analysis for financial liabilities

The following tables set out the remaining contractual maturities of the Company's financial liabilities;

Company	Up to 3 months		3 to 12 months		1 to 3 years		3 to 5 years		More than 5 years		Total	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Bank overdrafts	452,705	414,157	-	-	-	-	-	-	-	-	452,705	414,157
Financial liabilities at amortised cost - Deposits	16,766,982	18,878,542	16,116,610	18,151,331	11,854,713	6,846,589	1,367,142	8,516,452	-	-	46,105,447	52,392,914
Lease liabilities	44,685	36,607	175,796	147,317	435,972	237,146	371,764	168,636	205,397	208,547	1,233,614	798,252
Total interest bearing liabilities	17,264,372	19,329,306	16,292,406	18,298,648	12,290,685	7,083,735	1,738,906	8,685,088	205,397	208,547	47,791,766	53,605,323
Group												
Bank overdrafts	464,813	464,254	-	-	-	-	-	-	-	-	464,813	464,254
Financial liabilities at amortised cost - Interest bearing borrowings	2,295	4,659	2,254	14,341	-	-	-	-	-	-	4,549	19,000
Financial liabilities at amortised cost - Deposits	16,593,749	18,668,450	15,962,384	18,007,527	11,854,713	6,846,589	1,187,142	8,336,452	-	-	45,597,988	51,859,018
Lease liabilities	30,585	24,731	133,496	111,688	311,892	237,146	235,276	168,636	205,397	208,547	916,646	750,748
Total interest bearing liabilities	17,091,442	19,162,094	16,098,133	18,133,556	12,166,605	7,083,735	1,422,418	8,505,088	205,397	208,547	46,983,995	53,093,020

The maturity analysis of financial assets are disclosed in Note 60 to the financial statements.

Liquidity reserves

As part of the management of liquidity risk arising from financial liabilities, the Group/Company holds liquid assets comprising cash and cash equivalents, and debt securities issued by sovereigns, which can be readily sold to meet liquidity requirements. In addition, the Company maintains agreed lines of credit with banks and holds short term assets that can be converted to cash with short notice.

Notes to the Financial Statements

As at	31.03.2025	31.03.2024
	Rs.'000	Rs.'000
Liquid assets available against the minimum requirement		
The required minimum amount of liquid assets	4,275,168	4,479,954
Total liquid assets	11,125,704	27,360,288
Surplus	6,850,536	22,880,334
The required minimum amount of approved securities	3,164,692	3,102,687
The available amount of approved securities	10,481,078	25,703,112
Surplus	7,316,386	22,600,425

7.5. Market Risk

Market risk is the risk of changes in market prices – e.g. interest rates, equity prices, foreign exchange rates and credit spreads (not relating to changes in the obligor's/issuer's credit standing) will affect the Group's/Company's income or the value of its holdings of financial instruments. The objective of the Group's/Company's market risk management is to manage and control market risk exposures within acceptable parameters to ensure the Group's/Company's solvency while optimising the return on risk.

The Group/Company does not have any exposure to foreign currency risk as there are no foreign currency assets or liabilities as at 31st March 2025.

7.5.1. Management of market risks

Organisation and Structure

The Board approves the appetite for market risks and the framework of limits applicable for same. The Group/Company has a strong control environment facilitated by a well-structured organization which has enabled it to strengthen segregation of duties in respect of critical functions. The Group/Company is exposed to the following market risks.

- interest rate risk: arising from changes in yield curves and credit spreads
- equity price risk, arising from changes in the prices of equities and equity price indices

7.5.2. Equity price risk

The Group/Company is exposed to market movements in equity price fluctuations through the quoted Fair Value through Profit or Loss Investments portfolio. The BIRMC and ALCO continually review the relevant exposure limits. A comprehensive evaluation process is also carried out prior to investment decisions. Regular monitoring of price levels is done through the Investment function to mitigate adverse movements in the stock market.

Equity price sensitivity

Sensitivity analysis measures the sensitivity of the current portfolio to defined market risk factor movements. The table below gives the sensitivity analysis of the market risks, the Group/Company is exposed to.

As at 31st March	Impact to Profit and Equity			
	Group		Company	
	2025	2024	2025	2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Assumption				
Increase/ decrease in equity price by 10%	135,537	43,698	130,116	32,529
Increase/ decrease in equity price by 20%	271,075	87,396	260,233	65,057



7.5.3. Interest Rate Sensitivity

The table below shows a sensitivity analysis on pre-tax net interest income for non-trading financial assets and financial liabilities. This sensitivity analysis was performed on the net interest margin for the year and the methodology adopted is consistent with the previous years' methodologies.

As at 31st March	Impact to Profit and Equity			
	Group		Company	
	2025	2024	2025	2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Assumption				
Increase/ decrease in Interest margin by 1%	478,558	406,415	437,059	377,061
Increase/ decrease in Interest margin by 2%	957,117	812,829	874,118	754,123

7.6. Capital Management

The Company's approach to capital management is driven by strategic and organisational requirements, taking into account the regulatory, economic and commercial environment. The Company maintains a strong capital base to support the risks inherent in its business. For regulatory purposes, the Company's capital base is divided into two main categories, namely Core Capital (Tier 1) and Total Risk Weighted Capital (Tier 2). The composition of capital under the current regulatory requirement for 31st March 2025 is provided in the table below.

As at	31.03.2025	31.03.2024
	Rs.'000	Rs.'000
Tier I capital	51,255,142	46,358,813
Stated capital	2,230,286	2,230,286
Reserve fund	3,504,000	3,204,000
Audited retained earnings	21,215,431	16,619,101
(less) Revaluation gains of investment property	(6,350)	(6,350)
General and other disclosed reserves	24,311,775	24,311,775
Adjustments to Tier I capital	3,745,580	1,197,731
Other intangible assets (net)	242,956	270,266
50% of investment in banking and financial subsidiary companies	24,750	24,750
50% of investment in other banking and financial institutions	3,477,874	902,716
Tier I Capital (after adjustments)	47,509,562	45,161,081
Revaluation gains	1,223,761	1,227,925
Eligible Tier 2 Capital	1,223,761	1,227,925
Total Adjustments to eligible Tier 2 Capital	3,502,624	927,466
50% of investment in banking and financial subsidiary companies	24,750	24,750
50% of investment in other banking and financial institutions	3,477,874	902,716
Eligible Tier 2 Capital after adjustments	2,278,863	300,460
Total Capital	45,230,699	45,461,541
Tier I Capital Adequacy Ratio - Minimum 10%	47.05%	54.52%
Total Capital Adequacy Ratio - Minimum 14%	44.79%	54.88%

Notes to the Financial Statements

8. FAIR VALUES OF FINANCIAL INSTRUMENTS

Accounting Policy

Fair value measurement

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Group/ Company has access at that date. The fair value of a liability reflects its non-performance risk.

If there's no quoted price in an active market, then the Group/Company uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument on initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received. If the Group/Company determines that the fair value on initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique for which any unobservable inputs are judged to be insignificant in relation to the difference, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value on initial recognition and the transaction price. Subsequently, that difference is recognised in income statement on an appropriate basis over the life of the instrument but no later than when the valuation is wholly supported by observable market data or the transaction is closed out.

The Group/Company recognises transfers between levels of the fair value hierarchy as of the end of the reporting period during which the changes, if any, has occurred.

Valuation models

Valuation techniques include net present value and discounted cash flow models, comparison with similar instruments for which observable market prices exist, and other valuation models.

The objective of valuation techniques is to arrive at a fair value measurement that reflects the price that would be received to sell the asset or paid to transfer the liability in an orderly transaction between market participants at the measurement date.

The Group/Company uses widely recognised valuation models to determine the fair value of common and simple financial instruments. Observable prices or model inputs are usually available in the market for listed debt and equity securities. The availability of observable market prices and model inputs reduces the need for management judgment and estimation and also reduces the uncertainty associated with determining fair values. The availability of observable market prices and inputs varies depending on the products and markets and is prone to changes based on specific events and general conditions in the financial markets.

Fair Value Hierarchy

The Group/Company measures the fair values of financial instruments using the following fair value hierarchy, which reflects the significance of the inputs used in making the measurements.

Level 1 - Fair value measurement using quoted market prices

When available, the fair values of financial instruments are determined using quoted market prices (unadjusted) in active markets for identical instruments. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis. Quoted equities are valued under Level 1 by referring to published market prices.



Level 2 - Fair value measurement using significant observable inputs

In the absence of an active market for a financial instrument, the fair value is determined using valuation techniques. These include discounted cash flow analysis, effective interest rate calculations and forecasted future cash flow calculations using recent arm's length transactions between knowledgeable and willing parties. These valuation techniques make maximum use of market inputs, incorporate all factors that market participants would consider in setting a price and are consistent with accepted economic methodologies for pricing financial instruments. Investments in unit trusts are valued under level 2 by referring to prices published by the unit trusts managers.

Level 3 - Fair value measurement using significant unobservable inputs

Financial instruments for which the valuation technique includes inputs that are not observable and the unobservable inputs have a significant effect on the instrument's valuation. Fair value of such instruments are determined using a valuation model that has been tested against prices or inputs to actual market transactions and best estimates of the most appropriate model assumptions. Fair value of unquoted equity securities are determined using net assets value as an approximation of its fair value.

ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS - Fair value of financial instruments

The determination of fair values of financial assets and financial liabilities recorded in the statement of financial position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical models. The inputs to these models are derived from observable market data where possible, but if this is not available, judgement is required to establish their fair values. The Group/Company measures fair value using the fair value hierarchy that reflects the significance of inputs used in making measurements.

Uncertain macro economic conditions

The Group/Company evaluates the material accuracy of the valuations incorporated in the financial statements as they can involve a high degree of judgment and estimation in determining the carrying values of financial assets and financial liabilities at the reporting date.

The majority of valuation models the Group/Company uses only observable market data as inputs. The Group/Company has considered the impact of related economic and market disruptions on fair value measurement assumptions and the appropriateness of valuation inputs, notably valuation adjustments, as well as the impact of economic conditions on the classification of exposures in the fair value hierarchy.

For certain financial instruments, the Company may use data that is not readily observable in current markets. If we use unobservable market data, then we need to exercise more judgement to determine fair value depending on the significance of the unobservable input to the overall valuation. Generally, we derive unobservable inputs from other relevant market data and compare them to observed transaction prices where available.

When establishing the fair value of a financial instrument using a valuation technique, the Group/Company considers valuation adjustments in determining the fair value.

Notes to the Financial Statements

8.1. Financial assets measured at fair value - Fair value hierarchy

The following table analyses the carrying amounts of the financial instruments by category as defined in Sri Lanka Accounting Standard- SLFRS 9 Financial Instruments.

Fair value through profit or loss financial assets

As at 31st March	Group			
	2025			
	Level 1	Level 2	Level 3	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Investments in quoted securities	591,404	-	-	591,404
Unquoted equities	-	-	167,822	167,822
Investments in units	-	1,048,223	-	1,048,223
	591,404	1,048,223	167,822	1,807,449

Fair value through profit or loss financial assets

As at 31st March	Group			
	2024			
	Level 1	Level 2	Level 3	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Investments in quoted securities	436,982	-	-	436,982
Unquoted equities	-	-	120,303	120,303
Investments in units	-	3,351,230	-	3,351,230
	436,982	3,351,230	120,303	3,908,515

Fair value through profit or loss financial assets

As at 31st March	Company			
	2025			
	Level 1	Level 2	Level 3	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Investments in quoted securities	537,191	-	-	537,191
Unquoted equities	-	-	165,505	165,505
Investments in units	-	763,974	-	763,974
	537,191	763,974	165,505	1,466,670

Fair value through profit or loss financial assets

As at 31st March	Company			
	2024			
	Level 1	Level 2	Level 3	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Investments in quoted securities	325,285	-	-	325,285
Unquoted equities	-	-	118,390	118,390
Investments in units	-	2,586,214	-	2,586,214
	325,285	2,586,214	118,390	3,029,889



Notes to the Financial Statements

8.4. Fair value of financial assets and liabilities not measured at fair value - Group

As at 31st March 2025	Fair Value				
	Amortised cost	Level 1	Level 2	Level 3	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cash and cash equivalents	1,011,416	-	1,011,416	-	1,011,416
Securities bought under repurchase agreements	3,401,767	-	3,416,889	-	3,416,889
Financial assets at amortised cost- Debt and other financial instruments	21,070,588	-	21,569,434	-	21,569,434
Financial assets at amortised cost- Loans and receivables from customers	9,574,069	-	10,018,904	-	10,018,904
Financial assets at amortised cost- Net investment in leases and hire purchase	56,556,667	-	56,556,667	-	56,556,667
Trade receivables	1,419,590	-	1,419,590	-	1,419,590
Other financial assets	111,658	-	111,658	-	111,658
Total financial assets	93,145,755	-	94,104,558	-	94,104,558
Bank overdrafts	464,813	-	464,813	-	464,813
Financial liabilities at amortised cost -Deposits	41,675,987	-	42,826,994	-	42,826,994
Financial liabilities at amortised cost -Interest bearing borrowings	4,444	-	4,548	-	4,548
Lease liabilities	601,993	-	695,981	-	695,981
Other financial liabilities	1,534,623	-	1,534,623	-	1,534,623
Total financial liabilities	44,281,860	-	45,526,959	-	45,526,959

As at 31st March 2024	Fair Value				
	Amortised cost	Level 1	Level 2	Level 3	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cash and cash equivalents	905,389	-	905,389	-	905,389
Securities bought under repurchase agreements	6,200,535	-	6,201,905	-	6,201,905
Financial assets at amortised cost- Debt and other financial instruments	28,971,594	-	29,091,758	-	29,091,758
Financial assets at amortised cost- Loans and receivables from customers	5,958,437	-	6,288,272	-	6,288,272
Financial assets at amortised cost- Net investment in leases and hire purchase	44,203,016	-	44,203,016	-	44,203,016
Trade receivables	1,000,140	-	1,000,140	-	1,000,140
Other financial assets	88,076	-	88,076	-	88,076
Total financial assets	87,327,187	-	87,778,556	-	87,778,556
Bank overdrafts	464,254	-	464,254	-	464,254
Financial liabilities at amortised cost -Deposits	43,737,485	-	45,962,731	-	45,962,731
Financial liabilities at amortised cost -Interest bearing borrowings	18,024	-	17,671	-	17,671
Lease liabilities	472,351	-	469,663	-	469,663
Other financial liabilities	821,287	-	821,287	-	821,287
Total financial liabilities	45,513,401	-	47,735,606	-	47,735,606



Fair value of financial assets and liabilities not measured at fair value - Company

As at 31st March 2025	Fair Value				
	Amortised cost	Level 1	Level 2	Level 3	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cash and cash equivalents	874,621	-	874,621	-	874,621
Securities bought under repurchase agreements	3,401,767	-	3,416,889	-	3,416,889
Financial assets at amortised cost- Debt and other financial instruments	17,597,353	-	17,765,194	-	17,765,194
Financial assets at amortised cost- Loans and receivables from customers	9,566,996	-	10,011,831	-	10,011,831
Financial assets at amortised cost- Net investment in leases and hire purchase	56,556,667	-	56,556,667	-	56,556,667
Other financial assets	77,825	-	77,825	-	77,825
Total financial assets	88,075,229	-	88,703,027	-	88,703,027
Bank overdrafts	452,705	-	452,705	-	452,705
Financial liabilities at amortised cost -Deposits	42,122,280	-	43,273,287	-	43,273,287
Lease liabilities	841,908	-	935,896	-	935,896
Other financial liabilities	1,389,917	-	1,389,917	-	1,389,917
Total financial liabilities	44,806,810	-	46,051,805	-	46,051,805

As at 31st March 2024	Fair Value				
	Amortised cost	Level 1	Level 2	Level 3	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cash and cash equivalents	755,076	-	755,076	-	755,076
Securities bought under repurchase agreements	6,090,306	-	6,091,676	-	6,091,676
Financial assets at amortised cost- Debt and other financial instruments	26,599,900	-	26,595,901	-	26,595,901
Financial assets at amortised cost- Loans and receivables from customers	5,944,936	-	6,274,771	-	6,274,771
Financial assets at amortised cost- Net investment in leases and hire purchase	44,203,016	-	44,203,016	-	44,203,016
Other financial assets	58,464	-	58,464	-	58,464
Total financial assets	83,651,698	-	83,978,904	-	83,978,904
Bank overdrafts	414,157	-	414,157	-	414,157
Financial liabilities at amortised cost -Deposits	44,200,604	-	46,425,850	-	46,425,850
Lease liabilities	517,267	-	514,292	-	514,292
Other financial liabilities	697,121	-	697,121	-	697,121
Total financial liabilities	45,829,149	-	48,051,420	-	48,051,420

Notes to the Financial Statements

Fair values of the following assets and liabilities are estimated for the purpose of disclosure as described below:

Financial assets measured at amortised cost - loans and receivables from customers/net investment in leases and hire purchases

The loans and receivables from customers/net investment in leases and hire purchases comprise of long term and short term loans, sub loans, loans against fixed deposits and loans to employees granted at fixed rates, leases and hire purchases. The carrying value of short term loans/leases generally approximates the fair value due to the short term nature, while the fair value of long term loans and receivables from customers/net investment in leases and hire purchases are determined by discounting the expected future cash flows using the lending rates prevailed at the reporting dates.

Financial assets measured at amortised cost - debt and other instruments

These comprise of investments in treasury bills, treasury bonds, fixed deposits with banks and financial institutions, commercial and securitisation papers and debentures.

The fair values of treasury bills, treasury bonds, debentures, deposits with banks and financial institutions and investments in commercial and securitisation papers are estimated at the present value of future cash flows expected to be received from such investments calculated based on interest rates at the reporting date for similar instruments.

Financial liabilities measured at amortised cost - Deposits

The fair value of customer deposits which are repayable on demand or have a remaining contractual maturity of less than one year, approximates to the carrying value of such deposits.

The fair value of customer deposits with a contractual maturity of more than one year, is estimated as the present value of future cash flows expected from such deposits calculated based on interest rates at the reporting date for similar types of deposits.

Financial liabilities at amortised cost -Interest bearing borrowings

The fair value of interest bearing borrowings is determined by discounting the future cash flows by the interest rates prevailing as at the reporting date for similar instruments.

Other financial assets and liabilities

The carrying values of assets and liabilities listed below are reasonable approximation of their fair values since, those are short term in nature or re-priced to current market rates frequently:

Assets	Liabilities
Cash and cash equivalents	Bank overdrafts
Securities bought under repurchase agreements	Other financial liabilities
Trade receivables	
Other financial assets	



9. BUSINESS SEGMENT INFORMATION

Accounting policy

A segment is a distinguishable component of the Group that is engaged in providing an individual product or service (business segment) or in providing services within a particular economic environment (geographical segment) which is subject to risks and rewards that are different from those of other segments. In accordance with Sri Lanka Accounting Standard (SLFRS 8) - Operating Segments, segmental information is presented for identifiable operative units of the Group. Inter-segment transfers are accounted for at competitive fair market prices charged to inter-company counterparts for similar services and such services are eliminated on consolidation. Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

Management monitors the operating results of its business units separately for the purpose of making decisions about resources allocation and performance assessment. Unallocated items comprise mainly corporate assets, expenses, tax assets and liabilities.

No revenue from transactions with a single external customer or counter party amounted to 10% or more of the Group's total revenue in 2024/25 and 2023/24.

Basis for Segmentation

Group's activities have been segregated into six segments according to the nature of products or services rendered. These business segments comprise of leasing hire purchase and advances, medical services, manufacturing, insurance broking, investments and real estate.

Segment performance is evaluated based on operating income, profits or losses which, in certain respects, are measured differently from operating profits or losses in the consolidated financial statements.

Income taxes are not allocated to operating segments. Other expenses which cannot be directly identified against a particular business segment have been treated as consolidation adjustments.

The Group's management reviews internal management reports from each division at least monthly.

Notes to the Financial Statements

9.1. Information about reportable segments

Segment information is presented in respect of the Group's business segments. The Group's primary format for segment reporting is based on business segments. The business segments are determined based on the Group's management and internal reporting structure.

BUSINESS SEGMENT INFORMATION

	Leasing, hire purchase and other advances		Medical services		Manufacturing	
For the year ended 31st March	2025	2024	2025	2024	2025	2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Revenue						
Interest income	13,793,858	12,942,365	19,987	18,238	121,357	183,295
Other revenue	-	-	165,669	157,605	5,347,078	4,356,954
Net income from financial instruments at FVTPL	245	28	7,688	9,584	20,306	24,766
Operating lease income	1,469,016	1,186,002	-	-	-	-
Other income	1,556,124	1,054,180	2,087	2,262	3,584	6,926
Income from external customers	16,819,243	15,182,575	195,431	187,689	5,492,325	4,571,941
Inter - segment income	46,134	60,872	-	1	44	41
Total income	16,865,377	15,243,447	195,431	187,690	5,492,369	4,571,982
Expenses						
Interest expenses	(3,239,939)	(3,971,884)	-	-	-	-
Depreciation & amortisation	(628,567)	(579,524)	(6,556)	(8,153)	(89,781)	(68,065)
Cost of sales	-	-	(76,025)	(75,905)	(4,204,389)	(3,251,609)
Impairment (charge)/reversal and other credit losses	1,905,106	(229,281)	(962)	-	1,391	137,662
Other operating and administrative expenses	(5,928,158)	(5,114,196)	(55,292)	(51,942)	(429,401)	(478,469)
	(7,891,559)	(9,894,885)	(138,835)	(136,000)	(4,722,180)	(3,660,481)
Inter - segment expenses	(91,208)	(121,646)	-	-	-	-
Total expenses	(7,982,767)	(10,016,531)	(138,835)	(136,000)	(4,722,180)	(3,660,481)
Segment results	8,882,610	5,226,916	56,596	51,690	770,189	911,501
Share of profit of equity accounted investees						
Operating profit before taxes on financial services						
Taxes on financial services						
Profit before tax						
Income tax expense						
Profit for the year						
Non-controlling interest						
Profit attributable to equity holders of the parent						



Insurance broking		Investment		Real estate		Intra Segmental adjustments		Total	
2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
234,165	235,348	3,057,613	6,115,008	5,418	6,010	-	-	17,232,398	19,500,264
309,132	252,540	-	-	-	-	-	-	5,821,879	4,767,099
60,109	72,658	520,615	243,606	404	(398)	-	-	609,367	350,244
-	-	-	-	-	-	-	-	1,469,016	1,186,002
90,787	69,300	296,423	222,198	444	1,014	(387,108)	(290,549)	1,562,341	1,065,331
694,193	629,846	3,874,651	6,580,812	6,266	6,626	(387,108)	(290,549)	26,695,001	26,868,940
23,531	19,661	127,965	112,399	53,487	60,997	(251,161)	(253,971)	-	-
717,724	649,507	4,002,616	6,693,211	59,753	67,623	(638,269)	(544,520)	26,695,001	26,868,940
-	-	(1,471,770)	(2,401,913)	(3,339)	(5,315)	2,589	7,037	(4,712,460)	(6,372,075)
(20,986)	(20,893)	(13)	(13)	(3,475)	(2,475)	52,228	52,422	(697,150)	(626,701)
-	-	-	-	-	-	-	-	(4,280,414)	(3,327,514)
125	3,801	(3,795)	34,739	(272)	(1)	(18)	39	1,901,575	(53,041)
(138,091)	(130,008)	(637)	(695)	(7,682)	(12,280)	(64,132)	(60,934)	(6,623,393)	(5,848,524)
(158,952)	(147,100)	(1,476,215)	(2,367,882)	(14,768)	(20,071)	(9,333)	(1,436)	(14,411,842)	(16,227,855)
(44,554)	(49,349)	(186)	(1,374)	(186)	(186)	136,134	172,555	-	-
(203,506)	(196,449)	(1,476,401)	(2,369,256)	(14,954)	(20,257)	126,801	171,119	(14,411,842)	(16,227,855)
514,218	453,058	2,526,215	4,323,955	44,799	47,366	(511,468)	(373,401)	12,283,159	10,641,085
								3,664,776	2,664,448
								15,947,935	13,305,533
								(2,075,596)	(1,879,274)
								13,872,339	11,426,259
								(3,654,104)	(3,239,319)
								10,218,235	8,186,940
								294,260	344,665
								9,923,975	7,842,275

Notes to the Financial Statements

	Leasing, hire purchase and other advances		Medical services		Manufacturing	
As at 31st March	2025	2024	2025	2024	2025	2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Segment assets	79,238,354	61,907,882	734,953	697,438	5,177,572	4,807,848
Investments in equity accounted investees						
Unallocated assets						
Total assets	79,238,354	61,907,882	734,953	697,438	5,177,572	4,807,848
Segment liabilities	32,344,653	29,726,016	157,095	157,374	720,978	755,718
Unallocated liabilities						-
Total liabilities	32,344,653	29,726,016	157,095	157,374	720,978	755,718

	Leasing, hire purchase and other advances		Medical services		Manufacturing	
For the year ended 31st March	2025	2024	2025	2024	2025	2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Additions to non-current assets	1,829,565	445,760	413	102	71,682	94,024
Additions to intangible assets	51,418	35,119	-	-	508	4,062
Additions to right of use assets	504,103	174,221	-	-	-	-
Cash flows from operating activities	(14,083,604)	(450,941)	29,006	17,823	(63,458)	779,969
Cash flows from investing activities	(1,746,255)	(357,171)	(5,471)	(15,429)	268,376	(1,057,076)
Cash flows from financing activities	(1,135,493)	(1,066,815)	(1,633)	(435)	(158,751)	(98,325)

Geographic information

The Group function in one geographic location. Accordingly, geographic information is not presented in the financial statements.

10. INCOME

Accounting Policy

Gross income is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured. The specific recognition criteria, for each type of gross income, are given under the respective income notes.

	Group		Company	
	2024/25	2023/24	2024/25	2023/24
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Interest income (Note 11)	17,232,398	19,500,264	16,817,482	19,039,764
Net income from financial instruments at FVTPL (Note 13)	609,367	350,244	520,228	242,783
Other revenue (Note 14)	5,821,879	4,767,099	-	-
Operating lease income (Note 15)	1,469,016	1,186,002	1,483,100	1,197,530
Other income (Note 16)	1,562,341	1,065,331	1,882,143	1,316,179
	26,695,001	26,868,940	20,702,953	21,796,256



Insurance broking		Investment		Real estate		Intra Segmental adjustments		Total	
2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
6,527,719	4,281,966	28,911,075	40,377,840	1,010,672	1,000,543	(10,862,151)	(7,097,242)	110,738,194	105,976,275
								18,297,316	14,532,496
								1,117,577	1,025,342
6,527,719	4,281,966	28,911,075	40,377,840	1,010,672	1,000,543	(10,862,151)	(7,097,242)	130,153,087	121,534,113
589,917	386,374	13,172,987	16,609,759	463,777	467,689	(1,284,370)	(973,546)	46,165,037	47,129,384
-	-	-	-	-	-	-	-	4,262,981	4,058,928
589,917	386,374	13,172,987	16,609,759	463,777	467,689	(1,284,370)	(973,546)	50,428,018	51,188,312

Insurance broking		Investment		Real estate		Intra Segmental adjustments		Total	
2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
3,770	281	-	-	-	-	-	-	1,905,430	540,167
-	-	-	-	-	-	-	-	51,926	39,181
4,365	44,556	-	-	-	-	(244,280)	(44,556)	264,188	174,221
221,129	257,087	16,893,863	1,649,287	38,547	31,530	(33,619)	(203,742)	3,001,864	2,081,013
(176,294)	(202,968)	119,152	230,726	(7,774)	22,601	(165,736)	51,682	(1,714,002)	(1,327,635)
(55,454)	(24,951)	(50)	(10,195)	(30,589)	(30,450)	199,355	152,060	(1,182,615)	(1,079,111)

Notes to the Financial Statements

11. INTEREST INCOME

Accounting Policy

Interest income and expenses are recognised in income statement using the effective interest rate method. Interest income and expenses presented in the income statement include: financial assets and financial liabilities measured at amortised cost.

Effective interest rate (EIR)

The EIR is the rate that exactly discounts estimated future cash receipts through the expected life of the financial instrument or, when appropriate, a shorter period, to the net carrying amount of the financial asset.

The calculation of the effective interest rate includes transaction costs and fees that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or financial liability.

The effective interest rate (and therefore, the amortised cost of the asset) is calculated by taking into account any discount or premium on acquisition, fees and costs that are an integral part of the effective interest rate. The Group recognises interest income using a rate of return that represents the best estimate of a constant rate of return over the expected life of the loan/lease. The calculation includes all fees and points received or paid between parties to the contract, that are an integral part of effective interest rate.

Once the recorded value of a financial asset or a group of similar financial assets has been reduced due to an impairment loss, interest income continues to be recognised, using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

Amortised cost and gross carrying amount

The 'amortised cost' of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any expected credit loss allowance. The 'gross carrying amount of a financial asset' is the amortised cost of a financial asset before adjusting for any expected credit loss allowance.

Calculation of interest income and expense

The effective interest rate of a financial asset or financial liability is calculated on initial recognition of a financial asset or a financial liability. In calculating interest income and expense, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit impaired) or to the amortised cost of the liability.

For financial assets that were credit-impaired on initial recognition, interest income is calculated by applying the credit-adjusted effective interest rate to the amortised cost of the asset. The calculation of interest income reverts to a gross basis, if the credit risk of the asset improves.

Interest income calculated using the effective interest method presented in the income statement include interest on financial assets measured at amortised cost.

When a financial asset becomes credit impaired (as set out in Note 17 to the financial statements) and is, therefore, regarded as Stage 3, the Company calculates interest income by applying the effective interest rate to the net amortised cost of the financial asset. If the financial asset cures (as outlined in Note 17 to the financial statements) and is no longer credit impaired, the Company reverts to calculating interest income on a gross amortised cost basis. For Purchased or Originated Credit- Impaired (POCI) financial assets (as set out in Note 17 to the financial statements) the Group calculates interest income by calculating the credit-adjusted effective interest rate and applying that rate to the amortised cost of the asset. The credit adjusted effective interest rate is the interest rate that, at original recognition, discounts the estimated future cash flows (including credit losses) to the amortised cost of the POCI assets.



Overdue interest

Overdue interest on leases, hire purchase, loans and other advances is recognised on cash basis.

	Group		Company	
	2024/25	2023/24	2024/25	2023/24
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Financial assets at amortised cost				
Net investment in leases and hire purchase	12,437,939	11,752,990	12,437,939	11,752,990
Loans and receivables from customers	1,349,334	1,188,493	1,348,055	1,193,852
Financial assets at amortised cost -debt and other financial instruments	2,932,247	6,165,675	2,520,065	5,702,046
Securities bought under repurchase agreements	512,878	393,106	511,423	390,876
	17,232,398	19,500,264	16,817,482	19,039,764

The entirety of the interest income is derived from financial instruments held at amortised cost (including Cash at bank).

12. INTEREST EXPENSES

Accounting Policy

See accounting policy in Note 11

Interest expense presented in the income statement includes financial liabilities measured at amortised cost and interest expense on lease liabilities.

	Group		Company	
	2024/25	2023/24	2024/25	2023/24
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Financial liabilities at amortised cost -Deposits	4,581,031	6,271,224	4,624,111	6,344,742
Financial liabilities at amortised cost -Interest bearing borrowings	56,901	37,715	56,901	37,715
Interest on lease liabilities (Note 38.2)	74,528	63,136	77,117	70,173
	4,712,460	6,372,075	4,758,129	6,452,630

Interest expenses of the Group other than the parent company are categorised under premises, equipment, establishment and other expenses as subsidiary companies are not engaged in providing financial services.

Notes to the Financial Statements

13. NET INCOME FROM FINANCIAL INSTRUMENTS AT FVTPL

Accounting policy

Net income from financial instruments at FVTPL relates to results arising from trading activities including all gains and losses from realised and unrealised fair value changes, related capital gains and losses and dividend income.

	Group		Company	
	2024/25	2023/24	2024/25	2023/24
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Equity investments - Quoted				
Dividend income	23,544	11,110	19,450	4,989
Fair value gains / (losses)	211,203	124,641	182,418	107,382
Equity investments - Unquoted				
Dividend income	11,213	8,665	11,213	8,665
Fair value gains / (losses)	9,733	9,146	9,329	9,544
Unit trusts - Unquoted (Money Market/Equity Funds)				
Fair value gains / (losses)	353,674	196,682	297,818	112,203
	609,367	350,244	520,228	242,783

14. OTHER REVENUE

Accounting Policy

Other revenue is recognised to the extent that it is probable that economic benefits will flow to the Company and the other revenue and associated costs incurred or to be incurred can be reliably measured. Other revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes.

SLFRS 15 - Revenue from contracts with customers, establishes a comprehensive framework for determining whether, how much and when revenue is recognised. The Group recognises revenue when it transfers the control of the goods or services to a customer. Judgement is used to determine the timing of transfer of control - at a point in time or over time.

Insurance broking

Commission income on insurance broking is recognised on an accrual basis and matched with related costs and expenses.

Manufacturing and trading

The revenue is recognised when a customer obtains control of the goods or services – determining the timing of the transfer of control – at a point in time or overtime requires judgement.

Revenue is recognised to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognition will not occur. Revenue is measured at the fair value of the consideration received or receivable, net of trade discounts and sales taxes and after eliminating sales within the Group.

Revenue from the sale of goods is recognized in the income statement when the significant risks and rewards of ownership have been transferred to the buyer. Recovery of the consideration is probable, the associated costs and possible return of goods can be estimated reliably, and there is no continuing management involvement with trade returns and trade discounts.

Medical services

Revenue from hospital services is recognised once all significant performance obligations have been provided. The timing of the delivery of service depends on the individual service contracts. Service income is recognised by reference to the stage of completion of the transactions at the end of the reporting period.



The following specific criteria are used for the purpose of recognition of other revenue.

Type of product/ service	Nature of timing of satisfaction of performance obligations, including significant payment terms	Revenue recognition under SLFRS 15
Insurance Broking	Commission income from insurance companies, for the supply of insurance brokers services for customers, is recognised as income of the Group. The Group collects insurance premia from customers (policy holders) based on debit notes issued by insurers and remits such premia collected, in a batch process. Upon such settlements (where the performance obligation is satisfied by the broker) the corresponding commission income is quantified and is recognized on accrual basis.	The Group recognizes revenue (broker commission income) as it satisfies a performance obligation (Placement of policies through the broker) by transferring promised service to a customer, when the customer obtains control of the service (Payment of premium to an insurer). Therefore, performance obligation is satisfied at the point the Group places insurance policies and settles the respective insurance premia to insurers.
Manufacturing and Trading	Revenue from the sale of goods is recognised as manufacturing and trading income of the Group. The Group recognizes revenue based on the terms of the contract with the customer when control of the goods has been transferred to the customers and recovery of the consideration is probable, the associated costs and possible return of goods can be estimated reliably, and there is no continuing management involvement with trade returns and trade discounts.	The Group recognizes revenue (revenue from the sale of goods) as it satisfies a performance obligation by transferring promised goods to a customer, and when the customer obtains control of the goods. Determining the timing of the transfer of control (at a point in time or overtime) requires judgement.
Medical services	Income from providing medical services is measured based on the consideration specified in a contract with the customer. The Group recognizes revenue when the service is rendered and when the Group has the right to consideration.	The Group recognizes income from providing medical services as it satisfies a performance obligation by transferring promised service to a customer, when the customer obtains control of the service. Therefore, performance obligation is satisfied at the point the Group renders the service and when the Group has the right to consideration.

	Group	
	2024/25	2023/24
	Rs.'000	Rs.'000
Manufacturing and trading income	5,347,078	4,356,954
Insurance broking	309,132	252,540
Medical services	165,669	157,605
Total other revenue	5,821,879	4,767,099
Cost of sales	4,366,924	3,389,451
Net other revenue	1,454,955	1,377,648

Notes to the Financial Statements

15. OPERATING LEASE INCOME

Accounting policy

Income from operating leases is recognised on a straight-line basis over the lease term and accounted under operating lease income.

	Group		Company	
	2024/25	2023/24	2024/25	2023/24
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Operating lease income	1,469,016	1,186,002	1,483,100	1,197,530
	1,469,016	1,186,002	1,483,100	1,197,530

16. OTHER INCOME

Accounting policy

Fees and commission income and expenses

Fees and commission income and expenses that are integral to the effective interest rate on a financial asset or liability are included in the measurement of the effective interest rate.

Fees and commission income are recognised as the related services are performed.

Fees and commission income from providing transaction services are recognised as and when the services are performed.

Other fees and commission expenses relate mainly to transaction and service fees, which are expensed as the services are received. Fee and commission expenses are recognised on an accrual basis.

Dividend income

Dividend income from investments other than FVTPL instruments is recognised in the income statement on the date the Group's right to receive payment is established. Usually, this is the ex-dividend date for quoted equity securities.

Real estate held for sale

Real estate income is recognised on an accrual basis.

Rental income on rent-purchase facilities for real estate

Rental income on rent-purchase facilities provided on sale of real estate is recognised on accrual basis.

Profit/loss from sale of property, plant, and equipment

Profit/loss from sale of property, plant and equipment is recognised in the period in which the sale occurs.



	Group		Company	
	2024/25	2023/24	2024/25	2023/24
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Service charges	438,349	231,681	438,349	231,681
Recovery of bad debts written off	532,176	405,199	532,176	405,199
Fair value change in investment properties	-	5,700	-	5,700
Profit on sale of property, plant and equipment	457,664	286,728	457,570	286,710
Profit on disposal of investment property	-	6,082	-	6,082
Dividend income from subsidiaries	-	-	88,663	74,198
Dividend income from equity accounted investees	-	-	206,008	154,326
Gain on liquidation of a fully owned subsidiary company (Note 33.4)	-	50	-	-
Profit on real estate operations	444	1,014	444	1,014
Others	133,708	128,877	158,933	151,269
	1,562,341	1,065,331	1,882,143	1,316,179

17. IMPAIRMENTS AND OTHER CREDIT LOSSES

Accounting policy

The Company calculates Expected Credit Loss (ECL) allowances on financial assets in line with SLFRS - 9. Further, the Company also takes in to consideration the requirements as per the Finance Business Act Direction No. 01 of 2020 and amendments thereto on Classification and Measurement of Credit Facilities in Licensed Finance Companies when assessing ECL on financial assets. The Company calculates ECL allowances for financial assets, except for those assets that are measured at Fair Value Through Profit or Loss (FVTPL) and equity instruments which are not subject to ECL under SLFRS 9:

- Cash and cash equivalents
- Placements with banks
- Financial assets measured at amortised cost - loans and advances to customers.
- Financial assets at amortised cost- net investment in leases and hire purchase
- Financial assets measured at amortised cost - debt and other financial instruments
- Financial assets measured at fair value through other comprehensive income
- Loan commitments and financial guarantee contracts

The ECL approach is based on the credit losses expected to arise over the life of the asset (the lifetime expected credit loss or LTECL), unless there has been no significant increase in credit risk since origination, in which case the impairment is based on the 12 months' expected credit loss (12 month ECL).

The Company considers a debt investment security to have low credit risk when its credit risk rating is equivalent to the globally understood definition of 'investment grade'. The Group does not apply the low credit risk exemption to any other financial instruments.

12 month ECL is the portion of ECL that results from default events on a financial instrument that are possible within the 12 months after the reporting date. Financial instruments for which a 12 month ECL is recognised are referred to as stage 1 financial instruments.

Lifetime ECLs are ECLs that result from all possible default events over the expected life of the financial instrument. Financial instruments for which a lifetime ECL is recognised but which are not credit-impaired are referred to as Stage 2 financial instruments.

Notes to the Financial Statements

Both LTECLs and 12 month ECLs are calculated on either an individual basis or a collective basis, depending on the nature of the underlying portfolio of financial instruments. The Group has established a policy to perform an assessment at the end of each reporting period of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument. Based on the above process, the Company categorises its loans and advances and net investments in leases and hire purchase into Stage 01 (12 month ECL), Stage 2 (Lifetime ECL - not credit impaired) and Stage 3 (Life time ECL - credit impaired).

Impairment charges recognised against loans and advances and net investments in leases and hire purchase include the post model adjustments using various stress testing techniques in order to address the implications due to macro-economic uncertainty despite the growth prospects in Sri Lankan economy.

Loans and advances that have been assessed individually and did not attract an ISL provisions based on future recovery cashflow assessment and all individually insignificant loans and advances are assessed collectively, by categorising those into groups of assets with similar credit risk characteristics, to determine whether a provision should be made due to expected loss events. These exposures are grouped into smaller homogeneous portfolios, based on product type and customer segment etc.

The undrawn loan commitments of the revolving loan facilities are assessed for ECL provisions. The revolving loan facilities assigned credit limits are subject to a formal credit reviews annually. Therefore, all revolving facilities are assessed for 12 months ECL. The ongoing assessment of whether a significant increase in credit risk has occurred for revolving facilities is similar to other lending products.

Significant increase in credit risk

When determining whether the risk of default on a financial instrument has increased significantly since initial recognition, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Company's historical experience and expert credit assessment and including forward-looking information.

The objective of the assessment is to identify whether a significant increase in credit risk has occurred for an exposure by comparing:

- the remaining lifetime probability of default (PD) as at the reporting date; with
- the remaining lifetime PD for this point in time that was estimated at the time of initial recognition of the exposure (adjusted where appropriate for changes in prepayment expectations)

The Company uses three criteria for determining whether there has been a significant increase in credit risk:

1. a quantitative test based on movement in PD;
2. qualitative indicators; and
3. a backstop of 30 days past due for loans and for leases. (Prior to 1st April 2023, 30 days past due for term loans and business loans and 60 days past due for leases and other loans)

The quantitative and qualitative factors considered in assessing more lagging criterion in determining significant increase in credit risk for lease and other loans portfolio prior to 1st April 2023 is disclosed in Note 7.3.7 to the financial statements.

Financial instruments allocated to stage 2 are those that have experienced a significant increase in credit risk since initial recognition but are not credit impaired.

Generating the term structure of PD

The Company collects performance and default information about its credit risk exposures analysed by type of product and borrower as well as by credit risk grading. For some portfolios, information purchased from external credit reference agencies is also used.

The Company employs statistical models to analyse the data collected and generate estimates of the remaining lifetime PD of exposures and how these are expected to change as a result of the passage of time.



Credit impaired financial assets/ Definition of default

At each reporting date, the Group assesses, whether financial assets carried at amortised cost are credit impaired. A financial asset is credit impaired when one or more events that have detrimental impact on the estimated future cash flows of the financial asset have occurred.

In assessing whether a borrower is in default, the Company considers indicators that are:

- qualitative – e.g. breaches of covenant;
- quantitative – e.g. overdue status and non-payment on another obligation of the same borrower to the Company; and
- based on data developed internally and obtained from external sources

The Company considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligations to the Company in full, without recourse by the Company to actions such as realising security (if any is held); or
- the borrower is more than 90 days past due on loans, lease and any material credit obligation to the Company. (Prior to 1st April 2023, 90 days past due for term loans and business loans and 120 days past due for leases and other loans)

The quantitative and qualitative factors considered in assessing more lagging criterion in determining default for lease and other loans portfolio prior to 1st April 2023 is disclosed in Note 7.3.7 to the financial statements.

Evidence that a financial asset is credit-impaired includes the following observable data:

- Significant financial difficulty of the borrower
- A breach of contract such as a default or past due event
- The restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise
- It is becoming probable that the borrower will enter bankruptcy or other financial renegotiation or
- The disappearance of an active market for a security because of financial difficulties

Financial instruments for which lifetime ECL are recognised and that are credit – impaired are referred to as stage 3 financial instruments.

Furthermore, as per Section 4.3.1. (i) of the Finance Business Act Direction No. 1 of 2020, effective from 1 April 2025, any credit facility classified as a Non-Performing Loan (NPL) either by exceeding 90 days past due or based on potential credit risk cannot be reclassified as performing until the principal and interest in arrears are fully paid or upon confirmation of the satisfactory performance of the credit facility under potential risk. Although a deferment for the Section 4.3.1 (i) was provided until 1 April 2025, the Company has early adopted Section 4.3.1. (i) for reclassification of non-performing loans (NPLs) to performing loans (PLs) and applied for Stage-3 loans classification and for the purpose of computation of Expected Credit Loss (ECL) as of 31st March 2025.

A loan that has been renegotiated due to deterioration in the borrower's condition is usually considered to be credit impaired unless there is evidence that the risk of not receiving contractual cash flows has reduced significantly and there are no other indicators of impairment. When a loan has been renegotiated and modified but not derecognised, a re-assessment is performed to see whether there's a significant increase in credit risk based on the qualitative risk factors for individually significant customers and cumulative days past due of the renegotiated credit contract. All the re-scheduled contracts days past due represent in aggregate, the period of time the credit facility was in arrears before re-scheduling and after re-scheduling unless upgraded based on servicing of the loan satisfactorily for specific watchout periods specified in Finance Business Act Direction No 01 of 2020. The modified financial assets measured at 12 months expected credit loss and lifetime expected credit loss depending on the subsequent increase in credit risk is disclosed under Note 7.3.7 "modified financial assets".

Notes to the Financial Statements

Incorporation of forward-looking information

The Company incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL using a variety of external actual and forecasted information.

The Company formulates a base case view of the future direction of relevant economic variables as well as a representative range (Best Case and Worst Case) of other possible forecast scenarios.

This process involves developing two or more additional economic scenarios and considering the relative probabilities of each outcome. External information includes economic data and forecasts published by both local and international sources. The base case represents a most-likely outcome. The other scenarios represent more optimistic and more pessimistic outcomes.

The Company has identified and documented key drivers of credit risk and credit losses for each portfolio of financial instruments and, using an analysis of historical data, has estimated relationships between macroeconomic variables credit risk and credit losses.

The economic variables used by the Company based on the statistical significance include the followings:

- Unemployment Rate
- Interest Rate
- GDP Growth Rate
- Inflation Rate
- Exchange Rate

Measurement of ECL

ECL are a probability-weighted estimate of credit losses. They are measured as follows:

- financial assets that are not credit-impaired at the reporting date: as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive);
- financial assets that are credit-impaired at the reporting date: as the difference between the gross carrying amount and the present value of estimated future cash flows;
- undrawn loan commitments: as the present value of the difference between the contractual cash flows that are due to the Group if the commitment is drawn down and the cash flows that the Group expects to receive; and
- financial guarantee contracts: the expected payments to reimburse the holder less any amounts that the Group expects to recover.

When discounting future cash flows, the following discount rates are used:

- financial assets other than purchased or originated credit-impaired (POCI) financial assets and lease receivables: the original effective interest rate or an approximation thereof;
- POCI assets: a credit-adjusted effective interest rate;
- lease receivables: the discount rate used in measuring the lease receivable;
- undrawn loan commitments: the effective interest rate, or an approximation thereof, that will be applied to the financial asset resulting from the loan commitment; and
- financial guarantee contracts issued: the rate that reflects the current market assessment of the time value of money and the risks that are specific to the cash flows.



Calculation of ECL

The ECL is calculated based on three probability weighted scenarios to measure the expected cash shortfall (the base case, the best case and the worst case), discounted at an approximation to the EIR. Each of these is associated with different loss rates. The assessment of multiple scenarios incorporates how defaulted loans are expected to be recovered, including the probability that the loans will cure and the value of collateral or the amount that might be received by selling the asset.

Key elements of the ECL calculations are:

Probability of default (PD)

The probability of default is an estimation of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period.

Exposure at default (EAD)

The exposure at default is an estimation of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected drawdowns on committed facilities and accrued interest from past due contracts.

Loss given default (LGD)

The loss given default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realization of any collateral. It is usually expressed as a percentage of the EAD.

The inputs and models used for calculating ECLs may not always capture all characteristics of the market at the date of the financial statements. To reflect this, qualitative adjustments or overlays are made as and when required, as temporary adjustments when such differences are significantly material.

Calculations of ECLs for individually significant loans and individually not significant loans

The Group first assesses ECLs individually for financial assets that are individually significant to the Group. In the event the Group determines that such assets are not impaired (not in stage 3), it includes the assets in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. However, assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognised are not included in a collective assessment of impairment. If the asset is impaired, the amount of the loss is measured by discounting the expected future cash flows of a financial asset at its original effective interest rate and comparing the resultant present value with financial asset's current carrying amount.

The impairment on individually significant accounts is reviewed on a regular basis. Individually assessed impairment is only reversed when there is reasonable and objective evidence of a reduction in the established loss estimate. Interest on impaired assets continues to be recognised on the net carrying value of the asset.

For all customers whose exposure is more than or equal to the internal threshold for classifying them as individually significant, the Group calculates ECL on an individual basis. For all other asset classes, the Group calculates ECL on a collective basis. The Group categorises these exposures into smaller portfolios, based on a combination of internal and external characteristics of the loans such as product type, type of collateral, past due status industry of the borrower and whether the loan is restructured or rescheduled.

Collateral valuation

The collateral comes in various forms, such as vehicles, equity securities, real estate, inventories, and other non-financial assets. The fair value of collateral affects the calculation of ECLs. The Group uses active market data, to the extent possible to value financial assets held as collateral. Non-financial collateral, such as vehicles and real estate, are valued based on data provided by independent valuation specialists to the extent it is practically possible.

Notes to the Financial Statements

Restructured financial assets

If the terms of a financial asset are renegotiated or modified or an existing financial asset is replaced with a new one due to financial difficulties of the borrower, then an assessment is made of whether the financial asset should be derecognised and ECL are measured as follows:

- If the expected restructuring will not result in derecognition of the existing asset, and then the expected cash flows arising from the modified financial asset are included in calculating the cash shortfalls from the existing asset.
- If the expected restructuring results in derecognition of the existing asset, then the expected fair value of the new asset is treated as the final cash flow from the existing financial asset at the time of its derecognition.

Write-offs

Uncollectible loans are written off against the related allowance for loan impairment on completion of the Company's internal processes and when all reasonably expected recoverable amounts have been collected. The timing and extent of write-offs may involve some element of subjective judgment. Nevertheless, a write-off will often be prompted by a specific event, such as the inception of insolvency proceedings or other formal recovery action, which makes it possible to establish that part or the entire advance, is beyond realistic prospect of recovery. Unlikely to pay factors include objective conditions such as bankruptcy, debt restructuring, fraud or death of the borrower. It also includes credit-related modifications of contractual cash flows due to significant financial difficulty. Assets that are written off may be subject to enforcement activity and if there is any recovery on such assets that is recognised as other income in the income statement. The contractual amount outstanding on financial assets that were written off during the year ended 31st March 2025 and that are still subject to enforcement activity is Rs. 203 Million (2024-Rs. 390 Million).

Reversals of impairment

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written-back by reducing the loan impairment allowance accordingly. The write-back is recognised in the income statement.

Purchase of credit-impaired (POCI) financial assets

POCI financial assets are assets that are credit-impaired on initial recognition. For POCI assets, lifetime ECL are incorporated into the calculation of the effective interest rate on initial recognition.

Consequently, POCI assets do not carry an impairment allowance on initial recognition. The amount recognised as a loss allowance subsequent to initial recognition is equal to the changes in lifetime ECL since initial recognition of the asset.

ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

Impairment losses on financial assets (Expected credit losses (ECL) on financial assets)

The Company measures loss allowances using both lifetime ECL and 12-month ECL. When estimating ECL, the Company determines whether the credit risk of a financial asset has increased significantly since initial recognition. In regard to this, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Company's historical experience and informed credit assessments including forward-looking information based various assumptions. As at the reporting date, the improvements in macro-economic conditions have been captured via the modelled outcome. Although the inputs and assumptions used in the ECL model, including forward looking macroeconomic assumptions, have been revised in response to current macro-economic conditions, the fundamental credit model mechanics and methodology underpinning the Company's calculation of ECL have remained consistent with prior periods.

The customer engagement driven collection efforts which led to improved recoveries and significant reduction in non-performing loans, improved probability of default ratios (PDs) compared to prior periods which had been adversely impacted by the Covid pandemic and subsequent economic down-turn, re-assessment of stress testing scenarios and related assumptions driven by improved macro-economic conditions and resultant reversal of management overlay resulted in significant impairment reversal for the year.



Judgment Assumptions	Description	Consideration for 31st March 2025
Determining when a Significant Increase in Credit Risk (SICR) has occurred	In the measurement of ECL, judgment is involved in setting the rules and trigger points to determine whether there has been a SICR since initial recognition of a loan, lease, which would result in the financial asset moving from Stage 1 to Stage 2. This is a key area of judgement since transition from Stage 1 to Stage 2 increases the ECL from 12 month ECL to life time ECL.	The Company has adopted 30 days past due as the point in which significant increase in credit risk occurs and 90 days past due as the point in which default occurs in line with the Finance Business Act Direction No 01 of 2020 on Classification & Measurement of Credit Facilities and SLFRS-9 (Prior to 1st April 2023, for leases credit and other loans Company has rebutted the significant increase in credit risk presumption to 60 days and default presumption to 120 days and for Term and Business loans the Company has adopted 30 days past due as the point in which significant increase in credit risk occurs and 90 days as the point in which default occurs in line with the internal risk management practices of the Company.) Financial assets are assessed as credit impaired when one or more events that have a detrimental impact on the estimated future cash flows of that asset have occurred, usually at the point of default or individually assessed as impaired.
Measuring 12 month expected credit losses and lifetime expected credit losses	The Probability of Default (PD), Loss Given Default (LGD) and Exposure at Default (EAD) credit risk parameters used in determining ECL are point-in time measures reflecting the relevant forward looking information determined by management. Judgement is involved in determining which forward looking information variables are relevant for particular lending portfolios and for determining each portfolio's point in time sensitivity.	The PD, EAD and LGD models are subject to Company's policy on impairment assessment. There were no material changes to the policies during the year ended 31st March 2025. Current economic condition adjustments have been made as post model adjustments based on stress testing and historic patterns to better reflect the adequacy of ECL.
Base case economic forecast	The Company derives a forward looking base case economic scenario which reflects its view of the most likely future macroeconomic conditions.	As at 31st March 2025, the base case assumptions have been updated to reflect the improved macro-economic conditions and economic forecasts provided by the Central Bank of Sri Lanka, and World Bank have been used. The key consideration for probability weightings in the current period is the macro-economic growth prospects.
Probability weighting of each economic scenario (base case, best case and worse case scenarios)	Probability weighting of each economic scenario is determined by management considering the risks and uncertainties surrounding the base case economic scenario at each measurement date.	A greater weightage has been applied to the base case scenario given the Company's assessment of macro-economic growth prospects compared to prior year downside risks. The assigned probability weightages are subject to a high degree of inherent uncertainty and therefore the actual outcomes may be significantly different to those projected.

	2024/25	2023/24
Scenario		
Best Case	5%	5%
Base Case	35%	15%
Worse	60%	80%

Notes to the Financial Statements

Judgment Assumptions	Description	Consideration for 31st March 2025
Post Model Adjustments	Temporary adjustments to the ECL allowance are used in circumstances where it is judged that the existing inputs, assumptions and model techniques do not capture all the risk factors relevant to Group's lending portfolio due to emerging local or global macro-economic uncertainty and resultant volatility in the business environment that are not incorporated into the current parameters. The use of management overlay may impact the amount of ECL recognised.	Management has applied various scenario based assessments to assess the potential loss of the customers due to continued macro-economic uncertainty arising from geopolitical risks. The Company has stress tested the portfolio with different scenarios by shifting portfolios from existing stages to worst stages using assumptions and extending the period of the future recovery cash flows in anticipation of regulations that could delay the recovery period. The potential downgrade of the credit portfolios significantly reduced in view of macro-economic improvements in the year 2024/25.

	Group		Company	
	2024/25	2023/24	2024/25	2023/24
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Impairment and other credit losses				
Charge/ (write back) on individually significant loans [Note 30.1 (a) & 31.3(a)]	(32,643)	211,104	(32,643)	211,104
Charge/ (write back) on individually not significant loans [Note 30.1 (b) & 31.3 (b)]	(1,850,345)	(154,880)	(1,850,345)	(154,880)
	(1,882,988)	56,224	(1,882,988)	56,224
Charge/ (write back) on other credit losses (Note 30.2 & 43.1)	(70)	(631)	(70)	(631)
Charge/ (write back) on other assets (Note 42.1)	1,542	31,944	55	111
Charge/ (write back) on trade receivables (Note 32.1)	(2,878)	(137,662)	-	-
Charge/ (write back) on other financial assets (Note 26.1 & 29.1)	4,689	(38,530)	1,912	(34,753)
Charge/ (write back) on off balance sheet exposure	1,320	51	1,320	51
Net loss/(gain) arising from derecognition of lease and hire purchase measured at amortised cost	(23,190)	141,645	(23,190)	141,645
	(1,901,575)	53,041	(1,902,961)	162,647

Net loss/(gain) arising from derecognition of lease and hire purchase measured at amortised cost represents the net losses/(gains) incurred on contracts after realisation of collateral of defaulted customers. This has been included under impairments and other credit losses in the Income Statement.

As at reporting date, there were off balance sheet exposures relating to loans and advances.

18. OPERATING EXPENSES

Accounting policy

Expenses

Expenses are recognised in the income statement on the basis of a direct association between the cost incurred and the earnings of specific items of income. All expenses incurred in the running of the business and in maintaining property, plant and equipment in a state of efficiency are charged to the income statement while interest and other expenses payable are recognised on an accrual basis.



Crop insurance levy

Section 14 of the Finance Act No. 12 of 2013 imposed a crop insurance levy on institutions under the purview of:

- Banking Act No. 30 of 1988.
- Finance Business Act No. 42 of 2011
- Regulation of Insurance Industry Act No. 43 of 2000

Accordingly, the Company is required to pay 1% of the profit after tax for a year of assessment to the National Insurance Trust Fund with effect from 1 April 2013.

	Group		Company	
	2024/25	2023/24	2024/25	2023/24
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Operating expenses include the following:				
Directors' emoluments	336,562	349,629	287,311	303,938
Legal expenses	21,065	13,624	19,199	11,917
Depreciation (Note 37.1)	481,378	411,841	380,042	331,101
Amortisation of intangible assets (Note 39.1)	79,874	79,214	78,728	78,877
Amortisation of right of use assets (Note 38.1)	135,898	135,646	169,797	169,545
Revaluation loss on land and buildings (Note 37.2.1)	-	3,263	-	3,263
Audit and related fees and expenses	8,443	7,631	5,770	5,183
Non-audit fees and expenses	1,557	991	1,160	768
Donations	8,726	579	8,693	146

19. PERSONNEL EXPENSES

Accounting Policy

See accounting policy in Note 46

Short-term employee benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Defined contribution plans

Obligations for contributions to defined contribution plans are expensed as the related service is provided. Employees' Provident Fund and Employees' Trust Fund are post-employment benefit plans under which an entity pay fixed contribution into a separate entity and will have no legal or constructive obligation to pay further amounts.

All employees who are eligible for Employees' Provident Fund and Employees' Trust Fund are covered by relevant contribution funds in line with the respective statutes. Employer's contribution to the defined contribution plans are recognised as an expense in the income statement when incurred.

Notes to the Financial Statements

The Group contributes 12% and 3% of gross emoluments to employees as Provident Fund and Trust Fund contributions respectively. All employees of the Group are members of the Employees' Provident Fund.

	Group		Company	
	2024/25	2023/24	2024/25	2023/24
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Salaries and other benefits	3,000,793	2,548,373	2,657,929	2,214,567
Contributions to defined benefit plans (Note 19.1)	424,783	484,033	387,371	447,879
Contributions to defined contribution plans (Note 19.3)	305,980	272,644	253,515	225,257
	3,731,556	3,305,050	3,298,815	2,887,703

CONTRIBUTIONS TO DEFINED BENEFIT PLANS - EMPLOYEE RETIREMENT BENEFIT EXPENSES

19.1. Amounts recognised in the income statement

	Group		Company	
	2024/25	2023/24	2024/25	2023/24
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Current service cost (Note 46)	112,142	119,821	97,576	106,588
Interest cost (Note 46)	312,846	365,234	290,000	342,313
Expected return on assets (Note 46)	(205)	(1,022)	(205)	(1,022)
	424,783	484,033	387,371	447,879

19.2. Amounts recognised in the other comprehensive income

	Group		Company	
	2024/25	2023/24	2024/25	2023/24
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Gains/(losses) due to changes in liability assumptions	187,557	(225,164)	213,771	(206,409)
Actuarial gains/(losses) due to changes in liability experience	(253,103)	80,641	(241,746)	72,296
	(65,546)	(144,523)	(27,975)	(134,113)
Actuarial gains/(losses) on plan assets	(400)	(1,229)	(400)	(1,229)
	(65,946)	(145,752)	(28,375)	(135,342)

19.3. Contributions to defined contribution plans

	Group		Company	
	2024/25	2023/24	2024/25	2023/24
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Employer's contribution to employees' provident fund	245,110	219,240	203,136	181,330
Employer's contribution to employees' trust fund	60,870	53,404	50,379	43,927
	305,980	272,644	253,515	225,257



19.4. Amendments to the provisions of Minimum Age of Workers Act No 28 of 2021

With the implementation of the provisions of Minimum Age of Workers Act No 28 of 2021, the Company revised the minimum retirement age of its employees as follows.

With the implementation of the provisions of Minimum Age of Workers Act No 28 of 2021, the Company revised the minimum retirement age of its employees as follows.

Age of employee (As at 17th November 2021)	Minimum Retirement Age
54 or above and below 55 years	57 Years
53 or above and below 54 years	58 Years
52 or above and below 53 years	59 Years
Below 52 years	60 Years

20. SHARE OF PROFIT OF EQUITY ACCOUNTED INVESTEE, NET OF TAX

	Group	
	2024/25	2023/24
	Rs.'000	Rs.'000
Nations Trust Bank PLC	3,658,393	2,662,623
Tea Smallholder Factories PLC	6,383	1,825
	3,664,776	2,664,448

21. TAXES ON FINANCIAL SERVICES

Accounting policy

Value added tax on financial services

The value base for Value Added Tax (VAT) for the Company is the adjusted accounting profit before tax and employee emoluments. The adjustment to the accounting profit before tax is for economic depreciation computed on prescribed rates as per the VAT Act. Value Added Tax Act No. 14 of 2002 (VAT Act) amended as passed in Parliament on March 24, 2022 & VAT rate on the supply of financial services by a specified institution or other person has been increased from 15% to 18% with effect from January 01, 2022.

Social Security Contribution Levy

Social Security Contribution Levy (SSCL) Act No 25 of 2022 enacted on 20th September 2022 and the liable turnover is subjected to 2.5% SSCL tax with effect from 1st October 2022. As per the Act 100% of the value addition attributable for Financial Services will be liable for further SSCL tax of 2.5%.

	Group		Company	
	2024/25	2023/24	2024/25	2023/24
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Value Added Tax on financial services	1,822,474	1,650,999	1,822,474	1,650,999
Social security contribution levy on financial services	253,122	228,275	253,122	228,275
	2,075,596	1,879,274	2,075,596	1,879,274

Notes to the Financial Statements

22. INCOME TAX EXPENSE

Accounting Policy

Income tax expense comprises of current tax and deferred tax. Income tax expense is recognised in the income statement, except to the extent it relates to business combination and items recognised directly in Other Comprehensive Income (OCI), in which case it is recognised in OCI. The Group applied IFRIC 23 "Uncertainty Over Income Tax Treatment" (IFRIC 23) in determination of taxable profit, tax bases, unused tax losses, unused tax credits and tax rates when there is uncertainty over the income tax treatment. However, the application of IFRIC 23 did not have any significant impact on the financial statements of the Group to provide additional disclosures in the financial statements.

The Group has determined that interest and penalties related to income taxes, including uncertain tax treatments, do not meet the definition of income taxes, and these are disclosed in Note 57.

Current Taxation

Current tax comprises the expected tax payable or receivable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous year. The amount of current tax payable or receivable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. It is measured using tax rates enacted or substantively enacted at the reporting date. Current tax also includes any tax arising from dividends.

Current income tax relating to items recognised directly in equity, is recognised in equity and not in the income statement. Management periodically evaluates positions taken in the tax returns, with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Management has used its judgement on the application of tax law including transfer pricing regulation involving identification of associated undertaking, estimation of respective arm's length prices and selection of appropriate pricing mechanism.

Taxable profit is determined in accordance with the provisions of Inland Revenue Act No 10 of 2006 (amended) and Inland Revenue Act No 24 of 2017 and amendments thereto.

Current tax assets and liabilities are offset only if certain criteria are met.

Deferred Taxation

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for:

- temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;
- temporary differences related to investments in subsidiaries, associates and joint arrangements to the extent that the Group is able to control the timing of the reversal of the temporary differences and it is probable that they will not reverse in the foreseeable future; and
- taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax assets are recognised for unused tax losses, unused tax credits and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be used. Future taxable profits are determined based on the reversal of relevant taxable temporary differences. If the amount of taxable temporary differences is insufficient to recognise a deferred tax asset in full, then future taxable profits, adjusted for reversals of existing temporary differences, are considered, based on the business plans for individual subsidiaries in the Group. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised; such reductions are reversed when the probability of future taxable profits improves.

Unrecognised deferred tax assets are reassessed at each reporting date and recognised to the extent that it has become probable that future taxable profits will be available against which they can be used.



Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date, and reflects uncertainty related to income taxes, if any.

The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Group expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities. For this purpose, the carrying amount of investment property measured at fair value is presumed to be recovered through sale, and the Group has not rebutted this presumption.

As per Inland Revenue Act No. 24 of 2017, which became effective from 01st April 2018, capital assets will attract tax at applicable rates on the gains at the time of disposal.

Deferred tax assets and liabilities are offset only if certain criteria are met.

22.1. Amount recognised in income statement

Current tax expenses

	Group		Company	
	2024/25	2023/24	2024/25	2023/24
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Current tax charge for the year (Note 22.5)	2,912,428	3,087,424	2,526,171	2,692,876
Under provision for previous years (Note 22.5)	-	127,307	-	127,241
Over provision for previous years (Note 22.5)	(26,415)	-	(19,178)	-
Withholding tax on dividends of Group companies	82,669	65,397	-	-
	2,968,682	3,280,128	2,506,993	2,820,117
Deferred tax expense				
Deferred tax liabilities				
Reversal of temporary differences during the year (Note 41)	(34,579)	(38,681)	(32,787)	(30,277)
Deferred tax assets				
(Originated)/Reversed during the year (Note 41)	720,001	(2,128)	707,332	(24,113)
	685,422	(40,809)	674,545	(54,390)
Income tax expense	3,654,104	3,239,319	3,181,538	2,765,727

Notes to the Financial Statements

22.2. Amount recognised in OCI

	Group		Company	
	2024/25	2023/24	2024/25	2023/24
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Deferred tax impact on revaluation reserve due to revaluation gain (Note 41)	-	306,506	-	282,533
Deferred tax impact on loss on remeasurment of defined benefit liability (Note 41)	(19,784)	(43,752)	(8,513)	(40,603)
Total deferred tax expense/(reversal) recognised in OCI	(19,784)	262,754	(8,513)	241,930

22.3. The Company/ Group has computed the current tax payable at 30% for the Year of Assessment 2023/24 and 2024/25.

The Deferred tax asset/liability as at 31 March 2024 and 2025 have been computed at 30%.

	Tax rate (%)	
	2024/25	2023/24
	Rs.'000	Rs.'000
Central Finance Company PLC	30	30
Central Industries PLC	30	30
Central Developments Ltd.	30	30
Dehigama Hotels Company Ltd.	30	30
Expanded Plastic Products (Pvt) Ltd.	30	30
Central Transport & Travels Ltd.	30	30
The Kandy Private Hospitals Ltd.	30	30
CF Insurance Brokers (Pvt) Ltd.	30	30
Central Homes (Pvt) Ltd.	30	30
Hedges Court Residencies (Pvt) Ltd.	30	30
CF Growth Fund Ltd.	30	30
Central Mineral Industries (Private) Limited	30	30

Dividend income of the Group is liable for withholding tax at 15%.

22.4. As per Part I : Sec. (I) of the Gazette notification issued on 25 October 2022 under Inland revenue act, No. 24 of 2017, Sub section(2) and (3) of Section 66 , the impairment charges of Stage 3 credit facilities classified as per the SriLanka Accounting Standards (SLFRS 9) have been considered as allowable deduction (after adjusting for specifications given under Sec 1 of Schedule 1 of the said Gazette notification).



22.5. A reconciliation between tax expense and the product of accounting profit multiplied by the statutory tax rate is as follows:

	Group		Company	
	2024/25	2023/24	2024/25	2023/24
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Profit before tax	13,872,339	11,426,259	9,163,709	7,556,160
Share of profit of associates	(3,664,776)	(2,664,448)	-	-
Other consolidation adjustments	514,943	375,364	-	-
Accounting profit chargeable for income tax	10,722,506	9,137,175	9,163,709	7,556,160
Tax effect on chargeable profits at 30%	3,216,751	2,741,153	2,749,113	2,266,848
Tax effect on allowable credits	(653,902)	(581,888)	(591,685)	(490,317)
Tax effect on exempt profits	(426,149)	(258,497)	(352,088)	(194,437)
Tax effect on non- deductible expenses	456,340	1,015,553	401,246	938,686
Tax effect on gains / (losses) on disposals	319,585	172,096	319,585	172,096
Tax effect on losses claimed	(197)	(993)	-	-
Charged to income statement (Note 22.1)	2,912,428	3,087,424	2,526,171	2,692,876
Under provision for previous years (Note 22.1)	-	127,307	-	127,241
Over provision for previous years (Note 22.1)	(26,415)	-	(19,178)	-
Temporary differences reversed during the year - deferred tax liability (Note 41)	(34,579)	(38,681)	(32,787)	(30,277)
Temporary differences (originated)/ reversed during the year - deferred tax asset (Note 41)	720,001	(2,128)	707,332	(24,113)
Withholding tax on dividends of Group companies	82,669	65,397	-	-
	3,654,104	3,239,319	3,181,538	2,765,727
Effective tax rate (excluding deferred tax)	27.16	33.79	27.57	35.64

Notes to the Financial Statements

22.6. Current Tax on Profit for the year

	Group	
	2024/25	2023/24
	Rs.'000	Rs.'000
Central Finance Company PLC	2,526,171	2,692,876
Central Industries PLC	220,199	243,040
Central Developments Ltd.	5,560	8,327
Dehigama Hotels Company Ltd.	15,249	15,818
Expanded Plastic Products (Pvt) Ltd.	529	832
Central Transport & Travels Ltd.	2,460	3,526
The Kandy Private Hospitals Ltd.	16,795	15,286
CF Insurance Brokers (Pvt) Ltd.	116,233	96,356
Central Homes (Pvt) Ltd.	1,428	2,726
Hedges Court Residencies (Pvt) Ltd.	50	107
CF Growth Fund Ltd.	7,754	8,530
	2,912,428	3,087,424

22.7. Tax Losses Brought Forward and Utilised during the Year

	Group	
	2024/25	2023/24
	Rs.'000	Rs.'000
Balance as at the beginning of the year	3,950	12,680
Tax losses utilised during the year	(655)	(3,309)
Tax losses expired during the year	(623)	(5,421)
Tax losses carried forward	2,672	3,950

23. EARNINGS PER SHARE

Accounting Policy

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss for the year attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the year.

Diluted EPS is determined by adjusting the profit or loss attributable to the ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, which comprise share options granted to employees as per Sri Lanka Accounting Standard - LKAS 33 on "Earnings per Share".



23.1. Basic Earnings per Share (Rs.)

	Group	
	2024/25	2023/24
Profit attributable to equity holders of the parent (Rs.000)	9,923,975	7,842,275
Weighted average number of ordinary shares used as denominator ('000)	227,354	227,354
Basic and diluted Earnings per Share (Rs.)	43.65	34.49

Weighted average number of ordinary shares for earnings per share

	Group	
	31.03.2025	31.03.2024
Number of shares at the beginning of the year	227,354,462	227,354,462
Weighted average number of shares at the end of the year	227,354,462	227,354,462

23.2. Diluted Earnings per Share

There was no dilution of ordinary shares outstanding. Therefore, diluted earnings per share is the same as basic earnings per share as shown in Note 23.1

24. DIVIDEND PER SHARE

	Group	
	2024/25 Rs.'000	2023/24 Rs.'000
Dividends		
Paid:		
2024/25 -Rs. 2.75 (2023/24 -Rs. 2.50)	625,225	568,386
Proposed:		
2023/24 Final Rs. 2.00	-	454,709
2024/25 Final Rs. 3.75	852,579	-
	1,477,804	1,023,095
Dividend per share (Rs.) - Paid and proposed	6.50	4.50

Proposed Dividends

The Directors recommend that a final cash dividend of Rs. 3.75 per share be paid for the financial year ended 31st March 2025. (2023/24 - a cash dividend of Rs. 2.00 per share).

The final dividend is to be approved at the Annual General Meeting of the Company to be held on 30th June 2025. In accordance with Sri Lanka Accounting Standard – LKAS 10 on “Events after the reporting period”, this final dividend has not been recognised as a liability as at 31st March 2025. The final dividend proposed amounts to Rs. 852.58 Million. (2023/24- Rs.454.71 Million).

Notes to the Financial Statements

25. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

The carrying amounts of financial instruments by category as defined in Sri Lanka Accounting Standard - SLFRS 9 "Financial Instruments" under headings of the statement of financial position are summarised below.

Classification of financial assets

The group used judgments when assessing of the business model within which the assets are held.

25.(a). Analysis of Financial Instruments by Measurement Basis - Company

	31.03.2025			31.03.2024		
	Fair Value through Profit or Loss	Amortised Cost	Total Carrying Amount	Fair Value through Profit or Loss	Amortised Cost	Total Carrying Amount
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Assets						
Cash and cash equivalents		874,621	874,621	-	755,076	755,076
Fair value through profit or loss financial assets	1,466,670	-	1,466,670	3,029,889	-	3,029,889
Securities bought under repurchase agreements	-	3,401,767	3,401,767	-	6,090,306	6,090,306
Financial assets at amortised cost- Debt and other financial instruments	-	17,597,353	17,597,353	-	26,599,900	26,599,900
Financial assets at amortised cost- Loans and receivables from customers	-	9,566,996	9,566,996	-	5,944,936	5,944,936
Financial assets at amortised cost- Net investment in leases and hire purchase	-	56,556,667	56,556,667	-	44,203,016	44,203,016
Other financial assets		77,825	77,825	-	58,464	58,464
Total financial assets	1,466,670	88,075,229	89,541,899	3,029,889	83,651,698	86,681,587
Liabilities						
Bank overdrafts	-	452,705	452,705	-	414,157	414,157
Financial liabilities at amortised cost -Deposits	-	42,122,280	42,122,280	-	44,200,604	44,200,604
Lease liabilities	-	841,908	841,908	-	517,267	517,267
Other financial liabilities	-	1,389,917	1,389,917	-	697,121	697,121
Total financial liabilities	-	44,806,810	44,806,810	-	45,829,149	45,829,149



25.(b). Analysis of Financial Instruments by Measurement Basis - Group

	31.03.2025			31.03.2024		
	Fair Value through Profit or Loss	Amortised Cost	Total Carrying Amount	Fair Value through Profit or Loss	Amortised Cost	Total Carrying Amount
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Assets						
Cash and cash equivalents	-	1,011,416	1,011,416	-	905,389	905,389
Fair value through profit or loss financial assets	1,807,449	-	1,807,449	3,908,515	-	3,908,515
Securities bought under repurchase agreements	-	3,401,767	3,401,767	-	6,200,535	6,200,535
Financial assets at amortised cost- Debt and other financial instruments	-	21,070,588	21,070,588	-	28,971,594	28,971,594
Financial assets at amortised cost- Loans and receivables from customers	-	9,574,069	9,574,069	-	5,958,437	5,958,437
Financial assets at amortised cost- Net investment in leases and hire purchase	-	56,556,667	56,556,667	-	44,203,016	44,203,016
Trade Receivable	-	1,419,590	1,419,590	-	1,000,140	1,000,140
Other financial assets	-	111,658	111,658	-	88,076	88,076
Total financial assets	1,807,449	93,145,755	94,953,204	3,908,515	87,327,187	91,235,702
Liabilities						
Bank overdrafts	-	464,813	464,813	-	464,254	464,254
Financial liabilities at amortised cost -Deposits	-	41,675,987	41,675,987	-	43,737,485	43,737,485
Financial liabilities at amortised cost -Interest bearing borrowings	-	4,444	4,444	-	18,024	18,024
Lease liabilities	-	601,993	601,993	-	472,351	472,351
Other financial liabilities	-	1,534,623	1,534,623	-	821,287	821,287
Total financial liabilities	-	44,281,860	44,281,860	-	45,513,401	45,513,401

26. CASH AND CASH EQUIVALENTS**Accounting policy**

Cash and cash equivalents include cash in hand, demand placements with banks and highly liquid financial assets with original maturities within three months or less from the date of acquisition that are subject to an insignificant risk of changes in fair value and are used by the Group in the management of its short-term commitments. These items are brought to Financial Statements at face values or the gross values, where appropriate. There were no cash and cash equivalents held by the Group companies that were not available for use by the Group.

Bank overdrafts that are repayable on demand are also included as a component of cash and cash equivalents for the purpose of the cash flow statement.

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

Notes to the Financial Statements

Refer Note 17 for the accounting policy on Expected Credit Loss.

Statement of cash flows

The statement of cash flows has been prepared using the direct method in accordance with Sri Lanka Accounting Standard 7 - Statement of Cash Flows. Cash and cash equivalents comprise cash in hand and balances with banks net of outstanding bank overdrafts.

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cash in hand	339,363	468,359	336,815	466,437
Cash at bank	426,374	291,640	292,122	143,243
Savings deposits	245,692	145,624	245,692	145,624
Expected credit loss allowance(Note 26.1)	(13)	(234)	(8)	(228)
	1,011,416	905,389	874,621	755,076
Bank overdrafts	(464,813)	(464,254)	(452,705)	(414,157)
Cash and cash equivalents	546,603	441,135	421,916	340,919
Expected credit loss allowance	13	234	8	228
Cash and cash equivalents as per cash flow statement	546,616	441,369	421,924	341,147

26.1. Movement in expected credit loss allowance

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance at the beginning of the year	234	214	228	211
Charge /(write back) to income statement during the year	(221)	20	(220)	17
Balance at the end of the year	13	234	8	228

26.2. Credit and Market risk

Information about the Group's credit and market risks for financial assets are included in Note 7 to the financial statements.

Cash at Bank and Savings Deposits are held in Licensed Commercial Banks rated AA- (lka) to BBB-(lka) rating by the external rating agencies.

27. FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS

Accounting Policy

See accounting policies in Note 4.3

Financial assets measured at FVTPL are measured initially at fair value and subsequently recorded in the statement of financial position at fair value. Changes in fair value are recognised in income statement.

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Quoted securities (Note 27.1)	591,404	436,982	537,191	325,285
Unquoted equities (Note 27.2)	167,822	120,303	165,505	118,390
Investment in units (Note 27.3)	1,048,223	3,351,230	763,974	2,586,214
	1,807,449	3,908,515	1,466,670	3,029,889



27.1. Investments in quoted securities

	Group						Company					
	No. of Shares	Cost	Market Value	No. of Shares	Cost	Market Value	No. of Shares	Cost	Market Value	No. of Shares	Cost	Market Value
	31.03.2025	31.03.2025	31.03.2025	31.03.2024	31.03.2024	31.03.2024	31.03.2025	31.03.2025	31.03.2025	31.03.2024	31.03.2024	31.03.2024
		Rs.'000	Rs.'000		Rs.'000	Rs.'000		Rs.'000	Rs.'000		Rs.'000	Rs.'000
Banks												
Commercial Bank of Ceylon PLC	1,450,797	128,406	213,994	1,152,433	102,923	112,593	1,450,797	128,406	213,994	1,152,433	102,923	112,593
Commercial Bank of Ceylon PLC (Non-voting)	161,550	13,982	20,274	91,032	9,095	7,756	161,550	13,982	20,274	91,032	9,095	7,756
Hatton National Bank PLC	78,112	13,104	23,824	76,516	12,844	13,772	78,112	13,104	23,824	76,516	12,844	13,772
National Development Bank PLC	282,777	33,553	30,257	265,843	32,169	18,077	282,777	33,553	30,257	265,843	32,169	18,077
Sampath Bank PLC	261,222	22,892	32,000	261,222	22,892	20,898	261,222	22,892	32,000	261,222	22,892	20,898
		211,937	320,349		179,923	173,096		211,937	320,349		179,923	173,096
Capital goods												
Hayleys PLC	-	-	-	146,500	19,105	12,028	-	-	-	-	-	-
Hemas Holdings PLC	780,295	74,256	93,635	1,040,295	99,172	83,640	779,000	74,183	93,480	779,000	74,183	62,632
John Keells Holdings PLC	830,520	14,438	16,776	75,502	13,230	14,647	830,520	14,438	16,776	75,502	13,230	14,647
Lanka Tiles PLC	102,000	7,726	5,171	102,000	7,726	5,273	-	-	-	-	-	-
Lanka Walltiles PLC	125,000	9,914	6,313	125,000	9,914	6,362	-	-	-	-	-	-
Royal Ceramics Lanka PLC	334,586	15,521	12,380	334,586	15,521	10,405	-	-	-	-	-	-
Vallibel One PLC	200,000	15,370	11,780	200,000	15,370	10,100	-	-	-	-	-	-
		137,225	146,055		180,038	142,455		88,621	110,256		87,413	77,279
Consumer durables and apparel												
Hela Apparel Holdings PLC	3,800	57	14	3,800	57	23	-	-	-	-	-	-
Diversified financials												
LOLC Holdings PLC	17,984	9,965	10,696	37,984	21,435	15,149	-	-	-	-	-	-
Sarvodaya Development Finance PLC	100	2	2	100	2	1	-	-	-	-	-	-
		9,967	10,698		21,437	15,150		-	-		-	-

Notes to the Financial Statements

	Group				Company			
	No. of Shares	Cost	Market Value	No. of Shares	Cost	Market Value	No. of Shares	Market Value
	31.03.2025	31.03.2025	31.03.2025	31.03.2024	31.03.2024	31.03.2024	31.03.2025	31.03.2024
		Rs.'000	Rs.'000		Rs.'000	Rs.'000	Rs.'000	Rs.'000
Food Beverage & Tobacco								
Ceylon Cold Stores PLC	510,000	36,784	41,820	510,000	36,784	41,820	510,000	36,784
Browns Investments PLC	1,055,000	11,149	7,702	1,055,000	11,149	5,697	-	-
		47,933	49,522		47,933	33,186	36,784	27,489
Materials								
Tokyo Cement Company (Lanka) PLC	424,003	30,511	33,496	424,003	30,511	21,836	33,496	21,836
Tokyo Cement Company (Lanka) PLC (Non-voting)	-	-	-	275,000	16,283	13,023	-	-
		30,511	33,496		46,794	34,859	30,511	21,836
Telecommunication Services								
Dialog Axiata PLC	2,186,733	27,063	31,270	2,186,733	27,063	25,585	31,270	25,585
Transportation								
Expolanka Holdings PLC	-	-	-	80,750	13,600	12,628	-	-
		464,693	591,404		516,845	436,982	394,917	325,285

27.2. Investments in unquoted securities

	Group				Company			
	No. of Shares	Cost	Fair Value	No. of Shares	Cost	Fair Value	No. of Shares	Fair Value
	31.03.2025	31.03.2025	31.03.2025	31.03.2024	31.03.2024	31.03.2024	31.03.2024	31.03.2024
		Rs.'000	Rs.'000		Rs.'000	Rs.'000		Rs.'000
Credit Information Bureau of Sri Lanka.	4,827	637	125,084	4,827	637	125,084	4,827	117,180
Finance Houses Consortium (Pvt) Ltd.	20,000	200	1,237	20,000	200	1,237	20,000	1,210
National Credit Guarantee Institution Limited	3,778,618	37,786	39,184	-	-	-	-	-
Rajawella Holdings (Pvt) Ltd.	54,600	546	2,317	54,600	546	1,913	-	-
Telshan Network (Pvt) Ltd.	972,000	9,720	-	972,000	9,720	-	972,000	9,720
		48,889	167,822		11,103	120,303	48,343	118,390

A relative valuation methodology may not be considered for the fair value calculation of these unquoted investments, due to limitation in obtaining comparable peers for targets, strategic direction of targets, access to the management information and difficulties in forecasting cashflows owing to lack of understanding about financial line items (revenue drivers and cost drivers generating cash flows, working capital management policy).

Due to the above, Fair value of unquoted investments is based on net asset value per share basis based on the valuation performed as per the latest financial statements of the respective companies.

The above fair value through profit or loss financial assets are measured at fair value through profit or loss upon initial recognition.

27.3. Investment in units

	Group				Company			
	No. of Units	Fair Value	No. of Units	Fair Value	No. of Units	Fair Value	No. of Units	Fair Value
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Unit Trusts								
Capital Alliance Limited Investment Grade Fund.	5,402,573	187,794	196,557	16,185,409	480,000	511,580	-	-
Capital Alliance Fixed Income Opportunities Fund.	-	-	-	2,603,621	77,846	85,540	-	-
JE Vantage Value Equity Fund.	1,513,835	65,000	87,956	-	-	-	1,513,835	65,000
Senfin Growth Fund	29,651,594	400,000	540,548	-	-	-	29,651,594	400,000
Senfin Dividend Fund.	8,877,841	100,000	135,470	-	-	-	8,877,841	100,000
NDB Wealth Money Plus Fund.	102,343	1,674	4,038	169,913	2,757	4,346	-	-
NDB Wealth Money Fund.	2,333,986	79,278	83,654	83,712,200	2,662,407	2,749,764	-	-
		833,746	1,048,223	3,223,010	3,351,230		78,983,789	2,500,000
							565,000	763,974
								2,500,000
								2,586,214

The Group/Company has not pledged any investments in quoted and unquoted securities measured at FVTPL as at 31.03.2025 and 31.03.2024.

The above fair value through profit or loss financial assets are measured at fair value through profit or loss upon initial recognition.

Notes to the Financial Statements

28. SECURITIES BOUGHT UNDER REPURCHASE AGREEMENTS

Accounting Policy

See accounting policies in Note 4.3

Securities purchased under agreements to re-sell at a specified future date are recognised in the Statement of Financial Position. The consideration paid, including accrued interest, is recorded in the Statement of Financial Position, reflecting the transaction's economic substance as a loan by the Group. The difference between the purchase and resale prices is recorded in "interest income" and is accrued over the life of the agreement using the EIR.

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
At amortised cost	3,401,767	6,200,535	3,401,767	6,090,306
	3,401,767	6,200,535	3,401,767	6,090,306

28.1. The securities refer to financial assets collateralised by government securities denominated in local currency. Above investments have maturities within one year. No ECL is recognised against these securities.

28.2. Credit and Market risk

Information about the Group's credit and market risks for financial assets are included in Note 7 to the financial statements.

29. FINANCIAL ASSETS AT AMORTISED COST - DEBT AND OTHER FINANCIAL INSTRUMENTS

Accounting Policy

See accounting policies in Not 4.3 and 17.

As per SLFRS 9 – "Financial Investments" are measured at amortised cost if it meets both of the following conditions and is not designated at FVTPL:

- The asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

After initial measurement, these are subsequently measured at amortised cost (gross carrying amount using the EIR, less provision for impairment). Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in "interest income" while the losses arising from impairment are recognised in "impairment charges for loans and other losses" in the Income Statement.

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Deposits with banks at amortised cost	1,812	1,014,965	-	1,012,558
Deposits with financial institutions at amortised cost	1,206,052	535,567	290,735	201,712
Investment in treasury bonds (LCY) at amortised cost	193,456	189,120	-	-
Investment in treasury bills (LCY) at amortised cost	7,792,432	20,636,573	7,079,311	19,612,806
Debentures at amortised cost	7,593,313	3,670,214	6,142,947	2,847,320
Securitised and commercial papers at amortised cost	4,302,011	2,938,733	4,099,721	2,938,733
	21,089,076	28,985,172	17,612,714	26,613,129
Expected credit loss allowance (Note 29.1)	(18,488)	(13,578)	(15,361)	(13,229)
	21,070,588	28,971,594	17,597,353	26,599,900



29.1. Movement in expected credit loss allowance

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance at the beginning of the year	13,578	52,128	13,229	47,999
Charge / (write back) to income statement during the year	4,910	(38,550)	2,132	(34,770)
Balance at the end of the year	18,488	13,578	15,361	13,229
Receivable within one year	13,533,767	24,295,761	11,699,492	22,920,450
Receivable after one year	7,555,309	4,689,411	5,913,222	3,692,679
	21,089,076	28,985,172	17,612,714	26,613,129

29.2. Credit and Market risk

Information about the Group's credit and market risks for financial assets are included in Note 7 to the financial statements.

30. FINANCIAL ASSETS AT AMORTISED COST- LOANS AND RECEIVABLES FROM CUSTOMERS

Accounting Policy

See accounting policies in Notes 4.3 and 17.

Loans to and receivables from customers include loans and advances of the Group. The accounting policy pertaining to financial assets measured at amortised cost - loans and advances to customers has been given in Note 4.3.3.d to the financial statements.

Financial assets measured at amortised cost - loans and advances to customers include loans and advances and lease receivables of the Company. As per SLFRS 9, loans and advances to customers are assets that are;

- Held within a business model with the objective to hold financial assets in order to collect contractual cash flows
- The contractual terms of the financial asset give rise on specified dates to cash flows, that are Solely Payments of Principal and Interest (SPPI) on the principal amount outstanding.

Principal amount of loans and advances are recognised when cash is advanced to a borrower. They are derecognised when either the borrower repays its obligations, or the loans are written-off, or substantially all the risks and rewards of ownership are transferred. They are initially recorded at fair value plus any directly attributable transaction costs and are subsequently measured at amortised cost using the effective interest method, less any reduction for impairment or uncollectibility.

Loans and receivables from other customers are normally written off, either partially or in full, when there is no realistic prospect of recovery and all possible steps have been executed in recovering dues. Where loans are secured, this is generally after receipt of any proceeds from the realisation of the security. If the write-off is later recovered, the recovery is credited to other income.

Prior to 1st April 2023 for leases and other loans the Company had rebutted the presumption of more than 30 days for significant increase in credit risk and defined it to be to more than 60 days (facilities more than 60 days past due classified as Stage 2) and presumption of more than 90 days for default and defined it to be to more than 120 days (facilities more than 120 days past due classified as Stage 3) to align these defined days with parameters to the Company's business model, internal risk management practices, the recovery monitoring and follow-up procedure adopted by the Company.

Commencing from 1 April 2023 the Company considers that significant increase in credit risk occurs when contractual payments are more than 30 days past due (facilities more than 30 days past due classify as Stage 2) and default is presumed at more than 90 days past due (facilities more than 90 days past due classify as Stage 3) in line with the Finance Business Act Direction No. 1 of 2020 and SLFRS 09.

Notes to the Financial Statements

Furthermore, as per Section 4.3.1. (i) of the Finance Business Act Direction No. 1 of 2020, effective from 1 April 2025, any credit facility classified as a Non-Performing Loan (NPL) either by exceeding 90 days past due or based on potential credit risk cannot be reclassified as performing until the principal and interest in arrears are fully paid or upon confirmation of the satisfactory performance of the credit facility under potential risk. Although a deferment for the Section 4.3.1 (i) was provided until 1 April 2025, the Company has early adopted Section 4.3.1. (i) for reclassification of non-performing loans (NPLs) to performing loans (PLs) and applied for Stage-3 loans classification and for the purpose of computation of Expected Credit Loss (ECL) as of 31st March 2025.

The Company has aligned its business model, internal risk management practices, and recovery monitoring and follow-up procedures with the new definition outlined in Finance Business Act Direction No. 1 of 2020. The Company's ECL model has been modified with the above revised definitions.

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Term and other loans	9,838,540	6,053,463	9,838,540	6,053,463
Loans against fixed deposits	500,046	852,781	500,046	852,901
Housing and real estate receivables	4,152	4,355	4,152	4,355
Loans to employees	138,427	151,040	131,354	137,419
	10,481,165	7,061,639	10,474,092	7,048,138
Impairment for individually significant loans [Note 30.1 (a)]	(578,286)	(734,081)	(578,286)	(734,081)
Impairment for individually not significant loans [Note 30.1 (b)]	(324,658)	(364,899)	(324,658)	(364,899)
Other credit losses [Note 30.2]	(4,152)	(4,222)	(4,152)	(4,222)
	9,574,069	5,958,437	9,566,996	5,944,936
Receivable within one year	5,393,764	4,067,108	5,390,513	4,061,888
Receivable after one year	5,087,401	2,994,531	5,083,579	2,986,250
	10,481,165	7,061,639	10,474,092	7,048,138

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000

30.1.(a). Movement in impairment for individually significant loans

Balance at the beginning of the year	734,081	528,505	734,081	528,505
Charge /(write back) to the income statement during the year	(53,526)	205,576	(53,526)	205,576
Write off of impaired loans	(102,269)	-	(102,269)	-
Balance at the end of the year	578,286	734,081	578,286	734,081

30.1.(b). Movement in impairment for individually not significant loans

Balance at the beginning of the year	364,899	428,518	364,899	428,518
Charge /(write back) to the income statement during the year	(9,403)	(42,225)	(9,403)	(42,225)
Write off of impaired loans	(30,838)	(21,394)	(30,838)	(21,394)
Balance at the end of the year	324,658	364,899	324,658	364,899

Total impairment provision	902,944	1,098,980	902,944	1,098,980
-----------------------------------	----------------	------------------	----------------	------------------

30.2. Other credit losses

Balance at the beginning of the year	4,222	4,260	4,222	4,260
Charge / (write back) to the income statement during the year	(70)	(38)	(70)	(38)
Balance at the end of the year	4,152	4,222	4,152	4,222

Refer Note 7.3.7 for the movement in gross loans and receivables during the year allocated to each stage.



31. FINANCIAL ASSETS AT AMORTISED COST - NET INVESTMENT IN LEASES AND HIRE PURCHASE

See accounting policies in Notes 4.3 and 17.

Net investments in leases and hire purchases include lease and hire purchase receivables of the Company.

When the Company is the lessor in a lease agreement that transfers substantially all of the risk and rewards incidental to the ownership of the asset to the lessee, the arrangement is classified as a finance lease and a receivable equal to the net investment in the lease is recognised.

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Lease receivables [Note 31.1]	58,917,695	48,675,518	58,917,695	48,675,518
Hire purchase receivables [Note 31.2]	4,590	7,380	4,590	7,380
	58,922,285	48,682,898	58,922,285	48,682,898
Impairment for individually significant loans [Note 31.3(a)]	(185,890)	(165,007)	(185,890)	(165,007)
Impairment for individually not significant loans [Note 31.3(b)]	(2,179,728)	(4,314,875)	(2,179,728)	(4,314,875)
	56,556,667	44,203,016	56,556,667	44,203,016

31.1. Lease receivables

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Gross rental receivables	76,172,067	62,313,525	76,172,067	62,313,525
Unearned interest income	(18,913,659)	(16,246,294)	(18,913,659)	(16,246,294)
	57,258,408	46,067,231	57,258,408	46,067,231
Amounts receivable from lessees	2,253,399	3,053,465	2,253,399	3,053,465
Rentals received in advance	(594,112)	(445,178)	(594,112)	(445,178)
	58,917,695	48,675,518	58,917,695	48,675,518

31.2. Hire purchase receivables

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Gross rental receivable	-	-	-	-
Unearned interest income	-	-	-	-
	-	-	-	-
Amounts receivable from hirers	4,590	7,380	4,590	7,380
	4,590	7,380	4,590	7,380

Notes to the Financial Statements

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
31.3.(a). Movement in impairment for individually significant leases				
Balance at the beginning of the year	165,007	177,782	165,007	177,782
Charge / (write back) to the income statement during the year	20,883	5,528	20,883	5,528
Write off of impaired loans	-	(18,303)	-	(18,303)
	185,890	165,007	185,890	165,007
31.3.(b). Movement in impairment for individually not significant leases				
Balance at the beginning of the year	4,314,875	4,848,264	4,314,875	4,848,264
Charge / (write back) to the income statement during the year	(1,840,942)	(112,655)	(1,840,942)	(112,655)
Write off of impaired loans	(294,205)	(420,734)	(294,205)	(420,734)
	2,179,728	4,314,875	2,179,728	4,314,875
Total impairment provision	2,365,618	4,479,882	2,365,618	4,479,882

The customer engagement driven collection efforts which led to improved recoveries and significant reduction in non-performing loans, improved probability of default ratios (PDs) compared to prior periods which had been adversely impacted by the Covid pandemic and subsequent economic down-turn, re-assessment of stress testing scenarios and related assumptions driven by improved macro-economic conditions and resultant reversal of management overlay resulted in significant impairment reversal for the year.

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Rentals receivable on lease and hire purchase				
Not later than one year				
Gross rentals receivables	30,553,124	27,999,612	30,553,124	27,999,612
Unearned interest income	(8,950,614)	(8,030,728)	(8,950,614)	(8,030,728)
Rentals received in advance	(57,965)	(72,559)	(57,965)	(72,559)
	21,544,546	19,896,325	21,544,546	19,896,325
Later than one year and not later than five years				
Gross rentals receivables	47,196,048	37,134,006	47,196,048	37,134,006
Unearned interest income	(9,914,765)	(8,214,094)	(9,914,765)	(8,214,094)
Rentals received in advance	(410,027)	(317,775)	(410,027)	(317,775)
	36,871,256	28,602,137	36,871,256	28,602,137
Later than five years				
Gross rentals receivables	680,884	240,752	680,884	240,752
Unearned interest income	(48,280)	(1,472)	(48,280)	(1,472)
Rentals received in advance	(126,121)	(54,844)	(126,121)	(54,844)
	506,483	184,436	506,483	184,436
Total receivables on leases and hire purchase	58,922,285	48,682,898	58,922,285	48,682,898



Maturity analysis of lease and hire purchase receivables on undiscounted basis

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Not later than one year	30,553,123	27,999,612	30,553,123	27,999,612
More than one year not later than two years	21,603,421	18,436,301	21,603,421	18,436,301
More than two years not later than three years	13,873,284	11,502,702	13,873,284	11,502,702
More than three years not later than four years	8,089,724	5,067,051	8,089,724	5,067,051
More than four years not later than five years	3,629,619	2,127,952	3,629,619	2,127,952
More than five years	680,884	240,752	680,884	240,752
Total	78,430,055	65,374,370	78,430,055	65,374,370

32. TRADE RECEIVABLES

See accounting policies in Not 4.3 and 17.

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Trade receivables	1,466,636	1,050,282	-	-
Expected credit loss allowance (Note 32.1)	(47,046)	(50,142)	-	-
	1,419,590	1,000,140	-	-

32.1. Movement in expected credit loss allowance

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance at the beginning of the year	50,142	187,804	-	-
Charge / (write back) to income statement during the year	(2,878)	(137,662)	-	-
Write off during the year	(218)	-	-	-
Balance at the end of the year	47,046	50,142	-	-

The impairment provision made against long outstanding trade debtors of a subsidiary company has been reversed in the financial year ended 31 March 2024 in lieu of settlements reached with the Customers.

Trade receivables have maturities within one year.

33. INVESTMENTS IN SUBSIDIARIES**Accounting policy**

See accounting policies in Note 4.1

Recognition and measurement

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to, or has right to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries are included in the consolidated financial statements from the date on which control commenced until the date on which control ceases.

Investments in subsidiaries are recognized at cost of acquisition and thereafter it is carried at cost less any impairment losses in the separate financial statements of the Company. The net assets of each subsidiary are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the recoverable amount of the investment is estimated and the impairment loss is recognised to the extent of its net assets loss.

Notes to the Financial Statements

Principal business activities	Principal place of business	% Holding		No. of Shares		Cost		Market Value/Directors' Valuation	
		Group		Company		Company		Company	
		31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024
						Rs.'000	Rs.'000	Rs.'000	Rs.'000
Quoted investments									
Central Industries PLC	Sri Lanka	49.98%	49.98%	44.06%	44.06%	10,660,944	10,660,944	189,400	189,400
	Manufacture and distribution of PVC pipes and fittings							1,561,828	1,183,365
Unquoted investments									
Central Developments Limited	Sri Lanka	99.99%	99.99%	39.79%	39.79%	5,289,972	5,289,972	52,900	52,900
Dehigama Hotels Company Limited	Sri Lanka	79.69%	79.69%	79.69%	79.69%	659,854	659,854	7,443	7,443
	Renting of commercial property							485,974	482,592
Expanded Plastic Products (Private) Limited	Sri Lanka	99.99%	99.99%	40.00%	40.00%	2,559,967	2,559,967	25,600	25,600
	Investment company							33,998	33,410
Central Mineral Industries(Private) Limited.	Sri Lanka	99.99%	99.99%	39.99%	39.99%	139,979	139,979	1,400	1,400
	Manufacture of mineral products							29,090	28,878
Central Transport and Travels Limited	Sri Lanka	99.99%	99.99%	39.64%	39.64%	1,169,000	1,169,000	11,690	11,690
	Hiring of vehicles							48,607	46,118
CF Growth Fund Limited	Sri Lanka	99.99%	99.99%	39.87%	39.87%	6,500,000	6,500,000	65,000	65,000
	Investment company							1,487,112	828,990
The Kandy Private Hospitals Limited	Sri Lanka	66.74%	66.74%	37.00%	37.00%	203,700	203,700	2,363	2,363
	Provision of healthcare services							213,823	199,838
CF Insurance Brokers (Private) Limited	Sri Lanka	99.99%	99.99%	40.00%	40.00%	4,949,997	4,949,997	49,500	49,500
	Insurance broking							2,375,120	1,558,235
Central Homes (Private) Limited	Sri Lanka	99.99%	99.99%	38.48%	38.48%	1,315,000	1,315,000	13,151	13,151
	Property development and sale of real estate							24,299	23,016
Hedges Court Residences (Private) Limited	Sri Lanka	100.00%	100.00%	40.00%	40.00%	2,000,000	2,000,000	20,000	20,000
	Construction and sale of apartments							-	-
Provision for impairment in investments in subsidiaries (Note 33.1)								438,447	438,447
								(30,468)	(30,468)
Net investment in subsidiary companies								407,979	407,979

** Central Industries PLC, a quoted public Company listed on the Colombo Stock Exchange, is consolidated as a subsidiary company with a group equity investment of 49.98% taking into account the fact that the Group possesses power over the investee and is able to decide the variable return of the investee.

** Fair value of unquoted investments is based on net asset value per share basis based on audited financial statements of respective Companies.

*** There are no significant restrictions on the ability of the subsidiaries to transfer funds to the other entities within the Group in the form of cash dividends or repayment of loans and advances. All subsidiaries of the Group as at the reporting date have been incorporated in Sri Lanka.



33.1. Provision for impairment in investments in subsidiaries

	Company	
	31.03.2025	31.03.2024
	Rs.'000	Rs.'000
Hedges Court Residencies (Private) Limited	20,000	20,000
Expanded Plastic Products (Private) Limited	7,000	7,000
Central Homes (Private) Limited	3,468	3,468
	30,468	30,468

The Board of Directors has assessed the potential impairment loss of investment in subsidiaries as at 31 March 2025. Based on the assessment, except for the above companies , no impairment provision was required to be made in the financial statements as at the reporting date.

Notes to the Financial Statements

33.2. Non-controlling interest (NCI) in subsidiaries

Subsidiary	% of ownership and voting rights held by NCI As at		Share of income of NCI For the year ended		Share of other comprehensive income of NCI For the year ended	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024
			Rs.'000	Rs.'000	Rs.'000	Rs.'000
Central Industries PLC	50.02%	50.02%	273,821	325,096	1,085	86,375
Dehigama Hotels Company Ltd.	20.31%	20.31%	7,253	7,412	-	9,241
Kandy Private Hospitals Ltd.	33.26%	33.26%	13,186	12,157	(8)	(283)
			294,260	344,665	1,077	95,333

33.3. Summarised financial information of subsidiaries

For the year ended	Revenue		Profit/(loss) after tax		Other comprehensive Income	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Central Industries PLC	5,313,102	4,321,998	547,869	649,932	2,169	172,680
Central Developments Limited	37,367	29,174	31,543	19,429	30	(72)
Dehigama Hotels Company Limited	47,505	47,505	35,711	81,997	-	-
Expanded Plastic Products (Private) Limited	2,097	3,024	1,276	1,983	196	148
Central Mineral Industries (Private) Limited.	33,976	34,956	525	1,319	5	(13,271)
Central Transport and Travels Limited	9,255	12,434	6,238	(23,529)	40	56
CF Growth Fund Limited	116,765	96,785	107,068	87,788	1,543,674	699,276
The Kandy Private Hospitals Limited	165,670	157,605	39,645	36,551	(23)	(850)
CF Insurance Brokers (Private) Limited	309,132	252,540	397,033	360,114	1,676,117	812,153
Central Homes (Private) Limited	5,076	9,340	3,335	6,362	-	-
Hedges Court Residencies (Private) Limited	167	357	(407)	(3,113)	-	-

	Current assets		Non-current assets		Total assets	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Central Industries PLC	3,575,603	3,193,991	1,487,482	1,499,564	5,063,085	4,693,555
Central Developments Limited	226,899	194,819	158,775	158,732	385,674	353,551
Dehigama Hotels Company Limited	77,244	70,060	764,000	764,000	841,244	834,060
Expanded Plastic Products (Private) Limited	21,282	20,007	64,182	63,901	85,464	83,908
Central Mineral Industries (Private) Limited.	13,117	11,746	101,369	102,547	114,486	114,293
Central Transport and Travels Limited	85,429	79,091	38,153	38,095	123,582	117,186
CF Growth Fund Limited	299,207	236,431	3,432,900	1,844,205	3,732,107	2,080,636
The Kandy Private Hospitals Limited	248,189	219,824	486,764	477,614	734,953	697,438
CF Insurance Brokers (Private) Limited	411,215	298,080	6,116,506	3,980,786	6,527,721	4,278,866
Central Homes (Private) Limited	63,561	60,083	-	-	63,561	60,083
Hedges Court Residencies (Private) Limited	34,717	35,422	-	-	34,717	35,422



Share of total comprehensive income of NCI For the year ended		Non -controlling interest (NCI) As at		Cash dividends paid to NCI For the year ended	
31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024
Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
274,906	411,471	2,193,075	1,990,769	72,600	40,533
7,253	16,653	123,857	122,996	6,392	6,392
13,178	11,874	192,193	179,623	608	163
295,337	439,998	2,509,125	2,293,388	79,600	47,088

Total comprehensive income		Cash flows from operating activities		Cash flows from investing activities		Cash flows from financing activities	
31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024
Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
550,038	822,612	43,584	780,952	161,267	(1,057,102)	(158,751)	(98,325)
31,573	19,357	(4,273)	(6,593)	4,313	16,818	(1)	(10,195)
35,711	81,997	31,605	34,395	2,435	(3,772)	(30,520)	(30,520)
1,472	2,131	(714)	(1,068)	737	1,082	-	-
530	(11,952)	90	(983)	13	26	-	-
6,278	(23,473)	(1,918)	(1,372)	1,724	1,184	(6)	-
1,650,742	787,064	(6,649)	12,722	(26,616)	23,257	-	-
39,622	35,701	24,977	17,823	213	(15,429)	(3,288)	(435)
2,073,150	1,172,267	13,778	257,087	3,944	(202,968)	(28,394)	(24,951)
3,335	6,362	(1,242)	(2,031)	1,339	1,982	(71)	70
(407)	(3,113)	(1,177)	(834)	759	420	-	-

Current liabilities		Non current liabilities		Total liabilities		Equity	
31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024
Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
437,880	488,228	240,411	225,402	678,291	713,630	4,384,794	3,979,925
1,081	543	226	213	1,307	756	384,367	352,795
39,681	36,741	191,700	191,700	231,381	228,441	609,863	605,619
235	237	231	147	466	384	84,998	83,524
11,748	11,482	30,002	30,605	41,750	42,087	72,736	72,206
749	648	214	197	963	845	122,619	116,341
2,044	1,315	1	1	2,045	1,316	3,730,062	2,079,320
21,425	22,283	135,670	135,092	157,095	157,375	577,858	540,063
396,140	266,566	193,778	116,710	589,918	383,276	5,937,803	3,895,590
412	268	-	-	412	268	63,149	59,815
201,934	202,231	-	-	201,934	202,231	(167,217)	(166,809)

Notes to the Financial Statements

33.4. Liquidation of a subsidiary

Central Construction and Development(Private) Limited was liquidated in March 2024 and the details related to the liquidation are as follows:

	Central Finance Company PLC	Central Transport & Travels Limited	Group
Number of shares held	5	4990	4,995
Holding %	0.10%	99.80%	99.90%
Cost of the investment (Rs.)	50	49,900	49,950
Receipt on liquidation (Rs.)	Nil	Nil	Nil
Total net assets of the subsidiary liquidated (Rs.)	-	-	(50,000)
Gain/(loss) on the liquidation (Rs.)	(50)	(49,900)	50,000

The loss on liquidation had been fully provided/written off in the individual Company financial statements as of 31st March 2024.

34. INVESTMENT IN EQUITY ACCOUNTED INVESTEEES

Accounting policy

See accounting policies in Note 4.1

Equity-accounted investees comprise interests in associates.

Associates are those entities in which the Group has significant influence, but not control, over the financial and operating policies. Interests in associates are accounted for using the equity method. They are initially recognized at cost, which includes transaction costs. Subsequent to initial recognition, the consolidated financial statements include the Group's share of the profit or loss and OCI of equity-accounted investees, until the date on which significant influence ceases.

Investments in associates are accounted for at cost less accumulated impairment losses in the separate financial statements. Provision for impairment is made where the decline in value is other than temporary and such impairment is made for investments individually.

Transactions eliminated on consolidation

Unrealized gains arising from transactions with equity-accounted investees are eliminated against the investment to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.



Company's/Group's investments in associates

Investor		Investee	Principal place of business	Principal business activities	% Holding		No. of shares		Cost		Market Value		
					31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024	
					Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
Central Finance Company PLC					Quoted investments								
			Tea Smallholder Factories PLC	Sri Lanka	Processing green leaves purchased from tea small holders and the sale of processed black tea	22.85%	6,854,814	6,854,814	99,337	99,337	274,878	284,475	
			Nations Trust Bank PLC (voting)	Sri Lanka	Licensed commercial bank	9.84%	28,147,578	27,749,869	979,778	903,048	5,348,040	2,983,111	
			Nations Trust Bank PLC (convertible non -voting)			20.98%	9,364,407	9,280,675	754,948	729,287	2,530,731	960,550	
Company investment in associates									1,834,063		1,731,672	8,153,649	4,228,136
CF Growth Fund Ltd.					Quoted investments								
			Tea Smallholder Factories PLC			6.45%	1,933,678	1,933,678	30,361	30,361	77,540	80,248	
			Nations Trust Bank PLC (voting)			4.92%	14,082,437	13,883,461	470,117	431,729	2,675,663	1,492,472	
			Nations Trust Bank PLC (convertible non -voting)			5.43%	2,425,280	2,403,595	194,933	188,287	655,432	248,772	
CF Insurance Brokers (Pvt) Ltd.					Quoted investments								
			Nations Trust Bank PLC (voting)			4.96%	14,178,549	13,978,215	587,021	548,370	2,693,924	1,502,658	
			Nations Trust Bank PLC (convertible non -voting)			5.47%	2,441,833	2,420,000	196,038	189,347	659,905	250,470	
Group's investment in associates									3,312,533		3,119,766	14,916,113	7,802,756
			Adjustment on sale of shares within the group							(224,844)		-	
			Group's investment in associates							3,087,689		2,894,922	
Group's share of associate companies' retained assets													
			Tea Smallholder Factories PLC							401,234		389,445	
			Nations Trust Bank PLC							14,808,393		11,248,129	
			Group's investment in associates (equity basis)							18,297,316		14,532,496	

Notes to the Financial Statements

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Investment in associates (at cost) at the beginning of the year	2,894,922	2,749,656	1,731,672	1,654,509
Investment made during the year (scrip dividend)	192,767	145,266	102,391	77,163
Investment in associates (at cost) at the end of the year	3,087,689	2,894,922	1,834,063	1,731,672

	Nations Trust Bank PLC		Tea Smallholder Factories PLC		Total	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Group's investment in associates at cost at the beginning of the year	2,765,224	2,619,958	129,698	129,698	2,894,922	2,749,656
Investment made during the year (scrip dividends)	192,767	145,266	-	-	192,767	145,266
Investment in associates (at cost) at the end of the year	2,957,991	2,765,224	129,698	129,698	3,087,689	2,894,922
Group's share of equity accounted investees retained earnings at beginning of the year	11,248,129	7,998,280	389,445	373,487	11,637,574	8,371,767
For the year ended						
Share of profit / (loss) of equity accounted investees (net of tax)	3,658,393	2,662,623	6,383	1,825	3,664,776	2,664,448
Share of other comprehensive income (net of tax)	355,024	928,788	7,251	14,133	362,275	942,921
Gross dividends received	(453,153)	(341,562)	(1,845)	-	(454,998)	(341,562)
	17,766,384	14,013,353	530,932	519,143	18,297,316	14,532,496

34.1. The Group held 20% ownership interest in Nations Trust Bank PLC (NTB) until end February 2018 and with the issuance of convertible non-voting shares, the Group's ownership interest increased to 21.10% from March 2018. The ownership interest further increased to 21.38% from 01st January 2020 with the purchase of convertible non-voting shares from the secondary market.

The Group holds 19.72% voting shares in Nations Trust Bank PLC (NTB) as at 31.03.2025. In terms of the Banking Act No.30 of 1998, as amended, Central Finance Group is required to reduce the holding of voting shares of NTB to 15% to comply with the said requirement. The restriction on voting rights at 10% which is applicable to the Central Finance Group continues to be in effect until the shareholding is reduced to 15%. As of 31 March 2025, the Group holds an economic interest of 21.38% in NTB. CF Group as a promoter shareholder continues to exercise significant influence on the operating and financial policies of the Bank as evidenced by the CF representation in Board positions and Board Sub-Committees of the Bank.



34.2. Summarised financial information of associates

As at	Nations Trust Bank PLC		Tea Smallholder Factories PLC		Total	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Current assets	397,420,235	336,146,045	506,333	441,090	397,926,568	336,587,135
Non-current assets	203,424,461	157,346,597	1,808,013	1,779,357	205,232,474	159,125,954
Total assets	600,844,696	493,492,642	2,314,346	2,220,447	603,159,042	495,713,089
Current liabilities	418,502,000	392,233,512	237,312	200,061	418,739,312	392,433,573
Non-current liabilities	99,780,341	36,249,663	363,470	347,054	100,143,811	36,596,717
Total liabilities	518,282,341	428,483,175	600,782	547,115	518,883,123	429,030,290
Equity	82,562,355	65,009,467	1,713,564	1,673,332	84,275,919	66,682,799
For the year ended						
Revenue	73,787,777	80,948,720	2,797,104	3,055,960	76,584,881	84,004,680
Profit after tax	17,111,285	12,453,800	21,786	6,229	17,133,071	12,460,029
Other comprehensive income	1,660,541	4,344,193	24,748	48,235	1,685,289	4,392,428
Total comprehensive income	18,771,826	16,797,993	46,534	54,464	18,818,360	16,852,457
Total comprehensive income attributable to equity holders of the company	18,771,826	16,797,993	46,534	54,464	18,818,360	16,852,457

Receipt of dividends

As at	Nations Trust Bank PLC		Tea Smallholder Factories PLC		Total	
	Year ended		Year ended		Year ended	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Company	204,784	154,326	1,224	-	206,008	154,326
Group	385,539	290,533	1,569	-	387,108	290,533

There are no restrictions on the ability of the associate to transfer funds to the investor in the form of cash dividends, or repayment of loans or advances.

The Company has neither contingent liabilities nor capital and other commitments towards its associate companies.

34.3 Tea Smallholder Factories PLC (TSFP)

Pursuant to the Udapussellawa Plantations PLC's acquisition of 37.59% stake in Tea Smallholder Factories PLC at a price of Rs. 35/- per share on 3rd April 2025 and announcement of a mandatory offer to purchase the remaining 62.41% of voting shares as required by the Takeovers and Mergers Code of 1995, Board of Directors of Central Finance Company PLC and its subsidiary company CF Growth Fund Ltd resolved to divest the 29.29% stake in Tea Smallholder Factories PLC and intend to accept the aforesaid mandatory offer. (Refer Note 58.1)

Notes to the Financial Statements

35. INVENTORIES AND OTHER STOCKS

Accounting policy

Inventories are valued at the lower of cost and net realisable value under the weighted average cost method. The cost of raw materials is determined at purchase price including all expenses incurred in sourcing. The cost of work-in-progress is the value of raw material transferred to production. The cost of finished goods includes raw material cost and all direct and indirect expenses incurred in production. Vehicles, spare parts and other stocks are valued at cost or net realisable value whichever is lower. Net realisable value is the estimated selling price less estimated cost of completion and the estimated cost necessary to make the sale. Inventories are regularly assessed for impairment and provisions are made accordingly.

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Vehicles	18,810	40,210	18,810	40,210
Raw materials	465,229	536,803	-	-
Work - in - progress	10,824	15,698	-	-
Finished goods	386,515	373,812	-	-
Machinery & vehicle spare parts	70,277	80,590	49,172	61,017
Others	34,264	39,053	22,160	20,952
Goods-in-transit	166,515	141,052	-	-
	1,152,434	1,227,218	90,142	122,179
Specific provision for stock obsolescence (Note 35.1)	(97,951)	(162,532)	(18,010)	(32,365)
Net carrying amount	1,054,483	1,064,686	72,132	89,814

35.1. Provision for stock obsolescence

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance at the beginning of the year	162,532	115,290	32,365	35,445
Provision made during the year	-	50,322	-	-
Released to income statement during the year	(64,581)	(3,080)	(14,355)	(3,080)
Balance at the end of the year	97,951	162,532	18,010	32,365

35.2. The amount recognised in the Profit and Loss as Expense

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Inventories recognised as an expense during the year	3,605,090	2,796,307	261,865	247,674
Impairment provision /(write back)	(64,581)	47,242	(14,355)	(3,080)
Write down/(write back) of inventories to net realisable value	(915)	4,484	-	-

Inventories pledged as security for banking facilities as at 31.03.2025 amounted to Rs.7.50 million (Rs..7.50 million as at 31.03.2024).



Facilities available from banks against a negative pledge over the inventories of subsidiary company, Central Industries PLC:

Bank	Facilities available	31.03.2025 Rs.'000	31.03.2024 Rs.'000
Nations Trust Bank PLC	Short term loan, overdraft, import loan and guarantee facilities	500,000	500,000
Hatton National Bank PLC	Short term loan, overdraft, import loan and guarantee facilities	1,000,000	1,000,000
Commercial Bank of Ceylon PLC	Short term loan, overdraft, import loan and guarantee facilities	1,169,400	1,169,400
Sampath Bank PLC	Short term loan, overdraft, import loan	500,000	500,000
Seylan Bank PLC	Short term loan, overdraft, import loan and guarantee facilities	1,100,000	1,100,000
People's Bank	Short term loan, overdraft, import loan and guarantee facilities	420,000	420,000
Pan Asia Banking Corporation PLC	Short term loan, overdraft, import loan and guarantee facilities	270,000	270,000
Public Bank	Short term loan, overdraft, import loan	-	80,000
Union Bank	Short term loan, overdraft, import loan	250,000	-
		5,209,400	5,039,400

Inventories carried at net realisable value as at 31st March 2025 amounted to Rs. 0.8 Million for the Company and Rs.118.33 Million for the Group (as at 31.03.2024 Rs.7.51 Million for the Company and Rs.57.83 Million for the Group).

36. INVESTMENT PROPERTIES

Accounting policy

Investment properties are properties held either to earn rental income or for capital appreciation or both, but not for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes.

Investment properties are initially measured at cost and the fair value model is used for subsequent measurement in accordance with Sri Lanka Accounting Standard (LKAS 40) –Investment Property. The cost of the investment property comprises of its purchase price and any directly attributable expenditure. Fair valuations of the properties are carried out by independent valuer/valuers having appropriate professional qualifications.

Any gain or loss on disposal of investment property (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognized in income statement. When investment property that was previously classified as property, plant & equipment is sold any related amounts included in the revaluation reserve is transferred to retained earnings.

When an item of property, plant and equipment is transferred to investment property following a change in its use, the difference between the carrying amount of the item immediately prior to the date of transfer and its fair value is recognised directly in equity under revaluation reserve, if it is a gain. If it is a decline in value, the decrease is charged against revaluation reserve to the extent that it was previously credited and any decrease beyond such value is charged to the income statement.

When the use of a property changes such that it is reclassified as property, plant and equipment, its fair value at the date of reclassification becomes its cost for subsequent accounting.

Rental income from investment property is recognised as other revenue on a straight-line basis over the term of the lease. Lease incentives granted are recognised as an integral part of the total rental income, over the lease.

SIGNIFICANT ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

Classification of investment properties

Management judgment is required to determine whether a property qualifies as an investment property. Properties held to earn rentals or for capital appreciation or both and which generate cash flows largely independently of the other assets held by the Group are accounted for as investment properties. On the other hand, properties used for operations or in the process of providing services or

Notes to the Financial Statements

for administrative purposes and which do not directly generate cash flows as standalone assets are accounted for under property, plant and equipment. The Group assesses on an annual basis, the accounting classification of its properties taking into consideration the current use of such properties.

Fair value measurement of investment properties

Investment properties of the Group are measured at fair value for the purposes of preparing the consolidated financial statements. Group management determines the appropriate techniques and inputs required for measuring the fair value. In determining the fair value of the investment properties, management uses observable market data and the services of a qualified external valuer.

Market based valuation

Market based valuation method considers the selling price of a similar property within a reasonable period of time in determining the fair value of the property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustment for differences in size, nature, location and condition of the specific property. In this process, outlier transactions, indicative of particularly motivated buyers or sellers are compensated for, since the price may not adequately reflect the fair market value.

	Group/Company	
	31.03.2025	31.03.2024
	Rs.'000	Rs.'000
Balance at the beginning of the year	66,611	78,800
Fair value gains on investment properties	-	5,700
Disposals during the year	-	(17,889)
Balance at the end of the year	66,611	66,611

Information of investment properties

Location	Method of valuation	Range of estimates for unobservable inputs Price per perch for land	Extent Perches	Group/Company	
				31.03.2025	31.03.2024
		Rs.'000		Rs.'000	Rs.'000
Sarasavigama Road, Hindagala	Comparison	57.12	1,050.40	60,000	60,000
Mahiyangana Road, Diganawatte	Comparison	50.45	2.2	111	111
Mahaberiyaenna, Digana	Comparison	84.75	76.70	6,500	6,500
				66,611	66,611



36.1. Measurement of fair values

The investment properties are revalued regularly to ensure that the carrying values do not differ materially from the fair values of such properties. The investment properties were revalued by Mr. Anuradha Seneviratne an independent Qualified Valuer on comparison method in March 2025 and it was concluded that there is no material change in the fair value of such properties compared to the carrying value, hence no fair value adjustments were made during the current financial year.

Fair value hierarchy

The fair value of investment properties was determined by external, independent property valuers, having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuers provide the fair value of the Group's investment property portfolio annually.

The fair value measurement of all of the investment properties has been categorized as a Level 3 fair value based on the inputs to the valuation techniques used.

36.2. Income from Investment Property

These investment properties are held for capital appreciation as such no rent income was received during the current and preceding financial years.

Direct operating expenses (including maintenance) of investment properties amounts to Rs. 0.12 Mn 2024/25 financial year, (2023/24 financial year -Rs. Nil).

36.3. There are no restrictions on the realisability of the investment properties.

36.4. There are no contractual obligations to construct or develop investment properties or for repairs, maintenance or enhancements.

37. PROPERTY, PLANT AND EQUIPMENT

Accounting policy

Basis of recognition

Property, plant & equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the Company and cost of the asset can be reliably measured.

Basis of measurement

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at cost. Cost includes expenditure directly attributable to acquisition of the asset and subsequent costs excluding the costs of day-to-day servicing. The cost of self-constructed assets includes the cost of materials, direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring the site on which they are located and capitalised borrowing costs.

Cost model

The Group applies the cost model to all property, plant and equipment except freehold land and freehold buildings and records them at cost of purchase together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment charges.

Revaluation model

The Group applies the revaluation model for the entire class of freehold land and freehold buildings for measurement after initial recognition. Such properties are carried at revalued amounts, less any subsequent accumulated depreciation on buildings and any accumulated impairment losses charged subsequent to the date of revaluation. The Group revalues the entire class of freehold land and freehold buildings every 5 years.

Notes to the Financial Statements

When an asset is revalued, any increase in the carrying value is recognised in other comprehensive income and accumulated in equity under revaluation reserve except to the extent that it reverses a revaluation decrease of the same asset previously recognised in the income statement in which case the increase is recognised in the income statement to the extent of the decrease previously expensed. A decrease in the carrying value arising on the revaluation is recognised in the income statement and any decrease that offsets a previous surplus on the same asset is recognised in other comprehensive income to the extent of any credit balance available in the revaluation surplus in respect of that asset and any excess is recognised as an expense in the income statement. The difference in depreciation based on the revalued carrying amount and cost is transferred from revaluation reserve to retained earnings through equity statement. Any balance remaining in the revaluation reserve in respect of an asset is transferred directly to retained earnings on retirement or disposal of the asset.

When group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant and equipment in the consolidated financial statements and accounted for as per Sri Lanka Accounting Standard (LKAS 16) - Property, Plant and Equipment.

Subsequent costs

Subsequent expenditure incurred for the purpose of acquiring, extending or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business is treated as capital expenditure and such expenses are recognised in the carrying amount of an asset. The costs associated with day-to-day servicing of property, plant and equipment are recognised in the income statement as incurred.

Capital work in progress

These are expenses of a capital nature directly incurred in the construction of buildings awaiting capitalisation. Capital work in progress will be transferred to the relevant assets once ready for the intended use.

Derecognition

The carrying amount of an item of property, plant and equipment is derecognised on disposal or when no further economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset is recognised in the income statement in the year in which the asset is derecognised.

Depreciation

Provision for depreciation is calculated using the straight-line method on the cost or other amount substituted for cost of all property, plant and equipment other than freehold land in order to allocate depreciable amounts over the estimated useful lives of such assets. The estimated useful lives of assets are as follows:

Assets category	Years
Freehold buildings	12-40
Furniture & office equipment	10
Motor vehicles and lifts	5
Plant, machinery & other equipment	8
Air conditioners & computer servers	8
Generators	15
Computers	5
Other assets	10

Depreciation of an asset begins when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale or the date that the asset is derecognised.



Borrowing costs

Borrowing costs are recognised as an expense in the period in which they are incurred, except to the extent that they are directly attributable to the acquisition, construction, or production of a qualifying asset, in which case they are capitalised as part of the cost of that asset, in accordance with Sri Lanka Accounting Standard 23 - Borrowing Costs.

Operating lease assets

Operating lease assets are classified under property, plant and equipment at cost less accumulated depreciation and impairment losses, if any. Cost of the asset net of residual value is depreciated over the estimated useful life. Residual value is the estimated net amount that the Company would expect from disposal of the asset at the end of its estimated useful life, calculated based on the current market prices of similar classes of vehicles, and are subject to annual review. Initial direct costs incurred in negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income.

Calculation of recoverable amount

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less cost to sell. In assessing value in use, estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. A cash generating unit is the smallest identifiable assets group that generate cash flows that are largely independent from other assets and groups.

SIGNIFICANT ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

Useful lives of property, plant and equipment

The useful lives, residual values and methods of depreciation/amortisation of property, plant and equipment are reviewed at each reporting date. Judgment of the management is exercised in the estimation of these values, rates and methods and therefore they are subject to uncertainty.

Impairment losses on property, plant and equipment

The Group assesses at each reporting date whether there is an indication of objective evidence of impairment of assets. If any such indication exists, the Group makes an estimate of the asset's recoverable amount. This requires the estimation of the value in use of such individual assets. Estimating the value in use requires management to make an estimate of the expected future cash flows from the asset or the cash-generating unit, which requires management judgment on expected future cash flows and discount rates to be used in determining the value in use.

Fair value measurement of Property, plant and equipment

Property, plant and equipment of the Group are measured at fair value for the purposes of preparing the consolidated financial statements. Group management determines the main appropriate techniques and inputs required for measuring the fair value. In determining the fair value, management uses observable market data and the services of a qualified external valuer.

Notes to the Financial Statements

37.1. Reconciliation of carrying amount

Group

	Land and Buildings	Furniture and office equipment	Motor vehicles	Operating lease assets	Plant, machinery and other equipment	Capital work- in- progress	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cost/valuation							
As at 01.04.2023	7,603,173	393,648	1,260,086	4,626,919	2,643,785	107,877	16,635,488
Additions	41,836	12,514	17,050	266,879	130,734	71,154	540,167
Revaluation surplus	1,018,620	-	-	-	-	-	1,018,620
Transfers	117,890	-	86,836	(86,836)	57,500	(175,390)	-
Write offs	-	-	-	-	(516)	-	(516)
Disposals	-	(8,913)	(59,751)	(461,098)	(15,699)	(1,440)	(546,901)
As at 31.03.2024	8,781,519	397,249	1,304,221	4,345,864	2,815,804	2,201	17,646,858
Additions	-	45,172	59,323	1,571,390	190,981	38,564	1,905,430
Transfers	18,125	-	263,680	(263,680)	1,897	(20,022)	-
Write offs	-	(33)	-	-	(3,223)	-	(3,256)
Disposals	-	(11,420)	(58,951)	(591,436)	(9,183)	-	(670,990)
As at 31.03.2025	8,799,644	430,968	1,568,273	5,062,138	2,996,276	20,743	18,878,042
Accumulated depreciation							
As at 01.04.2023	127,925	301,223	824,175	1,356,335	1,779,791	-	4,389,449
Charge for the year	35,054	21,874	83,920	90,631	180,362	-	411,841
Transfers	-	-	25,963	(25,963)	-	-	-
Write offs	-	-	-	-	(516)	-	(516)
Revaluation adjustment on accumulated depreciation	(162,936)	-	-	-	-	-	(162,936)
On disposals	-	(8,150)	(47,169)	(149,017)	(15,330)	-	(219,666)
As at 31.03.2024	43	314,947	886,889	1,271,986	1,944,307	-	4,418,172
Charge for the year	45,405	21,477	79,033	124,774	210,689	-	481,378
Transfers	-	-	70,106	(70,106)	-	-	-
Write offs	-	(28)	-	-	(3,221)	-	(3,249)
On disposals	-	(11,022)	(44,411)	(185,790)	(7,161)	-	(248,384)
As at 31.03.2025	45,448	325,374	991,617	1,140,864	2,144,614	-	4,647,917
Net book value							
As at 31.03.2023	7,475,248	92,425	435,911	3,270,584	863,994	107,877	12,246,039
As at 31.03.2024	8,781,476	82,302	417,332	3,073,878	871,497	2,201	13,228,686
As at 31.03.2025	8,754,196	105,594	576,656	3,921,274	851,662	20,743	14,230,125



Company

	Land and Buildings	Furniture and office equipment	Motor vehicles	Operating lease assets	Plant, machinery and other equipment	Capital work- in- progress	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cost/valuation							
As at 01.04.2023	5,593,464	371,226	1,232,210	4,626,919	1,523,647	2,141	13,349,607
Additions	41,836	12,010	17,050	266,879	107,987	-	445,762
Revaluation surplus	840,720	-	-	-	-	-	840,720
Transfers	-	-	86,836	(86,836)	-	-	-
Disposals	-	(8,796)	(59,751)	(461,098)	(9,643)	(1,440)	(540,728)
As at 31.03.2024	6,476,020	374,440	1,276,345	4,345,864	1,621,991	701	14,095,361
Additions	-	44,672	59,100	1,571,390	145,861	8,542	1,829,565
Transfers	-	-	263,680	(263,680)	-	-	-
Disposals	-	(10,683)	(58,767)	(591,436)	(7,827)	-	(668,713)
As at 31.03.2025	6,476,020	408,429	1,540,358	5,062,138	1,760,025	9,243	15,256,213
Accumulated depreciation							
As at 01.04.2023	78,014	287,705	796,466	1,356,335	990,367	-	3,508,887
Charge for the year	19,823	20,386	83,851	90,631	116,410	-	331,101
Transfers	-	-	25,963	(25,963)	-	-	-
Revaluation adjustment on accumulated depreciation	(97,794)	-	-	-	-	-	(97,794)
On disposals	-	(8,049)	(47,168)	(149,017)	(9,447)	-	(213,681)
As at 31.03.2024	43	300,042	859,112	1,271,986	1,097,330	-	3,528,513
Charge for the year	24,222	20,423	78,923	124,774	131,700	-	380,042
Transfers	-	-	70,106	(70,106)	-	-	-
Revaluation adjustment on accumulated depreciation	-	-	-	-	-	-	-
On disposals	-	(10,395)	(44,227)	(185,790)	(5,838)	-	(246,250)
As at 31.03.2025	24,265	310,070	963,914	1,140,864	1,223,192	-	3,662,305
Net book value							
As at 31.03.2023	5,515,450	83,521	435,744	3,270,584	533,280	2,141	9,840,720
As at 31.03.2024	6,475,977	74,398	417,233	3,073,878	524,661	701	10,566,848
As at 31.03.2025	6,451,755	98,359	576,444	3,921,274	536,833	9,243	11,593,908

Notes to the Financial Statements

Operating Leases

Property, plant and equipment includes assets given under operating leases on short and long term basis. An analysis of the rentals to be received on such operating leases are as follows:

	Group/Company	
	31.03.2025	31.03.2024
	Rs.'000	Rs.'000
Receivable within one year	1,169,099	1,004,478
Receivable within 1-5 years	2,155,960	1,021,682
	3,325,059	2,026,160
Undiscounted maturity analysis of operating lease assets		
Not later than one year	1,169,099	1,004,478
More than one year not later than two years	859,632	550,298
More than two years not later than three years	671,743	244,635
More than three years not later than four years	459,793	165,351
More than four years not later than five years	164,792	61,398
	3,325,059	2,026,160



37.2. Revaluations

Freehold land and buildings of the Group are revalued regularly (once in five years) to ensure that the carrying amounts do not differ materially from the fair values of such properties. The freehold land and buildings of the Company and the subsidiaries, Kandy Private Hospitals Ltd., Dehigama Hotels Company Ltd., Central Mineral Industries (Pvt) Ltd. and Central Industries PLC were revalued in March 2024 by Mr.Anuradha Senevirathna, an Independent, Qualified Valuer/Licensed Surveyor resulting in the carrying amounts being increased by Rs.938.51 Million and Rs.1,181.56 Million respectively. The valuations were carried out under the “Comparison” method on the basis that the land and buildings are of freehold ownership and are free from any restrictions in regard to titles. These revaluations were carried out under “level 3” of the fair value hierarchy.

Range of estimates for unobservable inputs									
Location/Address	Price per perch for land	Price per square foot for building	Depreciation rate	Extent (Perches)	Cost / revaluation of land	Cost / revaluation of buildings	Total value	Accumulated depreciation	Net book value
	Rs.000	Rs.000	%		Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Central Finance Company PLC									
City Office									
No.270, Vauxhall Street, Colombo 02.	8,500.00	4.47	2.50	117.23	990,000	161,000	1,151,000	4,025	1,146,975
No.268, Vauxhall Street, Colombo 02.	9,000.00	16.50	2.50	21.67	195,000	300,000	495,000	7,500	487,500
Branches									
No.62, Maithripala Senanayake Mawatha, Anuradhapura	5,500.00	6.56	2.50	40.20	221,000	36,000	257,000	900	256,100
No.367, Main Street, Negombo.	5,000.00	2.20	3.33	29.00	145,000	9,000	154,000	300	153,700
No.38, Mihindu Mawatha, Kurunegala.	3,616.13	3.00	3.33	54.63	198,000	7,000	205,000	233	204,767
No.04, Udaya Raja Mawatha, Badulla.	3,710.04	3.00	3.33	26.90	100,000	12,000	112,000	400	111,600
No.78, Kumarathunga Mawatha, Matara.	3,386.23	1.75	3.33	125.25	424,000	11,000	435,000	366	434,634
No.21, Kurunegala Road, Dambulla.	2,500.00	3.75	3.33	21.00	52,000	6,000	58,000	200	57,800
No.143, Colombo Road, Moragahayata, Ratnapura	4,380.65	2.75	3.33	46.00	202,000	8,000	210,000	266	209,734
No.312, Highlevel Road, Nugegoda.	7,500.00	5.50	2.50	13.88	104,000	37,000	141,000	925	140,075
No.215, Maradana Road, Colombo 10	7,004.19	2.75	2.86	45.37	318,000	27,000	345,000	772	344,228
No.254, 254/1, Katugastota Road, Kandy.	3,548.29	4.08	2.86	58.81	208,000	56,000	264,000	1,602	262,398

Notes to the Financial Statements

Range of estimates for unobservable inputs									
Location/Address	Price per perch for land	Price per square foot for building	Depreciation rate	Extent (Perches)	Cost / revaluation of land	Cost / revaluation of buildings	Total value	Accumulated depreciation	Net book value
	Rs.000	Rs.000	%		Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Vehicle Yards									
No.249, Katugastota Road, Kandy.	3,421.78	1.00	3.33	137.31	470,000	9,200	479,200	306	478,894
No.313, Koholwila Road, Kelaniya.	337.73	1.13	8.33	348.50	117,000	15,000	132,000	1,250	130,750
No.49/004 Batalahenawatte Road, Gonawala, Kelaniya.	200.00	-	-	189.05	34,000	-	34,000	-	34,000
No.258/3, Katugastota Road, Kandy.	2,200.00	-	-	52.31	115,000	-	115,000	-	115,000
No.210, Siri Dhamma Mawatha, Colombo 10.	2,996.29	1.70	4.00	121.45	360,000	33,000	393,000	1,320	391,680
No.313, Madawala Road, Katugastota.	1,477.81	0.90	14.29	167.43	247,000	1,800	248,800	257	248,543
Kirindiwela Road, Pugoda.	27.50	3.50	5.00	1,600.00	44,000	2,000	46,000	100	45,900
309/01, Koholwila Road, Gonawala, Kelaniya	825.00	-	-	32.62	27,000	-	27,000	-	27,000
Other properties									
No.244, Vauxhall Street, Colombo 02.	9,500.00	4.50	2.50	13.21	125,000	48,000	173,000	1,200	171,800
326, D.S.Senanayaka Veediya, Kandy	5,750.00	-	10.00	10.95	63,000	-	63,000	-	63,000
No.8, Sukhastan Gardens, Ward Place, Colombo 7.	10,000.00	2.20	5.00	38.14	381,000	13,000	394,000	650	393,350
No.25, Sri Rahula Road, Nuwaraeliya.	1,000.00	5.50	2.86	194.00	194,000	29,000	223,000	829	222,171
Indibedda, Moratuwa.	515.00	3.50	2.86	251.10	129,000	28,000	157,000	801	156,199
55, Farm Road, Bandarawela	18.76	0.21	2.50	173.00	3,246	774	4,020	63	3,957
Car Parks									
Yatinuwara Veediya, Kandy.	5,200.00	-	-	14.00	73,000	-	73,000	-	73,000
No.267 & 269, Vauxhall Street, Colombo 02.	8,500.00	-	-	10.26	87,000	-	87,000	-	87,000
Total for the Company					5,626,246	849,774	6,476,020	24,265	6,451,755



Range of estimates for unobservable inputs									
	Price per perch for land	Price per square foot for building	Depreciation rate	Extent (Perches)	Cost / revaluation of land	Cost / revaluation of buildings	Total value	Accumulated depreciation	Net book value
	Rs.000	Rs.000	%		Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Dehigama Hotels Company Ltd.									
No.84, Raja Veediya, Kandy.	7,352.94	3.74	2.50	85.00	625,000	139,000	764,000	3,475	760,525
Kandy Private Hospitals Ltd.									
No.35, Dr.C.D.L.Fernando Mawatha, Mahaiyawa, Kandy.	2,143.42	2.59	2.86	127.25	273,000	66,000	339,000	2,200	336,800
No. 35/178 & 35/178/1/1, Dr.C.D.L.Fernando Mawatha, Mahaiyawa, Kandy.	1,866.14	3.46	3.33	38.10	71,000	24,000	95,000	960	94,040
Kirillagodawatta, off Dr.C.D.L.Fernando Mawatha, Mahaiyawa, Kandy.	1,500.00	-	-	20.00	30,000	-	30,000	-	30,000
Central Mineral Industries (Pvt) Ltd.									
Diganatenna Estate, Gonawala, Rajawella, Digana	50.48	0.83	4.00	1,916.00	96,000	4,000	100,000	400	99,600
Central Industries PLC									
Factory									
No. 195/4, Kerawalapitiya Road, Hendala, Wattala.	700.00	1.55	4.00	522.10	365,470	121,487	486,957	5,639	481,318
Udathuthiripitiya, Yakkala	60.00	3.60	2.50	1,391.00	83,460	229,040	312,500	1,900	310,600
Head office									
No.312, Nawala Road, Rajagiriya.	6,222.22	5.25	2.50	18.00	112,000	84,168	196,168	6,610	189,558
Total for the Group					7,282,176	1,517,468	8,799,644	45,448	8,754,196

Notes to the Financial Statements

Description of the above valuation techniques together with narrative description of the fair value measurement to changes in significant unobservable inputs are given below:

Valuation techniques	Significant unobservable Valuation techniques	Sensitivity of the fair value measurement to inputs
Comparison method for valuation of land considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of the property being revalued. This involves evaluation of recent active market prices of similar assets making appropriate adjustments for differences in size, nature, location, condition of specific property. Contractor's method assesses all the cost of providing modern equivalent property, and thereafter adjusting it to the age of the subject property.	Price per perch for land. Price per square foot for building and depreciation rate for building.	Estimated fair value would get increased / (decreased) if, price per perch get higher/ (lower). Price per square foot get higher / (lower) and depreciation rate for building get lower/(higher).

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Number of buildings owned by the group and company	48	48	25	25

The details of the revaluations carried out in March 2024 are given below.

		Valuation	Carrying		Revaluation
Location/Address		Method	Value before	Revalued	Surplus/
			Revaluation	Amount	(deficits)
			Rs.000	Rs.000	Rs.000
Central Finance Company PLC					
Offices					
No.270, Vauxhall Street, Colombo 02.	Land	Comparison	932,000	990,000	58,000
	Building	Contractor's	105,875	161,000	55,125
No.268, Vauxhall Street, Colombo 02.	Land	Comparison	173,000	195,000	22,000
	Building	Contractor's	222,250	300,000	77,750
Branches					
No.62, Maithripala Senanayake Mawatha, Anuradhapura	Land	Comparison	151,000	221,000	70,000
	Building	Contractor's	29,750	36,000	6,250
No.367, Main Street, Negombo	Land	Comparison	101,000	145,000	44,000
	Building	Contractor's	7,199	9,000	1,801
No.38, Mihindu Mawatha, Kurunegala	Land	Comparison	169,000	198,000	29,000
	Building	Contractor's	8,841	7,000	(1,841)
No.04, Udaya Raja Mawatha, Badulla	Land	Comparison	86,000	100,000	14,000
	Building	Contractor's	6,170	12,000	5,830
No.78, Kumarathunga Mawatha, Matara	Land	Comparison	361,000	424,000	63,000
	Building	Contractor's	11,141	11,000	(141)
No.143, Colombo Road, Moragahayata, Ratnapura	Land	Comparison	165,000	202,000	37,000
	Building	Contractor's	8,570	8,000	(570)
No.312, Highlevel Road, Nugegoda	Land	Comparison	97,000	104,000	7,000
	Building	Contractor's	28,000	37,000	9,000
No.21, Kurunegala Road, Dambulla	Land	Comparison	52,907	52,000	(907)
	Building	Contractor's	4,542	6,000	1,458
No.254,254/1 Katugastota Road, Kandy	Land	Comparison	179,000	208,000	29,000
	Building	Contractor's	37,994	56,000	18,006
215,Maradana Road, Colombo 10.	Land	Comparison	292,500	318,000	25,500
	Building	Contractor's	21,437	27,000	5,563



Location/Address		Valuation Method	Carrying Value before Revaluation Rs.000	Revalued Amount Rs.000	Revaluation Surplus/ (deficits) Rs.000
Vehicle Yards					
No.249, Katugastota Road, Kandy.	Land	Comparison	401,000	470,000	69,000
	Building	Contractor's	6,685	9,200	2,515
No.313, Koholwila Road, Kelaniya.	Land	Comparison	114,002	117,000	2,998
	Building	Contractor's	12,274	15,000	2,726
49/004,Batalahenawatte Road, Gonawala, Kelaniya,	Land	Comparison	28,000	34,000	6,000
	Building	Contractor's	425	-	(425)
No.210, Siri Dhamma Mawatha, Colombo 10	Land	Comparison	347,000	360,000	13,000
	Building	Contractor's	31,527	33,000	1,473
No.313, Madawala Road, Katugastota	Land	Comparison	244,000	247,000	3,000
	Building	Contractor's	934	1,800	866
No.258/3, Katugastota Road, Kandy,	Land	Comparison	104,000	115,000	11,000
Kirindiwela Road, Pugoda	Land	Comparison	38,680	44,000	5,320
	Building	Contractor's	1,856	2,000	144
309/01,Koholwila Road, Gonawala, Kelaniya	Land	Comparison	25,702	27,000	1,298
Other properties					
No.244,Vauxhall Street,Colombo 02.	Land	Comparison	119,000	125,000	6,000
	Building	Contractor's	32,375	48,000	15,625
326, D.S.Senanayake Veediya, Kandy.	Land	Comparison	82,115	63,000	(19,115)
	Building	Contractor's	2,914	-	(2,914)
No.8, Sukhastan Gardens, Ward Place, Colombo 7.	Land	Comparison	172,000	381,000	209,000
	Building	Contractor's	15,750	13,000	(2,750)
No.25, Sri Rahula Road, Nuwaraeliya	Land	Comparison	174,000	194,000	20,000
	Building	Contractor's	25,952	29,000	3,048
Indibedda, Moratuwa	Land	Comparison	125,000	129,000	4,000
	Building	Contractor's	25,119	28,000	2,881
Car Parks					
Yatinuwara Veediya, Kandy.	Land	Comparison	70,000	73,000	3,000
No.267 & 269, Vauxhall Street, Colombo 02.	Land	Comparison	82,000	87,000	5,000
Sub total	Land		4,885,906	5,623,000	737,094
	Building		647,580	849,000	201,420
Total for the Company			5,533,486	6,472,000	938,514

Notes to the Financial Statements

Location/Address		Valuation Method	Net Book Value before Revaluation Rs.000	Revalued Amount Rs.000	Revaluation Surplus/ (deficits) Rs.000
Kandy Private Hospitals Ltd.					
No.35, Dr.C.D.L.Fernando Mawatha, Mahaiyawa, Kandy.	Land	Comparison	272,500	273,000	500
	Building	Contractor's	69,915	66,000	(3,915)
No.35/178 & 35/178/1/1, Dr.C.D.L.Fernando Mawatha, Mahaiyawa, Kandy.	Land	Comparison	71,250	71,000	(250)
	Building	Contractor's	21,459	24,000	2,541
Kirillagodawatta, off Dr.C.D.L.Fernando Mawatha, Mahaiyawa, Kandy.	Land	Comparison	30,000	30,000	-
Central Mineral Industries (Pvt) Ltd.					
Diganatenna Estate, Gonawala, Rajawella, Digana	Land	Comparison	115,288	96,000	(19,288)
	Building	Contractor's	3,508	4,000	492
Central Industries PLC					
Factory					
Kerawalapitiya	Land	Comparison	313,260	365,470	52,210
	Building	Contractor's	72,395	111,530	39,135
Udathuthiripitiya, Yakkala	Land	Comparison	62,595	83,460	20,865
	Building	Contractor's	203,178	229,040	25,862
Head office					
Nawala	Land	Comparison	96,000	112,000	16,000
	Building	Contractor's	44,483	76,000	31,517
Dehigama Hotels Company Ltd.					
No.84, Raja Veediya, Kandy.	Land	Comparison	600,000	625,000	25,000
	Building	Contractor's	86,625	139,000	52,375
Sub total			Land	6,446,799	7,278,930
			Building	1,149,143	832,131
Total for the Group				7,595,942	8,777,500
					1,181,558

37.2.1. Where properties have fallen in value, the decreases have been charged against revaluation reserve to the extent that it was credited previously and any decrease beyond such value was charged to the income statement during the year ended 31st March 2024 of such revaluations. The revaluation surplus accounted through other comprehensive income on fair valuation of properties amounted to Rs. 941.78 Million for the Company and Rs. 1,184.82 Million for the Group while the revaluation loss charged to income statement amounted to Rs. 3.26 Million for the Company and Group for the year ended 31st March 2024.

37.3. The carrying value of freehold land and buildings of the Group, if carried at cost less accumulated depreciation and impairment, would amount to Rs.787.81 Million as at 31.03.2025 (as at 31.03.2024 - Rs.867.92 Million).

37.4. The cost of fully depreciated assets of the Group and Company which are still in use amounted to Rs.5,014.51 Million and Rs.4,612.97 Million respectively as at 31.03.2025 (Group Rs. 5,265.41 Million and Company Rs.4,896.35 Million as at 31.03.2024).

37.5. Property, plant and equipment pledged as security for banking facilities

The carrying value of land and buildings pledged as security for banking facilities obtained amounted to Rs.3,213 Million and Rs.1,634 Million for the Group and Company as at 31.03.2025 respectively (Group - Rs.2,824 Million and Company Rs.1,646 Million as at 31.03.2024).

The carrying value of machinery equipment pledged as security for banking facilities by Group/Company amounted to Rs. Nil as at 31.03.2025 (31.03.2024 - Rs. Nil).



37.6. There were no temporary idle property, plant and equipment as at 31.03.2025 (31.03.2024 - Rs. Nil).

37.7. There were no capitalised borrowing costs related to acquisition of property, plant and equipment during the financial year 2024/25 (2023/24 - Rs. Nil).

37.8. There were no restrictions on the title of property, plant and equipment of the Group as at the year end.

37.9. No compensation was received or due from third parties for items of property, plant and equipment that were impaired, lost or given up.

38. RIGHT OF USE ASSETS AND LEASE LIABILITIES

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group uses the definition of a lease in SLFRS 16. This policy is applied to contracts entered into, on or after 1 April 2019.

As a lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made or payable at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the cost of the right-of-use asset reflects that the Group will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property, plant and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The Group determines its incremental borrowing rate by obtaining interest rates from the Company's internal records (weighted average cost of funds) to reflect the terms of the lease and type of the asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments:
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

Notes to the Financial Statements

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in income statement if the carrying amount of the right-of-use asset has been reduced to zero.

Short-term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

As a lessor

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative standalone prices.

When the Group acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

The Group applies the derecognition and impairment requirements in SLFRS 9 to the net investment in the lease. The Group further regularly reviews estimated unguaranteed residual values used in calculating the gross investment in the lease.

The Group recognises lease payments received under operating leases as income on a straight line basis over the lease term as part of other income.

SIGNIFICANT ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

Right of use assets and incremental borrowing rate

The Group uses its judgment in determining whether an operating lease contract qualifies for recognition of right of use assets. The group applies judgments in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. The Group considers all relevant factors that create economic benefits for it to exercise either the renewal or termination. Further, the Group cannot readily determine the interest rate implicit in the lease. Therefore, the Group uses the incremental borrowing rate to measure lease liability. The incremental borrowing rate is the rate of interest that the Group would have to pay to borrow over a similar term and with similar security the funds necessary to obtain an asset of a similar value to the right of use asset in similar economic environment.

38.1. Movement in Right of use assets

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cost				
Balance at the beginning of the year	1,187,743	1,013,522	1,357,240	1,183,019
Additions/renewals of leases during the year	264,188	174,221	504,103	174,221
Balance at the end of the year	1,451,931	1,187,743	1,861,343	1,357,240



	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Accumulated Depreciation				
Balance at the beginning of the year	719,552	583,906	855,150	685,605
Amortisation for the year (Note 38.3)	135,898	135,646	169,797	169,545
Balance at the end of the year	855,450	719,552	1,024,947	855,150
Carrying value as at end of the year	596,481	468,191	836,396	502,090
Maturity analysis of right of use assets				
Less than one year	147,969	112,606	179,315	146,505
01 to 5 years	338,254	251,460	546,823	251,460
More than 5 years	110,258	104,125	110,258	104,125
	596,481	468,191	836,396	502,090

38.2. Lease liability

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance at the beginning of the year	472,351	416,352	517,267	501,736
Additions/renewals of leases during the year	264,188	174,221	504,103	174,221
Interest expenses (Note 38.3)	74,528	63,136	77,117	70,173
Payments to lease creditors (Note 38.4)	(209,074)	(181,358)	(256,579)	(228,863)
Balance at the end of the year	601,993	472,351	841,908	517,267
Maturity analysis of lease liabilities				
Less than one year	71,068	74,837	119,051	119,753
01 to 5 years	369,714	239,625	561,647	239,625
More than 5 years	161,210	157,889	161,210	157,889
	601,993	472,351	841,908	517,267

38.3. The following are the amount recognised in the income statement

Year ended	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Amortisation on right of use assets	135,898	135,646	169,797	169,545
Interest expenses on lease liability	74,528	63,136	77,117	70,173

Notes to the Financial Statements

38.4. Amounts recognised in statement of cash flows

The Company / Group has classified:

- cash payments for the principal portion of lease payments as financing activities;
- cash payments for the interest portion as operating activities consistent with the presentation of interest payments chosen by the Company / Group.
- short-term lease payments and payments for leases of low-value assets as operating activities.

Year ended	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Capital repayments	132,637	118,972	177,553	159,439
Interest payments	76,437	62,386	79,026	69,424
	209,074	181,358	256,579	228,863

38.5. Extension Options

Some property leases contain extension options exercisable by the Group. Where practicable, the Group seeks to include extension options in new leases to provide operational flexibility. The extension options held are exercisable only by the Group and not by the lessors. The Group assesses at lease commencement date whether it is reasonably certain to exercise the extension options.

The Group reassesses whether it is reasonably certain to exercise the options if there is a significant event or significant changes in circumstances within its control.

The Company has estimated that the potential future lease payments, should it exercise the extension option, would result in no material increase in lease liability.

38.6. The amount expensed during the year on lower value leases amounted to Rs.6.77 Million (2023/24- Rs..1.44 Million).

39. INTANGIBLE ASSETS

Accounting policy

Recognition and measurement

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and accumulated impairment losses.

Internally generated intangible assets, excluding capitalized development costs, are not capitalised and expenditure is reflected in the income statement in the year in which the expenditure is incurred.

The useful lives of intangible assets are assessed as either finite or indefinite.

Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the income statement when the asset is de-recognised.

Computer software

Computer software licenses are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortized over their estimated useful lives and carried at its cost less accumulated amortisation and accumulated impairment losses. Costs associated with maintaining computer software programs are recognised as expense incurred.



Development costs that are directly attributable to the production of identifiable and unique software products controlled by the Group and that will probably generate economic benefits exceeding costs beyond one year are recognised as intangible assets and amortized over the useful lives.

Subsequent expenditure

Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure, including expenditure on internally generated goodwill and brands, is recognised in Income Statement as incurred.

Amortisation

Amortisation is recognised in Income Statement on a straight-line basis over the estimated useful lives of intangible assets, from the date on which they are available for use. The estimated useful lives are as follows;

Software license	5 years
------------------	---------

Intangible assets with indefinite useful lives are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis. Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

SIGNIFICANT ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

Useful lives of intangible assets

The useful lives, residual values and methods of depreciation/amortisation of intangible assets are reviewed at each reporting date. Judgment of the management is exercised in the estimation of these values, rates and methods and therefore they are subject to uncertainty.

Impairment losses on intangible assets

The Group assesses at each reporting date whether there is an indication of objective evidence of impairment of assets. If any such indication exists, the Group makes an estimate of the asset's recoverable amount. This requires the estimation of the value in use of such individual assets. Estimating the value in use requires management to make an estimate of the expected future cash flows from the asset or the cash-generating unit, which requires management judgment on expected future cash flows and discount rates to be used in determining the value in use.

39.1. Reconciliation of carrying amount

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Computer software at cost				
At the beginning of the year	784,956	745,775	775,296	740,177
Additions	51,926	39,181	51,418	35,119
At the end of the year	836,882	784,956	826,714	775,296
Amortisation				
At the beginning of the year	510,263	431,049	505,030	426,153
Charge for the year	79,874	79,214	78,728	78,877
At the end of the year	590,137	510,263	583,758	505,030
Carrying value at the end of the year	246,745	274,693	242,956	270,266

Notes to the Financial Statements

The cost of fully depreciated intangible assets which are currently in use as at 31.03.2025 at the Group and Company amounted to Rs.442.03 Million and Rs. 438.27 Million respectively (Group - Rs. 390.21 Million and Company Rs. 386.29 Million as at 31.03.2024).

There were no capitalised borrowing costs related to acquisition of intangible assets during the financial year 2024/25 (2023/24 -Nil).

39.2. Assessment of Impairment of Intangible Assets

The Board of Directors has assessed the potential impairment loss of intangible assets as at 31 March 2025. Based on the assessment, no impairment provision is required to be made in the financial statements as at the reporting date.

39.3. Title Restriction on Intangible Assets

There are no restrictions that existed on the title of the intangible assets of the Company/ Group as at the reporting date.

39.4. Intangible Assets pledged as Security

There are no intangible assets pledged as security for banking facilities as at 31.03.2025 (31.03.2024- Nil) .

39.5. Acquisition of intangible assets during the year

During the financial year, the Group acquired intangible assets to the aggregate value of Rs. 51.93 Million (2023/24 - Rs.39.18 Million). Cash payments amounting to Rs. 51.93 Million (2023/24 - Rs.39.18 Million) were made during the year.

39.6. Amount of contractual commitments for the acquisition of intangible assets

There are no contractual commitments for the acquisition of Intangible Assets as at the reporting date.

40. CURRENT TAX ASSETS /LIABILITIES

Accounting policy

See accounting policies in Note 22.

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance at the beginning of the year	776,346	1,517,282	567,804	1,284,886
Provision for the year (Note 22.1)	2,912,428	3,087,424	2,526,171	2,692,876
Under provision for previous years (Note 22.1)	-	127,307	-	127,241
Over provision for previous years (Note 22.1)	(26,415)	-	(19,178)	-
Income tax paid	(2,655,779)	(3,715,715)	(2,265,263)	(3,307,729)
Setting off against VAT refunds	(34,083)	-	(34,083)	-
Withholding tax claimed	(178,508)	(239,952)	(170,355)	(229,470)
Balance at the end of the year	793,989	776,346	605,096	567,804
Current tax assets	43	43	-	-
Current tax liabilities	(794,032)	(776,389)	(605,096)	(567,804)
	(793,989)	(776,346)	(605,096)	(567,804)



41. DEFERRED TAX ASSETS AND LIABILITIES

Accounting policy

See accounting policies in Note 22.

SIGNIFICANT ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS - Deferred tax assets

Deferred tax assets are recognised for all deductible temporary differences, unused tax losses and tax credits to the extent it is probable that taxable profits will be available against which these credits/losses can be utilised. Significant management judgments are required to determine the amount of deferred tax assets that can be recognised, based on the likely timing and level of future taxable profits together with future tax planning strategies.

Deferred tax assets are measured at the highest amount that is more likely than not to be recovered, based on current or estimated future taxable profit. The net carrying amount of deferred tax assets is reviewed at each reporting date and is adjusted to reflect the current assessment of future taxable profits. Any adjustments are recognized in income statement.

Net deferred tax asset/(liability)

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Net deferred tax assets(Note 41.1 .b)	35,313	24,072	-	-
Net deferred tax liability (Note 41.1.a)	2,303,249	1,626,370	1,791,483	1,125,451
	2,267,936	1,602,298	1,791,483	1,125,451

41.1.a. Deferred tax liability

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
At the beginning of the year	3,309,502	3,041,677	2,725,438	2,473,183
Temporary differences originated/(reversed) during the year	(34,579)	(38,681)	(32,787)	(30,277)
Total amount charged/(reversed) to income statement	(34,579)	(38,681)	(32,787)	(30,277)
Transfer to / (from) statement of other comprehensive income	-	306,506	-	282,533
At the end of the year	3,274,923	3,309,502	2,692,651	2,725,438
				-
Offset against deferred tax assets	(971,673)	(1,683,131)	(901,168)	(1,599,987)
Net deferred tax liability	2,303,249	1,626,370	1,791,483	1,125,451

t

Notes to the Financial Statements

41.1.b. Deferred tax assets

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
At the beginning of the year	1,707,203	1,661,323	1,599,987	1,535,271
Originated/ (reversed) during the year	(720,001)	2,128	(707,332)	24,113
Total amount reversed to income statement	(720,001)	2,128	(707,332)	24,113
Transfer to /(from) statement of other comprehensive income	19,784	43,752	8,513	40,603
At the end of the year	1,006,986	1,707,203	901,168	1,599,987
Offset against deferred tax liability	(971,673)	(1,683,131)	(901,168)	(1,599,987)
Net deferred tax asset	35,313	24,072	-	

41.2. Group

	Statement of financial position		Income Statement		Other comprehensive income	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Deferred tax assets, liabilities and income tax relate to the following:						
Deferred tax liability						
Capital allowances for tax purposes	3,264,449	3,301,827	37,378	43,202	-	(306,506)
Fair value changes in unquoted investments and investment properties	10,473	7,674	(2,799)	(4,521)	-	-
	3,274,923	3,309,501	34,579	38,681	-	(306,506)
Deferred tax assets						
Defined benefit plans	(625,152)	(760,660)	(155,292)	95,943	19,784	43,752
On bad debts provisions	(315,756)	(865,590)	(549,834)	(110,995)	-	-
Revaluation loss on repossessed stocks	(6,541)	(7,033)	(492)	97	-	-
On inventories	(23,983)	(39,050)	(15,067)	15,096	-	-
Tax losses	(802)	(1,185)	(383)	(584)	-	-
On right of use assets	(34,752)	(33,685)	1,067	2,571	-	-
	(1,006,986)	(1,707,203)	(720,001)	2,128	19,784	43,752
Deferred tax income / (expense)			(685,422)	40,809	19,784	(262,754)
Net deferred tax liability	2,267,936	1,602,298				



41.3. Company

	Statement of financial position		Income Statement		Other comprehensive income	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Deferred tax assets, liabilities and income tax relate to the following:						
Deferred tax liability						
Capital allowances for tax purposes	2,682,178	2,717,764	35,586	34,798	-	(282,533)
Fair value changes in unquoted investments and investment properties	10,473	7,674	(2,799)	(4,521)	-	-
	2,692,651	2,725,438	32,787	30,277	-	(282,533)
Deferred tax assets						
Defined benefit plans	(559,921)	(709,702)	(158,294)	92,270	8,513	40,603
Revaluation loss on repossessed stocks	(6,541)	(7,033)	(492)	97	-	-
On right of use assets	(34,752)	(33,685)	1,067	2,571	-	-
On bad debt provision	(299,954)	(849,567)	(549,613)	(70,825)	-	-
	(901,168)	(1,599,987)	(707,332)	24,113	8,513	40,603
Deferred tax income / (expense)			(674,545)	54,390	8,513	(241,930)
Net deferred tax liability	1,791,483	1,125,451	-	-		

Recoverability of Deferred Tax assets

During the year ended 31 March 2025, the Group has recognised a deferred tax asset amounting to Rs 0.81 Million (2023/24-Rs.1.18 Million) arising from tax losses as at 31 March 2025 after assessing the availability of future taxable profits for utilization. The deferred tax asset recognised will be tested for impairment on an annual basis and deferred tax asset recognised may be written off, if required.

The unused tax losses for which deferred tax assets have not been recognised as at 31.03.2025 amounted to Rs.Nil (31.03.2024-Rs.Nil).

Deferred tax liability on revaluation gains

Having discussed internally and based on market practices, the investment property will be liable for capital gain tax at a rate of 30% on the revaluation surplus in excess of the deemed cost of investment assets as at 30 September 2017 and Deferred tax liability assessed at 30% as of 31st March 2025.

Notes to the Financial Statements

42. OTHER ASSETS

See accounting policy in Notes 4.3 and 17.

ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS - Impairment loss on accounts receivable and other assets

The Group reviews accounts receivable, and other assets on an individual basis to assess any indications of impairment and if a provision for impairment should be recorded in the consolidated income statement. Such estimates are necessarily based on assumptions about several factors involving varying degrees of uncertainty, and actual results may differ resulting in future changes to such provisions.

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Financial assets				
Refundable deposits	40,624	13,271	7,517	7,892
Dividends receivables	-	35,139	-	972
Other receivables	81,319	50,539	56,661	36,541
Due from subsidiaries	-	-	23,932	23,932
	121,943	98,949	88,110	69,337
Provision for impairment	(10,285)	(10,873)	(10,285)	(10,873)
	111,658	88,076	77,825	58,464
Non financial assets				
Payments in advance/ pre-payments	598,931	573,329	349,708	361,227
Salary advances	47,804	44,273	42,510	42,970
Pre-paid staff cost	12,081	12,821	12,081	12,129
VAT receivables	24,812	22,688	-	-
Other receivables	18,090	13,287	6,549	9,202
	701,718	666,398	410,848	425,528
Provision for impairment	(33,320)	(31,833)	-	-
	668,398	634,565	410,848	425,528
Gross other assets	823,661	765,347	498,958	494,865
Provision for impairment (Note 42.1)	(43,605)	(42,706)	(10,285)	(10,873)
	780,056	722,641	488,673	483,992

42.1. Movement in impairment for other assets

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance at the beginning of the year	42,706	10,762	10,873	10,762
Charge /(write back) to income statement during the year	1,542	31,944	55	111
Write off of impaired debtors	(643)	-	(643)	-
Balance at the end of the year	43,605	42,706	10,285	10,873
Receivable within one year	712,189	720,105	438,598	463,973
Receivable after one year	111,472	45,242	60,360	30,892
	823,661	765,347	498,958	494,865



43. REAL ESTATE HELD FOR SALE

Accounting policy

Real estate are classified as held-for-sale if it is highly probable that they will be recovered primarily through sale rather than through continuing use. Such assets are generally measured at the lower of their carrying amount and fair value less costs to sell. Impairment losses on initial classification as held-for-sale and subsequent gains and losses on remeasurement are recognised in income statement.

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance at the beginning of the year	56,626	58,006	56,626	58,006
Disposals during the year	-	(1,380)	-	(1380)
	56,626	56,626	56,626	56,626
Provision for impairment (Note 43.1)	(52,258)	(52,258)	(52,258)	(52,258)
Balance at the end of the year	4,368	4,368	4,368	4,368
43.1. Movement in impairment for real estate				
Balance at the beginning of the year	52,258	52,851	52,258	52,851
Charge/ (write back) to income statement during the year	-	(593)	-	(593)
Balance at the end of the year	52,258	52,258	52,258	52,258

44. FINANCIAL LIABILITIES AT AMORTISED COST - DEPOSITS

See accounting policies in Note 4.3

Accounting Policy

Deposits include term deposits accepted under various tenors ranging from one month to five years and savings deposits. These deposits are initially recognised at transaction value and subsequently measured at amortised cost using the effective interest rate (EIR) method. The EIR amortisation is included in interest expenses in the Income Statement. Gains and losses are recognised in the Income Statement when the liabilities are de-recognised. Group has not designated any liabilities at fair value through profit or loss as at the reporting date.

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Term deposits	40,428,169	42,547,637	40,863,463	43,002,723
Savings	1,247,818	1,189,848	1,258,817	1,197,881
	41,675,987	43,737,485	42,122,280	44,200,604
Payable within one year	31,606,378	33,645,215	31,926,227	33,997,091
Payable after one year	10,069,609	10,092,270	10,196,053	10,203,513
	41,675,987	43,737,485	42,122,280	44,200,604

The above includes a sum of Rs.2,022 Million (Rs.1,719 Million - as at 31.03.2024) deposited with the Company by the directors and their close family members. Refer Note 59.2.2.

Notes to the Financial Statements

45. FINANCIAL LIABILITIES AT AMORTISED COST - INTEREST BEARING BORROWINGS

Accounting policy

See accounting policies in Note 4.3

Other borrowing represents borrowing from other financial institutions. Subsequent to initial recognition these borrowings are measured at their amortised cost using the Effective Interest Rate (EIR) method. The EIR amortisation is included in interest expenses in the income statement. Gains and losses are recognised in the income statement when the liabilities are de-recognised.

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Long term borrowings [Note 45.1]	4,444	18,024	-	-
	4,444	18,024	-	-
Balance at the beginning of the year	18,024	74,226	-	38,922
Borrowed during the year	5,984,000	1,250,000	5,255,000	1,250,000
Capital repayments during the year	(5,997,580)	(1,304,780)	(5,255,000)	(1,287,500)
Amortised interest (net)	-	(1,422)	-	(1,422)
Balance at the end of the year	4,444	18,024	-	-

45.1. Long term borrowings

Borrower	Lending Institution	Nature of facility	Security	31.03.2025	31.03.2024
				Rs.'000	Rs.'000
Central Industries PLC	Commercial Bank of Ceylon PLC	Long term loan	Unsecured	4,444	18,024
Total for the Group				4,444	18,024
Payable within one year				4,444	18,024
Payable after one year				-	-
Total for the Group				4,444	18,024

45.2. Short term borrowings

The Company has obtained short term borrowings amounting to Rs. 5,255 Million for a short tenor from licensed commercial banks for treasury funding requirements and fully settled as of 31st March 2025. A subsidiary Company of the Group has obtained short term facilities amounts to Rs. 729 Million for a short tenor from licensed commercial banks and fully settled as of the reporting date.

46. EMPLOYEE BENEFIT OBLIGATION

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The estimation of this liability, determined by an independent, qualified actuary, necessarily involves long-term assumptions. The defined benefit obligation is calculated annually using the projected unit credit method. The services of a qualified actuary is obtained to determine the valuation of the defined benefit obligation for the Company as well as those subsidiary companies within the Group that adopted the actuarial valuation method in computing the provision required in accordance with Sri Lanka Accounting Standard (LKAS 19)– Employee Benefits. This standard also provides actuarial techniques, which approximates the actuarial valuation which has been adopted by the other companies within the Group that have not adopted the actuarial valuation method. The projected unit credit method projects the current data using the actuarial assumptions and calculates projected benefits at the participants' assumed retirement date.



The defined benefit obligation recognised in the statement of financial position represents the present value of the defined benefit obligation as reduced by the fair value of plan assets. Actuarial gains and losses are recognised as income or expenses in the statement of comprehensive income during the financial year in which they arise. The gratuity liability of the parent company is externally funded in part by a gratuity fund established in 1987, with the investments of the fund being mainly in fixed and savings deposits with approved banks. Gratuity liabilities of the other companies in the Group are not externally funded. Provision is made for defined benefit plan liability for all employees from the first year of service in conformity with Sri Lanka Accounting Standard (LKAS 19) – Employee Benefits.

The liability of the Company is computed on the following basis for employees who have joined the Company on or before 01.04.2013 while the rest of the employees are entitled for half a month's salary for each completed year of service as per the provisions of the Gratuity Act No. 12 of 1983.

Length of service (completed years)	No of months' salary for each completed year
Up to 15	1/2
15 up to 30	1
30 up to 35	1 ½
35 up to 40	2
Over 40	2 ½

However, under the Payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of five years of continued service. Liabilities for the other companies in the Group are computed on the basis of half a month's salary for each year of completed service.

Recognition of actuarial gains and losses

The Group recognises the total actuarial gains and losses in the other comprehensive income during the period in which it occurs.

Recognition of current service cost

Since end of service gratuity defined benefit is a statutory benefit, the recognition of current service cost will arise only if the Payment of Gratuity Act No. 12 of 1983 is amended in future to increase the promised benefit on termination of employment. In such event, the Company will adopt the accounting policy currently used for defined benefit plans.

SIGNIFICANT ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS - Defined benefit plans

Cost of defined benefit plans are determined using actuarial valuations. Actuarial valuation involves making various assumptions, determining discount rates, future salary increases and mortality rates. Due to the complexity of the valuation, the underlying assumptions and their long-term nature such estimates are subject to significant uncertainty. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, the management considers the interest rates of Sri Lanka Government Bonds for a similar duration of the remaining expected working life of employees. The mortality rate is based on publicly available mortality tables. Estimate on future salary increases is based on expected future inflation rates and expected future salary increase rate of the Company.

Notes to the Financial Statements

Amendments of the provision of Minimum Age of Workers Act No 28 of 2021

With the implementation of the provisions of Minimum Age of Workers Act No 28 of 2021, the Company/Group revised the minimum retirement age of its employees as follows.

Age of employee (As at 17th November 2021)	Minimum Retirement Age
54 or above and below 55 years	57 Years
53 or above and below 54 years	58 Years
52 or above and below 53 years	59 Years
Below 52 years	60 Years

The above revision was captured as planned amendment in accordance with LKAS-19 in the actuarial valuation as at 31st March 2022 and resulted in a past service benefit of Rs.6.07 Million at Group and Rs.5.13 Million in Company respectively which was recognised in the income statement in 2021/22.

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Present value of defined benefit obligation	2,090,642	2,535,196	1,867,879	2,367,345
Fair value of plan assets	(1,477)	(1,672)	(1,477)	(1,672)
Unfunded status	2,089,165	2,533,524	1,866,402	2,365,673
Net retirement benefit obligation	2,089,165	2,533,524	1,866,402	2,365,673
Movement of the retirement benefit obligation				
Present value of defined benefit obligation at the beginning of the year	2,535,196	2,078,141	2,367,345	1,928,522
Interest cost	312,846	365,234	290,000	342,313
Current service cost	112,142	119,821	97,576	106,588
Payments made during the year	(935,088)	(172,523)	(915,017)	(144,191)
Actuarial loss	65,546	144,523	27,975	134,113
Present value of defined benefit obligation at the end of the year	2,090,642	2,535,196	1,867,879	2,367,345
Movement of the plan assets				
Fair value of the plan assets at the beginning of the year	1,672	5,760	1,672	5,760
Contributions paid into the plan	87,052	75,253	87,052	75,253
Benefits paid by the plan	(87,052)	(79,134)	(87,052)	(79,134)
Expected return on plan assets	205	1,022	205	1,022
Actuarial loss	(400)	(1,229)	(400)	(1,229)
Fair value of the plan assets at the end of the year	1,477	1,672	1,477	1,672
Plan assets consist of the following:				
Investments in savings deposits with banks	1,477	1,672	1,477	1,672
	1,477	1,672	1,477	1,672

The investment portfolio of the plan assets are exposed to market and credit risks.

Retirement benefit liability of the Company is partly funded externally through a gratuity fund established in 1987 and the shortfalls on gratuity payments are funded by the Company.



When the benefits of a plan are changed or when a plan is curtailed, the resulting change in benefits that relates to past service or the gain or loss on curtailment is recognised immediately in income statement. The Company recognises gain or losses on the settlement of a defined plan when the settlement occurs.

Retirement benefit obligations of the Company, and the subsidiaries Central Industries PLC, and CF Insurance Brokers (Pvt) Ltd., have been determined based on actuarial valuations carried out by Mr. Pushpakumara Gunasekera-Actuary/Associate of the Institute of Actuaries of Australia. Employee benefit liabilities of Central Mineral Industries (Pvt) Ltd, Kandy Private Hospitals Ltd. are computed based on internally developed models based formula which approximates actuarial valuation.

Details of actuarial assumptions of the Company are as follows:

	31.03.2025	31.03.2024
	Rs.'000	Rs.'000
Actuarial assumptions		
Discount rate	11.00%	12.25%
Future salary increases	10.00%	14.00%
Staff turnover ratio	15.35%	15.00%

Details of actuarial assumptions of subsidiary company Central Industries PLC

	31.03.2025	31.03.2024
	Rs.'000	Rs.'000
Actuarial assumptions		
Discount rate	10.00%	12.50%
Future salary increases	10.00%	15.00%
Staff turnover ratio	20.50%	17.00%

Details of actuarial assumptions of subsidiary company CF Insurance Brokers (Pvt) Ltd.

	31.12.2024	31.12.2023
	Rs.'000	Rs.'000
Actuarial assumptions		
Discount rate	10.00%	14.00%
Future salary increases	15.00%	10.00%
Staff turnover ratio	23.00%	18.00%

The change in actuarial assumptions are due to change in market interest rates and change in expected salary increases owing to decrease in inflation rate. There are no changes to the method and assumptions used in the sensitivity analysis performed in 2024/25 and 2023/24.

In determining the appropriate discount rate as stated above, the management has considered the interest rates of Sri Lanka Government Bonds for a similar duration of the remaining expected working life of employees.

Mortality	Mortality A1967/70 Ultimate Mortality Table								
A 1967/70 ultimate	Age:	20	25	30	35	40	45	50	55
Mortality Rates	Rate	0.00089	0.00069	0.00065	0.00086	0.00144	0.00264	0.00479	0.00844
Disability rates	Age:	20	25	30	35	40	45	50	55
	Rate	0.00012	0.00012	0.00012	0.00013	0.00018	0.00028	0.00048	0.00086

Disability rates are based on standard permanent disability rates for accident & sickness used by insurance industry in Sri Lanka.

Notes to the Financial Statements

Sensitivity of assumptions employed in gratuity liability valuation

The following table demonstrates the impact on the defined benefit obligation and statement of comprehensive income of the changes in the significant actuarial assumptions employed with all other variables held constant in the employee benefit liability measurement.

Company		31.03.2025		31.03.2024	
	Increase/ (decrease)	Sensitivity effect on comprehensive income statement increase/(decrease) in comprehensive income for the year	Sensitivity effect on the employee benefit obligation increase/ (decrease) in liability	Sensitivity effect on comprehensive income statement increase/(decrease) in comprehensive income for the year	Sensitivity effect on the employee benefit obligation increase/ (decrease) in liability
		Rs.000	Rs.000	Rs.000	Rs.000
Discount rate	1%	53,305	(53,305)	58,054	(58,054)
	-1%	(57,914)	57,914	(63,359)	63,359
Salary increment rate	1%	(67,162)	67,162	(73,039)	73,039
	-1%	63,043	(63,043)	68,492	(68,492)

Group		31.03.2025		31.03.2024	
	Increase/ (decrease)	Sensitivity effect on comprehensive income statement increase/(decrease) in comprehensive income for the year	Sensitivity effect on the employee benefit obligation increase/ (decrease) in liability	Sensitivity effect on comprehensive income statement increase/(decrease) in comprehensive income for the year	Sensitivity effect on the employee benefit obligation increase/ (decrease) in liability
		Rs.000	Rs.000	Rs.000	Rs.000
Discount rate	1%	60,217	(60,217)	63,336	(63,336)
	-1%	(65,362)	65,362	(69,076)	69,076
Salary increment rate	1%	(74,951)	74,951	(79,229)	79,229
	-1%	70,411	(70,411)	74,311	(74,311)

Maturity profile of the defined benefit obligation

Company

	Number of employees	Defined benefit obligation Rs.000
Future expected working life		
Within next 12 months	67	653,095
Between 1-2 years	10	61,461
Between 2-5 years	130	380,298
Between 5-10 years	1,557	773,025
Total	1,764	1,867,879
Average future expected working life		5.81 years



Subsidiary- Central Industries PLC

	Number of employees	Defined benefit obligation
Future expected working life		Rs.000
Within next 12 months	28	23,509
Between 1-2 years	2	2,046
More than 2 years	334	56,876
Total	364	82,431
Average future expected working life		4.36 years

Subsidiary- CF Insurance Brokers (Pvt) Ltd.

	Number of employees	Defined benefit obligation
Future expected working life		Rs.000
Within next 12 months	1	1,241
Between 1-2 years	-	-
More than 2 years	82	125,533
Total	83	126,774
Average future expected working life		4.04 years

47. OTHER LIABILITIES

See accounting policy in Note 4.3

Provisions are recognised when it is probable that an outflow of economic benefit will be required to settle a current legal or constructive obligation which has arisen as a result of past events, and for which a reliable estimate can be made of the amount of the obligation.

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Financial liabilities				
Provision for Bonus	205,555	141,872	200,944	137,336
Dividends payable	76,059	62,317	63,759	55,992
Security deposits	43,189	45,211	2,604	1,742
Amounts due to subsidiaries [Note 47.1]	-	-	278,423	164,868
Other payable	212,169	80,123	193,981	79,871
Accounts payables	997,651	491,764	650,206	257,312
	1,534,623	821,287	1,389,917	697,121
Non-financial liabilities				
Accrued expenses	338,898	256,027	185,374	117,050
Taxes on financial services payable	215,854	136,665	215,854	136,397
Stamp duty payable	122,730	94,404	122,730	94,211
Impairment in respect of off-balance sheet credit exposure	1,372	51	1,372	51
Other Provisions	280,858	251,481	210,597	192,365
	959,712	738,628	735,927	540,074
	2,494,335	1,559,915	2,125,844	1,237,195
Payable within one year	2,415,144	1,459,330	2,087,237	1,183,599
Payable after one year	79,191	100,585	38,607	53,596
	2,494,335	1,559,915	2,125,844	1,237,195

Notes to the Financial Statements

47.1. Amounts due to subsidiaries

	31.03.2025	31.03.2024
	Rs.'000	Rs.'000
CF Insurance Brokers (Pvt) Ltd.	278,423	164,868
	278,423	164,868

48. STATED CAPITAL

	Company			
	31.03.2025		31.03.2024	
	No of shares	Stated capital	No of shares	Stated capital
	in'000	Rs.'000	in'000	Rs.'000
Issued and fully paid - ordinary shares				
At the beginning of the year	227,354	2,230,286	227,354	2,230,286
At the end of the year	227,354	2,230,286	227,354	2,230,286

Ordinary shares in the Company are recognised at the amount paid per ordinary share net of directly attributable issue cost. The shares of the Company are quoted on the Colombo Stock Exchange.

The holders of ordinary shares are entitled to receive dividends declared from time to time and are entitled to one vote per share at General Meetings of the Company.

49. STATUTORY RESERVE FUND

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance at the beginning of the year	3,204,000	2,964,000	3,204,000	2,964,000
Transfers during the year	300,000	240,000	300,000	240,000
Balance at the end of the year	3,504,000	3,204,000	3,504,000	3,204,000

The Company's reserve fund is maintained in accordance with Direction No. 9 of 1991 as amended by Direction No. 1 of 2003 issued by the Central Bank of Sri Lanka under the Finance Business Act No. 42 of 2011.

50. REVALUATION RESERVES

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance at the beginning of the year	5,384,232	4,597,308	3,953,451	3,299,945
Depreciation on revaluation surplus	(11,341)	(7,611)	(9,499)	(5,738)
Revaluation of land and buildings	-	779,874	-	659,244
Share of revaluation surplus - associate company	61,225	14,661	-	-
Balance at the end of the year	5,434,116	5,384,232	3,943,952	3,953,451

Revaluation reserve consist of the net surplus on revaluation of lands and buildings.



51. FAIR VALUE RESERVE

	Group	
	31.03.2025	31.03.2024
	Rs.'000	Rs.'000
Balance at the beginning of the year	1,053,010	100,028
Fair value change during the year	317,874	952,982
Balance at the end of the year	1,370,884	1,053,010

52. LOAN LOSS RESERVE

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance at the beginning of the year	920,000	920,000	920,000	920,000
Balance at the end of the year	920,000	920,000	920,000	920,000

Loan loss reserve was made during 2017/18 financial year to match the gap between regulatory time based provision and impairment based on Sri Lanka Financial Reporting Standards (SLFRS) on loans and lease receivables. The impairment excess over the regulatory time based provision as at 31.03.2025 stands at Rs. 2,065 Million (2024- Rs. 3,511 Million)

53. GENERAL RESERVE

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
General reserve	23,402,957	23,402,957	23,391,776	23,391,776

General reserve represents amounts set aside by the directors for future expansions, and to meet any contingencies.

54. RETAINED EARNINGS

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance at the beginning of the year	31,857,928	25,330,663	16,619,099	13,116,673
Total comprehensive income	9,859,911	7,718,660	5,962,309	4,695,694
Total contributions from and distribution to equity holders and other transfers	(1,364,138)	(1,191,395)	(1,365,980)	(1,193,268)
Balance at the end of the year	40,353,701	31,857,928	21,215,428	16,619,099

Retained earnings represents accumulated profits of the Company.

Notes to the Financial Statements

55. SECURED LIABILITIES

Short and long term borrowings of the Group/Company have been secured on the mortgage of specific land and buildings (refer Note 37.5), pledge of specific quoted company shares and assignment of specific lease receivables and hypothecation of hire purchase and lease contracts. The carrying value of the assets mortgaged / assigned as security amounted to Rs.7,427.86 Million as at 31.03.2025 (As at 31.03.2024 - Rs.7,380.24 Million).

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Total available facilities	10,219	9,969	4,930	4,930
Used	5	18	-	-
Unused	10,214	9,951	4,930	4,930

General terms and conditions relating to above pledges are

- 1 The value of the lease receivables pledged as securities to be over and above the facilities obtained.
- 2 The mortgaged receivables should comprise assets with appropriate past due days.
- 3 All assets mortgaged to the lending institutions should be valued at such intervals as mandated by law and applicable regulations by professionally qualified valuers.
- 4 Company should maintain comprehensive insurance cover over all the assets pledged to the lending institutions.

56. CAPITAL COMMITMENTS

Capital commitments for which provision has not been made in the financial statements amounts to approximately Rs. 161.26 Million for the Company and Rs.236.18 Million for the Group (2023/24 - Rs. 44.8 Million for the Company and Rs..48.2 Million for the Group).

57. CONTINGENT LIABILITIES

Accounting policy

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognised in the statement of financial position but are disclosed.

Contingent assets are disclosed where an inflow of economic benefit is probable.



SIGNIFICANT ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS -- Commitments and contingencies

All discernible risks are accounted for in determining the amount of all known liabilities.

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognised in the statement of financial position, but are disclosed.

Contingent liabilities as at	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Guarantees Issued				
Fully secured guarantees issued on behalf of depositors	17,050	18,050	17,050	18,050
Maturity profiles of contingent liabilities are				
Payable within one year	17,050	18,050	17,050	18,050
Payable after one year	-	-	-	-
	17,050	18,050	17,050	18,050

The Commitments (unutilised credit facilities) of the Company as at 31st March 2025 amounted to Rs. 279.41 Mn. (As at 31st March 2024 - Rs. 119.60 Mn)

The associate company commitments and contingent liabilities amounted to Rs. 439.38 Million as at 31st March 2025 (31st March 2024-Rs. 370.64 Million).

Tax assessments against the Company

The following tax assessments are outstanding and the Company has duly appealed against. Based on the internal assessment taking into considerations the requirementst under IFRIC 23, where necessary, no additional provision were required to be made in those financial statements.

Period	Tax Type	Assessment	
		Value	Current Status
		(Rs.Million)	
2009/2010	VAT	177.00	Court of Appeal
2009/2010	Income Tax	250.00	Supreme Court
2010/2011	Income Tax	35.00	Court of Appeal
2013/2014	VAT	117.00	Tax Appeal Commission
2014/2015	VAT	117.00	Tax Appeal Commission/Court of Appeal
2015/2016	NBT	13.20	Tax Appeal Commission
2017/2018	NBT	27.40	Inland Revenue Department
2019/2020	Income Tax	26.80	Tax Appeal Commission
2020/2021	VAT	1.16	Inland Revenue Department
2020/2021	Income Tax	188.36	Inland Revenue Department
2020/2021	Surcharge Tax	40.19	Inland Revenue Department
		993.11	

Notes to the Financial Statements

Group Companies

The following tax assessments are outstanding and the Group entity has duly appealed against. Based on the internal assessment, no additional provision were required to be made in those financial statements.

CF Insurance Brokers (Pvt) Ltd.

Period	Tax Type	Assessment Value (Rs.Million)	Current Status
2020/2021	Surcharge Tax	65.9	Tax Appeal Commission
2019/2020	Income Tax	5.14	Tax Appeal Commission
		71.04	

Hedges Court Residencies (Pvt) Ltd.

Period	Tax Type	Assessment Value (Rs.Million)	Current Status
2009/2010	NBT	12.37	Court of Appeal
2010/2011	NBT	12.75	Court of Appeal
2011/2012	NBT	14.96	Court of Appeal
		40.08	

Central Transport & Travels Ltd.

Period	Tax Type	Assessment Value (Rs.Million)	Current Status
2020/2021	Surcharge Tax	2.30	Inland Revenue Department

Expanded Plastic (Products) (Private) Limited

Period	Tax Type	Assessment Value (Rs.Million)	Current Status
2020/2021	Surcharge Tax	0.30	Inland Revenue Department



Central Homes Private Limited

Period	Tax Type	Assessment	Current Status
		Value (Rs.Million)	
2020/2021	Surcharge Tax	1	Inland Revenue Department

Central Industries PLC

Period	Tax Type	Assessment	Current Status
		Value (Rs.Million)	
2020/2021	VAT	8.54	Inland Revenue Department
2021/2022	VAT	2.72	Inland Revenue Department
2009/2010	PAYE	0.01	Inland Revenue Department
2010/2011	VAT	1.88	Inland Revenue Department
2012/2013	PAYE	0.51	Inland Revenue Department
2007/2008	Income Tax	0.02	Inland Revenue Department
2008/2009	Income Tax	0.33	Inland Revenue Department
2014/2015	Income Tax	3.88	Inland Revenue Department
		17.89	

58. EVENTS AFTER THE REPORTING PERIOD**Accounting policy**

All material events after the statement of financial position date have been considered and where appropriate adjustments to or disclosures are made in the consolidated financial statements.

58.1. Investment in equity accounted investees - Tea Smallholder Factories PLC (TSFP)

On 3rd April 2025, Udapussellawa Plantations PLC acquired a 37.59% stake in Tea Smallholder Factories PLC at a price of Rs.35 per share and made an announcement of a mandatory offer as required by the Takeovers and Mergers Code of 1995. Board of Directors of Central Finance Company PLC along with Subsidiary Company CF Growth Fund intend to accept the aforesaid mandatory offer; and divest 29.29% investment stake in Tea Smallholder Factories PLC.

Notes to the Financial Statements

	Central Finance Company PLC	CF Growth Fund Ltd	Group
Number of shares held as of 31st March 2025	6,854,814	1,933,678	8,788,492
Holdings as of 31st March 2025 (%)	22.85%	6.45%	29.29%
Anticipated sales proceeds (Rs. 000's)	239,918	67,679	307,597
Cost of investment (Rs. 000's)	99,337	30,361	129,698
Share of associate companies retained assets (Rs. 000's)	-	-	401,234
Anticipated profit/ (loss) on sale (Rs. 000's)	140,581	37,318	(223,335)

* The consolidated financial statements of the Group include the cumulative profit share of the associate company that had been recognised under equity method

In accordance with LKA 10 "Events after the reporting period", this transaction subsequent to the year end has not been adjusted to the financial statements for the year ended 31st March 2025.

58.2. Proposed final dividend

The Directors have recommended the payment of a final dividend of Rs.3.75 per share payable by cash for the year ended 31st March 2025 which requires the approval of shareholders at the Annual General Meeting to be held on 30th June 2025. In accordance with LKAS 10 "Events after the reporting period", this proposed final dividend has not been recognised as a liability at the year-end (2023/24 – 2.00 per share payable by cash).

As required by section 56 (2) of the Companies Act No.7 of 2007, the Board of Directors has confirmed that the Company satisfies the solvency test in accordance with Section 57 of the Companies Act No. 7 of 2007, and have obtained necessary approvals from the Central Bank of Sri Lanka prior to declaring the said dividend.

59. RELATED PARTY DISCLOSURES

The Group carries out transactions with parties who are defined as related parties in the Sri Lanka Accounting Standard - LKAS 24 on "Related party disclosures", in the ordinary course of its business. The details of such transactions are reported below. The pricing applicable to such transactions is based on the assessment of risk and pricing model of the Company and is comparable with what is applied to transactions between the Company and its unrelated customers.

59.1. Parent and ultimate parent

The Company does not have an identifiable parent of its own.

59.2. Transactions with Key Management Personnel (KMP)

According to Sri Lanka Accounting Standard - LKAS 24 on "Related party disclosures" Key Management Personnel (KMP) defined as those persons having authority and responsibility for planning, directing and controlling the activities of the entity.



KMPs of the Company - The Company 's KMPs include members of the Board of Directors who are responsible for planning, directing and controlling the operations of the Company.

KMPs of the Group - The Company is the ultimate parent of subsidiaries listed in Note 33. The KMPs of the Company have the authority and responsibility for planning, directing and controlling the operations of the Group and identified as KMPs of the Group as well.

In compliance with LKAS 24 - "Related party disclosures", Close Family Members (CFMs) of KMPs are defined as those family members who may be expected to influence, or be influenced by that KMP in their dealings with the entity. CFMs may include the domestic partner and children of KMP, the children of KMP's domestic partner and dependents of KMP and the KMP's domestic partner.

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
59.2.1. Compensation to KMPs				
Short term employee benefits	340,066	353,635	290,815	307,944
Contributions to employee provident fund/trust fund	27,952	35,952	23,299	31,992
Contributions to gratuity fund	11,223	9,718	10,576	9,156
59.2.2. Other transactions with key management personnel and their close family members				
Liabilities				
Financial liabilities at amortised cost -Deposits	2,021,950	1,718,717	2,021,950	1,718,717
Income statement				
Interest expense	237,501	230,807	237,501	230,807
Cash flow statement				
Placement of deposits	144,300	244,572	144,300	244,572
Withdrawal of deposits	17,593	125,105	17,593	125,105

Notes to the Financial Statements

59.2.3. Directors' other directorships within the Group

The Directors of the Company are also directors of the following subsidiary and associate companies of the Group.

The Company carried out transactions in the ordinary course of business at market rates with these related entities.

	A.R. Fernando	A.K. Gunarthe	D.P. de Silva	C.K. Hettiarachchi	A.D.B. Talwatte	Dr. (Mrs.) A.D.N De Zoysa	K.B. Herath	E.H. Wijenaikie	M.H. de Silva	M.S. De Saram
Central Industries PLC	-	X	-	-	-	-	-	X	-	-
Central Developments Ltd.	-	X	X	X	-	-	-	-	-	-
Dehigama Hotels Company Ltd.	-	-	-	-	-	-	-	X	-	-
Expanded Plastic Products (Pvt) Ltd.	-	-	-	-	-	-	-	-	-	-
Central Mineral Industries (Pvt) Ltd.	-	-	-	-	-	-	-	-	-	-
Central Transport & Travels Ltd.	-	-	-	X	-	-	-	-	-	-
CF Growth Fund Ltd.	-	X	X	X	-	-	-	-	-	-
The Kandy Private Hospitals Ltd.	-	X	-	-	-	-	-	-	-	-
CF Insurance Brokers (Pvt) Ltd.	-	X	X	X	-	-	-	-	-	-
Central Homes (Pvt) Ltd.	-	-	-	-	-	-	-	-	-	-
Hedges Court Residencies (Pvt) Ltd.	-	-	X	-	-	-	-	-	-	-
Nations Trust Bank PLC	X	-	-	X	-	-	-	-	-	-
Tea Smallholder Factories PLC	-	X	-	-	-	-	-	-	-	-

59.2.4. Number of shares held by KMP's and their close family members

As at 31st March	2025	2024
Voting (number of shares)	44,540,224	44,567,532

Year ended 31st March	2025	2024
Cash dividends paid to KMP's and their close family members (Rs.'000)	187,019	168,044



59.3. Transactions with Group entities

The Group includes subsidiaries and associates. The details of subsidiaries and associates are given in Notes 33 and 34.

59.3.1. Transactions with subsidiaries

	Group	
	31.03.2025	31.03.2024
	Rs.'000	Rs.'000
Statement of financial position		
Assets		
Trade and other receivables	23,932	23,932
Loans and advances	-	120
Finance/operating lease debtors	11,377	18,420
Right to use assets	239,915	33,899
Liabilities		
Deposits	446,293	463,119
Amounts due to subsidiaries	278,113	164,868
Lease liabilities	239,915	44,916
Income statement		
Rendering of services	20,038	18,543
Rent expense	47,505	47,505
Vehicle hire rentals paid	561	561
Accounting and administration charges received	420	420
Vehicle hire rentals received	16,399	11,528
Dividend income	88,663	74,198
Interest income	-	6,982
Interest expense on deposits	43,080	73,518
Interest expens on lease liabilities	2,589	7,037
Rent income	10,432	13,484
Cash flow statement		
Collection of insurance premium	1,505,607	1,651,202
Deposits placed	20,713	367,039
Withdrawal of deposits by subsidiaries	71,423	263,853
Loans given	-	352,595
Lease/vehicle hire facilities given	5,750	26,368
Recovery of loans	120	362,720

Notes to the Financial Statements

59.3.2. Transactions with associates

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Statement of financial position				
Assets				
Securities bought under repurchase agreements	139,122	5,487,896	139,122	5,487,896
Fixed deposits and Debentures	329,249	329,716	327,436	327,310
Operating/finance Lease receivables	20,243	7,446	20,243	7,446
Liabilities				
Bank overdraft facilities	1,395	54,408	1,395	7,939
Income statement				
Interest income	216,343	212,730	213,527	212,373
Interest expense	25,514	26,622	25,510	26,622
Dividend income	387,108	290,533	206,008	154,326
Bank charges	4,604	664	644	349
Cash flow statement				
Lease/vehicle hire facilities given	86,100	43,472	86,100	43,472
Short term loans obtained	2,100,000	-	2,100,000	-
Short term loans settled	2,100,000	-	2,100,000	-
Investments in reverse repurchase agreements	47,902,000	93,790,500	47,827,000	93,790,500
Divestment of reverse repurchase agreements	53,177,000	89,376,500	53,102,000	89,376,500
Vehicle hire rentals received	52,276	43,873	52,276	43,873

Fixed deposits and Debentures placed with related parties are unsecured and all other balances due from related parties are secured.

59.4. Disclosure requirements under section 9.14.8 (1) and 9.14.8 (2) of the CSE Listing Rules

As required by rule 9.14.8 (1) of the Listing Rules of the Colombo Stock Exchange, there are no non-recurrent related party transactions which exceed 10% of the equity or 5% of the total assets, whichever is lower, as per the latest audited financial statements of the Company.

During the financial year ended 31.03.2025, the Company carried out transactions with Nations Trust Bank PLC. In the ordinary course of business at market rates, the value of which exceed 10% of the consolidated gross revenue/income of the Group as per the latest audited financial statements of the Company.



As required by rule 9.14.8 (2) of the Listing Rules of the Colombo Stock Exchange details of the above transactions are given below.

Name of the related party	Relationship	Nature of the transaction	Aggregate value of related party transactions entered into during the financial year (Rs.000)	Aggregate value of related party transactions as a % of gross revenue/income	Terms and conditions of the related party transactions
Nations Trust Bank PLC	Associate Company	Investment/ divestment in reverse repurchase agreements and interest income	101,113,869	393.44%	Transactions are carried out at market rates with general terms and conditions in the ordinary course of business
		Debt interest income	28,658		
		Interest expense on loans, overdrafts and bank charges	26,154		
		Dividend income	206,008		
		Loans obtained and settled	4,200,000		
		Vehicle hire facilities given and rentals received	138,376		
		Aggregate value of transactions	105,713,065		

Investment/divestment in reverse repurchase agreements transactions with Nations Trust Bank PLC are exempt transactions as per section 9.14.10 (e) of the listing rules.

59.5. Transactions with Government of Sri Lanka /Entities controlled, jointly controlled,significantly influenced by the Government of Sri Lanka

	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Central Finance Company PLC				
Operating lease receivables	(4,575)	(7,941)	(4,575)	(7,941)
Operating lease facilities given	105,758	416,411	105,758	416,411
Vehicle hire rentals received	261,777	207,999	261,777	207,999
Investment in government securities	7,985,888	20,825,693	7,079,311	19,612,806
Central Industries PLC				
Sale of goods	1,132,060	400,406	-	-
Settlement of trade debtors	838,053	729,134	-	-
Trade debtors	372,874	106,041	-	-

The Government of Sri Lanka indirectly holds 10.55% of the voting rights of the Company as at 31st March 2025 through Employees Provident Fund and Employees Trust Fund Board (as at 31.03.2024-11.26% through Employees Provident Fund,Employees Trust Fund Board,Sri Lanka Insurance Corporation -Life Fund and Sri Lanka Insurance Corporation - General Fund).

59.6. Pricing policy and terms for transactions with related parties

Company enters into transactions with related parties in the ordinary course of business on terms similar to comparable transactions with an unrelated comparable counterparty with the exception of accommodation granted to Key Management Personnel under approved schemes uniformly applicable to all or specific categories of employees.The terms include pricing for loans and collateral obtained for loans where appropriate.

Notes to the Financial Statements

60. MATURITY ANALYSIS

An analysis of the total assets employed and the total liabilities of the Company, based on the remaining period from the reporting date to the respective contractual maturity dates is given below:

Assets are stated net of provisions.

Maturity Analysis	Up to 3 months		3 to 12 months	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Interest earning assets:				
Securities bought under repurchase agreements	139,122	6,090,306	3,262,645	-
Cash in hand and at banks - savings accounts	245,692	145,623	-	-
Financial assets at amortised cost- Debt and other financial instruments	2,946,849	19,654,698	8,752,643	3,265,753
Financial assets at amortised cost- Net investment in leases and hire purchase	6,276,119	6,753,686	15,268,426	13,142,639
Financial assets at amortised cost- Loans and receivables from customers	1,025,272	1,276,942	4,365,241	2,784,946
Total interest earning assets	10,633,053	33,921,255	31,648,955	19,193,338
Non-interest earning assets:				
Cash and cash equivalents	628,937	609,681	-	-
FVTPL financial assets	1,466,670	3,029,889	-	-
Investments in real estate	-	-	-	-
Investments in subsidiaries	-	-	-	-
Other assets	391,452	463,973	47,146	-
Investments in equity accounted investees	-	-	-	-
Inventories and other stocks	-	122,179	71,332	-
Investments properties	-	-	-	-
Property, plant and equipment	-	-	-	-
Right of use assets	47,196	39,883	132,119	106,622
Intangible assets	-	-	-	-
Total non-interest earning assets	2,534,256	4,265,605	250,598	106,622
Total assets	13,167,309	38,186,860	31,899,553	19,299,960
Percentage	12.54%	37.90%	30.38%	19.16%
Interest bearing liabilities:				
Bank overdrafts	452,705	414,157	-	-
Financial liabilities at amortised cost -Interest bearing borrowings	-	-	-	-
Financial liabilities at amortised cost -Deposits	16,766,982	18,878,542	16,116,610	18,151,331
Lease liabilities	44,685	36,607	175,796	147,317
Total interest bearing liabilities	17,264,372	19,329,306	16,292,406	18,298,648
Non-interest bearing liabilities:				
Employee benefit obligations	163,274	306,598	489,821	919,795
Current tax liabilities	605,096	567,804	-	-
Deferred tax liability	-	-	-	-
Other liabilities	2,087,237	1,174,828	0	8,771
Total non-interest bearing liabilities	2,855,606	2,049,230	489,821	928,566
Total liabilities	20,119,978	21,378,536	16,782,227	19,227,214
Percentage	37.13%	36.29%	30.97%	32.64%
Contingent liabilities				
Fully secured guarantees issued on behalf of depositors	5,000	5,000	12,050	13,050



1 to 3 years		3 to 5 years		More than 5 years		Impairment provision		Total	
31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024	31.03.2025	31.03.2024
Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
-	-	-	-	-	-	-	-	3,401,767	6,090,306
-	-	-	-	-	-	(5)	(126)	245,687	145,497
2,790,152	3,692,679	3,123,070	-	-	-	(15,361)	(13,229)	17,597,353	26,599,901
26,792,178	22,551,202	10,079,078	6,050,935	506,483	184,436	(2,365,618)	(4,479,882)	56,556,667	44,203,016
3,052,679	1,381,882	1,744,492	966,081	286,409	638,286	(907,096)	(1,103,201)	9,566,996	5,944,936
32,635,008	27,625,763	14,946,640	7,017,016	792,892	822,722	(3,288,080)	(5,596,438)	87,368,470	82,983,655
-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	(3)	(102)	628,934	609,579
-	-	-	-	-	-	-	-	1,466,670	3,029,889
-	-	56,626	56,626	-	-	(52,258)	(52,258)	4,368	4,368
-	-	-	-	407,979	407,979	-	-	407,979	407,979
5,466	-	59	-	54,832	30,892	(10,285)	(10,873)	488,673	483,992
-	-	-	-	1,834,063	1,731,672	-	-	1,834,063	1,731,672
18,810	-	-	-	-	-	(18,010)	(32,365)	72,132	89,814
-	-	-	-	66,611	66,611	-	-	66,611	66,611
-	-	-	-	11,593,908	10,566,848	-	-	11,593,908	10,566,848
302,521	148,756	244,301	102,703	110,258	104,125	-	-	836,396	502,090
-	-	-	-	242,956	270,266	-	-	242,956	270,266
326,798	148,756	300,987	159,329	14,310,608	13,178,393	(80,556)	(95,598)	17,642,690	17,763,108
32,961,806	27,774,519	15,247,627	7,176,345	15,103,500	14,001,115	(3,368,636)	(5,692,036)	105,011,160	100,746,763
31.39%	27.57%	14.52%	7.12%	14.38%	13.90%	-3.21%	-5.65%	100%	100%
-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	452,705	414,157
-	-	-	-	-	-	-	-	-	-
11,854,712	6,846,589	1,367,142	8,516,452	-	-	-	-	46,105,447	52,392,914
435,972	237,146	371,764	168,636	205,397	208,547	-	-	1,233,614	798,253
12,290,685	7,083,735	1,738,906	8,685,088	205,397	208,547	-	-	47,791,766	53,605,324
-	-	-	-	-	-	-	-	-	-
188,227	151,080	253,532	226,974	773,026	762,899	-	-	1,867,879	2,367,346
-	-	-	-	-	-	-	-	605,096	567,804
-	-	-	-	1,791,483	1,125,451	-	-	1,791,483	1,125,451
7,745	23,208	-	-	30,862	30,388	-	-	2,125,844	1,237,195
195,972	174,288	253,532	226,974	2,595,370	1,918,738	-	-	6,390,301	5,297,796
12,486,657	7,258,023	1,992,438	8,912,062	2,800,767	2,127,285	-	-	54,182,067	58,903,120
23.05%	12.32%	3.68%	15.13%	5.17%	3.61%	-	-	100.00%	100.00%
-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	17,050	18,050

SUPPLEMENTARY INFORMATION

DIRECTORS' INTEREST IN CONTRACTS WITH THE COMPANY

Related party transactions are detailed in note 59 to the financial statements as required by LKAS-24 Related Party Disclosures". In addition, the Company carried out transactions in the ordinary course of business on an arm's length basis with entities where a director of the Company is also a director of such entities as detailed below.

Company	Name of director	Nature of transaction	Transaction Value		Interest Paid/ Received	
			2025	2024	2025	2024
			Rs.'000	Rs.'000	Rs.'000	Rs.'000
Sunshine Holdings PLC	*A.D.B. Talwatte	Hire of Vehicles	-	-	-	-
Diesel & Motor Engineering PLC	A.D.B. Talwatte	Purchase of spare parts and repairs	17,196	12,138	-	-
		Lease supplier payments	10,990	17,890		
		Sale of Vehicle	14,143			
Tokyo Cement Company (Lanka) PLC	A.D.B. Talwatte	Hire of Vehicles	-	-	-	-
		Equity Investment	30,511	30,511	-	-
Sunshine Healthcare Lanka Limited	*A.D.B. Talwatte	Hire of Vehicles	-	-	-	-
Chevron Lubricants Lanka PLC	***A.D.B. Talwatte	Hire of Vehicles	-	-	-	-
Ceylon Hospitals PLC	A.D.B. Talwatte	Term Loan Facility	-		8,000	
Cirute Plantations (Pvt) Ltd.	A.D.B. Talwatte	Sale of Vehicle	2,000	-	-	-
CBL Foods International (Pvt) Ltd.		Hire of Vehicles	-	-	-	-
Ceylon Biscuits Limited		Hire of Vehicles	-	-	-	-
Ceylon Essence and Beverage Company (Pvt) Ltd.	**M.S.De Saram (Director of CBL Investments Ltd, Parent Company)	Hire of Vehicles	-	-	-	-
Convenience Foods (Lanka) PLC		Hire of Vehicles	-	-	-	-
Plenty Foods (Pvt) Ltd.		Hire of Vehicles	-	-	-	-
Spar S L (Private) Limited		Hire of Vehicles	-	-	-	-
Finance Houses Consortium (Pvt) Limited	C.S. Hettiarachchi	Placement of fixed deposits	-	3,021	-	429
Equity Two PLC	E.H. Wijenaike	Placement of fixed deposits	7,784	14,397	2,988	4,857
Equity One Limited	E.H. Wijenaike	Placement of fixed deposits	-	7,199	-	3,473
Institute for the Development of Commercial Law & Practice	****E.H. Wijenaike	Placement of fixed deposits	-	12,478	-	2,069

* Mr.A.D.B.Talwatte retired from the Board of Directors of Sunshine Holdings PLC and Sunshine Healthcare Lanka Limited on 31.03.2025.

** Mr. M.S. De Saram was appointed as an Independent Non-Executive Director of the Company with effect from 1st July 2024.

*** Mr.A.D.B.Talwatte retired from the Board of Directors of Chevron Lubricants Lanka PLC on 01.05.2025

**** Mr.E.H.Wijenaike retired from the position of the Member of Management Council of Institute for the Development of Commercial Law & Practice on 07.11.2024.



Facilities Granted During the Year		Rentals Received		Hire Charges Received		Balance Outstanding		Dividend Received	
2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
-	-	35,307	21,842	-	-	16,115	28,407	-	-
-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	1,148	-	-	-	-
-	-	-	-	-	-	-	-	848	578
-	-	4,862	5,241	-	-	5,347	8,531	-	-
10,600	186,585	-	-	103,374	88,519	(26)	2,197	-	-
-	-	200,000	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-	-
340,027	-	-	-	92,151	-	(271)	-	-	-
414,639	-	-	-	114,828	-	(148)	-	-	-
-	-	-	-	3,812	-	-	-	-	-
135,000	-	-	-	30,074	-	(90)	-	-	-
150,000	-	-	-	50,641	-	50	-	-	-
-	-	-	-	2,700	-	(385)	-	-	-
-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-	-	-

GROUP COMPANIES

Subsidiaries							
	Central Industries PLC	Central Developments Limited	Central Transport and Travels Limited	Central Mineral Industries (Private) Limited	Central Homes (Private) Limited	CF Growth Fund Limited	
COMPANY PROFILE	Year of incorporation	1984	1974	1991	1990	1987	1992
	Stated Capital	453,539,844 (24,195,193 Shares)	Rs.132,940,000 (13,294,000 Shares)	Rs.29,490,070 (2,949,007 Shares)	Rs.3,500,000 (350,000 Shares)	Rs.34,175,020 (3,417,502 Shares)	Rs.163,036,780 (16,303,678 Shares)
	Group Holding	49.98%	99.99%	99.99%	99.99%	99.99%	99.99%
	Status of the Company	Quoted	Unquoted	Unquoted	Unquoted	Unquoted	Unquoted
	Principal Business Activities	Manufacture & distribution of PVC Pipes & Fittings under the brands of National	Investment company	Hiring of vehicles	Manufacture of mineral products	Property development and sale of real estate	Investment company
	Registered Office	No. 312, Nawala Road, Rajagiriya.	No. 84, Raja Veediya, Kandy.	No. 84, Raja Veediya, Kandy.	No. 84, Raja Veediya, Kandy.	No. 270, Vauxhall Street, Colombo 02.	No. 270, Vauxhall Street, Colombo 02.
BOARD OF DIRECTORS		G.S.N Peiris (Chairman)	A.K. Gunaratne	C.S. Hettiarachchi	G.S.N. Peiris	C.S. Hettiarachchi	A.K. Gunaratne
		M Rupatunga	D.P. de Silva	C.K. Hettiarachchi	W.M.S. Wanasinghe	M.S.Kumara	D.P. de Silva
		C.S.W De Costa	C.K. Hettiarachchi	G.A. Bandaranayake	G.A. Bandaranayake		C.K. Hettiarachchi
		A.K Gunaratne		A.R. Wijenaike			
		E.H Wijenaike		W.M.S. Wanasinghe			
		D. T. R De Silva					
		C.S Hettiarachchi					
		D.K Welmillage					
		T.P Gunsekera					
Company Secretary	Corporate Services Ltd, No 216, De Saram Place, Colombo 10	Kandy Business Consultants (Pvt) Ltd, 80, Kings Street, Kandy	Kandy Business Consultants (Pvt) Ltd, 80, Kings Street, Kandy	Kandy Business Consultants (Pvt) Ltd, 80, Kings Street, Kandy	Kandy Business Consultants (Pvt) Ltd, 80, Kings Street, Kandy	Kandy Business Consultants (Pvt) Ltd, 80, Kings Street, Kandy	



					Associates	
CF Insurance Brokers (Private) Limited	Dehigama Hotels Company Limited	Expanded Plastic Products(Private) Limited	Hedges Court Residencies (Private) Limited	The Kandy Private Hospitals Limited	Nations Trust Bank PLC	Tea Smallholder Factories PLC
1995	1973	1978	2005	1967	1999	1991
Rs.123,750,000 (12,375,000 Shares)	Rs.8,280,700 (828,070 Shares)	Rs.64,000,000 (6,400,000 Shares)	Rs.50,000,000 (5,000,000 Shares)	Rs.6,084,750 (550,500 Shares)	Rs.13,007,641,000 (Voting - 286,015,907 Convertible Non-voting - 44,621,575)	Rs.150,000,000 (30,000,000 Shares)
99.99%	79.69%	99.99%	100.00%	66.74%	Voting 19.72% Convertible Non-voting 31.88%	29.30%
Unquoted	Unquoted	Unquoted	Unquoted	Unquoted	Quoted	Quoted
Insurance broking	Renting of commercial property	Investment company	Construction and sale of apartments	Provision of healthcare services	Licensed Commercial Bank	Processing green leaves purchased from tea smallholders and the sale of processed black tea
No. 270, Vauxhall Street, Colombo 02.	No. 84, Raja Veediya, Kandy.	No. 270, Vauxhall Street, Colombo 02.	No. 270, Vauxhall Street, Colombo 02.	No. 255/8, Katugastota Road, Kandy.	No. 242, Union Place Colombo 02	No 186, Vauxhall Street, Colombo 02
G.S.N. Peiris (Chairman)	E.H. Wijenaikie	W.M.S. Wanasinghe	D.P. de Silva	G.S.N. Peiris	R.S. Cader (Chairman)	P.H.S. Uluwaduge (Chairman)
D.P. de Silva	W.A.L. Galagoda	M.S. Kumara	M.S. Kumara	A.K. Gunaratne	N.I.R. De Mel	A.K. Gunaratne
A.K. Gunaratne	L. Sirimanne			R.E. George	C.H.A.W. Wickramasuriya	A. Goonetilleke
C.S. Hettiarachchi	C.S. Hettiarachchi			A.P. Aluwihare	A.R. Fernando	P.P. Edirisinghe
C.K. Hettiarachchi	A.R. Wijenaikie			H.M.S.B. Eatulgama	Dr. R. Shanmuganathan	S.W.F. Jameel
D.A.C. Goonetilleke				R.W.W.M.R.P.B. Iddawela	C.K. Hettiarachchi	C.S. Hettiarachchi
A.R. Wijenaikie				S. Ranasinghe	H.D. Gunetilleke	D.S.K. Amarasekera
M.P.R. Fernando				A.M.L. Beligaswatte	K.C. Subasinghe	G.D.V. Perera
				G.A. Bandaranayake	S. Jha	A.S. Perera
					A.K. Wignaraja	
					R.A. Perera	
					M.C. Pietersz	
Kandy Business Consultants (Pvt) Ltd, 80, Kings Street, Kandy	Corporate Services Ltd, No 216, De Saram Place, Colombo 10	Kandy Business Consultants (Pvt) Ltd, 80, Kings Street, Kandy	Kandy Business Consultants (Pvt) Ltd, 80, Kings Street, Kandy	Kandy Business Consultants (Pvt) Ltd, 80, Kings Street, Kandy	Rasanjalie Peshala Attygalle, 242, Union Place, Colombo 02	LOLC Corporate Services (Private) Limited

QUARTERLY STATISTICS - COMPANY

As at	2024-2025			
	31.03.2025	31.12.2024	30.09.2024	30.06.2024
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Statement of financial position				
Total assets	105,011,160	103,187,863	101,984,443	100,696,002
Advances to customers	66,123,663	60,290,428	55,918,967	51,856,174
Average assets	104,099,512	102,586,153	101,340,223	100,721,383
Bank and other borrowings	452,705	917,378	337,493	203,397
Deposits	42,122,280	42,437,205	42,574,929	43,042,540
Shareholders' funds	55,205,442	53,669,916	52,525,086	51,019,213
For the three months ended				
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Income statement				
Interest income	4,116,329	4,221,723	4,258,275	4,221,155
Interest expenses	(1,067,969)	(1,131,565)	(1,177,035)	(1,381,560)
Net interest income	3,048,360	3,090,158	3,081,240	2,839,595
Operating lease income	398,894	381,490	365,236	337,480
Net income from financial instruments at FVTPL	52,529	307,291	65,606	94,802
Other income	612,465	607,538	412,803	249,337
Total operating income	4,112,248	4,386,477	3,924,885	3,521,214
Impairments (charge)/reversal and other credit losses	706,509	400,063	515,415	280,974
Net operating income	4,818,757	4,786,540	4,440,300	3,802,188
Operating expenses	(1,868,174)	(1,636,115)	(1,593,957)	(1,510,234)
Operating profit before taxes on financial services	2,950,583	3,150,425	2,846,343	2,291,954
Taxes on financial services	(539,293)	(542,172)	(528,058)	(466,073)
Profit before tax	2,411,290	2,608,253	2,318,285	1,825,881
Income tax expense	(860,479)	(838,194)	(812,330)	(670,535)
Profit for the quarter	1,550,811	1,770,059	1,505,955	1,155,346
Other comprehensive income for the quarter	(19,862)	-	-	-
Total comprehensive income for the quarter	1,530,949	1,770,059	1,505,955	1,155,346
Ordinary share information				
Market price per share (Rs)				
Highest	226.00	194.75	132.00	132.00
Lowest	180.00	114.00	100.25	107.00
Last traded	194.25	190.00	115.00	119.50
Net asset value per share	242.82	236.06	231.03	224.40
Financial measures				
Profitability				
Return on capital employed (annualised) (%)	14.29	15.55	14.74	13.55
Return on average shareholders' equity (annualised) (%)	11.40	13.33	11.64	9.11
Return on assets (annualised) (%)	5.96	6.90	5.94	4.59
Productivity				
Non interest expenses to total revenue (%)	36.06	29.65	31.24	30.80
Cost to income (%)	45.43	37.30	40.61	42.89
Asset quality				
Gross NPA ratio (%)	2.76	3.52	4.07	6.36



INFORMATION ON SHARES AND DEBENTURES

SHARE INFORMATION

1. STOCK EXCHANGE

The ordinary shares of the Company are listed on the Colombo Stock Exchange.

The audited income statement for the year ended 31st March 2025 and the audited statement of financial position as at 31st March 2025 of the Company and of the Group are submitted to the shareholders and Colombo Stock Exchange within three months from the close of the financial year.

2. NUMBER OF ORDINARY SHAREHOLDERS AS AT 31ST MARCH 2025 – 4,262

(Stated capital of the Company consists solely of voting ordinary shares).

(Number of shareholders as at 31.03.2024 - 3,957)

Following tables show the pattern of distribution of shareholders

Number of Shares held	Residents			Non- Residents			Total		
	No of Shareholders	No. of Shares	%	No of Shareholders	No. of Shares	%	No of Shareholders	No. of Shares	%
1-1,000	2,376	506,390	0.22	12	4,471	0.00	2,388	510,861	0.22
1,001-10,000	1,173	4,401,715	1.94	17	87,717	0.04	1,190	4,489,432	1.97
10,001-100,000	529	15,888,147	6.99	12	385,403	0.17	541	16,273,550	7.16
100,001-1,000,000	113	32,815,707	14.43	8	1,795,965	0.79	121	34,611,672	15.22
1,000,001 & Over	17	138,732,317	61.02	5	32,736,630	14.40	22	171,468,947	75.42
Total	4,208	192,344,276	84.60	54	35,010,186	15.40	4,262	227,354,462	100.00

There were 3,903 resident and and 54 non-resident shareholders as at 31st March 2024

Categories of Shareholders	31st March 2025			31st March 2024		
	No of Shareholders	No. of shares	%	No. of Shareholders	No. of shares	%
Individuals	3,967	98,981,304	43.54	3,794	98,905,328	43.50
Institutions	295	128,373,158	56.46	163	128,449,134	56.50
Total	4,262	227,354,462	100.00	3,957	227,354,462	100.00

3. PUBLIC HOLDING - 31ST MARCH 2025

The Company qualifies under option one of the minimum public holding requirement No.7.13.1 of the Listing Rules of the Colombo Stock Exchange as of 31.03.2025 and relevant information is given below.

	Float adjusted market capitalization (Rs.Bn)		Public holding percentage (%)		Number of public shareholders	
	Minimum requirement	Available amount	Minimum requirement	Public holding (%)	Minimum requirement	Available amount
Option 01	Rs.10 Bn	Rs.28.09Bn	no minimum % required	63.59%	500	4,247

Information on Shares and Debentures

3.1. Public Holding - 31st March 2024

The Company qualifies under option one of the minimum public holding requirement No.7.13.1 of the Listing Rules of the Colombo Stock Exchange as of 31.03.2024 and relevant information is given below.

	Float adjusted market capitalization (Rs.Bn)		Public holding percentage (%)		Number of public shareholders	
	Minimum requirement	Available amount	Minimum requirement	Public holding (%)	Minimum requirement	Available amount
Option 01	Rs.10 Bn	Rs.15.43 Bn	no minimum % required	63.59%	500	3,942

4. TWENTY LARGEST SHAREHOLDERS AS AT 31ST MARCH 2025

	31st March 2025		31st March 2024	
	No. of Shares	%	No. of Shares	%
1 Corporate Services (Private) Limited A/C No 01	36,625,096	16.11	36,625,096	16.11
2 E.H. Wijenaik	35,039,742	15.41	35,039,742	15.41
3 Employees Provident Fund	23,702,974	10.43	24,419,181	10.74
4 Thurston Investments Limited	13,849,392	6.09	13,624,392	5.99
5 Hallsville Frontier Equities Limited.	13,083,136	5.75	13,083,136	5.75
6 E.W. Balasuriya & Co. (Pvt) Ltd A/C 01	8,889,789	3.91	8,909,789	3.92
7 A.J. Wijenaik	7,091,476	3.12	7,091,476	3.12
8 Ceylon Investment PLC A/C 02	5,414,663	2.38	6,804,536	2.99
9 Ceylon Guardian Investment Trust PLC A/C 02	5,088,801	2.24	5,570,801	2.45
10 C.R. Dunuwille	2,923,384	1.29	2,923,384	1.29
11 N.M. Gunawardana	2,818,820	1.24	2,818,820	1.24
12 P.R. Munasinha	2,659,783	1.17	2,659,783	1.17
13 S.K. Wedande	1,847,633	0.81	1,847,633	0.81
14 A.K. Gunaratne	1,810,661	0.80	1,810,661	0.80
15 J.B.Cocoshell (Pvt) Ltd	1,806,155	0.79	1,793,746	0.79
16 N.M Wahab	1,526,448	0.67	1,626,448	0.72
17 Shalfar pty Ltd	1,458,834	0.64	1,458,834	0.64
18 Perera and Sons Bakers (Pvt) Ltd	1,350,000	0.59	1,000,000	0.44
19 H.Yusoof	1,234,256	0.54	-	-
20 Seylan Bank Plc/JN Lanka Holdings Company (Pvt)Ltd	1,120,192	0.49	120,001	0.05
	169,341,235	74.48	169,227,459	74.43
Others	58,013,227	25.52	58,127,003	25.57
Total	227,354,462	100.00	227,354,462	100.00

*Comparative shareholdings as at 31st March 2024 held by the twenty largest shareholders as at 31st March 2025.



5. MARKET VALUE

	2024/2025	2023/2024	2022/2023
	Rs.	Rs.	Rs.
Highest	226.00 (on 18.02.2025)	139.75 (on 21.08.2023)	84.00 (on 08.03.2023)
Lowest	100.25 (on 28.08.2024)	62.10 (on 02.05.2023)	50.10 (on 27.04.2022)
Year end	194.25	106.75	72.40

6. DIVIDEND PAYMENTS

	2024/2025	2023/2024
	Rs.	Rs.
Interim paid	2.75	2.50
Final - proposed	3.75	2.00
Total	6.50	4.50

7. SHARE TRADING

	2024/2025	2023/2024	2022/2023
No. of shares traded	48,102,412	31,699,715	12,077,731
Value of shares traded (Rs. '000)	7,246,639	3,375,853	803,295
Market capitalization (Rs. '000)	44,163,604	24,270,088	16,460,463

8. STATED CAPITAL IS REPRESENTED BY NUMBER OF SHARES IN ISSUE AS GIVEN BELOW

	31.03.2025	31.03.2024
Ordinary voting shares	227,354,462	227,354,462

9. DEBENTURES

Information on Listed Debentures

9.1. The Company made no debenture issues during the year ended 31st March 2025

9.2. The debentures issued by the Company to the value of Rs.6.5 Bn in June 2013, December 2013 and June 2015 has been fully redeemed by May 2020.

9.3. Objectives of the debentures issued in June 2013, December 2013 and June 2015 have been fully achieved.

10. CREDIT RATINGS

Fitch Ratings Lanka Ltd. affirmed the credit ratings of the Company to A (Ika) Outlook Stable during the year.

DECADE AT A GLANCE

Year ended 31st March	2016	2017	2018	2019
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Group income	16,284,923	18,145,869	20,502,024	23,566,453
Interest income	12,624,010	14,104,260	16,114,759	18,571,815
Net income from financial instruments at FVTPL				
Other revenue	2,660,584	2,823,108	2,786,351	3,340,097
Operating lease income	364,207	497,619	807,240	1,000,957
Other income	636,122	720,882	793,674	653,584
Interest expenses				
Interest on deposits	(2,744,446)	(3,301,687)	(4,314,616)	(4,760,353)
Interest on bank and other borrowings	(937,630)	(943,840)	(888,929)	(1,216,837)
Interest on lease liabilities	-	-	-	-
Cost of sales	(1,792,067)	(1,981,548)	(1,970,053)	(2,412,427)
Operating expenses	(4,251,348)	(4,653,890)	(4,801,213)	(4,948,269)
Impairment and other credit losses	(658,347)	(302,794)	(396,051)	(2,213,650)
Share of profit of equity accounted investees, net of tax	549,105	628,890	793,947	765,726
Taxes on financial services	(444,978)	(815,686)	(1,116,079)	(1,431,885)
Profit before income tax	6,005,212	6,775,314	7,809,030	7,348,758
Income tax expense	(1,902,419)	(2,020,285)	(2,303,003)	(2,220,004)
Net profit for the year	4,102,793	4,755,029	5,506,027	5,128,754
Attributable to equity holders of the parent	3,993,671	4,665,195	5,439,837	5,041,398
Attributable to non-controlling interest	109,122	89,834	66,190	87,356

	2016	2017	2018	2019
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Statement of financial position				
Stated capital	568,420	1,337,564	1,337,564	1,527,778
Capital reserves	2,509,879	2,510,631	2,291,952	4,745,864
Reserve fund	1,396,000	1,599,000	1,824,000	2,037,000
OCI reserve / AFS reserve	91	(37,023)	19,637	17,993
Loan loss reserve	-	-	920,000	920,000
Revenue reserves	22,303,590	24,158,943	27,521,078	31,492,005
Funds attributable to equity holders of the parent	26,777,980	29,569,115	33,914,231	40,740,640
Non-controlling interest	855,819	884,232	865,255	1,119,290
	27,633,799	30,453,347	34,779,486	41,859,930



2020	2021	2022	2023	2024	2025
Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
25,758,685	23,994,266	24,580,234	24,473,972	26,868,940	26,695,001
20,116,816	16,604,313	14,219,402	17,911,950	19,500,264	17,232,398
216,267	1,094,480	678,734	67,093	350,244	609,367
3,753,158	4,628,028	7,160,077	4,748,924	4,767,099	5,821,879
1,030,459	1,015,166	1,055,079	1,026,926	1,186,002	1,469,016
641,985	652,279	1,466,942	719,079	1,065,331	1,562,341
(5,624,498)	(5,130,566)	(3,714,968)	(4,732,335)	(6,271,224)	(4,581,031)
(1,102,713)	(974,886)	(21,404)	(43,499)	(37,715)	(56,901)
(41,816.00)	(44,739)	(46,527)	(52,668)	(63,136)	(74,528)
(2,696,572)	(3,399,801)	(5,393,157)	(2,839,286)	(3,389,451)	(4,366,924)
(5,254,740)	(4,575,363)	(5,556,961)	(5,858,166)	(6,413,288)	(7,234,033)
(4,785,758)	(3,270,465)	(286,966)	(843,425)	(53,041)	1,901,575
859,924	1,069,144	1,388,131	1,886,915	2,664,448	3,664,776
(1,275,328)	(863,462)	(1,298,900)	(1,679,690)	(1,879,274)	(2,075,596)
5,837,184	6,804,128	9,649,482	10,311,818	11,426,259	13,872,339
(1,727,880)	(1,024,160)	(2,373,343)	(2,752,818)	(3,239,319)	(3,654,104)
4,109,304	5,779,968	7,276,139	7,559,000	8,186,940	10,218,235
3,990,148	5,544,132	7,002,786	7,226,880	7,842,275	9,923,975
119,156	235,836	273,352	332,120	344,665	294,260

2020	2021	2022	2023	2024	2025
Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
1,696,898	1,961,597	2,230,286	2,230,286	2,230,286	2,230,286
4,823,863	5,102,431	4,976,248	4,597,308	5,384,232	5,434,116
2,213,000	2,371,000	2,715,000	2,964,000	3,204,000	3,504,000
111,767	27,538	(398,492)	100,028	1,053,010	1,370,884
920,000	920,000	920,000	920,000	920,000	920,000
34,560,162	39,669,450	45,392,408	48,733,620	55,260,885	63,756,658
44,325,690	50,052,016	55,835,451	59,545,242	68,052,413	77,215,944
1,197,191	1,453,433	1,634,702	1,900,478	2,293,388	2,509,125
45,522,881	51,505,449	57,470,153	61,445,720	70,345,801	79,725,069

Decade at a Glance

Year ended 31st March	2016	2017	2018	2019
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Assets				
Cash and other liquid assets	4,152,976	4,377,189	4,911,973	5,477,473
Financial assets held for trading	39,992	447,991	654,954	564,843
Available for sale investments	234,820	-	-	-
Investments in equity accounted investees	3,537,114	4,075,059	5,769,300	6,503,658
Advances to customers	59,735,967	62,782,169	68,880,573	81,747,336
Other assets	3,470,872	3,498,109	3,763,330	3,304,995
Property, plant and equipment	5,925,833	7,134,854	8,395,647	12,659,775
Total assets	77,097,574	82,315,371	92,375,777	110,258,080
Liabilities				
Deposits	34,299,143	35,527,936	40,570,199	45,149,518
Bank and other borrowings	8,504,386	9,050,927	8,167,277	13,137,443
Other liabilities	6,660,246	7,283,161	8,858,815	10,111,189
Total liabilities	49,463,775	51,862,024	57,596,291	68,398,150
Key indicators				
Group				
Earnings per share (Rs.)	38.08	21.52	24.88	22.85
Net asset value per share (Rs.)	255.31	135.23	155.10	184.62
Company				
No of shares	104,883,333	216,758,888	216,758,888	218,661,027
Earnings per share (Rs.)	31.79	18.05	20.65	18.50
Net asset value per share (Rs.)	214.26	111.81	127.57	150.94
Gross dividends paid (Rs.'000)	419,534	509,383	867,036	787,180
Dividend cover (times covered)	7.95	7.68	5.16	5.14
Market price per share (Rs.)	210.00	86.20	99.90	84.50
Price earnings ratio (times)	6.61	4.78	4.84	4.57



2020	2021	2022	2023	2024	2025
Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
7,617,271	6,192,421	24,213,144	26,503,163	29,482,149	13,606,935
5,599,847	15,669,893	1,655,884	649,071	3,908,515	1,807,449
-	-	-	-	-	-
7,430,736	8,276,910	9,221,337	11,121,423	14,532,496	18,297,316
78,510,364	64,514,535	58,626,258	46,327,586	50,161,453	66,130,736
6,030,770	7,434,991	9,455,617	9,881,603	10,220,814	16,080,526
12,605,679	12,308,748	12,433,609	12,246,039	13,228,686	14,230,125
117,794,667	114,397,498	115,605,849	106,728,885	121,534,113	130,153,087
52,912,500	52,152,495	48,715,464	38,228,102	43,737,485	41,675,987
11,165,090	3,129,256	932,834	299,399	482,278	469,257
8,194,196	7,610,298	8,487,498	6,755,664	6,968,549	8,282,774
72,271,786	62,892,049	58,135,796	45,283,165	51,188,312	50,428,018
17.81	24.39	30.80	31.79	34.49	43.65
197.86	220.15	245.59	261.90	299.32	339.63
220,674,367	224,024,987	227,354,462	227,354,462	227,354,462	227,354,462
12.92	18.19	23.56	21.84	21.08	26.31
159.06	175.72	195.58	201.99	221.32	242.82
529,618	784,087	795,741	966,256	1,023,095	1,477,804
5.38	5.20	6.73	5.14	4.69	4.05
81.00	80.70	68.10	72.40	106.75	194.25
6.27	4.44	2.89	3.32	5.06	7.38

INCOME STATEMENT IN US DOLLARS

For the year ended 31st March	Group		Company	
	2025	2024	2025	2024
	USD'000	USD'000	USD'000	USD'000
Income	90,088	89,431	69,867	72,548
Interest income	58,155	64,906	56,754	63,373
Interest expenses	15,903	21,209	16,057	21,477
Net interest income	42,252	43,697	40,697	41,896
Net income from financial instruments at FVTPL	2,056	1,166	1,756	808
Net other revenue	4,910	4,585	-	-
Operating lease income	4,958	3,948	5,005	3,986
Other income	5,272	3,546	6,352	4,381
Total operating income	59,448	56,942	53,810	51,071
Impairments and other credit losses	6,417	177	6,422	541
Net Operating Income	65,865	56,765	60,232	50,530
Operating expenses				
Personnel expenses	12,593	11,001	11,133	9,612
Premises, equipment, establishment and other expenses	11,820	10,346	11,169	9,512
	24,413	21,347	22,302	19,124
Operating profits before share of profit of equity accounted investee	41,452	35,418	37,930	31,406
Share of profit of equity accounted investee, net of tax	12,368	8,868	-	-
Operating profit before taxes on financial services	53,820	44,286	37,930	31,406
taxes on financial services	7,005	6,255	7,005	6,255
Profit before tax	46,815	38,031	30,925	25,151
Income tax expense	12,332	10,782	10,737	9,206
Profit for the year	34,483	27,249	20,188	15,945
Profit attributable to :				
Equity holders of the parent	33,490	26,102	20,188	15,945
Non-controlling interest	993	1,147	-	-
Profit for the year	34,483	27,249	20,188	15,945
Basic and diluted earnings per share - USD	0.15	0.11		
Dividend per share - USD	0.02	0.01		



STATEMENT OF FINANCIAL POSITION IN US DOLLARS

As at	Group		Company	
	31.03.2025	31.03.2024	31.03.2025	31.03.2024
	USD'000	USD'000	USD'000	USD'000
ASSETS				
Cash and cash equivalents	3,413	3,014	2,952	2,513
Fair value through profit or loss financial assets	6,100	13,009	4,950	10,085
Securities bought under repurchase agreements	11,480	20,638	11,480	20,271
Financial assets at amortised cost- Debt and other financial instruments	71,108	96,431	59,386	88,536
Financial assets at amortised cost- Loans and receivables from customers	32,310	19,832	32,286	19,787
Financial assets at amortised cost- Net investment in leases and hire purchase	190,863	147,127	190,863	147,128
Trade receivables	4,791	3,329	-	-
Investments in subsidiaries	-	-	1,377	1,358
Investments in equity accounted investees	61,749	48,371	6,189	5,764
Inventories and other stocks	3,559	3,544	243	299
Investment properties	225	222	225	222
Property, plant and equipment	48,022	44,031	39,126	35,171
Right of use assets	2,013	1,558	2,823	1,671
Intangible assets	833	914	820	900
Current tax assets	-	-	-	-
Deferred tax asset	119	80	-	-
Other assets	2,632	2,405	1,650	1,611
Real estates held for sale	15	15	15	15
Total assets	439,232	404,520	354,385	335,331
LIABILITIES				
Bank overdrafts	1,569	1,545	1,528	1,379
Financial liabilities at amortised cost -Deposits	140,645	145,578	142,151	147,120
Financial liabilities at amortised cost -Interest bearing borrowings	15	60	-	-
Lease liabilities	2,032	1,572	2,841	1,722
Employee benefit obligations	7,049	8,433	6,299	7,874
Current tax liabilities	2,680	2,584	2,042	1,890
Deferred tax liability	7,773	5,413	6,046	3,746
Other liabilities	8,418	5,192	7,174	4,118
Total liabilities	170,181	170,377	168,081	167,849
EQUITY				
Stated capital	7,527	7,423	7,527	7,423
Statutory Reserve fund	11,825	10,664	11,825	10,664
Revaluation reserve	18,339	17,921	13,310	13,159
Fair value reserve	4,626	3,505	-	-
Loan loss reserve	3,105	3,062	3,105	3,062
General reserve	78,979	77,896	78,941	77,858
Retained earnings	136,182	106,039	71,596	55,316
Total equity, excluding non-controlling interest	260,583	226,510	186,304	167,482
Non-controlling interest	8,468	7,633	-	-
Total equity	269,051	234,143	186,304	167,482
Total liabilities and equity	439,232	404,520	354,385	335,331
Net asset value per share - USD	1.15	1.00	0.82	0.74

USD Exchange rate was Rs. 296.32 as at 28th March 2025.

The Statement of financial position given on this page is solely for the convenience of the shareholders, bankers, investors, customers and other users of financial statements and do not form apart of the audited financial statements.

GLOSSARY OF FINANCIAL TERMS

A

Accounting policies - The specific principles, bases, conventions, rules and practices adopted by an entity in preparing and presenting financial statements.

Accrual basis - The system of accounting wherein revenue is recognised at the time it is earned and expenses at the time they are incurred, regardless of whether cash has actually been received or paid out.

Amortisation - The systematic allocation of the depreciable amount of an intangible asset over its useful life.

Associate company - An associate is an entity, including an unincorporated entity such as a partnership, over which the investor has significant influence and that is neither a subsidiary nor an interest in a joint venture.

C

Cash equivalents - Short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Collective impairment provisions - Impairment is measured on a collective basis for homogeneous groups of lending facilities that are not considered as individually significant.

Consolidated financial statements - Financial statement of a holding company and its subsidiaries based on their combined assets, liabilities and operating results.

Contingencies - A condition or situation existing at the balance sheet date where the outcome will be confirmed only by the occurrence or non-occurrence of one or more future events.

Corporate governance - Process by which corporate entities are governed

to promote stakeholder interest. Shareholders exert collective pressure on management to ensure equitable decision making on matters that may affect the value of their holdings and base their response on statutory requirements or on so called "Best Practice".

Credit risk - The risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation.

D

Deferred taxation - Sum set aside for tax in the Financial Statements that may become payable/receivable in a financial year other than the current financial year.

Dividend cover - Profit attributable to ordinary shareholders divided by gross dividends to ordinary shares; this indicates number of times dividend is covered by current year's distributable profits.

Dividend per share - Value of the total dividend paid out and proposed to ordinary shareholders divided by the number of ordinary shares in issue; this indicates the proportion of current year's dividend attributable to an ordinary share in issue.

E

Earnings per share (EPS) - Profit attributable to ordinary shareholders divided by the number of ordinary shares in issue; this indicates the proportion of current year's earnings attributable to an ordinary share in issue.

Effective interest method - Is a method of calculating the amortised cost of a financial asset or a financial liability (or group of financial assets or financial liabilities) and of allocating the interest income or interest expense over the relevant period.

Equity method - A method of accounting whereby the investment is initially recognised at cost and adjusted thereafter for the postacquisition change in the investor's share of net assets of the investee. The profit or loss of the investor includes the investor's share of the profit or loss of the investee.

F

Fair value - Is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction.

Financial asset - Any asset that is cash, an equity instrument of another entity or a contractual right to receive cash or another financial asset from another entity.

Financial instrument - Is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial liability - A contractual obligation to deliver cash or another financial asset to another entity or to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the entity.

Finance lease - A lease that transfers substantially all the risks and rewards incidental to the ownership of an asset to the lessee. Title may or may not eventually be transferred.

G

Gross dividend - The proportion of profit distributed to shareholders including the tax withheld.

Group - A group is a parent and all its subsidiaries and associates.



H

Held-for-trading - Debt and equity investments that are purchased with the intent of selling them within a short period of time.

Held to maturity investment - Are non-derivative financial assets with fixed or determinable payments and fixed maturity that an entity has the positive intention and ability to hold to maturity.

Hire purchase - A contract between hirer and financier where the hirer takes on hire a particular article from the financier, with the option to purchase the article at the conclusion of the agreed rental payments

I

Impairment - This occurs when recoverable amount of an asset is less than its carrying amount.

Individual impairment - Impairment is measured on an individual basis for Non homogeneous groups of lending facilities that are considered as individually significant.

Intangible asset - An intangible asset is an identifiable nonmonetary asset without physical substance

Interest cover - Earnings before interest and tax divided by interest expenses. This indicates the ability to cover or service interest charges of the debt holders.

L

Lease - An agreement whereby the lessor conveys to the lessee in return for a payment or series of payments the right to use an asset for an agreed period of time.

Liquid asset - Assets that are held in cash or in a form that can be converted to cash readily, such as balances with banks and treasury bills.

Liquidity risk - The risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. Local Currency is a separate item.

M

Market capitalisation - Number of ordinary shares in issue multiplied by market value of a share and indicates total market value of all ordinary shares in issue.

Market risk - The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market price. Market risk comprises three types of risks: currency risk, interest rate risk, and other price risk.

N

Non-controlling interest - Portion of the profit or loss and net assets of a subsidiary attributable to equity interests that are not owned, directly or indirectly through subsidiaries, by the parent.

Net asset value per ordinary share - Ordinary shareholders' funds divided by the number of ordinary shares in issue.

Non-performing advances - Loans and advances of which rentals are in arrears for more than 90 days

O

Operating lease - An operating lease is a lease other than a finance lease.

P

Parent - A parent is an entity that has one or more subsidiaries.

Past due - A financial asset is past due when a counterparty has failed to make a payment when contractually due.

R

Related parties - Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions.

Related party transactions - Is a transfer of resources, services or obligations between related parties, regardless of whether a price is charged or not.

Reverse repurchase agreement - Transaction involving the purchase of securities by a bank or dealer and resale back to the seller at a future date and specified price.

Return on average assets (ROA) - Profit after tax expressed as a percentage of average total assets.

Return on average equity (ROE) - Profit after tax less preference share dividends if any, expressed as a percentage of average ordinary shareholders' equity.

S

Segmental analysis - Analysis of financial information by segments of an enterprise specifically the different industries and the different geographical areas in which it operates.

Shareholders' funds (Equity) - Total of issued and fully paid ordinary share capital and capital and revenue reserves attributable to ordinary shareholders.

Subsidiary company - An entity, including an unincorporated entity such as a partnership, which is controlled by another entity, known as the parent.

Substance over legal form - The consideration that the accounting treatment and the presentation in financial statements of transactions and the events are governed by their financial reality and not merely by its legal form

Glossary of Financial Terms

T

Tier I capital - Core capital representing permanent share holders' equity and reserves created or increased by appropriations of retained earnings or other surpluses.

Tier II capital - Supplementary capital representing revaluation reserves, general provisions and other capital instruments, which combine certain characteristics of equity and debts, such as, hybrid capital instruments and unsecured subordinate term debts.

Transaction costs - Are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial asset or financial liability. An incremental cost is one that would not have been incurred if the entity had not acquired, issued or disposed of the financial instrument



NOTICE OF MEETING

Notice is hereby given that the Sixty Seventh (67th) Annual General Meeting of Central Finance Company PLC (the "Company") will be held at The Grand Kandyan Hotel, No:89/10, Lady Gordon's Drive, Kandy on 30th June 2025 at 11.00 a.m. for the following purposes.

1. To receive and consider the annual report of the board of directors along with the financial statements of the Company for the year ended 31st March 2025 and the auditors' report thereon.
2. To declare a final dividend as recommended by the board of directors and to consider and if thought fit, to pass the following resolutions:

ORDINARY RESOLUTION - DISTRIBUTION OF A FINAL DIVIDEND FOR THE FINANCIAL YEAR ENDED 31ST MARCH 2025

IT IS HEREBY RESOLVED THAT

- (i) a final dividend of Rupees Three and Seventy Five Cents (Rs. 3.75) per share amounting to a total dividend of Rupees Eight Hundred Fifty Two Million Five Hundred Seventy Nine Thousand Two Hundred and Thirty Two and Fifty Cents (Rs. 852,579,232.50) be paid on the issued and fully paid shares of the Company for the financial year ended 31st March 2025.
- (ii) the shareholders entitled to the final dividend would be those shareholders whose names have been duly registered in the register of shareholders and those shareholders whose names appear on the Central Depository Systems (Private) Limited (CDS) as at end of trading on the 02nd July 2025 (the 'Entitled Shareholders').

(iii) Accordingly, the management and company secretary be and are hereby authorized to attend to all matters pertaining to the previously mentioned final dividend.

3. To re-elect as a director Mr. E.H. Wijenaik, who retires by rotation in terms of Article 105 of the Articles of Association of the Company, and being eligible has offered himself for re-election; and also to propose the following ordinary resolution for his re-appointment upon reaching the age of seventy (70) years:

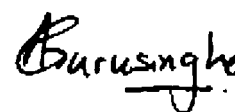
"IT IS HEREBY RESOLVED THAT the age limit referred to in section 210 of the Companies Act No. 07 of 2007 shall not apply to Mr. E.H. Wijenaik who has reached the age of 70 years and that he be re-appointed as a director of the Company".

4. To re-elect as a director Mr. M.S. De Saram, who retires in terms of Article 111 of the Articles of Association of the Company, and being eligible has offered himself for re-election.
5. To re-elect as a director Ms. S.H. Munasinghe, who retires in terms of Article 111 of the Articles of Association of the Company, and being eligible has offered herself for re-election.
6. To re-elect as a director Dr. (Ms.) N.K. Arunatilake, who retires in terms of Article 111 of the Articles of Association of the Company, and being eligible has offered herself for re-election.
7. To re-appoint KPMG, Chartered Accountants who are deemed to be re-appointed as auditors of the Company until the conclusion of the next AGM of the Company in terms of section 158 (1) of the Companies Act No. 07 of 2007, to audit the financial statements of the Company for the

financial year ending 31st March 2026 and to authorize the directors to determine their remuneration therefor.

8. To authorize the directors to determine the contributions to charities for the ensuing year.

By order of the Board



A.R.L. Gurusinghe
Company Secretary

Colombo, on this 28th day of May 2025

Note:

1. Any shareholder entitled to attend and vote at this meeting is entitled to appoint a proxy to attend and vote/speak in his/her stead and a form of proxy is sent herewith for this purpose. A proxy need not be a shareholder of the Company.
2. A completed form of proxy must be deposited with the company secretary at No. 270, Vauxhall Street, Colombo 02 or forwarded to avishkag@cf.lk not less than 48 hours before the time appointed for the holding of the meeting.

NOTES

Lined area for notes, consisting of multiple horizontal lines.



[illegible]

Notes

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

FORM OF PROXY

I/We of

being *a shareholder/shareholders of CENTRAL FINANCE COMPANY PLC do hereby appoint

- | | | | |
|-------------------------------|-----------------|--|-----------------|
| 1. Arjun Rishya Fernando | or failing him, | 6. Chandika Kushan Hettiarachchi | or failing him, |
| 2. Arjuna Kapila Gunaratne | or failing him, | 7. Kuda Banda Herath | or failing him, |
| 3. Manjula Hiranya de Silva | or failing him, | 8. Mahen Senani De Saram | or failing him, |
| 4. Eranjith Harindra Wijenaik | or failing him, | 9. Subhashini Harshi Munasinghe | or failing her, |
| 5. Dhammika Prasanna de Silva | or failing him, | 10. Dr. Nisha Kanthimathie Arunatilake | or failing her, |

..... of

as my/our proxy to attend and vote at the Annual General Meeting of the Company to be held on the 30th June 2025 and at any adjournment thereof.

	For	Against
1. To receive and consider the annual report of the board of directors together with the financial statements of the Company and the report of the auditors thereon for the financial year ended 31st March 2025.	☐	☐
2. To approve a final divided of Rupees Three and Seventy Five Cents (Rs. 3.75) per share.	☐	☐
3. To re-elect as a director Mr. E.H. Wijenaik, who retires by rotation in terms of Article 105 of the Articles of Association of the Company and being eligible has offered himself for re-election; and also to propose the following ordinary resolution for his re-appointment upon reaching the age of seventy (70) years: "IT IS HEREBY RESOLVED THAT the age limit referred to in section 210 of the Companies Act No. 07 of 2007 shall not apply to Mr. E.H. Wijenaik who has reached the age of seventy (70) years and that he be re-appointed as a director of the Company."	☐	☐
4. To re-elect as a director Mr. M.S. De Saram, who retires in terms of Article 111 of the Articles of Association of the Company and being eligible has offered himself for re-election.	☐	☐
5. To re-elect as a director Ms. S.H. Munasinghe, who retires in terms of Article 111 of the Articles of Association of the Company and being eligible has offered herself for re-election.	☐	☐
6. To re-elect as a director Dr. (Ms.) N.K. Arunatilake, who retires in terms of Article 111 of the Articles of Association of the Company and being eligible has offered herself for re-election.	☐	☐
7. To re-appoint KPMG, who are deemed to be re-appointed as auditors of the Company until the conclusion of the next AGM of the Company in terms of section 158 (1) of the Companies Act No. 07 of 2007, to audit the financial statements of the Company for the financial year ending 31st March 2026 and to authorise the directors to determine their remuneration therefor.	☐	☐
8. To authorise the directors to determine the contributions to charities for the ensuing year.	☐	☐

Signed this day of Two Thousand and Twenty Five

*Signature/s

Note:

Please delete the inappropriate words.

INSTRUCTIONS AS TO COMPLETION

1. The instrument appointing a proxy may be in writing under the hands of the appointor or of its attorney duly authorised in writing or if such appointor is a corporation under its common seal or the hand of its attorney or duly authorised person.
2. The instrument appointing a proxy and the Power of Attorney or other authority, if any, under which it is signed or a notarially certified copy of that Power of Attorney or other authority will have to be deposited with the company secretary at No. 270, Vauxhall Street, Colombo 02 or forwarded to avishkag@cf.lk not less than 48 hours before the time appointed for the holding of the meeting.



INVESTOR FEEDBACK FORM

To request information or submit a comment/query to the Company, please complete the following and return this page to -

General Manager - Finance
Central Finance Company PLC,
270, Vauxhall Street, Colombo 2,
Sri Lanka.

Email: thiliniw@cf.lk

Name:

Permanent Mailing Address:

.....

Contact Numbers (Tel):
Country code Area code Number

(Fax):
Country code Area code Number

Email:

Name of Company :
(If applicable)

Designation:
(If applicable)

Company Address:
(If applicable)

QUERIES/ COMMENTS

Please tick (✓) the appropriate box	Yes	No
Would you like to receive soft copies of the CF annual and interim reports via e-mail?	☐	☐
Would you like to receive news and press releases of CF via e-mail?	☐	☐
Would you like to receive any information on our products/services?	☐	☐

CORPORATE INFORMATION

NAME OF COMPANY

Central Finance Company PLC

LEGAL FORM

A Quoted Public Company with limited liability incorporated in Sri Lanka on 5th December 1957 and registered under the Companies Act No. 07 of 2007.

Registered under Finance Business Act No. 42 of 2011 and Finance Leasing Act No. 56 of 2000.

Approved Credit Agency under:

- Mortgage Act No. 6 of 1949
- Trust Receipt Ordinance No. 12 of 1947

COMPANY REGISTRATION NUMBER

PQ 67

DIRECTORS

Mr. A.R. Fernando *Non-Independent Non-Executive Director/Chairman*

Mr. A.K. Gunaratne *Managing Director/CEO*

Mr. D.P. de Silva *Deputy Managing Director/Deputy CEO*

Mr. E.H. Wijenaike *Non-Independent Non-Executive Director*

Mr. C.K. Hettiarachchi *Executive Director*

Dr. (Mrs) A.D.N De Zoysa *Independent Non- Executive Director*

Mr. K.B. Herath *Independent Non-Executive Director*

Mr. M.H. de Silva *Senior Independent Non-Executive Director*

Mr. M.S. De Saram *Independent Non- Executive Director*

S.H. Munasinghe *Independent Non- Executive Director*

STOCK EXCHANGE LISTING

The ordinary shares of the Company are listed on the Colombo Stock Exchange

HEAD/ REGISTERED OFFICE:

84, Raja Veediya, Kandy.
Telephone : 081 - 2227000

CITY OFFICE:

270, Vauxhall Street, Colombo 2.
Telephone : 011 - 2300555
E-mail : cenfin@cf.lk
Website : www.centralfinance.lk

BANKERS

Bank of Ceylon
Commercial Bank of Ceylon PLC
Hatton National Bank PLC
NDB Bank PLC
Nations Trust Bank PLC
People's Bank
Sampath Bank PLC
Seylan Bank PLC
DFCC Bank PLC
State Bank of India

AUDITOR

KPMG
Chartered Accountants,
32A, Sir Mohamed Macan Markar Mawatha,
P.O. Box 186,
Colombo 03, Sri Lanka.

LEGAL ADVISER

F. J. & G. de Saram
Attorneys-at-Law,
P.O. Box 212, Colombo

CREDIT RATINGS

Rated A (Ika) Outlook Stable by Fitch Ratings Lanka Ltd

REGISTRARS

Corporate Services (Pvt) Limited
216, de Saram Place,
Colombo 10.
Telephone : 011 - 4605100

COMPANY SECRETARY

A.R.L. Gurusinghe
No. 270, Vauxhall Street, Colombo 02.
Telephone : 011 - 2315065



No. 270, Vauxhall Street, Colombo 02, Sri Lanka.
+94 112 300 555
info@cf.lk